MGMT 627 GRAND QUIZ, Handouts and PPT, Past Papers Combined

1. Which of the following refers to a narrative description of the work to be accomplished?

   a. The statement of work (SOW) (Lesson no 21 Page no 147 Handouts)
   b. The project specifications
   c. The milestone schedule
   d. The work breakdown structure (WBS)

2. All of the following are activities of Project Engineering Manager EXCEPT: **PPT 7**

   a. Process Flow Sheets
   b. Equipment Data Specs
   c. Process Liaison
   d. Bid Analysis

3. Which of the following statement is TRUE about time spent by Project managers while they are on training? **PPT 6**

   a. Experimental learning, on-the-job 10%
   b. Formal education & special courses 20%
   c. Professional activities, seminars 60%
   d. Readings 20%

4. Which of the following requires an understanding of economic, demographic, ethical, ethnic, religious and cultural sensitivity issues?

   a. International Environment
   b. Political Environment
   c. Cultural and Social Environment (Lesson no 2 Page no 8 Handouts)
   d. Physical Environment

5. Which of the following is the knowledge of and proficiency in activities involving methods, process , and procedures?

   a. Technical Skill (Lesson no 3 Page no 19 Handouts)
   b. Human Skill
   c. Conceptual Skill
   d. Design Skill

6. Which of the following is the first step in the process of defining the actual scope of a project?

   a. Project Conception (Lesson no 8 Page no 66 Handouts)
   b. Feasibility analysis
   c. Scope statement
   d. Project Planning

7. Which of the following involves motivation, disciplining, managing conflict, staffing, and training?

   a. Traditional Management
   b. Communication
   c. Human Resource Management (Lesson no 3 Page no 18 Handouts)
   d. Networking

8. Which of the following factors are involved in project planning?

   a. Resources and scope
   b. Financing and resources
   c. Support and scope
   d. Financing and scope

9. After Initial feasibility analysis, the next step is to prepare: **PPT 15**

   a. Project Plan
   b. Scope statement
   c. System Proposal
   d. Work Breakdown Structure

10. Which of the following refers to the process of choosing a project or set of projects to be implemented by the organization? **Page 89**

   a. Project Selection
   b. Project evaluation
   c. Project implementation
   d. Project Execution

11. All of the following should be included in technical information database EXCEPT:

   a. Types of Projects
   b. Feasibility
   c. Engineering Project
   d. Graphic Arts (Lesson no 13 Page no 108 Handouts)

12. Which of the following is the content of the "Administrative Support" part of the project proposal? **PPT 14**

   a. Nature & Timing of Reports
   b. Description of final Documents for Users
   c. Termination Procedures Described
   d. All of the given options

13. Which of the following is calculated as the initial fixed investment in the project divided by the estimated annual net cash inflows from the project? **Page 98**

a. Discounted Cash Flow
b. Pay Back Period
c. Discounted Cash Flow
d. Internal Rate of Return

14. Which of the following are short-duration projects normally assigned to a single individual who may be acting as both a project manager and a functional manager? **Page 26**

a. Individual projects
b. Staff projects
c. Special projects
d. Matrix or Aggregate projects

15. The matrix organization has two forms: the weak matrix and the strong matrix. Which of the following is the primary difference between these two forms? **(Doubtful)**

a. The number of functional staff assigned to the project.
b. The organization always starts as weak and builds its
c. A weak matrix is used only to plan the project
d. Relative influence exercised in decision-making

16. Which of the following best defines the "Planning" function of Management?

a. The process of setting objectives in any project & then determining what should be done to accomplish them. (Lesson no 1 Page no 2 Handouts)
b. The process of assigning tasks, allocating resources, & arranging coordinated activities to implement plans.
c. The process of arousing enthusiasm and directing HR efforts toward project/organizational goals.
d. The process of measuring performance and taking action to ensure desired results in any project.

17. Once the approximate total cost of the project is determined, which of the following should be conducted to determine if the estimated value of the information obtained from the system exceeds the cost of obtaining the information?

a. Total Quality Benefit Analysis
b. Cost-Benefit Analysis
c. Profit benefit Analysis
d. Procurement Analysis

18. The three general preconditions for achieving lasting success as a project manager are:

a. Technical Skills, Ability, Human Skills and Design Skill
b. Ability, Motivation to manage and Opportunity (Lesson no 3 Page no 19 Handouts)
c. Motivation to manage, Opportunity and Conceptual Skill
d. Ability, Capacity and Supervision

19. Which of the following is the ability to work with people, making cooperative effort, teamwork, make them feeling secure and free to express their opinions?

a. Technical Skill
b. Human skill (Lesson no 3 Page no 19 Handouts)
c. Conceptual skill
d. Design skill

20. Fredrick Taylor, the Father of Scientific Management, was a/an _____.

a. Consultant
b. Doctor
c. Engineer (Lesson no 1 Page no 1 Handouts)
d. Business man

21. Which of the following refers to taking control action to correct an unfavorable trend or to take advantage of an unusually favorable trend? **Page 3**

a. Measuring
b. Evaluating
c. Determining
d. Correcting

22. Which of the following includes the preliminary evaluation of an idea?

a. Conceptual Phase (Lesson no 5 Page no 37 Handouts)
b. Planning Phase
c. Testing Phase
d. Implementation Phase

23. Which of the following creates an environment in which a continuous stream of successfully managed projects exists; and where success is measured by what is in the best interest of both the company and the project/customer? **Page 27**

a. Organizational Effectiveness
b. Organizational Excellence
c. Organizational Support
d. Organizational efficiency

24. Which of the following refers to the knowledge of international, national, regional or local laws and customs, time zone differences, teleconferencing facilities, level of use of technology, national holidays, travel means and logistic requirements?

a. Cultural Environment
b. Physical Environment
c. Social Environment
d. International and Political Environment (Lesson no 2 Page no 8 Handouts)

25. A collection of generally sequential project phases whose name and number are determined by the control needs of the organization or organizations involved in the project, is called:

a. Project life cycle
b. Product life cycle
c. Project life event
d. Procurement life cycle

26. Which of the following includes socializing, and interacting with outsiders?

a. Traditional Management
b. Communication
c. Human Resource Management
d. Networking (Lesson no 3 Page no 18 Handouts)

27. Fredrick Taylor- Father of Scientific Management was a _____.

a. Mechanical Engineer (Lesson no 1 Page no 1 Handouts)
b. Chemical Engineer
c. Technical Engineer
d. Electrical Engineer

28. Which of the following demonstrates how well the project is understood? **Page 130**

a. Introduction
b. Mission & Objectives
c. Work Scope
d. Schedules

29. Which of the following are the Key Management skills? **PPT 6**

a. Leading
b. Communicating
c. Negotiating
d. All of the given options

30. Which of the following refers to a" process of establishing a technical specification, called a standard, among competing entities in a market, where this will bring benefits without hurting competition?

a. Policy
b. Procedure
c. Standard (Lesson no 18 Page no 139 Handouts)
d. Decision

31. Which of the following contains more detailed statement of general goals noted in overview?

a. Introduction (Lesson no 17 Page no 128 Handouts)
b. General Approach
c. Contractual Aspects
d. Schedules

32. Which of the following refers to "The strategy to be followed and major actions to be taken in order to achieve or exceed objectives"?

a. Objective
b. Program (Lesson no 16 Page no 123 Handouts)
c. Schedule
d. Budget

33. Between projects A and B, project A will be considered a superior financial undertaking if it has:

a. A shorter payback period than project B.
b. A lower average rate of return than project B.
c. A lower net present value than project B.
d. A longer payback period than project B.

34. To be effective as a project manager, an individual must have:

    a. Management skills
    b. Technical skills
    c. Leadership skills
    d. All of the given options

35. The main purpose of a_____is to function as a blueprint for a group's business operations.

    a. Business Plan (Lesson no 9 Page no 75 Handouts)
    b. Scope statement
    c. Feasibility Study
    d. Work Breakdown Structure

36. In general, if a division's activities are focused on the achievement of a single major project, what is the way for it to structure its operation? **Page 31**

    a. Matrix structure
    b. Functional structure
    c. Projectized structure
    d. Ego-less structure

37. Which of the following includes structural, civil and other relevant engineering aspects necessitated by the project design?

    a. Technical Feasibility (Lesson no 8 Page no 70 Handouts)
    b. Managerial Feasibility
    c. Economic Feasibility
    d. Financial Feasibility

38. Which of the following managers develop tactical plans for the project?

    a. Top Managers (Lesson no 18 Page no 140 Handouts)
    b. Middle Managers
    c. Line Managers
    d. Supervisors

39. Which of the following are the specifications or instructions that must be followed during project performance?

    a. Project Deliverables
    b. Requirements (Lesson no 17 Page no 131 Handouts)
    c. Constraints
    d. Strategies

40. Which of the following is an analytical tool used during the project planning process, shows how a business would operate under an explicitly stated set of assumptions?

a. Project Plan
b. Scope statement
c. Feasibility Study (Lesson no 8 Page no 67 Handouts)
d. Work Breakdown Structure

41. Which of the following is essentially a process for determining the viability of a proposed initiative or service and providing a framework and direction for its development and delivery?

a. Project Plan
b. Scope statement
c. Feasibility Study (Lesson no 9 Page no 73 Handouts)
d. Work Breakdown Structure

42. All of the following are examples of Inquiry documents EXCEPT: **Page 108**

a. Project Organization
b. Schedule
c. Project Controls
d. Request for Proposal (RFP)

43. Which of the following refers to the idealized version of the problem that results?

a. Modeling the Problem
b. Decision aiding models
c. Stochastic Models
d. Model (Lesson no 11 Page no 90 Handouts)

44. Which of the following is designed to provide an overview of the primary issues related to a business idea?

a. Project Plan
b. Scope statement
c. Feasibility Study (Lesson no 9 Page no 73 Handouts)
d. Work Breakdown Structure

45. The level at which the project is managed is generally called

a. Top Level
b. Initial Level
c. Work package Level (Lesson no 22 Page no 153 Handouts)
d. Secondary Level

46. Which of the following phases can also be referred as the design phase?

a. Concept phase
b. Development phase
c. Implementation phase
d. Acquisition phase

47. Which of the following is a product-oriented family tree subdivision of the hardware, services, and data required to produce the end product?

a. Statement of work (SOW)
b. Project Specifications
c. Milestone schedule
d. Work breakdown Structure (WBS) (Lesson no 22 Page no 151 Handouts)

48. Which of the following is involved in economic feasibility?

a. Benefit-cost analysis b. Breakeven analysis

c. Tangible and intangible aspects

d. All of the given options (Lesson no 8 Page no 70 Handouts)

49. For projects internal to the company, the Statement of Work (SOW) is prepared by which of the following?

a. Contractor
b. Line Manager
c. Functional Manager
d. Project Office (Lesson no 21 Page no 147 Handouts)

50. A Gantt chart is useful in determining_____.

a. The level of effort for a task.
b. **When a task starts and stops**.
c. Which are the critical tasks.
d. Who is assigned to do a task

51. Which of the following statements gives the definition of Project Plan? **PPT 15**

a. Working out of sub-components in some degree of detail
b. To cover area of government legislation & regulation related to "use of resources"
c. "Planned use of any /all resources". Succession of five year plans
d. Structured sequence of events leading to desired set of objectives.

52. In which of the following phases, the project's scope and objectives are determined? **Page 66**

a. Conceptual
b. Development
c. Implementation
d. Close-out

53. Which of the following is a process to determine the viability of a project, and provides a framework and direction for its development and delivery? **Page 73**

a. Project Plan
b. Scope statement
c. Feasibility Study
d. Work Breakdown Structure

54. Which of the following is the objective of the kick-off meeting? **PPT 13**

a. Establishing working relationships within the team
b. Setting goals and objectives for the team
c. Identifying project problem areas
d. All of the given options

55. Which of the following is what system does and includes system design, reliability, quality, maintainability, and reparability?

a. Performance (Lesson no 17 Page no 132 Handouts)
b. Effectiveness
c. Constraints
d. Strategies

56. Which of the following should not be conducted as a forum merely to support a desire that the project will be successful?

a. Project Plan
b. Scope statement
c. Feasibility Study (Lesson no 9 Page no 75 Handouts)
d. Work Breakdown Structure

57. Fredrick Taylor's major concerns were all of the following, EXCEPT:

a. To increase efficiency in production
b. To decrease cost
c. To raise profits through higher productivity
d. To decrease the salaries of the workers (Lesson no 1 Page no 1 Handouts)

58. Which of the following statements gives the Technical definition of Project Planning? **PPT 15**

a. Working out of sub-components in some degree of detail

b. To cover area of government legislation & regulation related to "use of resources"

c. "Planned use of any /all resources"- Succession of five year plans

d. Structured sequence of events leading to desired set of objectives

The term planning implies the working out of sub-components in some degree of elaborate detail. Broader-brush enunciations of objectives may qualify as metaphorical roadmaps. Planning literally just means the creation of a plan; it can be as simple as making a list. It has acquired a technical meaning, however, to cover the area of government legislation and regulations related to the use of resources.

59. All of the following are internal operating variables for strategic planning in the tire industry EXCEPT:

a. Product Changes
b. Research & Development
c. Volume (Economies of Scale)
d. Capacity of Plants (Lesson no 20 Page no 143 Handouts)

60. All of the following are life cycle phases used in engineering EXCEPT:

a. Start-up

b. Definition

c. Formation (Lesson no 20 Page no 144 Handouts)

d. Termination

61. The best way to control creeping scope is with a good definition of which of the following?

a. Specifications
b. Requirements (Lesson no 21 Page no 148 Handouts)
c. Milestones
d. Statement of Work (SOW)

62. The Kala Bagh Dam project could not be started because it was not feasible_____.

a. Politically
b. Legally
c. Economically
d. Socially

63. Which of the following life cycle phases is also called "defining the requirements"?

a. Conceptualization
b. Feasibility
c. Preliminary planning (Lesson no 20 Page no 145 Handouts)
d. Detail planning

64. "If your Proposal is not selected, you determine where you went wrong". This strategy is known as:

a. Postmortem (Lesson no 14 Page no 115 Handouts)
b. Response
c. Disclosure
d. Creativity

65. Which of the following is also referred as net present value method?

a. Discounted Cash Flow Page 99
b. Pay Back Period
c. Discounted Cash Flow
d. Internal Rate of Return

66. Between projects A and B, project A will be considered a superior financial undertaking if it has:

a. A shorter payback period than project B.
b. A lower average rate of return than project B.
c. A lower net present value than project B.
d. A longer payback period than project B.

67. Which of the following is a preliminary analysis done to determine what will be required to satisfy the need?

a. Need analysis

b. Process Work (Lesson no 9 Page no 75 Handouts)

c. Engineering & Design

d. Cost Estimate

68. Which of the following presents the risks and returns associated with the project so the prospective members can evaluate them?

a. Project Plan

b. Scope statement

c. Feasibility Study (Lesson no 9 Page no 74 Handouts)

d. Work Breakdown Structure

69. A project manager is using the internal rate of return method to make the final decision on which project to undertake. Which of these four projects have the highest internal rate of return?

a. $25,000 initial outlay with $10,000 cash inflows during the following five years
b. $12,500 initial outlay with $10,000 cash inflows during the following five years (Google)
c. $25,000 initial outlay with $5,000 cash inflows during the following five years
d. $12,500 initial outlay with $5,000 cash inflows during the following five years

70. Which of the following skills should be possessed by Proposal Publication Staff for preparing future proposals?

a. Editing
b. Use of word Processing
c. Preproduction equipment
d. All of the given options (Lesson no 13 Page no 108 Handouts)

71. Which of the following is the first step in the process of defining the actual scope of a project? **Page 66**

a. Project Conception
b. Feasibility analysis
c. Scope statement
d. Project Planning

72. All of the following are the goals of project planning EXCEPT: **Page 119**

a. To develop expertise in a given area

b. To become competitive

c. To modify an existing facility for later use

d. To prepare work breakdown structure

73. Which of the following is the discount rate that equates the present values of the two sets of flows?

a. Discounted Cash Flow
b. Pay Back Period
c. Discounted Cash Flow
d. Internal Rate of Return

Internal Rate of Return (IRR):
If we have a set of expected cash inflows and cash outflows, the internal rate of return is the discount rate that equates the present values of the two sets of flows.

74. Which of the following refers to a narrative description of the work to be accomplished?

a. The statement of work (SOW) Page 210
b. The project specifications
c. The milestone schedule
d. The work breakdown structure (WBS)

75. Which of the following activities is performed by Project Administration Manager?

a. **Office Services (PPT 7)**
b. Contract Plan
c. Expediting
d. Inspection

76. Which of the following statements is TRUE for Work breakdown Structure (WBS)?

a. Project Manager must structure work into small elements that are manageable
b. Project Manager must structure work into small elements that are independent
c. Project Manager must structure work into small elements that are measurable
d. All of the given options (Lesson no 22 Page no 151 Handouts)

77. Which of the following refers to "a specification of series of actions, acts or operations, which have to be executed in the same manner in order to always obtain the same result in the same circumstances"?

a. Policy

b. Procedure

c. Standard

d. Decision

78. All of the following are life cycle phases used in construction EXCEPT:

a. Data gathering and procedures

b. Construction

c. Testing

d. Implementation **(Lesson no 20 Page no 144 Handouts)**

79. Which of the following information is required for plan of execution?

a. Scope of work to be performed

b. Preliminary Cost Estimates

c. Site Visitation Report

d. All of the given options **(lesson no 15 Page no 121 Handouts)**

80. Which of the following creates an environment in which there exists a continuous stream of successfully managed projects and where success is measured by what is in the best interest of both the company and the project (i.e. the customer)?

a. Organizational Effectiveness **b. Organizational Excellence (Page 27)**

c. Organizational Support d. Organizational efficiency

81. In which of the following phases, comparative analyses of different options are made? **(Page 67)**

a. Preliminary Formulation of the Alternatives
b. Definition of the Requirement of Opportunity
c. Initial Selection
d. Project Termination

82. A group of elements, either human or nonhuman, that are organized and arranged in such a way that the elements can act as a whole toward achieving some common goal, objective, or end is called: **(Page 25)**

a. A Program
b. A system
c. A project
d. A Discipline

83. The three general preconditions for achieving lasting success as a project manager are: **Handouts page no.19**

a. Technical Skills, Ability, Human Skills and Design Skill
b. Ability, Motivation to manage and Opportunity
c. Motivation to manage, Opportunity and Conceptual Skill
d. Ability, Capacity and Supervision

84. The project manager is responsible for coordinating and integrating activities across multiple functional lines. In order to do so, the project manager needs all of the following EXCEPT: **(Doubtful)**

a. Strong communicative and interpersonal skills

b. Familiarity with the operations of each line organization

c. General knowledge of the technology being used

d. *Understanding of various organizational structures / Organizational structures can just be given as well.

85. Which of the following involves the capability of the project organization to raise the appropriate funds needed to implement the proposed project?
(Page 71)

a. Technical Feasibility
b. Managerial Feasibility
c. Economic Feasibility
d. Financial Feasibility

86. Which of the following is a key barrier to team development?

a. A strong matrix management structure
b. When major problems delay the project completion date or budget targets
c. When team members are accountable to both functional and project managers
d. When formal training plans cannot be implemented

87. Which of the following best defines the "Controlling" function of Management?

a. The process of setting objectives in any project & then determining what should be done to accomplish them.
b. The process of assigning tasks, allocating resources, & arranging coordinated activities to implement plans.
c. The process of arousing enthusiasm and directing HR efforts toward project/organizational goals.
d. The process of measuring performance and taking action to ensure desired results in any project. **PPT 1**

88. Which of the following activities is performed by Project Engineering Manager? **(PPT 7)**

a. Unit management
b. Construction Plan
c. Temporary Works
d. Operating Manuals

89. Which of the following statements best describes the project life-cycle?

a. Project concept, project execution, and project reporting
b. Project planning, work authorization, and project reporting
c. Project planning, project control, project definition, work breakdown structure development and project termination
d. Project concept, project planning, project execution, and project close-out

90. Which of the following activities is performed by Project Administration Manager? **(PPT 7)**

a. **Office Services**
b. Contract Plan
c. Expediting
d. Inspection

91. Which of the following are mandates for the informal project management? **(PTT 4)**

a. Effective communication, effective cooperation, effective teamwork and trust
b. Excellence, Maturity, Effective cooperation and Effective teamwork
c. Maturity, Rules, Effective communication and Trust
d. Rules and regulations, effective communication and excellence

92. Which of the following requires input from a large number of functional units and usually controls vast resources? **Page 26**

a. Individual project
b. Staff project
c. Special project
d. Matrix project

93. Which of the following types of activities is more closely associated with projects rather than processes?

a. An activity that is ongoing
b. An activity that is day-to-day
c. An activity that uses existing systems
d. An activity that establishes its own work rules

94. Which of the following is NOT a project constraint? **Page 187**

a. The budget
b. The customer requirements
c. The schedule
d. The technical specifications

95. Which of the following statements best defines the Fast Tracking? **Page 45**

a. A method of project scheduling
b. Linking of a project to the ongoing operations of the performing organization
c. The overlapping of project phases
d. A method of construction

96. Projects differ from classic organizational processes because projects are:

a. Well established systems
b. Ongoing endeavors
c. Discrete activities
d. Multidimensional

97. In a matrix organization, the project manager is likely to experience: **(Doubtful)**

a. Conflict and difficulties in team building

b. Good customer relations

c. Difficulties in getting the best workers assigned to the project

d. *All of the given options

98. All of the following cause the organizational revolution/ development, EXCEPT: **(Page 28)**

a. The Technology Revolution
b. The unpredictability of consumer demand
c. The production deficiency
d. Competition and the profit squeeze

99. Which of the following is the main characteristic of a weak matrix. **(Doubtful)**

a. Team members are not fully trained to do the job.
b. The functional manager has more influence than the project manager.
c. Management reserve is rapidly being depleted
d. Re-baselining occurs frequently

100. High production costs are typically found at which of the following Project Life Cycle ?

a. Maturity phase
b. Introduction phase
c. Decline phase
d. Growth phase

101. All of the following are driving forces that lead to the need of project management, EXCEPT: **Page 17**

a. Customer expectations
b. Competitiveness
c. Capital investment
d. Passiveness

102. Which of the following are projects that can be accomplished by one organizational unit, say a department? **(Page 26)**

a. Individual projects
b. Staff projects
c. Special projects
d. Matrix or Aggregate projects

103. Which of the following is an analytical tool that shows how a business would operate under a set of assumptions? **(Page 67)**

a. Project Plan
b. Scope statement
c. Feasibility Study
d. Work Breakdown Structure

104. Which of the following are projects that require certain primary functions and/ or authority to be assigned temporarily to other individuals or units? **(Page 26)**

a. Individual projects
b. Staff projects
c. Special projects
d. Matrix or Aggregate projects

105. Which of the following is the ability to see "big picture" in order to recognize significant elements in a situation, and to understand relationships among elements? **(Page 19)**

a. Technical Skill
b. Human Skill
c. Conceptual Skill
d. Design Skill

106. Which of the following has poorly defined project methods, but has well defined end project requirements? **(Page 14)**

a. Large Engineering Project
b. *New Product Development Project
c. Software Development Project
d. Training Need Assessment Project

107. Which of the following refers to exchanging routine information and processing paper work?

a. Traditional Management
b. Communication (Lecture no 3 Page no 18 Handouts)
c. Human Resource Management
d. Networking

108. Which of the following involves a detailed technical study of the proposed project? **Page 76**

a. Need analysis
b. Process Work
c. Engineering & Design
d. Cost Estimate

109. All of the following are the examples of a project EXCEPT:

a. The development and introduction of a new services
b. The development of a management information system
c. The introduction of an improvement to an existing process
d. Re-stocking of a retailer's shelves after a day of brisk sales

110. Which of the following is not a characteristic of a project?

a. Projects are responsible for the new and improved products, services, and organizational processes.
b. Projects are ad-hoc endeavors with a clear life cycle.
c. Projects provide a philosophy and strategy for the management of change.
d. Traditional process management functions of planning, organizing, and controlling do not apply to projects.

111. All of the following are activities of Project Procurement Manager EXCEPT: **PPT 7**

a. Purchase Orders
b. Material Control
c. Contract Plan
d. Process Liaison

112. According to Project Management Body of Knowledge (PMBOK), a program is defined as: **(Google)**

a. A group of projects managed in a coordinated way to obtain benefits not available from managing them individually
b. A number of sub-projects divided into manageable components enabling a project team to ensure the completion of a desired outcome.
c. A project plan developed by key management personnel to obtain a desired outcome
d. The means to subdivide the project into manageable segments

113. Which of the following permits planners to outline their ideas on paper before implementing them? **(Page 74)**

a. Project Proposal
b. Scope statement
c. Feasibility Study
d. Work Breakdown Structure

114. Which of the following is the ability to solve problems in such ways that benefit the organization?

a. Technical Skill
b. Human Skill
c. Conceptual Skill
d. Design Skill (Lecture no 3 Page no 19 Handouts)

115. Which of the following involves a firm identification of the required resources along with the establishment of realistic time, cost, and performance parameters? **(Page 37)**

a. Conceptual Phase

b. Planning Phase

c. Testing Phase

d. Implementation Phase

116. Which of the following activities is performed by Project Engineering Manager?

a. Unit Management
b. Construction Plan
c. Temporary Works
d. Operating Manuals

117. Which of the following best defines the "Organizing" function of Management?

a. The process of setting objectives in any project & then determining what should be done to accomplish them.
b. The process of assigning tasks, allocating resources, & arranging coordinated activities to implement plans. Page 3
c. The process of arousing enthusiasm and directing HR efforts toward project/organizational goals.
d. The process of measuring performance and taking action to ensure desired results in any project.

118. In the twenty-first century, the four functions of management are:

a. monitoring, organizing, suggesting, and accommodating employees.
b. planning, organizing, controlling, and leading employees.
c. planning, organizing, suggesting, and accommodating employees.
d. monitoring, suggesting, journaling, and accommodating employees.

119. All of the following are the characteristics of a project, EXCEPT: **(Page 7)**

a. A start and an end
b. A multi-disciplinary team brought together
c. Constraints of cost, time and quality
d. A scope of work that is not unique

120. Which of the following best defines the "Leading" function of Management?

a. The process of setting objectives in any project & then determining what should be done to accomplish them.
b. The process of assigning tasks, allocating resources, & arranging coordinated activities to implement plans.
c. The process of arousing enthusiasm and directing HR efforts toward project/organizational goals. Page 3
d. The process of measuring performance and taking action to ensure desired results in any project.

121. Which of the following addresses the management and organizational structure of the project? **Page 70**

a. Technical Feasibility
b. Managerial Feasibility
c. Economic Feasibility
d. Financial Feasibility

122. Which of the following statements is true about Feasibility Study? **Page 73**

a. Feasibility Study is driven by research and analysis
b. Feasibility Study usually involves some form of consultation with stakeholders, community, users, etc.
c. Feasibility Study focuses on analyzing, clarifying and resolving key issues and areas of concern or uncertainty
d. All of the given options

1. The level at which the project is managed is generally called

a. Top Level
b. Initial Level
c. Work package Level (Lesson no 22 Page no 153 Handouts)
d. Secondary Level

2. Which of the following phases can also be referred as the design phase? **(Doubtful)**

a. Concept phase
b. Development phase
c. Implementation phase
d. Acquisition phase

3. Which of the following is a product-oriented family tree subdivision of the hardware, services, and data required to produce the end product?

a. Statement of work (SOW)
b. Project Specifications
c. Milestone schedule
d. Work breakdown Structure (WBS) (Lesson no 22 Page no 151 Handouts)

4. Which of the following is involved in economic feasibility?

a. Benefit-cost analysis

b. Breakeven analysis

c. Tangible and intangible aspects

d. All of the given options (Lesson no 8 Page no 70 Handouts)

5. For projects internal to the company, the Statement of Work (SOW) is prepared by which of the following?

a. Contractor
b. Line Manager
c. Functional Manager
d. Project Office (Lesson no 21 Page no 147 Handouts)

6. A Gantt chart is useful in determining_____.

a. The level of effort for a task.
b. When a task starts and stops.
c. Which are the critical tasks.
d. Who is assigned to do a task

7. Which of the following is the ability to work with people, making cooperative effort, teamwork, make them feeling secure and free to express their opinions?

a. Technical Skill
b. Human skill (Lesson no 3 Page no 19 Handouts)
c. Conceptual skill
d. Design skill

8. To be effective as a project manager, an individual must have:

a. Management skills b. Technical skills
c. Leadership skills
d. All of the given options
Note: Focus on the underline word individual.

9. Which of the following statements gives the definition of Project Plan? **PPT 15**

a. Working out of sub-components in some degree of detail
b. To cover area of government legislation & regulation related to "use of resources"
c. "Planned use of any /all resources". Succession of five year plans
d. Structured sequence of events leading to desired set of objectives.
10. Which of the following is designed to provide an overview of the primary issues related to a business idea?

a. Project Plan
b. Scope statement
c. Feasibility Study (Lesson no 9 Page no 73 Handouts)
d. Work Breakdown Structure

11. In which of the following phases, the project's scope and objectives are determined? **Page 66**

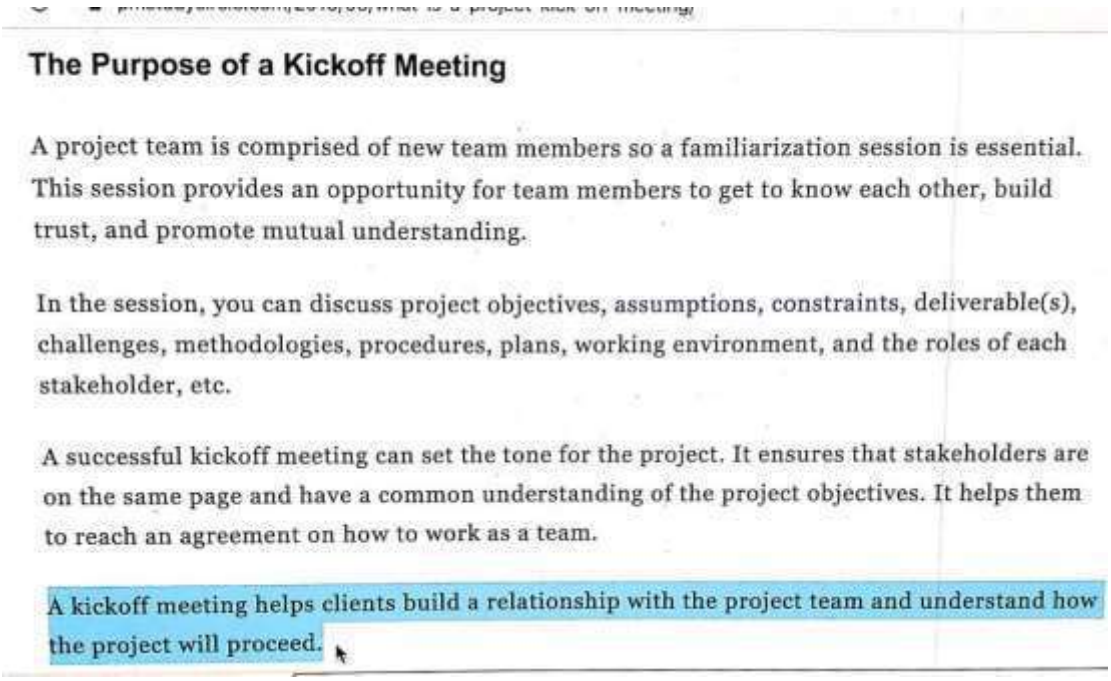
a. Conceptual
b. Development
c. Implementation
d. Close-out

12. Which of the following is a process to determine the viability of a project, and provides a framework and direction for its development and delivery? **Page 73**

a. Project Plan
b. Scope statement
c. Feasibility Study
d. Work Breakdown Structure

13. Which of the following is the objective of the kick-off meeting? **PPT 13**

a. Establishing working relationships within the team
b. Setting goals and objectives for the team
c. Identifying project problem areas
d. All of the given options



The Purpose of a Kickoff Meeting

A project team is comprised of new team members so a familiarization session is essential. This session provides an opportunity for team members to get to know each other, build trust, and promote mutual understanding.

In the session, you can discuss project objectives, assumptions, constraints, deliverable(s), challenges, methodologies, procedures, plans, working environment, and the roles of each stakeholder, etc.

A successful kickoff meeting can set the tone for the project. It ensures that stakeholders are on the same page and have a common understanding of the project objectives. It helps them to reach an agreement on how to work as a team.

A kickoff meeting helps clients build a relationship with the project team and understand how the project will proceed.

14. Which of the following is what system does and includes system design, reliability, quality, maintainability, and reparability?

a. Performance (Lesson no 17 Page no 132 Handouts)
b. Effectiveness
c. Constraints
d. Strategies

15. After Initial feasibility analysis, the next step is to prepare:
PPT 15

a. Project Plan
b. Scope statement
c. System Proposal
d. Work Breakdown Structure

16. Which of the following involves motivation, disciplining, managing conflict, staffing, and training?

a. Traditional Management
b. Communication
c. Human Resource Management (Lesson no 3 Page no 18 Handouts)
d. Networking

17. Which of the following should not be conducted as a forum merely to support a desire that the project will be successful?

a. Project Plan
b. Scope statement
c. Feasibility Study (Lesson no 9 Page no 75 Handouts)
d. Work Breakdown Structure

18. Fredrick Taylor's major concerns were all of the following, EXCEPT:

a. To increase efficiency in production
b. To decrease cost
c. To raise profits through higher productivity
d. To decrease the salaries of the workers (Lesson no 1 Page no 1 Handouts)

19. Which of the following statements gives the Technical definition of Project Planning? **PPT 15**

a. Working out of sub-components in some degree of detail

b. To cover area of government legislation & regulation related to "use of resources"

c. "Planned use of any /all resources"- Succession of five year plans

d. Structured sequence of events leading to desired set of objectives

The term planning implies the working out of sub-components in some degree of elaborate detail. Broader-brush enunciations of objectives may qualify as metaphorical roadmaps. Planning literally just means the creation of a plan; it can be as simple as making a list. It has acquired a technical meaning, however, to cover the area of government legislation and regulations related to the use of resources.

20. All of the following are internal operating variables for strategic planning in the tire industry EXCEPT:

a. Product Changes
b. Research & Development
c. Volume (Economies of Scale)
d. Capacity of Plants (Lesson no 20 Page no 143 Handouts)

21. All of the following are life cycle phases used in engineering EXCEPT:

a. Start-up
b. Definition
c. Formation (Lesson no 20 Page no 144 Handouts)
d. Termination

22. Which of the following includes the preliminary evaluation of an idea?

a. Conceptual Phase (Lesson no 5 Page no 37 Handouts)
b. Planning Phase
c. Testing Phase
d. Implementation Phase

23. The best way to control creeping scope is with a good definition of which of the following?

a. Specifications

b. Requirements (Lesson no 21 Page no 148 Handouts)

c. Milestones

d. Statement of Work (SOW)

24. The Kala Bagh Dam project could not be started because it was not feasible_____.

a. Politicaly
b. Legally
c. Economically
d. Socially

25. Which of the following life cycle phases is also called "defining the requirements"?

a. Conceptualization b. Feasibility
c. Preliminary planning (Lesson no 20 Page no 145 Handouts)
d. Detail planning

26.Which of the following activities is performed by Project Administration Manager?

a. Office Services (PPT 7) b. Contract Plan

c. Expediting d. Inspection

27. Which of the following refers to "a specification of series of actions, acts or operations, which have to be executed in the same manner in order to always obtain the same result in the same circumstances"?

a. Policy

b. Procedure (Lecture no 18 Page no 139 Handouts)

c. Standard

d. Decision

28. Which of the following statements is TRUE for Work breakdown Structure (WBS)?

a. Project Manager must structure work into small elements that are manageable

b. Project Manager must structure work into small elements that are independent

c. Project Manager must structure work into small elements that are measurable

d. All of the given options (Lesson no 22 Page no 151 Handouts)

29. All of the following are life cycle phases used in construction EXCEPT:

a. Data gathering and procedures

b. Construction

c. Testing

d. Implementation (Lesson no 20 Page no 144 Handouts)

30. Which of the following information is required for plan of execution?

a. Scope of work to be performed

b. Preliminary Cost Estimates

c. Site Visitation Report

d. All of the given options (lesson no 15 Page no 121 Handouts)

31. The necessary information required at effective planning stage includes:

a. Statement of work (SOW)

b. Project Specifications

c. Milestones schedule

d. All of the given options (Lecture no 15 Page no 120 Handouts)

32. In which of the following approaches, project is characterized in mathematical model to estimate costs?

a. Top Down Approach

b. Bottom Up Approach

c. Parametric Approach (Lesson no 41 Page no 326 Handouts)

d. Computerized Approach

33. All of the following are driving forces that lead to the need of project management, EXCEPT: **(Lesson no 3 Study Page no 17**

a. Customer expectations
b. Competitiveness
c. Capital investment
d. Passiveness

34. All of the following are examples of Inquiry documents EXCEPT:

a. Project Organization
b. Schedule
b. Project Controls
d. Request for Proposal (RFP) (PPT 13 Page no 359)

35. Which of the following is also known as benefit to cost ratio?

a. Discounted Cash Flow

b. Pay Back Period

c. Future Cash Flow

d. Profitability Index (Page 101

36. First Major Step in Planning Process after Project Requirements definition is to develop: **Page 151**

a. Statement of work (SOW)
b. Project Specifications

c. Milestones schedule

d. Work breakdown Structure (WBS) (PPT Page no 685)

37. In which of the following ingredient for winning proposal, the manager produces something new to set apart from the competition?

a. Message
b. Response
c. Disclosure
d. Creativity (Lesson no 14 Page no 114 Handouts)

38. Which of the following is calculated as the initial fixed investment in the project divided by the estimated annual net cash inflows from the project?

a. Discounted Cash Flow
b. Pay Back Period (Lesson no 12 Page no 98 Handouts)
c. Discounted Cash Flow
d. Internal Rate of Return

39. All of the following are relevant factors of competitive bids EXCEPT:

a. Schedule
b. Financial Stability
c. Financing Offer
d. Ease of minor changes adopted (PPT 14 Page no 390)

40. Which of the following life cycle phases includes brainstorming and common sense at planning stage? **Page 145**

a. Conceptualization
b. Feasibility
c. Preliminary planning
d. Detail planning

As the name suggests, the conceptualization phase includes brainstorming and common sense and involves two critical factors:

1. Identify and define the problem, and

2. Identify and define potential solutions

41. Which of the following is the discount rate that equates the present values of the two sets of flows? **Page 101**

a. Discounted Cash Flow
b. Pay Back Period
c. Discounted Cash Flow
d. Internal Rate of Return

Internal Rate of Return (IRR):

If we have a set of expected cash inflows and cash outflows, the internal rate of return is the discount rate that equates the present values of the two sets of flows.

42. If a model is suggested by a senior and powerful official in the organization, it is called

a. Sacred Cow Model (Lesson no 11 Page no 95 Handouts)

b. Operating Model

c. Competitive Model

d. Compulsive Model

43. Which of the following describes both managerial and technical approaches to work?

a. Introduction
b. General Approach (Lesson no 17 Page no 128 Handouts)
c. Contractual Aspects
d. Schedules

44. Which of the following is also called System Engineering?
Page 132

a. System Implementation

b. System Testing

c. System Evaluation

d. System Integration (PPT 17Page no 509)

45. Which of the following has poorly defined project methods, but has well defined end project requirements?

a. Large Engineering Project
b. New Product Development Project (Lesson no 2 Page no 14 Handouts)
c. Software Development Project
d. Training Need Assessment Project

46. Which of the following may include known technical limitations, financial ceilings, or schedule “drop dead” dates?

a. Project Deliverables

b. Requirements

c. Constraints (Lesson no 17 Page no 131 Handouts)

d. Strategies

VIRTUAL UNIVERSITY OF PAKISTAN

MGMT 627 - Project Management

Important Objective Type for Mid-Term

1. All of the following are the characteristics of a project, EXCEPT:

- ► A start and an end
- ► A multi-disciplinary team brought together for the project
- ► Constraints of cost, time and quality
- ► **A scope of work that is not unique and involves confidence**

2.Which of the following statement is TRUE about time spent by Project managers' while

- ► they are on training?
- ► Experimental learning, on-the-job **60%**
- ► Formal education & special courses **10%**
- ► **Professional activities, seminars 20% not sue**
- ► Readings **20%**

3. Which of the following permits planners to outline their ideas on paper before

- ► implementing them?
- ► Project Proposal
- ► Scope statement
- ► **Feasibility Study**
- ► Work Breakdown Structure

4. After Initial feasibility analysis, the next step is to prepare:

- ► **Project Plan**
- ► Scope statement
- ► System Proposal
- ► Work Breakdown Structure

5. A Gantt chart is useful in determining

- ► The level of effort for a task
- ► When a task starts and stops
- ► **How tasks are related to each other**
- ► Who is assigned to do a task

6. Which of the following creates an environment in which there exists a continuous stream of successfully managed projects and where success is measured by what is in the best interest of both the company and the project (i.e. the customer)?

- ► Organizational Effectiveness
- ► **Organizational Excellence**
- ► Organizational Support
- ► Organizational efficiency

7. Which of the following is involved in economic feasibility?

- ► Benefit-cost analysis
- ► Breakeven analysis
- ► Tangible and intangible aspects
- ► **All of the given options**

8. In which of the following typical Engineering, Procurement and Construction proposal contents, conditions of request for proposal (RFP) are summarized?

- ► **Introduction & Summary**
- ► Project Description
- ► Scope of Services
- ► Work Plan & Schedule

9. Which of the following is not a characteristic of a project? Projects are responsible for the newest and most improved products, services, and organizational processes.

- ► Projects are ad-hoc endeavors with a clear life cycle.
- ► Projects provide a philosophy and strategy for the management of change.
- ► **Traditional process management functions of planning, organizing, and controlling**
- ► **do not apply to project management.**

10. Which of the following is a common character-

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istic of most project life cycle descriptions?

► Cost and staffing are low at the start, higher towards the end, and drop rapidly as the project nears completion.

► The probability of successfully completing the project is highest at the start of the project.

► Stakeholders have the most influence on the final characteristics of the product at the end of the project.

► With declining demand for a product and a saturated market, profits, sales volume, and prices are all sky scraping.

. Which of the following is NOT a project constraint?

► The budget

► The customer requirements

► The schedule

► **The technical specifications**

11. All of the following are advantages of numeric models EXCEPT:

► The undiscounted models are simple to use and understand.

► All use readily available accounting data to determine the cash flows.

► Model output is in terms familiar to business decision makers.

► **The internal rate of return model can result in multiple solutions.**

12. A collection of generally sequential project phases whose name and number are determined by the control needs of the organization or organizations involved in the project, is called:

► **Project life cycle**

► Product life cycle

► Project life event

► Procurement life cycle

13. Which of the following are mandates for the informal project management?

► **Effective communication, effective cooperation, effective teamwork and trust**

► Excellence, Maturity, Effective cooperation and Effective teamwork

► Maturity, Rules, Effective communication and Trust

► Rules and regulations, effective communication and excellence

14. Which of the following is essentially a process for determining the viability of a proposed initiative or service and providing a framework and direction for its development and

► delivery?

► Project Plan

► Scope statement

► **Feasibility Study**

► Work Breakdown Structure

15. Which of the following has poorly defined project methods, but has well defined end project requirements?

► Large Engineering Projects

► **Product Development, Early Space Project**

► Software Development Projects

► OD, Vision, Training Assessment

16. Which of the following approaches is also called Similar Approach or Analogous Approach?

► **Top Down Approach**

► Bottom Up Approach

► Parametric Approach

► Computerized Approach

17. All of the following should be included in the Preliminary Assignment part of preproposal for specific proposals EXCEPT:

► Proposal Publications/ Technical Support Personnel

► Lead Estimator/Lead Scheduler

► Key Technical Personnel

► **Project Controls**

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18. **Which of the following statement is TRUE about time spent by Project managers while** they are on training?

- ► Experimental learning, on-the-job **10%**
- ► Formal education & special courses **60%**
- ► **Professional activities, seminars 20% not sure**
- ► Readings **10%**

19. **"A construction firm can select the best subset of a large group of potential projects on which to bid" is an example of which of the following?**

- ► **Project Selection**
- ► Project evaluation
- ► Project implementation
- ► Project Execution

20. **"Building a wall to avoid the flood water" is an example of which of the following?**

- ► Sacred Cow
- ► **The Operating Necessity**
- ► The Competitive Necessity
- ► The Product Line Extension

21. **Which of the following statements is the definition of the project given by the Project** Management Institute of USA?

- ► A process of considerable scope that implements a plan
- ► **A group of ideas managed in a coordinated way to obtain a desired outcome not sue**
- ► A temporary endeavor undertaken to create a unique product or service
- ► A collection of activities with a beginning and an end

22. **Which of the following indicates recognition of a need for the project?**

- ► **Need analysis**
- ► Process Work
- ► Engineering & Design
- ► Cost Estimate

23. **"If your Proposal is not selected, you determine where you went wrong". This strategy is**

- ► known as:
- ► **Postmortem**
- ► Response
- ► Disclosure
- ► Creativity

24. **Which of the following is essentially a process for determining the viability of a proposed** initiative or service and providing a framework and direction for its development and delivery?

- ► Project Plan
- ► Scope statement
- ► **Feasibility Study**
- ► Work Breakdown Structure

25. **A collection of generally sequential project phases whose name and number are** determined by the control needs of the organization or organizations involved in the project, is called:

- ► **Project life cycle**
- ► Product life cycle
- ► Project life event
- ► Procurement life cycle

26. **Which of the following are short-duration projects normally assigned to a single** individual who may be acting as both a project manager and a functional manager?

- ► **Individual projects**
- ► Staff projects
- ► Special projects
- ► Matrix or Aggregate projects

27. **Which of the following is also referred to as net present value method?**

- ► **Discounted Cash Flow**
- ► Pay Back Period
- ► Discounted Cash Flow

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► Internal Rate of Return

28. All of the following factors affect the estimation decision EXCEPT:

► Size of Project

► Size of Team

► **Past Experience**

► Length of Schedule

29. All of the following are internal operating variables for strategic planning in the tire industry EXCEPT:

► Product Changes

► Research & Development

► **Volume (Economies of Scale)**

► Capacity of Plants

30. Which of the following managers develop operational plans for the project?

► Top Managers

► Middle Manager

► **Line Managers**

► Supervisors

31. Which of the following refers to "a specification of series of actions, acts or operations, which have to be executed in the same manner in order to always obtain the same result

in the same circumstances"?

► Policy

► **Procedure**

► Standard

► Decision

32. The project manager is responsible for coordinating and integrating activities across multiple, functional lines. In order to do so, the project manager needs all of the following EXCEPT:

► Strong communicative and interpersonal skills

► Must become familiar with the operations of each line organization

► Should have a general knowledge of the technology being used

► **Organizational structures**

33. Which of the following statements regarding project selection is best?

► Decision models must contain either objective or subjective factors.

► Organizational reality can be perfectly captured by most decision-making models.

► **Before selecting any project, the team should identify all the relevant issues that play a role in project selection.**

► Every decision model has both objective and subjective factors.

34. Which of the following items involves the quantitative aspects of planning?

► **Budget development**

► Project administration

► Leadership styles

► Conflict management

35. Which of the following should not be conducted as a forum merely to support a desire that the project will be successful?

► Project Plan

► Scope statement

► **Feasibility Study**

► Work Breakdown Structure

36. Who among the following is responsible to verify all activities of a project?

► **Management office**

► Program office

► Functional office

► Finance office

37. Which of the following is a key barrier to team development?

► **A strong matrix management structure**

► When major problems delay the project com-

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pletion date or budget targets

► When team members are accountable to both functional and project managers

► When formal training plans cannot be implemented

38. Which of the following statements is TRUE for top level managers?

► They engage themselves chiefly in strategic planning

► They answer such questions as "What is the purpose of this organization?"

► They clarify the mission of the organization and set its goals

► **All of the given options**

39. In a matrix organization, the project manager is likely to experience:

► **Conflict and difficulties in team building**

► Good customer relations

► Difficulties in getting the best workers assigned to the project

► **All of the given options**

40. Which of the following presents the risks and returns associated with the project so the

► prospective members can evaluate them?

► Project Plan

► Scope statement

► **Feasibility Study**

► Work Breakdown Structure

41. In which of the following approaches, Spreadsheets and project management softwares are used to estimate cost?

► Top Down Approach

► Bottom Up Approach

► Parametric Approach

► **Computerized Approach**

42. Which of the following is a plan that shows how money will be spent over a certain period of time?

► Cost Allocation

► **Budget**

► Financing

► Cost centers

43. Which of the following describes both managerial and technical approaches to work?

► Introduction

► **General Approach**

► Contractual Aspects

► Schedules

44. Which of the following refers to "Planned expenditures required to achieve or exceed objectives"?

► Objective

► Program

► Schedule

► **Budget**

45. Which of the following is a barrier against effective proposal?

► Required elements missing

► Unrealistic goals & objectives

► Excessive jargon

► **All of the given options**

46. Which of the following types of activities is more closely associated with projects rather than processes?

► An activity that is ongoing

► **An activity that is day-to-day**

► An activity that uses existing systems

► An activity that establishes its own work rules

47. For completing schedule of large programs, input is required from which of the following?

► Program manager

► Project manager

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► Functional management

► Operational management

48. All of the following are the examples of a project EXCEPT:

► The development and introduction of a new services

► The development of a management information system

► The introduction of an improvement to an existing process

► A retailer re-stocks the shelves after a day of brisk sales.

49. Which of the following is the suitable level of accuracy in case cost estimate?

► -5% to +5%

► -5% to +10%

► -5% to +15%

► -5% to +20%

50. Which of the following is a plan that shows how money will be spent over a certain period of time?

► Cost Allocation

► Budget

► Financing

► Cost centers

51. Which of the following is essentially a process for determining the viability of a proposed initiative or service and providing a framework and direction for its development and delivery?

► Project Plan

► Scope statement

► Feasibility Study

► Work Breakdown Structure

52. All of the following are purposes of the life cycle phase at planning stage EXCEPT:

► Plan the project development and implementation activities

► Estimate the probable elapsed time, staffing, and equipment requirements

► Identify the probable costs and consequences of investing in the new project

► Support equipment for contract end-item

53. All of the following are important functions of the kick-off meeting EXCEPT:

► To identify project goals

► To introduce the players

► To present the project charter

► To present the detailed plan

54. Which of the following contains more detailed statement of general goals noted in overview?

► Introduction

► General Approach

► Contractual Aspects

► Schedules

55. In which of the following phases, the company calls upon the experience and creativity of its technicians, manager and directors to generate an adequate group of alternatives to fulfill the expressed need?

► Preliminary Formulation of the Alternatives

► Definition of the Requirement of Opportunity

► Initial Selection of Alternatives

► Project Termination Phase

56. Which of the following is a use of Work breakdown structure?

► Cost control standard

► Risk cost control

► Reporting

► Work project

57. Scope of a project is the ..... total of all of a project's products and their requirements or features

► Sum

► Product

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► Sum and product

► None of the above

58. Which of the following is an advantage of centralized contracting?

► Gives easier access to contracting expertise

► Increases company expertise in contracting

► Gives more loyalty to the project

► Allows a contracts person to work on a single project

59. Risks will be identified during which risk management process(es)?

► Quantitative risk analysis and risk identification

► **Risk identification and risk monitoring and control**

► Qualitative risk analysis and risk monitoring and control

► Risk identification

60. The highest point of Maslow's hierarchy of needs is:

► physiological satisfaction.

► **attainment of survival.**

► need for association.

► esteem.

61. Who is ultimately responsible for quality management on the project?

► Project engineer

► Project manager

► Quality manager

► **Team member**

62. A heuristic is best described as a:

► control tool.

► **scheduling method.**

► planning tool.

► rule of thumb.

63. If earned value (EV) = 350, actual cost (AC) = 400, planned value (PV) = 325, what is cost variance (CV)?

► **350**

► **-75**

► **400**

► **-50**

64. A project manager has just been assigned to a new project and has been given the preliminary project scope statement and the project charter. The first thing the project manager must do is:

► create a project scope statement.

► confirm that all the stakeholders have had input into the scope.

► analyze project risk.

► **begin work on a project management plan.**

65. You are taking over a project during the planning process group and discover that six individuals have signed the project charter. Which of the following should most concern you?

► Who will be a member of the change control board

► **Spending more time on configuration management**

► Getting a single project sponsor

► Determining the reporting structure

66. The project manager is making sure that the product of the project has been completed according to the project management plan. What part of the project management process is he in?

► Planning

► Executing

► Monitoring and controlling

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► Closing

67.The WBS and WBS dictionary are completed. The project team has begun working on identifying risks. The sponsor contacts the project manager, requesting that the responsibility assignment matrix be issued. The project has a budget of U.S. $loo,ooo and is taking place in three countries using 14 human resources. There is little risk expected for the project and the project manager has managed many projects similar to this one. What is the next thing to do?

► Understand the experience of the sponsor on similar projects.

► Create an activity list.

► Make sure the project scope is defined.

► **Complete risk management and issue the responsibility assignment matrix.**

68. Risk tolerances are determined in order to help:

► the team rank the project risks.

► **the project manager estimate the project.**

► the team schedule the project.

► management know how other managers will act on the project.

67. A project manager is employed by a construction company and is responsible for the furnishing of the completed building. One of the first things that the project manager for this project should do is to write a:

► **Work breakdown structure.**

► Budget baseline.

► Project charter.

► Project plan.

68. Your company has an emergency and needs contracted work done as soon as possible. Under these circumstances, which of the following would be the helpful to add to the contract?

► A clear contract statement of work

► Requirements as to which subcontractors can be used

► **Incentives**

► A force majeure clause

69.The "halo effect" refers to the tendency to:

► promote from within.

► hire the best.

► **move people into project management because they are good in their technical fields.**

► move people into project management because they have had project management training.

70. A project manager is trying to complete a software development project, but cannot get enough attention for the project. Resources are focused on completing process-related work and the project manager has little authority to properly assign resources. What form of organization must the project manager be working in?

► Functional

► Matrix

► **Expediter**

► Coordinator

71. All of the following are characteristics of a project EXCEPT:

► **Temporary**

► Definite beginning and end

► Interrelated activities

► Repeats itself every month

72.A team is using a fishbone diagram to help determine what quality standards will be

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used on the project. What part of the quality management process are they in?

- ► Perform quality control
- ► Perform quality assurance
- ► Quality planning
- ► **Variable analysis**

73. The equivalent of cost reimbursable contracts is frequently termed:

- ► Back charge contracts.
- ► Fixed price contracts.
- ► **Progress payment contracts.**
- ► Cost plus contracts.

74.A buyer extends a formal invitation that contains a scope of work that seeks a response that will describe the methodology and results that will be provided to the buyer. This is called:

- ► Invitation to bid.
- ► Request for information.
- ► Request for proposal.
- ► **Request for bid.**

75. A project manager must have some work done by an outside contractor. This work has a great deal of risk associated with it, and it has become very difficult to find a contractor willing to take on the job. Which of the following types of contract would offer the greatest incentive to the contractor?

- ► Cost plus percentage of cost as an award fee
- ► Cost plus fixed fee
- ► **Cost plus incentive fee**
- ► Firm fixed price

76.Purchasing insurance is considered an example of risk:

- ► **mitigation.**
- ► transfer.
- ► acceptance.
- ► avoidance.

77. A cost performance index (CPI) of 0.89 means:

- ► at this time, we expect the total project to cost **89 percent more than planned.**
- ► **when the project is completed we will have spent 89 percent more than planned.**
- ► the project is only progressing at **89 percent of that planned.**
- ► the project is only getting **89 cents out of every dollar invested.**

78.In the matrix management organization, which of the following is true?

- ► The project manager is responsible for employee skills improvement.
- ► The functional manager is responsible for employee skills improvement.
- ► The project manager is responsible for the employee.s annual appraisal.
- ► **The employee is responsible for his or her own skills improvement.**

79. Your program manager has come to you, the project manager, for help with a bid for her newest project. You want to protect your company from financial risk. You have limited scope definition. What is the BEST type of contract to choose?

- ► Fixed price (FP)
- ► **Cost plus percent of cost (CPPC)**
- ► Time and material (T&M)
- ► Cost plus fixed fee (CPFF)

80.The project management process groups are:

- ► Initiating, planning, expediting, and control.
- ► Plan, organize, develop, and control.
- ► Plan, do, observe, commit.
- ► **Initiating, planning, executing, con-**

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trolling, and closeout.

81.In which project management process group is the detailed project budget created?

- ► Initiating
- ► Before the project management process
- ► Planning
- ► **Executing**

82. Which of the following conflict resolution techniques will generate the MOST lasting solution?

- ► Forcing
- ► Smoothing
- ► **Compromise**
- ► Problem solving

83. Decomposing the major deliverables into smaller, more manageable components to provide better control is called:

- ► Scope planning.
- ► Scope definition.
- ► Scope base lining.
- ► **Scope verification.**

84. Any numbering system that is used to monitor project costs by category such as labor, supplies, or materials, for example, is called:

- ► Chart of accounts.
- ► **Work breakdown structure.**
- ► Universal accounting standard.
- ► Standard accounting practices.

85. Which of the following is NOT an input to the initiating process group?

- ► **Company processes**
- ► **The company culture**
- ► **Historical WBSs**
- ► **Project scope statement**

86. Workarounds are determined during which risk management process?

- ► Risk identification
- ► Quantitative risk analysis
- ► Risk response planning
- ► **Risk monitoring and control**

87.A person who is involved in or may be affected by the activities or anyone who has something to gain or lose by the activity of the project is called a:

- ► Team member.
- ► Customer.
- ► Stakeholder.
- ► **Supporter.**

88. Quality is:

- ► meeting and exceeding the customer's expectations.
- ► adding extras to make the customer happy.
- ► the degree to which the project meets requirements.
- ► **conformance to management's objectives.**

89. A schedule performance index (SPI) of 0.76 means:

- ► you are over budget.
- ► you are ahead of schedule.
- ► **you are only progressing at 76 percent of the rate originally planned.**
- ► you are only progressing at **24 percent of the rate originally planned.**

90. Contract closure is different from administrative closure in that contract closure:

- ► occurs before administrative closure.
- ► is the only one to involve the customer.
- ► **includes the return oiproperty.**
- ► may be done more than once for each contract.

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91. During the full life cycle of the project, a plot of the project.s expected expenditures will usually follow a characteristic ..S.. shape. This indicates that:

- ► There is a cyclic nature to all projects.
- ► Problems will always occur in the execution phase.
- ► There are high expenditures during closeout.
- ► The bulk of the project budget will be spent in the execution phase.

92. An output of administrative closure is the creation of:

- ► project archives.
- ► a project charter.
- ► a project management plan.
- ► **a risk analysis plan.**

93. A temporary endeavor undertaken to create a new product or service is called a:

- ► **New product development.**
- ► Project.
- ► Program.
- ► Enterprise.

94. An example of scope verification is:

- ► Reviewing the performance of an installed software module.
- ► **Managing changes to the project schedule.**
- ► Decomposing the WBS to a work package level.
- ► Performing a benefit-cost analysis to determine if we should proceed.

95. What conflict resolution technique is a project manager using when he says, "I cannot deal with this issue now!"

- ► **Problem solving**
- ► Forcing
- ► Withdrawal
- ► Compromising

96. Approved corrective action is an input to:

- ► scope control and scope verification.
- ► direct and manage project execution and integrated change control.
- ► **develop project management plan and develop project charter.**
- ► develop project management plan and schedule development.

97. A group of related projects that are managed in a coordinated way that usually include an element of ongoing activity is called a:

- ► Major project.
- ► **Project office.**
- ► Program.
- ► Group of projects.

98. To control the schedule, a project manager is reanalyzing the project to predict project duration. She does this by analyzing the sequence of activities with the least amount of scheduling flexibility. What technique is she using?

- ► Critical path method
- ► Flowchart
- ► **Precedence diagramming**
- ► Work breakdown structure

99. A project manager has assembled the project team, identified 56 risks on the project, determined what would trigger the risks, rated them on a risk rating matrix, tested their assumptions and assessed the quality of the data used. The team is continuing to move through the risk management process. What has the project manager forgotten to do?

- ► **Simulation**
- ► Risk mitigation
- ► Overall risk ranking for the project

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► Involvement of other stakeholders

100. Configuration management is:

► Used to ensure that the description of the project product is correct and complete.

► The creation of the work breakdown structure.

► The set of procedures developed to ensure that project design criteria are met.

► **A mechanism to track budget and schedule variances.**

101. A rough order of magnitude estimate is made during which project management process group?

► Project planning

► Project closing

► **Project executing**

► Project initiating

102. The breakdown structure the lowest level of the breakdown for the project manager is called the:

► Activity.

► Task.

► Work package.

► **Cost account.**

103. All of the following are examples of the cost of nonconformance EXCEPT?

► Rework

► Quality training

► **Scrap**

► Warranty costs

104. What type of contract do you not want to use if you do not have enough labor to audit invoices?

► Cost plus fixed fee (CPFF)

► **.Time & material (T&M)**

► Fixed price (FP)

► Fixed price incentive fee (FPIF)

105. A project manager has just been assigned to a project. The document that recognizes the existence of the project is called:

► The statement of work.

► The project assignment.

► **The project charter.**

► The product description.

106. The WBS for the project represents:

► All the tangible items that must be delivered to the client.

► **All the work that must be completed for the project.**

► The work that must be performed by the project team.

► All the activities of the project.

107. A manager that manages a group of related projects is called a:

► Project manager.

► Project expediter.

► Program coordinator.

► **Program manager.**

108. A functional manager needs to communicate the needs of his or her personnel requirements and the utilization of each person as well as the assignments that they have in the future. To best accomplish this, what type of document should be used?

► Gantt chart

► Network diagram

► **Staffing plan**

► Responsibility matrix

109. A project manager is faced with making a decision about a risk that the team has identified. The risk involves the design of a bicy-

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cle. It has been found that the neck of the bicycle, where the steering bearing is located and the two supporting bars of the frame come together, will corrode in a high salt environment. If this takes place the neck may fail and injure the rider. The project team decides that the design of the bicycle should be modified by using corrosion resistant materials in the design of the neck. This will eliminate the risk from consideration. This technique is called:

► Risk avoidance.
► Risk acceptance.
► Risk rejection.
► Risk deflection.

110. You are a project manager leading a cross-functional project team in a weak matrix environment. None of your project team members report to you functionally and you do not have the ability to directly reward their performance. The project is difficult, involving tight date constraints and challenging quality standards. Which of the following types of project management power will likely be the most effective in this circumstance?

► Referent
► . Expert
► Penalty
► Formal

111. If project A has a net present value (NPV) of U.S. $30,000 and project B has an NPV of U.S. $50,000, what is the opportunity cost if project B is selected?

► $23,000
► $30,000
► $20,000
► $50,000

112. The contingency budget will:

► Reduce the probability of scope changes.
► Reduce the probability of cost overruns.
► Increase the probability of a cost overrun.
► Increase the probability of scope changes.

113. A project manager is quantifying risk for her project. Several of her experts are offsite, but wish to be included. How can this be done?

► Use Monte Carlo analysis using the Internet as a tool.
► Apply the critical path method.
► Determine options for recommended corrective action.
► Apply the Delphi Technique.

114. What percentage of the total distribution are 3 sigma from the mean equal to?

► 68.26%
► 99.99%
► 95.46%
► 99.73%

115. A project manager holds the first risk meeting of the project team. The client is present at the meeting. At the meeting several risks are identified and assigned to members of the project team for evaluation and quantification. The result of the meeting is:

► Expected value of the risk events.
► Strategies for the risk events.
► A list of potential risk events.
► General statements about risks for the project.

116. A project manager is using weighted average duration estimates to perform schedule network analysis. Which type of mathematical analysis is being used?

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► Critical path method

► PERT

► Monte Carlo

► Resource leveling

117. An activity has an early start (ES) of day 3, a late start (LS) of day 13, an early finish (EF) of day g, and a late finish (LF) of day if. The activity:

► is on the critical path.

► has a lag.

► is progressing well.

► is not on the critical path.

118. Conflict resolution techniques that may be used on a project include confronting, smoothing, forcing and:

► withdrawing.

► directing.

► organizing.

► controlling.

119. In the Monte Carlo technique, what is the criticality index?

► The number of days the project will be late divided by the project duration

► The percent of time a given activity will be on the critical path

► The percent of time an activity will be late

► The sum of the duration of the critical path activities divided by the project expected value for duration

120. Which phase of the project is likely to have the greatest amount of its funding spent?

► Initiating

► Executing

► Planning

► Closeout

121. A control chart shows seven data points in a row on one side of the mean. What should be done?

► Perform a design of experiments.

► Adjust the chart to reflect the new mean.

► Find an assignable cause.

► Nothing. This is the rule of seven and can be ignored.

122. The document that is proof of upper management.s commitment to the project and gives the authority to manage the project to the project manager is called:

► The project plan.

► The project goals and objectives.

► The project charter.

► The project definition.

123. Which of the following represents the estimated value of the work actually accomplished?

► Earned value (EV)

► Planned value (PV)

► Actual cost (AC',

► Cost variance (CV)

124. A project manager is managing a project. The original scope baseline of the project was budgeted at $100,000. Since work on the project started there have been seventeen authorized and approved changes to the project. The changes have a value of $17,000 and the cost of investigating them prior to their approval was $2,500. What is the current budget for the project?

► $100,000

► $114,500

► $117,000

► $119,500

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125. A project team has completed, and the customer has accepted, the completed project scope. However, the lessons learned required by the project management office have not been completed. What is the status of the project?

► The project is incomplete because the project needs to be re-planned.

► **The project is incomplete until all project and product deliverables are complete and accepted.**

► The project is complete because the customer has accepted the deliverables.

► The project is complete because the project has reached the due date.

126. You are the project manager for a project that has high visibility. Your manager wants you to prepare a presentation for him to present at a conference. Most of the material in the presentation will be facts that are the results of your project. Your manager intends to present the material under his own name. Your name will not appear. What should you do?

► Refuse to work on the presentation unless you are listed as a coauthor.

► **Do the work as you were told by your manager.**

► Present your own presentation.

► Meet with your manager's manager and discuss the problem.

127. A project manager works in a company favoring the weakest authority for the project manager. The type of organization that holds the project manager to be the weakest is:

► Projectized organization.

► Strong matrix organization.

► **Weak matrix organization.**

► Balanced matrix.

128. A system development project is nearing project closing when a previously unidentified risk is discovered. This could potentially affect the project's overall ability to deliver. What should be done next?

► Alert the project sponsor of potential impacts to cost, scope or schedule.

► **Qualify the risk.**

► Mitigate this risk by developing a risk response plan.

► Develop a workaround.

129. You just found out that a major subcontractor for your project consistently provides deliverables late. The subcontractor approaches you and asks you to continue accepting late deliverables in exchange for a decrease in project costs. This offer is an example of:

► confronting.

► **compromise.**

► smoothing.

► forcing.

130. Which of the following contains Change Management Plan ?

► **Scope management plan**

► Communications management plan

► Configuration management plan

► Quality management plan

131. You are managing a project in a just in time environment. This will require more attention, because the amount of inventory in such an environment is generally:

► **45 percent.**

► lo percent.

► **12 percent.**

► **o percent.**

132. Resource leveling will generally:

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► Reduce the time needed to do the project.

► Increase the total time necessary to do all the tasks.

► Reduce the overutilization of resources.

► Reduce resources to the lowest skill that is possible.

133. A task was scheduled to use two persons, full time, and take two weeks to complete.

Instead, the project manager was only able to assign one person to this task. At the end of

two weeks, the person assigned to the task was 75% complete. What is the cost

performance index?

► 0.75

► 1.50

► 0.25

► 1.15

134. You are a project manager who was just assigned to take over a project from another

project manager who is leaving the company. The previous project manager tells you that

the project is on schedule, but only because he has constantly pushed the team to

perform. What is the FIRST thing you should do as the new project manager?

► Check risk status.

► Check cost performance.

► Determine a management strategy.

► Tell the team your objectives.

135. Which of the following is considered to be a simulation technique?

► PERT analysis

► GERT analysis

► Monte Carlo analysis

► Critical path method

136. Extensive use of ----- communication is most likely to aid in solving complex problems.

► verbal

► written

► formal

► nonverbal

137. When checking the calendar of a team member to schedule a meeting, you see she has

scheduled a meeting with a key stakeholder that you were not informed of. The best

approach would be to:

► avoid mentioning it to the team member but continue to watch her activities.

► notify your boss about the problem.

► address the concern with the team member's boss.

► address the concern with the team member.

138.Project A has an internal rate of return (IRR) of 21 percent. Project B has an IRR of 7

percent. Project C has an IRR of 31 percent. Project D has an IRR of ig percent. Which of

these would be the BEST project?

► Project A

► Project B

► Project C

► Project D

139. The program evaluation and review technique (PERT) method of scheduling differs

from the critical path method (CPM) because the PERT method:

► Uses weighted averages of activity durations to calculate project duration.

► Uses ..dummy.. activities to represent logic ties.

► Uses ..free float.. instead of ..total float.. in the schedule calculations.

► Uses bar charts instead of logic diagrams to

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portray the schedule.

140. The key inputs to activity definition are:

► Work breakdown structure, the project schedule, and the network diagram.

► Project schedule, progress reports, and change requests.

► The project network diagram, constraints, and durations.

► The work breakdown structure, the scope statement, and historical information that supports the applicable activity

141. The customer requests a change to the project that would increase the project risk. Which of the following should you do before all the others?

► Include the expected monetary value of the risk in the new cost estimate.

► Talk to the customer about the impact of the change.

► Analyze the impacts of the change with the team.

► Change the risk management plan.

142. The lowest level at WBS is one of the following:

► The task.

► The activity.

► The work package.

► The element.

143. A project manager would like to manage his project in such a way that he will be able to identify specific tasks that should be watched and managed more closely than others. The project manager should use which method?

► The PERT method

► The critical path method

► The GERT method

► The PCDM method

144. What characteristic best describes the cost baseline?

► Total budget for the project

► Time phased budget for the project

► Total budget for the project including the contingency budget

► Total budget for the project including the contingency budget and the management reserve

145. In attempting to complete the project faster, the project manager looks at the cost associated with crashing each activity. The best approach to crashing would also include looking at the:

► risk impact of crashing each activity.

► customer's opinion of which activities to crash.

► boss's opinion of which activities to crash and in which order.

► project life cycle phase in which the activity is due to occur.

146. A project manager has a problem with a team member's performance. What is best form of communication for addressing this problem?

► Formal written communication

► Formal verbal communication

► Informal written communication

► Informal verbal communication

147. Your employee is three days late with a report. Five minutes before the meeting where the topic of the report is to be discussed, she hands you the report. You notice some serious errors in it. What should you do?

► Cancel the meeting and reschedule when the report is fixed.

► Go to the meeting and tell the other attendees there are errors in the report.

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► Force the employee to do the presentation and remain silent as the other attendees find the errors.

► Cancel the meeting and rewrite the report yourself.

148. The act of doing anything that will help to bring future project performance into line with the project plan is called:

► Budget update.

► **Revised cost estimate.**

► Corrective action.

► Contingency planning.

149. A project is engaged in making electronic devices. It is necessary for them to purchase materials to make the printed circuit boards. All of the parts are common parts that are available from several vendors. The most likely contract that should be issued for these parts is:

► Unit price contract.

► **Firm fixed price contract.**

► Cost reimbursable contract.

► Award fee contract.

150. You are the project manager for a large project that is completed on time and on budget. The customer and all of the stakeholders are pleased with the results. As a direct result of the successful completion of the project, your manager approves a bonus of $25,000 to you. There are fifteen members of the project team. One of the people on the project team has been a very low contributor to the project; the other fourteen have all been above standard. What should you do with the money?

► Keep the money yourself; you deserve it, and the manager gave it to you.

► Divide the money equally among all the team members.

► **Ask the team members how they would divide the money.**

► Divide the money equally among the team members except for the substandard team member.

151. A project manager is using a cause and effect diagram with the team to determine how various factors might be linked to potential problems. In what part of the quality management process is the project manager involved?

► Quality analysis

► Perform quality assurance

► Perform quality control

► **Quality planning**

152. During which risk management process is a determination to transfer a risk made?

► Risk identification

► Quantitative risk analysis

► **Risk response planning**

► Risk monitoring and control

153. Your cost forecast shows that you will have a cost overrun at the end of the project. Which of the following should you do?

► **Eliminate risks in estimates and re-estimate.**

► Meet with the sponsor to find out what work can be done sooner.

► Cut quality.

► Decrease scope.

154. At the request of the project team for a large project, the company.s purchasing department advertises that they intend to let a contract for construction work associated with the project. This is called:

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- Procurement planning.
- **Solicitation.**
- Advertising.
- The procurement process.

155. A project is considered complete when the :

- BAC is equal to the PV.
- The EV is equal to the AC.
- The PV is equal to the AC.
- **The BAC is equal to the EV.**

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FINALTERM EXAMINATION
Spring 2009
MGMT627 Project Management

Marks: 81

Question No: 1 (Marks: 1) - Please choose one
Project management specialists frequently distinguish between weak and strong matrix
structures. Identify the chief characteristic of a weak matrix.

- Team members are not fully trained to do the job
- The functional manager has relatively more influence in making decisions than the project manager
- Management reserve is rapidly being depleted
- Re-baselining occurs frequently

Question No: 2 (Marks: 1) - Please choose one
High production costs are typically found at which of the following Project Life Cycle
(PLC) phases?

- Maturity phase of the PLC
- Growth phase of the PLC
- Decline phase of the PLC
- Introduction phase of the PLC

Question No: 3 (Marks: 1) - Please choose one
Which of the following is included in Project Scope Management?

- Plan development
- Project plan execution
- Integrated change control
- Initiation

Question No: 4 (Marks: 1) - Please choose one
Which of the following statements is TRUE about scope management?

- It entails managing the project's work content
- It is a subset of configuration management and as such is performed by scope management specialists
- It is concerned with defining and controlling what is or is not included in the project

- It is not a concern of the project manager

Question No: 5 (Marks: 1) - Please choose one
Which of the following statements best describes the project life-cycle?

- Project concept, project execution, and project reporting
- Project planning, work authorization, and project reporting
- Project planning, project control, project definition, work breakdown structure development and project termination
- Project concept, project planning, project execution, and project close-out

Question No: 6 (Marks: 1) - Please choose one
All of the following are activities of the Project Engineering Manager, EXCEPT:

- Process flow sheets
- Equipment data specifications
- Process liaison
- Bid analysis

Question No: 7 (Marks: 1) - Please choose one
Which of the following shows the impact on results of changes in assumptions?

- Controlled variation
- Scenario analysis
- Financial package blueprint
- Feasibility analysis

Question No: 8 (Marks: 1) - Please choose one
All of the following factors affect the estimation decision, EXCEPT:

- Size of project
- Size of team
- Past experience
- Length of schedule

Question No: 9 (Marks: 1) - Please choose one
Which of the following is NOT a formal method of Selecting Projects?

- The Sacred Cow
- The Operating Necessity
- The Competitive Necessity

- Comparative Benefit Model

Question No: 10 (Marks: 1) - Please choose one
The success of a project depends critically upon which of the following?

- Effort
- Care
- Skill
- All of the given options

Question No: 11 (Marks: 1) - Please choose one
Which of the following is NOT an input to project plan execution?

- Work authorization system
- Project plan
- Corrective action
- Preventive action

Question No: 12 (Marks: 1) - Please choose one
Which of the following spells out clearly defined and agreed-upon goals in beginning of
project?

- Project Mission
- Project Schedule
- Project Execution Plan
- Project Scope

Question No: 13 (Marks: 1) - Please choose one
All of the following are included in the Functional Level Planning, EXCEPT:

- Coordination of work activities
- Commitment to group goals
- Vertical & lateral communication
- Lateral communication

Question No: 14 (Marks: 1) - Please choose one
All of the following are external economic variables for strategic planning in the tire industry, EXCEPT:

- Forecast of industry

- Division of market
- Competition
- Steel and chemical output

Question No: 15 (Marks: 1) - Please choose one
Who among the fololwing is responsible to provide technical directions to any problem?

- Assistant project manager
- Program manager
- Line manager
- Project manager

Question No: 16 (Marks: 1) - Please choose one
Which of the following types of managers is the true technical expert?

- Program manager
- Line manager
- Project manager
- Assistant project manager

Question No: 17 (Marks: 1) - Please choose one
Which of the following defines the size of the project?

- Project plan
- Project scope
- Project charter
- Work breakdown structure

Question No: 18 (Marks: 1) - Please choose one
Which of the following is prepared before project approval?

- Project scope document
- Project charter
- Business case
- Project scope statement

Question No: 19 (Marks: 1) - Please choose one
In scope verification process, who will give the formal acceptance of work completion?

- Top management

- Customers
- Stake holders
- Project manager

Question No: 20 (Marks: 1) - Please choose one
Which of the following is the cause of scope creep?

- Cost reduction
- Cost overrun
- Cost allocation
- Cost maintenance

Question No: 21 (Marks: 1) - Please choose one
How is the earliest time denoted?

- TL
- TE
- ET
- LT

Question No: 22 (Marks: 1) - Please choose one
The earliest and latest times, are which of the following?

- Dependent variables
- Random variables
- Independent variables
- Fixed values

Question No: 23 (Marks: 1) - Please choose one
An event, represents which of the following?

- Beginning of an activity
- Ending of an activity
- Beginning or ending of an activity
- Duration of an activity

Question No: 24 (Marks: 1) - Please choose one
In CPM, which of the following in each activity is/are considered?

- Time
- Performance

- Cost and performance
- Time and cost

Question No: 25 (Marks: 1) - Please choose one
Printers and plotters, prefer to draw which of the following?

- Circle
- Square
- Dotted line
- Straight line

Question No: 26 (Marks: 1) - Please choose one
In precedence diagram, what does dotted line indicates?

- Event
- Relationship
- Slack
- Critical path

Question No: 27 (Marks: 1) - Please choose one
Who among the following is responsible for the development of operational tools?

- Functional unit
- Program office
- Departments
- Supervisor

Question No: 28 (Marks: 1) - Please choose one
How many types of pricing reports are there?

- 4
- 6
- 8
- 10

Question No: 29 (Marks: 1) - Please choose one
Which of the following have NO relative impact on price level?

- Competitive prices
- Customer budget
- Bidder s cost estimate

- Life-cycle cost

Question No: 30 (Marks: 1) - Please choose one
Which of the following refers to how a product looks, feels, sounds, tastes, or smells?

- Affordability
- Conformance
- Durability
- Aesthetics

Question No: 31 (Marks: 1) - Please choose one
Which of the following is referred to as the management section of quality management
by PMBOK?

- Quality control
- Quality assurance
- Total quality control
- Process control charts

Question No: 32 (Marks: 1) - Please choose one
Which of the following is viewed as a vertical teamwork between managerial and non managerial
personnel?

- Performance
- Empowerment
- Continuous improvement
- Planning

Question No: 33 (Marks: 1) - Please choose one
Empowerment, encourages which of the following?

- Responsibility
- Authority
- Innovation
- Motivation

Question No: 34 (Marks: 1) - Please choose one
Which of the following means Quality related to price ?

- Value
- Quality control
- Customer satisfaction
- Price control

Question No: 35 (Marks: 1) - Please choose one
The information provided by the Kano model, relates to which of the following?

- Customer satisfaction
- Value analysis
- Quality control
- Price control

Question No: 36 (Marks: 1) - Please choose one
Process Analysis, is a function of which of the following?

- Performance Analysis
- Quality Metrics
- Process Improvement Plan
- Quality Improvement Plan

Question No: 37 (Marks: 1) - Please choose one
How many tools are used for quality improvement?

- Six
- Seven
- Eight
- Nine

Question No: 38 (Marks: 1) - Please choose one
What is the ratio of output to input called?

- Efficiency
- Effectiveness
- Productivity
- Quality

Question No: 39 (Marks: 1) - Please choose one
Productivity, is an output input agreement on consideration of which of the following?

- Quality and time
- Competitiveness and time
- Efficiency and time
- Effectiveness and time

Question No: 40 (Marks: 1) - Please choose one
Which of the following defines how & when various stakeholders receive information &
communicate with each other?

- Site Waste Management Plan
- Communication Management Plan
- Chemicals Management Plan
- Debt Management Plan

Question No: 41 (Marks: 1) - Please choose one
Which of the following refers to the interpersonal influence modes that a project manager
can use?

- Leadership style
- Motivation style
- Communication style
- Controlling style

Question No: 42 (Marks: 1) - Please choose one
The development of the overhead rates, is a function of how many separate elements?

- Two
- Three
- Four
- Five

MGMT 627
SOLVED MCQs

Question # 1 of 15 (Start time: 07:53:55 PM) Total Marks: 1
All of the following are the characteristics of a project, EXCEPT:
Select correct option:
A start and an end
A multi-disciplinary team brought together for the project
Constraints of cost, time and quality
A scope of work that is not unique and involves confidence

Question # 2 of 15 (Start time: 07:54:57 PM) Total Marks: 1
Which of the following statement is TRUE about time spent by Project managers while they are on training?
Select correct option:
Experimental learning, on-the-job 60%
Formal education & special courses 10%
Professional activities, seminars 20% not sue
Readings 20%

Question # 3 of 15 (Start time: 07:55:46 PM) Total Marks: 1
Which of the following permits planners to outline their ideas on paper before implementing them?
Select correct option:
Project Proposal
Scope statement
Feasibility Study
Work Breakdown Structure

Question # 4 of 15 (Start time: 07:56:32 PM) Total Marks: 1
After Initial feasibility analysis, the next step is to prepare:
Select correct option:
Project Plan
Scope statement
System Proposal
Work Breakdown Structure

Question # 5 of 15 (Start time: 07:57:52 PM) Total Marks: 1
A Gantt chart is useful in determining _____
Select correct option:
The level of effort for a task
When a task starts and stops

How tasks are related to each other
Who is assigned to do a task

Question # 6 of 15 (Start time: 07:58:59 PM) Total Marks: 1
Which of the following creates an environment in which there exists a continuous stream of successfully managed projects and where success is measured by what is in the best interest of both the company and the project (i.e. the customer)?
Select correct option:
Organizational Effectiveness
Organizational Excellence
Organizational Support
Organizational efficiency

Question # 7 of 15 (Start time: 07:59:45 PM) Total Marks: 1
Which of the following is involved in economic feasibility?
Select correct option:
Benefit-cost analysis
Breakeven analysis
Tangible and intangible aspects
All of the given options

Question # 8 of 15 (Start time: 08:00:28 PM) Total Marks: 1
In which of the following typical Engineering, Procurement and Construction proposal contents, conditions of request for proposal (RFP) are summarized?
Select correct option:
Introduction & Summary
Project Description
Scope of Services
Work Plan & Schedule

Question # 9 of 15 (Start time: 08:01:48 PM) Total Marks: 1
Which of the following is not a characteristic of a project?
Select correct option:
Projects are responsible for the newest and most improved products, services, and organizational processes.
Projects are ad-hoc endeavors with a clear life cycle.
Projects provide a philosophy and strategy for the management of change.
Traditional process management functions of planning, organizing, and controlling do not apply to project management.

Question # 10 of 15 (Start time: 08:02:40 PM) Total Marks: 1
Which of the following is a common characteristic of most project life cycle descriptions?
Select correct option:
Cost and staffing are low at the start, higher towards the end, and drop rapidly as the project nears completion.

The probability of successfully completing the project is highest at the start of the project.
Stakeholders have the most influence on the final characteristics of the product at the end of the project.
With declining demand for a product and a saturated market, profits, sales volume, and prices are all sky scraping.

Question # 11 of 15 (Start time: 08:04:05 PM) Total Marks: 1
Which of the following is NOT a project constraint?
Select correct option:
The budget
The customer requirements
The schedule
The technical specifications

Question # 12 of 15 (Start time: 08:05:20 PM) Total Marks: 1
All of the following are advantages of numeric models EXCEPT:
Select correct option:
The undiscounted models are simple to use and understand.
All use readily available accounting data to determine the cash flows.
Model output is in terms familiar to business decision makers.
The internal rate of return model can result in multiple solutions.

Question # 13 of 15 (Start time: 08:06:48 PM) Total Marks: 1
A collection of generally sequential project phases whose name and number are determined by the control needs of the organization or organizations involved in the project, is called:
Select correct option:
Project life cycle
Product life cycle
Project life event
Procurement life cycle

Question # 14 of 15 (Start time: 08:08:06 PM) Total Marks: 1
Which of the following are mandates for the informal project management?
Select correct option:

Effective communication, effective cooperation, effective teamwork and trust
Excellence, Maturity, Effective cooperation and Effective teamwork
Maturity, Rules, Effective communication and Trust
Rules and regulations, effective communication and excellence

Question # 15 of 15 (Start time: 08:09:25 PM) Total Marks: 1
Which of the following is essentially a process for determining the viability of a proposed initiative or service and providing a framework and direction for its development and delivery?
Select correct option:
Project Plan
Scope statement
Feasibility Study
Work Breakdown Structure

Question # 1 of 15 (Start time: 08:11:34 PM) Total Marks: 1
Which of the following has poorly defined project methods, but has well defined end project requirements?
Select correct option:
Large Engineering Projects
Product Development, Early Space Project
Software Development Projects
OD, Vision, Training Assessment

Question # 2 of 15 (Start time: 08:12:25 PM) Total Marks: 1
Which of the following approaches is also called Similar Approach or Analogous Approach?
Select correct option:

Top Down Approach
Bottom Up Approach
Parametric Approach
Computerized Approach

Question # 3 of 15 (Start time: 08:12:48 PM) Total Marks: 1
According to Grinnell and Apple, the general indications that the traditional structure may not be adequate for managing projects are all of the following EXCEPT:
Select correct option:
Management is satisfied with its technical skills, but projects are not meeting time, cost, and other project requirements.
Projects are on time and to specification, but group and individuals are not satisfied with the achievement.
There is high commitment to getting project work done, but great fluctuations in how well performance specifications are met.
The unpredictability of consumer demands due to high income, wide range of choices available and shifting tastes.

Question # 4 of 15 (Start time: 08:14:03 PM) Total Marks: 1
All of the following should be included in the Preliminary Assignment part of pre-proposal for specific proposals EXCEPT:
Select correct option:
Proposal Publications/ Technical Support Personnel
Lead Estimator/Lead Scheduler
Key Technical Personnel
Project Controls

Question # 5 of 15 (Start time: 08:14:39 PM) Total Marks: 1
Which of the following statement is TRUE about time spent by Project managers while they are on training?
Select correct option:
Experimental learning, on-the-job 10%
Formal education & special courses 60%
Professional activities, seminars 20% not sure
Readings 10%

Question # 6 of 15 (Start time: 08:14:57 PM) Total Marks: 1
"A construction firm can select the best subset of a large group of potential projects on which to bid" is an example of which of the following?
Select correct option:
Project Selection
Project evaluation
Project implementation
Project Execution

Question # 7 of 15 (Start time: 08:15:34 PM) Total Marks: 1
"Building a wall to avoid the flood water" is an example of which of the following?
Select correct option:

Sacred Cow
The Operating Necessity
The Competitive Necessity
The Product Line Extension

Question # 8 of 15 (Start time: 08:15:58 PM) Total Marks: 1
Which of the following statements is the definition of the project given by the Project Management Institute of USA?
Select correct option:
A process of considerable scope that implements a plan
A group of ideas managed in a coordinated way to obtain a desired outcome not sue
A temporary endeavor undertaken to create a unique product or service

A collection of activities with a beginning and an end

Question # 9 of 15 (Start time: 08:16:34 PM) Total Marks: 1
Which of the following indicates recognition of a need for the project?
Select correct option:
Need analysis
Process Work
Engineering & Design
Cost Estimate

Question # 10 of 15 (Start time: 08:17:04 PM) Total Marks: 1
"If your Proposal is not selected, you determine where you went wrong". This strategy is known as:
Select correct option:
Postmortem
Response
Disclosure
Creativity

Question # 11 of 15 (Start time: 08:17:36 PM) Total Marks: 1
Which of the following is essentially a process for determining the viability of a proposed initiative or service and providing a framework and direction for its development and delivery?
Select correct option:
Project Plan
Scope statement
Feasibility Study
Work Breakdown Structure

Question # 12 of 15 (Start time: 08:17:55 PM) Total Marks: 1
A collection of generally sequential project phases whose name and number are determined by the control needs of the organization or organizations involved in the project, is called:
Select correct option:
Project life cycle
Product life cycle
Project life event
Procurement life cycle

Question # 13 of 15 (Start time: 08:18:13 PM) Total Marks: 1
Which of the following are short-duration projects normally assigned to a single individual who may be acting as both a project manager and a functional manager?
Select correct option:
Individual projects
Staff projects
Special projects

Matrix or Aggregate projects

Question # 14 of 15 (Start time: 08:18:41 PM) Total Marks: 1
Which of the following is also referred to as net present value method?
Select correct option:
Discounted Cash Flow
Pay Back Period
Discounted Cash Flow
Internal Rate of Return

Question # 15 of 15 (Start time: 08:19:12 PM) Total Marks: 1
All of the following factors affect the estimation decision EXCEPT:
Select correct option:
Size of Project
Size of Team
Past Experience
Length of Schedule

Question # 1 of 15 (Start time: 08:36:11 PM) Total Marks: 1
All of the following are internal operating variables for strategic planning in the tire industry EXCEPT:
Select correct option:

Product Changes
Research & Development
Volume (Economies of Scale)
Capacity of Plants

Question # 2 of 15 (Start time: 08:37:25 PM) Total Marks: 1
Which of the following managers develop operational plans for the project?
Select correct option:
Top Managers
Middle Manager
Line Managers
Supervisors

Question # 3 of 15 (Start time: 08:38:02 PM) Total Marks: 1
Which of the following refers to “a specification of series of actions, acts or operations, which have to be executed in the same manner in order to always obtain the same result in the same circumstances”?
Select correct option:
Policy
Procedure
Standard

Decision

Question # 4 of 15 (Start time: 08:39:05 PM) Total Marks: 1
The project manager is responsible for coordinating and integrating activities across multiple, functional lines. In order to do so, the project manager needs all of the following EXCEPT:
Select correct option:
Strong communicative and interpersonal skills
Must become familiar with the operations of each line organization
Should have a general knowledge of the technology being used
Organizational structures

Question # 5 of 15 (Start time: 08:39:33 PM) Total Marks: 1
Which of the following statements regarding project selection is best?
Select correct option:
Decision models must contain either objective or subjective factors.
Organizational reality can be perfectly captured by most decision-making models.
Before selecting any project, the team should identify all the relevant issues that play a role in project selection.
Every decision model has both objective and subjective factors.

Question # 6 of 15 (Start time: 08:40:51 PM) Total Marks: 1
Which of the following items involves the quantitative aspects of planning?
Select correct option:
Budget development
Project administration
Leadership styles
Conflict management

Question # 7 of 15 (Start time: 08:42:18 PM) Total Marks: 1
Which of the following should not be conducted as a forum merely to support a desire that the project will be successful?
Select correct option:
Project Plan
Scope statement
Feasibility Study
Work Breakdown Structure

Question # 8 of 15 (Start time: 08:43:24 PM) Total Marks: 1
Who among the following is responsible to verify all activities of a project?
Select correct option:
Management office
Program office
Functional office
Finance office

Question # 9 of 15 (Start time: 08:44:21 PM) Total Marks: 1
Which of the following is a key barrier to team development?
Select correct option:
A strong matrix management structure
When major problems delay the project completion date or budget targets
When team members are accountable to both functional and project managers
When formal training plans cannot be implemented

Question # 10 of 15 (Start time: 08:45:10 PM) Total Marks: 1
Which of the following statements is TRUE for top level managers?
Select correct option:
They engage themselves chiefly in strategic planning
They answer such questions as "What is the purpose of this organization?"
They clarify the mission of the organization and set its goals
All of the given options

Question # 11 of 15 (Start time: 08:45:31 PM) Total Marks: 1
In a matrix organization, the project manager is likely to experience:
Select correct option:
Conflict and difficulties in team building
Good customer relations
Difficulties in getting the best workers assigned to the project
All of the given options

Question # 12 of 15 (Start time: 08:46:34 PM) Total Marks: 1
Which of the following presents the risks and returns associated with the project so the prospective members can evaluate them?
Select correct option:
Project Plan
Scope statement
Feasibility Study
Work Breakdown Structure

Question # 13 of 15 (Start time: 08:47:12 PM) Total Marks: 1
In which of the following approaches, Spreadsheets and project management softwares are used to estimate cost?
Select correct option:
Top Down Approach
Bottom Up Approach
Parametric Approach

Computerized Approach

Question # 14 of 15 (Start time: 08:47:31 PM) Total Marks: 1
Which of the following is a plan that shows how money will be spent over a certain period of time?
Select correct option:
Cost Allocation
Budget
Financing
Cost centers

Question # 15 of 15 (Start time: 08:48:16 PM) Total Marks: 1
Which of the following describes both managerial and technical approaches to work?
Select correct option:
Introduction
General Approach
Contractual Aspects
Schedules

Question # 1 of 15 (Start time: 08:53:34 PM) Total Marks: 1
Which of the following refers to "Planned expenditures required to achieve or exceed objectives"?
Select correct option:
Objective
Program
Schedule
Budget

Question # 2 of 15 (Start time: 08:54:28 PM) Total Marks: 1
Which of the following is a barrier against effective proposal?
Select correct option:
Required elements missing
Unrealistic goals & objectives
Excessive jargon
All of the given options

Question # 3 of 15 (Start time: 08:54:53 PM) Total Marks: 1
Which of the following types of activities is more closely associated with projects rather than processes?
Select correct option:
An activity that is ongoing
An activity that is day-to-day
An activity that uses existing systems
An activity that establishes its own work rules

Question # 4 of 15 (Start time: 08:56:04 PM) Total Marks: 1
For completing schedule of large programs, input is required from which of the following?
Select correct option:
Program manager
Project manager
Functional management
Operational management

Question # 5 of 15 (Start time: 08:56:59 PM) Total Marks: 1
All of the following are the examples of a project EXCEPT:
Select correct option:
The development and introduction of a new services
The development of a management information system
The introduction of an improvement to an existing process
A retailer re-stocks the shelves after a day of brisk sales.

Question # 6 of 15 (Start time: 08:57:34 PM) Total Marks: 1
Which of the following is the suitable level of accuracy in case cost estimate?
Select correct option:
-5% to +5%
-5% to +10%
-5% to +15%
-5% to +20%

Question # 7 of 15 (Start time: 08:58:31 PM) Total Marks: 1
Which of the following is a plan that shows how money will be spent over a certain period of time?
Select correct option:
Cost Allocation
Budget
Financing
Cost centers

Question # 8 of 15 (Start time: 08:58:48 PM) Total Marks: 1
Which of the following is essentially a process for determining the viability of a proposed initiative or service and providing a framework and direction for its development and delivery?
Select correct option:
Project Plan
Scope statement
Feasibility Study
Work Breakdown Structure

Question # 9 of 15 (Start time: 08:59:33 PM) Total Marks: 1

All of the following are purposes of the life cycle phase at planning stage EXCEPT:
Select correct option:
Plan the project development and implementation activities
Estimate the probable elapsed time, staffing, and equipment requirements
Identify the probable costs and consequences of investing in the new project
Support equipment for contract end-item

Question # 10 of 15 (Start time: 09:00:13 PM) Total Marks: 1
All of the following are important functions of the kick-off meeting EXCEPT:
Select correct option:
To identify project goals
To introduce the players
To present the project charter
To present the detailed plan

Question # 11 of 15 (Start time: 09:01:16 PM) Total Marks: 1
Which of the following best defines the "Planning" function of Management?
Select correct option:
The process of setting objectives in any project & then determining what should be done to accomplish them.
The process of assigning tasks, allocating resources, & arranging coordinated activities to implement plans.
The process of arousing enthusiasm and directing HR efforts toward project/organizational goals.
The process of measuring performance and taking action to ensure desired results in any project.

Question # 12 of 15 (Start time: 09:02:04 PM) Total Marks: 1
Which of the following contains more detailed statement of general goals noted in overview?
Select correct option:
Introduction
General Approach
Contractual Aspects
Schedules

Question # 13 of 15 (Start time: 09:02:30 PM) Total Marks: 1
In which of the following phases, the company calls upon the experience and creativity of its technicians, manager and directors to generate an adequate group of alternatives to fulfill the expressed need?
Select correct option:
Preliminary Formulation of the Alternatives
Definition of the Requirement of Opportunity
Initial Selection of Alternatives
Project Termination Phase

Question # 14 of 15 (Start time: 09:03:21 PM) Total Marks: 1
Which of the following is a use of Work breakdown structure?
Select correct option:
Cost control standard
Risk cost control
Reporting
Work project

Question # 15 of 15 (Start time: 09:04:26 PM) Total Marks: 1
Scope of a project is the.....total of all of a project's products and their requirements or features
Select correct option:
Sum
Product
Sum and product
None of the above

DOWN LOAD FROM NET THESE ARE JUST FOR AN IDEA

1 Which of the following is an advantage of centralized contracting?

1. Gives easier access to contracting expertise
2. Increases company expertise in contracting
3. Gives more loyalty to the project
4. Allows a contracts person to work on a single project

Answer B

2 Risks will be identified during which risk management process(es)?

1. Quantitative risk analysis and risk identification
2. Risk identification and risk monitoring and control
3. Qualitative risk analysis and risk monitoring and control
4. Risk identification

Answer B

3 The highest point of Maslow's hierarchy of needs is:

1. physiological satisfaction.
2. attainment of survival.
3. need for association.
4. esteem.

Answer D

4 Who is ultimately responsible for quality management on the project?

1. Project engineer
2. Project manager
3. Quality manager
4. Team member

Answer B

5 A heuristic is best described as a:

1. control tool.
2. scheduling method.
3. planning tool.
4. rule of thumb.

Answer: D

6 If earned value (EV) = 350, actual cost (AC) = 400, planned value (PV) = 325, what is cost variance (CV)?

1. 350
2. -75
3. 400
4. -50

Answer D

7 A project manager has just been assigned to a new project and has been given the preliminary project scope statement and the project charter. The first thing the project manager must do is:

1. create a project scope statement.
2. confirm that all the stakeholders have had input into the scope.
3. analyze project risk.
4. begin work on a project management plan.

Answer: B

8 You are taking over a project during the planning process group and discover that six individuals have signed the project charter. Which of the following should most concern you?

1. Who will be a member of the change control board
2. Spending more time on configuration management
3. Getting a single project sponsor

4. Determining the reporting structure

Answer: D

9 The project manager is making sure that the product of the project has been completed according to the project management plan. What part of the project management process is he in?

1. Planning
2. Executing
3. Monitoring and controlling
4. Closing

Answer: D

10 The WBS and WBS dictionary are completed. The project team has begun working on identifying risks. The sponsor contacts the project manager, requesting that the responsibility assignment matrix be issued. The project has a budget of U.S. $loo,ooo and is taking place in three countries using 14 human resources. There is little risk expected for the project and the project manager has managed many projects similar to this one. What is the next thing to do?

1. Understand the experience of the sponsor on similar projects.
2. Create an activity list.
3. Make sure the project scope is defined.
4. Complete risk management and issue the responsibility assignment matrix.

Answer: B

11 Risk tolerances are determined in order to help:

1. the team rank the project risks.
2. the project manager estimate the project.
3. the team schedule the project.
4. management know how other managers will act on the project.

Answer A

12 A project manager is employed by a construction company and is responsible for the furnishing of the completed building. One of the first things that the project manager for this project should do is to write a:

1. Work breakdown structure.
2. Budget baseline.
3. Project charter.
4. Project plan.

Answer: C

13 Your company has an emergency and needs contracted work done as soon as possible. Under these circumstances, which of the following would be the helpful to add to the contract?

1. A clear contract statement of work
2. Requirements as to which subcontractors can be used
3. Incentives
4. A force majeure clause

Answer C

14 The "halo effect" refers to the tendency to:

1. promote from within.
2. hire the best.
3. move people into project management because they are good in their technical fields.
4. move people into project management because they have had project management training.

Answer C

15 A project manager is trying to complete a software development project, but cannot get enough attention for the project. Resources are focused on completing process-related work and the project manager has little authority to properly assign resources. What form of organization must the project manager be working in?

1. Functional
2. Matrix
3. Expediter
4. Coordinator

Answer: A

16 All of the following are characteristics of a project EXCEPT:

1. Temporary
2. Definite beginning and end
3. Interrelated activities
4. Repeats itself every month

Answer D

17 A team is using a fishbone diagram to help determine what quality standards will be used on the project. What part of the quality management process are they in?

1. Perform quality control
2. Perform quality assurance
3. Quality planning
4. Variable analysis

Answer C

18 The equivalent of cost reimbursable contracts is frequently termed:

1. Back charge contracts.
2. Fixed price contracts.
3. Progress payment contracts.
4. Cost plus contracts.

Answer: D

19 A buyer extends a formal invitation that contains a scope of work that seeks a response that will describe the methodology and results that will be provided to the buyer. This is called:

1. Invitation to bid.
2. Request for information.
3. Request for proposal.
4. Request for bid.

Answer: C

20 A project manager must have some work done by an outside contractor. This work has a great deal of risk associated with it, and it has become very difficult to find a contractor willing to take on the job. Which of the following types of contract would offer the greatest incentive to the contractor?

1. Cost plus percentage of cost as an award fee
2. Cost plus fixed fee
3. Cost plus incentive fee
4. Firm fixed price

Answer: A

21 Purchasing insurance is considered an example of risk:

1. mitigation.
2. transfer.

3. acceptance.
4. avoidance.

Answer B

22 A cost performance index (CPI) of 0.89 means:

1. at this time, we expect the total project to cost 89 percent more than planned.
2. when the project is completed we will have spent 89 percent more than planned.
3. the project is only progressing at 89 percent of that planned.
4. the project is only getting 89 cents out of every dollar invested.

Answer: D

23 In the matrix management organization, which of the following is true?

1. The project manager is responsible for employee skills improvement.
2. The functional manager is responsible for employee skills improvement.
3. The project manager is responsible for the employee.s annual appraisal.
4. The employee is responsible for his or her own skills improvement.

Answer: B

24 Your program manager has come to you, the project manager, for help with a bid for her newest project. You want to protect your company from financial risk. You have limited scope definition. What is the BEST type of contract to choose?

1. Fixed price (FP)
2. Cost plus percent of cost (CPPC)
3. Time and material (T&M)
4. Cost plus fixed fee (CPFF)

Answer D

25 The project management process groups are:

1. Initiating, planning, expediting, and control.
2. Plan, organize, develop, and control.
3. Plan, do, observe, commit.
4. Initiating, planning, executing, controlling, and closeout.

Answer: D

26 In which project management process group is the detailed project budget created?

1. Initiating

2. Before the project management process
3. Planning
4. Executing

Answer C

27 Which of the following conflict resolution techniques will generate the MOST lasting solution?

1. Forcing
2. Smoothing
3. Compromise
4. Problem solving

Answer D

28 Decomposing the major deliverables into smaller, more manageable components to provide better control is called:

1. Scope planning.
2. Scope definition.
3. Scope base lining.
4. Scope verification.

Answer B

28 Any numbering system that is used to monitor project costs by category such as labor, supplies, or materials, for example, is called:

1. Chart of accounts.
2. Work breakdown structure.
3. Universal accounting standard.
4. Standard accounting practices.

Answer A

29 Which of the following is NOT an input to the initiating process group?

Company processes
The company culture
Historical WBSs
Project scope statement

Answer D

30 Workarounds are determined during which risk management process?

1. Risk identification
2. Quantitative risk analysis
3. Risk response planning
4. Risk monitoring and control

Answer D

31 A person who is involved in or may be affected by the activities or anyone who has something to gain or lose by the activity of the project is called a:

1. Team member.
2. Customer.
3. Stakeholder.
4. Supporter.

Answer D

32 Quality is:

1. meeting and exceeding the customer's expectations.
2. adding extras to make the customer happy.
3. the degree to which the project meets requirements.
4. conformance to management's objectives.

Answer C

33 A schedule performance index (SPI) of 0.76 means:

1. you are over budget.
2. you are ahead of schedule.
3. you are only progressing at 76 percent of the rate originally planned.
4. you are only progressing at 24 percent of the rate originally planned.

Answer C

34 Contract closure is different from administrative closure in that contract closure:

1. occurs before administrative closure.
2. is the only one to involve the customer.
3. includes the return oiproperty.
4. may be done more than once for each contract.

Answer A

35 During the full life cycle of the project, a plot of the project.s expected expenditures will usually follow a characteristic ..S.. shape. This indicates that:

1. There is a cyclic nature to all projects.
2. Problems will always occur in the execution phase.
3. There are high expenditures during closeout.
4. The bulk of the project budget will be spent in the execution phase.

Answer D

36 An output of administrative closure is the creation of:

1. project archives.
2. a project charter.
3. a project management plan.
4. a risk analysis plan.

Answer A

37 A temporary endeavor undertaken to create a new product or service is called a:

1. New product development.
2. Project.
3. Program.
4. Enterprise.

Answer B

38 An example of scope verification is:

1. Reviewing the performance of an installed software module.
2. Managing changes to the project schedule.
3. Decomposing the WBS to a work package level.
4. Performing a benefit-cost analysis to determine if we should proceed.

Answer A

39 What conflict resolution technique is a project manager using when he says, "I cannot deal with this issue now!"

1. Problem solving
2. Forcing
3. Withdrawal
4. Compromising

Answer C

40 Approved corrective action is an input to:

1. scope control and scope verification.
2. direct and manage project execution and integrated change control.
3. develop project management plan and develop project charter.
4. develop project management plan and schedule development.

Answer B

41 A group of related projects that are managed in a coordinated way that usually include an element of ongoing activity is called a:

1. Major project.
2. Project office.
3. Program.
4. Group of projects.

Answer C

42 To control the schedule, a project manager is reanalyzing the project to predict project duration. She does this by analyzing the sequence of activities with the least amount of scheduling flexibility. What technique is she using?

1. Critical path method
2. Flowchart
3. Precedence diagramming
4. Work breakdown structure

Answer A

43 A project manager has assembled the project team, identified 56 risks on the project, determined what would trigger the risks, rated them on a risk rating matrix, tested their assumptions and assessed the quality of the data used. The team is continuing to move through the risk management process. What has the project manager forgotten to do?

1. Simulation
2. Risk mitigation
3. Overall risk ranking for the project
4. Involvement of other stakeholders

Answer D

44 Configuration management is:

1. Used to ensure that the description of the project product is correct and complete.
2. The creation of the work breakdown structure.
3. The set of procedures developed to ensure that project design criteria are met.
4. A mechanism to track budget and schedule variances.

Answer C

45 A rough order of magnitude estimate is made during which project management process group?

1. Project planning
2. Project closing
3. Project executing
4. Project initiating

Answer D

46 The breakdown structure the lowest level of the breakdown for the project manager is called the:

1. Activity.
2. Task.
3. Work package.
4. Cost account.

Answer C

47 All of the following are examples of the cost of nonconformance EXCEPT?

1. Rework
2. Quality training
3. Scrap
4. Warranty costs

Answer B

48 What type of contract do you not want to use if you do not have enough labor to audit invoices?

1. Cost plus fixed fee (CPFF)
2. **Time & material (T&M)**
3. Fixed price (FP)
4. Fixed price incentive fee (FPIF)

49 A project manager has just been assigned to a project. The document that recognizes the existence of the project is called:

1. The statement of work.
2. The project assignment.
3. The project charter.
4. The product description.

Answer C

50 The WBS for the project represents:

1. All the tangible items that must be delivered to the client.
2. All the work that must be completed for the project.
3. The work that must be performed by the project team.
4. All the activities of the project.

Answer B

51 A manager that manages a group of related projects is called a:

1. Project manager.
2. Project expediter.
3. Program coordinator.
4. Program manager.

Answer D

52 A functional manager needs to communicate the needs of his or her personnel requirements and the utilization of each person as well as the assignments that they have in the future. To best accomplish this, what type of document should be used?

1. Gantt chart
2. Network diagram
3. Staffing plan
4. Responsibility matrix

Answer C

53 A project manager is faced with making a decision about a risk that the team has identified. The risk involves the design of a bicycle. It has been found that the neck of the bicycle, where the steering bearing is located and the two supporting bars of the frame come together, will corrode in a high salt environment. If this takes place the neck may fail and injure the rider. The project team decides that the design of the bicycle should be modified by using corrosion resistant materials in the design of the neck. This will eliminate the risk from consideration. This technique is called:

1. **Risk avoidance**.
2. Risk acceptance.
3. Risk rejection.
4. Risk deflection.

Answer A

54 You are a project manager leading a cross-functional project team in a weak matrix environment. None of your project team members report to you functionally and you do not have the ability to directly reward their performance. The project is difficult, involving tight date constraints and challenging quality standards. Which of the following types of project management power will likely be the most effective in this circumstance?

1. Referent
2. **Expert**
3. Penalty
4. Formal

Answer B

55 If project A has a net present value (NPV) of U.S. $30,000 and project B has an NPV of U.S. $50,000, what is the opportunity cost if project B is selected?

1. $23,000
2. $30,000
3. $20,000
4. $50,000

Answer B

56 The contingency budget will:

1. Reduce the probability of scope changes.
2. Reduce the probability of cost overruns.
3. Increase the probability of a cost overrun.
4. Increase the probability of scope changes.

Answer B

57 A project manager is quantifying risk for her project. Several of her experts are offsite, but wish to be included. How can this be done?

1. Use Monte Carlo analysis using the Internet as a tool.
2. Apply the critical path method.
3. Determine options for recommended corrective action.
4. Apply the Delphi Technique.

Answer D

58 What percentage of the total distribution are 3 sigma from the mean equal to?

1. 68.26%
2. 99.99%
3. 95.46%
4. 99.73%

Answer D

59 A project manager holds the first risk meeting of the project team. The client is present at the meeting. At the meeting several risks are identified and assigned to members of the project team for evaluation and quantification. The result of the meeting is:

1. Expected value of the risk events.
2. Strategies for the risk events.
3. A list of potential risk events.
4. General statements about risks for the project.

Answer C

60 A project manager is using weighted average duration estimates to perform schedule network analysis. Which type of mathematical analysis is being used?

1. Critical path method
2. PERT
3. Monte Carlo
4. Resource leveling

Answer B

61 An activity has an early start (ES) of day 3, a late start (LS) of day 13, an early finish (EF) of day g, and a late finish (LF) of day if. The activity:

1. is on the critical path.
2. has a lag.
3. is progressing well.
4. is not on the critical path.

Answer D

62 Conflict resolution techniques that may be used on a project include confronting, smoothing, forcing and:

1. withdrawing.
2. directing.
3. organizing.
4. controlling.

Answer A

63 In the Monte Carlo technique, what is the criticality index?

1. The number of days the project will be late divided by the project duration
2. The percent of time a given activity will be on the critical path
3. The percent of time an activity will be late
4. The sum of the duration of the critical path activities divided by the project expected value for duration

Answer B

64 Which phase of the project is likely to have the greatest amount of its funding spent?

1. Initiating
2. Executing
3. Planning
4. Closeout

Answer B

65 A control chart shows seven data points in a row on one side of the mean. What should be done?

1. Perform a design of experiments.
2. Adjust the chart to reflect the new mean.
3. Find an assignable cause.
4. Nothing. This is the rule of seven and can be ignored.

Answer C

66 The document that is proof of upper management.s commitment to the project and gives the authority to manage the project to the project manager is called:

1. The project plan.
2. The project goals and objectives.
3. The project charter.
4. The project definition.

Answer C

67 Which of the following represents the estimated value of the work actually accomplished?

1. Earned value (EV)
2. Planned value (PV)

3. Actual cost (AC',
4. Cost variance (CV)

Answer A

68 A project manager is managing a project. The original scope baseline of the project was budgeted at $100,000. Since work on the project started there have been seventeen authorized and approved changes to the project. The changes have a value of $17,000 and the cost of investigating them prior to their approval was $2,500. What is the current budget for the project?

1. $100,000
2. $114,500
3. $117,000
4. $119,500

Answer D

69 A project team has completed, and the customer has accepted, the completed project scope. However, the lessons learned required by the project management office have not been completed. What is the status of the project?

1. The project is incomplete because the project needs to be re-planned.
2. The project is incomplete until all project and product deliverables are complete and accepted.
3. The project is complete because the customer has accepted the deliverables.
4. The project is complete because the project has reached the due date.

Answer B

70 You are the project manager for a project that has high visibility. Your manager wants you to prepare a presentation for him to present at a conference. Most of the material in the presentation will be facts that are the results of your project. Your manager intends to present the material under his own name. Your name will not appear. What should you do?

1. Refuse to work on the presentation unless you are listed as a coauthor.
2. Do the work as you were told by your manager.
3. Present your own presentation.
4. Meet with your manager's manager and discuss the problem.

Answer B

71 A project manager works in a company favoring the weakest authority for the project manager. The type of organization that holds the project manager to be the weakest is:

1. Projectized organization.
2. Strong matrix organization.
3. Weak matrix organization.
4. Balanced matrix.

Answer C

72 A system development project is nearing project closing when a previously unidentified risk is discovered. This could potentially affect the project's overall ability to deliver. What should be done next?

1. Alert the project sponsor of potential impacts to cost, scope or schedule.
2. Qualify the risk.
3. Mitigate this risk by developing a risk response plan.
4. Develop a workaround.

Answer B

73 You just found out that a major subcontractor for your project consistently provides deliverables late. The subcontractor approaches you and asks you to continue accepting late deliverables in exchange for a decrease in project costs. This offer is an example of:

1. confronting.
2. compromise.
3. smoothing.
4. forcing.

Answer B

74 Which of the following contains Change Management Plan ?

1. Scope management plan
2. Communications management plan
3. Configuration management plan
4. Quality management plan

Answer A

75 You are managing a project in a just in time environment. This will require more attention, because the amount of inventory in such an environment is generally:

1. 45 percent.
2. lo percent.
3. 12 percent.
4. o percent.

Answer D

76 Resource leveling will generally:

1. Reduce the time needed to do the project.
2. Increase the total time necessary to do all the tasks.
3. Reduce the overutilization of resources.
4. Reduce resources to the lowest skill that is possible.

Answer C

77 A task was scheduled to use two persons, full time, and take two weeks to complete. Instead, the project manager was only able to assign one person to this task. At the end of two weeks, the person assigned to the task was 75% complete. What is the cost performance index?

1. 0.75
2. 1.50
3. 0.25
4. 1.15

Answer B

78 You are a project manager who was just assigned to take over a project from another project manager who is leaving the company. The previous project manager tells you that the project is on schedule, but only because he has constantly pushed the team to perform. What is the FIRST thing you should do as the new project manager?

1. Check risk status.
2. Check cost performance.
3. Determine a management strategy.
4. Tell the team your objectives.

Answer C

79 Which of the following is considered to be a simulation technique?

1. PERT analysis
2. GERT analysis
3. Monte Carlo analysis
4. Critical path method

Answer C

80 Extensive use of ----- communication is most likely to aid in solving complex problems.

1. verbal
2. written
3. formal
4. nonverbal

Answer B

81 When checking the calendar of a team member to schedule a meeting, you see she has scheduled a meeting with a key stakeholder that you were not informed of. The best approach would be to:

1. avoid mentioning it to the team member but continue to watch her activities.
2. notify your boss about the problem.
3. address the concern with the team member's boss.
4. address the concern with the team member.

Answer D

82Project A has an internal rate of return (IRR) of 21 percent. Project B has an IRR of 7 percent. Project C has an IRR of 31 percent. Project D has an IRR of ig percent. Which of these would be the BEST project?

1. Project A
2. Project B
3. Project C
4. Project D

Answer C

83 The program evaluation and review technique (PERT) method of scheduling differs from the critical path method (CPM) because the PERT method:

1. Uses weighted averages of activity durations to calculate project duration.
2. Uses ..dummy.. activities to represent logic ties.
3. Uses ..free float.. instead of ..total float.. in the schedule calculations.
4. Uses bar charts instead of logic diagrams to portray the schedule.

Answer A

84 The key inputs to activity definition are:

1. Work breakdown structure, the project schedule, and the network diagram.
2. Project schedule, progress reports, and change requests.
3. The project network diagram, constraints, and durations.
4. The work breakdown structure, the scope statement, and historical information that supports the applicable activity

Answer D

85 The customer requests a change to the project that would increase the project risk. Which of the following should you do before all the others?

1. Include the expected monetary value of the risk in the new cost estimate.
2. Talk to the customer about the impact of the change.
3. Analyze the impacts of the change with the team.
4. Change the risk management plan.

Answer C

.87 The lowest level at WBS is one of the following:

1. The task.
2. The activity.
3. The work package.
4. The element.

Answer C

88 A project manager would like to manage his project in such a way that he will be able to identify specific tasks that should be watched and managed more closely than others. The project manager should use which method?

1. The PERT method
2. The critical path method
3. The GERT method
4. The PCDM method

Answer B

89 What characteristic best describes the cost baseline?

1. Total budget for the project
2. Time phased budget for the project
3. Total budget for the project including the contingency budget
4. Total budget for the project including the contingency budget and the management reserve

Answer B

90 In attempting to complete the project faster, the project manager looks at the cost associated with crashing each activity. The best approach to crashing would also include looking at the:

1. risk impact of crashing each activity.
2. customer's opinion of which activities to crash.
3. boss's opinion of which activities to crash and in which order.
4. project life cycle phase in which the activity is due to occur.

Answer A

91 A project manager has a problem with a team member's performance. What is best form of communication for addressing this problem?

1. Formal written communication
2. Formal verbal communication
3. Informal written communication
4. Informal verbal communication

Answer D

92 Your employee is three days late with a report. Five minutes before the meeting where the topic of the report is to be discussed, she hands you the report. You notice some serious errors in it. What should you do?

1. Cancel the meeting and reschedule when the report is fixed.
2. Go to the meeting and tell the other attendees there are errors in the report.
3. Force the employee to do the presentation and remain silent as the other attendees find the errors.
4. Cancel the meeting and rewrite the report yourself.

Answer A

93 The act of doing anything that will help to bring future project performance into line with the project plan is called:

1. Budget update.
2. Revised cost estimate.
3. Corrective action.
4. Contingency planning.

Answer C

94 A project is engaged in making electronic devices. It is necessary for them to purchase materials to make the printed circuit boards. All of the parts are common parts that are available from several vendors. The most likely contract that should be issued for these parts is:

1. Unit price contract.
2. Firm fixed price contract.

3. Cost reimbursable contract.
4. Award fee contract.

Answer B

95 You are the project manager for a large project that is completed on time and on budget. The customer and all of the stakeholders are pleased with the results. As a direct result of the successful completion of the project, your manager approves a bonus of $25,000 to you. There are fifteen members of the project team. One of the people on the project team has been a very low contributor to the project; the other fourteen have all been above standard. What should you do with the money?

1. Keep the money yourself; you deserve it, and the manager gave it to you.
2. Divide the money equally among all the team members.
3. Ask the team members how they would divide the money.
4. Divide the money equally among the team members except for the substandard team member.

Answer C

96 A project manager is using a cause and effect diagram with the team to determine how various factors might be linked to potential problems. In what part of the quality management process is the project manager involved?

1. Quality analysis
2. Perform quality assurance
3. Perform quality control
4. Quality planning

Answer D

97 During which risk management process is a determination to transfer a risk made?

1. Risk identification
2. Quantitative risk analysis
3. Risk response planning
4. Risk monitoring and control

Answer C

98 Your cost forecast shows that you will have a cost overrun at the end of the project. Which of the following should you do?

1. Eliminate risks in estimates and re-estimate.
2. Meet with the sponsor to find out what work can be done sooner.
3. Cut quality.

4. Decrease scope.

Answer A

99 At the request of the project team for a large project, the company.s purchasing department advertises that they intend to let a contract for construction work associated with the project. This is called:

1. Procurement planning.
2. Solicitation.
3. Advertising.
4. The procurement process.

Answer B

100 A project is considered complete when the :

1. BAC is equal to the PV.
2. The EV is equal to the AC.
3. The PV is equal to the AC.
4. The BAC is equal to the EV.

Answer D

Question # 1 of 20 (Start time: 08:38:23 PM) Total Marks: 1
Which of the following refers to a narrative description of the work to be accomplished?
Select correct option:

The statement of work (SOW)
The project specifications
The milestone schedule
The work breakdown structure (WBS)

Question # 2 of 20 (Start time: 08:40:08 PM) Total Marks: 1
Which of the following statements is TRUE for Work breakdown Structure (WBS)?
Select correct option:

Project Manager must structure work into small elements that are manageable
Project Manager must structure work into small elements that are independent
Project Manager must structure work into small elements that are measurable
All of the given options

Question # 3 of 20 (Start time: 08:41:38 PM) Total Marks: 1
Scope of a project is the.....total of all of a project's products and their requirements or features
Select correct option:

Sum
Product
Sum and product
None of the above

Question # 5 of 20 (Start time: 08:44:56 PM) Total Marks: 1
Which of the following life cycle phases includes brainstorming and common sense at planning stage?
Select correct option:

Conceptualization
Feasibility
Preliminary planning
Detail planning

Question # 6 of 20 (Start time: 08:45:52 PM) Total Marks: 1
Quality assurance is:
Select correct option:

Detection based
Inspection based
Prevention based
People based

Question # 7 of 20 (Start time: 08:47:50 PM) Total Marks: 1
The three general preconditions for achieving lasting success as a project manager are:
Select correct option:

Technical Skills, Ability, Human Skills and Design Skill
Ability, Motivation to manage and Opportunity
Motivation to manage, Opportunity and Conceptual Skill

Ability, Capacity and Supervision

Question # 8 of 20 (Start time: 08:49:45 PM) Total Marks: 1

Which of the following statements gives the Technical definition of Project Planning?

Select correct option:

Working out of sub-components in some degree of detail

To cover area of government legislation & regulation related to "use of resources"

"Planned use of any /all resources"- Succession of five year plans

Structured sequence of events leading to desired set of objectives

Question # 9 of 20 (Start time: 08:51:41 PM) Total Marks: 1

Which of the following require input from a large number of functional units and usually control vast resources?

Select correct option:

Individual projects

Staff projects

Special projects

Matrix or Aggregate projects

Question # 10 of 20 (Start time: 08:52:40 PM) Total Marks: 1

Which of the following is the responsibility of proposed project manager?

Select correct option:

Project Plan & strategy

Description of Project Organization

Development of organizational Chart

All of the given options

Question # 11 of 20 (Start time: 08:53:04 PM) Total Marks: 1

Which of the following is the discount rate that equates the present values of the two sets of flows?

Select correct option:

Discounted Cash Flow

Pay Back Period

Discounted Cash Flow

Internal Rate of Return

Question # 12 of 20 (Start time: 08:54:56 PM) Total Marks: 1

Which of the following items involves the quantitative aspects of planning?

Select correct option:

Budget development

Project administration

Leadership styles

Conflict management

Question # 13 of 20 (Start time: 08:56:51 PM) Total Marks: 1

The main purpose of a _____is to function as a blueprint for the group's business operations.

Select correct option:

Business Plan

Scope statement

Feasibility Study

Work Breakdown Structure

Question # 14 of 20 (Start time: 08:57:43 PM) Total Marks: 1

_____is the lowest level of quality development.

Select correct option:

Quality Assurance

Quality Management

Inspection

Total Quality Management

Question # 15 of 20 (Start time: 08:59:20 PM) Total Marks: 1

Fredrick Taylor- Father of Scientific Management was a _____

Select correct option:

Mechanical Engineer

Chemical Engineer

Technical Engineer

Electrical Engineer

Question # 16 of 20 (Start time: 09:00:40 PM) Total Marks: 1

Fitness to cost can be obtained by:

Select correct option:

Determining the customer's needs

Building of customer needed products

Obtaining high quality and low cost products

Developing quality management

Question # 17 of 20 (Start time: 09:02:29 PM) Total Marks: 1

All of the following are relevant factors of competitive bids EXCEPT:

Select correct option:

Schedule

Financial Stability

Financing Offer

Ease of minor changes adopted

Question # 18 of 20 (Start time: 09:04:21 PM) Total Marks: 1

The emphasis is changed from product to process at_____stage.

Select correct option:

Inspection

Quality control

Quality management

Quality assurance

Question # 19 of 20 (Start time: 09:06:21 PM) Total Marks: 1

Quality is defined by_____.

Select correct option:

Customer

Proposal manager

Higher management

Quality management

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Mgmt627
Quiz#4

Question # 2 of 20 (Start time: 02:16:39 PM) **Total Marks: 1**

Which of the following Project planning Categories is developed for one to five years?

Select correct option:

Tactical planning

Which of the following typical Engineering, Procurement and Construction proposal contents indicates weak items by Owner which are not included in contractor's scope of service?

Select correct option:

Work schedule plan
Introduction and summary
Project description
Scope of services

All of the following are activities of Project Procurement Manager

Don't know: p

Which of the following non numeric models is suggested by a senior and powerful official in the organization?

Select correct option:

Sacred cow

"Building a wall to avoid the flood water" is an example of which of the following?

Select correct option:

Operating necessity

A group of elements, either human or nonhuman, that are organized and arranged in such a way that the elements can act as a whole toward achieving some common goal, objective, or end is called:

Select correct option:

System

The detailed project scope statement includes which of the following(s)

Select correct option:

All of the above

Which of the following refers to exchanging routine information and processing paper work?

Select correct option:

Communication

PERT is basically which of the following tool(s)

Select correct option:

Both a b (control and management tool)

Which of the following plans are short term and deal with the day-to-day work of their team?

Select correct option:

Operational plan

For competitive bidding of projects, which of the following stage(s) is/are included?

Select correct option:

Conceptual phase

Which of the following refers to "A goal, target, or quota to be achieved by a certain time"?
Objective

The main factor for Kala Bagh Dam project as it could not be started because it was not feasible

Select correct option:

Politically
Legally
Both
None **(I select politically not sure)**

First Major Step in Planning Process after Project Requirements definition is to develop:

Wbs (work breakdown structure)

Which of the following used in the criteria to identify discrete tasks that have definable end results?

Select correct option:

Work package

All of the following are the phases of life cycle in computer programing except

Build up

Which of the following is a Master production schedule?
Production plan

Which of the following is the knowledge of and proficiency in activities involving methods, process, and procedures?

Select correct option:

Technical skill

In project pricing, projection of expenses is made based on which of the following(s)

All of the above right answer
• Historical direct/indirect labour ratios
Changes in public laws
Manpower requirements and turnover rates

Which of the following is also known as benefit cost ratio?

Profitability index

Mgmt627
Quiz no 3

1#

Scope defines the size of the project. Scope include(s) which of the following(s)?
Departments
b) Geographic locations
c) Deliverables
d) All of the given (right answer) page 180

2#

Refining the estimating criteria is_____of scheduling.
Objective (right answer) page 165

3#

Through Project management software's, we can achieve
Effectiveness
Efficiency

Both (right answer) m not sure about this

4#

The detailed project scope statement includes which of the following
Project boundaries
Project constraints
Both a,b (right answer) page 187

5#

Who among the following is responsible to provide technical

directions to any problem?
Assistant project manager
Program manager
Line manager (right answer) not sure (from past papers)
Project manager

6#

Detailed schedules are developed for which of the following?

for the doers and lower-level control (right answer) page 164

7#

PERT is basically which of the following tool(s)
Planning tool
Control tool
Both a and b (right answer)

8#

Scope creep can be a result of:
Poor change control
Weak project manager or executive sponsor

Both a and b (right answer) page no 181

9#

Which of the following is a Master production schedule?
Production plan (right answer) page 166

10#

If the company underestimates the salary structure,

It will be cause

Increased costs and decreased profits (right answer) page no 233

My today current quiz

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Quiz Start Time: 05:32 PM

Question # 1 of 20 (Start time: 05:32:58 PM) Total Marks: 1

All of the following are included in the Organizational Level Planning EXCEPT:

Select correct option:

- Recognition /Resolution of Group Conflict of Goals
- Assignment & Acceptance of Individual Responsibili
- Assignment & acceptance of Group responsibilities
- Motivation & commitment to organizational goals

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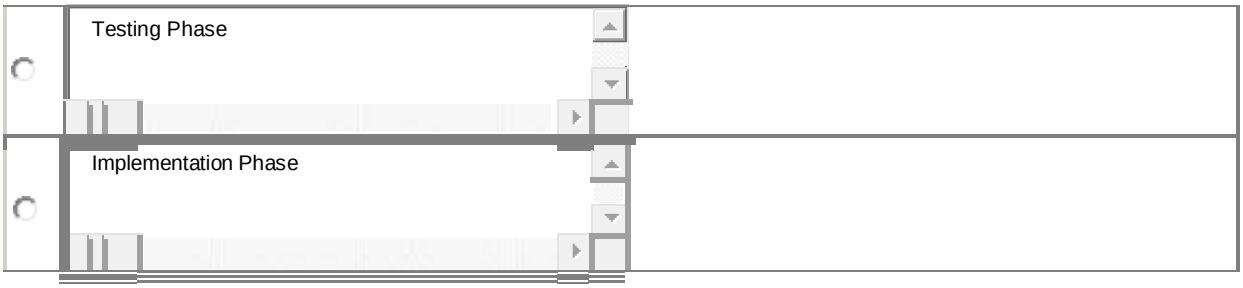
Quiz Start Time: 05:32 PM

Question # 2 of 20 (Start time: 05:34:28 PM) Total Marks: 1

Which of the following involves a firm identification of the required resources along with the establishment of realistic time, cost, and performance parameters?

Select correct option:

- Conceptual Phase
- Planning Phase



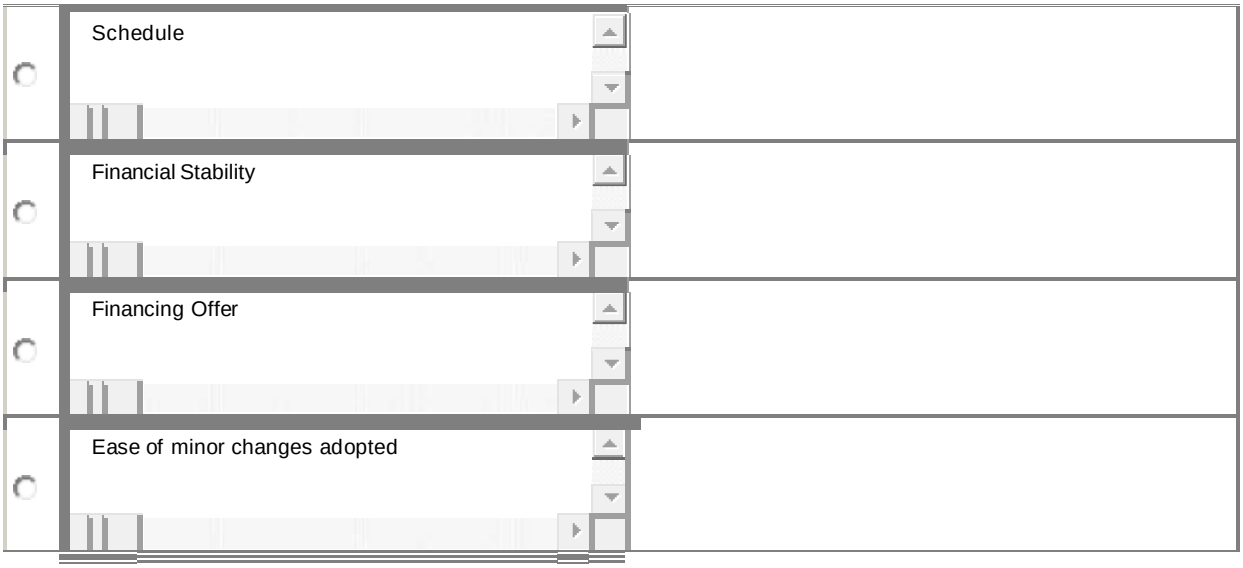
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Quiz Start Time: 05:32 PM

Question # 3 of 20 (Start time: 05:35:44 PM) Total Marks: 1

All of the following are relevant factors of competitive bids EXCEPT:

Select correct option:



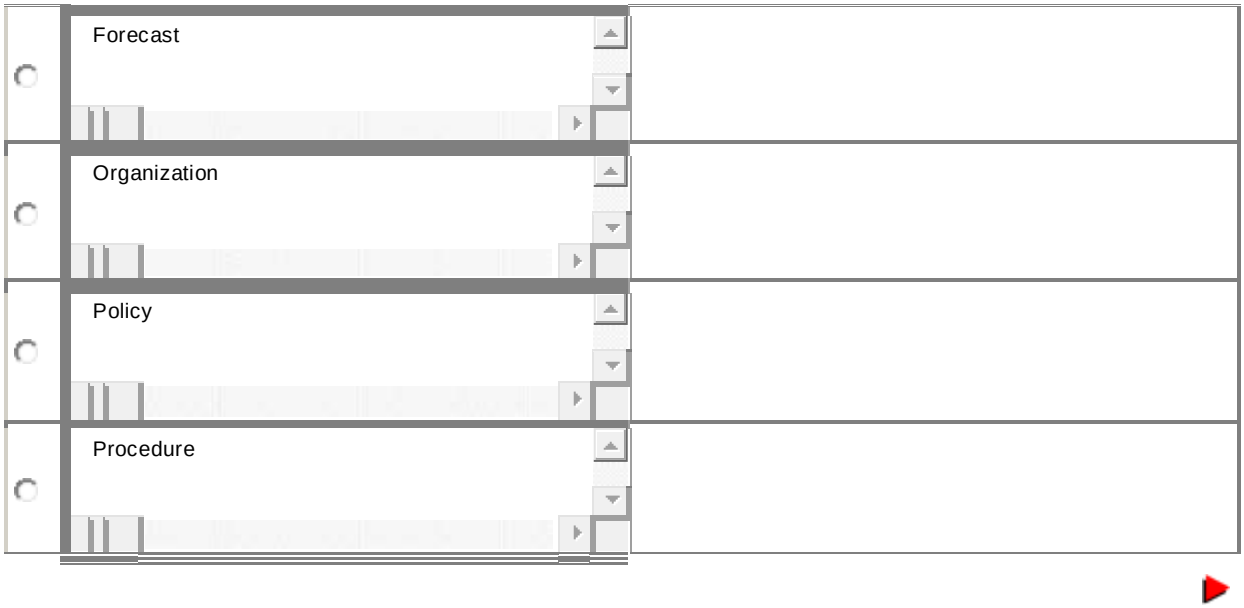
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Quiz Start Time: 05:32 PM

Question # 4 of 20 (Start time: 05:36:31 PM) Total Marks: 1

Which of the following refers to “A general guide for decision making and individual actions”?

Select correct option:



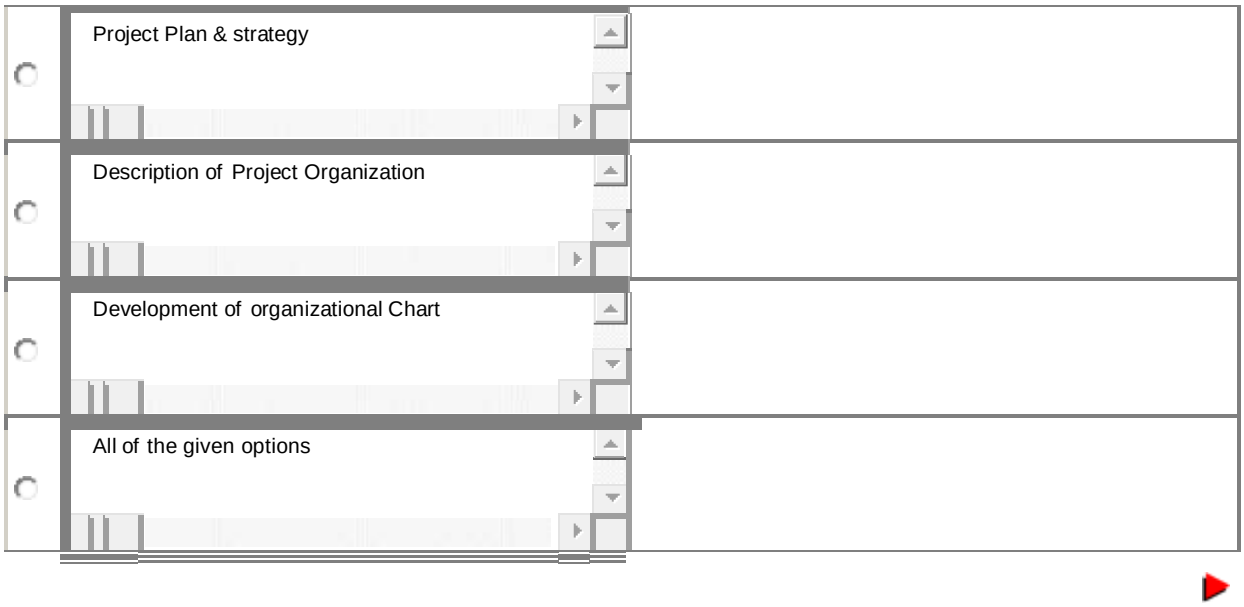
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Quiz Start Time: 05:32 PM

Question # 5 of 20 (Start time: 05:37:18 PM) Total Marks: 1

Which of the following is the responsibility of proposed project manager?

Select correct option:



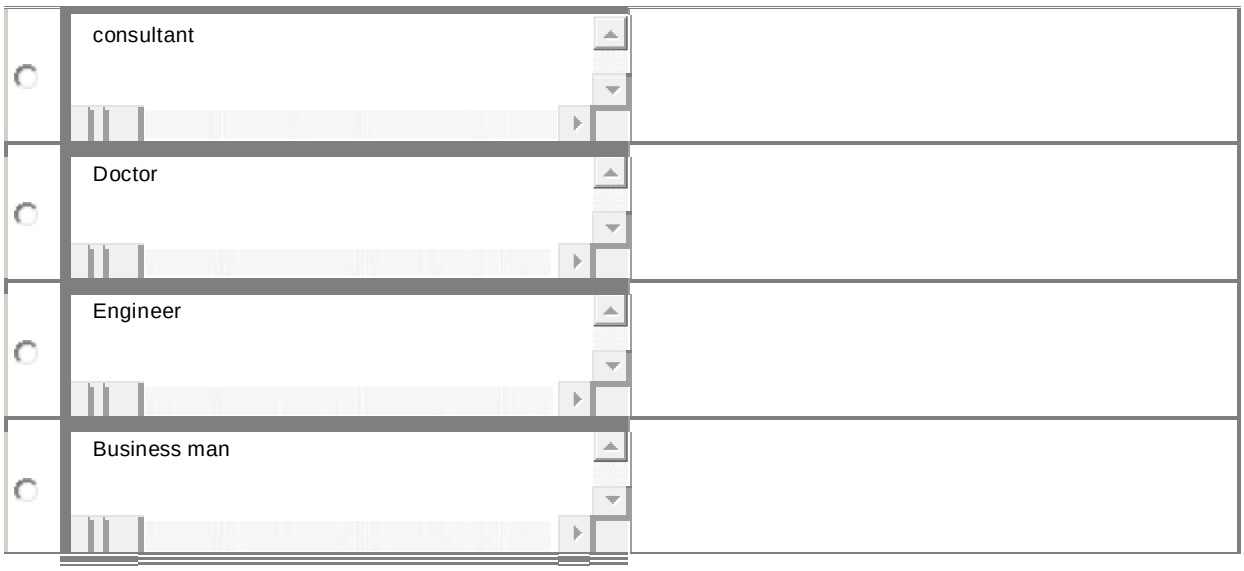
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Quiz Start Time: 05:32 PM

Question # 6 of 20 (Start time: 05:37:41 PM) Total Marks: 1

Fredrick Taylor, the Father of Scientific Management, was a/an_____.

Select correct option:



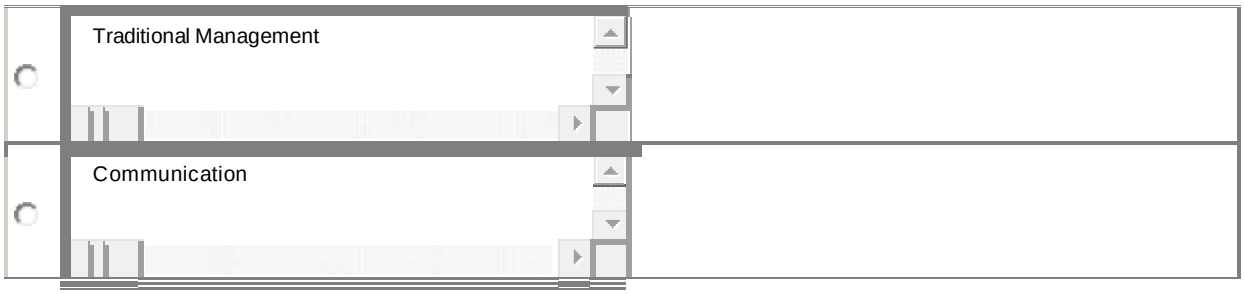
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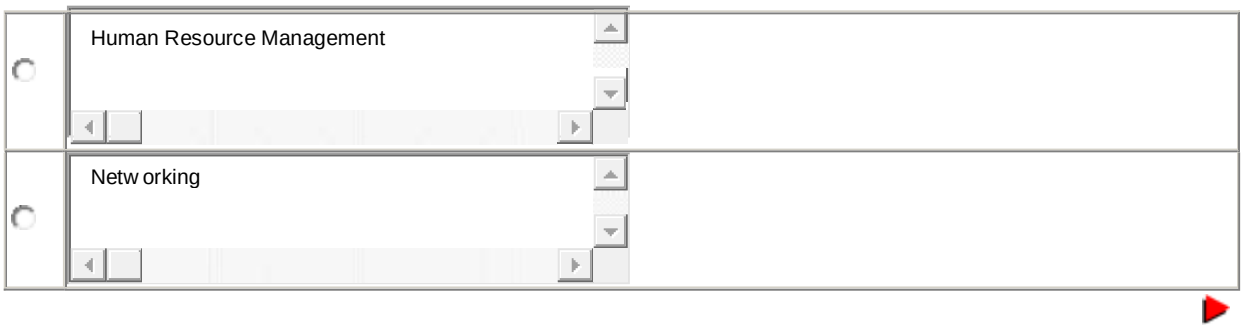
Quiz Start Time: 05:32 PM

Question # 7 of 20 (Start time: 05:38:49 PM) Total Marks: 1

Which of the following involves motivation, disciplining, managing conflict, staffing, and training?

Select correct option:





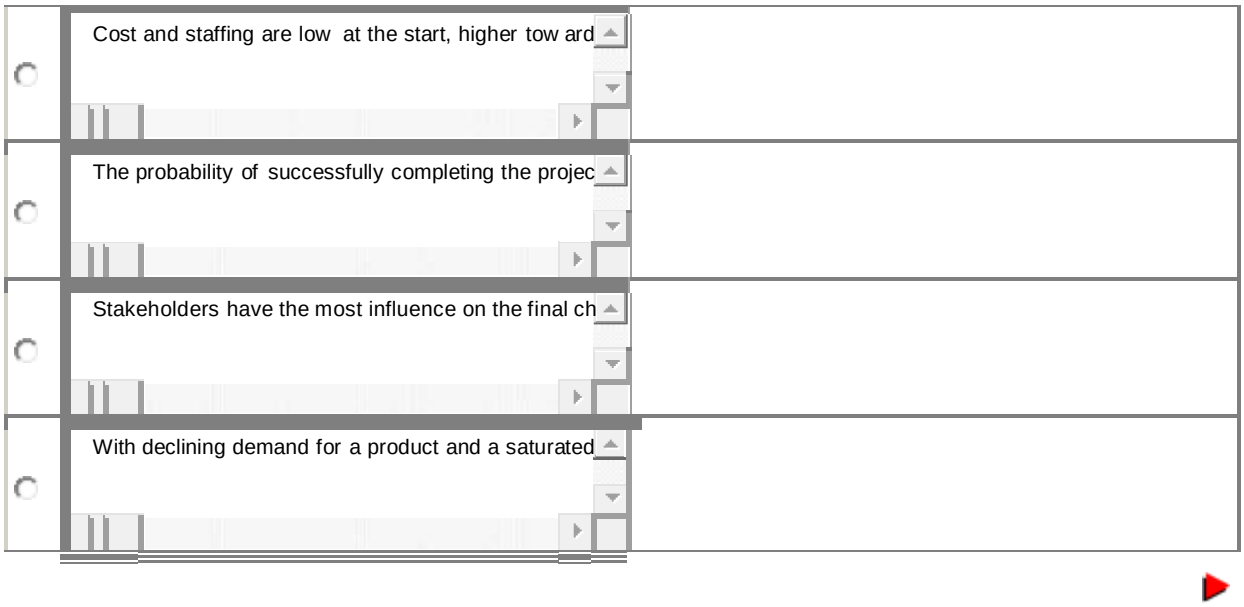
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Quiz Start Time: 05:32 PM

Question # 8 of 20 (Start time: 05:39:46 PM) Total Marks: 1

Which of the following is a common characteristic of most project life cycle descriptions?

Select correct option:



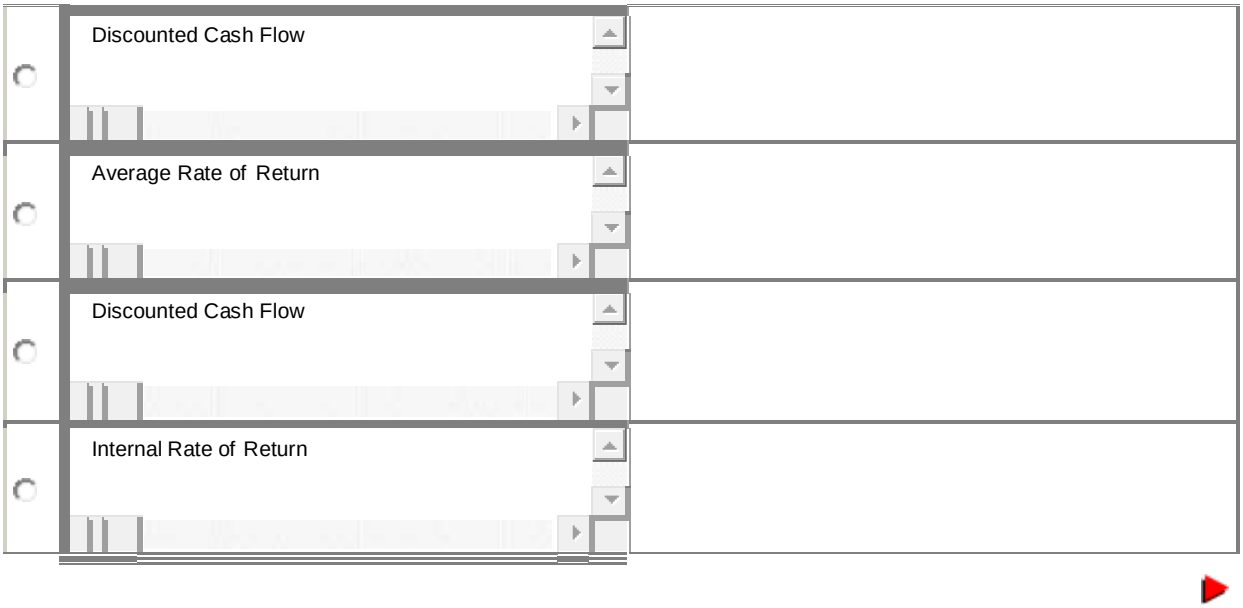
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Quiz Start Time: 05:32 PM

Question # 9 of 20 (Start time: 05:41:10 PM) Total Marks: 1

Which of the following is often mistaken as the reciprocal of the payback period?

Select correct option:



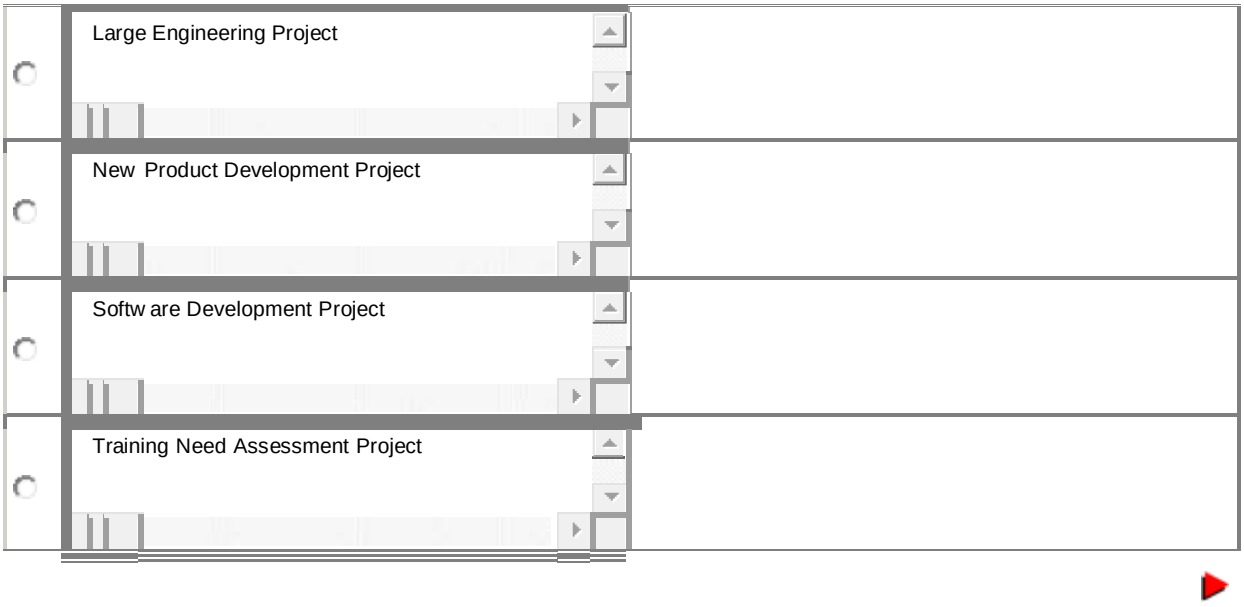
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Quiz Start Time: 05:32 PM

Question # 10 of 20 (Start time: 05:42:00 PM) Total Marks: 1

Which of the following has poorly defined project methods, but has well defined end project requirements?

Select correct option:



Time Left 34

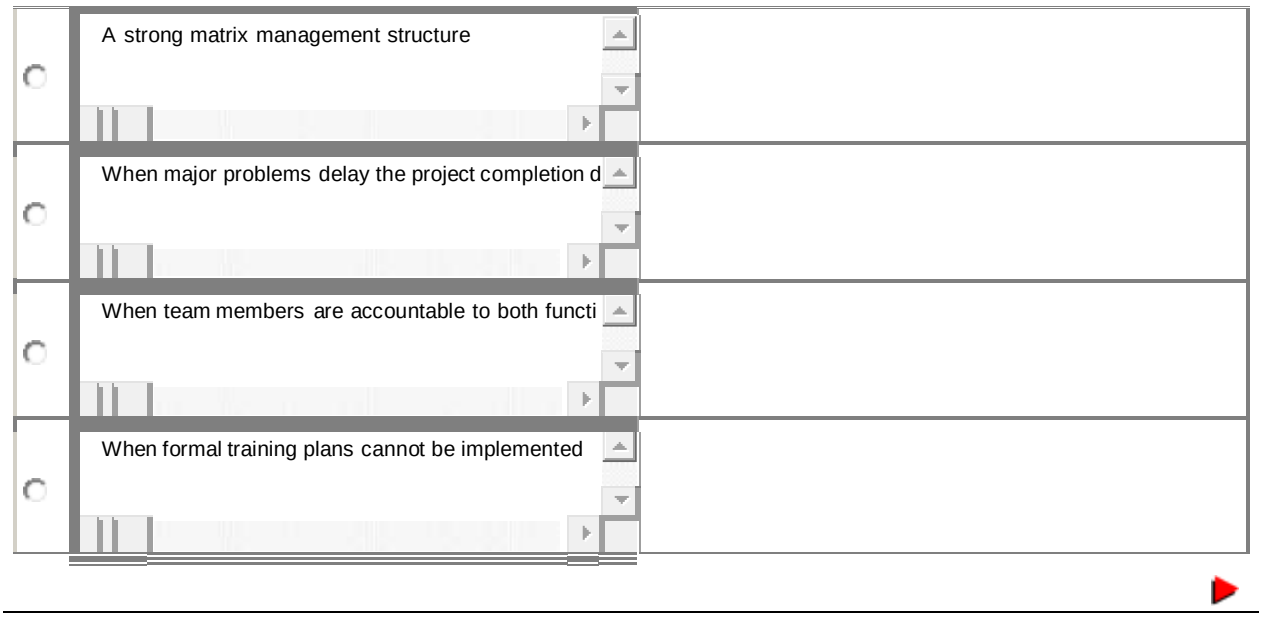
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Quiz Start Time: 05:32 PM

Question # 11 of 20 (Start time: 05:43:14 PM) Total Marks: 1

Which of the following is a key barrier to team development?

Select correct option:



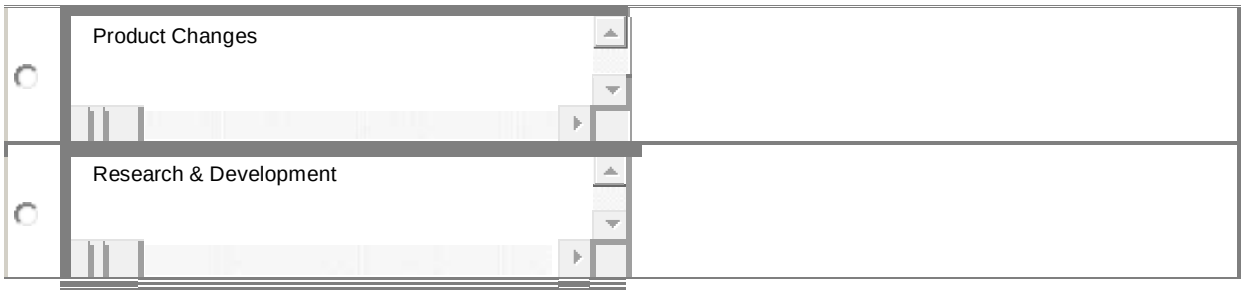
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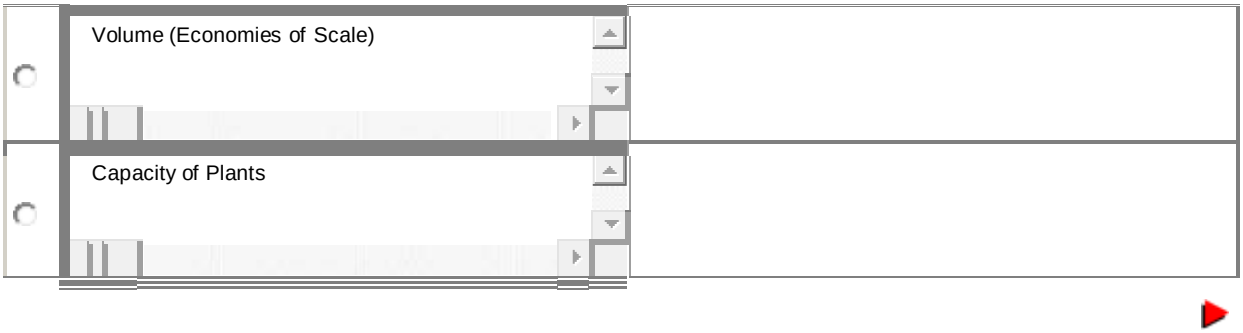
Quiz Start Time: 05:32 PM

Question # 12 of 20 (Start time: 05:44:23 PM) Total Marks: 1

All of the following are internal operating variables for strategic planning in the tire industry EXCEPT:

Select correct option:





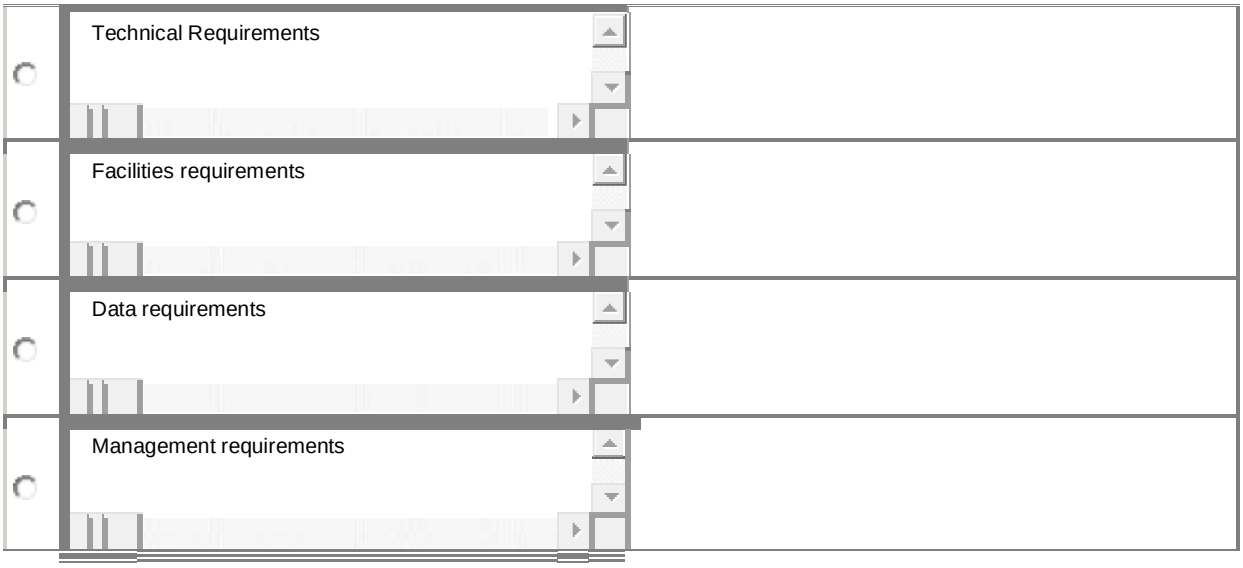
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Quiz Start Time: 05:32 PM

Question # 13 of 20 (Start time: 05:45:38 PM) Total Marks: 1

Which of the following include codes, standards, laws, engineering or design specifications, models, or examples for mandatory or recommended compliance on the project?

Select correct option:



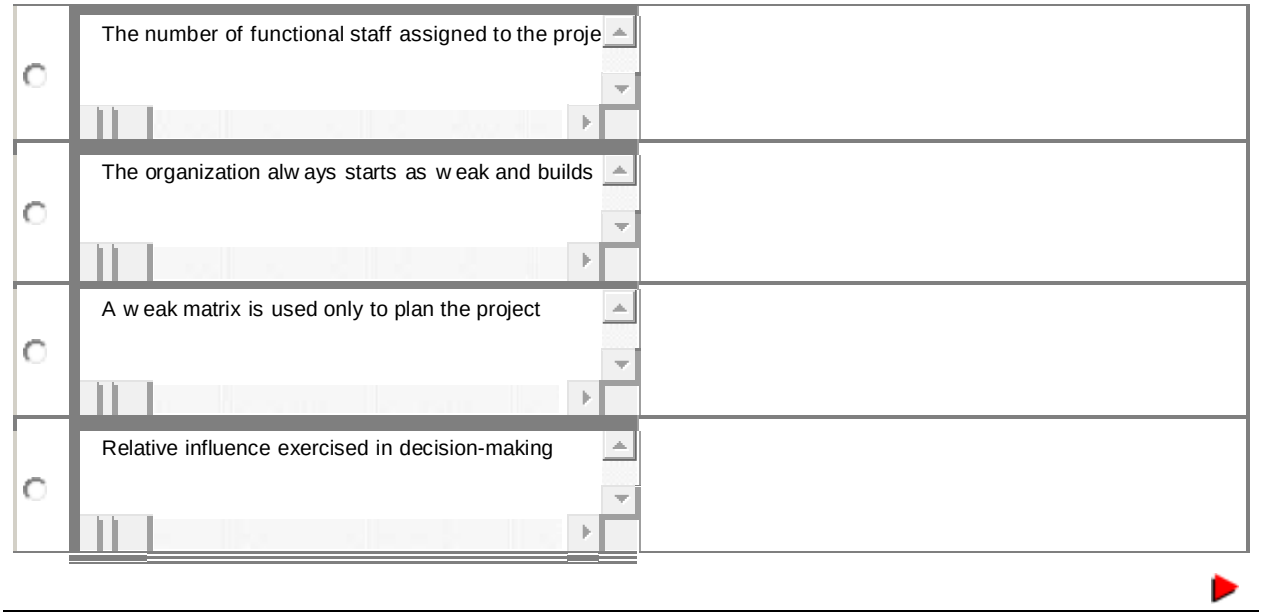
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Quiz Start Time: 05:32 PM

Question # 14 of 20 (Start time: 05:46:35 PM) Total Marks: 1

The matrix organization has two forms: the weak matrix and the strong matrix. Which of the following is the primary difference between these two forms?

Select correct option:



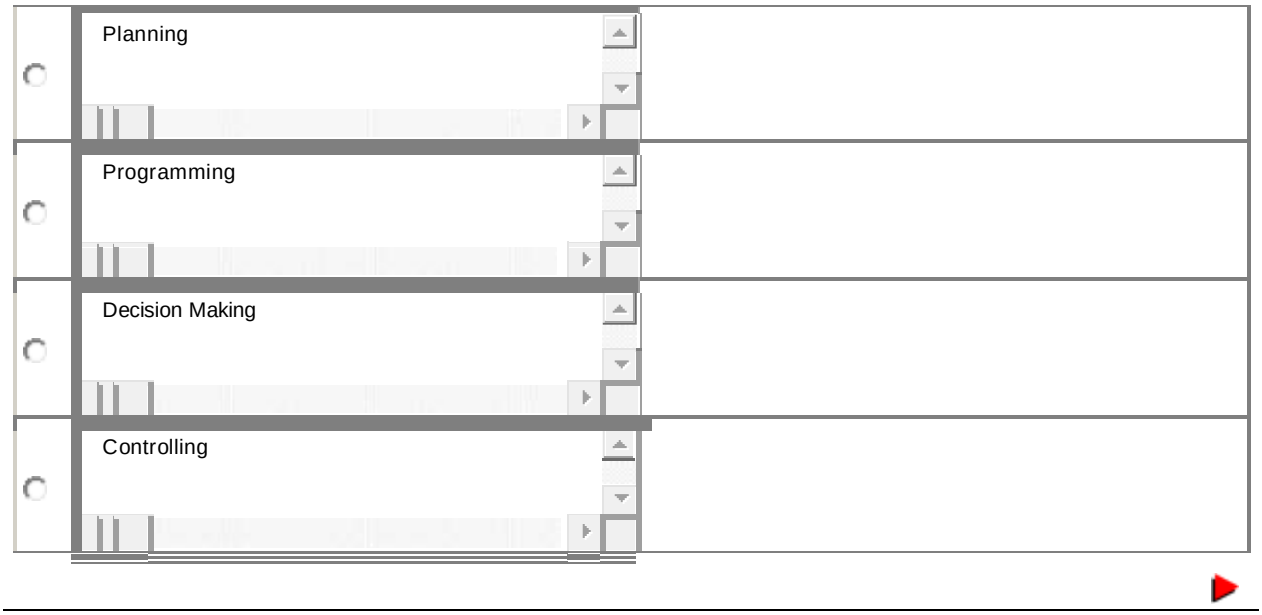
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Quiz Start Time: 05:32 PM

Question # 15 of 20 (Start time: 05:47:24 PM) Total Marks: 1

Which of the following refers to “Determining what needs to be done, by whom, and by when; in order to fulfill one's assigned responsibility”?

Select correct option:



Time Left 40

sec(s)

Quiz Start Time: 05:32 PM

Question # 16 of 20 (Start time: 05:48:22 PM) Total Marks: 1

Which of the following is the suitable level of accuracy in case cost estimate?

Select correct option:

- -5% to +5%
- -5% to +10%
- -5% to +15%
- -5% to +20%

Time Left 22 sec(s)

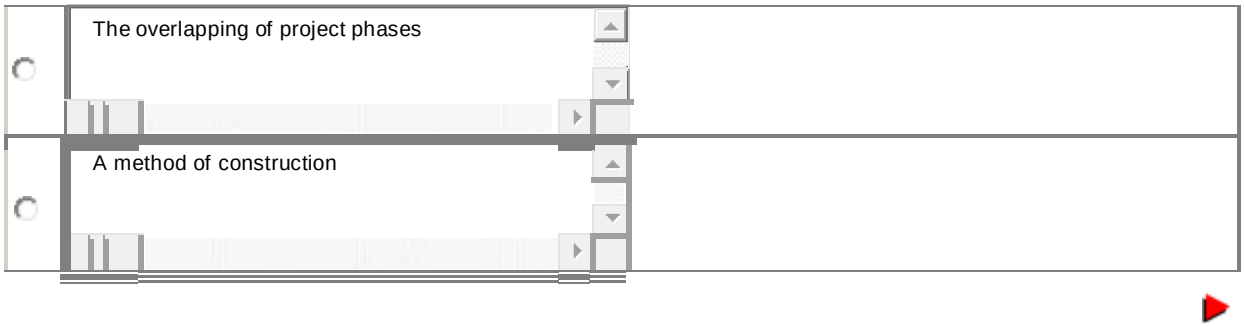
Quiz Start Time: 05:32 PM

Question # 17 of 20 (Start time: 05:49:21 PM) Total Marks: 1

Which of the following statements best defines the Fast Tracking?

Select correct option:

- A method of project scheduling
- Linking of a project to the ongoing operations of the



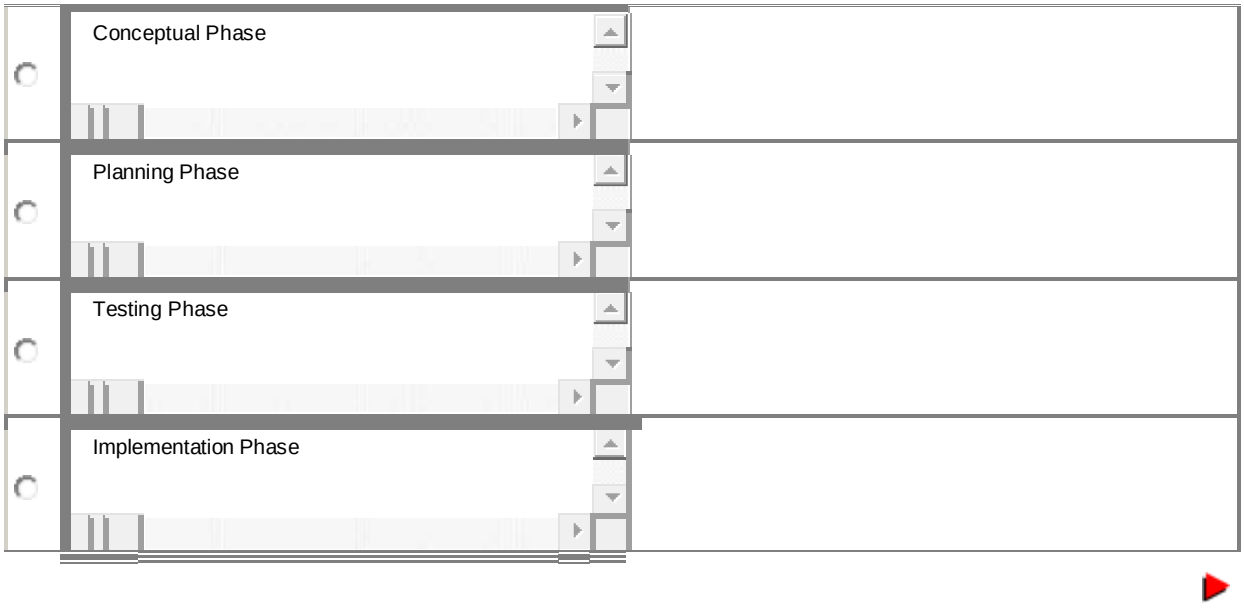
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Quiz Start Time: 05:32 PM

Question # 18 of 20 (Start time: 05:50:42 PM) Total Marks: 1

Which of the following includes the preliminary evaluation of an idea?

Select correct option:



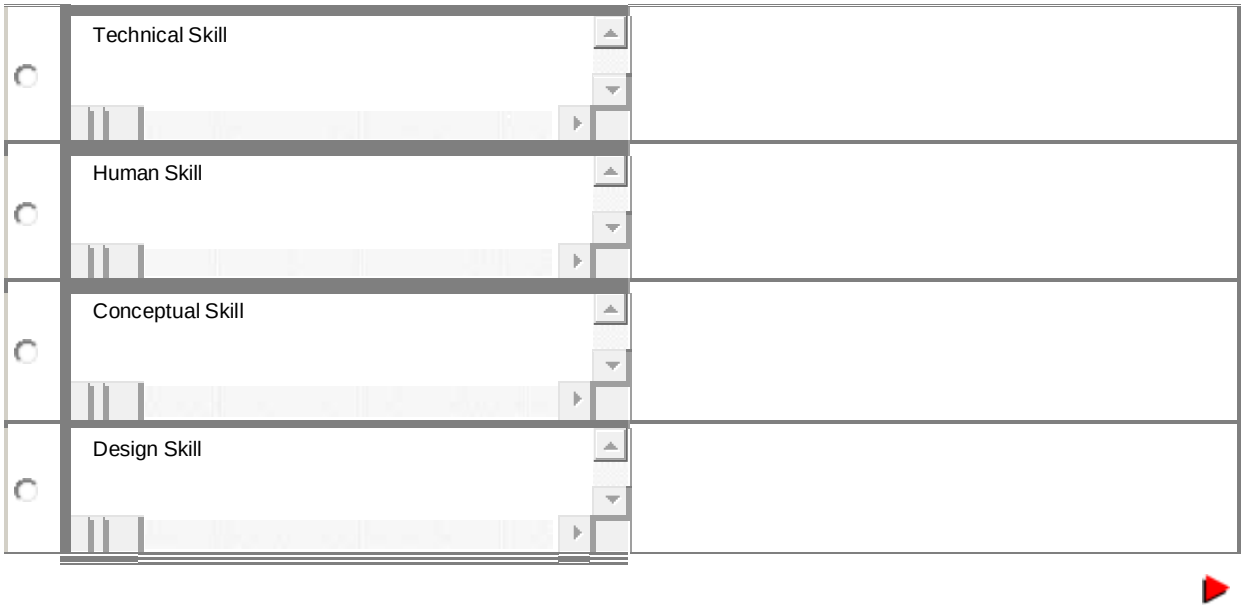
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Quiz Start Time: 05:32 PM

Question # 19 of 20 (Start time: 05:51:32 PM) Total Marks: 1

Which of the following is the ability to solve problems in such ways that benefit the organization?

Select correct option:



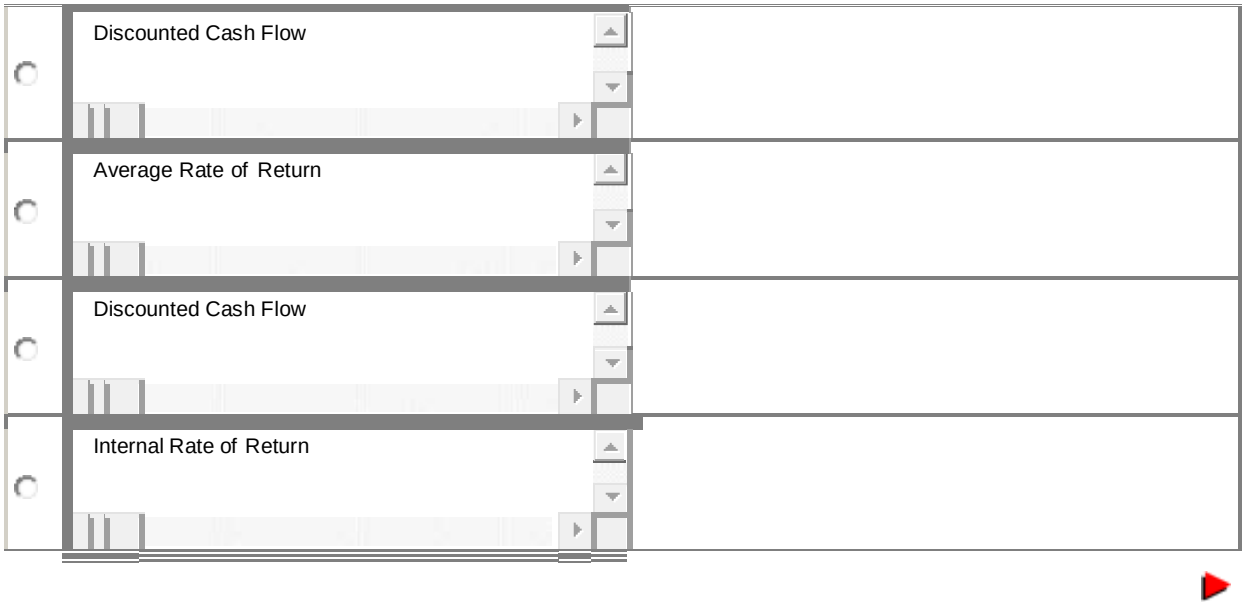
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Quiz Start Time: 05:32 PM

Question # 20 of 20 (Start time: 05:52:25 PM) Total Marks: 1

Which of the following is the ratio of the average annual profit (either before or after taxes) to the initial or average investment in the project?

Select correct option:



MGMT627 Midterm

Which of the following refers to a narrative description of the work to be accomplished?

The statement of work (SOW) The project specifications The milestone schedule **The work breakdown structure (WBS)**

Question # 2 of 20…. Which of the following statements is TRUE for Work breakdown Structure (WBS)?

Project Manager must structure work into small elements that are manageable

Project Manager must structure work into small elements that are independent

Project Manager must structure work into small elements that are measurable

All of the given options

Scope of a project is the.....total of all of a project's products and their requirements or features

Sum Product Sum and product None of the above

Q.Which of the following life cycle phases includes brainstorming and common sense at planning stage?

Conceptualization Feasibility Preliminary planning Detail planning

Question # 6 of 20…. Quality assurance is:

Detection based Inspection based Prevention based People based

Q.The three general preconditions for achieving lasting success as a project manager are:

Technical Skills, Ability, Human Skills and Design Skill Ability, Motivation to manage and Opportunity

Motivation to manage, Opportunity and Conceptual Skill Ability, Capacity and Supervision

Q.Which of the following statements gives the Technical definition of Project Planning?

Working out of sub-components in some degree of detail

To cover area of government legislation & regulation related to "use of resources"

"Planned use of any /all resources"- Succession of five year plans

Structured sequence of events leading to desired set of objectives

Question # 9 of 20 ….Which of the following require input from a large number of functional units and usually control vast resources?

Individual projects Staff projects Special projects **Matrix or Aggregate projects**

Question # 10 of 20…. Which of the following is the responsibility of proposed project manager?

Project Plan & strategy Description of Project Organization Development of organizational Chart

All of the given options

Question # 11 of 20….Which of the following is the discount rate that equates the present values of the two sets of flows?

Discounted Cash Flow Pay Back Period Discounted Cash Flow

Internal Rate of Return

Question # 12 of 20 ….Which of the following items involves the quantitative aspects of planning?

Budget development Project administration

Leadership styles Conflict management

Question # 13 of 20…. The main purpose of a_____is to function as a blueprint for the group's business operations.

Business Plan Scope statement Feasibility Study Work Breakdown Structure

Question # 14 of 20…_____is the lowest level of quality development.

Quality Assurance Quality Management **Inspection** Total Quality Management

Question # 15 of 20…. Fredrick Taylor- Father of Scientific Management was a _____

Mechanical Engineer Chemical Engineer
Technical Engineer Electrical Engineer

Question # 16 of 20…. Fitness to cost can be obtained by:

Determining the customer's needs Building of customer needed products

Obtaining high quality and low cost products Developing quality management

Question # 17 of 20…. All of the following are relevant factors of competitive bids EXCEPT:

Schedule Financial Stability Financing Offer **Ease of minor changes adopted**

Question # 18 of 20 …The emphasis is changed from product to process at_____stage.

Inspection Quality control Quality management Quality assurance

Question # 19 of 20….. Quality is defined by_____.

Customer Proposal manager Higher management Quality management

Q. Which of the following require input from a large number of functional units and usually control vast resources?

Individual projects Staff projects
Special projects Matrix or Aggregate projects*

Q. Which of the following is the responsibility of proposed project manager?

Project Plan & strategy Description of Project Organization
Development of organizational Chart All of the given options

Q. Which of the following is the discount rate that equates the present values of the two sets of flows?

Discounted Cash Flow Pay Back Period Discounted Cash Flow
Internal Rate of Return Internal Rate of Return (IRR):

Q. If we have a set of expected cash inflows and cash outflows, the internal rate of return is the discount rate that equates the present values of the two sets of flows.

Which of the following items involves the quantitative aspects of planning?

Budget development Project administration
Leadership styles Conflict management

Q. The main purpose of a_____is to function as a blueprint for the group's business operations.

Business Plan Scope statement Feasibility Study Work Breakdown Structure

Q. The business plan provides the "blueprint" for project implementation.

_____is the lowest level of quality development.

Quality Assurance Quality Management Inspection Total Quality Management

This comprises of the following "five level model":

1. Inspection
2. Quality Control
3. Quality Assurance
4. Quality Management
5. Total Quality Management

Q. Fredrick Taylor- Father of Scientific Management was a _____

Mechanical Engineer Chemical Engineer
Technical Engineer Electrical Engineer

Q. Fitness to cost can be obtained by:

Determining the customer's needs Building of customer needed products
Obtaining high quality and low cost products Developing quality management

Q. All of the following are relevant factors of competitive bids EXCEPT:

Schedule Financial Stability
Financing Offer Ease of minor changes adopted

Q. The emphasis is changed from product to process at_____stage.
Inspection Quality control
Quality management Quality assurance

Q. Quality is defined by_.
Customer Proposal manager
Higher management Quality management

1.1 True/False

1) Projects, rather than repetitive tasks, are now the basis for most value-added in business.
Answer: TRUE

2) Projects have a process orientation.
Answer: FALSE

3) A typical project stays within functional and organizational boundaries.
Answer: FALSE

4) The special nature of projects relieves project managers from their routine of planning, organizing, motivating, directing, and controlling.
Answer: FALSE

5) A project exists outside of the standard line organization.
Answer: TRUE

6) The initial goal and technical specifications of the project are developed during the planning stage.
Answer: FALSE

7) Client interest in a project is highest during the termination and conceptual phases.
Answer: TRUE

8) The classic triple constraint standard for project performance is composed of time, cost, and client acceptance.
Answer: FALSE

9) The business success dimension of project success determines whether the project achieved significant commercial success.
Answer: TRUE

10) The Atkinson model for assessing project success gathers input from all of the project's stakeholders.
Answer: TRUE

11) The use of benchmarking allows companies that are relatively immature at project management to achieve quantum leaps of improvement.
Answer: FALSE

12) Most effective project maturity models chart both a set of standards that are currently accepted as state-of-the-art as well as a process for achieving significant movement towards these benchmarks.
Answer: TRUE

13) Acme uses no recognizable project management processes and has entertaining project meetings because each member has a unique way of reporting progress or lack thereof. Acme is most likely at the

moderate level in the generic project management maturity model.
Answer: FALSE

14) Any organization, no matter how initially unskilled in project management, can begin to chart a course toward the type of project organization they wish to become.
Answer: TRUE

15) A company's culture has little impact on whether projects are successfully implemented.
Answer: FALSE
Diff: 2

1.3 Multiple Choice

1) Which of the following types of activities is more closely associated with projects rather than processes?
A) an activity that is ongoing B) an activity that is day-to-day
C) an activity that uses existing systems D) an activity that establishes its own work rules *

2) Which of the following is accomplished through project management?
A) A cellular phone company activates a new customer's service.
B) An automotive manufacturer produces a day's quota of vehicles.
C) A software developer creates a new crash-proof operating system. *
D) A retailer restocks the shelves after a day of brisk sales.

3) A project typically has:
A) a defined start and end date. * B) a defined start date but no defined end date.
C) no defined start but a defined end date. D) no defined start or end date.

4) The Project Management Body of Knowledge Guide definition of a project indicates that a project is:
A) multifunctional. B) temporary. *
C) designed to consume human resources. D) limited by a budget.

5) Project members may be from:
A) different departments. B) other organizational units.
C) one functional area. D) all of the above. *

6) There is no such thing as a project team:
A) with a deliverable. B) with an on-going, non-specific purpose. *
C) with a goal. D) with a project manager

7) A project that results in "doing the wrong things well" has ignored the:
A) budgetary goal. B) technical goal.
C) customer satisfaction goal. * D) scheduling goal.

8) Which of these is **NOT** characteristic of a project?
A) Projects are responsible for the newest and most improved products, services, and organizational processes.
B) Projects are ad hoc endeavors with a clear life cycle.
C) Projects provide a philosophy and strategy for the management of change.
D) Traditional process management functions of planning, organizing, and controlling do not apply to project management. *

9) Which of the following is NOT a project constraint?
A) the budget B) the customer requirements *
C) the schedule D) the technical specifications

10) Projects differ from classic organizational processes because projects are:

A) discrete activities. * B) part of line organization.
C) well established systems in place to integrate efforts. D) multi-objective.

11) Process management features_____with respect to project management.
A) greater heterogeneity B) greater certainty of performance *
C) greater numbers of goals and objectives D) lower adherence to established practices

12) Studies of IT projects reveal that:
A) initial cost estimates are overrun by an average of 15%.
B) over 66% of IT projects were delivered to customers but not used.
C) about 25% of all IT projects become runaways by overshooting budgets and timetables.
D) up to 75% of software projects are cancelled. *

13) A business reality that makes effective project management critical is the fact that:
A) products are becoming increasingly simple. B) inflation is rampant.
C) product life cycles are compressing. * D) product launch windows are widening.

14) A product is introduced into a market, gains the acceptance of a fickle public, and finally is supplanted by a new and improved offering. This phenomenon is known as the:
A) product life cycle. * B) rule of 80.
C) Mendoza line. D) beta.

15) Low inflation is a trigger for improved project management skills because:
A) rampant cost increases must be passed along to the consumer.
B) internal process improvement is accomplished via project management. *
C) lower inflation means narrower product launch windows.
D) global markets are a prerequisite for low inflation.

16) The technical side of project management emphasizes:
A) team building. B) conflict management.
C) negotiation. D) budgeting. *

17) The behavioral side of project management emphasizes:
A) scheduling. B) leadership. * C) planning. D) project selection.

18) Geoffco's project manager names three individuals and requests a project budget of $3,000,000 for the new 8-Pod, a backpack-sized personal music player for 8-track tapes capable of holding up to 100 songs from the '60s and '70s. This important step takes place during_____of the project life cycle.
A) planning B) conceptualization * C) execution D) termination

19) Individual activities and their durations are developed during the_____phase of the project life cycle.
A) planning * B) conceptualization C) execution D) termination

20) Keith Monroe nails hundreds of pieces of culled lumber in the blazing July sun to form a parquet deck for his barn roof. He and his assistant are clearly in:
A) the termination stage of the project life cycle. B) the planning stage of the project life cycle.
C) the execution stage of the project life cycle. * D) way over their heads.

21) The MBA redesign committee presents the results of their five-year project to their bemused Dean. They hope it is not just wishful thinking that they are in the:
A) planning phase. B) conceptualization phase.
C) execution phase. D) termination phase. *

22) Client interest is typically at its lowest during the:

A) conceptualization phase. B) planning phase.
C) execution phase. * D) termination phase.

23) The degree of innovation and creativity is typically at its highest during the:
A) conceptualization phase. B) planning phase.
C) execution phase. * D) termination phase.

24) The amount of corporate investment is typically at its lowest in the:
A) conceptualization phase. * B) planning phase.
C) execution phase. D) termination phase.

25) The amount of corporate investment is typically at its highest in the:
A) conceptualization phase. B) planning phase.
C) execution phase. D) termination phase. *

26) The degree of risk associated with the project is typically at its highest during the:
A) conceptualization phase. * B) planning phase.
C) execution phase. D) termination phase.

27) The technical challenges that the project has to face are typically at their lowest during the:
A) conceptualization phase. B) planning phase.
C) execution phase. D) termination phase. *

28) The commitment of financial, human, and technical resources is highest during the:
A) conceptualization phase. B) planning phase.
C) execution phase. * D) termination phase.

29) The most recent addition to the four criteria of project success is:
A) time B) cost C) performance D) client acceptance *

30) Which of the following statements about project success criteria is best?
A) Project cost is an external performance measure.
B) Completion time is an internal performance measure. *
C) Client acceptance is an internal performance measure.
D) Client acceptance is often referred to as conducting a "quality" check.

31) A design project is completed on time, under budget, to the customer's satisfaction, and in adherence to the technical specifications agreed. The new product takes the market by storm and everyone associated with the project receives a coveted gold star. Under the four dimensions of project success model, the project still needs to show:
A) future potential.* B) business success.
C) impact on the customer. D) efficiency.

32) The dimension of project success that is realized first (chronologically) is:
A) future potential. B) business success.
C) impact on the customer. D) efficiency.*

33) The dimension of project success that is realized last (chronologically) is:
A) future potential.* B) business success.
C) impact on the customer. D) efficiency.

34) The dimension of project success that is measured by both an internal and external criterion is:
A) future potential. B) business success.
C) impact on the customer.* D) efficiency.

5) In the Atkinson model of project success, a project's impact to the surrounding community would be classified as:
A) an element of the iron triangle. B) a stakeholder benefit.*
C) an organizational benefit. D) a strategic goal.

36) ABC company compares the way they manage projects with the way rival NBC company manages projects. ABC company is engaged in:
A) corporate espionage B) ring level 0.
C) competitive benchmarking.* D) cutting edge practices.

37) Project management maturity models are NOT used to:
A) compare practices against an industry standard.
B) define a systematic route for improving project management practices.
C) evaluate current project management practices.
D) ascertain all stakeholders relevant to a project in the conceptualization phase.*

38) A spider web diagram is useful for:
A) showing company performance on a number of criteria simultaneously.*
B) collecting data on how a competitor manages projects.
C) identifying industry standards for project management maturity.
D) coaching, evaluating, and auditing projects.

39) The project maturity model developed by the Center for Business Practices would have _____ rings if a spider web diagram were used.
A) three B) four C) five* D) six

40) The most basic level in Kerzner's project management maturity model is:
A) common language.* B) common processes. C) initial process. D) ad hoc.

41) Carnegie Mellon's SEI model, ESI International's project framework, and the Center for Business Practices all call their highest level of maturity:
A) continuous improvement. B) optimizing.*
C) ganbei. D) comprehensive.

42) The author's synthesis of all well-known maturity models states that moderate project management maturity is characterized by:
A) ad hoc processes. B) little support from upper management.
C) project management training programs*. D) active exploration of ways to improve project management.

43) Which statement regarding the Project Management Institute's Project Management Body of Knowledge (PMBoK) is best?
A) The PMBoK consists of seven knowledge areas of project management skills and activities.
B) Each element of the iron triangle is represented by its own area*.
C) Project risk management is part of the integration section.
D) The institute's position that a properly planned project will not require any changes precludes the need for change control in the model.

Multiple Choice

1) Souder's project screening criterion that indicates an effective model must reflect organization objectives, including a firm's strategic goals and mission is called:

A) realism.
B) capability.

C) comparability.
D) ease of use.
Answer: A

2) A selection model that is broad enough to be applied to multiple projects has the benefit of:
A) ease of use.
B) comparability.
C) capability.
D) flexibility.
Answer: B

3) A project screening criterion that allows the company to compare long term versus short term projects, projects with different technologies, and projects with different commercial objectivesis:
A) flexibility.
B) ease of use
C) capability
D) realistic
Answer: C

4) If a model can be applied successfully by people in all areas and levels of an organization, it is said to possess the trait of:
A) capability.
B) ease of use.
C) flexibility.
D) realism.
Answer: B

5) An MBA redesign committee spends the better part of a decade traveling the Caribbean to benchmark graduate programs at other universities. Whatever screening model is being usedsuffers from poor performance on:A) realism.B) capabilityC) ease of useD) costAnswer: D

6) Souder's model selection criterion that encourages ease of adaptation to changes in tax laws, building codes, among others, is called:
A) ease of use.
B) cost.
C) capability.
D) flexibility.
Answer: D

7) A writer estimates it will take three months to generate spiffy documents to accompany aseminal work in operations management. He grossly underestimates the time required and misseshis deadline by two months. This estimate was:
A) objective and accurate.
B) subjective and accurate.
C) objective and inaccurate.
D) subjective and inaccurate.
Answer: D

8) A wedding planner allows $10,000 for flowers and three weeks to receive all RSVPs back from the list of 700 guests. Both estimates are correct within a fraction of a percent. We could describe this factoid as:
A) numeric and subjective.
B) numeric and objective.
C) non-numeric and subjective.
D) non-numeric and objective.

Answer: A

9) An internal operating issue in project screening and selection is:
A) expected return on investment.
B) change in physical environment.
C) patent protection.
D) the chance that the firm's goodwill will suffer due to the quality of the finished project.
Answer: B

10) Quality risk refers to the chance that:
A) the project relies on developing new or untested technologies.
B) the firm's reputation may suffer when the product becomes available.
C) the well-being of the users or developers may decline dramatically.
D) the firm may face a lawsuit.
Answer: A

11) One facet of risk in project screening is:
A) the change in manufacturing operations resulting from the project.
B) the initial cash outlay.
C) the potential for lawsuits or legal obligation.
D) the strategic fit of the project with the company.
Answer: C

12) One project factor that directly impacts a firm's internal operations is the:
A) expected return on investment.
B) financial risk.
C) need to develop employees.
D) impact on company's image.
Answer: C

13) A commercial factor in project selection and screening might be:
A) a need to develop employees.
B) the likelihood that users of the project are injured.
C) the long-term market dominance.
D) the impact on the company's image.
Answer: C

14) Which statement regarding project selection is best?
A) Organizational reality can be perfectly captured by most decision-making models.
B) Before selecting any project, the team should identify all the relevant issues that play a role in project selection.
C) Decision models must contain either objective or subjective factors.
D) Every decision model has both objective and subjective factors.
Answer: D

15) Which statement regarding project selection and screening criteria is best?
A) The most complete model in the world is still only a partial reflection of organization reality.
B) It is possible, given enough time and effort, to identify all relevant issues that play a role in project selection.
C) Decision models are either objective or subjective.
D) For many projects, more than 80% of the decision criteria are vital.
Answer: A

16) A checklist screening model does not consider:
A) whether one criterion is more important than another.
B) governmental or stakeholder interference.

C) product durability and future market potential of the product line.
D) the riskiness of the new venture.
Answer: A

17) A simple scoring model for project evaluation requires:
A) importance weights from 1 to 10 assigned to each criterion.
B) score values assigned to each criterion in terms of its rating.
C) a division of weights by scores to arrive at a standardized score for each criterion.
D) a summation for each criterion to achieve an overall criterion score.
Answer: B

18) The simple scoring model has this advantage over a checklist model for screening projects.
A) Scaling from 1 to 5 is extremely accurate.
B) Scaling models ensure a reasonable link between the selected and weighted criteria and the business objectives that motivated their selection.
C) Scaling models allow decision makers to treat one criterion as more important than another.
D) Scaling models have been proven to make correct decisions better than 95% of the time while checklists only achieve 80% accuracy.
Answer: C

20) A simple scoring model is used to decide among three projects that we'll call A, B, and C. The total score for project A is 30, for project B is 20, and for project C is 10. Which of the following statements is best?
A) If project A is successfully completed, it will yield three times the benefits that project C would have provided.
B) If project C is chosen, the company would benefit only half as much as if they had chosen project B.
C) Project C is better than project B for this company at this point in time.
D) Project A is better than project B for this company at this point in time.
Answer: D

21) The first step in the Analytical Hierarchy Process:
A) requires supporting requirements to be combined into level II challenges.
B) is analyzing the process you intend to improve before undertaking any improvement project.
C) requires Saatyfication of the team members.
D) consists of constructing a hierarchy of criteria and sub criteria.
Answer: D

22) The pair wise comparison approach:
A) is a method to split the weights assigned to sub criteria.
B) is a method to compare pairs of hierarchies prior to any further analysis.
C) is a means of achieving all project objectives within the allocated time frame.
D) may be used instead of AHP if time is limited.
Answer: A

23) Which statement about the Analytical Hierarchy Process is false?
A) AHP scores are significant.
B) AHP can be used to capture choice options that do not yield positive outcomes.
C) AHP can improve the process of developing project proposals.
D) AHP groups sub criteria that share the weight of a common higher-level criterion.
Answer: B

24) The Analytical Hierarchy Process is being employed in a project selection decision. One major criteria, cost, receives a weighting value of 40%, which is split into short-term (50%), intermediate term (30%), and long-term (20%). Which of these statements is best?
A) Short-term, intermediate-term, and long-term must receive overall weightings that total100%.

B) There must be at least one other major criteria that has 40% weighting.
C) Intermediate-term cost receives a weighting of 12%.
D) Long-term cost receives an overall weighting of 80%.
Answer: C

25) The Analytical Hierarchy Process is used to decide among three projects that we'll call A, B, and C. The total score for project A is .650, for project B is .514, and for project C is .321.Which of the following statements is best?
A) Project A is twice as good as project C.
B) The analysis must be incorrect because the total scores should sum to 1.00.
C) The analysis must be incorrect because there are two total scores that exceed 0.50.
D) The analysis must be incorrect because project C's total score is odd.
Answer: A

26) The profile model plots a graph on a:
A) perception-reality pair of axes.
B) risk-return pair of axes.
C) efficiency-effectiveness pair of axes.
D) Saxon-Norman pair of axes.
Answer: B

7) The efficient frontier in project management is the set of portfolio options that offer:
A) a minimum return for a minimum risk.
B) a minimum return for a maximum risk.
C) a maximum return for a minimum risk.
D) a maximum return for a maximum risk.
Answer: C

28) Which statement about the use of the profile model is best?
A) The profile model requires careful calculation of the percentage risk for each possible project.
B) The scale used for the profile model can be any two numerical variables that a companydeems important.
C) The efficient frontier in the profile model is where return is 100% (or greater) and risk is 0%.
D) For a given level of risk, a positive move on the return axes would indicate a superior project.
Answer: D

29) Between projects A and B, project A will be considered a superior financial undertaking if ithas:A) a shorter payback period than project B.
B) a lower average rate of return than project B.
C) a lower net present value than project B.
D) a longer payback period than project B.
Answer: A

30) Net present value is being used to break the tie among four otherwise equal projects. If the interest rate is 4%, which of these anticipated four-year flows would yield the greatest net present value?
A) $10,000 in year 1; $11,000 in year 2; $12,000 in year 3; and $13,000 in year 4
B) $13,000 in year 1; $12,000 in year 2; $11,000 in year 3; and $10,000 in year 4
C) $10,000 in year 1; $10,000 in year 2; $13,000 in year 3; and $13,000 in year 4
D) $11,000 in year 1; $11,000 in year 2; $12,000 in year 3; and $12,000 in year 4
Answer: B

31) A company facing an interest rate of 8% must choose among projects offering the following four-year cash flows. If the company is employing the net present value criterion, which project should they choose?
A) $25,000 in year 1; $15,000 in year 2; $10,000 in year 3; and $5,000 in year 4
B) $5,000 in year 1; $5,000 in year 2; $20,000 in year 3; and $30,000 in year 4
C) $15,000 in year 1; $15,000 in year 2; $15,000 in year 3; and $15,000 in year 4

D) $5,000 in year 1; $5,000 in year 2; $25,000 in year 3; and $25,000 in year 4
Answer: C

32) Which of these statements about internal rate of return analysis is best?
A) If the IRR is less than the company's required rate of return, the project is worth funding.
B) Projects having lower IRR are generally superior to those having higher IRR.
C) IRR and NPV calculations always make the same investment recommendations.
D) If net outflows follow a period of net inflows, IRR may give conflicting results.
Answer: D

33) Which of these statements about valuation models is NOT correct?
A) NPV employs a weighted average cost of capital discount rate that reflects potential reinvestment.
B) IRR and NPV calculations typically make the same investment recommendations only when the projects are independent of each other.
C) If cash flows are not normal; IRR may arrive at multiple solutions.
D) IRR is a more robust determinant of project viability than NPV.
Answer: D

34) A project manager is using the internal rate of return method to make the final decision on which project to undertake. Which of these four projects have the highest internal rate of return?
A) $25,000 initial outlay with $10,000 cash inflows during the following five years
B) $12,500 initial outlay with $10,000 cash inflows during the following five years
C) $25,000 Initial outlay with $5,000 cash inflows during the following five years
D) $12,500 initial outlay with $5,000 cash inflows during the following five years
Answer: B

35) A project manager is using the internal rate of return method to make the final decision on which project to undertake. Which of these four projects have the highest internal rate of return?
A) $100,000 initial outlay with $10,000 cash inflows during the first two years, $20,000 during the third and fourth years, and $30,000 during the fifth year
B) $100,000 initial outlay with a $5,000 cash inflow during the first year, $15,000 cash inflow during the second year, and $25,000 cash inflows during years three through five
C) $75,000 initial outlay with a $5,000 cash inflow during the first year, increasing by $5,000 per year through the fifth year
D) $50,000 initial outlay with $5,000 cash inflows during the first two years, $15,000 during the third and fourth years, and $20,000 during the fifth year
Answer: D

36) Options models are used to assist in project selection decisions:
A) when IRR calculations are favorable but NPV calculations are unfavorable.
B) when a company may not recover the money it invests in a project.
C) when NPV calculations are favorable but IRR calculations are unfavorable.
D) when a company is guaranteed to recover the money it invests in a project.
Answer: B

37) Regardless of which selection method a firm uses, it should always:
A) be able to predict how much revenue will be returned to the firm each year.
B) know which project will ultimately succeed and which ones will fail.
C) be objective in their selection method.
D) use a weighted scoring technique.
Answer: C

38) The systematic process of selecting, supporting, and managing a firm's collection of projects is called:
A) heavyweight project management.
B) matrix project organization.

C) profile management.
D) project portfolio management.
Answer: D

39) The concept of project portfolio management holds that firms should:
A) regard all projects as unified assets.
B) manage projects as independent entities.
C) focus on short-term strategic goals.
D) focus on long-term constraints.
Answer: A

40) A project with the chance for a big payout may be funded if an important criterion is:
A) cost.
B) opportunity.
C) top management pressure.
D) risk.
Answer: B

41) A project is exceptionally risky might still be undertaken by a firm if they have several other projects underway that are considered more of a sure thing. This approach to project selection is best described by the criterion called:
A) strategic "fit".
B) risk.
C) desire for portfolio balance.
D) top management pressure.
Answer: C

42) Evaluating projects in terms of their strategic fit with existing project lines or their ability to augment the current product family is known as:
A) balance.
B) an open criterion
C) weighted criterion.
D) complementarity.
Answer: D

43) Realignment describes:
A) the change in a project portfolio with an addition of a new project.
B) the shifting of project resources from one to another.
C) the change in strategy for a firm.
D) the annual recasting of all project managers.
Answer: A

44) A proactive project portfolio:
A) is as simple as moving from one project opportunity to another project opportunity.
B) is an integrated family of projects with a common strategic goal.
C) is a collection of projects under the umbrella of single project manager carrying the title of portfolio manager.
D) is developed with respect to short-term operational concerns.
Answer: B

45) Which of these is NOT a factor in successful project portfolio management?
A) flexible structure and freedom of communication
B) low cost environmental setting
C) emphasis on quality
D) time paced transition

Answer: C

46) Multiple project environments thrive on:
A) multi-layered bureaucracy.
B) rigid development processes.
C) narrow communication channels.
D) improvisation by project teams.
Answer: D

47) A firm is best served if its project portfolio:
A) has a number of low-cost experimental prototypes.
B) devotes significant resources to hit product "home runs".
C) aims to take the marketplace by storm regardless of future trends.
D) represents narrowly concentrated efforts.
Answer: A

48) Successful firms use project portfolio planning routinely to:
A) make quantum jumps from one product to another.
B) develop products with long lead times and plan ahead.
C) move as quickly as possible into new territory.
D) move at glacial pace always within the same product line.
Answer: B

49) If an organization that currently is managing a vast and well-balanced portfolio of projects decides on a new strategic direction, it will initially face the problem of:
A) scarce resources.
B) a conservative technical community.
C) out-of-sync projects and portfolios.
D) unpromising projects.
Answer: C

50) A principle cause of portfolio underperformance is:
A) conservative technical communities.
B) government intervention.
C) out-of-sync projects.
D) scarce resources.
Answer: D

51) Project portfolio management is typically NOT used to balance:
A) human and technical resources.
B) risk and return.
C) efficiently run projects and nonperformers.
D) various families of projects.
Answer: A

Quiz # 3:

- Which of the following is the responsibility of the project proposed manager?
    - Project Plan & Strategy
    - Description of Project Organization
    - Development of Organizational Chart
    - All of the following
- Which of the following plans are short term and deal with day-to-day work of their team?
    - Strategic Plan
    - Tactical Plan
    - Operational Plan
    - Actual Plan
- Which of the following is essentially a process of determining the viability of a proposed initiative or service & providing a framework and directions for its development and delivery?
    - Project Plan
    - Scope Statement
    - Feasibility Study
    - Work Breakdown Structure
- All of the following factors affect the estimation decision except;
    - Size of Project
    - Size of Tea\m
    - Past Experience
    - Length of the Project
- Which of the following is an analytical tool used for the planning process, shows how a business will operate under an explicitly stated set of assumptions?
    - Project Plan
    - Scope Statement
    - Feasibility Study
    - Work Breakdown Structure
- Which of the following are projects that can be accomplished by an organizational unit, say a department;
    - Individual Projects
    - Staff Projects
    - Special Projects
    - Aggregate or Matrix Project
- Which of the following defines the 'Leading' Function of the Organization;
    - The process of setting objectives in any project and then determining what should be done to accomplish them.
    - The process of assigning tasks, allocating resources, and arranging coordinated activities to implement plans.
    - The process of arousing enthusiasm and directing HR efforts towards the project/organization.
    - The process of analyzing the results and taking actions to move towards the desired results.
- Which of the following statement gives the definition of the Project Plan;
    - To cover areas of government legislations
    - Planned use of any/all resources of the organization – Succession of five-year plan.
    - Structured sequence of events leading to desired objectives
- Which of the following is what system does and includes system design, reliability, quality, maintainability and reparability;
    - Effectiveness
    - Constraints
    - Strategies

Please mention whether following statements are true or false.

- A proposal project requires forming a team of the representatives for sales, project management, technical and support functions. (True)
- A carefully conceived financing package is often a proposal requirement. (True)
- Purpose of planning is to facilitate later accomplishment. (True)
- Effective total program planning can be accomplished without all of the necessary information becomes available at project initiation. (False)
- The IRR for a project is the initial fixed investment in the project divided by the estimated annual net cash inflows from the project. (False)

- The output of IRR is the number of years required for the project to repay its initial fixed investment. (False)
- Payback method assumes that the cash inflows will persist at least long enough to pay back the investment. (True)
- Payback method ignores any cash inflows beyond the payback period. (True)
- IRR is often mistaken as the reciprocal of the payback period. (False)
- The average rate of return is the ratio of the average annual profit (either before or after taxes) to the initial or average investment in the project. (True)
- State whether the following statements are True or False
- The classic triple constraint standard for project performance is composed of time, cost, and client acceptance. False
- The initial goal and technical specifications of the project are developed during the planning stage. False
- A company's culture has little impact on whether projects are successfully implemented. False
- In general, product life cycles are becoming shorter and product launch windows are becoming wider True

- The stages in a project's development are known as a(n) Project life cycle. True

- Detailed specifications, schematics, and schedules are all developed during the conceptualization stage.
- False

- The degree of risk associated with the project is at it highest during the Planning stage.
- False

- Most companies are well suited to allow for successful completion of projects in conjunction with other ongoing corporate activities.
- False

- Stakeholder analysis looks at a project's customers and determines whether their needs are being met.
- False

- Policies and procedures are examples of an organization's external environment.
- False

- A Project Management Office is designed to oversee or improve the management of projects without stripping responsibility from the project manager.
- True

- Functional departments maintain control over their resources and are responsible for managing their components of the project in a weak matrix.
- True

- Mission is the highest priority among strategic choice elements.
- True

- The efficient frontier in a profile model is the set of options that offers a maximum return for a given level of risk or a minimum risk for every level of return.
- True

- The most important thing to remember when using project selection models is to be consistent and objective.
- True
- State whether the following statements are True or False

- There has been a tremendous change in the views of quality over the last century. (True)

- "Cost of Quality" is one of the QA principals. (True)

- "Reliability Engineering" is not among the QA principals. (False)

- Quality control certifies that the organization's quality objectives are being met. (True)

- Project team members who have specific technical expertise on the various aspects of the project have no role in quality control. (False)

- A good QC system will not select what to control. (False)

- QA function attempts to ensure that the project scope, cost, and time functions are fully integrated. (True)

- The push for higher levels of quality does not appear to be customer driven. (False)

- One of the critical factors that can affect quality is market expectations. (True)

- Salability is the balance between quality and cost. (True)

- Quality Audit should not interfere following of laws and regulations. (False)

- Up to 85 percent of the quality problems could be controlled by the workers on the floor. (False)

- According to Aristotle, Quality is not only free, it is a Profit Maker. (False)

- "A wide variety of graphical & statistical methods to plan work activities, collect data analyze results, monitor progress, & solve problems" are called Quality Tools. (True)

- Empowerment means that managers must relinquish some of power that they previously held. (True)

1. What most distinguishes projects from day-to-day operation?
A. It has a definite budget.
B. It has to deliver specific outcomes at a predefined time.
C. It brings changes to the organization.
D. It requires planning.

2. Do you agree project management is an isolated discipline being used by only a few specific industry sectors?

A. Yes. Only industry sectors such as construction and IT are using project management.

B. Yes. Project management requires lots of mathematical skills that only engineers can handle.

C. No. Although not essential, it is trendy to apply some project management concepts.

D. No. Project management is now adopted by all industry sectors for projects large and small, and is absolutely essential for successful project delivery.

3. Risk is a difficult subject in project management because:

A. Risk involves something unknown.

B. People tend to believe a risk will not occur until it actually does.

C. Some risks are unpredictable and hence impossible to manage.

D. Some risks such as natural disaster or fire are impossible to prevent.

4. Changes are inevitable for every project. The implication is:

A. Project planning is not important as it will always be changed later.

B. A proper change control process has to be implemented.

C. It is mandatory to have customer signoffs for all planning documents to avoid subsequent changes

D. Skills in handling changes are more important than those in project planning for a project manager

5. The biggest challenge to a project manager in team management is:

A. Most project team members are expert in specific areas and consider the project manager not technically competent.

B. Many team members are employed on contract basis and busy looking for another job near the end of a project.

C. There are too many communication channels both within and outside the team.

D. Most of the time a project manager has to manage the team without formal authority.

6. Which of the following factors can definitely make a project fail?

A. The project team does not have insufficient skills.

B. The customer raises a lot of change requests.

C. The project team fails to communicate and build up working relation with the customer.

D. A key team member is pulled away from the project due to changing priority.

7. Quality, schedule and cost are three important objectives of any projects. Which of the following statement is true?

A. Their relative importance compared to each other varies from project to project and has to be decided by the stakeholders involved.

B. Quality is of equal importance to schedule and cost in today's projects; though in the past schedule and cost take precedence over quality.

C. They are usually called the triple constraints of project performance.

D. Quality is a performance objective for customer, whereas schedule and cost are performance objectives for the project team.

8. When a project needs to procure equipment or services from the outside, vendor management is a serious challenge for the project team because:

A. Vendors are motivated by self interests.

B. Contractual matters involve legal knowledge which is a difficult subject for most project teams.
C. Vendor usually pursues a different interest than the project team. For example, vendor is more concerned about profitability whereas the project team is concerned about on time delivery of the project.
D. Vendors present a security threat to the project team, as proprietary company information may easily be leaked to the outside world.

9. The project life cycle typically passes sequentially through:
A. Four Stages
B. Five Stages
C. Six Stages
D. Seven Stages

10. Which of the following statements about 'power and politics' is true for projects?

Quiz # 02
Spring 2008

1. The advantages of a pure matrix organizational are all of the following EXCEPT:
a. The project manager maintains maximum project control (through the line manager) over all resources, including cost and personnel.
b. The functional organizations exist primarily as support for the project.
c. Functional manager may be biased according to their own set of priorities.
d. Stress is distributed among the team (and the functional managers).

2. Matrix implementation requires which of the following?
a. Training in matrix operations
b. Training in how to maintain open communications
c. Training in problem solving
d. All of the above

3. The desired span of control, of course will vary from company to company and must take into account:
a. The demand imposed on the organization by task complexity
b. Available technology
c. The external environment
d. All of the above

4. Galbraith has described additional factors that can influence organizational selection. The factors are:
a. Diversity of product lines and organizational size
b. Rate of change of the product lines and presence of economies of scale
c. Interdependencies among subunits and level of technology
d. All of the above

5. Project management includes all of the following EXCEPT:
a. A Project office
b. A project manager
c. An assistant project manager
d. Vendors

6. Project management is successful only if the project manager and his team are totally dedicated to the successful completion of the project. This requires each team member of the project team and office to have a good understanding of the fundamental project requirements, which include all of the following EXCEPT:
a. Customer liaison
b. Project control

c. Project contraction
d. Project evaluation

7. Project management is organized:
a. To achieve a single set of objectives.
b. To achieve what problems can occur during recruiting activities?
c. To realize what happen downstream to cause the loss of key team members?
d. None of the above

8. To be effective, the program manager must provide an atmosphere conducive to teamwork. He must nurture a climate with the all of the following characteristics EXCEPT:
a. Good interpersonal relations and team sprit
b. Good program leadership
c. Managing and recruitment of the people
d. The necessary expertise and resources

9. Planning in project management includes all of the following EXCEPT:
a. Direct the preparation of project procedures
b. Monitor project activities for compliance with company purpose and philosophy and general corporate policies
c. Direct the preparation of the project schedule
d. Review plans and procedures periodically and institute changes if necessary

10. Promoting technical specialists to a management slot simply to give them more money can:

MGMT 627

SOLVED MCQs

Question # 1 of 15 (Start time: 07:53:55 PM) Total Marks: 1 All of the following are the characteristics of a project, EXCEPT: Select correct option:

A start and an end

A multi-disciplinary team brought together for the project Constraints of cost, time and quality

A scope of work that is not unique and involves confidence

Question # 2 of 15 (Start time: 07:54:57 PM) Total Marks: 1

Which of the following statement is TRUE about time spent by Project managers while they are on training?

Select correct option:
Experimental learning, on-the-job 60%
Formal education & special courses10%
Professional activities, seminars 20% not sue
Readings 20%

Question # 3 of 15 (Start time: 07:55:46 PM) Total Marks: 1

Which of the following permits planners to outline their ideas on paper before implementing them?

Select correct option: Project Proposal Scope statement

Feasibility Study

Work Breakdown Structure

Question # 4 of 15 (Start time: 07:56:32 PM) Total Marks: 1

After Initial feasibility analysis, the next step is to prepare:

Select correct option:

Project Plan

Scope statement

System Proposal

Work Breakdown Structure

Question # 5 of 15 (Start time: 07:57:52 PM) Total Marks: 1

A Gantt chart is useful in determining _____

Select correct option:

The level of effort for a task

When a task starts and stops

How tasks are related to each other

Who is assigned to do a task

Question # 6 of 15 (Start time: 07:58:59 PM) Total Marks: 1

Which of the following creates an environment in which there exists a continuous stream of successfully managed projects and where success is measured by what is in the best interest of both the company and the project (i.e. the customer)?

Select correct option: Organizational Effectiveness

Organizational Excellence

Organizational Support Organizational efficiency

Question # 7 of 15 (Start time: 07:59:45 PM) Total Marks: 1

Which of the following is involved in economic feasibility?

Select correct option:

Benefit-cost analysis

Breakeven analysis

Tangible and intangible aspects

All of the given options

Question # 8 of 15 (Start time: 08:00:28 PM) Total Marks: 1

In which of the following typical Engineering, Procurement and Construction proposal contents, conditions of request for proposal (RFP) are summarized?

Select correct option:

Introduction & Summary

Project Description

Scope of Services Work Plan & Schedule

Question # 9 of 15 (Start time: 08:01:48 PM) Total Marks: 1 Which of the following is not a characteristic of a project? Select correct option:

Projects are responsible for the newest and most improved products, services, and organizational processes.

Projects are ad-hoc endeavors with a clear life cycle.

Projects provide a philosophy and strategy for the management of change.

Traditional process management functions of planning, organizing, and controlling do not apply to project management.

Question # 10 of 15 (Start time: 08:02:40 PM) Total Marks: 1

Which of the following is a common characteristic of most project life cycle descriptions?

Select correct option:

Cost and staffing are low at the start, higher towards the end, and drop rapidly as the project nears completion.

The probability of successfully completing the project is highest at the start of the project.

Stakeholders have the most influence on the final characteristics of the product at the end of the project.

With declining demand for a product and a saturated market, profits, sales volume, and prices are all sky scraping.

Question # 11 of 15 (Start time: 08:04:05 PM) Total Marks: 1

Which of the following is NOT a project constraint?

Select correct option:

The budget

The customer requirements

The schedule

The technical specifications

Question # 12 of 15 (Start time: 08:05:20 PM) Total Marks: 1 All of the following are advantages of numeric models EXCEPT: Select correct option:

The undiscounted models are simple to use and understand.

All use readily available accounting data to determine the cash flows. Model output is in terms familiar to business decision makers.

The internal rate of return model can result in multiple solutions.

Question # 13 of 15 (Start time: 08:06:48 PM) Total Marks: 1

A collection of generally sequential project phases whose name and number are determined by the control needs of the organization or organizations involved in the project, is called:

Select correct option:

Project life cycle

Product life cycle Project life event Procurement life cycle

Question # 14 of 15 (Start time: 08:08:06 PM) Total Marks: 1

Which of the following are mandates for the informal project management? Select correct option:

Effective communication, effective cooperation, effective teamwork and trust

Excellence, Maturity, Effective cooperation and Effective teamwork Maturity, Rules, Effective communication and Trust

Rules and regulations, effective communication and excellence

Question # 15 of 15 (Start time: 08:09:25 PM) Total Marks: 1

Which of the following is essentially a process for determining the viability of a proposed initiative or service and providing a framework and direction for its development and delivery?

Select correct option: Project Plan

Scope statement

Feasibility Study

Work Breakdown Structure

Question # 1 of 15 (Start time: 08:11:34 PM) Total Marks: 1

Which of the following has poorly defined project methods, but has well defined end project requirements?

Select correct option: Large Engineering Projects

Product Development, Early Space Project

Software Development Projects

OD, Vision, Training Assessment

Question # 2 of 15 (Start time: 08:12:25 PM) Total Marks: 1

Which of the following approaches is also called Similar Approach or Analogous Approach?

Select correct option:

Top Down Approach

Bottom Up Approach

Parametric Approach

Computerized Approach

Question # 3 of 15 (Start time: 08:12:48 PM) Total Marks: 1

According to Grinnell and Apple, the general indications that the traditional structure may not be adequate for managing projects are all of the following EXCEPT:

Select correct option:

Management is satisfied with its technical skills, but projects are not meeting time, cost, and other project requirements.

Projects are on time and to specification, but group and individuals are not satisfied with the achievement.

There is high commitment to getting project work done, but great fluctuations in how well performance specifications are met.

The unpredictability of consumer demands due to high income, wide range of choices available and shifting tastes.

Question # 4 of 15 (Start time: 08:14:03 PM) Total Marks: 1

All of the following should be included in the Preliminary Assignment part of pre- proposal for specific proposals EXCEPT:

Select correct option:

Proposal Publications/ Technical Support Personnel Lead Estimator/Lead Scheduler

Key Technical Personnel

Project Controls

Question # 5 of 15 (Start time: 08:14:39 PM) Total Marks: 1

Which of the following statement is TRUE about time spent by Project managers while they are on training?

Select correct option:
Experimental learning, on-the-job 10%
Formal education & special courses60%
Professional activities, seminars 20% not sure
Readings 10%

Question # 6 of 15 (Start time: 08:14:57 PM) Total Marks: 1

"A construction firm can select the best subset of a large group of potential projects on which to bid" is an example of which of the following?

Select correct option:

Project Selection

Project evaluation Project implementation Project Execution

Question # 7 of 15 (Start time: 08:15:34 PM) Total Marks: 1

"Building a wall to avoid the flood water" is an example of which of the following? Select correct option:

Sacred Cow

The Operating Necessity

The Competitive Necessity

The Product Line Extension

Question # 8 of 15 (Start time: 08:15:58 PM) Total Marks: 1

Which of the following statements is the definition of the project given by the Project Management Institute of USA?

Select correct option:

A process of considerable scope that implements a plan

A group of ideas managed in a coordinated way to obtain a desired outcome not sue

A temporary endeavor undertaken to create a unique product or service

A collection of activities with a beginning and an end

Question # 9 of 15 (Start time: 08:16:34 PM) Total Marks: 1

Which of the following indicates recognition of a need for the project? Select correct option:

Need analysis

Process Work Engineering & Design Cost Estimate

Question # 10 of 15 (Start time: 08:17:04 PM) Total Marks: 1

“If your Proposal is not selected, you determine where you went wrong”. This strategy is known as:

Select correct option:

Postmortem

Response

Disclosure

Creativity

Question # 11 of 15 (Start time: 08:17:36 PM) Total Marks: 1

Which of the following is essentially a process for determining the viability of a proposed initiative or service and providing a framework and direction for its development and delivery?

Select correct option: Project Plan

Scope statement

Feasibility Study

Work Breakdown Structure

Question # 12 of 15 (Start time: 08:17:55 PM) Total Marks: 1

A collection of generally sequential project phases whose name and number are determined by the control needs of the organization or organizations involved in the project, is called:

Select correct option:

Project life cycle

Product life cycle Project life event Procurement life cycle

Question # 13 of 15 (Start time: 08:18:13 PM) Total Marks: 1

Which of the following are short-duration projects normally assigned to a single individual who may be acting as both a project manager and a functional manager? Select correct option:

Individual projects

Staff projects Special projects

Matrix or Aggregate projects

Question # 14 of 15 (Start time: 08:18:41 PM) Total Marks: 1 Which of the following is also referred to as net present value method? Select correct option:

Discounted Cash Flow

Pay Back Period Discounted Cash Flow Internal Rate of Return

Question # 15 of 15 (Start time: 08:19:12 PM) Total Marks: 1 All of the following factors affect the estimation decision EXCEPT: Select correct option:

Size of Project

Size of Team

Past Experience

Length of Schedule

Question # 1 of 15 (Start time: 08:36:11 PM) Total Marks: 1

All of the following are internal operating variables for strategic planning in the tire industry EXCEPT:

Select correct option:

Product Changes

Research & Development

Volume (Economies of Scale)

Capacity of Plants

Question # 2 of 15 (Start time: 08:37:25 PM) Total Marks: 1

Which of the following managers develop operational plans for the project? Select correct option:

Top Managers

Middle Manager

Line Managers

Supervisors

Question # 3 of 15 (Start time: 08:38:02 PM) Total Marks: 1

Which of the following refers to “a specification of series of actions, acts or operations, which have to be executed in the same manner in order to always obtain the same result in the same circumstances”?

Select correct option: Policy

Procedure

Standard

Decision

Question # 4 of 15 (Start time: 08:39:05 PM) Total Marks: 1

The project manager is responsible for coordinating and integrating activities across multiple, functional lines. In order to do so, the project manager needs all of the following EXCEPT:

Select correct option:

Strong communicative and interpersonal skills

Must become familiar with the operations of each line organization Should have a general knowledge of the technology being used

Organizational structures

Question # 5 of 15 (Start time: 08:39:33 PM) Total Marks: 1 Which of the following statements regarding project selection is best? Select correct option:

Decision models must contain either objective or subjective factors. Organizational reality can be perfectly captured by most decision-making models.

Before selecting any project, the team should identify all the relevant issues that play a role in project selection.

Every decision model has both objective and subjective factors.

Question # 6 of 15 (Start time: 08:40:51 PM) Total Marks: 1

Which of the following items involves the quantitative aspects of planning? Select correct option:

Budget development

Project administration Leadership styles Conflict management

Question # 7 of 15 (Start time: 08:42:18 PM) Total Marks: 1

Which of the following should not be conducted as a forum merely to support a desire that the project will be successful?

Select correct option: Project Plan

Scope statement

Feasibility Study

Work Breakdown Structure

Question # 8 of 15 (Start time: 08:43:24 PM) Total Marks: 1

Who among the following is responsible to verify all activities of a project? Select correct option:

Management office

Program office Functional office Finance office

Question # 9 of 15 (Start time: 08:44:21 PM) Total Marks: 1 Which of the following is a key barrier to team development? Select correct option:

A strong matrix management structure

When major problems delay the project completion date or budget targets When team members are accountable to both functional and project managers When formal training plans cannot be implemented

Question # 10 of 15 (Start time: 08:45:10 PM) Total Marks: 1 Which of the following statements is TRUE for top level managers? Select correct option:

They engage themselves chiefly in strategic planning

They answer such questions as "What is the purpose of this organization?" They clarify the mission of the organization and set its goals

All of the given options

Question # 11 of 15 (Start time: 08:45:31 PM) Total Marks: 1

In a matrix organization, the project manager is likely to experience: Select correct option:

Conflict and difficulties in team building

Good customer relations

Difficulties in getting the best workers assigned to the project

All of the given options

Question # 12 of 15 (Start time: 08:46:34 PM) Total Marks: 1

Which of the following presents the risks and returns associated with the project so the prospective members can evaluate them?

Select correct option: Project Plan

Scope statement

Feasibility Study

Work Breakdown Structure

Question # 13 of 15 (Start time: 08:47:12 PM) Total Marks: 1

In which of the following approaches, Spreadsheets and project management softwares are used to estimate cost?

Select correct option: Top Down Approach Bottom Up Approach Parametric Approach

Computerized Approach

Question # 14 of 15 (Start time: 08:47:31 PM) Total Marks: 1

Which of the following is a plan that shows how money will be spent over a certain period of time?

Select correct option: Cost Allocation

Budget

Financing Cost centers

Question # 15 of 15 (Start time: 08:48:16 PM) Total Marks: 1

Which of the following describes both managerial and technical approaches to work? Select correct option:

Introduction

General Approach

Contractual Aspects Schedules

Question # 1 of 15 (Start time: 08:53:34 PM) Total Marks: 1

Which of the following refers to “Planned expenditures required to achieve or exceed objectives”?

Select correct option: Objective

Program

Schedule

Budget

Question # 2 of 15 (Start time: 08:54:28 PM) Total Marks: 1

Which of the following is a barrier against effective proposal?

Select correct option:

Required elements missing

Unrealistic goals & objectives

Excessive jargon

All of the given options

Question # 3 of 15 (Start time: 08:54:53 PM) Total Marks: 1

Which of the following types of activities is more closely associated with projects rather than processes?

Select correct option:

An activity that is ongoing

An activity that is day-to-day

An activity that uses existing systems

An activity that establishes its own work rules

Question # 4 of 15 (Start time: 08:56:04 PM) Total Marks: 1

For completing schedule of large programs, input is required from which of the following?

Select correct option: Program manager Project manager

Functional management

Operational management

Question # 5 of 15 (Start time: 08:56:59 PM) Total Marks: 1

All of the following are the examples of a project EXCEPT:

Select correct option:

The development and introduction of a new services

The development of a management information system

The introduction of an improvement to an existing process

A retailer re-stocks the shelves after a day of brisk sales.

Question # 6 of 15 (Start time: 08:57:34 PM) Total Marks: 1

Which of the following is the suitable level of accuracy in case cost estimate? Select correct option:

-5% to +5% -5% to +10%

-5% to +15%

-5% to +20%

Question # 7 of 15 (Start time: 08:58:31 PM) Total Marks: 1

Which of the following is a plan that shows how money will be spent over a certain period of time?

Select correct option: Cost Allocation

Budget

Financing Cost centers

Question # 8 of 15 (Start time: 08:58:48 PM) Total Marks: 1

Which of the following is essentially a process for determining the viability of a proposed initiative or service and providing a framework and direction for its development and delivery?

Select correct option: Project Plan

Scope statement

Feasibility Study

Work Breakdown Structure

Question # 9 of 15 (Start time: 08:59:33 PM) Total Marks: 1

All of the following are purposes of the life cycle phase at planning stage EXCEPT: Select correct option:

Plan the project development and implementation activities

Estimate the probable elapsed time, staffing, and equipment requirements Identify the probable costs and consequences of investing in the new project

Support equipment for contract end-item

Question # 10 of 15 (Start time: 09:00:13 PM) Total Marks: 1

All of the following are important functions of the kick-off meeting EXCEPT: Select correct option:

To identify project goals

To introduce the players

To present the project charter To present the detailed plan

Question # 11 of 15 (Start time: 09:01:16 PM) Total Marks: 1

Which of the following best defines the “Planning” function of Management? Select correct option:

The process of setting objectives in any project & then determining what should be done to accomplish them.

The process of assigning tasks, allocating resources, & arranging coordinated activities to implement plans.

The process of arousing enthusiasm and directing HR efforts toward project/organizational goals.

The process of measuring performance and taking action to ensure desired results in any project.

Question # 12 of 15 (Start time: 09:02:04 PM) Total Marks: 1

Which of the following contains more detailed statement of general goals noted in overview?

Select correct option:

Introduction

General Approach

Contractual Aspects Schedules

Question # 13 of 15 (Start time: 09:02:30 PM) Total Marks: 1

In which of the following phases, the company calls upon the experience and creativity of its technicians, manager and directors to generate an adequate group of alternatives to fulfill the expressed need?

Select correct option:

Preliminary Formulation of the Alternatives

Definition of the Requirement of Opportunity Initial Selection of Alternatives

Project Termination Phase

Question # 14 of 15 (Start time: 09:03:21 PM) Total Marks: 1 Which of the following is a use of Work breakdown structure? Select correct option:

Cost control standard

Risk cost control Reporting Work project

Question # 15 of 15 (Start time: 09:04:26 PM) Total Marks: 1

Scope of a project is the.....total of all of a project's products and their requirements or features

Select correct option:

Sum

Product

Sum and product None of the above

DOWN LOAD FROM NET THESE ARE JUST FOR AN IDEA

1 Which of the following is an advantage of centralized contracting?

1.Gives easier access to contracting expertise

2.Increases company expertise in contracting

3.Gives more loyalty to the project

4.Allows a contracts person to work on a single project

Answer B

2 Risks will be identified during which risk management process(es)?

1.Quantitative risk analysis and risk identification

2.Risk identification and risk monitoring and control

3.Qualitative risk analysis and risk monitoring and control

4.Risk identification

Answer B

3 The highest point of Maslow's hierarchy of needs is:

1.physiological satisfaction.

2. attainment of survival.

3. need for association.

4. esteem.

Answer D

4 Who is ultimately responsible for quality management on the project?

1.Project engineer

2.Project manager

3.Quality manager

4.Team member

Answer B

5 A heuristic is best described as a:

1. control tool.

2. scheduling method.

3. planning tool.

4. rule of thumb.

Answer: D

6 If earned value (EV) = 350, actual cost (AC) = 400, planned value (PV) = 325, what is cost variance (CV)?

1.350

2.-75

3.400

4.-50

Answer D

7 A project manager has just been assigned to a new project and has been given the preliminary project scope statement and the project charter. The first thing the project manager must do is:

1. create a project scope statement.

2. confirm that all the stakeholders have had input into the scope.

3.analyze project risk.

4.begin work on a project management plan.

Answer: B

8 You are taking over a project during the planning process group and discover that six individuals have signed the project charter. Which of the following should most concern you?

1.Who will be a member of the change control board

2.Spending more time on configuration management

3.Getting a single project sponsor

4. Determining the reporting structure

Answer: D

9 The project manager is making sure that the product of the project has been completed according to the project management plan. What part of the project management process is he in?

1.Planning

2.Executing

3.Monitoring and controlling

4.Closing

Answer: D

10 The WBS and WBS dictionary are completed. The project team has begun working on identifying risks. The sponsor contacts the project manager, requesting that the responsibility assignment matrix be issued. The project has a budget of U.S. $loo,ooo and is taking place in three countries using 14 human resources. There is little risk expected for the project and the project manager has managed many projects similar to this one. What is the next thing to do?

1.Understand the experience of the sponsor on similar projects.

2.Create an activity list.

3. Make sure the project scope is defined.

4. Complete risk management and issue the responsibility assignment matrix.

Answer: B

11 Risk tolerances are determined in order to help:

1.the team rank the project risks.

2.the project manager estimate the project.

3.the team schedule the project.

4.management know how other managers will act on the project.

Answer A

12 A project manager is employed by a construction company and is responsible for the furnishing of the completed building. One of the first things that the project manager for this project should do is to write a:

1.Work breakdown structure.

2.Budget baseline.

3.Project charter.

4.Project plan.

Answer: C

13 Your company has an emergency and needs contracted work done as soon as possible. Under these circumstances, which of the following would be the helpful to add to the contract?

1.A clear contract statement of work

2.Requirements as to which subcontractors can be used

3.Incentives

4.A force majeure clause

Answer C

14 The "halo effect" refers to the tendency to:

1.promote from within.

2.hire the best.

3.move people into project management because they are good in their technical fields.

4.move people into project management because they have had project management training.

Answer C

15 A project manager is trying to complete a software development project, but cannot get enough attention for the project. Resources are focused on completing process-related work and the project manager has little authority to properly assign resources. What form of organization must the project manager be working in?

1.Functional

2.Matrix

3.Expediter

4.Coordinator

Answer: A

16 All of the following are characteristics of a project EXCEPT:

1. Temporary

2. Definite beginning and end

3.Interrelated activities

4.Repeats itself every month

Answer D

17 A team is using a fishbone diagram to help determine what quality standards will be used on the project. What part of the quality management process are they in?

1.Perform quality control

2.Perform quality assurance

3.Quality planning

4.Variable analysis

Answer C

18 The equivalent of cost reimbursable contracts is frequently termed:

1.Back charge contracts.

2.Fixed price contracts.

3.Progress payment contracts.

4.Cost plus contracts.

Answer: D

19 A buyer extends a formal invitation that contains a scope of work that seeks a response that will describe the methodology and results that will be provided to the buyer. This is called:

1.Invitation to bid.

2.Request for information.

3.Request for proposal.

4.Request for bid.

Answer: C

20 A project manager must have some work done by an outside contractor. This work has a great deal of risk associated with it, and it has become very difficult to find a contractor willing to take on the job. Which of the following types of contract would offer the greatest incentive to the contractor?

1.Cost plus percentage of cost as an award fee

2.Cost plus fixed fee

3.Cost plus incentive fee

4.Firm fixed price

Answer: A

21 Purchasing insurance is considered an example of risk:

1.mitigation.

2.transfer.

3.acceptance.

4.avoidance.

Answer B

22 A cost performance index (CPI) of 0.89 means:

1.at this time, we expect the total project to cost 89 percent more than planned.

2.when the project is completed we will have spent 89 percent more than planned.

3.the project is only progressing at 89 percent of that planned.

4.the project is only getting 89 cents out of every dollar invested.

Answer: D

23 In the matrix management organization, which of the following is true?

1.The project manager is responsible for employee skills improvement.

2.The functional manager is responsible for employee skills improvement.

3.The project manager is responsible for the employee.s annual appraisal.

4.The employee is responsible for his or her own skills improvement.

Answer: B

24 Your program manager has come to you, the project manager, for help with a bid for her newest project. You want to protect your company from financial risk. You have limited scope definition. What is the BEST type of contract to choose?

1. Fixed price (FP)

2. Cost plus percent of cost (CPPC)

3. Time and material (T&M)

4. Cost plus fixed fee (CPFF)

Answer D

25 The project management process groups are:

1. Initiating, planning, expediting, and control.

2. Plan, organize, develop, and control.

3. Plan, do, observe, commit.

4. Initiating, planning, executing, controlling, and closeout.

Answer: D

26 In which project management process group is the detailed project budget created?

1. Initiating

2. Before the project management process

3. Planning

4. Executing

Answer C

27 Which of the following conflict resolution techniques will generate the MOST lasting solution?

1. Forcing

2. Smoothing

3. Compromise

4. Problem solving

Answer D

28 Decomposing the major deliverables into smaller, more manageable components to provide better control is called:

1.Scope planning.

2.Scope definition.

3.Scope base lining.

4.Scope verification.

Answer B

28 Any numbering system that is used to monitor project costs by category such as labor, supplies, or materials, for example, is called:

1. Chart of accounts.

2. Work breakdown structure.

3.Universal accounting standard.

4.Standard accounting practices.

Answer A

29 Which of the following is NOT an input to the initiating process group?

Company processes

The company culture

Historical WBSs

Project scope statement

Answer D

30 Workarounds are determined during which risk management process?

1.Risk identification

2.Quantitative risk analysis

3.Risk response planning

4.Risk monitoring and control

Answer D

31 A person who is involved in or may be affected by the activities or anyone who has something to gain or lose by the activity of the project is called a:

1.Team member.

2.Customer.

3.Stakeholder.

4.Supporter.

Answer D

32 Quality is:

1.meeting and exceeding the customer's expectations.

2.adding extras to make the customer happy.

3.the degree to which the project meets requirements.

4.conformance to management's objectives.

Answer C

33 A schedule performance index (SPI) of 0.76 means:

1.you are over budget.

2.you are ahead of schedule.

3.you are only progressing at 76 percent of the rate originally planned.

4.you are only progressing at 24 percent of the rate originally planned.

Answer C

34 Contract closure is different from administrative closure in that contract closure:

1.occurs before administrative closure.

2.is the only one to involve the customer.

3.includes the return oiproperty.

4.may be done more than once for each contract.

Answer A

35 During the full life cycle of the project, a plot of the project.s expected expenditures will usually follow a characteristic ..S.. shape. This indicates that:

1. There is a cyclic nature to all projects.

2. Problems will always occur in the execution phase.

3. There are high expenditures during closeout.

4. The bulk of the project budget will be spent in the execution phase.

Answer D

36 An output of administrative closure is the creation of:

1. project archives.

2. a project charter.

3. a project management plan.

4. a risk analysis plan.

Answer A

37 A temporary endeavor undertaken to create a new product or service is called a:

1. New product development.

2. Project.

3. Program.

4. Enterprise.

Answer B

38 An example of scope verification is:

1. Reviewing the performance of an installed software module.

2. Managing changes to the project schedule.

3. Decomposing the WBS to a work package level.

4. Performing a benefit-cost analysis to determine if we should proceed.

Answer A

39 What conflict resolution technique is a project manager using when he says, "I cannot deal with this issue now!"

1. Problem solving

2. Forcing

3.Withdrawal

4.Compromising

Answer C

40 Approved corrective action is an input to:

1. scope control and scope verification.

2. direct and manage project execution and integrated change control.

3.develop project management plan and develop project charter.

4.develop project management plan and schedule development.

Answer B

41 A group of related projects that are managed in a coordinated way that usually include an element of ongoing activity is called a:

1.Major project.

2.Project office.

3.Program.

4.Group of projects.

Answer C

42 To control the schedule, a project manager is reanalyzing the project to predict project duration. She does this by analyzing the sequence of activities with the least amount of scheduling flexibility. What technique is she using?

1.Critical path method

2.Flowchart

3.Precedence diagramming

4.Work breakdown structure

Answer A

43 A project manager has assembled the project team, identified 56 risks on the project, determined what would trigger the risks, rated them on a risk rating matrix, tested their assumptions and assessed the quality of the data used. The team is continuing to move through the risk management process. What has the project manager forgotten to do?

1.Simulation

2.Risk mitigation

3.Overall risk ranking for the project

4.Involvement of other stakeholders

Answer D

44 Configuration management is:

1.Used to ensure that the description of the project product is correct and complete.

2.The creation of the work breakdown structure.

3.The set of procedures developed to ensure that project design criteria are met.

4.A mechanism to track budget and schedule variances.

Answer C

45 A rough order of magnitude estimate is made during which project management process group?

1.Project planning

2.Project closing

3.Project executing

4.Project initiating

Answer D

46 The breakdown structure the lowest level of the breakdown for the project manager is called the:

1.Activity.

2. Task.

3. Work package.

4. Cost account.

Answer C

47 All of the following are examples of the cost of nonconformance EXCEPT?

1.Rework

2.Quality training

3.Scrap

4.Warranty costs

Answer B

48 What type of contract do you not want to use if you do not have enough labor to audit invoices?

1.Cost plus fixed fee (CPFF)

2.Time & material (T&M)

3.Fixed price (FP)

4.Fixed price incentive fee (FPIF)

49 A project manager has just been assigned to a project. The document that recognizes the existence of the project is called:

1.The statement of work.

2.The project assignment.

3.The project charter.

4.The product description.

Answer C

50 The WBS for the project represents:

1.All the tangible items that must be delivered to the client.

2.All the work that must be completed for the project.

3.The work that must be performed by the project team.

4.All the activities of the project.

Answer B

51 A manager that manages a group of related projects is called a:

1.Project manager.

2.Project expediter.

3.Program coordinator.

4.Program manager.

Answer D

52 A functional manager needs to communicate the needs of his or her personnel requirements and the utilization of each person as well as the assignments that they have in the future. To best accomplish this, what type of document should be used?

1.Gantt chart

2.Network diagram

3.Staffing plan

4.Responsibility matrix

Answer C

53 A project manager is faced with making a decision about a risk that the team has identified. The risk involves the design of a bicycle. It has been found that the neck of the bicycle, where the steering bearing is located and the two supporting bars of the frame come together, will corrode in a high salt environment. If this takes place the neck may fail and injure the rider. The project team decides that the design of the bicycle should be modified by using corrosion resistant materials in the design of the neck. This will eliminate the risk from consideration. This technique is called:

1.Risk avoidance.

2.Risk acceptance.

3.Risk rejection.

4.Risk deflection.

Answer A

54 You are a project manager leading a cross-functional project team in a weak matrix environment. None of your project team members report to you functionally and you do not have the ability to directly reward their performance. The project is difficult, involving tight date constraints and challenging quality standards. Which of the following types of project management power will likely be the most effective in this circumstance?

1.Referent

2.Expert

3.Penalty

4.Formal

Answer B

55 If project A has a net present value (NPV) of U.S. $30,000 and project B has an NPV of U.S. $50,000, what is the opportunity cost if project B is selected?

1.$23,000

2.$30,000

3.$20,000

4.$50,000

Answer B

56 The contingency budget will:

1.Reduce the probability of scope changes.

2.Reduce the probability of cost overruns.

3.Increase the probability of a cost overrun.

4.Increase the probability of scope changes.

Answer B

57 A project manager is quantifying risk for her project. Several of her experts are offsite, but wish to be included. How can this be done?

1.Use Monte Carlo analysis using the Internet as a tool.

2.Apply the critical path method.

3.Determine options for recommended corrective action.

4.Apply the Delphi Technique.

Answer D

58 What percentage of the total distribution are 3 sigma from the mean equal to?

1.68.26%

2.99.99%

3.95.46%

4.99.73%

Answer D

59 A project manager holds the first risk meeting of the project team. The client is present at the meeting. At the meeting several risks are identified and assigned to members of the project team for evaluation and quantification. The result of the meeting is:

1.Expected value of the risk events.

2.Strategies for the risk events.

3.A list of potential risk events.

4.General statements about risks for the project.

Answer C

60 A project manager is using weighted average duration estimates to perform schedule network analysis. Which type of mathematical analysis is being used?

1.Critical path method

2.PERT

3.Monte Carlo

4.Resource leveling

Answer B

61 An activity has an early start (ES) of day 3, a late start (LS) of day 13, an early finish (EF) of day g, and a late finish (LF) of day if. The activity:

1.is on the critical path.

2.has a lag.

3. is progressing well.

4. is not on the critical path.

Answer D

62 Conflict resolution techniques that may be used on a project include confronting, smoothing, forcing and:

1.withdrawing.

2.directing.

3.organizing.

4.controlling.

Answer A

63 In the Monte Carlo technique, what is the criticality index?

1.The number of days the project will be late divided by the project duration

2.The percent of time a given activity will be on the critical path

3. The percent of time an activity will be late

4. The sum of the duration of the critical path activities divided by the project expected value for duration

Answer B

64 Which phase of the project is likely to have the greatest amount of its funding spent?

1.Initiating

2.Executing

3.Planning

4.Closeout

Answer B

65 A control chart shows seven data points in a row on one side of the mean. What should be done?

1.Perform a design of experiments.

2.Adjust the chart to reflect the new mean.

3.Find an assignable cause.

4.Nothing. This is the rule of seven and can be ignored.

Answer C

66 The document that is proof of upper management.s commitment to the project and gives the authority to manage the project to the project manager is called:

1. The project plan.

2. The project goals and objectives.

3.The project charter.

4.The project definition.

Answer C

67 Which of the following represents the estimated value of the work actually accomplished?

1.Earned value (EV)

2.Planned value (PV)

3.Actual cost (AC',

4.Cost variance (CV)

Answer A

68 A project manager is managing a project. The original scope baseline of the project was budgeted at $100,000. Since work on the project started there have been seventeen authorized and approved changes to the project. The changes have a value of $17,000 and the cost of investigating them prior to their approval was $2,500. What is the current budget for the project?

1.$100,000

2.$114,500

3.$117,000

4.$119,500

Answer D

69 A project team has completed, and the customer has accepted, the completed project scope. However, the lessons learned required by the project management office have not been completed. What is the status of the project?

1. The project is incomplete because the project needs to be re-planned.

2. The project is incomplete until all project and product deliverables are complete and accepted.

3.The project is complete because the customer has accepted the deliverables.

4.The project is complete because the project has reached the due date.

Answer B

70 You are the project manager for a project that has high visibility. Your manager wants you to prepare a presentation for him to present at a conference. Most of the material in the presentation will be facts that are the results of your project. Your manager intends to present the material under his own name. Your name will not appear. What should you do?

1.Refuse to work on the presentation unless you are listed as a coauthor.

2.Do the work as you were told by your manager.

3. Present your own presentation.

4. Meet with your manager's manager and discuss the problem.

Answer B

71 A project manager works in a company favoring the weakest authority for the project manager. The type of organization that holds the project manager to be the weakest is:

1. Projectized organization.

2. Strong matrix organization.

3. Weak matrix organization.

4. Balanced matrix.

Answer C

72 A system development project is nearing project closing when a previously unidentified risk is discovered. This could potentially affect the project's overall ability to deliver. What should be done next?

1. Alert the project sponsor of potential impacts to cost, scope or schedule.

2. Qualify the risk.

3. Mitigate this risk by developing a risk response plan.

4. Develop a workaround.

Answer B

73 You just found out that a major subcontractor for your project consistently provides deliverables late. The subcontractor approaches you and asks you to continue accepting late deliverables in exchange for a decrease in project costs. This offer is an example of:

1. confronting.

2. compromise.

3. smoothing.

4. forcing.

Answer B

74 Which of the following contains Change Management Plan ?

1. Scope management plan

2. Communications management plan

3. Configuration management plan

4.Quality management plan

Answer A

75 You are managing a project in a just in time environment. This will require more attention, because the amount of inventory in such an environment is generally:

1.45 percent.

2.lo percent.

3.12 percent.

4.o percent.

Answer D

76 Resource leveling will generally:

1.Reduce the time needed to do the project.

2.Increase the total time necessary to do all the tasks.

3.Reduce the overutilization of resources.

4.Reduce resources to the lowest skill that is possible.

Answer C

77 A task was scheduled to use two persons, full time, and take two weeks to complete. Instead, the project manager was only able to assign one person to this task. At the end of two weeks, the person assigned to the task was 75% complete. What is the cost performance index?

1.0.75 2.1.50* 3.0.25 4.1.15

78 You are a project manager who was just assigned to take over a project from another project manager who is leaving the company. The previous project manager tells you that the project is on schedule, but only because he has constantly pushed the team to perform. What is the FIRST thing you should do as the new project manager?

1.Check risk status. 2.Check cost performance.
3.Determine a management strategy*. 4.Tell the team your objectives.

79 Which of the following is considered to be a simulation technique?

1.PERT analysis 2.GERT analysis 3.Monte Carlo analysis* 4.Critical path method

80 Extensive use of ----- communication is most likely to aid in solving complex problems.

1.verbal 2.written 3.formal 4.nonverbal

81 When checking the calendar of a team member to schedule a meeting, you see she has scheduled a meeting with a key stakeholder that you were not informed of. The best approach would be to:

1. avoid mentioning it to the team member but continue to watch her activities.
2. notify your boss about the problem. 3.address the concern with the team member's boss.
4.address the concern with the team member*.

82Project A has an internal rate of return (IRR) of 21 percent. Project B has an IRR of 7 percent. Project C has an IRR of 31 percent. Project D has an IRR of ig percent. Which of these would be the BEST project?

1.Project A 2.Project B 3.Project C* 4.Project D

83 The program evaluation and review technique (PERT) method of scheduling differs from the critical path method (CPM) because the PERT method:

1.Uses weighted averages of activity durations to calculate project duration*.
2.Uses ..dummy.. activities to represent logic ties.
3.Uses ..free float.. instead of ..total float.. in the schedule calculations.
4.Uses bar charts instead of logic diagrams to portray the schedule.

84 The key inputs to activity definition are:

1.Work breakdown structure, the project schedule, and the network diagram.
2.Project schedule, progress reports, and change requests.
3. The project network diagram, constraints, and durations.
4. The work breakdown structure, the scope statement, and historical information that supports the applicable activity*

85 The customer requests a change to the project that would increase the project risk. Which of the following should you do before all the others?

1.Include the expected monetary value of the risk in the new cost estimate.
2.Talk to the customer about the impact of the change.
3.Analyze the impacts of the change with the team*. 4.Change the risk management plan.

.87 The lowest level at WBS is one of the following:

1.The task. 2.The activity. 3.The work package*. 4.The element.

88 A project manager would like to manage his project in such a way that he will be able to identify specific tasks that should be watched and managed more closely than others. The project manager should use which method?

1.The PERT method 2.The critical path method*
3.The GERT method 4.The PCDM method

89 What characteristic best describes the cost baseline?

1.Total budget for the project 2.Time phased budget for the project*
3.Total budget for the project including the contingency budget
4.Total budget for the project including the contingency budget and the management reserve

90 In attempting to complete the project faster, the project manager looks at the cost associated with crashing each activity. The best approach to crashing would also include looking at the:

1.risk impact of crashing each activity*. 2.customer's opinion of which activities to crash.
3.boss's opinion of which activities to crash and in which order.
4.project life cycle phase in which the activity is due to occur.

91 A project manager has a problem with a team member's performance. What is best form of communication for addressing this problem?

1.Formal written communication 2.Formal verbal communication
3.Informal written communication 4.Informal verbal communication*

92 Your employee is three days late with a report. Five minutes before the meeting where the topic of the report is to be discussed, she hands you the report. You notice some serious errors in it. What should you do?

1. Cancel the meeting and reschedule when the report is fixed*.

2. Go to the meeting and tell the other attendees there are errors in the report.

3. Force the employee to do the presentation and remain silent as the other attendees find the errors.

4.Cancel the meeting and rewrite the report yourself.

93 The act of doing anything that will help to bring future project performance into line with the project plan is called:

1.Budget update. 2.Revised cost estimate.
3.Corrective action*. 4.Contingency planning.

94 A project is engaged in making electronic devices. It is necessary for them to purchase materials to make the printed circuit boards. All of the parts are common parts that are available from several vendors. The most likely contract that should be issued for these parts is:

1.Unit price contract. 2.Firm fixed price contract*.
3.Cost reimbursable contract. 4.Award fee contract.

96 A project manager is using a cause and effect diagram with the team to determine how various factors might be linked to potential problems. In what part of the quality management process is the project manager involved?

1.Quality analysis 2.Perform quality assurance
3.Perform quality control* 4.Quality planning

97 During which risk management process is a determination to transfer a risk made?

1.Risk identification 2.Quantitative risk analysis
3.Risk response planning* 4.Risk monitoring and control

98 Your cost forecast shows that you will have a cost overrun at the end of the project. Which of the following should you do?

1.Eliminate risks in estimates and re-estimate*. 2.Meet with the sponsor to find out what work can be done sooner. 3.Cut quality. 4. Decrease scope.

99 At the request of the project team for a large project, the company.s purchasing department advertises that they intend to let a contract for construction work associated with the project. This is called:

1.Procurement planning. 2.Solicitation*.
3.Advertising. 4.The procurement process.

100 A project is considered complete when the :

1.BAC is equal to the PV. 2.The EV is equal to the AC.
3.The PV is equal to the AC*. 4.The BAC is equal to the EV.

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MGMT 627
SOLVED MCQs

Question # 1 of 15 (Start time: 07:53:55 PM) Total Marks: 1
All of the following are the characteristics of a project, EXCEPT:
Select correct option:
A start and an end
A multi-disciplinary team brought together for the project
Constraints of cost, time and quality
A scope of work that is not unique and involves confidence

Question # 2 of 15 (Start time: 07:54:57 PM) Total Marks: 1
Which of the following statement is TRUE about time spent by Project managers while they are on training?
Select correct option:
Experimental learning, on-the-job 60%
Formal education & special courses 10%
Professional activities, seminars 20% not sue
Readings 20%

Question # 3 of 15 (Start time: 07:55:46 PM) Total Marks: 1
Which of the following permits planners to outline their ideas on paper before implementing them?
Select correct option:
Project Proposal
Scope statement
Feasibility Study
Work Breakdown Structure

Question # 4 of 15 (Start time: 07:56:32 PM) Total Marks: 1
After Initial feasibility analysis, the next step is to prepare:
Select correct option:
Project Plan
Scope statement
System Proposal
Work Breakdown Structure

Question # 5 of 15 (Start time: 07:57:52 PM) Total Marks: 1
A Gantt chart is useful in determining _____
Select correct option:
The level of effort for a task
When a task starts and stops

How tasks are related to each other
Who is assigned to do a task

Question # 6 of 15 (Start time: 07:58:59 PM) Total Marks: 1
Which of the following creates an environment in which there exists a continuous stream of successfully managed projects and where success is measured by what is in the best interest of both the company and the project (i.e. the customer)?
Select correct option:
Organizational Effectiveness
Organizational Excellence
Organizational Support
Organizational efficiency

Question # 7 of 15 (Start time: 07:59:45 PM) Total Marks: 1
Which of the following is involved in economic feasibility?
Select correct option:
Benefit-cost analysis
Breakeven analysis
Tangible and intangible aspects
All of the given options

Question # 8 of 15 (Start time: 08:00:28 PM) Total Marks: 1
In which of the following typical Engineering, Procurement and Construction proposal contents, conditions of request for proposal (RFP) are summarized?
Select correct option:
Introduction & Summary
Project Description
Scope of Services
Work Plan & Schedule

Question # 9 of 15 (Start time: 08:01:48 PM) Total Marks: 1
Which of the following is not a characteristic of a project?
Select correct option:
Projects are responsible for the newest and most improved products, services, and organizational processes.
Projects are ad-hoc endeavors with a clear life cycle.
Projects provide a philosophy and strategy for the management of change.
Traditional process management functions of planning, organizing, and controlling do not apply to project management.

Question # 10 of 15 (Start time: 08:02:40 PM) Total Marks: 1
Which of the following is a common characteristic of most project life cycle descriptions?
Select correct option:
Cost and staffing are low at the start, higher towards the end, and drop rapidly as the project nears completion.

The probability of successfully completing the project is highest at the start of the project.
Stakeholders have the most influence on the final characteristics of the product at the end of the project.
With declining demand for a product and a saturated market, profits, sales volume, and prices are all sky scraping.

Question # 11 of 15 (Start time: 08:04:05 PM) Total Marks: 1
Which of the following is NOT a project constraint?
Select correct option:
The budget
The customer requirements
The schedule
The technical specifications

Question # 12 of 15 (Start time: 08:05:20 PM) Total Marks: 1
All of the following are advantages of numeric models EXCEPT:
Select correct option:
The undiscounted models are simple to use and understand.
All use readily available accounting data to determine the cash flows.
Model output is in terms familiar to business decision makers.
The internal rate of return model can result in multiple solutions.

Question # 13 of 15 (Start time: 08:06:48 PM) Total Marks: 1
A collection of generally sequential project phases whose name and number are determined by the control needs of the organization or organizations involved in the project, is called:
Select correct option:
Project life cycle
Product life cycle
Project life event
Procurement life cycle

Question # 14 of 15 (Start time: 08:08:06 PM) Total Marks: 1
Which of the following are mandates for the informal project management?
Select correct option:

Effective communication, effective cooperation, effective teamwork and trust
Excellence, Maturity, Effective cooperation and Effective teamwork
Maturity, Rules, Effective communication and Trust
Rules and regulations, effective communication and excellence

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Question # 15 of 15 (Start time: 08:09:25 PM) Total Marks: 1
Which of the following is essentially a process for determining the viability of a proposed initiative or service and providing a framework and direction for its development and delivery?
Select correct option:
Project Plan
Scope statement
Feasibility Study
Work Breakdown Structure

Question # 1 of 15 (Start time: 08:11:34 PM) Total Marks: 1
Which of the following has poorly defined project methods, but has well defined end project requirements?
Select correct option:
Large Engineering Projects
Product Development, Early Space Project
Software Development Projects
OD, Vision, Training Assessment

Question # 2 of 15 (Start time: 08:12:25 PM) Total Marks: 1
Which of the following approaches is also called Similar Approach or Analogous Approach?
Select correct option:

Top Down Approach
Bottom Up Approach
Parametric Approach
Computerized Approach

Question # 3 of 15 (Start time: 08:12:48 PM) Total Marks: 1
According to Grinnell and Apple, the general indications that the traditional structure may not be adequate for managing projects are all of the following EXCEPT:
Select correct option:
Management is satisfied with its technical skills, but projects are not meeting time, cost, and other project requirements.
Projects are on time and to specification, but group and individuals are not satisfied with the achievement.
There is high commitment to getting project work done, but great fluctuations in how well performance specifications are met.
The unpredictability of consumer demands due to high income, wide range of choices available and shifting tastes.

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Question # 4 of 15 (Start time: 08:14:03 PM) Total Marks: 1
All of the following should be included in the Preliminary Assignment part of pre-proposal for specific proposals EXCEPT:
Select correct option:
Proposal Publications/ Technical Support Personnel
Lead Estimator/Lead Scheduler
Key Technical Personnel
Project Controls

Question # 5 of 15 (Start time: 08:14:39 PM) Total Marks: 1
Which of the following statement is TRUE about time spent by Project managers while they are on training?
Select correct option:
Experimental learning, on-the-job 10%
Formal education & special courses 60%
Professional activities, seminars 20% not sure
Readings 10%

Question # 6 of 15 (Start time: 08:14:57 PM) Total Marks: 1
"A construction firm can select the best subset of a large group of potential projects on which to bid" is an example of which of the following?
Select correct option:
Project Selection
Project evaluation
Project implementation
Project Execution

Question # 7 of 15 (Start time: 08:15:34 PM) Total Marks: 1
"Building a wall to avoid the flood water" is an example of which of the following?
Select correct option:

Sacred Cow
The Operating Necessity
The Competitive Necessity
The Product Line Extension

Question # 8 of 15 (Start time: 08:15:58 PM) Total Marks: 1
Which of the following statements is the definition of the project given by the Project Management Institute of USA?
Select correct option:
A process of considerable scope that implements a plan
A group of ideas managed in a coordinated way to obtain a desired outcome not sue
A temporary endeavor undertaken to create a unique product or service

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A collection of activities with a beginning and an end

Question # 9 of 15 (Start time: 08:16:34 PM) Total Marks: 1
Which of the following indicates recognition of a need for the project?
Select correct option:
Need analysis
Process Work
Engineering & Design
Cost Estimate

Question # 10 of 15 (Start time: 08:17:04 PM) Total Marks: 1
"If your Proposal is not selected, you determine where you went wrong". This strategy is known as:
Select correct option:
Postmortem
Response
Disclosure
Creativity

Question # 11 of 15 (Start time: 08:17:36 PM) Total Marks: 1
Which of the following is essentially a process for determining the viability of a proposed initiative or service and providing a framework and direction for its development and delivery?
Select correct option:
Project Plan
Scope statement
Feasibility Study
Work Breakdown Structure

Question # 12 of 15 (Start time: 08:17:55 PM) Total Marks: 1
A collection of generally sequential project phases whose name and number are determined by the control needs of the organization or organizations involved in the project, is called:
Select correct option:
Project life cycle
Product life cycle
Project life event
Procurement life cycle

Question # 13 of 15 (Start time: 08:18:13 PM) Total Marks: 1
Which of the following are short-duration projects normally assigned to a single individual who may be acting as both a project manager and a functional manager?
Select correct option:
Individual projects
Staff projects
Special projects

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Matrix or Aggregate projects

Question # 14 of 15 (Start time: 08:18:41 PM) Total Marks: 1
Which of the following is also referred to as net present value method?
Select correct option:
Discounted Cash Flow
Pay Back Period
Discounted Cash Flow
Internal Rate of Return

Question # 15 of 15 (Start time: 08:19:12 PM) Total Marks: 1
All of the following factors affect the estimation decision EXCEPT:
Select correct option:
Size of Project
Size of Team
Past Experience
Length of Schedule

Question # 1 of 15 (Start time: 08:36:11 PM) Total Marks: 1
All of the following are internal operating variables for strategic planning in the tire industry EXCEPT:
Select correct option:

Product Changes
Research & Development
Volume (Economies of Scale)
Capacity of Plants

Question # 2 of 15 (Start time: 08:37:25 PM) Total Marks: 1
Which of the following managers develop operational plans for the project?
Select correct option:
Top Managers
Middle Manager
Line Managers
Supervisors

Question # 3 of 15 (Start time: 08:38:02 PM) Total Marks: 1
Which of the following refers to “a specification of series of actions, acts or operations, which have to be executed in the same manner in order to always obtain the same result in the same circumstances”?
Select correct option:
Policy
Procedure
Standard

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Decision

Question # 4 of 15 (Start time: 08:39:05 PM) Total Marks: 1
The project manager is responsible for coordinating and integrating activities across multiple, functional lines. In order to do so, the project manager needs all of the following EXCEPT:
Select correct option:
Strong communicative and interpersonal skills
Must become familiar with the operations of each line organization
Should have a general knowledge of the technology being used
Organizational structures

Question # 5 of 15 (Start time: 08:39:33 PM) Total Marks: 1
Which of the following statements regarding project selection is best?
Select correct option:
Decision models must contain either objective or subjective factors.
Organizational reality can be perfectly captured by most decision-making models.
Before selecting any project, the team should identify all the relevant issues that play a role in project selection.
Every decision model has both objective and subjective factors.

Question # 6 of 15 (Start time: 08:40:51 PM) Total Marks: 1
Which of the following items involves the quantitative aspects of planning?
Select correct option:
Budget development
Project administration
Leadership styles
Conflict management

Question # 7 of 15 (Start time: 08:42:18 PM) Total Marks: 1
Which of the following should not be conducted as a forum merely to support a desire that the project will be successful?
Select correct option:
Project Plan
Scope statement
Feasibility Study
Work Breakdown Structure

Question # 8 of 15 (Start time: 08:43:24 PM) Total Marks: 1
Who among the following is responsible to verify all activities of a project?
Select correct option:
Management office
Program office
Functional office
Finance office

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Question # 9 of 15 (Start time: 08:44:21 PM) Total Marks: 1
Which of the following is a key barrier to team development?
Select correct option:
A strong matrix management structure
When major problems delay the project completion date or budget targets
When team members are accountable to both functional and project managers
When formal training plans cannot be implemented

Question # 10 of 15 (Start time: 08:45:10 PM) Total Marks: 1
Which of the following statements is TRUE for top level managers?
Select correct option:
They engage themselves chiefly in strategic planning
They answer such questions as "What is the purpose of this organization?"
They clarify the mission of the organization and set its goals
All of the given options

Question # 11 of 15 (Start time: 08:45:31 PM) Total Marks: 1
In a matrix organization, the project manager is likely to experience:
Select correct option:
Conflict and difficulties in team building
Good customer relations
Difficulties in getting the best workers assigned to the project
All of the given options

Question # 12 of 15 (Start time: 08:46:34 PM) Total Marks: 1
Which of the following presents the risks and returns associated with the project so the prospective members can evaluate them?
Select correct option:
Project Plan
Scope statement
Feasibility Study
Work Breakdown Structure

Question # 13 of 15 (Start time: 08:47:12 PM) Total Marks: 1
In which of the following approaches, Spreadsheets and project management softwares are used to estimate cost?
Select correct option:
Top Down Approach
Bottom Up Approach
Parametric Approach

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Computerized Approach

Question # 14 of 15 (Start time: 08:47:31 PM) Total Marks: 1
Which of the following is a plan that shows how money will be spent over a certain period of time?
Select correct option:
Cost Allocation
Budget
Financing
Cost centers

Question # 15 of 15 (Start time: 08:48:16 PM) Total Marks: 1
Which of the following describes both managerial and technical approaches to work?
Select correct option:
Introduction
General Approach
Contractual Aspects
Schedules

Question # 1 of 15 (Start time: 08:53:34 PM) Total Marks: 1
Which of the following refers to "Planned expenditures required to achieve or exceed objectives"?
Select correct option:
Objective
Program
Schedule
Budget

Question # 2 of 15 (Start time: 08:54:28 PM) Total Marks: 1
Which of the following is a barrier against effective proposal?
Select correct option:
Required elements missing
Unrealistic goals & objectives
Excessive jargon
All of the given options

Question # 3 of 15 (Start time: 08:54:53 PM) Total Marks: 1
Which of the following types of activities is more closely associated with projects rather than processes?
Select correct option:
An activity that is ongoing
An activity that is day-to-day
An activity that uses existing systems
An activity that establishes its own work rules

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Question # 4 of 15 (Start time: 08:56:04 PM) Total Marks: 1
For completing schedule of large programs, input is required from which of the following?
Select correct option:
Program manager
Project manager
Functional management
Operational management

Question # 5 of 15 (Start time: 08:56:59 PM) Total Marks: 1
All of the following are the examples of a project EXCEPT:
Select correct option:
The development and introduction of a new services
The development of a management information system
The introduction of an improvement to an existing process
A retailer re-stocks the shelves after a day of brisk sales.

Question # 6 of 15 (Start time: 08:57:34 PM) Total Marks: 1
Which of the following is the suitable level of accuracy in case cost estimate?
Select correct option:
-5% to +5%
-5% to +10%
-5% to +15%
-5% to +20%

Question # 7 of 15 (Start time: 08:58:31 PM) Total Marks: 1
Which of the following is a plan that shows how money will be spent over a certain period of time?
Select correct option:
Cost Allocation
Budget
Financing
Cost centers

Question # 8 of 15 (Start time: 08:58:48 PM) Total Marks: 1
Which of the following is essentially a process for determining the viability of a proposed initiative or service and providing a framework and direction for its development and delivery?
Select correct option:
Project Plan
Scope statement
Feasibility Study
Work Breakdown Structure

Question # 9 of 15 (Start time: 08:59:33 PM) Total Marks: 1

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All of the following are purposes of the life cycle phase at planning stage EXCEPT:
Select correct option:
Plan the project development and implementation activities
Estimate the probable elapsed time, staffing, and equipment requirements
Identify the probable costs and consequences of investing in the new project
Support equipment for contract end-item

Question # 10 of 15 (Start time: 09:00:13 PM) Total Marks: 1
All of the following are important functions of the kick-off meeting EXCEPT:
Select correct option:
To identify project goals
To introduce the players
To present the project charter
To present the detailed plan

Question # 11 of 15 (Start time: 09:01:16 PM) Total Marks: 1
Which of the following best defines the "Planning" function of Management?
Select correct option:
The process of setting objectives in any project & then determining what should be done to accomplish them.
The process of assigning tasks, allocating resources, & arranging coordinated activities to implement plans.
The process of arousing enthusiasm and directing HR efforts toward project/organizational goals.
The process of measuring performance and taking action to ensure desired results in any project.

Question # 12 of 15 (Start time: 09:02:04 PM) Total Marks: 1
Which of the following contains more detailed statement of general goals noted in overview?
Select correct option:
Introduction
General Approach
Contractual Aspects
Schedules

Question # 13 of 15 (Start time: 09:02:30 PM) Total Marks: 1
In which of the following phases, the company calls upon the experience and creativity of its technicians, manager and directors to generate an adequate group of alternatives to fulfill the expressed need?
Select correct option:
Preliminary Formulation of the Alternatives
Definition of the Requirement of Opportunity
Initial Selection of Alternatives
Project Termination Phase

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Question # 14 of 15 (Start time: 09:03:21 PM) Total Marks: 1
Which of the following is a use of Work breakdown structure?
Select correct option:
Cost control standard
Risk cost control
Reporting
Work project

Question # 15 of 15 (Start time: 09:04:26 PM) Total Marks: 1
Scope of a project is the.....total of all of a project's products and their requirements or features
Select correct option:
Sum
Product
Sum and product
None of the above

DOWN LOAD FROM NET THESE ARE JUST FOR AN IDEA

1 Which of the following is an advantage of centralized contracting?

1. Gives easier access to contracting expertise
2. Increases company expertise in contracting
3. Gives more loyalty to the project
4. Allows a contracts person to work on a single project

Answer B

2 Risks will be identified during which risk management process(es)?

1. Quantitative risk analysis and risk identification
2. Risk identification and risk monitoring and control
3. Qualitative risk analysis and risk monitoring and control
4. Risk identification

Answer B

3 The highest point of Maslow's hierarchy of needs is:

1. physiological satisfaction.
2. attainment of survival.
3. need for association.
4. esteem.

Answer D

4 Who is ultimately responsible for quality management on the project?

1. Project engineer
2. Project manager
3. Quality manager
4. Team member

Answer B

5 A heuristic is best described as a:

1. control tool.
2. scheduling method.
3. planning tool.
4. rule of thumb.

Answer: D

6 If earned value (EV) = 350, actual cost (AC) = 400, planned value (PV) = 325, what is cost variance (CV)?

1. 350
2. -75
3. 400
4. -50

Answer D

7 A project manager has just been assigned to a new project and has been given the preliminary project scope statement and the project charter. The first thing the project manager must do is:

1. create a project scope statement.
2. confirm that all the stakeholders have had input into the scope.
3. analyze project risk.
4. begin work on a project management plan.

Answer: B

8 You are taking over a project during the planning process group and discover that six individuals have signed the project charter. Which of the following should most concern you?

1. Who will be a member of the change control board
2. Spending more time on configuration management
3. Getting a single project sponsor

4. Determining the reporting structure

Answer: D

9 The project manager is making sure that the product of the project has been completed according to the project management plan. What part of the project management process is he in?

1. Planning
2. Executing
3. Monitoring and controlling
4. Closing

Answer: D

10 The WBS and WBS dictionary are completed. The project team has begun working on identifying risks. The sponsor contacts the project manager, requesting that the responsibility assignment matrix be issued. The project has a budget of U.S. $loo,ooo and is taking place in three countries using 14 human resources. There is little risk expected for the project and the project manager has managed many projects similar to this one. What is the next thing to do?

1. Understand the experience of the sponsor on similar projects.
2. Create an activity list.
3. Make sure the project scope is defined.
4. Complete risk management and issue the responsibility assignment matrix.

Answer: B

11 Risk tolerances are determined in order to help:

1. the team rank the project risks.
2. the project manager estimate the project.
3. the team schedule the project.
4. management know how other managers will act on the project.

Answer A

12 A project manager is employed by a construction company and is responsible for the furnishing of the completed building. One of the first things that the project manager for this project should do is to write a:

1. Work breakdown structure.
2. Budget baseline.
3. Project charter.
4. Project plan.

Answer: C

13 Your company has an emergency and needs contracted work done as soon as possible. Under these circumstances, which of the following would be the helpful to add to the contract?

1. A clear contract statement of work
2. Requirements as to which subcontractors can be used
3. Incentives
4. A force majeure clause

Answer C

14 The "halo effect" refers to the tendency to:

1. promote from within.
2. hire the best.
3. move people into project management because they are good in their technical fields.
4. move people into project management because they have had project management training.

Answer C

15 A project manager is trying to complete a software development project, but cannot get enough attention for the project. Resources are focused on completing process-related work and the project manager has little authority to properly assign resources. What form of organization must the project manager be working in?

1. Functional
2. Matrix
3. Expediter
4. Coordinator

Answer: A

16 All of the following are characteristics of a project EXCEPT:

1. Temporary
2. Definite beginning and end
3. Interrelated activities
4. Repeats itself every month

Answer D

17 A team is using a fishbone diagram to help determine what quality standards will be used on the project. What part of the quality management process are they in?

1. Perform quality control
2. Perform quality assurance
3. Quality planning
4. Variable analysis

Answer C

18 The equivalent of cost reimbursable contracts is frequently termed:

1. Back charge contracts.
2. Fixed price contracts.
3. Progress payment contracts.
4. Cost plus contracts.

Answer: D

19 A buyer extends a formal invitation that contains a scope of work that seeks a response that will describe the methodology and results that will be provided to the buyer. This is called:

1. Invitation to bid.
2. Request for information.
3. Request for proposal.
4. Request for bid.

Answer: C

20 A project manager must have some work done by an outside contractor. This work has a great deal of risk associated with it, and it has become very difficult to find a contractor willing to take on the job. Which of the following types of contract would offer the greatest incentive to the contractor?

1. Cost plus percentage of cost as an award fee
2. Cost plus fixed fee
3. Cost plus incentive fee
4. Firm fixed price

Answer: A

21 Purchasing insurance is considered an example of risk:

1. mitigation.
2. transfer.

3. acceptance.
4. avoidance.

Answer B

22 A cost performance index (CPI) of 0.89 means:

1. at this time, we expect the total project to cost 89 percent more than planned.
2. when the project is completed we will have spent 89 percent more than planned.
3. the project is only progressing at 89 percent of that planned.
4. the project is only getting 89 cents out of every dollar invested.

Answer: D

23 In the matrix management organization, which of the following is true?

1. The project manager is responsible for employee skills improvement.
2. The functional manager is responsible for employee skills improvement.
3. The project manager is responsible for the employee.s annual appraisal.
4. The employee is responsible for his or her own skills improvement.

Answer: B

24 Your program manager has come to you, the project manager, for help with a bid for her newest project. You want to protect your company from financial risk. You have limited scope definition. What is the BEST type of contract to choose?

1. Fixed price (FP)
2. Cost plus percent of cost (CPPC)
3. Time and material (T&M)
4. Cost plus fixed fee (CPFF)

Answer D

25 The project management process groups are:

1. Initiating, planning, expediting, and control.
2. Plan, organize, develop, and control.
3. Plan, do, observe, commit.
4. Initiating, planning, executing, controlling, and closeout.

Answer: D

26 In which project management process group is the detailed project budget created?

1. Initiating

2. Before the project management process
3. Planning
4. Executing

Answer C

27 Which of the following conflict resolution techniques will generate the MOST lasting solution?

1. Forcing
2. Smoothing
3. Compromise
4. Problem solving

Answer D

28 Decomposing the major deliverables into smaller, more manageable components to provide better control is called:

1. Scope planning.
2. Scope definition.
3. Scope base lining.
4. Scope verification.

Answer B

28 Any numbering system that is used to monitor project costs by category such as labor, supplies, or materials, for example, is called:

1. Chart of accounts.
2. Work breakdown structure.
3. Universal accounting standard.
4. Standard accounting practices.

Answer A

29 Which of the following is NOT an input to the initiating process group?

Company processes
The company culture
Historical WBSs
Project scope statement

Answer D

30 Workarounds are determined during which risk management process?

1. Risk identification
2. Quantitative risk analysis
3. Risk response planning
4. Risk monitoring and control

Answer D

31 A person who is involved in or may be affected by the activities or anyone who has something to gain or lose by the activity of the project is called a:

1. Team member.
2. Customer.
3. Stakeholder.
4. Supporter.

Answer D

32 Quality is:

1. meeting and exceeding the customer's expectations.
2. adding extras to make the customer happy.
3. the degree to which the project meets requirements.
4. conformance to management's objectives.

Answer C

33 A schedule performance index (SPI) of 0.76 means:

1. you are over budget.
2. you are ahead of schedule.
3. you are only progressing at 76 percent of the rate originally planned.
4. you are only progressing at 24 percent of the rate originally planned.

Answer C

34 Contract closure is different from administrative closure in that contract closure:

1. occurs before administrative closure.
2. is the only one to involve the customer.
3. includes the return oiproperty.
4. may be done more than once for each contract.

Answer A

35 During the full life cycle of the project, a plot of the project.s expected expenditures will usually follow a characteristic ..S.. shape. This indicates that:

1. There is a cyclic nature to all projects.
2. Problems will always occur in the execution phase.
3. There are high expenditures during closeout.
4. The bulk of the project budget will be spent in the execution phase.

Answer D

36 An output of administrative closure is the creation of:

1. project archives.
2. a project charter.
3. a project management plan.
4. a risk analysis plan.

Answer A

37 A temporary endeavor undertaken to create a new product or service is called a:

1. New product development.
2. Project.
3. Program.
4. Enterprise.

Answer B

38 An example of scope verification is:

1. Reviewing the performance of an installed software module.
2. Managing changes to the project schedule.
3. Decomposing the WBS to a work package level.
4. Performing a benefit-cost analysis to determine if we should proceed.

Answer A

39 What conflict resolution technique is a project manager using when he says, "I cannot deal with this issue now!"

1. Problem solving
2. Forcing
3. Withdrawal
4. Compromising

Answer C

40 Approved corrective action is an input to:

1. scope control and scope verification.
2. direct and manage project execution and integrated change control.
3. develop project management plan and develop project charter.
4. develop project management plan and schedule development.

Answer B

41 A group of related projects that are managed in a coordinated way that usually include an element of ongoing activity is called a:

1. Major project.
2. Project office.
3. Program.
4. Group of projects.

Answer C

42 To control the schedule, a project manager is reanalyzing the project to predict project duration. She does this by analyzing the sequence of activities with the least amount of scheduling flexibility. What technique is she using?

1. Critical path method
2. Flowchart
3. Precedence diagramming
4. Work breakdown structure

Answer A

43 A project manager has assembled the project team, identified 56 risks on the project, determined what would trigger the risks, rated them on a risk rating matrix, tested their assumptions and assessed the quality of the data used. The team is continuing to move through the risk management process. What has the project manager forgotten to do?

1. Simulation
2. Risk mitigation
3. Overall risk ranking for the project
4. Involvement of other stakeholders

Answer D

44 Configuration management is:

1. Used to ensure that the description of the project product is correct and complete.
2. The creation of the work breakdown structure.
3. The set of procedures developed to ensure that project design criteria are met.
4. A mechanism to track budget and schedule variances.

Answer C

45 A rough order of magnitude estimate is made during which project management process group?

1. Project planning
2. Project closing
3. Project executing
4. Project initiating

Answer D

46 The breakdown structure the lowest level of the breakdown for the project manager is called the:

1. Activity.
2. Task.
3. Work package.
4. Cost account.

Answer C

47 All of the following are examples of the cost of nonconformance EXCEPT?

1. Rework
2. Quality training
3. Scrap
4. Warranty costs

Answer B

48 What type of contract do you not want to use if you do not have enough labor to audit invoices?

1. Cost plus fixed fee (CPFF)
2. **Time & material (T&M)**
3. Fixed price (FP)
4. Fixed price incentive fee (FPIF)

49 A project manager has just been assigned to a project. The document that recognizes the existence of the project is called:

1. The statement of work.
2. The project assignment.
3. The project charter.
4. The product description.

Answer C

50 The WBS for the project represents:

1. All the tangible items that must be delivered to the client.
2. All the work that must be completed for the project.
3. The work that must be performed by the project team.
4. All the activities of the project.

Answer B

51 A manager that manages a group of related projects is called a:

1. Project manager.
2. Project expediter.
3. Program coordinator.
4. Program manager.

Answer D

52 A functional manager needs to communicate the needs of his or her personnel requirements and the utilization of each person as well as the assignments that they have in the future. To best accomplish this, what type of document should be used?

1. Gantt chart
2. Network diagram
3. Staffing plan
4. Responsibility matrix

Answer C

53 A project manager is faced with making a decision about a risk that the team has identified. The risk involves the design of a bicycle. It has been found that the neck of the bicycle, where the steering bearing is located and the two supporting bars of the frame come together, will corrode in a high salt environment. If this takes place the neck may fail and injure the rider. The project team decides that the design of the bicycle should be modified by using corrosion resistant materials in the design of the neck. This will eliminate the risk from consideration. This technique is called:

1. **Risk avoidance**.
2. Risk acceptance.
3. Risk rejection.
4. Risk deflection.

Answer A

54 You are a project manager leading a cross-functional project team in a weak matrix environment. None of your project team members report to you functionally and you do not have the ability to directly reward their performance. The project is difficult, involving tight date constraints and challenging quality standards. Which of the following types of project management power will likely be the most effective in this circumstance?

1. Referent
2. **Expert**
3. Penalty
4. Formal

Answer B

55 If project A has a net present value (NPV) of U.S. $30,000 and project B has an NPV of U.S. $50,000, what is the opportunity cost if project B is selected?

1. $23,000
2. $30,000
3. $20,000
4. $50,000

Answer B

56 The contingency budget will:

1. Reduce the probability of scope changes.
2. Reduce the probability of cost overruns.
3. Increase the probability of a cost overrun.
4. Increase the probability of scope changes.

Answer B

57 A project manager is quantifying risk for her project. Several of her experts are offsite, but wish to be included. How can this be done?

1. Use Monte Carlo analysis using the Internet as a tool.
2. Apply the critical path method.
3. Determine options for recommended corrective action.
4. Apply the Delphi Technique.

Answer D

58 What percentage of the total distribution are 3 sigma from the mean equal to?

1. 68.26%
2. 99.99%
3. 95.46%
4. 99.73%

Answer D

59 A project manager holds the first risk meeting of the project team. The client is present at the meeting. At the meeting several risks are identified and assigned to members of the project team for evaluation and quantification. The result of the meeting is:

1. Expected value of the risk events.
2. Strategies for the risk events.
3. A list of potential risk events.
4. General statements about risks for the project.

Answer C

60 A project manager is using weighted average duration estimates to perform schedule network analysis. Which type of mathematical analysis is being used?

1. Critical path method
2. PERT
3. Monte Carlo
4. Resource leveling

Answer B

61 An activity has an early start (ES) of day 3, a late start (LS) of day 13, an early finish (EF) of day g, and a late finish (LF) of day if. The activity:

1. is on the critical path.
2. has a lag.
3. is progressing well.
4. is not on the critical path.

Answer D

62 Conflict resolution techniques that may be used on a project include confronting, smoothing, forcing and:

1. withdrawing.
2. directing.
3. organizing.
4. controlling.

Answer A

63 In the Monte Carlo technique, what is the criticality index?

1. The number of days the project will be late divided by the project duration
2. The percent of time a given activity will be on the critical path
3. The percent of time an activity will be late
4. The sum of the duration of the critical path activities divided by the project expected value for duration

Answer B

64 Which phase of the project is likely to have the greatest amount of its funding spent?

1. Initiating
2. Executing
3. Planning
4. Closeout

Answer B

65 A control chart shows seven data points in a row on one side of the mean. What should be done?

1. Perform a design of experiments.
2. Adjust the chart to reflect the new mean.
3. Find an assignable cause.
4. Nothing. This is the rule of seven and can be ignored.

Answer C

66 The document that is proof of upper management.s commitment to the project and gives the authority to manage the project to the project manager is called:

1. The project plan.
2. The project goals and objectives.
3. The project charter.
4. The project definition.

Answer C

67 Which of the following represents the estimated value of the work actually accomplished?

1. Earned value (EV)
2. Planned value (PV)

3. Actual cost (AC',
4. Cost variance (CV)

Answer A

68 A project manager is managing a project. The original scope baseline of the project was budgeted at $100,000. Since work on the project started there have been seventeen authorized and approved changes to the project. The changes have a value of $17,000 and the cost of investigating them prior to their approval was $2,500. What is the current budget for the project?

1. $100,000
2. $114,500
3. $117,000
4. $119,500

Answer D

69 A project team has completed, and the customer has accepted, the completed project scope. However, the lessons learned required by the project management office have not been completed. What is the status of the project?

1. The project is incomplete because the project needs to be re-planned.
2. The project is incomplete until all project and product deliverables are complete and accepted.
3. The project is complete because the customer has accepted the deliverables.
4. The project is complete because the project has reached the due date.

Answer B

70 You are the project manager for a project that has high visibility. Your manager wants you to prepare a presentation for him to present at a conference. Most of the material in the presentation will be facts that are the results of your project. Your manager intends to present the material under his own name. Your name will not appear. What should you do?

1. Refuse to work on the presentation unless you are listed as a coauthor.
2. Do the work as you were told by your manager.
3. Present your own presentation.
4. Meet with your manager's manager and discuss the problem.

Answer B

71 A project manager works in a company favoring the weakest authority for the project manager. The type of organization that holds the project manager to be the weakest is:

1. Projectized organization.
2. Strong matrix organization.
3. Weak matrix organization.
4. Balanced matrix.

Answer C

72 A system development project is nearing project closing when a previously unidentified risk is discovered. This could potentially affect the project's overall ability to deliver. What should be done next? www.vustudents.net

1. Alert the project sponsor of potential impacts to cost, scope or schedule.
2. Qualify the risk.
3. Mitigate this risk by developing a risk response plan.
4. Develop a workaround.

Answer B

73 You just found out that a major subcontractor for your project consistently provides deliverables late. The subcontractor approaches you and asks you to continue accepting late deliverables in exchange for a decrease in project costs. This offer is an example of:

1. confronting.
2. compromise.
3. smoothing.
4. forcing.

Answer B

74 Which of the following contains Change Management Plan ?

1. Scope management plan
2. Communications management plan
3. Configuration management plan
4. Quality management plan

Answer A

75 You are managing a project in a just in time environment. This will require more attention, because the amount of inventory in such an environment is generally:

1. 45 percent.
2. lo percent.
3. 12 percent.
4. o percent.

Answer D

76 Resource leveling will generally:

1. Reduce the time needed to do the project.
2. Increase the total time necessary to do all the tasks.
3. Reduce the overutilization of resources.
4. Reduce resources to the lowest skill that is possible.

Answer C

77 A task was scheduled to use two persons, full time, and take two weeks to complete. Instead, the project manager was only able to assign one person to this task. At the end of two weeks, the person assigned to the task was 75% complete. What is the cost performance index?

1. 0.75
2. 1.50
3. 0.25
4. 1.15

Answer B

78 You are a project manager who was just assigned to take over a project from another project manager who is leaving the company. The previous project manager tells you that the project is on schedule, but only because he has constantly pushed the team to perform. What is the FIRST thing you should do as the new project manager?

1. Check risk status.
2. Check cost performance.
3. Determine a management strategy.
4. Tell the team your objectives.

Answer C

79 Which of the following is considered to be a simulation technique?

1. PERT analysis
2. GERT analysis
3. Monte Carlo analysis
4. Critical path method

Answer C

80 Extensive use of ----- communication is most likely to aid in solving complex problems.

1. verbal
2. written
3. formal
4. nonverbal

Answer B

81 When checking the calendar of a team member to schedule a meeting, you see she has scheduled a meeting with a key stakeholder that you were not informed of. The best approach would be to:

1. avoid mentioning it to the team member but continue to watch her activities.
2. notify your boss about the problem.
3. address the concern with the team member's boss.
4. address the concern with the team member.

Answer D

82Project A has an internal rate of return (IRR) of 21 percent. Project B has an IRR of 7 percent. Project C has an IRR of 31 percent. Project D has an IRR of ig percent. Which of these would be the BEST project?

1. Project A
2. Project B
3. Project C
4. Project D

Answer C

83 The program evaluation and review technique (PERT) method of scheduling differs from the critical path method (CPM) because the PERT method:

1. Uses weighted averages of activity durations to calculate project duration.
2. Uses ..dummy.. activities to represent logic ties.
3. Uses ..free float.. instead of ..total float.. in the schedule calculations.
4. Uses bar charts instead of logic diagrams to portray the schedule.

Answer A

84 The key inputs to activity definition are:

1. Work breakdown structure, the project schedule, and the network diagram.
2. Project schedule, progress reports, and change requests.
3. The project network diagram, constraints, and durations.
4. The work breakdown structure, the scope statement, and historical information that supports the applicable activity

Answer D

85 The customer requests a change to the project that would increase the project risk. Which of the following should you do before all the others?

1. Include the expected monetary value of the risk in the new cost estimate.
2. Talk to the customer about the impact of the change.
3. Analyze the impacts of the change with the team.
4. Change the risk management plan.

Answer C

.87 The lowest level at WBS is one of the following:

1. The task.
2. The activity.
3. The work package.
4. The element.

Answer C

88 A project manager would like to manage his project in such a way that he will be able to identify specific tasks that should be watched and managed more closely than others. The project manager should use which method?

1. The PERT method
2. The critical path method
3. The GERT method
4. The PCDM method

Answer B

89 What characteristic best describes the cost baseline?

1. Total budget for the project
2. Time phased budget for the project
3. Total budget for the project including the contingency budget
4. Total budget for the project including the contingency budget and the management reserve

Answer B

90 In attempting to complete the project faster, the project manager looks at the cost associated with crashing each activity. The best approach to crashing would also include looking at the:

1. risk impact of crashing each activity.
2. customer's opinion of which activities to crash.
3. boss's opinion of which activities to crash and in which order.
4. project life cycle phase in which the activity is due to occur.

Answer A **www.vustudents.net**

91 A project manager has a problem with a team member's performance. What is best form of communication for addressing this problem?

1. Formal written communication
2. Formal verbal communication
3. Informal written communication
4. Informal verbal communication

Answer D

92 Your employee is three days late with a report. Five minutes before the meeting where the topic of the report is to be discussed, she hands you the report. You notice some serious errors in it. What should you do?

1. Cancel the meeting and reschedule when the report is fixed.
2. Go to the meeting and tell the other attendees there are errors in the report.
3. Force the employee to do the presentation and remain silent as the other attendees find the errors.
4. Cancel the meeting and rewrite the report yourself.

Answer A

93 The act of doing anything that will help to bring future project performance into line with the project plan is called:

1. Budget update.
2. Revised cost estimate.
3. Corrective action.
4. Contingency planning.

Answer C

94 A project is engaged in making electronic devices. It is necessary for them to purchase materials to make the printed circuit boards. All of the parts are common parts that are available from several vendors. The most likely contract that should be issued for these parts is:

1. Unit price contract.
2. Firm fixed price contract.

3. Cost reimbursable contract.
4. Award fee contract.

Answer B

95 You are the project manager for a large project that is completed on time and on budget. The customer and all of the stakeholders are pleased with the results. As a direct result of the successful completion of the project, your manager approves a bonus of $25,000 to you. There are fifteen members of the project team. One of the people on the project team has been a very low contributor to the project; the other fourteen have all been above standard. What should you do with the money?

1. Keep the money yourself; you deserve it, and the manager gave it to you.
2. Divide the money equally among all the team members.
3. Ask the team members how they would divide the money.
4. Divide the money equally among the team members except for the substandard team member. www.vustudents.net

Answer C

96 A project manager is using a cause and effect diagram with the team to determine how various factors might be linked to potential problems. In what part of the quality management process is the project manager involved?

1. Quality analysis
2. Perform quality assurance
3. Perform quality control
4. Quality planning

Answer D

97 During which risk management process is a determination to transfer a risk made?

1. Risk identification
2. Quantitative risk analysis
3. Risk response planning
4. Risk monitoring and control

Answer C

98 Your cost forecast shows that you will have a cost overrun at the end of the project. Which of the following should you do?

1. Eliminate risks in estimates and re-estimate.
2. Meet with the sponsor to find out what work can be done sooner.
3. Cut quality.

4. Decrease scope.

Answer A

99 At the request of the project team for a large project, the company.s purchasing department advertises that they intend to let a contract for construction work associated with the project. This is called:

1. Procurement planning.
2. Solicitation.
3. Advertising.
4. The procurement process.

Answer B

100 A project is considered complete when the :

1. BAC is equal to the PV.
2. The EV is equal to the AC.
3. The PV is equal to the AC.
4. The BAC is equal to the EV.

Answer D

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Question # 1

Which of the following refers to a narrative description of the work to be accomplished?

The statement of work (SOW)

The project specifications

The milestone schedule

The work breakdown structure (WBS)

As the name indicates, the statement of work (SOW) is a narrative description of the work to be accomplished. It includes the objectives of the project, a brief description of the work, the funding constraint if one exists, and the specifications and schedule.

Question # 2

Which of the following statements is TRUE for Work breakdown Structure (WBS)?

Project Manager must structure work into small elements that are manageable

Project Manager must structure work into small elements that are independent

Project Manager must structure work into small elements that are measurable

All of the given options

Question # 3

Scope of a project is the .....total of all of a project's products and their requirements or features

Sum

Product

Sum and product

None of the above

Question # 5

Which of the following life cycle phases includes brainstorming and common sense at planning stage?

Conceptualization

Feasibility

Preliminary planning

Detail planning

As the name suggests, the conceptualization phase includes brainstorming and common sense and involves two critical factors:

1. Identify and define the problem, and
2. Identify and define potential solutions

Quality assurance is:

Detection based

Inspection based

Prevention based

People based

From the early 1950s to the late 1960s, quality control evolved into quality assurance, with its emphasis on problem avoidance rather than problem detection

Question # 7

The three general preconditions for achieving lasting success as a project manager are:
Technical Skills, Ability, Human Skills and Design Skill
Ability, Motivation to manage and Opportunity
Motivation to manage, Opportunity and Conceptual Skill
Ability, Capacity and Supervision
Handouts page no.19

Question # 8
Which of the following statements gives the Technical definition of Project Planning?
Working out of sub-components in some degree of detail
To cover area of government legislation & regulation related to "use of resources"
"Planned use of any /all resources"- Succession of five year plans
Structured sequence of events leading to desired set of objectives

The term planning implies the working out of sub-components in some degree of elaborate detail. Broader-brush enunciations of objectives may qualify as metaphorical roadmaps. Planning literally just means the creation of a plan; it can be as simple as making a list. It has acquired a technical meaning, however, to cover the area of government legislation and regulations related to the use of resources

Question # 9
Which of the following require input from a large number of functional units and usually control vast resources?
Individual projects
Staff projects
Special projects
Matrix or Aggregate projects
Matrix or Aggregate projects: These require input from a large number of functional units and usually control vast resources. Each of these categories of projects can require different responsibilities, job descriptions, policies, and procedures.

Question # 10
Which of the following is the responsibility of proposed project manager?
Project Plan & strategy
Description of Project Organization
Development of organizational Chart
All of the given options

Question # 11
Which of the following is the discount rate that equates the present values of the two sets of flows?
Discounted Cash Flow
Pay Back Period
Discounted Cash Flow
Internal Rate of Return

Internal Rate of Return (IRR):
If we have a set of expected cash inflows and cash outflows, the internal rate of return is the discount rate that equates the present values of the two sets of flows.

Which of the following items involves the quantitative aspects of planning?
Budget development
Project administration
Leadership styles
Conflict management
Handouts Page no. 101

Question # 13
The main purpose of a_____is to function as a blueprint for the group's business operations.
Business Plan
Scope statement
Feasibility Study
Work Breakdown Structure
The business plan provides the "blueprint" for project implementation.

Question # 14
_____is the lowest level of quality development.
Quality Assurance
Quality Management
Inspection
Total Quality Management
This comprises of the following "five level model":
1. Inspection
2. Quality Control
3. Quality Assurance
4. Quality Management
5. Total Quality Management

Fredrick Taylor- Father of Scientific Management was a _____
Mechanical Engineer
Chemical Engineer
Technical Engineer
Electrical Engineer

Question # 16
Fitness to cost can be obtained by:
Determining the customer's needs
Building of customer needed products
Obtaining high quality and low cost products
Developing quality management

Question # 17
All of the following are relevant factors of competitive bids EXCEPT:
Schedule
Financial Stability
Financing Offer
Ease of minor changes adopted

Question # 18
The emphasis is changed from product to process at_____stage.
Inspection
Quality control
Quality management
Quality assurance

Question # 19
Quality is defined by_____.
Customer
Proposal manager
Higher management
Quality management

Mature organizations today readily admit that they cannot accurately define quality. The reason for this is because quality is defined by the customer. The Kodak definition of quality is those products and services that are perceived to meet or exceed the needs and expectations of the customer at a cost that represents outstanding value

Question # 1 of 10 (Start time: 10:18:48 AM) Total Marks: 1
Fredrick Taylor- Father of Scientific Management was a _____
Select correct option:
Mechanical Engineer Correct (Lesson no 1 Page no 1 Handouts)
Chemical Engineer
Technical Engineer
Electrical Engineer

Question # 2 of 10 (Start time: 10:19:44 AM) Total Marks: 1
Which of the following statements best defines the Fast Tracking?
Select correct option:
A method of project scheduling
Linking of a project to the ongoing operations of the
The overlapping of project phases Correct (Lesson no 5 Page no 42 Handouts)
A method of construction

Question # 3 of 10 (Start time: 10:22:31 AM) Total Marks: 1
When should the project manager be employed?
Select correct option:
As early in the project as feasible
Preferably before much project planning has been do
At least prior to the start of project plan execution
All of the given options
Correct

Question # 4 of 10 (Start time: 10:21:06 AM) Total Marks: 1
All of the following are activities of Project Engineering Manager EXCEPT:
Select correct option:
Process Flow Sheets
Equipment Data Specs
Process Liaison
Bid Analysis
Correct

Question # 5 of 10 (Start time: 10:23:58 AM) Total Marks: 1
Which of the following statement is TRUE about time spent by Project managers while they are on training?
Select correct option:
Experimental learning, on-the-job 10%
Formal education & special courses 20%
Professional activities, seminars 60%
Correct
Readings 20%

Question # 6 of 10 (Start time: 10:25:12 AM) Total Marks: 1
Which of the following includes socializing, and interacting with outsiders?
Select correct option:
Traditional Management
Communication
Human Resource Management
Networking Correct (Lesson no 3 Page no 18 Handouts)

Question # 7 of 10 (Start time: 10:25:51 AM) Total Marks: 1
Which of the following involves motivation, disciplining, managing conflict, staffing, and training?
Select correct option:
Traditional Management
Communication
Human Resource Management Correct (Lesson no 3 Page no 18 Handouts)
Networking

Question # 8 of 10 (Start time: 10:26:27 AM) Total Marks: 1
A collection of generally sequential project phases whose name and number are determined by the control needs of the organization or organizations involved in the project, is called:
Select correct option:
Project life cycle
Correct
Product life cycle
Project life event
Procurement life cycle

Question # 9 of 10 (Start time: 10:27:48 AM) Total Marks: 1
Which of the following creates an environment in which there exists a continuous stream of successfully managed projects and where success is measured by what is in the best interest of both the company and the project (i.e. the customer)?
Select correct option:
Organizational Effectiveness
Organizational Excellence
Correct
Organizational Support
Organizational efficiency

Question # 10 of 10 (Start time: 10:29:15 AM) Total Marks: 1
Which of the following refers to the knowledge of international, national, regional or local laws and customs, time zone differences, teleconferencing

facilities, level of use of technology, national holidays, travel means and logistic requirements?
Select correct option:
Cultural Environment
Physical Environment
Social Environment
International and Political Environment
Correct

Question # 2 of 20 (Start time: 02:45:50 PM) Total Marks: 1
Which of the following best defines the controlling function of Management?
Select correct option:
The process of setting objectives in any project
The process of assigning tasks, allocating resources,
Correct
The process of arousing enthusiasm and directing HR
The process of measuring performance and taking ac

Question # 3 of 20 (Start time: 02:47:05 PM) Total Marks: 1
Which of the following refers to a narrative description of the work to be accomplished?
Select correct option:
The statement of work (SOW)
Correct
The project specifications
The milestone schedule
The work breakdown structure (WBS)

Question # 4 of 20 (Start time: 02:48:11 PM) Total Marks: 1
All of the following are activities of Project Engineering Manager EXCEPT:
Select correct option:
Process Flow Sheets
Equipment Data Specs
Process Liaison
Bid Analysis
Correct

Question # 5 of 20 (Start time: 02:49:02 PM) Total Marks: 1
Which of the following statement is TRUE about time spent by Project managers while they are on training?
Select correct option:
Experimental learning, on-the-job 10%
Formal education & special courses 60%
Professional activities, seminars 20%
Correct
Readings 10%
Question # 6 of 20 (Start time: 02:50:04 PM) Total Marks: 1
Which of the following requires an understanding of economic, demographic, ethical, ethnic, religious and cultural sensitivity issues?

Select correct option:
International Environment
Political Environment
Cultural and Social Environment
Correct
Physical Environment

Question # 7 of 20 (Start time: 02:51:06 PM) Total Marks: 1
Which of the following is the knowledge of and proficiency in activities involving methods, process, and procedures?
Select correct option:
Technical Skill
Correct
Human Skill
Conceptual Skill
Design Skill

Question # 8 of 20 (Start time: 02:51:58 PM) Total Marks: 1
Which of the following is the first step in the process of defining the actual scope of a project?
Select correct option:
Project Conception
Correct
Feasibility analysis
Scope statement
Project Planning

Question # 9 of 20 (Start time: 02:53:18 PM) Total Marks: 1
Which of the following involves motivation, disciplining, managing conflict, staffing, and training?
Select correct option:
Traditional Management
Communication
Human Resource Management
Correct
Networking

Question # 10 of 20 (Start time: 02:54:36 PM) Total Marks: 1
Which of the following factors are involved in project planning?
Select correct option:
Resources and scope
Financing and resources
Correct
Support and scope
Financing and scope

Question # 11 of 20 (Start time: 02:55:58 PM) Total Marks: 1
A project manager is using the internal rate of return method to make the final decision on which project to undertake. Which of these four projects have the

highest internal rate of return?
Select correct option:
$25,000 initial outlay with $10,000 cash inflows during
$12,500 initial outlay with $10,000 cash inflows during
Correct
$25,000 initial outlay with $5,000 cash inflows during
$12,500 initial outlay with $5,000 cash inflows during

Question # 12 of 20 (Start time: 02:57:25 PM) Total Marks: 1
If the changes are not identified in specific projects, the result can be:
Select correct option:
Slow implementation
Lack of a cost tracking system for implementation
Poor communications, both internal and external to t
All of the given options
Correct

Question # 13 of 20 (Start time: 02:58:29 PM) Total Marks: 1
After Initial feasibility analysis, the next step is to prepare:
Select correct option:
Project Plan
Correct
Scope statement
System Proposal
Work Breakdown Structure

Question # 14 of 20 (Start time: 02:59:41 PM) Total Marks: 1
Which of the following refers to the process of choosing a project or set of projects to be implemented by the organization?
Select correct option:
Project Selection
Correct
Project evaluation
Project implementation
Project Execution

Question # 15 of 20 (Start time: 03:00:45 PM) Total Marks: 1
All of the following should be included in technical information database EXCEPT:
Select correct option:
Types of Projects
Feasibility
Engineering Project
Graphic Arts
Correct

Question # 16 of 20 (Start time: 03:01:55 PM) Total Marks: 1
Which of the following is the content of the administrative support part of the project proposal?

Select correct option:
Nature & Timing of Reports
Description of final Documents for Users
Termination Procedures Described
All of the given options
Correct

Question # 17 of 20 (Start time: 03:03:14 PM) Total Marks: 1
Projects differ from classic organizational processes because projects are:
Select correct option:
Discrete activities
Correct
Part of line organization
Well established systems in place to integrate efforts
Multi-objective

Question # 18 of 20 (Start time: 03:04:39 PM) Total Marks: 1
Which of the following is calculated as the initial fixed investment in the project divided by the estimated annual net cash inflows from the project?
Select correct option:
Discounted Cash Flow
Pay Back Period
Correct
Discounted Cash Flow
Internal Rate of Return

Question # 19 of 20 (Start time: 03:05:33 PM) Total Marks: 1
Which of the following are short-duration projects normally assigned to a single individual who may be acting as both a project manager and a functional manager?
Select correct option:
Individual projects
Correct
Staff projects
Special projects
Matrix or Aggregate projects

Question # 20 of 20 (Start time: 03:06:27 PM) Total Marks: 1
The matrix organization has two forms: the weak matrix and the strong matrix. Which of the following is the primary difference between these two forms?

Select correct option:
The number of functional staff assigned to the project
The organization always starts as weak and builds its
A weak matrix is used only to plan the project
Relative influence exercised in decision-making
Correct

Question # 1 of 20
(Start time: 09:11:53 PM) Total Marks: 1
Which of the following demonstrates how well the project is understood?
Select correct option:
Introduction
Mission & Objectives
Work Scope
Schedules

Question # 1 of 20 (Start time: 08:38:23 PM) Total Marks: 1
Which of the following refers to a narrative description of the work to be accomplished?
Select correct option:
The statement of work (SOW)
The project specifications
The milestone schedule
The work breakdown structure (WBS)

Question # 2 of 20 (Start time: 08:40:08 PM) Total Marks: 1
Which of the following statements is TRUE for Work breakdown Structure (WBS)?
Select correct option:
Project Manager must structure work into small elements that are manageable
Project Manager must structure work into small elements that are independent
Project Manager must structure work into small elements that are measurable
All of the given options

Question # 3 of 20 (Start time: 08:41:38 PM) Total Marks: 1
Scope of a project is the ……. total of all of a project's products and their requirements or features
Select correct option:
Sum
Product
Sum and product
None of the above
Question # 5 of 20 (Start time: 08:44:56 PM) Total Marks: 1
Which of the following life cycle phases includes brainstorming and common

sense at planning stage?
Select correct option:
Conceptualization
Feasibility
Preliminary planning
Detail planning

Question # 6 of 20 (Start time: 08:45:52 PM) Total Marks: 1
Quality assurance is:
Select correct option:
Detection based
Inspection based
Prevention based
People based

Question # 7 of 20 (Start time: 08:47:50 PM) Total Marks: 1
The three general preconditions for achieving lasting success as a project manager are:
Select correct option:
Technical Skills, Ability, Human Skills and Design Skill
Ability, Motivation to manage and Opportunity
Motivation to manage, Opportunity and Conceptual Skill

Ability, Capacity and Supervision

Question # 8 of 20 (Start time: 08:49:45 PM) Total Marks: 1
Which of the following statements gives the Technical definition of Project Planning?
Select correct option:
Working out of sub-components in some degree of detail
To cover area of government legislation & regulation related to "use of resources"
"Planned use of any /all resources"- Succession of five year plans
Structured sequence of events leading to desired set of objectives

Question # 9 of 20 (Start time: 08:51:41 PM) Total Marks: 1
Which of the following require input from a large number of functional units and usually control vast resources?
Select correct option:
Individual projects
Staff projects
Special projects
Matrix or Aggregate projects

Question # 10 of 20 (Start time: 08:52:40 PM) Total Marks: 1
Which of the following is the responsibility of proposed project manager?
Select correct option:
Project Plan & strategy
Description of Project Organization
Development of organizational Chart
All of the given options

Question # 11 of 20 (Start time: 08:53:04 PM) Total Marks: 1
Which of the following is the discount rate that equates the present values of the two sets of flows?
Select correct option:
Discounted Cash Flow
Pay Back Period
Discounted Cash Flow
Internal Rate of Return

Question # 12 of 20 (Start time: 08:54:56 PM) Total Marks: 1
Which of the following items involves the quantitative aspects of planning?
Select correct option:
Budget development
Project administration
Leadership styles
Conflict management

Question # 13 of 20 (Start time: 08:56:51 PM) Total Marks: 1
The main purpose of a_____is to function as a blueprint for the group's business operations.
Select correct option:
Business Plan
Scope statement
Feasibility Study
Work Breakdown Structure

Question # 14 of 20 (Start time: 08:57:43 PM) Total Marks: 1
_____is the lowest level of quality development.
Select correct option:
Quality Assurance
Quality Management
Inspection
Total Quality Management

Question # 15 of 20 (Start time: 08:59:20 PM) Total Marks: 1
Fredrick Taylor- Father of Scientific Management was a _____
Select correct option:
Mechanical Engineer
Chemical Engineer
Technical Engineer
Electrical Engineer

Question # 16 of 20 (Start time: 09:00:40 PM) Total Marks: 1
Fitness to cost can be obtained by:
Select correct option:
Determining the customer's needs
Building of customer needed products
Obtaining high quality and low cost products
Developing quality management

Question # 17 of 20 (Start time: 09:02:29 PM) Total Marks: 1
All of the following are relevant factors of competitive bids EXCEPT:
Select correct option:
Schedule
Financial Stability
Financing Offer
Ease of minor changes adopted

Question # 18 of 20 (Start time: 09:04:21 PM) Total Marks: 1
The emphasis is changed from product to process at_____stage.
Select correct option:
Inspection
Quality control
Quality management
Quality assurance

Question # 19 of 20 (Start time: 09:06:21 PM) Total Marks: 1
Quality is defined by_____.
Select correct option:
Customer
Proposal manager
Higher management
Quality management

1st Quiz (MGMT627)

**Please Correct me, if you find any mistake.*

lushahz@gmail.com

Which of the following are projects that require certain primary functions and/ or authority to be assigned temporarily to other individuals or units?

Individual projects

Staff projects

Special projects

Matrix or Aggregate projects

Which of the following statements best describes the project life-cycle?

Project concept, project planning, project execution, and project close-out

Project planning, work authorization, and project reporting

Project planning, project control, project definition, work breakdown structure development and project termination

Project concept, project execution, and project reporting

Which of the following best defines the "Planning" function of Management?

The process of setting objectives in any project & then determining what should be done to accomplish them.

The process of assigning tasks, allocating resources, & arranging coordinated activities to implement plans.

The process of arousing enthusiasm and directing HR efforts toward project/organizational goals.

The process of measuring performance and taking action to ensure desired results in any project.

Fredrick Taylor, the Father of Scientific Management, was a/an_____.

consultant

Doctor

Engineer

Business man

Which of the following statement is TRUE about time spent by Project managers while they are on training?

Experimental learning, on-the-job 60%

Formal education & special courses 10%

Professional activities, seminars 20%

Readings 20%

A collection of generally sequential project phases whose name and number are determined by the control needs of the organization or organizations involved in the project, is called:

Project life cycle

Product life cycle

Project life event

Procurement life cycle

Which of the following has poorly defined project methods, but has well defined end project requirements?

Large Engineering Project

New Product Development Project

Software Development Project

Training Need Assessment Project

All of the following are the examples of a project, EXCEPT:

The development and introduction of a new service

The development of a management information system

The introduction of an improvement to an existing process

Re-stocking of a retailer's shelves after a day of brisk sales

Which of the following is the ability to see "big picture" in order to recognize significant elements in a situation, and to understand relationships among elements?

Technical Skill

Human Skill

Conceptual Skill

Design Skill

Which of the following types of activities is more closely associated with projects rather than processes?
An activity that is ongoing
An activity that is day-to-day
An activity that uses existing systems
An activity that establishes its own work rules

Chapter 01 Modern Project Management Answer Key

Multiple Choice Questions

1. The advent of project management has been most profound in
A. Automobile manufacturing
B. Construction
C. Information technology
D. The U.S. Department of Defense
E. Film making

The impact of project management is most profound in the area of electronics industry, where the new folk heroes are young professionals whose Herculean efforts lead to the constant flow of new hardware and software products.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

2. A professional organization for project management specialists is the
A. PMI
B. AMA
C. MIS
D. IPM
E. PMBOK

The Project Management Institute (PMI), is a professional organization for project managers.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

3. Which of the following is not considered to be a characteristic of a project?
A. An established objective
B. A clear beginning and end
C. Complex tasks
D. Only for internal use
E. Never been done before

See List on Page 5.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Medium

4. Which of the following activities is not considered a project?
A. Developing a new software program
B. Designing a space station
C. Preparing the site for the Olympic Games
D. Production of automobile tires
E. Developing a new advertising program

A project is not routine, repetitive work! Ordinary daily work typically requires doing the same or similar work over and over, while a project is done only once; a new product or service exists when the project is completed.

AACSB: Analytic
Bloom's: Evaluation
Learning Objective: What is a Project?
Level: Medium

5. From among the following activities, which is the best example of a project?
A. Processing insurance claims
B. Producing automobiles
C. Writing a term paper
D. Completing a college degree
E. All of these are good examples of projects

See table 1.1 on Page 6.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: What is a Project?
Level: Medium

6. Which of the following constraints is not typically found in managing projects?
A. Time
B. People
C. Cost
D. Performance
E. Both B and D are not typical constraints

Specific time, cost, and performance requirements bind projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

7. Which of the following choices is not one of the stages of a project life cycle?
A. Conceptualizing
B. Defining
C. Planning
D. Executing
E. Delivering

See List on Page 7.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: What is a Project?
Level: Medium

8. In which of the following stages are project objectives established, teams formed, and major responsibilities assigned?
A. Conceptualizing
B. Defining
C. Planning
D. Executing
E. Delivering

Specifications of the project are defined; project objectives are established; teams are formed; major responsibilities are assigned.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

9. In which of the following stages is a major portion of the physical and mental project work performed?
A. Conceptualizing
B. Defining
C. Planning
D. Executing
E. Delivering

A major portion of the project work takes place—both physical and mental.

AACSB: Analytic
Bloom's: Application
Learning Objective: What is a Project?
Level: Medium

10. In which of the following stages are you more likely to find status reports, many changes, and the creation of forecasts?
A. Conceptualizing
B. Defining
C. Planning
D. Executing
E. Delivering

Time, cost, and specification measures are used for control.

AACSB: Analytic
Bloom's: Application
Learning Objective: What is a Project?
Level: Medium

11. Which of the following characteristics is not typical of a project manager?
A. Managing a temporary activity
B. Possesses in-depth technical knowledge
C. Managing a non-repetitive activity
D. Manages independently of the formal organization
E. Provides a direct link to the customer

Increased competition has placed a premium on customer satisfaction. Customers no longer simply settle for generic products and services.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: The Importance of Project Management
Level: Difficult

12. Which of the following choices is not one of the driving forces behind the increasing demand for project management?
A. Compression of the product life cycle
B. Knowledge explosion
C. Development of third world and closed economies
D. More emphasis on the product and less on the customer
E. Corporate downsizing

Increased customer attention has prompted the development of customized products and services.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: The Importance of Project Management
Level: Medium

13. Which of the following statements is true?
A. Project management is becoming a standard way of doing business
B. Project management is increasingly contributing to achieving organizational strategies
C. Project management is being used at a consistent percentage of a firm's efforts
D. Both A and B are true
E. A, B, and C are all true

Project management is no longer a special-need management. It is rapidly becoming a standard way of doing business. The future promises an increase in the importance and the role of projects in contributing to the strategic direction of organizations.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Importance of Project Management
Level: Difficult

14. Project management is ideally suited for a business environment requiring all of the following except
A. Accountability
B. Flexibility
C. Innovation
D. Speed
E. Repeatability

Competing in a global market influenced by rapid change, innovation, and time to market means organizations manage more and more projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

15. Which of the following is the number one characteristic that is looked for in management candidates?
A. Overall intelligence
B. Works well with others
C. Experience
D. Past successes
E. Good references

The phrase "works well with others" has long been a staple on grade school report cards; now, in the IT world, it's the No. 1 criterion for management candidates.(See Research Highlight on page 16).

AACSB: Communication
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

16. A common rule of thumb in the world of high-tech product development is that a six-month project delay can result in a loss of product revenue share of____percent. The waste on failed projects and cost overruns is estimated in the neighborhood of
A. 10
B. 20
C. 33
D. 45
E. 50

A common rule of thumb in the world of high-tech product development is that a six-month project delay can result in a 33 percent loss in product revenue share.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Importance of Project Management
Level: Medium

17. The waste on failed projects and cost overruns is estimated in the neighborhood of
A. Under $100 Million
B. Over $150 Billon
C. Under $10 Billion
D. Between $90-$100 Billion
E. Between $125-$135 Billion

The need for elevating performance continues to challenge the project management profession. The waste on failed projects and cost overruns is estimated in the neighborhood of over $150 billion!

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: What is a Project?
Level: Easy

18. Which of the following is the first step in developing a set of strategies designed to best meet the needs of customers?
A. Market Research
B. Define the Integrated Project Management System
C. Environmental Analysis
D. Project Selection
E. All of the above are correct

Project management is critical both to development of customized products and services and to sustaining lucrative relationships with customers.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: The Importance of Project Management
Level: Easy

19. Integration of project management with the organization takes place with the
A. Master budget
B. Strategy plan
C. Process of managing actual projects
D. Both b and c are correct
E. A, B, and C are all correct

Since projects are the modus operandi, strategic alignment of projects is of major importance to conserving and effective use of organization resources. Selection criteria need to ensure each project is prioritized and contributes to strategic goals.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

20. Two dimensions within the project management process are
A. Technical and sociocultural
B. Cost and time
C. Planned and unexpected
D. Established and new
E. Unique and reoccurring

There are two dimensions within the actual execution of projects (see Figure 1.3. The Technical and Sociocultural Dimensions of the Project Management Process on page 15).

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Today - An Integrated Approach
Level: Easy

21. Which of these is not part of the "technical dimension" of project management?
A. WBS
B. Budgets
C. Problem solving
D. Schedules
E. Status reports

See Figure 1.3. The Technical and Sociocultural Dimensions of the Project Management Process on page 15.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

22. Which of these is not part of the "sociocultural dimension" of project management?
A. Negotiation
B. Resource allocation
C. Customer expectations
D. Leadership
E. Politics

See Figure 1.3. The Technical and Sociocultural Dimensions of the Project Management Process on page 15.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

23. Corporate downsizing has increased the trend toward
A. Reducing the number of projects a company initiates
B. Outsourcing significant segments of project work
C. Using dedicated project teams
D. Shorter project lead times
E. Longer project lead times

Companies outsource significant segments of project work, and project managers have to manage not only their own people but also their counterparts in different organizations.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Importance of Project Management
Level: Medium

24. The importance of project management has increased due to
A. The movement of manufacturing operations out of the U.S
B. Time to market
C. The movement toward flatter and leaner organizations
D. Both a and b are true
E. A, B, and C are all true

One of the most significant driving forces behind the demand for project management is the shortening of the product life cycle. In today's flatter and leaner organizations, where change is a constant, project management is replacing middle management as a way of ensuring that things get done. Corporate downsizing has also led to a change in the way organizations approach projects. Companies outsource significant segments of project work, and project managers have to manage not only their own people but also their counterparts in different organizations.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Importance of Project Management
Level: Difficult

25. Which of the following is not typically the responsibility of a project manger?
A. Meeting budget requirements
B. Meeting schedule requirements
C. Meeting performance specifications
D. Coordinates the actions of the team members
E. All of these are typical responsibilities

They must ensure that appropriate trade-offs are made between the time, cost, and performance requirements of the project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: What is a Project?
Level: Easy

26. A series of coordinated, related, multiple projects that continue over extended time intended to achieve a goal is known as a
A. Strategy
B. Program
C. Campaign
D. Crusade
E. Venture

A program is a group of related projects designed to accomplish a common goal over an extended period of time.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

27. In which of the following stages is it determined what the project will entail, when it will be scheduled, whom it will benefit, and what the budget will be?
A. Conceptualizing
B. Defining
C. Planning
D. Executing
E. Delivering

The level of effort increases, and plans are developed to determine what the project will entail, when it will be scheduled, whom it will benefit, what quality level should be maintained, and what the budget will be.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

28. Competing in a global market is influenced by
A. Rapid change
B. Innovation
C. Time to market
D. Politics
E. A, B, and C are all true

Competing in a global market influenced by rapid change, innovation, and time to market means organizations manage more and more projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Easy

29. Integration of all project processes and practices to improve Project Management is due to
A. Centralization
B. Environmental analysis
C. Customer Expectations
D. Project management system
E. The organization's environment and culture

Centralization entails integration of all project processes and practices to improve project management.

AACSB: Analytic
Bloom's: Application
Learning Objective: Project Management Today - An Integrated Approach
Level: Easy

30. From 1994 to 2009 the trend for projects late or over budget was:
A. Significantly better
B. Slightly better
C. About the same
D. Slightly worse
E. Significantly worse

Failed projects also declined from 31 percent in 1994 to 18 percent in 2004. However, the CHAOS Summary 2009 report shows a small decrease in the numbers.

AACSB: Analytic
Bloom's: Evaluation
Learning Objective: What is a Project?
Level: Medium

Fill in the Blank Questions

31. Like most organizational effort, the major goal of a project is to_____.
satisfy a customer's need

Like most organizational effort, the major goal of a project is to satisfy a customer's need.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

32. The initial stage in the Project Life Cycle is the_____stage.
defining

Specifications of the project are defined; project objectives are established; teams are formed; major responsibilities are assigned.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

33. The final stage in the Project Life Cycle is the_____stage.
closure

Closure includes three activities: delivering the project product to the customer, redeploying project resources, and post-project review.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

34. The_____, a professional organization for project managers, has grown from 93,000 in 2002 to more than 230,000 currently.
PMI

The Project Management Institute (PMI), is a professional organization for project managers.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

35. In the_____stage of the Project Life Cycle a major part of the project work, both physical and mental, takes place.
executing

A major portion of the project work takes place—both physical and mental.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

36. In the_____stage of the Project Life Cycle what will be accomplished by the project is determined along with the project's schedule and budget.
planning

The level of effort increases, and plans are developed to determine what the project will entail, when it will be scheduled, whom it will benefit, what quality level should be maintained, and what the budget will be.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

37. A common rule of thumb in the world of high-tech product development is that a six-month project delay can result in a_____percent loss in product revenue share.
thirty-three

A common rule of thumb in the world of high-tech product development is that a six-month project delay can result in a 33 percent loss in product revenue share.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Importance of Project Management
Level: Medium

38. In today's high-tech industries the product life cycle is averaging_____years.
1 to 3

Today in high-tech industries the product life cycle is averaging 1 to 3 years. Only 30 years ago, life cycles of 10 to 15 years were not uncommon.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Importance of Project Management
Level: Easy

39. The advent of many small projects has created the need for an organization that can support_____management.
multiproject

This climate has created a multiproject environment and a plethora of new problems. Sharing and prioritizing resources across a portfolio of projects is a major challenge for senior management.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Importance of Project Management
Level: Easy

40. Increased competition has placed a premium on customer satisfaction and the development of_____products and services.
customized

Customers want customized products and services that cater to their specific needs.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Importance of Project Management
Level: Easy

41. In some organizations, selection and management of projects often fail to support the broad-based_____of the organization.
strategic plan

Today, projects are the modus operandi for implementing strategy. Yet in some organizations, selection and management of projects often fail to support the strategic plan of the organization.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

42. WBS, schedules, and budgets are examples of the_____dimension of the project management process.
technical

See Figure 1.3. The Technical and Sociocultural Dimensions of the Project Management Process on page 15.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

43. Leadership, teamwork, and negotiation are examples of the_____dimension of the project management process.
sociocultural

See Figure 1.3. The Technical and Sociocultural Dimensions of the Project Management Process on page 15.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

44. The_____is a professional organization for project management specialists.
Project Management Institute (PMI)

The Project Management Institute (PMI), is a professional organization for project managers.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

45. One of the defining characteristics of a project is that it has a singular purpose, i.e., an established_____.
objective

Projects have a defined objective—whether it is constructing a 12-story apartment complex by January 1 or releasing version 2.0 of a specific software package as quickly as possible.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

46. Because projects have a defined beginning and end, the_____is frequently used to manage the transition of a project from start to completion.
Project Life Cycle

The project life cycle typically passes sequentially through four stages: defining, planning, executing, and delivering.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: What is a Project?
Level: Difficult

47. The development of schedules, budgets, and identifying risks are common elements to the _____stage of the project life cycle.
planning

The level of effort increases, and plans are developed to determine what the project will entail, when it will be scheduled, whom it will benefit, what quality level should be maintained, and what the budget will be.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Medium

48. The establishment of project goals, specifications, and responsibilities usually occurs in the_____stage of the project life cycle.
defining

Specifications of the project are defined; project objectives are established; teams are formed; major responsibilities are assigned.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Medium

49. Training the customer, reassigning staff, and releasing resources occurs in the _____ stage of the project life cycle.
closure

Includes three activities: delivering the project product to the customer, redeploying project resources, and post-project review. Delivery of the project might include customer training and transferring documents.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Medium

50. Project managers are expected to ensure that appropriate trade-offs are made between the time, cost, and_____requirements of the project.
performance

Project managers are ultimately responsible for performance (frequently with too little authority). They must ensure that appropriate trade-offs are made between the time, cost, and performance requirements of the project.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: What is a Project?
Level: Medium

51. The growth in_____has increased the complexity of projects because projects typically include the latest advances.
new knowledge

The growth in new knowledge has increased the complexity of projects because projects encompass the latest advances. Product complexity has increased the need to integrate divergent technologies. Project management has emerged as an important discipline for achieving this task.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: The Importance of Project Management
Level: Medium

52. A_____is a series of coordinated, related; multiple projects that continue over extended time intended to achieve a goal.
program

A program is a group of related projects designed to accomplish a common goal over an extended period of time.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

53. In the_____stage, it determined what the project will entail, when it will be scheduled, whom it will benefit, and what the budget will be.
planning

The level of effort increases, and plans are developed to determine what the project will entail, when it will be scheduled, whom it will benefit, what quality level should be maintained, and what the budget will be.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

True / False Questions

54. Because of the profitability motive, project management is nearly always limited to the private sector.
FALSE

Project management is not limited to the private sector. Project management is also a vehicle for doing good deeds and solving social problems.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

55. Ten years ago major universities offered only one or two classes in project management, primarily for engineers.
TRUE

Ten years ago major universities offered one or two classes in project management, primarily for engineers. Today, most universities offer multiple sections of project management classes, with the core group of engineers being supplemented by business students majoring in marketing, management information systems (MIS).

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

56. The professional certification for project managers is a Project Management Professional (PMP).
TRUE

PMI provides certification as a Project Management Professional (PMP)—someone who has documented sufficient project experience, agreed to follow the PMI code of professional conduct, and demonstrated mastery of the field of project management by passing a comprehensive examination. (See Snapshot on Page 4).

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

57. Because of its flexibility, project management is equally useful in ongoing, routine work as well as unique, one-time projects.
FALSE

A project is not routine, repetitive work! Ordinary daily work typically requires doing the same or similar work over and over, while a project is done only once; a new product or service exists when the project is completed.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

58. One of the defining characteristics of project management is that the projects are not confined to a single department but involve several departments and professionals.
TRUE

One of the major characteristics is the involvement of several departments and professionals.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

59. One of the characteristics that separate project management from other endeavors of the organization is that there are specific time, cost, and performance requirements.
TRUE

Major characteristics are specific time, cost, and performance requirements.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

60. The singular purpose of a project is often lacking in daily organizational life in which workers perform repetitive operations each day.
TRUE

This singular purpose is often lacking in daily organizational life in which workers perform repetitive operations each day.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

61. Since a construction company builds many buildings the projects after the first building do not fit the definition of a project.
FALSE

All projects are nonroutine and has some unique elements.

AACSB: Reflective Thinking
Bloom's: Comprehension
Level: Medium

62. The first stage in the Project Life Cycle is the Concept stage.
FALSE

The first stage is defining.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

63. A major portion of the project work, both physical and mental, takes place during the Production stage of the Project Life Cycle.
FALSE

A major portion of the project work, both physical and mental is done in the executing stage.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Medium

64. In practice, the amount of work accomplished in each stage of the Project Life Cycle will vary greatly depending on the department or work group.
TRUE

In practice, the project life cycle is used by some project groups to depict the timing of major tasks over the life of the project.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

65. Because of the requirement for in-depth expertise, project management is generally restricted to specialists.
FALSE

Unlike their functional counterparts, project managers generally possess only rudimentary technical knowledge.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: What is a Project?
Level: Easy

66. On the project team, the Marketing manager is the primary, direct link with the customer.
FALSE

Project Managers are typically the direct link to the customer and must manage the tension between customer expectations and what is feasible and reasonable.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: What is a Project?
Level: Easy

67. One of the most significant driving forces behind the demand for project management is the ever increasing expansion of the product life cycle.
FALSE

One of the most significant driving forces behind the demand for project management is the shortening of the product life cycle.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: The Importance of Project Management
Level: Easy

68. Unlike their functional counterparts, project managers generally possess only rudimentary technical knowledge to make trade-off decisions.
TRUE

Unlike their functional counterparts, project managers generally possess only rudimentary technical knowledge.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: What is a Project?
Level: Medium

69. Because of the significant loss in potential product revenue, "time to market" has become one of the most critical factors in developing new products.
TRUE

Time to market for new products with short life cycles has become increasingly important.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: The Importance of Project Management
Level: Easy

70. A common rule of thumb in the world of high-tech product development is that a six-month project delay can result in a 33 percent loss in product revenue share.
TRUE

A common rule of thumb in the world of high-tech product development is that a six-month project delay can result in a 33 percent loss in product revenue share. Speed, therefore, becomes a competitive advantage; more and more organizations are relying on cross-functional project teams to get new products and services to the market as quickly as possible.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: The Importance of Project Management
Level: Easy

71. Project management integration necessitates combining all of the major dimensions of project management under one umbrella.
TRUE

Project management integration necessitates combining all of the major dimensions of project management under one umbrella. Each dimension is connected in one seamless, integrated domain. Integration means applying a set of knowledge, skills, tools, and techniques to a collection of projects in order to move the organization toward its strategic goals.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Easy

72. Due to corporate downsizing significant segments of project work have been outsourced to other organizations.
TRUE

Corporate downsizing has also led to a change in the way organizations approach projects. Companies outsource significant segments of project work, and project managers have to manage not only their own people but also their counterparts in different organizations.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Importance of Project Management
Level: Easy

73. Smaller projects in larger organizations tend not to need project management skills.
FALSE

Many small projects can eat up the people resources of a firm and represent hidden costs not measured in the accounting system. Organizations with many small projects going on concurrently face the most difficult project management problems.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Importance of Project Management
Level: Medium

74. In the current trends, Project managers are typically required to manage many diverse systems such as; networks, bar charts, job costing, task forces, partnering and schedule, to manage projects.
FALSE

Project managers must shape a project culture that stimulates teamwork and high levels of personal motivation as well as a capacity to quickly identify and resolve problems that threaten project work. This dimension also involves managing the interface between the project and external environment. Project managers have to assuage and shape expectations of customers, sustain the political support of top management, negotiate with their functional counterparts, monitor subcontractors, and so on. Overall, the manager must build a cooperative social network among a divergent set of allies with different standards, commitments, and perspectives.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Easy

75. Project management is usually restricted to specialists.
FALSE

Unlike their functional counterparts, project managers generally possess only rudimentary technical knowledge.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

76. Project management is becoming a standard way of doing business.
TRUE

Project management is no longer a special-need management. It is rapidly becoming a standard way of doing business.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: The Importance of Project Management
Level: Easy

Short Answer Questions

77. Compare and contrast the Product Life Cycle and the Project Life Cycle.

Product Life Cycle deals with the time it takes to develop a product and the time it remains in the marketplace. The Project Life Cycle is the stages that a new product goes through while being developed.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: The Importance of Project Management
Level: Medium

78. Identify the five major characteristics of a project.

see list on page 5 of your text

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

79. Identify and briefly describe the four stages of the Project Life Cycle.

see list on page 1-7

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: What is a Project?
Level: Easy

80. "Project managers perform the same functions as other managers." Agree or Disagree and support your decision.

Many of the same basic management functions are performed by project managers; however, there are aspects of the project manager's job that make it unique.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: What is a Project?
Level: Medium

81. Identify and briefly describe the six factors that are increasing the demand for project management.

1. compression of the product life cycle, 2. knowledge explosion, 3. triple bottom line, 4. corporate downsizing, 5. increased customer focus, 6. small projects represent big problems

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Importance of Project Management
Level: Difficult

82. What is meant by an "Integrated Project Management Process"?

All efforts are focused toward the strategic plan. Piece meal tools are no longer accepted.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Difficult

83. Identify and briefly discuss the two key areas where project management need to be integrated within the organization.

1. with the Strategic Plan and 2. within the process of managing actual projects

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

84. Identify and briefly discuss the two key dimensions of managing actual projects.

1. Technical and 2. Sociocultural

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

85. The success of individual projects is typically measured by performance compared to three constraints usually placed on all projects. Identify and briefly describe those three constraints.

1. time, 2. cost, and 3. performance

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

86. Describe what it means that a Project Manager must work with a diverse troupe of characters?

They are typically the direct link to the customer and must manage the tension between customer expectations and what is feasible and reasonable. Project managers provide direction, coordination, and integration to the project team, which is often made up of part-time participants loyal to their functional departments. They often must work with a cadre of outsiders—vendors, suppliers, subcontractors—who do not necessarily share their project allegiance.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: What is a Project?
Level: Medium

87. What is the difference between a project and a program?

The terms are often used interchangeably in business, however, a program is considered to be a series of coordinated, related, and multiple projects that continue over extended time intended to achieve a goal.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

88. Describe the connection between Project Management and an organization's Strategic Plan.

Today the emphasis is on an integrated project management process that focuses all project effort toward the strategic plan of the organization.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

Chapter 02 Organization Strategy and Project Selection Answer Key

Multiple Choice Questions

1. Which of the follow is not one of the commonly heard comments of project managers?
A. Where did this project come from?
B. Why are we doing this project?
C. How can all these projects be first priority?
D. Why is this project so strongly linked to the strategic plan?
E. Where are we going to get the resources to do this project?

Ample evidence still suggests that many organizations have not developed a process that clearly aligns project selection to the strategic plan.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

2. Strategy considered to be under purview of senior management is
A. Old school thinking
B. A new school of management thought
C. Necessary in a company structure
D. Beneficial to the Project Manager
E. Depended on company goals

Project management historically has been preoccupied solely with the planning and execution of projects. Strategy was considered to be under the purview of senior management. This is old-school thinking.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

3. A critical factor to ensure the success of integrating the strategic plan with projects lies in a process that
A. Is open and published for all participants to review
B. Starts with top management's directives
C. With projects first and integrates them with the strategic plan
D. Both B and C are correct
E. A, B, and C are all correct

A crucial factor to ensure the success of integrating the plan with projects lies in the creation of a process that is open and transparent for all participants to review.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Strategic Management Process: An Overview
Level: Difficult

4. The intended outcome of strategy/projects integration is
A. Clear organization focus
B. Best use of scare organization resources
C. Improved communication across projects and departments
D. Both A and C are correct
E. A, B, and C are all correct

A generic methodology that ensures integration by creating very strong linkages of project selection and priority to the strategic plan is then discussed. The intended outcomes are clear organization focus, best use of scarce organization resources (people, equipment, capital), and improved communication across projects and departments.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

5. Which of the following is a main reason why project managers need to understand their organization's mission and strategy?
A. They can better focus on the immediate customer
B. They can make appropriate decisions and adjustments
C. So they can be effective project advocates
D. Both B and C are correct
E. A, B, and C are all correct

There are two main reasons why project managers need to understand their organization's mission and strategy. The first reason is so they can make appropriate decisions and adjustments. For example, how a project manager would respond to a suggestion to modify the design of a product to enhance performance will vary depending upon whether his company strives to be a product leader through innovation or to achieve operational excellence through low cost solutions. The second reason project managers need to understand their organization's strategy is so that they can be effective project advocates. Project managers have to be able to demonstrate to senior management how their project contributes to their firm's mission.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

6. Project managers who do not understand the role that their project plays in accomplishing the organization's strategy tend to make all the following mistakes except:
A. Focusing on low priority problems
B. Overemphasizing technology as an end in and of itself
C. Focusing on the immediate customer
D. Trying to solve every customer issue
E. All the above are likely mistakes

See list on page 24.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

7. In today's business environment, project managers find it valuable to have a keen understanding of
A. Strategic management
B. Technical issues
C. Project selection process
D. Both A and C are correct
E. A, B, and C are all correct

Project managers need to understand their organization's strategy is so that they can be effective project advocates. Project managers have to be able to demonstrate to senior management how their project contributes to their firm's mission. Protection and continued support come from being aligned with corporate objectives. Project managers also need to be able to explain to team members and other stakeholders why certain project objectives and priorities are critical. This is essential for getting buy-in on contentious trade-off decisions. For these reasons project managers will find it valuable to have a keen understanding of strategic management and project selection processes.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

8. The textbook indicated that_____is the major dimension of strategic management.
A. Responding to changes in the external market
B. Allocating scarce resources of the organization
C. Beating competition to the market
D. Both a and b are correct
E. Both a and c are correct

Two major dimensions of strategic management are responding to changes in the external environment and allocating scarce resources of the firm to improve its competitive position.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

9. Which of the following is not true for strategic management?
A. It should be done once each year just before developing the operating plan
B. It supports consistency of action at every level of the organization
C. It develops an integrated and coordinated long-term plan of action
D. It positions the firm to meet the needs of its customers
E. All of these are true statements

Two major dimensions of strategic management are responding to changes in the external environment and allocating scarce resources of the firm to improve its competitive position. Constant scanning of the external environment for changes is a major requirement for survival in a dynamic competitive environment.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Strategic Management Process: An Overview
Level: Difficult

10. Which of the following is the correct order for the strategic management process?
A. Strategies, mission, goals, projects
B. Goals, projects, mission, strategies
C. Mission, goals, strategies, projects
D. Goals, mission, strategies, projects
E. Projects, mission, strategies, goals

See list on page 26.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Strategic Management Process: An Overview
Level: Difficult

11. Which of the following questions does the organization's mission statement answer?
A. What are our long-term strategies?
B. What are our long-term goals and objectives?
C. How do we operate in the existing environment?
D. What do we want to become?
E. All of these are answered by the mission statement

The mission identifies "what we want to become," or the raison d'être. Mission statements identify the scope of the organization in terms of its product or service.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

12. Which of the following is not one of the traditional components found in mission statements?
A. Major products and services
B. Profitability
C. Target customers and markets
D. Geographic domain
E. Contribution to society

Traditional components found in mission statements are major products and services, target customers and markets, and geographical domain. In addition, statements frequently include organizational philosophy, key technologies, public image, and contribution to society.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Strategic Management Process: An Overview
Level: Difficult

13. Which of the following is not one of the characteristics of effective objectives?
A. Realistic
B. Assignable
C. Flexible
D. Specific
E. Measurable

See Exhibit 2-1 on page 29.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

14. Strategy formulation includes which of the following activities?
A. Determining alternatives
B. Creating profitability targets
C. Evaluating alternatives
D. Both a and c are correct
E. A, B, and C are all correct

Strategy formulation includes determining and evaluating alternatives that support the organization's objectives and selecting the best alternative.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

15. The assessment of the external and internal environments is called_____analysis.
A. SWOT analysis
B. Competitive
C. Industry
D. Market
E. Strategic

The keys are to attempt to forecast fundamental industry changes and stay in a proactive mode rather than a reactive one. This assessment of the external and internal environments is known as the SWOT analysis (strengths, weaknesses, opportunities, and threats).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

16. Which of the following would not be classified as an organizational threat?
A. Slowing of the economy
B. A maturing life cycle
C. Poor product quality
D. Government regulations
E. All of these are organizational threats

Examples of perceived external threats could be a slowing of the economy, a maturing life cycle, exchange rates, or government regulation.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

17. Which of the following would not be classified as an organizational opportunity?
A. Increasing product demand
B. Excellent employees
C. Emerging markets
D. demographics
E. All of these are organizational opportunities

Typical opportunities are increasing demand, emerging markets, and demographics. Managers or individual firms have limited opportunities to influence such external environmental factors; however, in recent years notable exceptions have been new technologies such as Apple using the iPod to create a market to sell music.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

18. Which of the following is not one of the requirements for successful implementation of strategies through projects?
A. Allocation of resources
B. Prioritizing of projects
C. Motivation of project contributors
D. Adequate planning and control systems
E. All of these are requirements

First, completing tasks requires allocation of resources. Resources typically represent funds, people, management talents, technological skills, and equipment. Frequently, implementation of projects is treated as an "addendum" rather than an integral part of the strategic management process. However, multiple objectives place conflicting demands on organizational resources. Second, implementation requires a formal and informal organization that complements and supports strategy and projects. Authority, responsibility, and performance all depend on organization structure and culture. Third, planning and control systems must be in place to be certain project activities necessary to ensure strategies are effectively performed. Fourth, motivating project contributors will be a major factor for achieving project success. Finally, an area receiving more attention in recent years is prioritizing projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Difficult

19. Which of the following terms is often used to denote a project that a powerful, high-ranking official is advocating?
A. Sacred cow
B. Pet project
C. Political necessity
D. Special undertaking
E. Strategic ploy

The term "sacred cow" is often used to denote a project that a powerful, high-ranking official is advocating.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Easy

20. Susie's department is implementing many projects. She finds herself starting and stopping work on one task to go and work on another task, and then return to the work on the original task. Susie is experiencing
A. Poor scheduling
B. Excess work burden
C. Flexible tasking
D. Multitasking
E. Burnout

Resource sharing also leads to multitasking. Multitasking involves starting and stopping work on one task to go and work on another project, and then returning to the work on the original task. People working on several tasks concurrently are far less efficient, especially where conceptual or physical shutdown and startup are significant.

AACSB: Analytic
Bloom's: Application
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Medium

21. Project selection criteria are typically classified as:
A. Financial and non-financial
B. Short-term and long-term
C. Strategic and tactical
D. Required and optional
E. Cost and schedule

Although there are many criteria for selecting projects, selection criteria are typically identified as financial and nonfinancial.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Easy

22. Which of the following financial models are typically included in project selection?
A. Payback
B. Net present value
C. Internal rate of return
D. Both A and B are correct
E. A, B, and C are all correct

For most managers financial criteria are the preferred method to evaluate projects. These models are appropriate when there is a high level of confidence associated with estimates of future cash flows; These models are payback and net present value (NPV).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Medium

23. Projects are usually classified into all but one of the following categories. Which one is not one of the typical classifications?
A. Compliance and emergency
B. Operational
C. Strategic
D. Political necessity
E. All of these are typical classifications

Many organizations find they have three different kinds of projects in their portfolio: compliance and emergency (must do), operational, and strategic projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Medium

24. Which of the following is not one of the classifications for assessing a project portfolio?
A. Sacred cow
B. Bread-and-butter
C. Pearls
D. Oysters
E. White elephants

See list on page 49.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

25. A project screening matrix typically contains all of the following except:
A. The list of available projects
B. Specific criteria
C. Weights assigned to specific criteria
D. Costs to complete each project
E. All of the above are typically contained

See Figure 2.3 on page 41 representing a project scoring matrix.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: A Portfolio Management System
Level: Difficult

26. Which of the following is the reason(s) why project managers need to understand their organization's mission and strategy?
A. To make appropriate decisions and adjustments
B. To be effective project advocates
C. To be able to get their job done
D. Both A and B are correct
E. A, B, and C are all correct

There are two main reasons why project managers need to understand their organization's mission and strategy. The first reason is so they can make appropriate decisions and adjustments. For example, how a project manager would respond to a suggestion to modify the design of a product to enhance performance will vary depending upon whether his company strives to be a product leader through innovation or to achieve operational excellence through low cost solutions. The second reason project managers need to understand their organization's strategy is so that they can be effective project advocates. Project managers have to be able to demonstrate to senior management how their project contributes to their firm's mission.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

27. In the Snapshot from Practice, Intel's CEO has concentrated Intel's strategy toward?
A. Creating chips to support the digital device market
B. Eliminating AMD as a competitor
C. Strengthening Intel's position in the PC market
D. Expanding Intel's international market
E. Expand efforts in the mainframe computer market

Barrett wants INTEL chips to be the guts of every digital device on the planet—especially in the communications, consumer electronics, and entertainment industries. Think—cell phones, wireless home networks, video players, flat panel TVs—INTEL's expertise fits right in.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

28. Which of the following is not true of multi-weighted scoring models?
A. Will include quantitative criteria
B. Will include qualitative criteria
C. Each criterion is assigned a weight
D. Projects with higher scores are considered more desirable
E. All of the above are true

A weighted scoring model typically uses several weighted selection criteria to evaluate project proposals. Weighted scoring models will generally include qualitative and/or quantitative criteria. Each selection criterion is assigned a weight. Scores are assigned to each criterion for the project, based on its importance to the project being evaluated. The weights and scores are multiplied to get a total weighted score for the project. Using these multiple screening criteria, projects can then be compared using the weighted score. Projects with higher weighted scores are considered better.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Difficult

29. A major project proposal form will likely include all of the following except:
A. Project Classification
B. Schedule objective
C. Major deliverables of the project
D. How success will be measured
E. All of these are likely to be included

See Figure 2.4A on page 44 for an example of A Proposal Form

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Applying a Selection Model
Level: Medium

30. Which of the following is a common multicriteria selection model?
A. Checklist
B. Net Present Value
C. Weighted criteria model
D. Both A and C are correct
E. All of these are common multicriteria selection models

Since no single criterion can reflect strategic significance, portfolio management requires multi-criteria screening models. There are two models, the checklist and multiweighted scoring models.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

Fill in the Blank Questions

31. Successful_____requires strong links among mission statements, goals, objectives, and strategies.
strategic management

Strategic management requires strong links among mission, goals, objectives, strategy, and implementation.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: A Portfolio Management System
Level: Medium

32. _____change infrequently and may require revision only when the nature of the business changes or shifts.
Mission statements

Mission statements change infrequently; however, when the nature of the business changes or shifts, a revised mission statement may be required.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

33. _____translate the organization's mission statement into specific, concrete, and measurable terms.
Objectives

Objectives translate the organization mission into specific, concrete, measurable terms. Organizational objectives set targets for all levels of the organization.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

34. _____answers the question of how strategies will be realized, given available resources.
Implementation

Implementation answers the question of how strategies will be realized, given available resources. The conceptual framework for strategy implementation lacks the structure and discipline found in strategy formulation.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

35. Project_____are typically high-ranking managers who endorse and lend political support for the completion of a specific project.
sponsors

Project sponsors are typically high-ranking managers who endorse and lend political support for the completion of a specific project. They are instrumental in winning approval of the project and in protecting the project during the critical development stage.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Medium

36. A weighted scoring model such as_____ typically uses several weighted selection criteria to evaluate project proposals.
Project Screening Matrix

A weighted scoring model typically uses several weighted selection criteria to evaluate project proposals. Weighted scoring models will generally include qualitative and/or quantitative criteria. Each selection criterion is assigned a weight. Scores are assigned to each criterion for the project, based on its importance to the project being evaluated. The weights and scores are multiplied to get a total weighted score for the project. Using these multiple screening criteria, projects can then be compared using the weighted score. Projects with higher weighted scores are considered better.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: A Portfolio Management System
Level: Difficult

37. The_____identifies what the organization wants to become and the scope of the firm in terms of its product or service.
mission statement

The mission identifies "what we want to become," or the raison d'être. Mission statements identify the scope of the organization in terms of its product or service.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

38. In a SWOT analysis, good product quality, low debt, and an established dealer network are examples of positive_____.
strengths

Examples of internal strengths could be core competencies, such as technology, product quality, management talent, low debt, and dealer networks.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

39. In a SWOT analysis, strong competition, reduced product demand, and a maturing product life cycle are examples of_____.
threats

Examples of perceived external threats could be a slowing of the economy, a maturing life cycle, exchange rates, or government regulation.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

40. The assessment of the internal and external environments is known as a_____.
SWOT analysis

The keys are to attempt to forecast fundamental industry changes and stay in a proactive mode rather than a reactive one. This assessment of the external and internal environments is known as the SWOT analysis (strengths, weaknesses, opportunities, and threats).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

41. Apple Computers has been successful in developing a turnaround strategy that has developed new markets and increased market share. This began with strict adherence to the _____.
Mission Statement

Since Steve Jobs returned to Apple Computers as CEO in 1997, he has been strikingly successful in developing a turnaround strategy that has developed new markets and increased market share. It all begins with strict adherence to their mission statement.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

42. The term_____is often used to denote a project that a powerful, high-ranking official is advocating.
sacred cow

Project selection may be based not so much on facts and sound reasoning, but rather on the persuasiveness and power of people advocating projects. The term "sacred cow" is often used to denote a project that a powerful, high-ranking official is advocating.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Easy

43. Xerox's ALTO computer and the Ford Mustang are examples of the significance that _____can play in project management.
politics

Politics can play a role not only in project selection but also in the aspirations behind projects. Individuals can enhance their power within an organization by managing extraordinary and critical projects. Power and status naturally accrue to successful innovators and risk takers rather than to steady producers. Many ambitious managers pursue high-profile projects as a means for moving quickly up the corporate ladder.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Medium

44. Capacity overload which inevitably leads to confusion and inefficient use of scarce resources is an_____.
implementation gap

Capacity overload inevitably leads to confusion and inefficient use of scarce organizational resources. The presence of an implementation gap, of power politics, and of multitasking adds to the problem of which projects are allocated resources first.

AACSB: Analytic
Bloom's: Application
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Medium

45. The_____financial model measures the time it will take to recover the project investment.
payback

The payback model measures the time it will take to recover the project investment. Shorter paybacks are more desirable. Payback is the simplest and most widely used model.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Easy

46. The_____financial model measures the current value of all cash inflows and outflows using management's minimum desired rate of return.
net present value (NPV)

The net present value (NPV) model uses management's minimum desired rate-of-return (discount rate, for example, 20 percent) to compute the present value of all net cash inflows.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Easy

47. In classifying the kinds of projects an organization has in its portfolio,_____projects are typically those needed to meet regulatory conditions required to operate in a region.
compliance (must do)

Compliance projects are typically those needed to meet regulatory conditions required to operate in a region; hence, they are called "must do" projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Easy

48. In classifying the kinds of projects an organization has in its portfolio,_____projects are typically those needed to support current operations.
operational

Operational projects are those that are needed to support current operations. These projects are designed to improve efficiency of delivery systems, reduce product costs, and improve performance.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Easy

49. In classifying the kinds of projects an organization has in its portfolio,_____projects are typically those that directly support the organization's long run mission.
strategic

Strategic projects are those that directly support the organization's long-run mission. They frequently are directed toward increasing revenue or market share.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Easy

50. Using the Project Portfolio Matrix, software upgrades and manufacturing cost reduction projects are examples of_____projects that involve evolutionary improvements to existing products.
Bread-and-Butter

Bread and butter projects typically involve evolutionary improvements to current products and services. Examples include software upgrades and manufacturing cost reduction efforts.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

51. In some cases organizations will use a_____to solicit ideas for projects when the knowledge requirements for the project are not available in the organization.
RFP (Request for Proposal)

Organizations will solicit ideas for projects when the knowledge requirements for the project are not available in the organization. Typically, the organization will issue an RFP (Request for Proposal) to contractors/vendors with adequate experience to implement the project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Applying a Selection Model
Level: Medium

52. A_____will typically include a list of potential projects, several criteria, weights for those criteria, and criteria scores for those projects.
Project Screening Matrix

See Figure 2.3 on page 41 representing a project scoring matrix.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: A Portfolio Management System
Level: Medium

53. The most common approach to selecting project has been to use the_____model.
Checklist

The most frequently used method in selecting projects has been the checklist. This approach basically uses a list of questions to review potential projects and to determine their acceptance or rejection.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

True / False Questions

54. Project Management historically has been preoccupied solely with the planning and execution of projects while strategy was under the purview of senior management.
TRUE

Project management historically has been preoccupied solely with the planning and execution of projects. Strategy was considered to be under the purview of senior management; which is old-school thinking.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

55. The problem in many organizations is not with formulating strategies but with implementing the strategies.
TRUE

The problem in many organizations is implementing strategies—that is, making them happen. Integration of strategy formulation and implementation often does not exist.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

56. A written mission statement provides focus for decision making when shared by organizational managers and employees.
TRUE

A written mission statement provides focus for decision making when shared by organizational managers and employees. Everyone in the organization should be keenly aware of the organization's mission.

AACSB: Reflective Thinking
Bloom's: Synthesis
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

57. Effective objectives can be created to apply only at the department level and not relating to organizational objectives.
FALSE

Each level below the organizational objectives should support the higher level objectives in more detail; this is frequently called cascading of objectives.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

58. Organizational objectives set targets for all levels of the organization not just for top management.
TRUE

Organizational objectives set targets for all levels of the organization. Objectives pinpoint the direction managers believe the organization should move toward. Objectives answer in detail where a firm is headed and when it is going to get there.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

59. Formulating strategy answers the questions *who* and *when* the tasks will be performed to reach objectives.
FALSE

Formulating strategy answers the question of what needs to be done to reach objectives.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

60. Strategy formulation ends with cascading objectives or projects assigned to lower divisions, departments, or individuals.
TRUE

Strategy formulation includes determining and evaluating alternatives that support the organization's objectives and selecting the best alternative. The first step is a realistic evaluation of the past and current position of the enterprise.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

61. If a proposed project does not meet one of the designated "must" objectives it is immediately removed from consideration.
TRUE

If a project does not meet designated "must" objectives, it is not considered and removed from consideration.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Applying a Selection Model
Level: Medium

62. Using the Project Portfolio Matrix, revolutionary commercial advances using proven technical advances are classified as Oyster projects.
FALSE

Oysters involve technological breakthroughs with high commercial payoffs. Examples include embryonic DNA treatments and new kinds of metal alloys.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

63. It is necessary to have exactly the same strategic and operations criteria for different projects
FALSE

It is not necessary to have exactly the same criteria for the different types of projects discussed above (strategic and operations). However, experience shows most organizations use similar criteria across all types of projects, with perhaps one or two criteria specific to the type of project—e.g., strategic breakthrough versus operational.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Applying a Selection Model
Level: Easy

64. The two axes of the Project Portfolio Matrix are technical feasibility and commercial potential.
TRUE

The vertical axis reflects a project's probability of success (the technical feasibility). The horizontal axis reflects potential commercial value.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

65. Many organizations find they have three different kinds of projects in their portfolio, compliance, operational, and sacred cows.
Refer to 2.2
FALSE

Many organizations find they have three different kinds of projects in their portfolio: compliance and emergency (must do), operational, and strategic projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Medium

66. The first step in the Strategic Management Process is to set long-range goals and objectives.
FALSE

The first step is: Review and define the organizational mission.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

67. Reviewing and revising the organization's mission is best achieve through the use of a SWOT analysis.
TRUE

This assessment of the external and internal environments is known as the SWOT analysis (strengths, weaknesses, opportunities, and threats). From this analysis, critical issues and a portfolio of strategic alternatives are identified. These alternatives are compared with the current portfolio and available resources; strategies are then selected that should support the basic mission and objectives of the organization.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

68. Opportunities and threats are the flip sides of each other; that is, a threat can be viewed as an opportunity, and vice versa.
TRUE

Opportunities and threats are the flip sides of each other. That is, a threat can be perceived as an opportunity, or vice versa. Examples of perceived external threats could be a slowing of the economy, a maturing life cycle, exchange rates, or government regulation.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

69. The information gap refers to the lack of understanding and consensus of organization strategy among top and middle-level managers.
FALSE

The implementation gap refers to the lack of understanding and consensus of organization strategy among top and middle-level managers.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Easy

70. One way to offset the influence of politics on project management within an organization is to have a well-defined project selection model.
TRUE

Top management needs to develop a system for identifying and selecting projects that reduces the impact of internal politics and fosters the selection of the best projects for achieving the mission and strategy of the firm.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Medium

71. Lee Iacocca's career was built on successfully leading the design and development of the highly successful Ford Mustang.
TRUE

Lee Iacocca's career was built on successfully leading the design and development of the highly successful Ford Mustang.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Easy

72. Generally, people working on several projects at the same time are more efficient than having several people working part-time on the same projects.
FALSE

People working on several tasks concurrently are far less efficient, especially where conceptual or physical shutdown and startup are significant. Multitasking adds to delays and costs.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Medium

73. The NPV financial model measures the time it will take to recover the project investment.
FALSE

The net present value (NPV) model uses management's minimum desired rate-of-return (discount rate, for example, 20 percent) to compute the present value of all net cash inflows.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Medium

74. Intel's CEO, Craig R. Barrett, is envisioning Intel's future as being beyond computers and to include all digital products as Intel's potential customers.
TRUE

Barrett wants INTEL chips to be the guts of every digital device on the planet—especially in the communications, consumer electronics, and entertainment industries. Think—cell phones, wireless home networks, video players, flat panel TVs—INTEL's expertise fits right in.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

75. Multi-weighted scoring models include only quantitative criteria, not qualitative.
FALSE

Weighted scoring models will generally include qualitative and/or quantitative criteria.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

Short Answer Questions

76. "Politics and project management should not mix." Agree or Disagree and support your position.

Projects and politics invariably mix and effective project managers recognize that any significant project has political ramifications. A good project selection process will minimize the impact of internal politics.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Difficult

77. Identify and briefly discuss the three intended outcomes of integrating and linking projects with the strategic plan.

1) clear organization focus, 2) best use of scarce organization resources (people, equipment, and capital), and 3) improved communication across projects and departments.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Difficult

78. What is *strategic management*?

Strategic management is the process of assessing "what we are" and deciding and implementing "what we intend to be and how we are going to get there."

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

79. Identify and briefly describe the four components of strategic management and why they must be strongly linked.

1) mission, 2) goals and objectives, 3) strategy, and 4) implementation

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

80. The typical Strategic Management Process includes four activities. Identify and briefly describe each of those four activities.

1) Review and define the organizational mission, 2) Set long-range goals and objectives, 3) Analyze and formulate strategies to reach objectives, and 4) Implement strategies through projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

81. Identify and briefly describe the five characteristics of effective objectives.

1) Specific, 2) Measurable, 3) Assignable, 4) Realistic, and 5) Time related

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

82. What is a SWOT analysis and how does it relate to the Strategic Management Process?

It is an assessment of the internal and external environments and id the link between reviewing the current mission statement and the development of goals and objectives.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Difficult

83. What is the *implementation gap* and why is it important to project management?

The implementation gap refers to the lack of understanding and consensus of organization strategy among top and middle-level managers. If managers lack a common understanding of the priority for a given set of projects, then the achievement of long-range goals will be impossible.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Medium

84. Identify and briefly discuss the three classes of projects usually found in an organization's project portfolio.

1) compliance and emergency, 2) operational, and 3) strategic

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

85. Draw the Project Portfolio Matrix identifying the major elements on the drawing.

see Figure 2.7 in your text

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: A Portfolio Management System
Level: Difficult

86. Identify and briefly describe five of the benefits of Project Portfolio Management.

See Exhibit 2-2 in your text for the complete list

AACSB: Analytic
Bloom's: Application
Learning Objective: A Portfolio Management System
Level: Difficult

87. Why is profitability alone not an adequate measure of a project's value to an organization?

Today management is interested in identifying the potential mix of projects that will yield the best use of human and capital resources to maximize return on investment in the long run. Factors such as researching new technology, public image, ethical position, protection of the environment, core competencies, and strategic fit might be important criteria for selecting projects.

AACSB: Analytic
Bloom's: Application
Learning Objective: A Portfolio Management System
Level: Medium

88. What are the two major shortcomings of using the Checklist approach to project selection?

1) failure to determine the relative importance of the project to the firm and 2) fails to compare to other potential projects

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: A Portfolio Management System
Level: Difficult

Chapter 04 Defining the Project Answer Key

Multiple Choice Questions

1. The method used to collect information to use through all phases of the project life cycle is called
A. Responsibility matrix
B. Organization breakdown structure
C. Work breakdown structure
D. Priority matrix
E. Work package

The method suggested is a selective outline of the project called the work breakdown structure.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

2. Jose is looking at a document that outlines the specific tasks and subtasks required to complete the writing of a technical support manual. The method that was probably used to develop the document is most likely
A. Responsibility matrix
B. Organization breakdown structure
C. Work breakdown structure
D. Priority matrix
E. Work package

The method suggested is a selective outline of the project called the work breakdown structure. The early stages of developing the outline serve to ensure that all tasks are identified and that participants of the project have an understanding of what is to be done.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

3. The first step in creating the necessary information to manage a project is to
A. Establish project priorities
B. Define the project scope
C. Verify the budget available
D. Assign team members to work on the project
E. Determine the required completion date

Defining the project scope sets the stage for developing a project plan. Project scope is a definition of the end result or mission of your project—a product or service for your client/customer.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

4. Linda has just been assigned a project to develop a new advertising campaign for an established product. Her first step should be to
A. Establish project priorities
B. Define the project scope
C. Verify the budget available
D. Assign team members to work on the project
E. Determine the required completion date

Defining the project scope sets the stage for developing a project plan. Project scope is a definition of the end result or mission of your project—a product or service for your client/customer.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

5. Research shows the most frequently mentioned barrier to project success is
A. Not enough budget resources
B. Poor performance by team members
C. Weak project leadership
D. Poorly defined scope or mission
E. Political in-fighting

Research clearly shows that a poorly defined scope or mission is the most frequently mentioned barrier to project success.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

6. An expected output over the life of a project would be classified as
A. A deliverable
B. A product
C. An end object
D. An objective
E. A target

Major deliverables—the expected outputs over the life of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

7. The first step of project scope definition is to
A. Analyze the strategic plan
B. Analyze the current budget plan
C. Meet with team members
D. Select team members
E. Define the overall objective to meet the customer's needs

The first step of project scope definition is to define the overall objective to meet your customer's need(s).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

8. In reviewing the project plan, Susan sees that the first prototype is due by October 12. This would be best classified as a
A. Project target
B. Limit item
C. Milestone
D. Project objective
E. Critical goal

A milestone is a significant event in a project that occurs at a point in time. The milestone schedule shows only major segments of work; it represents first, rough-cut estimates of time, cost, and resources for the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

9. The ability of 911 emergency systems to identify the caller's phone number and location are considered to be a
A. Technical requirement
B. Milestone
C. Project limit
D. Project exclusion
E. Project deliverable

More frequently than not, a product or service will have technical requirements to ensure proper performance.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

10. Which of the following is <u>not</u> one of the items that would appear on a project scope checklist?
A. Deliverables
B. Technical requirements
C. Objectives
D. Work breakdown structure
E. Reviews with customer

See Project Scope Checklist on Page 102.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

11. "To construct a high-quality, custom home within five months at costs not to exceed $150,000" is best classified as
A. A deliverable
B. A milestone
C. An objective
D. A limit
E. An exclusion

The first step of project scope definition is to define the overall objective to meet your customer's need(s). For example, as a result of extensive market research a computer software company decides to develop a program that automatically translates verbal sentences in English to Russian. The project should be completed within three years at a cost not to exceed $1.5 million.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

12. The second step in the defining of a project would be to
A. Analyze the strategic plan
B. Analyze the current budget plan
C. Establish project priorities
D. Select team members
E. Define the major objectives to meet the customer's needs

Quality and the ultimate success of a project are traditionally defined as meeting and/or exceeding the expectations of the customer and/or upper management in terms of cost (budget), time (schedule), and performance (scope) of the project (see Figure 4.1).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Establishing Project Priorities
Level: Easy

13. Which of the following is not one of the basic classifications of project priorities?
A. Profit
B. Cost
C. Time
D. Performance
E. All of these are basic classifications

One of the primary jobs of a project manager is to manage the trade-offs among time, cost, and performance. To do so, project managers must define and understand the nature of the priorities of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Establishing Project Priorities
Level: Easy

14. If a project criterion indicates that the project must meet a specific date, that criterion is classified as
A. Constrained
B. Enhanced
C. Accepted
D. Limited
E. Fixed

The original parameter is fixed. The project must meet the completion date, specifications and scope of the project, or budget.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

15. Scott has just been given a project that has a specific target date. After discussion with top management he finds that while the date is important the cost is more important and a slip in delivery would be acceptable if required to meet the cost targets. The target date is best classified as
A. Constrain
B. Enhance
C. Accept
D. Limit
E. Optional

For which criterion is it tolerable not to meet the original parameters? When trade-offs have to be made, is it permissible for the schedule to slip, to reduce the scope and performance of the project, or to go over budget?

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

16. The tool used to assist in making project trade-offs between schedule, budget, and performance objectives is called a
A. Responsibility matrix
B. Work breakdown structure
C. Project priority matrix
D. Work package
E. Criterion matrix

One technique found in practice that is useful for this purpose is completing a priority matrix for the project to identify which criterion is constrained, which should be enhanced, and which can be accepted.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

17. The lowest element in the hierarchical breakdown of the WBS is
A. A deliverable
B. A work package
C. A cost account
D. A lowest sub deliverable
E. An object

See Figure 4.3 on page 108.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

18. The highest element in the hierarchical breakdown of the WBS is
A. A work package
B. Sub deliverables
C. A cost account
D. Major deliverables
E. The project

See Figure 4.3 on page 108.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

19. All of the following are true about work packages except
A. Consume resources
B. Assigned to only one manager
C. Have medium to long duration
D. Definitive starts and stops dates
E. All of these are true

Work packages are short duration tasks that have a definite start and stop point, consume resources, and represent cost. Each work package is a control point. A work package manager is responsible for seeing that the package is completed on time, within budget, and according to technical specifications.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

20. All of the following are usually included in a work package except
A. What will be done?
B. The time needed to complete the work.
C. A single person who is responsible for its completion.
D. All the costs for the work package.
E. All of these are included in a work package.

Work packages are short duration tasks that have a definite start and stop point, consume resources, and represent cost. Each work package is a control point. A work package manager is responsible for seeing that the package is completed on time, within budget, and according to technical specifications.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

21. The integration of project work packages within the organization's management structure is known as
A. Responsibility matrix
B. Organization breakdown structure
C. Work breakdown structure
D. Priority matrix
E. Process breakdown structure

In practice, the outcome of this process is the organization breakdown structure (OBS). The OBS depicts how the firm has organized to discharge work responsibility.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Medium

22. The final step in the creation of a Work Breakdown Structure is to
A. Code the WBS for tracking
B. Assign the cost account to a manager
C. Assign the work package to a manager
D. Develop the responsibility matrix
E. All of these are included in the final step

The codes are used to define levels and elements in the WBS, organization elements, work packages, and budget and cost information.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 5: Coding the WBS for the Information System
Level: Easy

23. The intersection of the WBS and the OBS is called the
A. Responsibility matrix
B. Priority matrix
C. Work package
D. Cost account
E. Project overlap

The "cost account" is the focal point because all budgets, work assignments, time, cost, and technical performance come together at this point.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Medium

24. Creating an extranet website or an internal software database system would be most closely associated with the
A. Responsibility matrix
B. Organization breakdown structure
C. Work breakdown structure
D. Priority matrix
E. Process breakdown structure

The classic WBS is when the project is broken down to the lowest manageable deliverable and subsequent work packages.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Medium

25. If a project is small or of narrow scope and does not require an elaborate system, which of the following is a good choice?
A. Responsibility matrix
B. Organization breakdown structure
C. Work breakdown structure
D. Priority matrix
E. Process breakdown structure

The RM (sometimes called a linear responsibility chart) summarizes the tasks to be accomplished and who is responsible for what on a project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Responsibility Matrices
Level: Medium

26. The project scope statement indicates that the client is responsible for training the people who will be using the equipment and that the project team will train the client's trainers. This is an example of:
A. Project objectives
B. Deliverables
C. Limits and exclusions
D. Technical requirements
E. Milestones

The limits of scope should be defined. Failure to do so can lead to false expectations and to expending resources and time on the wrong problem.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

27. The tendency for the project deliverables to expand over time—usually by changing requirements, specifications, and priorities—is called:
A. Scope erosion
B. Scope creep
C. Project bloat
D. Scope enhancement
E. Project add-ons

The tendency for the project scope to expand over time—usually by changing requirements, specifications, and priorities. Scope creep can be reduced by carefully writing your scope statement.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

28. Which of the following is a good example of a Process Breakdown Structure?
A. New car prototype
B. New software program
C. New computer hardware
D. New sports stadium
E. New project management book

See Figure 4.4 on Page 112.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

29. Which of the follow is least likely to be included in a Work Package?
A. Materials
B. Labor
C. Overhead
D. Duration
E. Responsibilities

Work packages are short duration tasks that have a definite start and stop point, consume resources, and represent cost.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Medium

30. The Snapshot from Practice dealing with Big Bertha II illustrated how important a project's_____is to the successful completion of a project.
A. Objective
B. Deliverables
C. Technical requirements
D. Milestones
E. Limits and exclusions

See Snapshot from Practice on Page 104.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Medium

Fill in the Blank Questions

31. A selective outline of the project that ensures the identification of all tasks and an understanding of what is to be done is called a_____.
work breakdown structure

Once the scope and deliverables have been identified, the work of the project can be successively subdivided into smaller and smaller work elements. The outcome of this hierarchical process is called the work breakdown structure (WBS).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Easy

32. The first step in planning any project is to_____.
define the project scope

Defining the project scope sets the stage for developing a project plan. Project scope is a definition of the end result or mission of your project—a product or service for your client/customer.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

33. The primary purpose of the first step of defining a project is to identify the_____for the end user and to focus project plans.
objective

The first step of project scope definition is to define the overall objective to meet your customer's need(s).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

34. Significant events in a project that occur at a specific point in time, are natural control points, and are easily recognized by project participants are known as_____.
Milestones

A milestone is a significant event in a project that occurs at a point in time. The milestone schedule shows only major segments of work; it represents first, rough-cut estimates of time, cost, and resources for the project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

35. The need for a computer to function in countries having different electrical systems is an example of a_____.
technical requirement

More frequently than not, a product or service will have technical requirements to ensure proper performance. For example, a technical requirement for a personal computer might be the ability to accept 120-volt alternating current or 240-volt direct current without any adapters or user switches.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

36. The agreement that training will be the responsibility of the customer is an example of a project_____.
limit and exclusion

The limits of scope should be defined. Failure to do so can lead to false expectations and to expending resources and time on the wrong problem.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

37. A project parameter such as completion date or cost is_____if it is fixed and must be met.
constrained

The original parameter is fixed. The project must meet the completion date, specifications and scope of the project, or budget.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

38. Taking advantage of opportunities to reduce costs or accelerate the schedule are examples of project criteria being classified as_____.
enhance

In the case of time and cost, this usually means taking advantage of opportunities to either reduce costs or shorten the schedule. Conversely, with regard to performance, enhancing means adding value to the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

39. In making project trade-offs, a criteria that is allowed to not meet the original target is classified as_____.
accept

Questions to ask in regards to accept. For which criterion is it tolerable not to meet the original parameters? When trade-offs have to be made, is it permissible for the schedule to slip, to reduce the scope and performance of the project, or to go over budget?

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

40. Developing a_____provides a forum for clearly establishing priorities with customers and top management so as to create shared expectations and avoid misunderstandings.
priority matrix

One technique found in practice that is useful for this purpose is completing a priority matrix for the project to identify which criterion is constrained, which should be enhanced, and which can be accepted.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

41. The result of subdividing the work of a project into smaller and smaller work elements is called_____.
work breakdown structure

Once the scope and deliverables have been identified, the work of the project can be successively subdivided into smaller and smaller work elements. The outcome of this hierarchical process is called the work breakdown structure (WBS).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Easy

42. The most detailed element in the hierarchical breakdown of the project work to be accomplished is known as the_____.
work package

The lowest level of the WBS is called a work package. Work packages are short duration tasks that have a definite start and stop point, consume resources, and represent cost.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Easy

43. A(n)_____is a grouping of work packages for monitoring progress and responsibility.
cost account

See Figure 4.3 on Page 108.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Easy

44. Practice suggests that a work package should not exceed_____workdays or one reporting period.
ten

Practice suggests a work package should not exceed 10 workdays or one reporting period. If a work package has a duration exceeding 10 days, check or monitoring points should be established within the duration, say, every three to five days, so progress and problems can be identified before too much time has passed.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Easy

45. The process of assigning specific work packages to a particular group or person within the organization is called_____.
organization breakdown structure

The WBS is used to link the organizational units responsible for performing the work. In practice, the outcome of this process is the organization breakdown structure (OBS).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Easy

46. The final step in the defining of a project is focused on assigning_____to each of the work packages.
codes

Gaining the maximum usefulness of a breakdown structure depends on a coding system. The codes are used to define levels and elements in the WBS, organization elements, work packages, and budget and cost information.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 5: Coding the WBS for the Information System
Level: Medium

47. In a work breakdown structure the_____is the focal point because all budgets, work assignments, time, cost, and technical performance come together at that point.
cost account

The "cost account" is the focal point because all budgets, work assignments time, cost, and technical performance come together at this point.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 5: Coding the WBS for the Information System
Level: Medium

48. Once the _____ has been established, it is the basis for making trade-off decisions later in the project.
Priority Matrix

If midway through the project, a trade-off must be made between cost and expediting, which criterion has priority? One technique found in practice that is useful for this purpose is completing a priority matrix for the project to identify which criterion is constrained, which should be enhanced, and which can be accepted.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

49. In a_____the project is organized around phases or groups of activities rather than the more conventional deliverables.
work breakdown structure

Once the scope and deliverables have been identified, the work of the project can be successively subdivided into smaller and smaller work elements. The outcome of this hierarchical process is called the work breakdown structure (WBS).

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

50. The_____summarizes, in graphic format, the tasks to be accomplished and who is responsible for what on a given project.
responsibility matrix

The RM (sometimes called a linear responsibility chart) summarizes the tasks to be accomplished and who is responsible for what on a project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Responsibility Matrices
Level: Easy

51. The Work Breakdown Structure is an outline of the project with different levels of _____.
detail

The WBS is an outline of the project with different levels of detail.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

52. The purposes of the _____are to provide a framework to summarize organization unit work performance, identify organization units responsible for work packages, and tie the organizational unit to cost control accounts.
OBS (Organization Breakdown Structure)

The purposes of the OBS are to provide a framework to summarize organization unit work performance, identify organization units responsible for work packages, and tie the organizational unit to cost control accounts.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Easy

53. The most commonly used method for coding the WBS is_____.
numeric indention

The most commonly used scheme in practice is numeric indention.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 5: Coding the WBS for the Information System
Level: Easy

54. The gradual expansion of project requirements during the execution of project is known as _____.
scope creep

Scope describes what you expect to deliver to your customer when the project is complete. Your project scope should define the results to be achieved in specific, tangible, and measurable terms.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

True / False Questions

55. The development of a work breakdown structure with appropriate dates and budget is usually accomplished in a single iteration.
FALSE

The WBS is an outline of the project with different levels of detail.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

56. Studies suggest that there is a strong correlation between project success and clear project scope definition.
TRUE

Research clearly shows that a poorly defined scope or mission is the most frequently mentioned barrier to project success.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

57. Project scope describes what you expect to deliver to your customers when the project is complete.
TRUE

Project scope is a definition of the end result or mission of your project—a product or service for your client/customer.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

58. One of the items included on a project scope checklist is the reviews with the customer.
TRUE

See Project Scope Checklist on Page 102.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

59. Quality and the ultimate success of a project are traditionally defined as meeting or exceeding the expectations of the customer or management.
Refer to Figure 4.1
TRUE

Quality and the ultimate success of a project are traditionally defined as meeting and/or exceeding the expectations of the customer and/or upper management in terms of cost (budget), time (schedule), and performance (scope) of the project (see Figure 4.1).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Easy

60. The criteria for project success include attaining objectives relating to cost, schedule, and revenue.
Refer to Figure 4.1
FALSE

Quality and the ultimate success of a project are traditionally defined as meeting and/or exceeding the expectations of the customer and/or upper management in terms of cost (budget), time (schedule), and performance (scope) of the project (see Figure 4.1).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

61. Statements of project scope are sometimes referred to as Statements of Work or Project Charters.
TRUE

Many companies engaged in contracted work refer to scope statements as statements of work (SOW). Other organizations use the term project charter. However, the term project charter has emerged to have a special meaning in the world of project management. A project charter refers to a document that authorizes the project manager to initiate and lead the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Easy

62. If a project criterion should be optimized if at all possible, it is classified as being constrained.
FALSE

The original parameter is fixed. The project must meet the completion date, specifications and scope of the project, or budget.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

63. Basically, the WBS is an outline of the project with different levels of detail.
TRUE

The WBS is an outline of the project with different levels of detail.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Easy

64. In general, work packages should not exceed 10 work days.
TRUE

Practice suggests a work package should not exceed 10 workdays or one reporting period. If a work package has a duration exceeding 10 days, check or monitoring points should be established within the duration, say, every three to five days, so progress and problems can be identified before too much time has passed.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Easy

65. In a Work Breakdown Structure for a software development project, the typical structure follows the major phases of software development.
Refer to Figure 4.4
TRUE

See Figure 4.4 on Page 112.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

66. Integrating a project's work packages within the organization's management structure is known as work breakdown structure.
FALSE

Work packages are short duration tasks that have a definite start and stop point, consume resources, and represent cost.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

67. Scope definitions are usually brief with only one or two pages being typical for small projects.
TRUE

Scope definition should be as brief as possible but complete; one or two pages are typical for small projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

68. A work breakdown structure is frequently used on projects such as software development where the project is focused on activities rather than deliverables.
Refer to Snapshot from Practice on Page114
TRUE

The WBS should conform to how you are going to schedule work. For example, if assignments are made in terms of days, then tasks should be limited as best as possible to one day or more to complete. Conversely, if hours are the smallest unit for scheduling, then work can be broken down to one-hour increments; final activities should have clearly defined start/end events. Avoid open-ended tasks like "research" or "market analysis."

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

69. Responsibility matrices are used primarily with small and medium sized projects and have limited use in large projects.
FALSE

One tool that is widely used by project managers and task force leaders of small projects is the responsibility matrix (RM). The RM (sometimes called a linear responsibility chart) summarizes the tasks to be accomplished and who is responsible for what on a project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Responsibility Matrices
Level: Medium

70. In a work breakdown structure deliverables are ignored and replaced with activities or tasks that have been grouped in phases.
FALSE

Once the scope and deliverables have been identified, the work of the project can be successively subdivided into smaller and smaller work elements. The outcome of this hierarchical process is called the work breakdown structure (WBS).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Medium

71. The intersection of the WBS and the OBS represents a control point, called a cost account.
TRUE

The intersection of the WBS and OBS represents the set of work packages necessary to complete the subdeliverable located immediately above and the organizational unit on the left responsible for accomplishing the packages at the intersection.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Easy

72. The most commonly used scheme for coding the work breakdown structure is to use a department project number assigned by the accounting department.
FALSE

The most commonly used scheme in practice is numeric indention.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 5: Coding the WBS for the Information System
Level: Medium

73. For large companies, the organization breakdown structure is used rather than the work breakdown structure.
FALSE

The OBS defines the organization subdeliverables in a hierarchical pattern in successively smaller and smaller units. Frequently, the traditional organization structure can be used. Even if the project is completely performed by a team, it is necessary to break down the team structure for assigning responsibility for budgets, time, and technical performance.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Medium

74. The hierarchical work breakdown structure can be used to represent the need for information at various levels of management.
TRUE

The WBS is a map of the project. Use of WBS helps to assure project managers that all products and work elements are identified, to integrate the project with the current organization, and to establish a basis for control.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

75. The intersection of work packages and the organization unit creates a project control point called a cost account.
TRUE

The intersection of the WBS and OBS represents the set of work packages necessary to complete the subdeliverable located immediately above and the organizational unit on the left responsible for accomplishing the packages at the intersection.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Medium

76. Reviews with customers only refers to projects with external customers who are paying for the project.
FALSE

Completion of the scope checklist ends with a review with your customer—internal or external. The main concern here is the understanding and agreement of expectations.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

77. A typical responsibility matrix will include not only those responsible for a specific task but also those who supply support and assistance.
Refer to Figure 4.6
TRUE

See Figure 4.6 on page 117.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Responsibility Matrices
Level: Easy

Short Answer Questions

78. Identify and briefly describe the five steps in defining a project.

1. defining the project scope, 2. establishing project priorities, 3. creating the work breakdown structure, 4. integrating the WBS with the organization, and 5. coding the WBS

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

79. Identify and briefly describe the six elements on the recommended project scope checklist.

1. project objectives, 2. deliverables, 3. milestones, 4. technical requirements, 5. limits and exclusions, and 6. reviews with customers

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

80. In terms of project management, what is a deliverable and give an example.

A deliverable is an expected output that occurs during the life of a project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

81. Identify and briefly describe the three elements that are traditionally used to measure the ultimate success of a project.

1. costs (budget), 2. time (schedule), and 3. performance (scope)

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

82. In project management terms, what is meant by "managing the trade-offs?"

During project execution decisions will be needed to balance the three success criteria; costs, schedule, and performance. Typically one will be degraded in order to maintain or improve another. Thus the criteria are traded off.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 2: Establishing Project Priorities
Level: Difficult

83. Identify and briefly describe the three categories used to classify the priority of major project parameters.

1. constrain (the parameter is fixed), 2. enhance (the parameter should be optimized), and 3. accept (lower results are acceptable)

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

84. What is a Project Priority Matrix and how would you use one?

The Project Priority Matrix is a graphic representation classifying the major project parameters of time, performance, and cost according to their priority. It is used to assist in making project trade-off decisions.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 2: Establishing Project Priorities
Level: Difficult

85. What is meant by a work breakdown structure and how does it help manage projects?

WBS is the logical subdividing of major activities into smaller elements. It is useful to ensure complete planning of a project as well as a basis for monitoring progress.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

86. Identify in order from broadest to most specific, the six parts of the hierarchical breakdown of the WBS.

1. project, 2. deliverable, 3. sub deliverable, 4. lowest sub deliverable, 5. cost account, and work package

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

87. What is a Responsibility Matrix and how would it be used in project management?

The RM summarizes the tasks to be accomplished and who is responsible for what on a project. It is used to ensure that all participants understand and agree on their assignments.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Responsibility Matrices
Level: Medium

88. What is meant by "Scope Creep" and why is it significant to project managers?

It is the gradual expansion of project deliverables to the point that overall project constraints (costs and schedule) can no longer be met.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 1: Defining the Project Scope
Level: Difficult

89. What is an OBS and how would you use it to plan a project?

The OBS is the process of defining which organization units are responsible for performing the work outlined in the individual work packages.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Difficult

Chapter 05 Estimating Project Times and Costs Answer Key

Multiple Choice Questions

1. The process of forecasting or approximating the time and cost of completing project deliverables is called
A. Budgeting
B. Predicting
C. Estimating
D. Planning
E. Guesstimating

Estimating is the process of forecasting or approximating the time and cost of completing project deliverables.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

2. In practice, estimating processes are frequently classified as
A. Top down/bottom up
B. Rough/polished
C. Precise/order of magnitude
D. Draft/final
E. Both A and B are correct

Estimating processes are frequently classified as top-down and bottom-up. Top-down estimates are usually done by senior management.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

3. A typical statement in actual practice is that estimates should have a probability of being met_____of the time.
A. 100%
B. 98%
C. 95%
D. 90%
E. 80%

But past experience estimates must almost always be refined by other considerations to reach the 95 percent probability level.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

4. A good starting point for developing time and cost estimates is
A. Past experience
B. Work packages
C. Task analysis
D. Time and motion studies
E. Work breakdown structure

Past experience is a good starting point for developing time and cost estimates.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

5. Which of the following is not one of the factors that need to be considered to improve quality of estimates for project times and costs?
A. Planning horizon
B. People
C. Padding estimates
D. Profit
E. Project structure

See List on Page 128-129.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

6. Ed is looking over the actual results of projects and comparing them to what was estimated. He notices that projects that took six months or longer to complete were noticeably more off the estimates. Which of the following factors is he recognizing?
A. Padding estimates
B. Planning horizon
C. Project structure
D. People
E. Organization culture

The quality of the estimate depends on the planning horizon; estimates of current events are close to 100 percent accurate but are reduced for more distant events. The accuracy of time and cost estimates should improve as you move from the conceptual phase to the point where individual work packages are defined.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

7. Janet is forecasting how much money her department needs to support a new project. She estimates that two people and $25,000 in expenses will cover her needs. Because management typically insists on reducing forecasts by 20 percent, she increases her estimates to allow for that reduction. Which of the following factors is illustrated in this situation?
A. Padding estimates
B. Planning horizon
C. Project structure
D. People
E. Organization culture

In work situations where you are asked for time and cost estimates, most of us are inclined to add a little padding to increase the probability and reduce the risk of being late. If everyone at all levels of the project adds a little padding to reduce risk, the project duration and cost are seriously overstated.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

8. Which of the following is a good condition for top-down estimating?
A. Cost and time important
B. Fixed price contract
C. Customer wants details
D. Internal, small project
E. All of these are good conditions for top-down estimating

See table 5-1 on Page 132.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Medium

9. Which of the following is a good condition for bottom-up estimating?
A. Strategic decision making
B. Internal, small project
C. Fixed price contract
D. High uncertainty
E. Both C and D are good conditions for bottom-up estimating

See table 5-1 on Page 132.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Medium

10. Top-down estimates are most likely to occur during the_____phase.
A. Concept
B. Planning
C. Execution
D. Delivery
E. All of these are equally likely

Top-down estimates are only a rough cut and typically occur in the "conceptual" stage of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Easy

11. _____estimates are most likely to use low cost, efficient methods.
A. Apportion
B. Ratio
C. Top-down
D. Bottom-up
E. All of these are equally likely

The bottom-up approach also provides the customer with an opportunity to compare the low-cost, efficient method approach with any imposed restrictions.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Medium

12. Which of the following methods is <u>not</u> considered a top-down approach to estimating project time and cost?
A. Ratio
B. Template
C. Apportion
D. Function point
E. Learning curve

Template Methods are used in bottom-down approach to estimating.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

13. Jose is forecasting project time and cost for constructing a new building by multiplying the total square footage by a given dollar amount. Which of the following methods is he using?
A. Ratio
B. Template
C. Apportion
D. Function point
E. Learning curve

Top-down methods (sometimes called parametric) usually use ratios, or surrogates, to estimate project times or costs. Top-down approaches are often used in the concept or "need" phase of a project to get an initial duration and cost estimate for the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

14. Sean is forecasting the time and cost of developing a customized software program by looking at the number of inputs, outputs, inquires, files, and interfaces. Which of the following methods is he using?
A. Ratio
B. Template
C. Apportion
D. Function point
E. Learning curve

In the software industry, software development projects are frequently estimated using weighted macro variables called "function points" or major parameters such as number of inputs, number of outputs, number of inquiries, number of data files, and number of interfaces.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

15. Laura is forecasting the time and cost of developing an intranet for a new customer. Her department has completed six such intranets for customers during the last two years. Although the proposed system is about the same size as the others she estimates that it will take about 10 percent less time and money. Which of the following methods is she using?
A. Ratio
B. Template
C. Apportion
D. Function point
E. Learning curve

A phenomenon of tasks that are labor intensive. In these circumstances the pattern of improvement phenomenon can be used to predict the reduction in time to perform the task. From empirical evidence across all industries, the pattern of this improvement has been quantified in the learning curve (also known as improvement curve, experience curve, and industrial progress curve).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

16. Learning curves are more likely to apply in situations where most of the costs are
A. Materials
B. Labor
C. Overhead
D. Evenly spread over materials, labor, and overhead
E. All of these are equally likely situations for learning curves

A phenomenon of tasks that are labor intensive. In these circumstances the pattern of improvement phenomenon can be used to predict the reduction in time to perform the task. From empirical evidence across all industries, the pattern of this improvement has been quantified in the learning curve (also known as improvement curve, experience curve, and industrial progress curve).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

17. Which of the following is not one of the bottom-up approaches to estimating project time and cost?
A. Parametric procedures applied to specific tasks
B. Estimates for the WBS work packages
C. Learning curve
D. Template method
E. All of these are bottom-up approaches

Learning curve is part of top-down approach to estimating.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

18. The approach that begins with a top-down estimate for the project and then refines estimates as the project is implemented is known as_____method.
A. Function point
B. Template
C. Learning curve
D. Phase estimating
E. Apportion

This approach begins with a top-down estimate for the project and then refines estimates for phases of the project as it is implemented.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

19. Which of the following would be the best method for projects where the final product is not known and the uncertainty is very large?
A. Function point
B. Template
C. Learning curve
D. Phase estimating
E. Apportion

Phase estimating is used when an unusual amount of uncertainty surrounds a project and it is impractical to estimate times and costs for the entire project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

20. The accuracy of top-down estimates will typically be in the range of
A. Minus 50% to plus 50%
B. Minus 0% to plus 75%
C. Minus 20% to plus 60%
D. Minus 35% to plus 35%
E. Minus 10% to plus 30%

See Table 5.4 on page 141.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

21. The accuracy of bottom-up estimates will typically be in the range of
A. Minus 50% to plus 50%
B. Minus 0% to plus 75%
C. Minus 20% to plus 60%
D. Minus 35% to plus 35%
E. Minus 10% to plus 30%

See Table 5.4 on page 141.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

22. The cost to prepare bottom-up estimates will typically run how much more than the costs to prepare the top-down estimates?
A. About the same
B. About twice as much
C. About three times as much
D. About four times as much
E. About five times as much

See Table 5.4 on page 141.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

23. Typical kinds of costs found in a project include
A. Direct costs
B. Project overhead costs
C. General and administrative costs
D. Only A and B are included
E. A, B, and C are all included

See list on Page 142.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Level of Detail
Level: Easy

24. Project costs are typically viewed from all of the following except:
A. Scheduled
B. Sunk
C. Actual
D. Committed
E. All of these are correct

See Figure 5.6 on Page 143.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Level of Detail
Level: Easy

25. Which of the following would be considered a direct project cost?
A. Labor
B. Materials
C. Equipment
D. Both A and B are direct costs
E. A, B, and C are all considered direct costs

Direct project overhead costs can be tied to project deliverables or work packages. Examples include the salary of the project manager and temporary rental space for the project team.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Level of Detail
Level: Easy

26. Which of the following is not one of the recommended guidelines for developing useful work package estimates?
A. Estimates should be made by those responsible for the work
B. Use several people to estimate the same work
C. Estimates should be based on normal conditions
D. Estimates should include a normal level of contingency
E. Estimates should be independent of other projects

See list on pages 144-145.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Refining Estimates
Level: Medium

27. Companies like Boeing, Kodak, and IBM are using which of the following for improving the estimating process?
A. Adjusting estimates based on individual forecasting abilities
B. Benchmarking using the experience of other companies
C. Using time and motion studies
D. Creating historical databases of previous projects
E. All of these are correct

Some organizations have large estimating departments of professional estimators—e.g., Boeing, Kodak, IBM—that have developed large time and cost databases.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Creating a Database for Estimating
Level: Easy

28. Reasons why estimating time and cost are important include all of the following except:
A. To schedule work
B. To determine how long the project should take and cost
C. To develop cash flow needs
D. To determine how well the project is progressing
E. All of the above are valid reasons

See Exhibit 5.1 on Page 127.

AACSB: Comprehension
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

29. In a learning curve, the improvement ratio is applied to which of the following items?
A. Direct materials
B. Direct labor
C. Overhead
D. Both A and B are correct
E. A, B, and C are all correct

These costs are clearly chargeable to a specific work package. Direct costs can be influenced by the project manager, project team, and individuals implementing the work package. These costs represent real cash outflows and must be paid as the project progresses; therefore, direct costs are usually separated from overhead costs. Lower-level project rollups frequently include only direct costs.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

30. The bottom-up approach for estimating times and costs that uses costs from past projects that were similar to the current project is known as:
A. Detailed WBS work package estimates
B. Template method
C. Function point method
D. Time-phased cost estimates
E. Phase estimating

If the project is similar to past projects, the costs from past projects can be used as a starting point for the new project. Differences in the new project can be noted and past times and costs adjusted to reflect these differences.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

31. Which of the follow top-down methods is used when projects closely follow past projects in features and costs and result in costs being assigned by percentages to major segments of the project?
A. Apportion
B. Function point
C. Phase estimating
D. Learning curve
E. Consensus

Apportionment is used when projects closely follow past projects in features and costs. Given good historical data, estimates can be made quickly with little effort and reasonable accuracy. This method is very common in projects that are relatively standard but have some small variation or customization.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

32. Resource shortages, in the form of people, equipment, or materials, is a good example of
A. Hidden interaction costs
B. Things going wrong on a project
C. Normal conditions not applying
D. Changes in project scope
E. None of these are correct

Estimates are supposed to be based on normal conditions. While this is a good starting point, it rarely holds true in real life. This is especially true when it comes to the availability of resources. Resource shortages, whether in the form of people, equipment, or materials, can extend original estimates.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Refining Estimates
Level: Medium

33. People working on prototype development needing time to interact with the design engineers after the design is completed is an example of:
A. Hidden interaction costs
B. Things going wrong on a project
C. Normal conditions not applying
D. Changes in project scope
E. None of these are correct

Interaction costs are hidden in estimates. According to the guidelines, each task estimate is supposed to be done independently. However, tasks are rarely completed in a vacuum. Work on one task is dependent upon prior tasks, and the hand-offs between tasks require time and attention. For example, people working on prototype development need to interact with design engineers after the design is completed, whether to simply ask clarifying questions or to make adjustments in the original design.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Refining Estimates
Level: Medium

34. A manager getting further into a project and obtaining a better understanding of what needs to be done to accomplish a project is an example of:
A. Hidden interaction costs
B. Things going wrong on a project
C. Normal conditions not applying
D. Changes in project scope
E. None of these are correct

As one gets further and further into the project, a manager obtains a better understanding of what needs to be done to accomplish the project. This may lead to major changes in project plans and costs. Likewise, if the project is a commercial project, changes often have to be made midstream to respond to new demands by the customer and/or competition.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Refining Estimates
Level: Medium

35. Design flaws being revealed after the fact, extreme weather conditions, and accidents occurring are examples of:
A. Hidden interaction costs
B. Things going wrong on a project
C. Normal conditions not applying
D. Changes in project scope
E. None of these are correct

Design flaws are revealed after the fact, extreme weather conditions occur, accidents happen, and so forth. Although you shouldn't plan for these risks to happen when estimating a particular task, the likelihood and impact of such events need to be considered.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Refining Estimates
Level: Medium

Fill in the Blank Questions

36. Estimates that are typically based on estimates of elements found in the work breakdown structure are called_____estimates.
bottom-up

The bottom-up approach at the work package level can serve as a check on cost elements in the WBS by rolling up the work packages and associated cost accounts to major deliverables.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

37. Estimates that are usually derived from analogy or mathematical relationships are called _____estimates.
top-down

Top-down estimates are usually done by senior management. Management will often derive estimates from analogy, group consensus, or mathematical relationships.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

38. The estimating factor known as_____considers the decreasing accuracy of estimates as one forecasts activities that are further into the future.
planning horizon

The quality of the estimate depends on the planning horizon; estimates of current events are close to 100 percent accurate but are reduced for more distant events. The accuracy of time and cost estimates should improve as you move from the conceptual phase to the point where individual work packages are defined.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

39. The_____factor in estimating project times and costs can introduce errors due to staff turnover, the skills of the participants, and whether the team members have worked with each other on previous projects.
people

The people factor can also introduce errors in estimating times and cost. For example, accuracy of estimates depends on the skills of the people making the estimates. A close match of people skills to the task will influence productivity and learning time.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

40. The tendency to over-estimate project time and cost in order to improve the likelihood of meeting the estimates is known as the_____factor.
padding estimates

In work situations where you are asked for time and cost estimates, most of us are inclined to add a little padding to increase the probability and reduce the risk of being late. If everyone at all levels of the project adds a little padding to reduce risk, the project duration and cost are seriously overstated.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

41. The prevailing belief in some firms that detailed estimating takes too much time and is not worth the effort or that it is impossible to predict the future is an example of the _____ factor.
organization culture

Organizations vary in the importance they attach to estimates. The prevailing belief in some organizations is that detailed estimating takes too much time and is not worth the effort or that it's impossible to predict the future. Other organizations subscribe to the belief that accurate estimates are the bedrock of effective project management. Organization culture shapes every dimension of project management; estimating is not immune to this influence.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

42. Using the_____method of forecasting project time and costs is the preferred method for situations involving strategic decision-making, projects with a high degree of uncertainty, and projects with an unstable scope.
top-down

See table 5-1 on Page 132.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Medium

43. Using the_____method of forecasting project time and costs is the preferred method for situations where the cost and time estimates are important, in a fixed contract situation, and when the customer wants a lot of detail.
bottom-up

See table 5-1 on Page 132.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Medium

44. The information necessary to conduct a bottom-up estimate of project time and costs starts with the_____.
work package

If possible and practical, you want to push the estimating process down to the work package level for bottom-up estimates that establish low-cost, efficient methods. This process can take place after the project has been defined in detail. Good sense suggests project estimates should come from the people most knowledgeable about the estimate needed.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Difficult

45. In the_____method of top-down estimating, a quantitative relationship is established between the estimates and a project parameter.
ratio

Top-down methods (sometimes called parametric) usually use ratios, or surrogates, to estimate project times or costs. Top-down approaches are often used in the concept or "need" phase of a project to get an initial duration and cost estimate for the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

46. Given that a project closely follows past projects in features and costs, the _____ method of assigns costs and times to particular phases that a project will go through.
apportion

This method is an extension to the ratio method. Apportionment is used when projects closely follow past projects in features and costs. Given good historical data, estimates can be made quickly with little effort and reasonable accuracy. This method is very common in projects that are relatively standard but have some small variation or customization.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

47. The_____method for estimating project time and cost uses weighted variables based on major parameters and is frequently used in the development of software.
function point

In the software industry, software development projects are frequently estimated using weighted macro variables called "function points" or major parameters such as number of inputs, number of outputs, number of inquiries, number of data files, and number of interfaces.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

48. The_____method of estimating project time and costs is useful for projects requiring the same task, group of tasks, or product repeated several times, especially if it is labor intensive.
learning curve

A phenomenon of tasks that are labor intensive. In these circumstances the pattern of improvement phenomenon can be used to predict the reduction in time to perform the task. From empirical evidence across all industries, the pattern of this improvement has been quantified in the learning curve (also known as improvement curve, experience curve, and industrial progress curve).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

49. In the_____method of estimating project time and costs past projects are used as a starting point with adjustments made based on differences in the new project.
template

If the project is similar to past projects, the costs from past projects can be used as a starting point for the new project. Differences in the new project can be noted and past times and costs adjusted to reflect these differences.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

50. Probably the most reliable method for estimating time and cost is to use the_____and to ask the people responsible for the work package to make the estimates.
bottom-up

If possible and practical, you want to push the estimating process down to the work package level for bottom-up estimates that establish low-cost, efficient methods. This process can take place after the project has been defined in detail. Good sense suggests project estimates should come from the people most knowledgeable about the estimate needed.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

51. The_____approach to estimating project time and cost begins with an overall estimate for the project and then refines estimates for various stages of the project as it is implemented.
phase estimating

This approach begins with a top-down estimate for the project and then refines estimates for phases of the project as it is implemented. Some projects by their nature cannot be rigorously defined because of the uncertainty of design or the final product. Phase estimating is used when an unusual amount of uncertainty surrounds a project and it is impractical to estimate times and costs for the entire project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

52. The cost to prepare a top-down budget will typically run_____percent of the total project cost.
one-tenth to three tenths

See Table 5.4 on page 141.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

53. The cost to prepare a bottom-up budget will typically run_____percent of the total project cost.
three tenths to one

See Table 5.4 on page 141.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

54. Project costs such as labor and materials are typically classified as_____costs.
direct

See list on Page 142.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Types of Costs
Level: Easy

55. The salary of the project manager and temporary rental space for the project team would be classified as_____ costs.
direct overhead

Direct overhead rates more closely pinpoint which resources of the organization are being used in the project. Direct project overhead costs can be tied to project deliverables or work packages. Examples include the salary of the project manager and temporary rental space for the project team.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Types of Costs
Level: Medium

56. Estimates should be made based on_____conditions, efficient methods, and a normal level of resources.
normal

Estimates should be based on normal conditions, efficient methods, and a normal level of resources.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Estimating Guidelines for Times; Costs; and Resources
Level: Easy

57. The _____ method is a top-down approach that uses the pooled experience of senior and/or middle managers to estimate the total project duration and cost.
consensus

The consensus simply uses the pooled experience of senior and/or middle managers to estimate the total project duration and cost.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

58. Costs that are not directly related to a specific project, such as advertising, accounting, and senior management, are classified as_____.
General and administrative overhead costs

These represent organization costs that are not directly linked to a specific project. These costs are carried for the duration of the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Types of Costs
Level: Medium

True / False Questions

59. Project estimates should be broken down into as much detail than and with as much accuracy as possible.
FALSE

Detailed data gathering is not always possible or practical and other methods are used to develop project estimates.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

60. Bottom-up-estimating is another name for overzealous top management estimates.
FALSE

Top-down estimates usually are derived from someone who uses experience and/or information to determine the project duration and total cost. These estimates are sometimes made by top managers who have very little knowledge of the processes used to complete the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Easy

61. The use of past experience is almost always used primarily in the initial phases of a project.
TRUE

Past experience is a good starting point for developing time and cost estimates.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

62. Due to the averaging out of under-estimates and over-estimates, a long duration project is more likely to be on target than a short term, small project.
Refer to Snapshot from Practice Page 140.
FALSE

The smaller the element of a work package, the more accurate the overall estimate is likely to be.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

63. The project structure chosen to manage the project will have little impact on the actual project work to be accomplished.
FALSE

Which project structure is chosen to manage the project will influence time and cost estimates.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

64. As long as everyone in a project adds just a little padding to reduce risk, the project duration and costs are probably overstated by a small amount.
FALSE

This phenomenon causes some managers or owners to call for a 10-15 percent cut in time and/or cost for the project. Of course the next time the game is played, the person estimating cost and/or time will pad the estimate to 20 percent or more.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

65. Organization culture can significantly influence project time and cost estimates.
TRUE

Organization culture can significantly influence project estimates.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

66. If a project is internal to the company and relatively small, the bottom-up approach to estimating time and costs for the project is the best choice.
Refer to Table 5.1
FALSE

See Table 5.1 on page 132.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Easy

67. If time and costs are important to a project the top-down approach to estimating time and costs for the project is the best choice.
FALSE

The bottom-up approach at the work package level can serve as a check on cost elements in the WBS by rolling up the work packages and associated cost accounts to major deliverables. Similarly, resource requirements can be checked. Later, the time, resource, and cost estimates from the work packages can be consolidated into time-phased networks, resource schedules, and budgets that are used for control.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Easy

68. The ideal approach to estimating project time and costs is to use both the top-down and the bottom-up approach.
TRUE

The ideal approach is for the project manager to allow enough time for both the top-down and bottom-up estimates to be worked out so a complete plan based on reliable estimates can be offered to the customer. In this way false expectations are minimized for all stakeholders and negotiation is reduced.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Medium

69. At the strategic level top-down estimating methods are used to evaluate a project proposal. Refer to Table 5.1
TRUE

See Table 5.1 on page 132.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Easy

70. Top-down estimates usually are derived from someone who uses experience and/or information to determine the project duration and total cost.
TRUE

Top-down estimates usually are derived from someone who uses experience and/or information to determine the project duration and total cost.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Easy

71. Estimating the total cost of a house by multiplying the total square feet by a cost per square foot is an example of the apportion method of estimating costs.
FALSE

Apportionment is used when projects closely follow past projects in features and costs. Given good historical data, estimates can be made quickly with little effort and reasonable accuracy. This method is very common in projects that are relatively standard but have some small variation or customization.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

72. Estimating the total cost of a project by multiplying each major function by a complexity factor is an example of the apportion method of estimating costs.
FALSE

Apportionment is used when projects closely follow past projects in features and costs. Given good historical data, estimates can be made quickly with little effort and reasonable accuracy. This method is very common in projects that are relatively standard but have some small variation or customization.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

73. Phase estimating is used when a project cannot be rigorously defined because of the uncertainty of design or the final product.
TRUE

Phase estimating is used when an unusual amount of uncertainty surrounds a project and it is impractical to estimate times and costs for the entire project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

74. Phase estimating uses both the bottom-up and top-down methods for estimating project time and costs.
TRUE

This approach begins with a top-down estimate for the project and then refines estimates for phases of the project as it is implemented.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

75. Using a WBS permits the use of different levels of detail for different levels of management.
TRUE

Getting the level of detail in the WBS to match management needs for effective implementation is crucial, but the delicate balance is difficult to find. The level of detail in the WBS varies with the complexity of the project; the need for control; the project size, cost, duration; and other factors.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Level of Detail
Level: Easy

76. The Consensus method of estimating costs is a bottom-up technique.
FALSE

These first top-down estimates are only a rough cut and typically occur in the "conceptual" stage of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

77. The salary of the project manager and her administrative assistant is classified as direct labor costs.
FALSE

Direct project overhead costs can be tied to project deliverables or work packages. Examples include the salary of the project manager and temporary rental space for the project team.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Types of Costs
Level: Medium

78. General and Administrative costs are usually allocated as a percent of the total of a direct cost such as labor, materials, or equipment.
TRUE

G&A costs are usually allocated as a percent of total direct cost, or a percent of the total of a specific direct cost such as labor, materials, or equipment.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Types of Costs
Level: Medium

79. The apportion method is a top-down approach that uses the pooled experience of senior and/or middle managers to estimate the total project duration and cost.
FALSE

Apportionment is used when projects closely follow past projects in features and costs. Given good historical data, estimates can be made quickly with little effort and reasonable accuracy. This method is very common in projects that are relatively standard but have some small variation or customization.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

80. The function point method of time and cost estimating is best applied to projects that have large, complex physical deliverables, such as a bridge or building.
FALSE

In the software industry, software development projects are frequently estimated using weighted macro variables called "function points" or major parameters such as number of inputs, number of outputs, number of inquiries, number of data files, and number of interfaces.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

Short Answer Questions

81. Identify and briefly describe the two major categories of estimating project time and costs.

1. Top-down estimates made by top management, and 2. bottom-up estimates are made by those responsible for completing the work packages

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Medium

82. Why are the estimates for a project's time and costs important for all phases of a project?

The estimates serve as the standard for comparison of actual and plan throughout the life of a project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

83. Identify the factors that should be considered to improve the quality of estimates for project times and costs.

1. planning horizon, 2. project duration, 3. people, 4. project structure and organization, 5. padding estimates, 6. organization culture, and 7. non-project factors

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Factors Influencing the Quality of Estimates
Level: Difficult

84. Under what conditions would the top-down approach to estimating project times and costs be the best choice?

In the early stages of a project to help develop the initial plan, in making strategic decisions, in projects of high uncertainty, in small internal projects, or in projects with an unstable scope.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Difficult

85. Under what conditions would the bottom-up approach to estimating project times and costs be the best choice?

When low cost, efficient estimates are needed, when time and cost are important, when working on a fixed price contract, or when the customer wants details.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Difficult

86. Describe the ideal approach for a project manager to develop optimal estimates for a project's time and costs.

Allow enough time for both the top-down and bottom-up estimates to be worked out and included in the final plan.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Difficult

87. Identify and briefly describe the five major methods of top-down estimating.

1. consensus, 2. ratio method, 3. apportion method, 4. function point, and 5. learning curves

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Methods for Estimating Project Times and Costs
Level: Difficult

88. Identify and briefly describe the four major methods of bottom-up estimating.

1. template method, 2. parametric procedure applied to specific tasks, 3. detailed estimates from the WBS work packages, and 4. phase estimating

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Methods for Estimating Project Times and Costs
Level: Difficult

89. Identify the drawbacks to an excessive level of detail in project times and costs.

1. emphasis on departmental outcomes, and 2. increased paperwork

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Level of Detail
Level: Difficult

90. Identify the three major categories of project costs and give an example of each.

1. Direct costs (labor, materials, equipment, other), 2. Project Overhead Costs (salaries of project manager, rent on space to house the project), and 3. General and Administrative Overhead Costs (advertising, accounting, and senior management of the organization)

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Types of Costs
Level: Difficult

91. "The best way to improve estimates is to collect and archive data on past project estimates and actuals." Agree or disagree and support your answer.

This technique is rated as a 'best practice' among leading project management organizations. Several large firms have large estimating departments that have developed large time and cost databases.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Creating a Database for Estimating
Level: Difficult

Chapter 06 Developing a Project Plan Answer Key

Multiple Choice Questions

1. Information to develop a project network is collected from the
A. Organization breakdown structure
B. Work breakdown structure
C. Budget
D. Project proposal
E. Responsibility matrix

The network is developed from the information collected for the WBS and is a graphic flow chart of the project job plan.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Developing the Project Network
Level: Easy

2. Which of the following represents an activity on an AON project network?
A. An arrow
B. A line
C. A node
D. Both A and B are correct
E. A, B, and C are all correct

The two approaches used to develop project networks are known as activity-on-node (AON) and activity-on-arrow (AOA). Both methods use two building blocks— the arrow and the node. Their names derive from the fact that the former uses a node to depict an activity.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

3. Arrows on an AON project network represent:
A. An activity
B. Project flow
C. Dependency
D. Both B and C are correct
E. Both A and B are correct

The node depicts an activity, and the arrow shows dependency and project flow.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: From Work Package to Network
Level: Medium

4. When translated into a project network, a work package will become
A. A single activity
B. One or more activities
C. A milestone
D. A critical path
E. An arrow

Work packages from the WBS are used to build the activities found in the project network. An activity can include one or more work packages. The activities are placed in a sequence that provides for orderly completion of the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: From Work Package to Network
Level: Medium

5. Which of the following is provided by a project network but not by the work breakdown structure?
A. Dependencies
B. Sequencing
C. Interrelationships
D. Both A and B are correct
E. A, B, and C are all correct

Project networks are developed from the WBS. The project network is a visual flow diagram of the sequence, interrelationships, and dependencies of all the activities that must be accomplished to complete the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: From Work Package to Network
Level: Medium

6. On a project network, the activity times are derived from the
A. Organization breakdown structure
B. Work packages
C. Budget
D. Project proposal
E. Responsibility matrix

Work packages from the WBS are used to build the activities found in the project network. An activity is an element in the project that consumes time—for example, work or waiting.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: From Work Package to Network
Level: Difficult

7. Part of a project is to *Develop Product Specifications*. This is best classified as a(n)
A. Event
B. Path
C. Activity
D. Node
E. Milestone

Activities usually represent one or more tasks from a work package. Descriptions of activities should use a verb/noun format: for example, develop product specifications.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Medium

8. An activity that has more than one dependency arrow flowing into it is termed a(n)
A. Parallel activity
B. Critical path
C. Burst activity
D. Merge activity
E. Independent activity

Merge activity is an activity that has more than one activity immediately preceding it (more than one dependency arrow flowing to it).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

9. The critical path in a project network is the
A. Shortest path through the network
B. Longest path through the network
C. Network path with the most difficult activities
D. Network path using the most resources
E. Network path with the most merge activities

When this term is used, it means the path(s) with the longest duration through the network; if an activity on the path is delayed, the project is delayed the same amount of time.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

10. A/an_____activity has more than one dependency arrow flowing from it.
A. Parallel
B. Critical path
C. Burst
D. Merge
E. Independent

Burst activity is an activity has more than one activity immediately following it (more than one dependency arrow flowing from it).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Easy

11. An item on a project network is *Design Software Completed*. This is best described as a(n)
A. Event
B. Path
C. Activity
D. Node
E. Milestone

Event is a term used to represent a point in time when an activity is started or completed. It does not consume time.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

12. Activities which can take place at the same time are termed
A. Parallel activity
B. Critical path
C. Burst activity
D. Merge activity
E. Independent activity

These are activities that can take place at the same time, if the manager wishes. However, the manager may choose to have parallel activities not occur simultaneously.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

13. A sequence of connected, dependent activities is termed a(n)
A. Critical path
B. Parallel path
C. Activity chain
D. Path
E. Dependent chain

A Path is a sequence of connected, dependent activities.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

14. An AON project network uses which of the following basic building blocks?
A. Arrows
B. Bars
C. Nodes
D. Both A and C are correct
E. A, B, and C are all correct

The two approaches used to develop project networks are known as activity-on-node (AON) and activity-on-arrow (AOA). Both methods use two building blocks— the arrow and the node.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

15. Which of the following is not one of the basic rules to follow when developing project networks?
A. An activity cannot begin until all preceding activities have been completed
B. Each activity must have a unique identification number
C. Conditional statements are allowed but looping statements are not allowed
D. An activity identification number must be larger that that of any preceding activities
E. Networks flow from left to right

See List on Page 161.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

16. _____activities must be completed immediately before a particular activity.
A. Merge
B. Burst
C. Predecessor
D. Successor
E. Critical

Which activities must be completed immediately before this activity? These activities are called predecessor activities.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Activity-on-Node (AON) Fundamentals
Level: Easy

17. _____activities are to be completed immediately following a particular activity.
A. Merge
B. Burst
C. Predecessor
D. Successor
E. Critical

Which activities must immediately follow this activity? These activities are called successor activities.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Activity-on-Node (AON) Fundamentals
Level: Easy

18. The forward pass in project network calculations determines the
A. Earliest time's activities can begin
B. Earliest time's activities can be finished
C. Duration of the project
D. Both A and B are correct
E. A, B, and C are all correct

The forward pass starts with the first project activity(ies) and traces each path (chain of sequential activities) through the network to the last project activity(ies).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

19. The backward pass in project network calculations determines the
A. Latest time's activities can begin
B. Earliest time's activities can be finished
C. Critical path
D. Both A and C are correct
E. A, B, and C are all correct

See list on Page 165.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

20. Which of the following correctly calculates the early finish for an activity?
A. LS + DUR
B. ES + DUR
C. LF + DUR
D. ES + SL
E. LF + SL

The early finish for activity = (ES + DUR).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

21. Which of the following correctly calculates the late start for an activity?
A. EF - DUR
B. ES - DUR
C. LF - DUR
D. ES - SL
E. LF - SLACK

You subtract activity times along each path starting with the project end activity (LF - DUR = LS).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

22. The amount of time an activity can be delayed and yet not delay the project is termed
A. Total slack
B. Free slack
C. Critical float
D. Float pad
E. Slip pad

Total slack tells us the amount of time an activity can be delayed and yet not delay the project. Stated differently, total slack is the amount of time an activity can exceed its early finish date without affecting the project end date or an imposed completion date.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Easy

23. Which of the following will correctly calculate the total slack in an activity?
A. LS - ES
B. LF - EF
C. LS - LF
D. LF - ES
E. Both A and B are correct

Total slack or float for an activity is simply the difference between the LS and ES (LS - ES = SL) or between LF and EF (LF - EF = SL).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Easy

24. The laying pipe example in the text illustrates the concept of
A. Laddering
B. Hammock activities
C. Critical path
D. Concurrent engineering
E. Forward pass

The assumption that all immediate preceding activities must be 100 percent complete is too restrictive for some situations found in practice. This restriction occurs most frequently when one activity overlaps the start of another and has a long duration. Under the standard finish-to-start relationship, when an activity has a long duration and will delay the start of an activity immediately following it, the activity can be broken into segments and the network drawn using a laddering approach so the following activity can begin sooner and not delay the work.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

25. Using a special color copy machine for a tradeshow publication illustrates the concept of
A. Laddering
B. Hammock activities
C. Critical path
D. Concurrent engineering
E. Forward pass

Hammock activities are frequently used to identify the use of fixed resources or costs over a segment of the project. Typical examples of hammock activities are inspection services, consultants, or construction management services. A hammock activity derives its duration from the time span between other activities. For example, a special color copy machine is needed for a segment of a tradeshow publication project. A hammock activity can be used to indicate the need for this resource and to apply costs over this segment of the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

26. If, for some reason, the project must be expedited to meet an earlier date, which of the following actions would the project manager take first?
A. Check to see which activities cost the least
B. Check to see which activities have the longest duration
C. Check to see which activities are on the critical path
D. Check to see which activities have the most slack
E. Check to see which activities have the highest risk

If for some reason the project must be expedited to meet an earlier date, it is possible to select those activities, or combination of activities, that will cost the least to shorten the project. Similarly, if the critical path is delayed and the time must be made up by shortening some activity or activities on the critical path to make up any negative slack, it is possible to identify the activities on the critical path that cost the least to shorten. If there are other paths with very little slack, it may be necessary to shorten activities on those paths also.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Using the Forward and Backward Pass Information
Level: Medium

27. Typically an activity on a project network represents
A. A single work package
B. One or more tasks from a work package
C. Several work packages
D. A sub-deliverable
E. A cost account

Work packages from the WBS are used to build the activities found in the project network.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: From Work Package to Network
Level: Medium

28. Project network logic errors include which of the following?
A. Activities with less than 1 day duration
B. Sequences such as "if test successful build prototype, if failure redesign"
C. A sequence such as B succeeds A, C succeeds B, A succeeds C
D. Both B and C are network logic errors
E. A, B, and C are all network logic errors

One rule is that conditional statements such as "if test successful build proto, if failure redesign" are not permitted. Another rule that defeats the project network and computation process is looping. Looping is an attempt by the planner to return to an earlier activity.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Medium

29. Which company utilized concurrent engineering to design a new line of cars and in the process completed its development six months ahead of schedule?
A. General Motors
B. Chrysler
C. Ford
D. Nissan
E. Toyota

The traditional chainlike sequence of finish-to-start relationships is replaced by a series of start-to-start lag relationships as soon as meaningful work can be initiated for the next phase. Figure 6.17 summarizes the dramatic gains in time to market achieved by this approach. For example, this approach was used by Chrysler Corporation to design its new line of SC cars including the popular Neon sedan.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

30. The minimum amount of time a dependent activity must be delayed to begin or end is referred to as:
A. Hammock
B. Laddering
C. Lag
D. Cushion
E. Buffer

A lag is the minimum amount of time a dependent activity must be delayed to begin or end.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

31. The requirement for a freshly poured foundation to cure before beginning construction is an example of which of the following type of lag?
A. Start to Start
B. Start to Finish
C. Finish to Finish
D. Finish to Start
E. Any of these could be correct

There are situations in which the next activity in a sequence must be delayed even when the preceding activity is complete. For example, removing concrete forms cannot begin until the poured cement has cured for two time units.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

32. Concurrent engineering is a good example of good use of
A. Start to Start lags
B. Start to Finish lags
C. Finish to Finish lags
D. Finish to Start lags
E. Any of these could be correct

Concurrent Engineering, basically breaks activities into smaller segments so that work can be done in parallel and the project expedited. Start-to-start relationships can depict the concurrent engineering conditions and reduce network detail.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

33. If testing cannot be completed any earlier than four days after the prototype is built, which of the following type of lag exists?
A. Start to Start
B. Start to Finish
C. Finish to Finish
D. Finish to Start
E. Any of these could be correct

The finish of one activity depends on the finish of another activity. For example, testing cannot be completed any earlier than four days after the prototype is complete.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

34. Which of the following represents an activity on an AOA project network?
A. An arrow
B. A line
C. A node
D. Both A and B are correct
E. A, B, and C are all correct

The activity-on-arrow (AOA) uses an arrow to depict an activity.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: From Work Package to Network
Level: Easy

35. Nodes on an AON project network represent:
A. An activity
B. An event
C. Responsibility
D. Both B and C are correct
E. Both A and B are correct

The activity-on- node (AON) uses a node to depict an activity.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: From Work Package to Network
Level: Medium

Fill in the Blank Questions

36. A(n)_____is an element in the project that consumes time.
activity

An activity is an element of the project that requires time. It may or may not require resources.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

37. The activity time estimates used to build a project network are derived from_____.
work packages

A work package is defined independently of other work packages, has definite start and finish points, requires specific resources, includes technical specifications, and has cost estimates for the package.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Developing the Project Network
Level: Easy

38. A_____is an activity that has more than one predecessor.
merge activity

Merge activity is an activity that has more than one activity immediately preceding it (more than one dependency arrow flowing to it).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

39. In a_____the delaying of any activity will delay the completion of the project by the same amount.
critical path

Critical path means the path(s) with the longest duration through the network; if an activity on the path is delayed, the project is delayed the same amount of time.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

40. Activities that can take place at the same time if the manager wishes them to are called _____.
parallel activities

Parallel activities are activities that can take place at the same time, if the manager wishes. However, the manager may choose to have parallel activities not occur simultaneously.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

41. A (n)_____represents a point in time when an activity is started or completed and does not consume time.
event

Event is used to represent a point in time when an activity is started or completed. It does not consume time.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

42. A (n)_____has more than one successor activity.
burst activity

Burst activity has more than one activity immediately following it (more than one dependency arrow flowing from it).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

43. The_____approach to creating project networks has come to dominate most projects.
AON or activity-on-node

In practice, the activity-on-node (AON) method has come to dominate most projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

44. In a project network,_____(recycling through a set of activities) is not permitted.
looping

Looping is not allowed (in other words, recycling through a set of activities cannot take place).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Easy

45. In a project network,_____indicate precedence and flow.
arrows

The wide availability of personal computers and graphics programs has served as an impetus for use of the activity-on-node (AON) method (sometimes called the precedence diagram method). The dependencies among activities are depicted by arrows between the rectangles (boxes) on the AON network. The arrows indicate how the activities are related and the sequence in which things must be accomplished.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Activity-on-Node (AON) Fundamentals
Level: Easy

46. The_____method for creating project networks is sometimes called the Precedence Diagram Method.
AON or activity-on-node

The wide availability of personal computers and graphics programs has served as an impetus for use of the activity-on-node (AON) method (sometimes called the precedence diagram method).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Activity-on-Node (AON) Fundamentals
Level: Easy

47. Activities that must occur immediately before a given activity are called _____ activities.
predecessor

Activities that must be completed immediately before an activity are called predecessor activities.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Activity-on-Node (AON) Fundamentals
Level: Easy

48. Activities that must immediately follow a given activity are called_____activities.
successor

Activities that must immediately follow an activity are called successor activities.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Activity-on-Node (AON) Fundamentals
Level: Easy

49. Activities that can occur while an activity is taking place are called_____activities.
parallel or concurrent

Activities that can occur while an activity is taking place is known as a concurrent or parallel relationship.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Activity-on-Node (AON) Fundamentals
Level: Easy

50. The_____calculates the earliest times that activities can be started or finished.
forward pass

Forward Pass describes how soon can the activity start? (early start—ES) and how soon can the activity finish? (early finish—EF).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

51. The_____calculates the critical path and determines how long an activity can be delayed without delaying the project.
backward pass

The backwards pass which activities represent the critical path (CP). This is the longest path in the network which, when delayed, will delay the project and how long can the activity be delayed? (slack or float—SL).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

52. An activity is on the critical path if its_____is the lowest in the network.
total slack

Total slack tells us the amount of time an activity can be delayed and yet not delay the project. Stated differently, total slack is the amount of time an activity can exceed its early finish date without affecting the project end date or an imposed completion date.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

53. _____can never be negative and applies only to the last activity in a single chain of activities.
Free slack

Free slack is the amount of time and activity can be delayed without delaying any immediately following (successor) activity. Or, free slack is the amount of time an activity can exceed its early finish date without affecting the early start date of any successor(s). Free slack can never be negative.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

54. A(n)_____is the minimum amount of time a dependent activity must be delayed to begin or end.
lag

A lag is the minimum amount of time a dependent activity must be delayed to begin or end.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

55. In the_____technique, an activity with a long duration is broken into smaller segments so that the following activities can begin sooner.
laddering

The assumption that all immediate preceding activities must be 100 percent complete is too restrictive for some situations found in practice. This restriction occurs most frequently when one activity overlaps the start of another and has a long duration. Under the standard finish-to-start relationship, when an activity has a long duration and will delay the start of an activity immediately following it, the activity can be broken into segments and the network drawn using a laddering approach so the following activity can begin sooner and not delay the work.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

56. _____is defined as the difference between the EF of an activity and the ES of the activity that follows it.
Free Slack (Float)

See Figure 6.9 on Page 172.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

57. _____reflects the likelihood the original critical path(s) will change once the project is initiated.
Sensitivity

Sensitivity reflects the likelihood the original critical path(s) will change once the project is initiated. Sensitivity is a function of the number of critical or near-critical paths.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

58. A_____lag exists if debug cannot begin until two days after coding has started and that coding must be completed four days before debug can be completed.
combination

More than one lag relationship can be attached to an activity. These relationships are usually start-to-start and finish-to-finish combinations tied to two activities. For example, debug cannot begin until two time units after coding has started. Coding must be finished four days before debug can be finished (see Figure 6.20 on page 181).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

59. The_____lag is the most typical type of lag that is encountered in developing networks.
finish to start

The finish-to-start relationship represents the typical, generic network However, there are situations in which the next activity in a sequence must be delayed even when the preceding activity is complete.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

60. A_____activity is frequently used to identify the use of fixed resources or costs over a segment of the project.
hammock

Hammock activities are frequently used to identify the use of fixed resources or costs over a segment of the project. Typical examples of hammock activities are inspection services, consultants, or construction management services. A hammock activity derives its duration from the time span between other activities. For example, a special color copy machine is needed for a segment of a tradeshow publication project. A hammock activity can be used to indicate the need for this resource and to apply costs over this segment of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

True / False Questions

61. An activity includes only one work package.
FALSE

Activities usually represent one or more tasks from a work package.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

62. Project networks are built using nodes and arrows.
TRUE

The two approaches used to develop project networks are known as activity-on-node (AON) and activity-on-arrow (AOA). Both methods use two building blocks—the arrow and the node.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

63. The WBS identifies dependencies, the sequencing of activities, and the timing of activities.
FALSE

Networks provide the project schedule by identifying dependencies, sequencing, and timing of activities, which the WBS is not designed to do.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: From Work Package to Network
Level: Medium

64. The critical path is the shortest path through a network and indicates activities that cannot be delayed without delaying the project.
FALSE

Critical path means the path(s) with the longest duration through the network; if an activity on the path is delayed, the project is delayed the same amount of time.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

65. An activity is an element of the project that always requires time but may or may not require resources.
TRUE

An activity is an element of the project that requires time. It may or may not require resources.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

66. The two approaches used to develop project networks are AOA and AON.
TRUE

The two approaches used to develop project networks are known as activity-on-node (AON) and activity-on-arrow (AOA).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

67. In an AOA network an activity is represented by a box.
Refer to Appendix 6.1
FALSE

The activity-on-arrow (AOA) approach also uses the arrow and node as network building blocks. However, in this approach the arrow represents an individual project activity that requires time. The length and slope of the arrow have no significance. The node represents an event; it is usually presented as a small circle.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

68. In developing a project network, each activity should have a unique identification number that is smaller than the identification numbers of activities that follow it.
TRUE

Each activity should have a unique identification number. And that activity identification number must be larger than that of any activities that precede it.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

69. In developing a project network, neither looping statements nor conditional statements are permitted.
TRUE

Looping is not allowed (in other words, recycling through a set of activities cannot take place). Also Conditional statements are not allowed (that is, this type of statement should not appear: If successful, do something; if not, do nothing).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

70. Experience suggests that when there are multiple starts, a common start node should not be used to indicate a clear project beginning on the network. Similarly, a single project end node can be used to indicate a clear ending.
FALSE

Experience suggests that when there are multiple starts, a common start node can be used to indicate a clear project beginning on the network. Similarly, a single project end node can be used to indicate a clear ending.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

71. Burst activities have more than one activity immediately following it (more than one dependency arrow flowing from it).
TRUE

Burst activities have more than one activity immediately following it (more than one dependency arrow flowing from it).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

72. It is acceptable for arrows to cross one another in a network diagram.
TRUE

Arrows on networks indicate precedence and flow. Arrows can cross over each other.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Easy

73. The forward pass through a project network determines the critical path.
FALSE

The forward pass starts with the first project activity(ies) and traces each path (chain of sequential activities) through the network to the last project activity(ies). The forward pass assumes every activity will start the instant in time when the last of its predecessors is finished.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

74. The backward pass though a project network determines how long an activity can be delayed without impacting the completion date of the project.
TRUE

The backwards pass which activities represent the critical path (CP). This is the longest path in the network which, when delayed, will delay the project and how long can the activity be delayed (slack or float—SL).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

75. Different activities along the same path can have different total slack.
TRUE

If slack of one activity in a path is used, the ES for all activities that follow in the chain will be delayed and their slack reduced. Use of total slack must be coordinated with all participants in the activities that follow in the chain.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Network Computation Process
Level: Medium

76. By definition, the critical path always has zero slack.
FALSE

The critical path follows activity start and finish constraints that occur due to the use of the additional relationships available and the imposed lags.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

77. It is possible to have more than one critical path at the same time.
TRUE

Critical path means the path(s) with the longest duration through the network; if an activity on the path is delayed, the project is delayed the same amount of time.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

78. Free slack applies to an entire project network.
FALSE

Free slack is the amount of time and activity can be delayed without delaying any immediately following (successor) activity. Or, free slack is the amount of time an activity can exceed its early finish date without affecting the early start date of any successor(s).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Network Computation Process
Level: Medium

79. Gantt charts are popular because they represent an easy-to-understand, clear picture on a time-scaled horizon.
Refer to Figure 6.12
TRUE

See Figure 6.12 on Page 176.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Practical Considerations
Level: Easy

80. Lags are used to break larger activities into smaller segments so that activities that follow can be started earlier.
FALSE

When activities of long duration delay the start or finish of successor activities, the network designer normally breaks the activity into smaller activities to avoid the long delay of the successor activity. Use of lags can avoid such delays and reduce network detail.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

81. Only activities that occur at the end of a chain of activities can have free slack.
TRUE

Free slack occurs at the last activity in a chain of activities. In many situations the "chain" can have only one link.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Network Computation Process
Level: Medium

82. Lags can be use to constrain the start and finish of an activity.
TRUE

Lags can be used to constrain the start and finish of an activity.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

Short Answer Questions

83. Identify and discuss the two major reasons for the integration of work packages into the project network failing in actual practice.

1. different people are used to define work packages and the network, and 2. the WBS is poorly constructed and not deliverable/output oriented.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Developing the Project Network
Level: Medium

84. What are the two approaches used to develop project networks and identify the differences between them?

1. activity-on-node; where nodes depict activities and the arrows show flow and dependencies and 2. activity-on-arrow; where nodes represent events and achievement of the activities is represented by the arrow connecting the nodes.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

85. What are the eight rules to follow in developing project networks?

1. flow left to right, 2. activities cannot begin until all predecessors have been completed, 3. arrows indicate precedence and flow, 4. each activity should have a unique identification number, 5. activity ID numbers must be larger than preceding ID number, 6. looping is not permitted, 7. conditional statements are not permitted, and 8. create a common start node for multiple start activities.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Constructing a Project Network
Level: Difficult

86. In the network computation process what is a *forward pass* and what three things does it determine?

Starting with the first activity, each path is traced forward through the network, adding times until the end of the project. This determines 1. how soon each activity can start, 2. how soon each activity can finish, and 3. how soon the entire project can be completed.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Network Computation Process
Level: Difficult

87. In the network computation process what is a *backward pass* and what four things does it determine?

Starting with the last activity, each path is traced backward through the network, subtracting times until the beginning of the project. This determines 1. how late each activity can start, 2. how late each activity can finish, 3. the critical path, and 4. how long can each activity be delayed without changing the completion date.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Network Computation Process
Level: Difficult

88. What is total slack and how do you determine it?

Slack is the amount of time specific activities can be delayed without causing the project to miss its completion date. It is calculated by subtracting the Early Start date from the Late Start date (SL = LS-ES) or subtracting the Early Finish date from the Late Finish date (SL = LF-EF).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

89. What is a Gantt chart and what advantages does it have over project networks?

Gantt charts are bar charts where activities are displayed as bars on a horizontal time-scale. They are easy-to-read and provide a clear overview of the project schedule and progress against that schedule.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Medium

90. What is the laddering approach to project networks and why would you use this approach?

In laddering, lengthy activities are segmented into small pieces so that successor activities can begin prior to the completion of the initial activity. This effectively reduces the overall project time. The text used a laying pipeline example to illustrate.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

91. What is a lag and why would you need to use one?

A lag is the minimum amount of time a dependent activity must be delayed to begin or end. They occur during laddering and avoid delays and they are also used to constraint the start and finish of an activity.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

92. What is a hammock activity and give an example?

A hammock activity identifies the use of a resource over a segment of the project. Thus its duration is determined by the duration of other activities. The example used in the text was for a color copier during specific phases of a project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

93. What is the Concurrent Engineering Approach and why should project managers be aware of it?

The chainlike sequence of finish-to-start relationships is replaced by a series of start-to-start lag relationships as soon as meaningful work can be initiated for the next phase. The resulting overlap of tasks slightly increases risk but results in a much shorter schedule.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Difficult

94. Identify and briefly describe the four types of lags giving an example for each type.

1. Finish-to-Start, 2. Start-to-Start, 3. Finish-to-Finish, 4. Start-to-Finish.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Difficult

Chapter 07 Managing Risk Answer Key

Multiple Choice Questions

1. An uncertain event or condition that, if it occurs, has a positive or negative effect on a project objectives is termed.
A. Random chance
B. A disaster
C. Risk
D. Hazard
E. Bad luck

In the context of projects, risk is an uncertain event or condition that, if it occurs, has a positive or negative effect on project objectives.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Risk Management Process
Level: Easy

2. The chances of a risk event occurring as a project proceeds through its life cycle tends to
A. Slowly rise
B. Drop sharply and then level out
C. Rise sharply and then level out
D. Remain about the same
E. Slowly drop

See Figure 7.1 on Page 212.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Medium

3. The cost impact of a risk event occurring as a project proceeds through its life cycle tends to
A. Slowly rise
B. Drop sharply and then level out
C. Rise sharply and then level out
D. Remain about the same
E. Slowly drop

The cost impact of a risk event in the project is less if the event occurs earlier rather than later.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Medium

4. The attempt to recognize and manage potential and unforeseen trouble spots that may occur when a project is implemented is known as
A. Risk forecasting
B. Risk management
C. Contingency planning
D. Scenario analysis
E. Disaster protection

Risk management attempts to recognize and manage potential and unforeseen trouble spots that may occur when the project is implemented.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Risk Management Process
Level: Easy

5. Which of the following is not one of the steps in the risk management process?
A. Risk response development
B. Risk assessment
C. Risk identification
D. Risk tracking
E. Risk response control

See Figure 7.2 on Page 213.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Medium

6. The initial step in the risk management process is to
A. Determine the level of acceptable risk
B. Assess the risk potential
C. Identify the risks
D. Set aside budget funds for managing the risks
E. Appoint a risk manager

See Figure 7.2 on Page 213.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Risk Management Process
Level: Easy

7. One common mistake made early in the risk identification process is to
A. Not all possibilities are considered
B. Participants are over-optimistic
C. Participants are over-pessimistic
D. Focus on objectives and not on the events that could produce consequences.
E. Too much attention is given to past events

One common mistake that is made early in the risk identification process is to focus on objectives and not on the events that could produce consequences.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Risk Identification
Level: Easy

8. In the beginning the focus of risk management should be on risks that
A. Impact the whole project
B. Impact the critical path
C. Are known
D. Have the greatest cost impact
E. Have the greatest schedule impact

The focus at the beginning should be on risks that can affect the whole project as opposed to a specific section of the project or network.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Risk Identification
Level: Medium

9. The 1999 NASA Mars Climate Orbiter is an example of
A. Disaster avoidance through proactive risk management
B. Murphy's Law
C. Proper use of critical thinking
D. Mismanaged risk control
E. Using historical records to assess risk

The cost of mismanaged risk control early on in the project is magnified by the ill-fated 1999 NASA Mars Climate Orbiter.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Medium

10. Which of the following would not be considered a *threat*?
A. Inflation
B. Meeting the project schedule
C. International disruptions
D. Economic conditions
E. Competition

There are sources external to the organization, such as inflation, market acceptance, exchange rates, and government regulations. In practice, these risk events are often referred to as "threats" to differentiate them from those that are not within the project manager's or team's responsibility area.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Risk Management Process
Level: Difficult

11. A list of questions that address traditional areas of uncertainty on a project is termed a risk
A. Risk profile
B. Questionnaire
C. Research
D. Query
E. Checklist

A risk profile is a list of questions that address traditional areas of uncertainty on a project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Easy

12. Which of the following is typically included in risk profiles?
A. Management aspects
B. Market aspects
C. Technical aspects
D. Both A and C are included
E. A, B, and C are all included

Risk profiles recognize the unique strengths and weaknesses of the firm; also risk profiles address both technical and management risks.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

13. All of the following are included in the risk identification process except
A. Customers
B. Subcontractors
C. Competitors
D. Vendors
E. None of these are included

The risk identification process should not be limited to just the core team. Input from customers, sponsors, subcontractors, vendors, and other stakeholders should be solicited.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Easy

14. One of the keys to success in risk identification is
A. Critical thinking
B. Optimism
C. Pessimism
D. A "can do" attitude
E. All of these are correct

While a "can do" attitude is essential during implementation, project managers have to encourage critical thinking when it comes to risk identification.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

15. The easiest and most commonly used technique for analyzing risks is_____analysis.
A. Probability
B. Scenario
C. Payback
D. Risk/reward
E. Impact

Scenario analysis is the easiest and most commonly used technique for analyzing risks.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Easy

16. A risk profile is a list of questions that address traditional areas of uncertainty on a project that answers developed from:
A. When the event might occur in the project
B. Chances of the event occurring
C. Interaction with other parts of the project or with other projects
D. From previous, similar projects
E. Magnitude or severity of the event's impact

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

17. The risk management tool that is divided into three color-coded zones representing major, moderate, and minor risks is the risk
A. Assessment form
B. Responsibility matrix
C. Scenario assessment
D. Impact assessment
E. Risk severity matrix

The risk severity matrix provides a basis for prioritizing which risks to address. Red zone risks receive first priority followed by yellow zone risks. Green zone risks are typically considered inconsequential and ignored unless their status changes.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Medium

18. The risk assessment form contains all of the following except
A. Likelihood of the risk event occurring
B. Potential impact of the risk event
C. Who will detect the occurrence of the risk event.
D. Difficulty of detecting the occurrence of the risk event
E. When the risk event may occur

See Figure 7.6 on Page 217.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Medium

19. The two scales of a risk severity matrix measure
A. Time, cost
B. Cost, schedule
C. Impact, cost
D. Time, impact
E. Likelihood, impact

The risk matrix presented in Figure 7.7 on page 218 consists of a 5 x 5 array of elements with each element representing a different set of impact and likelihood values.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

20. Which of the following is not one of the probability analysis tools?
A. Ratio/range analysis
B. Decision tree
C. PERT simulation
D. PERT
E. All of these are probability analysis tools

Decision trees have been used to assess alternative courses of action using expected values PERT (program evaluation and review technique) and PERT simulation can be used to review activity and project risk.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Medium

21. This risk assessment tool is a variation of the risk severity matrix that includes the ease of detection for each of the identified risks.
A. PERT simulation
B. FMEA analysis
C. Ratio/range analysis
D. Probability analysis
E. Semi-quantitative analysis

Failure Mode and Effects Analysis (FMEA) extends the risk severity matrix by including ease of detection in the equation: Impact x Probability x Detection = Risk Value.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

22. Which of the following is not included in a Failure Mode and Effects Analysis?
A. Impact
B. Probability
C. Detection
D. Risk value
E. All of these are included

Failure Mode and Effects Analysis (FMEA) extends the risk severity matrix by including ease of detection in the equation: Impact x Probability x Detection = Risk Value.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Medium

23. Which of the following is used to review activity and project risk?
A. NPV
B. S-curves
C. PERT
D. Decision trees
E. All of these can be used

PERT (program evaluation and review technique) and PERT simulation can be used to review activity and project risk.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Medium

24. Which of the following is not one of the potential responses to a specific risk event?
A. Mitigating
B. Retaining
C. Ignoring
D. Transferring
E. Sharing

When a risk event is identified and assessed, a decision must be made concerning which response is appropriate for the specific event. Responses to risk can be classified as mitigating, avoiding, transferring, sharing, or retaining.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Medium

25. A Risk Response Matrix contains all of the following except
A. Contingency plan
B. Trigger
C. Who is responsible?
D. Response
E. All of these are included in the matrix

See Figure 7.8 on Page 224.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Contingency Planning
Level: Medium

26. The demolition of the Seattle Kingdome (Snapshot from Practice) is an example of which of the following?
A. Mitigating
B. Retaining
C. Ignoring
D. Transferring
E. Sharing

Reducing risk is usually the first alternative considered. There are basically two strategies for mitigating risk: (1) reduce the likelihood that the event will occur and/ or (2) reduce the impact that the adverse event would have on the project. Most risk teams focus first on reducing the likelihood of risk events since, if successful, this may eliminate the need to consider the potentially costly second strategy. The Dome to Dust Snapshot from Practice details the steps Controlled Demolition took to minimize damage when they imploded the Seattle Kingdome.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Risk Response Development
Level: Medium

27. The risk associated with one of the key members being stuck by lightning would most likely be handled by which of the following?
A. Mitigating
B. Retaining
C. Ignoring
D. Transferring
E. Sharing

The risk of a project manager being struck by lightning at a work site would have major negative impact on the project, but the likelihood is so low it is not worthy of consideration. Conversely, people do change jobs, so an event like the loss of key project personnel would have not only an adverse impact but also a high likelihood of occurring in some organizations. If so, then it would be wise for that organization to be proactive and mitigate this risk by developing incentive schemes for retaining specialists and/or engaging in cross-training to reduce the impact of turnover.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Medium

28. Funds that are for identified risks that have a low probability of occurring and that decrease as the project progresses are called_____reserves.
A. Management
B. Budget
C. Contingency
D. Padded
E. Just in case

Budget reserves are set up to cover identified risks; these reserves are those allocated to specific segments or deliverables of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Contingency Funding and Time Buffers
Level: Medium

29. Technical risks are:
A. Can often be the kind that cause the project to be shut down.
B. Problematic
C. Imposed duration dates
D. Both A and B are correct
E. A, B, and C are all correct

Technical risks are problematic; they can often be the kind that cause the project to be shut down.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Contingency Planning
Level: Medium

30. Detailing all identified risks, including descriptions, category, and probability of occurring, impact, responses, contingency plans, owners and current status is called:
A. Management reserves
B. Change control
C. Contingency reserves
D. Risk register
E. Risk profiles

A risk register details all identified risks, including descriptions, category, and probability of occurring, impact, responses, contingency plans, owners and current status.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 4: Risk Response Control
Level: Medium

31. Which of the following is identified to cover major unforeseen risks and, hence, are applied to the total project?
A. Budget reserves
B. Management reserves
C. Time buffers
D. Both B and C are correct
E. A, B, and C are all correct

Management reserve funds are needed to cover major unforeseen risks and, hence, are applied to the total project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Contingency Funding and Time Buffers
Level: Medium

32. Change management systems are designed to accomplish all of the following except:
A. Track all changes that are to be implemented
B. Review, evaluates, and approve/disapprove proposed changes formally
C. Identify expected effects of proposed changes on schedule and budget
D. Reflect scope changes in baseline and performance measures
E. All of the above are correct

See list on page 231.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Change Control Management
Level: Medium

Fill in the Blank Questions

33. The_____impact of a risk event in a project is less if the event occurs earlier rather than later.
cost

See Figure 7.1 on Page 212.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Easy

34. The likelihood of a risk event occurring_____as a project goes through its life cycle.
decreases

See Figure 7.1 on Page 212.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Risk Management Process
Level: Easy

35. The first step in the Risk Management process is_____.
risk identification

See Figure 7.2 on Page 213.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Easy

36. Risk events such as inflation, market acceptance, and government regulations are referred to as_____.
threats

The sources of project risks are unlimited. There are sources external to the organization, such as inflation, market acceptance, exchange rates, and government regulations. In practice, these risk events are often referred to as "threats" to differentiate them from those that are not within the project manager's or team's responsibility area.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Risk Management Process
Level: Medium

37. A_____is a list of questions that address traditional areas of uncertainty on a project.
risk profile

A risk profile is a list of questions that address traditional areas of uncertainty on a project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

38. The easiest and most commonly used technique for analyzing risks is_____.
scenario analysis

Scenario analysis is the easiest and most commonly used technique for analyzing risks.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Easy

39. The_____form identifies each risk event, the likelihood of it occurring, the potential impact, when it may occur, and the degree of difficulty in detecting it.
risk assessment

See Figure 7.6 on Page 217.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

40. The_____matrix is divided into red, yellow, and green zones representing major, moderate, and minor risks.
risk severity

The risk severity matrix provides a basis for prioritizing which risks to address. Red zone risks receive first priority followed by yellow zone risks. Green zone risks are typically considered inconsequential and ignored unless their status changes.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

41. The vertical scale on the Risk Severity Matrix measures the_____of a potential risk event.
likelihood

See Figure 7.6 on Page 218.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Difficult

42. The horizontal scale on the Risk Severity Matrix measures the_____of a potential risk event.
impact

See Figure 7.6 on Page 218.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 2: Risk Assessment
Level: Difficult

43. In_____the Risk Severity Matrix is extended by including the ease of detecting a risk event occurring.
Failure Mote and Effects Analysis (FMEA)

Failure Mode and Effects Analysis (FMEA) extends the risk severity matrix by including ease of detection in the equation: Impact x Probability x Detection = Risk Value.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

44. In a_____, three different estimates of activity times are used to statistically predict the time an activity will take to complete.
probability analysis

There are many statistical techniques available to the project manager that can assist in assessing project risk. Decision trees have been used to assess alternative courses of action using expected values. Statistical variations of net present value (NPV) have been used to assess cash flow risks in projects. Correlations between past projects' cash flow and S-curves (cumulative project cost curve—baseline—over the life of the project) have been used to assess cash flow risks.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Medium

45. The "Snapshot from Practice" case where Ellipsus Systems developed parallel prototype systems (WAP and JAVA) is an example of_____a risk.
avoiding

Risk avoidance is changing the project plan to eliminate the risk or condition. Although it is impossible to eliminate all risk events, some specific risks may be avoided before you launch the project. Rikard Kjellberg's solution was to have projects in his company's portfolio based on both standards. Ellipsus built early prototypes of both systems and took them to a trade show, with both systems sitting side by side. "We knew within an hour which way to go," says Douglas Davies, the COO. Ellipsus began securing million dollar contracts to supply its Java-based system to leading U.S. operators.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Medium

46. Testing a new project on a smaller isolated area prior to installing it for the entire organization is an example of_____a risk.
mitigating

Reducing risk is usually the first alternative considered. There are basically two strategies for mitigating risk: (1) reduce the likelihood that the event will occur and/ or (2) reduce the impact that the adverse event would have on the project. Most risk teams focus first on reducing the likelihood of risk events since, if successful, this may eliminate the need to consider the potentially costly second strategy.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 3: Risk Response Development
Level: Medium

47. Performance bonds, warranties, and insurance are examples of_____a risk.
transferring

Passing risk to another party is common; this transfer does not change risk. Passing risk to another party almost always results in paying a premium for this exemption. Fixed-price contracts are the classic example of transferring risk from an owner to a contractor.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Medium

48. When the entertainment industry formed a consortium to define a common operating format for DVD it was _____the risk.
sharing

This strategy involves allocating some or all of the ownership of an opportunity to another party who is best able to capture the opportunity for the benefit of the project. Examples include establishing continuous improvement incentives for external contractors or joint ventures.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Contingency Planning
Level: Medium

49. If a risk event is very unlikely to occur the project owner would probably_____the risk.
retain

Some risks are so large it is not feasible to consider transferring or reducing the event (e.g., an earthquake or flood). The project owner assumes the risk because the chance of such an event occurring is slim.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Medium

50. A_____identifies what to do if a potential risk event actually occurs.
risk response matrix

See Figure 7.6 on Page 225.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Contingency Planning
Level: Medium

51. _____reserves are identified for specific work packages and cover risks that have a low probability of occurring.
Budget

These reserves are identified for specific work packages or segments of a project found in the baseline budget or work breakdown structure. For example, a reserve amount might be added to "computer coding" to cover the risk of "testing" showing a coding problem. The reserve amount is determined by costing out the accepted contingency or recovery plan. The budget reserve should be communicated to the project team.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Contingency Funding and Time Buffers
Level: Medium

52. _____reserves are controlled by the project manager and used to cover major unforeseen risks to the entire project.
Management

These reserve funds are needed to cover major unforeseen risks and, hence, are applied to the total project. For example, a major scope change may appear necessary midway in the project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Contingency Funding and Time Buffers
Level: Medium

53. A_____is an alternative that will be used if a possible foreseen risk event becomes a reality.
contingency plan

A contingency plan is an alternative plan that will be used if a possible foreseen risk event becomes a reality.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Contingency Planning
Level: Easy

54. A_____is useful for summarizing how the project team plans to manage risks that have been identified.
Risk Response Matrix

Risk response matrices such as the one shown in Figure 7.8 on page 225 are useful for summarizing how the project team plans to manage risks that have been identified.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Contingency Planning
Level: Easy

True / False Questions

55. The probability that a risk event will occur is higher during the initial stages of a project.
TRUE

The chances of a risk event occurring (e.g., an error in time estimates, cost estimates, or design technology) are greatest in the concept, planning, and start-up phases of the project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Easy

56. Due to the impact over a long period of time, risk events that occur in the early stages of a project will have a greater cost impact than those that occur in later stages.
FALSE

The cost impact of a risk event in the project is less if the event occurs earlier rather than later.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Easy

57. During risk identification the smaller risks should be identified first because they will naturally lead to identifying the larger risks.
FALSE

The focus at the beginning should be on risks that can affect the whole project as opposed to a specific section of the project or network.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

58. One common mistake that is made early on in the risk identification process is to focus on consequences and not on the events that could produce consequences.
TRUE

One common mistake that is made early in the risk identification process is to focus on objectives and not on the events that could produce consequences.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Risk Identification
Level: Medium

59. Risks such as inflation and monetary exchange rates are not usually included in a project's risk assessment.
TRUE

The sources of project risks are unlimited. There are sources external to the organization, such as inflation, market acceptance, exchange rates, and government regulations. In practice, these risk events are often referred to as "threats" to differentiate them from those that are not within the project manager's or team's responsibility area.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Difficult

60. The first step in the risk management process is Risk Assessment.
Refer to Figure 7.2
FALSE

See Figure 7.2 on Page 213. The first step is Risk Identification. Risk Assessment is the second step.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Risk Identification
Level: Easy

61. A risk profile is a list of questions that have been developed and refined from previous, similar projects.
TRUE

A risk profile is a list of questions that address traditional areas of uncertainty on a project. These questions have been developed and refined from previous, similar projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

62. The risk identification process should be limited to just the core project team.
FALSE

The risk identification process should not be limited to just the core team. Input from customers, sponsors, subcontractors, vendors, and other stakeholders should be solicited.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

63. Since the goal is to find problems before they happen, the project manager should encourage critical thinking when it comes to risk identification.
TRUE

One of the keys to success in risk identification is attitude. While a "can do" attitude is essential during implementation, project managers have to encourage critical thinking when it comes to risk identification. The goal is to find potential problems before they happen.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

64. The Risk Severity Matrix rates risk events based upon schedule and cost.
Refer to Figure 7.7
FALSE

See Figure 7.7 on Page 218. The Risk Severity Matrix events are based on likelihood and impact.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

65. In a Risk Severity Matrix a green zone risk is considered inconsequential and ignored unless their status changes.
TRUE

The risk severity matrix Green zone risks are typically considered inconsequential and ignored unless their status changes.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

66. The quality and credibility of the risk analysis process requires that different levels of risk probabilities and impacts be defined.
TRUE

The quality and credibility of the risk analysis process requires that different levels of risk probabilities and impacts be defined.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Easy

67. Adopting proven technology instead of experimental technology is an example of mitigating a risk.
FALSE

Adopting proven technology instead of experimental technology is an example of avoiding risk.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Medium

68. The FMEA method calculates a risk value by assigning ease of detection ratings to the key risk elements.
TRUE

Failure Mode and Effects Analysis (FMEA) extends the risk severity matrix by including ease of detection in the equation: Impact x Probability x Detection = Risk Value.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

69. Performance bonds, warranties, and guarantees are financial instruments used to share risk.
FALSE

Performance bonds, warranties, and guarantees are other financial instruments used to transfer risk.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 3: Risk Response Development
Level: Medium

70. Fixed price contracts are an example of transferring risk from an owner to a contractor.
TRUE

Fixed-price contracts are the classic example of transferring risk from an owner to a contractor.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Easy

71. Scheduling outdoor work in the summer, investing in up front safety training, and choosing high quality materials are examples of retaining a risk.
FALSE

An example of reducing the probability of risks occurring are scheduling outdoor work during the summer months, investing in up-front safety training, and choosing high-quality materials and equipment.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Medium

72. Budget reserves are setup to cover identified risks associated with specific segments of a project while management reserves are set up to cover unidentified risks associated with the total project.
TRUE

Budget reserves are set up to cover identified risks; these reserves are those allocated to specific segments or deliverables of the project. Management reserves are set up to cover unidentified risks and are allocated to risks associated with the total project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Contingency Funding and Time Buffers
Level: Easy

73. Change management systems involve reporting, controlling, and recording changes to the project baseline.
TRUE

Change management systems involve reporting, controlling, and recording changes to the project baseline. (Note: Some organizations consider change control systems part of configuration management.)

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Change Control Management
Level: Easy

74. Project managers need to establish an environment in which participants feel comfortable raising concerns and admitting mistakes.
FALSE

Project managers need to establish an environment in which participants feel comfortable raising concerns and admitting mistakes.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Easy

75. Contingency funding is made up of budget reserves and management reserves.
TRUE

In practice, the contingency reserve fund is typically divided into budget and management reserve funds for control purposes.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Contingency Funding and Time Buffers
Level: Easy

Short Answer Questions

76. Describe the relationship between the likelihood of a risk event occurring and the cost of fixing the risk event as a project proceeds through its life cycle.

In the early stages of the project life cycle the probability of a risk event occurring is greater than at any other time and the cost to fix it is lower than at any other point. As time passes the probability of occurrence drops lower and lower while the cost rises. See figure 7-1.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Risk Management Process
Level: Easy

77. Identify and briefly describe the four steps in risk management.

1. Risk Identification; all possible risks are identified, 2. Risk Assessment; risks are assessed in terms of importance and need for attention, 3. Risk Response Development; plans are developed to respond if the risk actually occurs, and 4. Risk Response Control; the actual response to the risk and controlling changes associated with the risks.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Risk Identification
Level: Medium

78. Describe the process for identifying project risks.

The project manager pulls together a risk management team consisting of core team members and other relevant stakeholders and uses brainstorming and other techniques to identify project risks. Focus should be on the WBS and the risks associated with the deliverables.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

79. What is a *risk profile* and what benefits does it provide to risk management?

A risk profile is a list of questions that address traditional areas of uncertainty on a project. The questions have been developed and refined from previous, similar projects. These profiles are generated and maintained by the project office and are updated and refined during the life of the project. This historical file assists in identifying risks for future projects.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 1: Risk Identification
Level: Difficult

80. Identify at least six items that may be included on a Risk Profile.

1. technical requirements, 2. Design, 3. Testing, 4. Development, 5. Schedule, 6. Budget, 7. Quality, 8. Management, 9. Work Environment, 10. Staffing, 11. Customer, and 12. Contractors.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Risk Identification
Level: Medium

81. How should a *risk assessment* be conducted?

Not all identified risks deserve attention, some are trivial and others are serious threats. The Scenario analysis is the easiest and most commonly used technique for analyzing risks. Each risk is assessed in terms of 1. what the risk are, 2. the outcomes of the event's occurrence, 3. the severity of the event's impact, 4. the probability of the event occurring, 5. when the event may occur, and 6. the interaction with other parts of the project or other projects.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 2: Risk Assessment
Level: Difficult

82. What is a *Risk Severity Matrix* and what does it do?

Risks are placed on a matrix that has Likelihood as the vertical axis and Impact as the horizontal axis. Risks in the upper right corner are considered major, those further left are considered moderate, while the rest are considered minor. The matrix is usually color-coded with the major risks in red, moderate risks in yellow and minor risks in green. It is an easily read graphical representation of a project's risks.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

83. Identify and briefly describe the five ways to respond to identified risks.

1. Mitigate the risk; duplicate systems, backup systems, alternate technology development, 2. Avoid the risk; changing the project plan to eliminate the risk, 3. Transfer the risk; fixed-price contract, insurance, 4. Sharing the risk; find others to share the costs of the risk, and 5. Retain the risk; take preventative measures to reduce the risk such as training.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 3: Risk Response Development
Level: Medium

84. What is the difference between *budget reserves* and *management reserves*?

Budget reserves are controlled by team participants and have been identified for known risks that have a low chance of occurring and are directly associated with specific work packages. Management reserves are controlled by the project manager and cover items which were unforeseen usually at the total project level.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Contingency Funding and Time Buffers
Level: Medium

85. What is Change Control Management and what function does it perform?

Change Control Management is the formal process for making and tracking changes once a project has started. Any changes must be detailed and accepted by the project team. Risks associated with making changes are thus assessed and documented.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Change Control Management
Level: Difficult

86. Identify and briefly describe the parts of a Risk Response Matrix and explain how one would be used.

The parts are: the risk event, the response, contingency plan, trigger, and who is responsible. It is used for summarizing how the project team plans to manage risks that have been identified.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 3: Risk Response Development
Level: Difficult

87. Compare and contrast budget reserves and management reserves.

Budget reserves are for known risks associated with specific work packages and controlled by the project managers. Management reserves are for unforeseen risks associated with the overall project and are controlled by upper management.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Contingency Funding and Time Buffers
Level: Difficult

Chapter 01 Modern Project Management Answer Key

Multiple Choice Questions

1. A professional organization for project management specialists is the

A. PMI.
B. AMA.
C. MIS.
D. IPM.
E. PMBOK.

The Project Management Institute (PMI) is a professional organization for project managers.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Remember
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

2. Which of the following is NOT considered to be a characteristic of a project?

A. An established objective
B. A clear beginning and end
C. Specific time, cost and performance requirements
D. For internal use only
E. Something never been done before

Projects have an established objective, a defined life span, the involvement of several departments and professionals, is something that has never been done before, and it has specific time, cost and performance requirements.

AACSB: Reflective Thinking

Accessibility: Keyboard Navigation
Blooms: Apply
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

3. Which of the following activities is NOT considered a project?

A. Developing a new software program
B. Designing a space station
C. Preparing the site for the Olympic Games
D. Production of automobile tires
E. Developing a new advertising program

A project is not routine, repetitive work! Ordinary daily work typically requires doing the same or similar work over and over, while a project is done only once; a new product or service exists when the project is completed.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

4. Which of the following activities is the best example of a project?

A. Processing insurance claims
B. Producing automobiles
C. Writing a policy manual
D. Monitoring product quality
E. Overseeing customer requests

A project is not routine, repetitive work! Ordinary daily work typically requires doing the same or similar work over and over, while a project is done only once; a new product or service exists when the project is completed.

AACSB: Reflective Thinking

Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

5. Which of the following is NOT one of the stages of a project life cycle?

A. Identifying
B. Defining
C. Planning
D. Executing
E. Closing

The project life cycle passes sequentially through four stages: defining, planning, executing and closing.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

6. In the_____stage of the project life cycle, project objectives are established, teams are formed, and major responsibilities are assigned.

A. Identifying
B. Defining
C. Planning
D. Executing
E. Closing

Specifications of the project are defined; project objectives are established; teams are formed; major responsibilities are assigned in the defining stage.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation

Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

7. In the_____stage of the project life cycle, a major portion of the physical project work performed.

A. Identifying
B. Defining
C. Planning
D. Executing
E. Closing

A major portion of the project work takes place—both physical and mental—in the executing stage.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

8. In the_____stage of the project life cycle you are more likely to find status reports, changes, and the creation of forecasts.

A. Identifying
B. Defining
C. Planning
D. Executing
E. Closing

You are more likely to find status reports, changes and the creation of forecasts in the executing stage of the project life cycle.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation

Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

9. In the_____stage of the project life cycle the project's schedule and budget will be determined.

A. Identifying
B. Defining
C. Planning
D. Executing
E. Closing

The schedule and budget are determined in the planning stage of the project life cycle.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

10. In the_____stage of the project life cycle project the product is delivered to the customer and resources are reassigned.

A. Identifying
B. Defining
C. Planning
D. Executing
E. Closing

The product is delivered and project resources are reassigned in the closing stage of the product life cycle.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand

Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

11. Which of the following is NOT typical of a project manager?

A. Managing a temporary activity
B. Overseeing existing operations
C. Managing a nonrepetitive activity
D. Responsible for time, cost and performance trade-offs
E. Work with a group of outsiders, including vendors and suppliers

Project managers manage temporary, nonrepetitive activities unlike functional managers who manage existing operations.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Apply
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

12. Which of the following is NOT one of the driving forces behind the increasing demand for project management?

A. Compression of the product life cycle
B. Knowledge explosion
C. Increasing need for multiproject management
D. Declining need for product customization
E. More sustainable business practices

An increase in need for product customization is a driving force behind the increasing demand for project management.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Current Drivers of Project Management

Level of Difficulty: 2 Medium

13. Project management is ideally suited for a business environment requiring all of the following EXCEPT

A. Accountability.
B. Flexibility.
C. Innovation.
D. Speed.
E. Repeatability.

Competing in a global market influenced by rapid change, innovation, and time to market means organizations manage more and more projects.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Project Governance
Level of Difficulty: 2 Medium

14. Which dimension of project management centers on creating a temporary social system within a larger organizational environment that combines the talents of a divergent set of professionals working to complete the project?

A. Communication
B. Sociocultural
C. Social
D. Technical
E. Scheduling

The sociocultural dimension of project management centers on creating a temporary social system that supports the project.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand

Learning Objective: Project Management Today-A Socio-Technical Approach
Level of Difficulty: 2 Medium

15. Which of the following statements is true?

A. Project management is far from a standard way of doing business
B. Project management is increasingly contributing to achieving organizational strategies
C. Project management is being used at a consistent percentage of a firm's efforts
D. Project management is a specialty that few organizations have access to
E. All of these statements are false

Project management is rapidly becoming a standard way of doing business. The future promises an increase in the importance and the role of projects in contributing to the strategic direction of organizations.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Current Drivers of Project Management
Level of Difficulty: 3 Hard

16. Project management is important to understand when people are a part of a project team because they

A. Work with others to create a schedule and budget.
B. Need to understand project priorities so they can make independent decisions.
C. Need to be able to monitor and report project progress.
D. Need to understand the project charter or scope statement that defines the objectives and parameters of the project.
E. All of these are reasons it is important for project team members to understand project management.

Project members are expected to use project management tools and concepts such as working as a team to create a budget or schedule and be able to monitor project progress. They also need to be able to understand project priorities and parameters.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

17. Project governance does NOT include

A. Setting standards for project selection.
B. Overseeing project management activities.
C. Centralization of project processes and practices.
D. Options for continuous improvement.
E. Allowing project managers to plan the project the way they see fit.

Project governance includes the centralization of project management processes and practices. This involves setting standards for project selection and overseeing project management activities, which results in options for continuous improvement.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation

Blooms: Understand
Learning Objective: Project Governance
Level of Difficulty: 3 Hard

18. Projects should align with the organization's overall strategy in order to

A. Complete the project safely.
B. Reduce waste of scarce resources.
C. Ensure customer satisfaction.
D. Secure funding.
E. None of these are reasons why projects should align with the organization's overall strategy.

Since projects are the modus operandi, strategic alignment of projects is of major importance to conserving and effective use of organization resources.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Project Governance
Level of Difficulty: 2 Medium

19. Two dimensions within the project management process are

A. Technical and sociocultural.
B. Cost and time.
C. Planned and unexpected.
D. Established and new.
E. Unique and reoccurring.

There are two dimensions within the actual execution of projects. These include the technical dimension and the sociocultural dimension.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Remember

Learning Objective: Project Management Today-A Socio-Technical Approach
Level of Difficulty: 1 Easy

20. Which of these is NOT part of the "technical dimension" of project management?

A. WBS
B. Budgets
C. Problem solving
D. Schedules
E. Status reports

The technical dimension includes developing the WBS, budgets, schedules and status reports. Problem solving would be a part of the sociocultural dimension.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Project Management Today-A Socio-Technical Approach
Level of Difficulty: 2 Medium

21. Which of these is NOT part of the "sociocultural dimension" of project management?

A. Negotiation
B. Resource allocation
C. Managing customer expectations
D. Leadership
E. Dealing with politics

The sociocultural dimension includes negotiation, managing customer expectations, leadership and dealing with politics. Resource allocation is part of the technical dimension of project management.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Project Management Today-A Socio-Technical Approach

Level of Difficulty: 2 Medium

22. Corporate downsizing has increased the trend toward

A. Reducing the number of projects a company initiates.
B. Outsourcing significant segments of project work.
C. Using dedicated project teams.
D. Shorter project lead times.
E. Longer project lead times.

Companies outsource significant segments of project work, and project managers have to manage not only their own people but also their counterparts in different organizations.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Current Drivers of Project Management
Level of Difficulty: 2 Medium

23. Which of the following is NOT a reason why project management has become a standard way of doing business?

A. Increased need for skilled management of stakeholders outside of organization
B. Projects need to be done faster
C. Organizations are doing more project work in-house instead of outsourcing
D. Organizations are executing more and more projects
E. Increased product complexity and innovation

One of the most significant driving forces behind the demand for project management is corporate downsizing. This has also led to a change in the way organizations approach projects. Companies outsource significant segments of project work, and project managers have to manage not only their own people but also their counterparts in different organizations.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand

Learning Objective: Current Drivers of Project Management
Level of Difficulty: 2 Medium

24. Which of the following is typically the responsibility of a project manager?

A. Meeting budget requirements
B. Meeting schedule requirements
C. Meeting performance specifications
D. Coordinating the actions of the team members
E. All of these are typical responsibilities

Project managers must ensure that appropriate trade-offs are made between the time, cost, and performance requirements of the project.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

25. A series of coordinated, related, multiple projects that continue over an extended time period and are intended to achieve a goal is known as a

A. Strategy.
B. Program.
C. Campaign.
D. Crusade.
E. Venture.

A program is a group of related projects designed to accomplish a common goal over an extended period of time.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Remember
Learning Objective: What is a Project?

Level of Difficulty: 1 Easy

26. Which of the following is NOT true about project management?

A. It is not limited to the private sector
B. Many opportunities are available for individuals interested in this career path
C. It improves one's ability to plan, implement and manage activities to accomplish specific organizational objectives
D. It focuses primarily on technical processes
E. It is a set of tools

Project management is more than a set of tools; it also focuses on building collaborative relationships among a diverse cast of individuals.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Project Management Today-A Socio-Technical Approach
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

27. As the number of small projects increase within an organization's portfolio, what is a challenge an organization faces?

A. Sharing resources
B. Measuring efficiency
C. Managing risk
D. Prioritizing projects
E. All of these are challenges

Many firms have no idea of the problems that can result from inefficient management of small projects. These include sharing resources, measuring efficiency, managing risk and being able to prioritize projects.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation

Blooms: Understand
Learning Objective: Current Drivers of Project Management
Level of Difficulty: 2 Medium

28. Governance of all project management processes and procedures helps provide senior management with all of the following EXCEPT

A. A method to ensure projects that are important to senior management are being implemented
B. An assessment of the risk their portfolio of projects represents
C. An overview of all project management activities
D. A metric to measure the improvement of managing projects relative to others in the industry
E. A big picture of how organizational resources are being used

Governance includes implementing methods of selecting projects that align with organizational strategy and not on how important the project is to senior management.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Project Governance
Level of Difficulty: 2 Medium

29. Which of the following is a good example of a program?

A. Planting a garden
B. Developing a new residential area that includes six custom homes
C. Developing a new marketing plan
D. Taking notes each class meeting to prepare for the final
E. Planning a wedding

A program is a group of related projects designed to accomplish a common goal over an extended period of time.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation

Blooms: Apply
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

30. Which of the following represents the correct order of stages within the project life cycle?

A. Planning, Defining, Executing, Closing
B. Closing, Planning, Defining, Executing
C. Defining, Planning, Executing, Closing
D. Executing, Defining, Planning, Closing
E. Planning, Defining, Closing, Executing

The project life cycle passes sequentially through four stages: defining, planning, executing, and closing.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Remember
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

Fill in the Blank Questions

31. Project management is not limited to the_____sector.

private

Project management is also a vehicle for doing good deeds and solving social problems.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

32. The initial stage in the project life cycle is the_____stage.

defining

Specifications of the project are defined; project objectives are established; teams are formed; major responsibilities are assigned in the defining stage of the project life cycle.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

33. The final stage in the project life cycle is the_____stage.

closing

Closing includes three activities: delivering the project product to the customer, redeploying project resources, and post-project review.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

34. A professional organization for project managers that has grown from 93,000 in 2002 to more than 520,000 currently is the_____.

PMI

The Project Management Institute (PMI) is a professional organization for project managers.

AACSB: Reflective Thinking
Blooms: Remember
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

35. A major part of the project work, both physical and mental, takes place in the _____ stage of the project life cycle.

executing

A major portion of the project work—both physical and mental—takes place during the executing stage of the project life cycle.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

36. The project's schedule and budget will be determined in the_____stage of the project life cycle.

planning

During the planning stage, the level of effort increases, and plans are developed to determine what the project will entail, when it will be scheduled, whom it will benefit, what quality level should be maintained, and what the budget will be.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

37. A temporary endeavor undertaken to create a unique product, service, or result is a(n) _____.

project

As defined by the PMI, a project is a temporary endeavor undertaken to create a unique product, service or result.

AACSB: Reflective Thinking
Blooms: Remember
Learning Objective: What is a Project?

Level of Difficulty: 1 Easy

38. In today's high-tech industries the product life cycle is averaging_____to 3 years.

6 months

Today in high-tech industries the product life cycle is averaging 6 months to 3 years. Only 30 years ago, life cycles of 10 to 15 years were not uncommon.

AACSB: Reflective Thinking
Blooms: Remember
Learning Objective: Current Drivers of Project Management
Level of Difficulty: 1 Easy

39. The advent of many small projects has created the need for an organization that can support _____management.

multiproject

This climate has created a multiproject environment and a plethora of new problems. Sharing and prioritizing resources across a portfolio of projects is a major challenge for senior management.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: Current Drivers of Project Management
Level of Difficulty: 2 Medium

40. Increased competition has placed a premium on customer satisfaction and the development of _____products and services.

customized

Customers want customized products and services that cater to their specific needs.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: Current Drivers of Project Management

Level of Difficulty: 2 Medium

41. In some organizations, selection and management of projects often fail to support the overall _____of the organization.

strategic plan

Today, projects are the modus operandi for implementing strategy. Yet in some organizations, selection and management of projects often fail to support the strategic plan of the organization.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: Project Governance
Level of Difficulty: 2 Medium

42. WBS, schedules, and budgets are examples of the_____dimension of the project management process.

technical

The technical dimension includes developing the WBS, budgets, schedules and status reports. The sociocultural dimension includes leadership, negotiation, teamwork and problem solving.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: Project Management Today-A Socio-Technical Approach
Level of Difficulty: 1 Easy

43. Leadership, teamwork, and negotiation are examples of the_____dimension of the project management process.

sociocultural

The technical dimension includes developing the WBS, budgets, schedules and status reports. The sociocultural dimension includes leadership, negotiation, teamwork and problem solving.

AACSB: Reflective Thinking

Blooms: Understand
Learning Objective: Project Management Today-A Socio-Technical Approach
Level of Difficulty: 1 Easy

44. A professional organization for project management specialists is the_____.

Project Management Institute (PMI)

The Project Management Institute (PMI) is a professional organization for project managers.

AACSB: Reflective Thinking
Blooms: Remember
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

45. One of the defining characteristics of a project is that it has a singular purpose, i.e., an established_____.

objective

Projects have a defined objective—whether it is constructing a 12-story apartment complex by January 1 or releasing version 2.0 of a specific software package as quickly as possible.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

46. Because projects have a defined beginning and end, the_____is frequently used to manage the transitions of a project from start to completion.

project life cycle

The project life cycle typically passes sequentially through four stages: defining, planning, executing, and delivering.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: What is a Project?

Level of Difficulty: 3 Hard

47. The_____typically passes sequentially through four stages.

project life cycle

The project life cycle typically passes sequentially through four stages: defining, planning, executing, and delivering.

AACSB: Reflective Thinking
Blooms: Remember
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

48. The establishment of project goals, specifications, and responsibilities usually occurs in the _____stage of the project life cycle.

defining

Specifications of the project are defined; project objectives are established; teams are formed; major responsibilities are assigned during the defining stage of the project life cycle.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

49. Training the customer, reassigning staff, and releasing resources occurs in the_____stage of the project life cycle.

closing

The closing stage includes three activities: delivering the project product to the customer, redeploying project resources, and post-project review. Delivery of the project might include customer training and transferring documents.

AACSB: Reflective Thinking
Blooms: Understand

Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

50. Project managers are expected to ensure that appropriate trade-offs are made between the time, cost, and_____requirements of the project.

performance

Project managers are ultimately responsible for performance (frequently with too little authority). They must ensure that appropriate trade-offs are made between the time, cost, and performance requirements of the project.

AACSB: Reflective Thinking
Blooms: Remember
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

51. An increase in the complexity of projects, because projects typically include the latest advances, can be the result of a growth in new_____.

knowledge

The growth in new knowledge has increased the complexity of projects because projects encompass the latest advances. Product complexity has increased the need to integrate divergent technologies. Project management has emerged as an important discipline for achieving this task.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: Current Drivers of Project Management
Level of Difficulty: 2 Medium

52. A(n)_____is a series of coordinated, related multiple projects that continue over an extended time intended to achieve a goal.

program

A program is a group of related projects designed to accomplish a common goal over an extended period of time.

AACSB: Reflective Thinking
Blooms: Remember
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

53. Applying a set of knowledge, skills, tools, and techniques to a collection of projects in order to move the organization toward its strategic goals is known as project_____.

governance

Project governance is designed to improve project management in the long haul by applying a set of knowledge, skills, tools and techniques to a collection of projects.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: Project Governance
Level of Difficulty: 2 Medium

True / False Questions

54. Because of the profitability motive, project management is nearly always limited to the private sector.

FALSE

Project management is not limited to the private sector. Project management is also a vehicle for doing good deeds and solving social problems.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

55. Most people who excel at managing projects never have the title of project manager.

TRUE

They include accountants, lawyers, administrators, scientists, contractors, teachers, etc.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

56. The professional certification for project managers is a Project Management Professional (PMP).

TRUE

PMI provides certification as a Project Management Professional (PMP)—someone who has documented sufficient project experience, agreed to follow the PMI code of professional conduct, and demonstrated mastery of the field of project management by passing a comprehensive examination. See Snapshot: The Project Management Institute.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation

Blooms: Remember
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

57. Because of its flexibility, project management is equally useful in ongoing, routine work as well as unique, one-time projects.

FALSE

A project is not routine, repetitive work! Ordinary daily work typically requires doing the same or similar work over and over, while a project is done only once; a new product or service exists when the project is completed.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

58. One of the defining characteristics of project management is that the projects are not confined to a single department but involve several departments and professionals.

TRUE

One of the major characteristics is the involvement of several departments and professionals.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

59. One of the characteristics that separate project management from other endeavors of the organization is that there are specific time, cost, and performance requirements.

TRUE

Major characteristics are specific time, cost, and performance requirements.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Remember
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

60. Not only is project management critical to many careers, the skill set is transferable across most businesses and professions.

TRUE

At its core, project management fundamentals are universal.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

61. Since a construction company builds many buildings, the buildings built after the first do not fit the definition of a project.

FALSE

All projects are nonroutine and have some unique elements. Not all buildings will be built on the same space or use the same materials.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

62. The first stage in the project life cycle is the concept stage.

FALSE

The first stage is defining.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Remember
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

63. A major portion of the project work, both physical and mental, takes place during the production stage of the project life cycle.

FALSE

A major portion of the project work, both physical and mental, is done in the executing stage.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Remember
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

64. A program is a process designed to accomplish a common goal over time.

FALSE

A program is a group of related projects designed to accomplish a common goal over an extended period of time.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

65. Because of the requirement for in-depth expertise, project management is generally restricted to specialists.

FALSE

Unlike their functional counterparts, project managers generally possess only rudimentary technical knowledge.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

66. Project governance means applying a set of knowledge, skills, tools, and techniques to a collection of projects in order to move the organization toward its strategic goals.

TRUE

Governance includes centralization of all project processes and practices to improve project management.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Project Governance
Level of Difficulty: 1 Easy

67. One of the most significant driving forces behind the demand for project management is the ever increasing lengthening of the product life cycle.

FALSE

One of the most significant driving forces behind the demand for project management is the shortening of the product life cycle.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation

Blooms: Understand
Learning Objective: Current Drivers of Project Management
Level of Difficulty: 2 Medium

68. Project management appears to be ideally suited for a business environment requiring accountability, flexibility, innovation and repeatability.

FALSE

Project management appears to be ideally suited for a business environment requiring accountability, flexibility, innovation, speed and continuous improvement.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Current Drivers of Project Management
Level of Difficulty: 1 Easy

69. At first glance, project managers perform the same functions as other managers. That is, they plan, schedule, motivate and control.

TRUE

Project managers perform the same functions as other managers; however, what makes them unique is that they also manage temporary, nonrepetitive activities to complete a fixed life project.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

70. Strategic plans should be written by one group of managers, projects should be selected by another group, and projects should be implemented by another group.

FALSE

These independent decisions by different groups of managers create a set of conditions leading to conflict, confusion, and frequently an unsatisfied customer.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Project Governance
Level of Difficulty: 2 Medium

71. Today, projects are the modus operandi or the method used for implementing organizational strategy.

TRUE

Projects are how organizations implement strategy. This is why it is imperative that the two are aligned.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Project Governance
Level of Difficulty: 1 Easy

72. Due to corporate downsizing, significant segments of project work have been outsourced to other organizations.

TRUE

Corporate downsizing has also led to a change in the way organizations approach projects. Companies outsource significant segments of project work, and project managers have to manage not only their own people but also their counterparts in different organizations.

AACSB: Reflective Thinking

Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Current Drivers of Project Management
Level of Difficulty: 1 Easy

73. Smaller projects in larger organizations tend not to need project management skills.

FALSE

Many small projects can eat up the people resources of a firm and represent hidden costs not measured in the accounting system. Organizations with many small projects going on concurrently face the most difficult project management problems.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Current Drivers of Project Management
Level of Difficulty: 2 Medium

74. Successful project managers focus primarily on technical dimensions of project management, which include planning, scheduling, and controlling projects.

FALSE

Project managers must master both the technical and the sociocultural aspects of project management in order to be successful.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Project Management Today-A Socio-Technical Approach
Level of Difficulty: 2 Medium

75. The sociocultural dimension of project management includes managing relationships, motivating team members and negotiating project terms.

TRUE

The sociocultural dimension of project management includes managing relationships, motivating team members and negotiating project terms. See Figure 1.3: The Socio-Technical Dimensions of the Project Management Process.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Project Management Today-A Socio-Technical Approach
Level of Difficulty: 1 Easy

76. Small business development is a major driver of project management.

FALSE

Compression of the product life cycle, knowledge explosion, triple bottom line, corporate downsizing, increased customer focus, and small projects represent big problems and are the major drivers of project management.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Current Drivers of Project Management
Level of Difficulty: 1 Easy

Short Answer Questions

77. Compare and contrast the Product Life Cycle and the Project Life Cycle.

Answer will vary

Feedback: The Product Life Cycle deals with the time it takes to develop a product and the time it remains in the marketplace. The Project Life Cycle is the stages that a new product goes through while being developed.

AACSB: Analytic
Blooms: Analyze
Learning Objective: Current Drivers of Project Management
Level of Difficulty: 2 Medium

78. Identify the five major characteristics of a project.

Answer will vary

Feedback: (1) An established objective; (2) A defined life span with a beginning and end; (3) Usually the involvement of several departments and professionals; (4) Typically, doing something that has never been done before; (5) Specific time, cost and performance requirements.

AACSB: Reflective Thinking
Blooms: Remember
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

79. Identify and briefly describe the four stages of the Project Life Cycle.

Answer will vary

Feedback: Defining stage: goals, specifications and objectives established; Planning stage: schedules, budgets, risks management and resource assignment; Executing stage: majority of physical and mental work, status reports, changes and forecasts; Closing stage: train customer, transfer documents, release resources, and lessons learned.

AACSB: Reflective Thinking
Blooms: Remember
Learning Objective: What is a Project?
Level of Difficulty: 1 Easy

80. "Project managers perform the same functions as other managers." Agree or disagree, and support your decision.

Answer will vary

Feedback: Many of the same basic management functions are performed by project managers; however, there are aspects of the project manager's job that make it unique. For example, they manage temporary, nonrepetitive activities to complete a fixed life project.

AACSB: Analytic
Blooms: Analyze
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

81. Identify and briefly describe the six current drivers of project management.

Answer will vary

Feedback: (1) Compression of the product life cycle; (2) Knowledge explosion; (3). Triple bottom line; (4) Corporate downsizing; (5) Increased customer focus; (6) Small projects represent big problems.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: The Importance of Project Management
Level of Difficulty: 3 Hard

82. Describe what project governance means to project management. Why is it important to organizational strategy?

Answer will vary

Feedback: Project governance means applying a set of knowledge, skills, tools and techniques to a collection of projects in order to move the organization toward its strategic goals.

AACSB: Analytic
Blooms: Understand
Learning Objective: Project Governance
Level of Difficulty: 3 Hard

83. Even if you never aspire to be a "project manager," why is it important to know how to manage projects effectively? Explain your answer and use an example to support your answer.

Answer will vary

Feedback: Even if you have no desire to be a project manager you may be a part of a project team where you will have a better understanding of the processes involved. In addition, there are many project management skills that can be applied to other professions and industries.

AACSB: Analytic
Blooms: Apply
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

84. Identify and briefly discuss the two key dimensions of managing actual projects. Explain why both are important to successfully manage a project. Use an example to support your answer.

Answer will vary

Feedback: The technical includes schedules and status reports. The sociocultural dimension includes leadership, problem solving and negotiation.

AACSB: Analytic
Blooms: Apply
Learning Objective: Project Management Today-A Socio-Technical Approach
Level of Difficulty: 2 Medium

85. What are the major differences between managing a process and managing a project?

Answer will vary

Feedback: At first glance project managers perform the same functions as other managers. That is, they plan, schedule, and control. However, what makes them unique is that they manage temporary, non-repetitive activities to complete a fixed life project.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

86. Describe what it means that a project manager must work with a diverse group of characters?

Answer will vary

Feedback: Project managers manage the tension between customer expectations and what is feasible and reasonable. They provide direction, coordination, and integration to the project team. They often must work with a diverse group of outsiders—vendors, suppliers, subcontractors—who do not necessarily share their project allegiance.

AACSB: Analytic
Blooms: Analyze
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

87. What is the difference between a project and a program?

Answer will vary

Feedback: The terms are often used interchangeably in business; however, a program is considered to be a series of coordinated, related, and multiple projects that continue over an extended time intended to achieve a goal.

AACSB: Analytic
Blooms: Understand
Learning Objective: What is a Project?
Level of Difficulty: 2 Medium

88. Describe how corporate downsizing is a driver for project management.

Answer will vary

Feedback: In flatter and leaner organizations, project management is replacing middle management as a way of ensuring that things get done. In addition, when organizations outsource work, project managers can help manage not only their own project team, but individuals tied to the project outside of the organization.

AACSB: Analytic
Blooms: Understand
Learning Objective: Current Drivers of Project Management
Level of Difficulty: 2 Medium

Chapter 02 Organization Strategy and Project Selection Answer Key

Multiple Choice Questions

1. Which of the following is NOT true about an organization's strategy?

A. Strategy determines how an organization will compete
B. Strategy is implemented through projects
C. Only top management must understand strategy
D. Project selection should be clearly aligned with strategy
E. Project management plays a key role in supporting strategy

Strategy was considered to be under the purview of senior management, but this is old school thinking. Projects and project management play a key role in supporting strategic goals. It is vital for project managers to think and act strategically.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

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2. A project selection process that is strongly linked to strategy results in

A. The most profit.
B. Better utilization of the organization's resources.
C. More projects.
D. A larger and more diverse organization.
E. Stronger core competencies.

Without integration of projects with the strategic plan, resources are poorly utilized. Conversely, organizations that have a link of projects to strategy have more cooperation across the organization, perform better on projects and tend to have fewer projects.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

3. Which of the following is NOT true about organizational politics?

A. Project managers should not engage in organizational politics
B. Politics can have a significant influence on which projects receive funding
C. Politics exist in every organization
D. Politics can influence project selection
E. Politics can play a role in the aspirations behind projects

Many would argue that project management and politics should not mix. A more proactive response would be that projects and politics invariably mix. Effective project managers recognize that any significant project has political ramifications.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 3 Hard

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4. Which of the following terms is often used to denote a project that a powerful, high-ranking official is advocating?

A. Sacred cow
B. Pet project
C. Political necessity
D. Special undertaking
E. Strategic ploy

The term "sacred cow" is often used to denote a project that a powerful, high-ranking official is advocating.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Remember
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 1 Easy

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5. Why do project managers need to understand their organization's mission and strategy?

A. To reduce project duration and increase the number of projects implemented
B. So they can make appropriate decisions and adjustments and be effective project advocates
C. It is only important for senior management to understand the organization's mission and strategy
D. To get their job done and increase opportunities for promotion
E. So that they can make sure the customer is satisfied

There are two main reasons why project managers need to understand their organization's mission and strategy. The first reason is so they can make appropriate decisions and adjustments. For example, how a project manager would respond to a suggestion to modify the design of a product to enhance performance will vary depending upon whether his company strives to be a product leader through innovation or to achieve operational excellence through low cost solutions. The second reason project managers need to understand their organization's strategy is so that they can be effective project advocates. Project managers have to be able to demonstrate to senior management how their project contributes to their firm's mission.

AACSB: Reflective Thinking
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Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 1 Easy

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6. Project managers who understand the role that their project plays in accomplishing the organization's strategy are able to do all of the following EXCEPT

A. Demonstrate to senior management how their project contributes to the firm's mission.
B. Explain to team members why certain project objectives and priorities are critical.
C. Explain to stakeholders why certain project objectives and priorities are critical.
D. Be able to respond appropriately to delays and/or questions about product design.
E. Be able to focus on problems or solutions, even if the project is a low priority strategically.

Project managers who understand the role that their project plays in accomplishing the organization's strategy will not be inclined to waste time focusing on problems that are a low priority in regard to achieving the organization's strategy.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

7. All of the following are symptoms of organizations struggling with strategy disconnect and unclear priorities EXCEPT

A. Frequent conflicts between managers.
B. Inadequate resources.
C. Confused employees regarding which projects are more important.
D. Not enough projects within the portfolio to make a profit.
E. People are working on multiple projects and feel inefficient.

Frequent conflicts between managers, inadequate resources, confused employees and multitasking are all symptoms of organizations struggling with strategy disconnect and unclear priorities. Typically these organizations are also completing projects with low priority which results in a portfolio that consists of too many projects that do not align with organizational strategy.

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Blooms: Understand
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 1 Easy

8. Which of the following problems refers to lack of understanding and consensus of organization strategy among top and middle-level managers? This also can result when top management formulates strategy and leaves implementation to functional managers.

A. Multitasking
B. Organization politics
C. Implementation gap
D. Resource conflicts
E. Employee turnover

The implementation gap refers to the lack of understanding and consensus of organization strategy among top and middle-level management.

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Blooms: Understand
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 2 Medium

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9. Which of the following is NOT true for strategic management?

A. It should be done once every few years just before developing the operating plan
B. It supports consistency of action at every level of the organization
C. It develops an integrated and coordinated long-term plan of action
D. It positions the firm to meet the needs of its customers
E. It involves responding to changes in the external market and allocating scarce resources to improve a competitive position

Two major dimensions of strategic management are responding to changes in the external environment and allocating scarce resources of the firm to improve its competitive position. Constant scanning of the external environment for changes is a major requirement for survival in a dynamic competitive environment.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 3 Hard

10. Which of the following is the correct order for the strategic management process?

A. Strategies, mission, objectives, projects
B. Objectives, projects, mission, strategies
C. Mission, strategies, objectives, projects
D. Objectives, mission, strategies, projects
E. Projects, mission, strategies, objectives

Once the mission statement has been written, strategies are formulated. After this, objectives are developed to achieve the strategy and finally strategies are implemented through projects.

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Blooms: Remember
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

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11. Which of the following questions does the organization's mission statement answer?

A. What are our long-term strategies?
B. What are our long-term goals and objectives?
C. How do we operate in the existing environment?
D. What do we want to become?
E. All of these are answered by the mission statement

The mission identifies "what we want to become," or the raison d'être. Mission statements identify the scope of the organization in terms of its product or service. They communicate and identify the purpose of the organization to stakeholders.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

12. Which of the following is NOT one of the traditional components found in mission statements?

A. Major products and services
B. Profitability
C. Target customers and markets
D. Geographic domain
E. Contribution to society

Traditional components found in mission statements are major products and services, target customers and markets, and geographical domain. In addition, statements frequently include organizational philosophy, key technologies, public image, and contribution to society.

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Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 3 Hard

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13. Which of the following is NOT one of the characteristics of effective objectives?

A. Realistic
B. Assignable
C. Flexible
D. Specific
E. Measurable

Characteristics of effective objectives are that they are specific, measurable, assignable, realistic and related to time.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 1 Easy

14. In order to formulate strategies that align with the mission the organization will need to

A. Assess internal strengths and weaknesses.
B. Analyze competitors.
C. Examine the external environment.
D. Know their core competencies.
E. All of these should be considered when formulating strategies.

Strategy formulation includes assessment of the internal and external environments.

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Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 1 Easy

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15. The assessment of the external and internal environments is called_____analysis.

A. SWOT
B. Competitive
C. Industry
D. Market
E. Strategic

The keys are to attempt to forecast fundamental industry changes and stay in a proactive mode rather than a reactive one. This assessment of the external and internal environments is known as the SWOT analysis (strengths, weaknesses, opportunities, and threats).

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Remember
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 1 Easy

16. Which of the following would be classified as an organizational threat?

A. Slowing of the economy
B. Excellent employees
C. Poor product quality
D. Declining facilities
E. High labor costs

Examples of perceived external threats could be a slowing of the economy, a maturing life cycle, exchange rates, or government regulation.

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Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

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17. Which of the following would be classified as an organizational opportunity?

A. Low debt
B. Excellent employees
C. Increasing product demand
D. Talented management
E. Government regulation

Typical opportunities are increasing demand, emerging markets, and demographics. Managers or individual firms have limited opportunities to influence such external environmental factors; however, in recent years notable exceptions have been new technologies such as Apple using the iPod to create a market to sell music.

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Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

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18. Which of the following is NOT one of the requirements for successful implementation of strategies through projects?

A. Allocation of resources
B. Prioritizing of projects
C. Motivation of project contributors
D. Adequate planning and control systems
E. Quality management

First, completing tasks requires allocation of resources. Resources typically represent funds, people, management talents, technological skills, and equipment. Frequently, implementation of projects is treated as an "addendum" rather than an integral part of the strategic management process. However, multiple objectives place conflicting demands on organizational resources. Second, implementation requires a formal and informal organization that complements and supports strategy and projects. Authority, responsibility, and performance all depend on organization structure and culture. Third, planning and control systems must be in place to be certain project activities necessary to ensure strategies are effectively performed. Fourth, motivating project contributors will be a major factor for achieving project success. Finally, areas receiving more attention in recent years are portfolio management and prioritizing projects.

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Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 3 Hard

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19. Which of the following is NOT a problem associated with the absence of a project portfolio system?

A. Organizational politics
B. Lack of funding
C. Resource conflicts
D. Multitasking
E. Implementation gap

A project portfolio system can go a long way to reduce the impact the implementation gap, organization politics, resource conflicts and multitasking.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Remember
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 2 Medium

20. Susie's department is implementing many projects. She finds herself starting and stopping work on one task to go and work on another task, and then return to the work on the original task. Susie is experiencing

A. Poor scheduling.
B. Excess work burden.
C. Flexible tasking.
D. Multitasking.
E. Burnout.

Resource sharing also leads to multitasking. Multitasking involves starting and stopping work on one task to go and work on another project, and then returning to the work on the original task. People working on several tasks concurrently are far less efficient, especially where conceptual or physical shutdown and startup are significant.

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Blooms: Apply
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 2 Medium

21. Project selection criteria are typically classified as

A. Financial and nonfinancial.
B. Short-term and long-term.
C. Strategic and tactical.
D. Required and optional.
E. Cost and schedule.

Although there are many criteria for selecting projects, selection criteria are typically identified as financial and nonfinancial.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 1 Easy

22. The_____financial model measures the current value of all cash inflows using management's minimum desired rate of return.

A. FUBAR
B. ARR
C. IRS
D. IRB
E. None of these

The net present value (NPV) model uses management's minimum desired rate of return to compute the present value of all net cash inflows.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand

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Learning Objective: A Portfolio Management System
Level of Difficulty: 2 Medium

23. Projects are usually classified into all but one of the following categories. Which one is NOT one of the typical classifications?

A. Compliance and emergency
B. Operational
C. Strategic
D. Political necessity
E. All of these are typical classifications

Many organizations find they have three different kinds of projects in their portfolio: compliance and emergency (must do), operational, and strategic projects.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Remember
Learning Objective: A Portfolio Management System
Level of Difficulty: 2 Medium

24. One who endorses and lends political support for the completion of a specific project is known as the

A. Project manager.
B. CEO.
C. Project sponsor.
D. Project lead.
E. Sacred cow.

Project sponsors play a significant role in the selection and successful implementation of product innovation projects. Project sponsors are typically high-ranking managers who endorse and lend political support for the completion of a project.

AACSB: Reflective Thinking
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Blooms: Remember
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 1 Easy

25. A project screening matrix typically contains all of the following EXCEPT

A. The list of available projects
B. Specific criteria
C. Weights assigned to specific criteria
D. Costs to complete each project
E. All of these are typically contained

Screening matrices should contain both financial and nonfinancial criteria that align with organization strategy. Weights are assigned to these criteria based on how well they align with strategy. Available projects are included in the matrix for comparison.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 3 Hard

26. Regardless of the criteria differences among different types of projects, the most important criterion for project selection is

A. How the project will balance risk within the project portfolio
B. The project's fit to the organization strategy
C. Compliance
D. Nonfinancial
E. Profit

The project's fit to the organization strategy is the most important criterion for project selection. This criterion should be consistent across all types of projects and carry a high priority relative to other criteria.

AACSB: Reflective Thinking

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Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Applying a Selection Model
Level of Difficulty: 2 Medium

27. Examples of nonfinancial criteria include all of the following EXCEPT

A. Capturing a larger market share.
B. Reducing dependency on unreliable suppliers.
C. Preventing government intervention and regulation.
D. Making it difficult for competitors to enter the market.
E. Calculating the time it will take to recover the project investment.

The payback model measures the time it will take to recover the project investment. It is considered a financial criterion.

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Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 1 Easy

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28. Which of the following is true of multiweighted scoring models?

A. Will include quantitative criteria
B. Will include qualitative criteria
C. Each criterion is assigned a weight
D. Projects with higher scores are considered more desirable
E. All of these are true

A weighted scoring model typically uses several weighted selection criteria to evaluate project proposals. Weighted scoring models will generally include qualitative and/or quantitative criteria. Each selection criterion is assigned a weight. Scores are assigned to each criterion for the project, based on its importance to the project being evaluated. The weights and scores are multiplied to get a total weighted score for the project. Using these multiple screening criteria, projects can then be compared using the weighted score. Projects with higher weighted scores are considered better.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 3 Hard

29. Which of the following is NOT true when managing a portfolio system?

A. The qualities of a particular project are assessed within the context of existing projects
B. It does not require a constant effort
C. Within a small organization it can be managed by a small group of key employees
D. It requires input from senior management
E. It involves monitoring and adjusting criteria to reflect the strategic focus of the organization

Managing a project portfolio system requires a constant effort in order to make sure selection criteria reflect the strategic focus of the organization.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation

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Blooms: Understand
Learning Objective: Managing the Portfolio System
Level of Difficulty: 2 Medium

30. The following are responsibilities of the governance team when managing a portfolio system EXCEPT

A. Deciding how they wish to balance the available organizational resources among the different types of projects.
B. Publishing the priority of every project and ensuring the process is open and free of power politics.
C. Evaluating the progress of the projects in the portfolio.
D. Constant scanning of the external environment to determine if organizational selection criteria need to be changed.
E. Communicating which projects are approved.

Deciding how they wish to balance the available organizational resources among the different types of projects is the responsibility of senior management along with providing guidance in establishing selection criteria that strongly align with the current organization strategies.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Managing the Portfolio System
Level of Difficulty: 3 Hard

Fill in the Blank Questions

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31. The process of assessing "what we are" and deciding and implementing "what we intend to be and how we are going to get there" is_____.

strategic management

Strategic management is the process of assessing what we are, what we intend to be and how we are going to get there. It consists of constant scanning of the external environment and allocating resources of the firm to improve its competitive position.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 2 Medium

32. _____change infrequently and may require revision only when the nature of the business changes or shifts.

Mission statements

Mission statements change infrequently; however, when the nature of the business changes or shifts, a revised mission statement may be required.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

33. _____translate the organization's strategy into specific, concrete, and measurable terms.

Objectives

Objectives translate the organization strategy into specific, concrete, measurable terms. Organizational objectives set targets for all levels of the organization.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

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34. How strategies will be realized, given available resources, is answered through_____.

implementation

Implementation answers the question of how strategies will be realized, given available resources. The conceptual framework for strategy implementation lacks the structure and discipline found in strategy formulation.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

35. High-ranking managers who endorse and lend political support for the completion of a specific project are known as project_____.

sponsors

Project sponsors are typically high-ranking managers who endorse and lend political support for the completion of a specific project. They are instrumental in winning approval of the project and in protecting the project during the critical development stage.

AACSB: Reflective Thinking
Blooms: Remember
Learning Objective: A Portfolio Management System
Level of Difficulty: 2 Medium

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36. A weighted scoring model typically uses several weighted selection criteria to evaluate project proposals. An example of this would be a(n)_____.

project screening matrix

A weighted scoring model typically uses several weighted selection criteria to evaluate project proposals. Weighted scoring models will generally include qualitative and/or quantitative criteria. Each selection criterion is assigned a weight. Scores are assigned to each criterion for the project, based on its importance to the project being evaluated. The weights and scores are multiplied to get a total weighted score for the project. Using these multiple screening criteria, projects can then be compared using the weighted score. Projects with higher weighted scores are considered better.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 3 Hard

37. What the organization wants to become and the scope of the firm in terms of its product or service would be identified in the organization's_____.

mission statement

The mission statement identifies "what we want to become," or the raison d'être. Mission statements identify the scope of the organization in terms of its product or service.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

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38. In a SWOT analysis, good product quality, low debt, and an established supplier network are examples of internal_____.

strengths

Examples of internal strengths could be core competencies, such as technology, product quality, management talent, low debt, and dealer networks.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 1 Easy

39. In a SWOT analysis, strong competition, reduced product demand, and a maturing product life cycle are examples of external_____.

threats

Examples of perceived external threats could be a slowing of the economy, a maturing life cycle, exchange rates, or government regulation.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 1 Easy

40. The assessment of the internal and external environments is known as a(n)_____.

SWOT analysis

The keys are to attempt to forecast fundamental industry changes and stay in a proactive mode rather than a reactive one. This assessment of the external and internal environments is known as the SWOT analysis (strengths, weaknesses, opportunities, and threats).

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

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41. Strategy is implemented through_____.

projects

Strategy is implemented through projects. Every project should have a clear link to the organization's strategy.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 1 Easy

42. A project that a powerful, high-ranking official is advocating is often termed a(n)_____.

sacred cow

Project selection may be based not so much on facts and sound reasoning, but rather on the persuasiveness and power of people advocating projects. The term "sacred cow" is often used to denote a project that a powerful, high-ranking official is advocating.

AACSB: Reflective Thinking
Blooms: Remember
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 1 Easy

43. Starting and stopping work on one task to go and work on another project, and then returning to work on the original task is known as_____.

multitasking

Multitasking involves starting one task only to leave that task to work on another and then having to come back to the original task again. It can add to delays and an increase in cost.

AACSB: Reflective Thinking
Blooms: Remember
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 1 Easy

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44. The lack of understanding and consensus of organization strategy among top and middle-level managers is known as the_____.

implementation gap

The implementation gap refers to lack of understanding and consensus of organization strategy among top and middle-level managers. This also can result when top management formulates strategy and leaves implementation to functional managers.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 2 Medium

45. The financial model that measures the time it will take to recover the project investment is the _____model.

payback

The payback model measures the time it will take to recover the project investment. Shorter paybacks are more desirable. Payback is the simplest and most widely used model.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 1 Easy

46. The financial model that measures the current value of all cash inflows and outflows using management's minimum desired rate of return is known as the_____model.

net present value (NPV)

The net present value (NPV) model uses management's minimum desired rate of return (discount rate, for example, 20 percent) to compute the present value of all net cash inflows.

AACSB: Reflective Thinking
Blooms: Understand

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Learning Objective: A Portfolio Management System
Level of Difficulty: 1 Easy

47. In classifying the kinds of projects an organization has in its portfolio, projects that are typically those needed to meet regulatory conditions required to operate in a region are _____ projects.

compliance (must do)

Compliance projects are typically those needed to meet regulatory conditions required to operate in a region; hence, they are called "must do" projects.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 1 Easy

48. In classifying the kinds of projects an organization has in its portfolio, projects that are typically needed to support current operations are_____projects.

operational

Operational projects are those that are needed to support current operations. These projects are designed to improve efficiency of delivery systems, reduce product costs, and improve performance.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 1 Easy

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49. In classifying the kinds of projects an organization has in its portfolio, projects that directly support the organization's long-term mission are_____projects.

strategic

Strategic projects are those that directly support the organization's long-run mission. They frequently are directed toward increasing revenue or market share.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 1 Easy

50. When considering criteria used to select projects, capturing a larger market share or reducing the dependency on unreliable suppliers would both be examples of_____criteria.

nonfinancial

Capturing a larger market share, reducing dependency on unreliable suppliers, preventing government intervention and regulation, making it difficult for competitors to enter the market are all examples of nonfinancial criteria. Both financial and nonfinancial selection criteria should be used when selecting projects.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 1 Easy

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51. In some cases organizations will use a(n)_____to solicit ideas for projects when the knowledge requirements for the project are not available in the organization.

RFP (Request for Proposal)

Organizations will solicit ideas for projects when the knowledge requirements for the project are not available in the organization. Typically, the organization will issue an RFP (Request for Proposal) to contractors/vendors with adequate experience to implement the project.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: Applying a Selection Model
Level of Difficulty: 2 Medium

52. A list of potential projects, several criteria, weights for those criteria, and criteria scores for those projects are all typically included on a(n)_____matrix.

project screening

Weighted scoring models will generally include qualitative and/or quantitative criteria to help evaluate a list of projects. Each selection criterion is assigned a weight. Scores are assigned to each criterion for the project based on its importance to the project being evaluated. A project screening matrix is an example of a weighted scoring model.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 2 Medium

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53. _____the portfolio system involves monitoring and adjusting selection criteria to reflect the strategic focus of the organization.

Managing

Managing the portfolio takes the selection system one step higher in that the merits of a particular project are assessed within the context of existing projects. At the same time it involves monitoring and adjusting selection criteria to reflect the strategic focus of the organization.

AACSB: Reflective Thinking
Blooms: Understand
Learning Objective: Managing the Portfolio System
Level of Difficulty: 1 Easy

True / False Questions

54. Project management historically has been preoccupied solely with the planning and execution of projects while strategy was under the purview of senior management.

TRUE

Project management historically has been preoccupied solely with the planning and execution of projects. Strategy was considered to be under the purview of senior management, which is old-school thinking.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

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55. Intermittent scanning of the external environment is required when managing organization strategy.

FALSE

Two major dimensions of strategic management are responding to changes in the external environment and allocating scarce resources of the firm to improve its competitive advantage. Constant scanning of the external environment for changes is a major requirement for survival in a dynamic competitive environment.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 3 Hard

56. A written mission statement provides focus for decision making when shared by organizational managers and employees.

TRUE

A written mission statement provides focus for decision making when shared by organizational managers and employees. Everyone in the organization should be keenly aware of the organization's mission.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

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57. Project managers should not engage in organizational politics.

FALSE

Many would argue that politics and project management should not mix. A more proactive response is that projects and politics invariably mix and that effective project managers recognize that any significant project has political ramifications.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Remember
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 2 Medium

58. Organizational objectives set targets for all levels of the organization not just for top management.

TRUE

Organizational objectives set targets for all levels of the organization. Objectives pinpoint the direction managers believe the organization should move toward. Objectives answer in detail where a firm is headed and when it is going to get there.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Remember
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 1 Easy

59. Mission statements typically change frequently, responding to changes in the external environment.

FALSE

Mission statements change infrequently. However, when the nature of the business changes or shifts, revised mission and strategy may be required.

AACSB: Reflective Thinking

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Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

60. Strategy formulation ends with cascading objectives or projects assigned to lower divisions, departments, or individuals.

TRUE

Strategy formulation includes determining and evaluating alternatives that support the organization's objectives and selecting the best alternative. The first step is a realistic evaluation of the past and current position of the enterprise.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Remember
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

61. If a proposed project does not meet one of the designated "must" objectives it is immediately removed from consideration.

TRUE

If a project does not meet designated "must" objectives, it is not considered and removed from consideration. In addition, there is no longer need to score "want" objectives.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Applying a Selection Model
Level of Difficulty: 2 Medium

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62. The assessment of the external and internal environments is called the SWOT analysis.

TRUE

The keys are to attempt to forecast fundamental industry changes and stay in a proactive mode rather than a reactive one. This assessment of the external and internal environments is known as the SWOT analysis (strengths, weaknesses, opportunities, and threats).

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 1 Easy

63. Objectives should be specific, marketable, assignable, realistic, and time related.

FALSE

Objectives should be specific in targeting an objective. They should establish a measurable indicator(s) of progress. Make the objective assignable to one person for completion and state what can realistically be done with available resources. It should also be stated when the objective can be achieved.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Remember
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 1 Easy

64. Strategy is implemented through projects.

TRUE

Strategy is implemented through projects. Every project should have a clear link to the organization's strategy.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation

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Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 1 Easy

65. Many organizations have three different kinds of projects in their portfolio: compliance, operational, and sacred cows.

FALSE

Many organizations find they have three different kinds of projects in their portfolio: compliance and emergency (must do), operational, and strategic projects.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 2 Medium

66. The first step in the Strategic Management Process is to set long-range goals and objectives.

FALSE

The first step is: Review and define the organizational mission.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

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67. One benefit of project portfolio management is that it can justify killing a project that doesn't support organization strategy.

TRUE

Some benefits of project portfolio management are balancing risks across all projects, linking project selection to strategic metrics, building discipline into project selection processes and being able to justify killing projects that do not align with organization strategy.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 2 Medium

68. Opportunities and threats can be viewed as flip sides of each other; that is, a threat can be viewed as an opportunity, and vice versa.

TRUE

Opportunities and threats are the flip sides of each other. That is, a threat can be perceived as an opportunity, or vice versa. Examples of perceived external threats could be a slowing of the economy, a maturing life cycle, exchange rates, or government regulation.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

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69. The information gap refers to the lack of understanding and consensus of organization strategy among top and middle-level managers.

FALSE

The implementation gap refers to the lack of understanding and consensus of organization strategy among top and middle-level managers.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 2 Medium

70. One way to offset the influence of politics on project management within an organization is to have a well-defined project selection model.

TRUE

Top management needs to develop a system for identifying and selecting projects that reduces the impact of internal politics and fosters the selection of the best projects for achieving the mission and strategy of the firm.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 2 Medium

71. Studies have shown that companies using predominantly financial criteria to prioritize projects yield unbalanced portfolios and projects that aren't strategically aligned.

TRUE

Pure financial models fail to include many projects where financial return is difficult to measure and/or other factors that are vital to the project selection.

AACSB: Reflective Thinking

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Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 1 Easy

72. Generally, people working on several projects at the same time are more efficient than people working full-time on one project.

FALSE

People working on several tasks concurrently are far less efficient, especially where conceptual or physical shutdown and startup are significant. Multitasking adds to delays and costs.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 1 Easy

73. The NPV financial model measures the time it will take to recover the project investment.

FALSE

The net present value (NPV) model uses management's minimum desired rate of return (discount rate, for example, 20 percent) to compute the present value of all net cash inflows.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 2 Medium

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74. A proposed project that ranks high on most criteria may not be selected because the organization's portfolio already includes too many projects with the same characteristics.

TRUE

A major responsibility of the governance team is to balance projects by type, risk, and resource demand. This requires a total organization perspective. Hence, a proposed project that ranks high on most criteria may not be selected because the organization's portfolio already includes too many projects with the same characteristics.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: Managing the Portfolio System
Level of Difficulty: 2 Medium

75. Multiweighted scoring models include only quantitative criteria, not qualitative.

FALSE

Weighted scoring models will generally include qualitative and/or quantitative criteria.

AACSB: Reflective Thinking
Accessibility: Keyboard Navigation
Blooms: Understand
Learning Objective: A Portfolio Management System
Level of Difficulty: 2 Medium

Short Answer Questions

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76. "Politics and project management should not mix." Agree or disagree and support your position.

Answer will vary

Feedback: Projects and politics invariably mix and effective project managers recognize that any significant project has political ramifications. A good project selection process will minimize the impact of internal politics.

AACSB: Analytic
Blooms: Analyze
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 3 Hard

77. Why do project managers need to understand strategy?

Answer will vary

Feedback: Project managers need to understand strategy so they can make appropriate decisions and adjustments and so they can be effective project advocates.

AACSB: Analytic
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

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78. Why is it important that organizations develop a process to align selected projects with strategic goals?

Answer will vary

Feedback: A result of not having a process that aligns selected projects with strategic goals is poor utilization of resources. Companies that have developed this process have more cooperation across the organization, perform better on projects and have fewer projects.

AACSB: Analytic
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

79. The typical Strategic Management Process includes four activities. Identify and briefly describe each of those four activities.

Answer will vary

Feedback: (1) Review and define the organizational mission; (2) Analyze and formulate strategies that align with mission; (3) Set objectives to achieve the strategy; (4) Implement strategies through projects.

AACSB: Analytic
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

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80. The advantages of successful project portfolio management systems are becoming well recognized. Briefly describe three.

Answer will vary

Feedback: The following are all examples of acceptable answers: (1) Builds discipline into project selection process; (2) Links project selection to strategic metrics; (3) Prioritizes project proposals across a common set of criteria, rather than politics or emotion; (4) Allocates resources to projects that align with strategic direction; (5) Balances risk across all projects; (5) Justifies killing projects that do not support organization strategy; (6) Improves communication and supports agreement on project goals.

AACSB: Analytic
Blooms: Apply
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 2 Medium

81. Identify and briefly describe the five characteristics of effective objectives.

Answer will vary

Feedback: (1) Specific; (2) Measurable; (3) Assignable; (4) Realistic; (5) Time related

AACSB: Reflective Thinking
Blooms: Remember
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 2 Medium

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82. What is a SWOT analysis and how does it relate to the Strategic Management Process?

Answer will vary

Feedback: It is an assessment of the internal and external environments and is the link between reviewing the current mission statement and the development of goals and objectives that support organization strategy.

AACSB: Analytic
Blooms: Understand
Learning Objective: The Strategic Management Process: An Overview
Level of Difficulty: 3 Hard

83. What is the implementation gap and how does it impact project management? How can it be prevented?

Answer will vary

Feedback: The implementation gap refers to the lack of understanding and consensus of organization strategy among top and middle-level managers. If managers lack a common understanding of the priority for a given set of projects, then the achievement of long-range goals will be impossible. A project portfolio system can go a long way to reduce or even eliminate this problem.

AACSB: Analytic
Blooms: Analyze
Learning Objective: The Need for a Project Portfolio Management System
Level of Difficulty: 3 Hard

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84. Identify and briefly discuss the three classes of projects usually found in an organization's project portfolio.

Answer will vary

Feedback: (1) Compliance (must do); (2) Operational; (3) Strategic

AACSB: Analytic
Blooms: Remember
Learning Objective: A Portfolio Management System
Level of Difficulty: 2 Medium

85. Management of a portfolio system requires two major inputs from senior management. What are they?

Answer will vary

Feedback: Senior management must provide guidance in establishing selection criteria that strongly align with the current organization strategies and they must decide how they wish to balance the available organizational resources among different types of projects.

AACSB: Analytic
Blooms: Understand
Learning Objective: Managing the Portfolio System
Level of Difficulty: 3 Hard

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86. Why is profitability alone not an adequate measure of a project's value to an organization?

Answer will vary

Feedback: Today management is interested in identifying the potential mix of projects that will yield the best use of human and capital resources to maximize return on investment in the long run. Factors such as researching new technology, public image, ethical position, protection of the environment, core competencies, and strategic fit might be important criteria for selecting projects.

AACSB: Analytic
Blooms: Apply
Learning Objective: A Portfolio Management System
Level of Difficulty: 2 Medium

87. What are the two major shortcomings of using the Checklist approach to select projects?

Answer will vary

Feedback: The Checklist approach fails to determine the relative importance of the project to the firm and fails to compare projects to other potential projects.

AACSB: Analytic
Blooms: Create
Learning Objective: A Portfolio Management System
Level of Difficulty: 3 Hard

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Chapter 01 Modern Project Management Answer Key

Multiple Choice Questions

1. The advent of project management has been most profound in
A. Automobile manufacturing
B. Construction
C. Information technology
D. The U.S. Department of Defense
E. Film making

The impact of project management is most profound in the area of electronics industry, where the new folk heroes are young professionals whose Herculean efforts lead to the constant flow of new hardware and software products.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

2. A professional organization for project management specialists is the
A. PMI
B. AMA
C. MIS
D. IPM
E. PMBOK

The Project Management Institute (PMI), is a professional organization for project managers.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

3. Which of the following is not considered to be a characteristic of a project?
A. An established objective
B. A clear beginning and end
C. Complex tasks
D. Only for internal use
E. Never been done before

See List on Page 5.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Medium

4. Which of the following activities is not considered a project?
A. Developing a new software program
B. Designing a space station
C. Preparing the site for the Olympic Games
D. Production of automobile tires
E. Developing a new advertising program

A project is not routine, repetitive work! Ordinary daily work typically requires doing the same or similar work over and over, while a project is done only once; a new product or service exists when the project is completed.

AACSB: Analytic
Bloom's: Evaluation
Learning Objective: What is a Project?
Level: Medium

5. From among the following activities, which is the best example of a project?
A. Processing insurance claims
B. Producing automobiles
C. Writing a term paper
D. Completing a college degree
E. All of these are good examples of projects

See table 1.1 on Page 6.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: What is a Project?
Level: Medium

6. Which of the following constraints is not typically found in managing projects?
A. Time
B. People
C. Cost
D. Performance
E. Both B and D are not typical constraints

Specific time, cost, and performance requirements bind projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

7. Which of the following choices is not one of the stages of a project life cycle?
A. Conceptualizing
B. Defining
C. Planning
D. Executing
E. Delivering

See List on Page 7.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: What is a Project?
Level: Medium

8. In which of the following stages are project objectives established, teams formed, and major responsibilities assigned?
A. Conceptualizing
B. Defining
C. Planning
D. Executing
E. Delivering

Specifications of the project are defined; project objectives are established; teams are formed; major responsibilities are assigned.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

9. In which of the following stages is a major portion of the physical and mental project work performed?
A. Conceptualizing
B. Defining
C. Planning
D. Executing
E. Delivering

A major portion of the project work takes place—both physical and mental.

AACSB: Analytic
Bloom's: Application
Learning Objective: What is a Project?
Level: Medium

10. In which of the following stages are you more likely to find status reports, many changes, and the creation of forecasts?
A. Conceptualizing
B. Defining
C. Planning
D. Executing
E. Delivering

Time, cost, and specification measures are used for control.

AACSB: Analytic
Bloom's: Application
Learning Objective: What is a Project?
Level: Medium

11. Which of the following characteristics is not typical of a project manager?
A. Managing a temporary activity
B. Possesses in-depth technical knowledge
C. Managing a non-repetitive activity
D. Manages independently of the formal organization
E. Provides a direct link to the customer

Increased competition has placed a premium on customer satisfaction. Customers no longer simply settle for generic products and services.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: The Importance of Project Management
Level: Difficult

12. Which of the following choices is not one of the driving forces behind the increasing demand for project management?
A. Compression of the product life cycle
B. Knowledge explosion
C. Development of third world and closed economies
D. More emphasis on the product and less on the customer
E. Corporate downsizing

Increased customer attention has prompted the development of customized products and services.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: The Importance of Project Management
Level: Medium

13. Which of the following statements is true?
A. Project management is becoming a standard way of doing business
B. Project management is increasingly contributing to achieving organizational strategies
C. Project management is being used at a consistent percentage of a firm's efforts
D. Both A and B are true
E. A, B, and C are all true

Project management is no longer a special-need management. It is rapidly becoming a standard way of doing business. The future promises an increase in the importance and the role of projects in contributing to the strategic direction of organizations.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Importance of Project Management
Level: Difficult

14. Project management is ideally suited for a business environment requiring all of the following except
A. Accountability
B. Flexibility
C. Innovation
D. Speed
E. Repeatability

Competing in a global market influenced by rapid change, innovation, and time to market means organizations manage more and more projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

15. Which of the following is the number one characteristic that is looked for in management candidates?
A. Overall intelligence
B. Works well with others
C. Experience
D. Past successes
E. Good references

The phrase "works well with others" has long been a staple on grade school report cards; now, in the IT world, it's the No. 1 criterion for management candidates.(See Research Highlight on page 16).

AACSB: Communication
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

16. A common rule of thumb in the world of high-tech product development is that a six-month project delay can result in a loss of product revenue share of____percent. The waste on failed projects and cost overruns is estimated in the neighborhood of
A. 10
B. 20
C. 33
D. 45
E. 50

A common rule of thumb in the world of high-tech product development is that a six-month project delay can result in a 33 percent loss in product revenue share.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Importance of Project Management
Level: Medium

17. The waste on failed projects and cost overruns is estimated in the neighborhood of
A. Under $100 Million
B. Over $150 Billon
C. Under $10 Billion
D. Between $90-$100 Billion
E. Between $125-$135 Billion

The need for elevating performance continues to challenge the project management profession. The waste on failed projects and cost overruns is estimated in the neighborhood of over $150 billion!

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: What is a Project?
Level: Easy

18. Which of the following is the first step in developing a set of strategies designed to best meet the needs of customers?
A. Market Research
B. Define the Integrated Project Management System
C. Environmental Analysis
D. Project Selection
E. All of the above are correct

Project management is critical both to development of customized products and services and to sustaining lucrative relationships with customers.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: The Importance of Project Management
Level: Easy

19. Integration of project management with the organization takes place with the
A. Master budget
B. Strategy plan
C. Process of managing actual projects
D. Both b and c are correct
E. A, B, and C are all correct

Since projects are the modus operandi, strategic alignment of projects is of major importance to conserving and effective use of organization resources. Selection criteria need to ensure each project is prioritized and contributes to strategic goals.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

20. Two dimensions within the project management process are
A. Technical and sociocultural
B. Cost and time
C. Planned and unexpected
D. Established and new
E. Unique and reoccurring

There are two dimensions within the actual execution of projects (see Figure 1.3. The Technical and Sociocultural Dimensions of the Project Management Process on page 15).

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Today - An Integrated Approach
Level: Easy

21. Which of these is not part of the "technical dimension" of project management?
A. WBS
B. Budgets
C. Problem solving
D. Schedules
E. Status reports

See Figure 1.3. The Technical and Sociocultural Dimensions of the Project Management Process on page 15.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

22. Which of these is not part of the "sociocultural dimension" of project management?
A. Negotiation
B. Resource allocation
C. Customer expectations
D. Leadership
E. Politics

See Figure 1.3. The Technical and Sociocultural Dimensions of the Project Management Process on page 15.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

23. Corporate downsizing has increased the trend toward
A. Reducing the number of projects a company initiates
B. Outsourcing significant segments of project work
C. Using dedicated project teams
D. Shorter project lead times
E. Longer project lead times

Companies outsource significant segments of project work, and project managers have to manage not only their own people but also their counterparts in different organizations.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Importance of Project Management
Level: Medium

24. The importance of project management has increased due to
A. The movement of manufacturing operations out of the U.S
B. Time to market
C. The movement toward flatter and leaner organizations
D. Both a and b are true
E. A, B, and C are all true

One of the most significant driving forces behind the demand for project management is the shortening of the product life cycle. In today's flatter and leaner organizations, where change is a constant, project management is replacing middle management as a way of ensuring that things get done. Corporate downsizing has also led to a change in the way organizations approach projects. Companies outsource significant segments of project work, and project managers have to manage not only their own people but also their counterparts in different organizations.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Importance of Project Management
Level: Difficult

25. Which of the following is not typically the responsibility of a project manger?
A. Meeting budget requirements
B. Meeting schedule requirements
C. Meeting performance specifications
D. Coordinates the actions of the team members
E. All of these are typical responsibilities

They must ensure that appropriate trade-offs are made between the time, cost, and performance requirements of the project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: What is a Project?
Level: Easy

26. A series of coordinated, related, multiple projects that continue over extended time intended to achieve a goal is known as a
A. Strategy
B. Program
C. Campaign
D. Crusade
E. Venture

A program is a group of related projects designed to accomplish a common goal over an extended period of time.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

27. In which of the following stages is it determined what the project will entail, when it will be scheduled, whom it will benefit, and what the budget will be?
A. Conceptualizing
B. Defining
C. Planning
D. Executing
E. Delivering

The level of effort increases, and plans are developed to determine what the project will entail, when it will be scheduled, whom it will benefit, what quality level should be maintained, and what the budget will be.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

28. Competing in a global market is influenced by
A. Rapid change
B. Innovation
C. Time to market
D. Politics
E. A, B, and C are all true

Competing in a global market influenced by rapid change, innovation, and time to market means organizations manage more and more projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Easy

29. Integration of all project processes and practices to improve Project Management is due to
A. Centralization
B. Environmental analysis
C. Customer Expectations
D. Project management system
E. The organization's environment and culture

Centralization entails integration of all project processes and practices to improve project management.

AACSB: Analytic
Bloom's: Application
Learning Objective: Project Management Today - An Integrated Approach
Level: Easy

30. From 1994 to 2009 the trend for projects late or over budget was:
A. Significantly better
B. Slightly better
C. About the same
D. Slightly worse
E. Significantly worse

Failed projects also declined from 31 percent in 1994 to 18 percent in 2004. However, the CHAOS Summary 2009 report shows a small decrease in the numbers.

AACSB: Analytic
Bloom's: Evaluation
Learning Objective: What is a Project?
Level: Medium

Fill in the Blank Questions

31. Like most organizational effort, the major goal of a project is to_____.
satisfy a customer's need

Like most organizational effort, the major goal of a project is to satisfy a customer's need.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

32. The initial stage in the Project Life Cycle is the_____stage.
defining

Specifications of the project are defined; project objectives are established; teams are formed; major responsibilities are assigned.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

33. The final stage in the Project Life Cycle is the_____stage.
closure

Closure includes three activities: delivering the project product to the customer, redeploying project resources, and post-project review.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

34. The_____, a professional organization for project managers, has grown from 93,000 in 2002 to more than 230,000 currently.
PMI

The Project Management Institute (PMI), is a professional organization for project managers.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

35. In the_____stage of the Project Life Cycle a major part of the project work, both physical and mental, takes place.
executing

A major portion of the project work takes place—both physical and mental.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

36. In the_____stage of the Project Life Cycle what will be accomplished by the project is determined along with the project's schedule and budget.
planning

The level of effort increases, and plans are developed to determine what the project will entail, when it will be scheduled, whom it will benefit, what quality level should be maintained, and what the budget will be.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

37. A common rule of thumb in the world of high-tech product development is that a six-month project delay can result in a_____percent loss in product revenue share.
thirty-three

A common rule of thumb in the world of high-tech product development is that a six-month project delay can result in a 33 percent loss in product revenue share.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Importance of Project Management
Level: Medium

38. In today's high-tech industries the product life cycle is averaging_____years.
1 to 3

Today in high-tech industries the product life cycle is averaging 1 to 3 years. Only 30 years ago, life cycles of 10 to 15 years were not uncommon.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Importance of Project Management
Level: Easy

39. The advent of many small projects has created the need for an organization that can support_____management.
multiproject

This climate has created a multiproject environment and a plethora of new problems. Sharing and prioritizing resources across a portfolio of projects is a major challenge for senior management.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Importance of Project Management
Level: Easy

40. Increased competition has placed a premium on customer satisfaction and the development of_____products and services.
customized

Customers want customized products and services that cater to their specific needs.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Importance of Project Management
Level: Easy

41. In some organizations, selection and management of projects often fail to support the broad-based_____of the organization.
strategic plan

Today, projects are the modus operandi for implementing strategy. Yet in some organizations, selection and management of projects often fail to support the strategic plan of the organization.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

42. WBS, schedules, and budgets are examples of the_____dimension of the project management process.
technical

See Figure 1.3. The Technical and Sociocultural Dimensions of the Project Management Process on page 15.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

43. Leadership, teamwork, and negotiation are examples of the_____dimension of the project management process.
sociocultural

See Figure 1.3. The Technical and Sociocultural Dimensions of the Project Management Process on page 15.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

44. The_____is a professional organization for project management specialists.
Project Management Institute (PMI)

The Project Management Institute (PMI), is a professional organization for project managers.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

45. One of the defining characteristics of a project is that it has a singular purpose, i.e., an established_____.
objective

Projects have a defined objective—whether it is constructing a 12-story apartment complex by January 1 or releasing version 2.0 of a specific software package as quickly as possible.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

46. Because projects have a defined beginning and end, the_____is frequently used to manage the transition of a project from start to completion.
Project Life Cycle

The project life cycle typically passes sequentially through four stages: defining, planning, executing, and delivering.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: What is a Project?
Level: Difficult

47. The development of schedules, budgets, and identifying risks are common elements to the _____stage of the project life cycle.
planning

The level of effort increases, and plans are developed to determine what the project will entail, when it will be scheduled, whom it will benefit, what quality level should be maintained, and what the budget will be.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Medium

48. The establishment of project goals, specifications, and responsibilities usually occurs in the_____stage of the project life cycle.
defining

Specifications of the project are defined; project objectives are established; teams are formed; major responsibilities are assigned.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Medium

49. Training the customer, reassigning staff, and releasing resources occurs in the _____ stage of the project life cycle.
closure

Includes three activities: delivering the project product to the customer, redeploying project resources, and post-project review. Delivery of the project might include customer training and transferring documents.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Medium

50. Project managers are expected to ensure that appropriate trade-offs are made between the time, cost, and_____requirements of the project.
performance

Project managers are ultimately responsible for performance (frequently with too little authority). They must ensure that appropriate trade-offs are made between the time, cost, and performance requirements of the project.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: What is a Project?
Level: Medium

51. The growth in_____has increased the complexity of projects because projects typically include the latest advances.
new knowledge

The growth in new knowledge has increased the complexity of projects because projects encompass the latest advances. Product complexity has increased the need to integrate divergent technologies. Project management has emerged as an important discipline for achieving this task.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: The Importance of Project Management
Level: Medium

52. A_____is a series of coordinated, related; multiple projects that continue over extended time intended to achieve a goal.
program

A program is a group of related projects designed to accomplish a common goal over an extended period of time.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

53. In the_____stage, it determined what the project will entail, when it will be scheduled, whom it will benefit, and what the budget will be.
planning

The level of effort increases, and plans are developed to determine what the project will entail, when it will be scheduled, whom it will benefit, what quality level should be maintained, and what the budget will be.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

True / False Questions

54. Because of the profitability motive, project management is nearly always limited to the private sector.
FALSE

Project management is not limited to the private sector. Project management is also a vehicle for doing good deeds and solving social problems.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

55. Ten years ago major universities offered only one or two classes in project management, primarily for engineers.
TRUE

Ten years ago major universities offered one or two classes in project management, primarily for engineers. Today, most universities offer multiple sections of project management classes, with the core group of engineers being supplemented by business students majoring in marketing, management information systems (MIS).

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

56. The professional certification for project managers is a Project Management Professional (PMP).
TRUE

PMI provides certification as a Project Management Professional (PMP)—someone who has documented sufficient project experience, agreed to follow the PMI code of professional conduct, and demonstrated mastery of the field of project management by passing a comprehensive examination. (See Snapshot on Page 4).

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

57. Because of its flexibility, project management is equally useful in ongoing, routine work as well as unique, one-time projects.
FALSE

A project is not routine, repetitive work! Ordinary daily work typically requires doing the same or similar work over and over, while a project is done only once; a new product or service exists when the project is completed.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

58. One of the defining characteristics of project management is that the projects are not confined to a single department but involve several departments and professionals.
TRUE

One of the major characteristics is the involvement of several departments and professionals.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

59. One of the characteristics that separate project management from other endeavors of the organization is that there are specific time, cost, and performance requirements.
TRUE

Major characteristics are specific time, cost, and performance requirements.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

60. The singular purpose of a project is often lacking in daily organizational life in which workers perform repetitive operations each day.
TRUE

This singular purpose is often lacking in daily organizational life in which workers perform repetitive operations each day.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

61. Since a construction company builds many buildings the projects after the first building do not fit the definition of a project.
FALSE

All projects are nonroutine and has some unique elements.

AACSB: Reflective Thinking
Bloom's: Comprehension
Level: Medium

62. The first stage in the Project Life Cycle is the Concept stage.
FALSE

The first stage is defining.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

63. A major portion of the project work, both physical and mental, takes place during the Production stage of the Project Life Cycle.
FALSE

A major portion of the project work, both physical and mental is done in the executing stage.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Medium

64. In practice, the amount of work accomplished in each stage of the Project Life Cycle will vary greatly depending on the department or work group.
TRUE

In practice, the project life cycle is used by some project groups to depict the timing of major tasks over the life of the project.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: What is a Project?
Level: Easy

65. Because of the requirement for in-depth expertise, project management is generally restricted to specialists.
FALSE

Unlike their functional counterparts, project managers generally possess only rudimentary technical knowledge.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: What is a Project?
Level: Easy

66. On the project team, the Marketing manager is the primary, direct link with the customer.
FALSE

Project Managers are typically the direct link to the customer and must manage the tension between customer expectations and what is feasible and reasonable.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: What is a Project?
Level: Easy

67. One of the most significant driving forces behind the demand for project management is the ever increasing expansion of the product life cycle.
FALSE

One of the most significant driving forces behind the demand for project management is the shortening of the product life cycle.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: The Importance of Project Management
Level: Easy

68. Unlike their functional counterparts, project managers generally possess only rudimentary technical knowledge to make trade-off decisions.
TRUE

Unlike their functional counterparts, project managers generally possess only rudimentary technical knowledge.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: What is a Project?
Level: Medium

69. Because of the significant loss in potential product revenue, "time to market" has become one of the most critical factors in developing new products.
TRUE

Time to market for new products with short life cycles has become increasingly important.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: The Importance of Project Management
Level: Easy

70. A common rule of thumb in the world of high-tech product development is that a six-month project delay can result in a 33 percent loss in product revenue share.
TRUE

A common rule of thumb in the world of high-tech product development is that a six-month project delay can result in a 33 percent loss in product revenue share. Speed, therefore, becomes a competitive advantage; more and more organizations are relying on cross-functional project teams to get new products and services to the market as quickly as possible.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: The Importance of Project Management
Level: Easy

71. Project management integration necessitates combining all of the major dimensions of project management under one umbrella.
TRUE

Project management integration necessitates combining all of the major dimensions of project management under one umbrella. Each dimension is connected in one seamless, integrated domain. Integration means applying a set of knowledge, skills, tools, and techniques to a collection of projects in order to move the organization toward its strategic goals.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Easy

72. Due to corporate downsizing significant segments of project work have been outsourced to other organizations.
TRUE

Corporate downsizing has also led to a change in the way organizations approach projects. Companies outsource significant segments of project work, and project managers have to manage not only their own people but also their counterparts in different organizations.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Importance of Project Management
Level: Easy

73. Smaller projects in larger organizations tend not to need project management skills.
FALSE

Many small projects can eat up the people resources of a firm and represent hidden costs not measured in the accounting system. Organizations with many small projects going on concurrently face the most difficult project management problems.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Importance of Project Management
Level: Medium

74. In the current trends, Project managers are typically required to manage many diverse systems such as; networks, bar charts, job costing, task forces, partnering and schedule, to manage projects.
FALSE

Project managers must shape a project culture that stimulates teamwork and high levels of personal motivation as well as a capacity to quickly identify and resolve problems that threaten project work. This dimension also involves managing the interface between the project and external environment. Project managers have to assuage and shape expectations of customers, sustain the political support of top management, negotiate with their functional counterparts, monitor subcontractors, and so on. Overall, the manager must build a cooperative social network among a divergent set of allies with different standards, commitments, and perspectives.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Easy

75. Project management is usually restricted to specialists.
FALSE

Unlike their functional counterparts, project managers generally possess only rudimentary technical knowledge.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Easy

76. Project management is becoming a standard way of doing business.
TRUE

Project management is no longer a special-need management. It is rapidly becoming a standard way of doing business.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: The Importance of Project Management
Level: Easy

Short Answer Questions

77. Compare and contrast the Product Life Cycle and the Project Life Cycle.

Product Life Cycle deals with the time it takes to develop a product and the time it remains in the marketplace. The Project Life Cycle is the stages that a new product goes through while being developed.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: The Importance of Project Management
Level: Medium

78. Identify the five major characteristics of a project.

see list on page 5 of your text

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

79. Identify and briefly describe the four stages of the Project Life Cycle.

see list on page 1-7

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: What is a Project?
Level: Easy

80. "Project managers perform the same functions as other managers." Agree or Disagree and support your decision.

Many of the same basic management functions are performed by project managers; however, there are aspects of the project manager's job that make it unique.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: What is a Project?
Level: Medium

81. Identify and briefly describe the six factors that are increasing the demand for project management.

1. compression of the product life cycle, 2. knowledge explosion, 3. triple bottom line, 4. corporate downsizing, 5. increased customer focus, 6. small projects represent big problems

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Importance of Project Management
Level: Difficult

82. What is meant by an "Integrated Project Management Process"?

All efforts are focused toward the strategic plan. Piece meal tools are no longer accepted.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Difficult

83. Identify and briefly discuss the two key areas where project management need to be integrated within the organization.

1. with the Strategic Plan and 2. within the process of managing actual projects

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

84. Identify and briefly discuss the two key dimensions of managing actual projects.

1. Technical and 2. Sociocultural

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

85. The success of individual projects is typically measured by performance compared to three constraints usually placed on all projects. Identify and briefly describe those three constraints.

1. time, 2. cost, and 3. performance

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

86. Describe what it means that a Project Manager must work with a diverse troupe of characters?

They are typically the direct link to the customer and must manage the tension between customer expectations and what is feasible and reasonable. Project managers provide direction, coordination, and integration to the project team, which is often made up of part-time participants loyal to their functional departments. They often must work with a cadre of outsiders—vendors, suppliers, subcontractors—who do not necessarily share their project allegiance.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: What is a Project?
Level: Medium

87. What is the difference between a project and a program?

The terms are often used interchangeably in business, however, a program is considered to be a series of coordinated, related, and multiple projects that continue over extended time intended to achieve a goal.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What is a Project?
Level: Medium

88. Describe the connection between Project Management and an organization's Strategic Plan.

Today the emphasis is on an integrated project management process that focuses all project effort toward the strategic plan of the organization.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Today - An Integrated Approach
Level: Medium

Chapter 02 Organization Strategy and Project Selection Answer Key

Multiple Choice Questions

1. Which of the follow is not one of the commonly heard comments of project managers?
A. Where did this project come from?
B. Why are we doing this project?
C. How can all these projects be first priority?
D. Why is this project so strongly linked to the strategic plan?
E. Where are we going to get the resources to do this project?

Ample evidence still suggests that many organizations have not developed a process that clearly aligns project selection to the strategic plan.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

2. Strategy considered to be under purview of senior management is
A. Old school thinking
B. A new school of management thought
C. Necessary in a company structure
D. Beneficial to the Project Manager
E. Depended on company goals

Project management historically has been preoccupied solely with the planning and execution of projects. Strategy was considered to be under the purview of senior management. This is old-school thinking.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

3. A critical factor to ensure the success of integrating the strategic plan with projects lies in a process that
A. Is open and published for all participants to review
B. Starts with top management's directives
C. With projects first and integrates them with the strategic plan
D. Both B and C are correct
E. A, B, and C are all correct

A crucial factor to ensure the success of integrating the plan with projects lies in the creation of a process that is open and transparent for all participants to review.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Strategic Management Process: An Overview
Level: Difficult

4. The intended outcome of strategy/projects integration is
A. Clear organization focus
B. Best use of scare organization resources
C. Improved communication across projects and departments
D. Both A and C are correct
E. A, B, and C are all correct

A generic methodology that ensures integration by creating very strong linkages of project selection and priority to the strategic plan is then discussed. The intended outcomes are clear organization focus, best use of scarce organization resources (people, equipment, capital), and improved communication across projects and departments.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

5. Which of the following is a main reason why project managers need to understand their organization's mission and strategy?
A. They can better focus on the immediate customer
B. They can make appropriate decisions and adjustments
C. So they can be effective project advocates
D. Both B and C are correct
E. A, B, and C are all correct

There are two main reasons why project managers need to understand their organization's mission and strategy. The first reason is so they can make appropriate decisions and adjustments. For example, how a project manager would respond to a suggestion to modify the design of a product to enhance performance will vary depending upon whether his company strives to be a product leader through innovation or to achieve operational excellence through low cost solutions. The second reason project managers need to understand their organization's strategy is so that they can be effective project advocates. Project managers have to be able to demonstrate to senior management how their project contributes to their firm's mission.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

6. Project managers who do not understand the role that their project plays in accomplishing the organization's strategy tend to make all the following mistakes except:
A. Focusing on low priority problems
B. Overemphasizing technology as an end in and of itself
C. Focusing on the immediate customer
D. Trying to solve every customer issue
E. All the above are likely mistakes

See list on page 24.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

7. In today's business environment, project managers find it valuable to have a keen understanding of
A. Strategic management
B. Technical issues
C. Project selection process
D. Both A and C are correct
E. A, B, and C are all correct

Project managers need to understand their organization's strategy is so that they can be effective project advocates. Project managers have to be able to demonstrate to senior management how their project contributes to their firm's mission. Protection and continued support come from being aligned with corporate objectives. Project managers also need to be able to explain to team members and other stakeholders why certain project objectives and priorities are critical. This is essential for getting buy-in on contentious trade-off decisions. For these reasons project managers will find it valuable to have a keen understanding of strategic management and project selection processes.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

8. The textbook indicated that_____is the major dimension of strategic management.
A. Responding to changes in the external market
B. Allocating scarce resources of the organization
C. Beating competition to the market
D. Both a and b are correct
E. Both a and c are correct

Two major dimensions of strategic management are responding to changes in the external environment and allocating scarce resources of the firm to improve its competitive position.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

9. Which of the following is not true for strategic management?
A. It should be done once each year just before developing the operating plan
B. It supports consistency of action at every level of the organization
C. It develops an integrated and coordinated long-term plan of action
D. It positions the firm to meet the needs of its customers
E. All of these are true statements

Two major dimensions of strategic management are responding to changes in the external environment and allocating scarce resources of the firm to improve its competitive position. Constant scanning of the external environment for changes is a major requirement for survival in a dynamic competitive environment.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Strategic Management Process: An Overview
Level: Difficult

10. Which of the following is the correct order for the strategic management process?
A. Strategies, mission, goals, projects
B. Goals, projects, mission, strategies
C. Mission, goals, strategies, projects
D. Goals, mission, strategies, projects
E. Projects, mission, strategies, goals

See list on page 26.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Strategic Management Process: An Overview
Level: Difficult

11. Which of the following questions does the organization's mission statement answer?
A. What are our long-term strategies?
B. What are our long-term goals and objectives?
C. How do we operate in the existing environment?
D. What do we want to become?
E. All of these are answered by the mission statement

The mission identifies "what we want to become," or the raison d'être. Mission statements identify the scope of the organization in terms of its product or service.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

12. Which of the following is not one of the traditional components found in mission statements?
A. Major products and services
B. Profitability
C. Target customers and markets
D. Geographic domain
E. Contribution to society

Traditional components found in mission statements are major products and services, target customers and markets, and geographical domain. In addition, statements frequently include organizational philosophy, key technologies, public image, and contribution to society.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Strategic Management Process: An Overview
Level: Difficult

13. Which of the following is not one of the characteristics of effective objectives?
A. Realistic
B. Assignable
C. Flexible
D. Specific
E. Measurable

See Exhibit 2-1 on page 29.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

14. Strategy formulation includes which of the following activities?
A. Determining alternatives
B. Creating profitability targets
C. Evaluating alternatives
D. Both a and c are correct
E. A, B, and C are all correct

Strategy formulation includes determining and evaluating alternatives that support the organization's objectives and selecting the best alternative.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

15. The assessment of the external and internal environments is called_____analysis.
A. SWOT analysis
B. Competitive
C. Industry
D. Market
E. Strategic

The keys are to attempt to forecast fundamental industry changes and stay in a proactive mode rather than a reactive one. This assessment of the external and internal environments is known as the SWOT analysis (strengths, weaknesses, opportunities, and threats).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

16. Which of the following would not be classified as an organizational threat?
A. Slowing of the economy
B. A maturing life cycle
C. Poor product quality
D. Government regulations
E. All of these are organizational threats

Examples of perceived external threats could be a slowing of the economy, a maturing life cycle, exchange rates, or government regulation.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

17. Which of the following would not be classified as an organizational opportunity?
A. Increasing product demand
B. Excellent employees
C. Emerging markets
D. demographics
E. All of these are organizational opportunities

Typical opportunities are increasing demand, emerging markets, and demographics. Managers or individual firms have limited opportunities to influence such external environmental factors; however, in recent years notable exceptions have been new technologies such as Apple using the iPod to create a market to sell music.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

18. Which of the following is not one of the requirements for successful implementation of strategies through projects?
A. Allocation of resources
B. Prioritizing of projects
C. Motivation of project contributors
D. Adequate planning and control systems
E. All of these are requirements

First, completing tasks requires allocation of resources. Resources typically represent funds, people, management talents, technological skills, and equipment. Frequently, implementation of projects is treated as an "addendum" rather than an integral part of the strategic management process. However, multiple objectives place conflicting demands on organizational resources. Second, implementation requires a formal and informal organization that complements and supports strategy and projects. Authority, responsibility, and performance all depend on organization structure and culture. Third, planning and control systems must be in place to be certain project activities necessary to ensure strategies are effectively performed. Fourth, motivating project contributors will be a major factor for achieving project success. Finally, an area receiving more attention in recent years is prioritizing projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Difficult

19. Which of the following terms is often used to denote a project that a powerful, high-ranking official is advocating?
A. Sacred cow
B. Pet project
C. Political necessity
D. Special undertaking
E. Strategic ploy

The term "sacred cow" is often used to denote a project that a powerful, high-ranking official is advocating.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Easy

20. Susie's department is implementing many projects. She finds herself starting and stopping work on one task to go and work on another task, and then return to the work on the original task. Susie is experiencing
A. Poor scheduling
B. Excess work burden
C. Flexible tasking
D. Multitasking
E. Burnout

Resource sharing also leads to multitasking. Multitasking involves starting and stopping work on one task to go and work on another project, and then returning to the work on the original task. People working on several tasks concurrently are far less efficient, especially where conceptual or physical shutdown and startup are significant.

AACSB: Analytic
Bloom's: Application
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Medium

21. Project selection criteria are typically classified as:
A. Financial and non-financial
B. Short-term and long-term
C. Strategic and tactical
D. Required and optional
E. Cost and schedule

Although there are many criteria for selecting projects, selection criteria are typically identified as financial and nonfinancial.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Easy

22. Which of the following financial models are typically included in project selection?
A. Payback
B. Net present value
C. Internal rate of return
D. Both A and B are correct
E. A, B, and C are all correct

For most managers financial criteria are the preferred method to evaluate projects. These models are appropriate when there is a high level of confidence associated with estimates of future cash flows; These models are payback and net present value (NPV).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Medium

23. Projects are usually classified into all but one of the following categories. Which one is not one of the typical classifications?
A. Compliance and emergency
B. Operational
C. Strategic
D. Political necessity
E. All of these are typical classifications

Many organizations find they have three different kinds of projects in their portfolio: compliance and emergency (must do), operational, and strategic projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Medium

24. Which of the following is not one of the classifications for assessing a project portfolio?
A. Sacred cow
B. Bread-and-butter
C. Pearls
D. Oysters
E. White elephants

See list on page 49.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

25. A project screening matrix typically contains all of the following except:
A. The list of available projects
B. Specific criteria
C. Weights assigned to specific criteria
D. Costs to complete each project
E. All of the above are typically contained

See Figure 2.3 on page 41 representing a project scoring matrix.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: A Portfolio Management System
Level: Difficult

26. Which of the following is the reason(s) why project managers need to understand their organization's mission and strategy?
A. To make appropriate decisions and adjustments
B. To be effective project advocates
C. To be able to get their job done
D. Both A and B are correct
E. A, B, and C are all correct

There are two main reasons why project managers need to understand their organization's mission and strategy. The first reason is so they can make appropriate decisions and adjustments. For example, how a project manager would respond to a suggestion to modify the design of a product to enhance performance will vary depending upon whether his company strives to be a product leader through innovation or to achieve operational excellence through low cost solutions. The second reason project managers need to understand their organization's strategy is so that they can be effective project advocates. Project managers have to be able to demonstrate to senior management how their project contributes to their firm's mission.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

27. In the Snapshot from Practice, Intel's CEO has concentrated Intel's strategy toward?
A. Creating chips to support the digital device market
B. Eliminating AMD as a competitor
C. Strengthening Intel's position in the PC market
D. Expanding Intel's international market
E. Expand efforts in the mainframe computer market

Barrett wants INTEL chips to be the guts of every digital device on the planet—especially in the communications, consumer electronics, and entertainment industries. Think—cell phones, wireless home networks, video players, flat panel TVs—INTEL's expertise fits right in.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

28. Which of the following is not true of multi-weighted scoring models?
A. Will include quantitative criteria
B. Will include qualitative criteria
C. Each criterion is assigned a weight
D. Projects with higher scores are considered more desirable
E. All of the above are true

A weighted scoring model typically uses several weighted selection criteria to evaluate project proposals. Weighted scoring models will generally include qualitative and/or quantitative criteria. Each selection criterion is assigned a weight. Scores are assigned to each criterion for the project, based on its importance to the project being evaluated. The weights and scores are multiplied to get a total weighted score for the project. Using these multiple screening criteria, projects can then be compared using the weighted score. Projects with higher weighted scores are considered better.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Difficult

29. A major project proposal form will likely include all of the following except:
A. Project Classification
B. Schedule objective
C. Major deliverables of the project
D. How success will be measured
E. All of these are likely to be included

See Figure 2.4A on page 44 for an example of A Proposal Form

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Applying a Selection Model
Level: Medium

30. Which of the following is a common multicriteria selection model?
A. Checklist
B. Net Present Value
C. Weighted criteria model
D. Both A and C are correct
E. All of these are common multicriteria selection models

Since no single criterion can reflect strategic significance, portfolio management requires multi-criteria screening models. There are two models, the checklist and multiweighted scoring models.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

Fill in the Blank Questions

31. Successful_____requires strong links among mission statements, goals, objectives, and strategies.
strategic management

Strategic management requires strong links among mission, goals, objectives, strategy, and implementation.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: A Portfolio Management System
Level: Medium

32. _____change infrequently and may require revision only when the nature of the business changes or shifts.
Mission statements

Mission statements change infrequently; however, when the nature of the business changes or shifts, a revised mission statement may be required.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

33. _____translate the organization's mission statement into specific, concrete, and measurable terms.
Objectives

Objectives translate the organization mission into specific, concrete, measurable terms. Organizational objectives set targets for all levels of the organization.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

34. _____answers the question of how strategies will be realized, given available resources.
Implementation

Implementation answers the question of how strategies will be realized, given available resources. The conceptual framework for strategy implementation lacks the structure and discipline found in strategy formulation.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

35. Project_____are typically high-ranking managers who endorse and lend political support for the completion of a specific project.
sponsors

Project sponsors are typically high-ranking managers who endorse and lend political support for the completion of a specific project. They are instrumental in winning approval of the project and in protecting the project during the critical development stage.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Medium

36. A weighted scoring model such as_____ typically uses several weighted selection criteria to evaluate project proposals.
Project Screening Matrix

A weighted scoring model typically uses several weighted selection criteria to evaluate project proposals. Weighted scoring models will generally include qualitative and/or quantitative criteria. Each selection criterion is assigned a weight. Scores are assigned to each criterion for the project, based on its importance to the project being evaluated. The weights and scores are multiplied to get a total weighted score for the project. Using these multiple screening criteria, projects can then be compared using the weighted score. Projects with higher weighted scores are considered better.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: A Portfolio Management System
Level: Difficult

37. The_____identifies what the organization wants to become and the scope of the firm in terms of its product or service.
mission statement

The mission identifies "what we want to become," or the raison d'être. Mission statements identify the scope of the organization in terms of its product or service.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

38. In a SWOT analysis, good product quality, low debt, and an established dealer network are examples of positive_____.
strengths

Examples of internal strengths could be core competencies, such as technology, product quality, management talent, low debt, and dealer networks.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

39. In a SWOT analysis, strong competition, reduced product demand, and a maturing product life cycle are examples of_____.
threats

Examples of perceived external threats could be a slowing of the economy, a maturing life cycle, exchange rates, or government regulation.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

40. The assessment of the internal and external environments is known as a_____.
SWOT analysis

The keys are to attempt to forecast fundamental industry changes and stay in a proactive mode rather than a reactive one. This assessment of the external and internal environments is known as the SWOT analysis (strengths, weaknesses, opportunities, and threats).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

41. Apple Computers has been successful in developing a turnaround strategy that has developed new markets and increased market share. This began with strict adherence to the _____.
Mission Statement

Since Steve Jobs returned to Apple Computers as CEO in 1997, he has been strikingly successful in developing a turnaround strategy that has developed new markets and increased market share. It all begins with strict adherence to their mission statement.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

42. The term_____is often used to denote a project that a powerful, high-ranking official is advocating.
sacred cow

Project selection may be based not so much on facts and sound reasoning, but rather on the persuasiveness and power of people advocating projects. The term "sacred cow" is often used to denote a project that a powerful, high-ranking official is advocating.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Easy

43. Xerox's ALTO computer and the Ford Mustang are examples of the significance that _____can play in project management.
politics

Politics can play a role not only in project selection but also in the aspirations behind projects. Individuals can enhance their power within an organization by managing extraordinary and critical projects. Power and status naturally accrue to successful innovators and risk takers rather than to steady producers. Many ambitious managers pursue high-profile projects as a means for moving quickly up the corporate ladder.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Medium

44. Capacity overload which inevitably leads to confusion and inefficient use of scarce resources is an_____.
implementation gap

Capacity overload inevitably leads to confusion and inefficient use of scarce organizational resources. The presence of an implementation gap, of power politics, and of multitasking adds to the problem of which projects are allocated resources first.

AACSB: Analytic
Bloom's: Application
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Medium

45. The_____financial model measures the time it will take to recover the project investment.
payback

The payback model measures the time it will take to recover the project investment. Shorter paybacks are more desirable. Payback is the simplest and most widely used model.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Easy

46. The_____financial model measures the current value of all cash inflows and outflows using management's minimum desired rate of return.
net present value (NPV)

The net present value (NPV) model uses management's minimum desired rate-of-return (discount rate, for example, 20 percent) to compute the present value of all net cash inflows.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Easy

47. In classifying the kinds of projects an organization has in its portfolio,_____projects are typically those needed to meet regulatory conditions required to operate in a region.
compliance (must do)

Compliance projects are typically those needed to meet regulatory conditions required to operate in a region; hence, they are called "must do" projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Easy

48. In classifying the kinds of projects an organization has in its portfolio,_____projects are typically those needed to support current operations.
operational

Operational projects are those that are needed to support current operations. These projects are designed to improve efficiency of delivery systems, reduce product costs, and improve performance.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Easy

49. In classifying the kinds of projects an organization has in its portfolio,_____projects are typically those that directly support the organization's long run mission.
strategic

Strategic projects are those that directly support the organization's long-run mission. They frequently are directed toward increasing revenue or market share.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Easy

50. Using the Project Portfolio Matrix, software upgrades and manufacturing cost reduction projects are examples of_____projects that involve evolutionary improvements to existing products.
Bread-and-Butter

Bread and butter projects typically involve evolutionary improvements to current products and services. Examples include software upgrades and manufacturing cost reduction efforts.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

51. In some cases organizations will use a_____to solicit ideas for projects when the knowledge requirements for the project are not available in the organization.
RFP (Request for Proposal)

Organizations will solicit ideas for projects when the knowledge requirements for the project are not available in the organization. Typically, the organization will issue an RFP (Request for Proposal) to contractors/vendors with adequate experience to implement the project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Applying a Selection Model
Level: Medium

52. A_____will typically include a list of potential projects, several criteria, weights for those criteria, and criteria scores for those projects.
Project Screening Matrix

See Figure 2.3 on page 41 representing a project scoring matrix.

AACSB: Analytic
Bloom's: Analysis
Learning Objective: A Portfolio Management System
Level: Medium

53. The most common approach to selecting project has been to use the_____model.
Checklist

The most frequently used method in selecting projects has been the checklist. This approach basically uses a list of questions to review potential projects and to determine their acceptance or rejection.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

True / False Questions

54. Project Management historically has been preoccupied solely with the planning and execution of projects while strategy was under the purview of senior management.
TRUE

Project management historically has been preoccupied solely with the planning and execution of projects. Strategy was considered to be under the purview of senior management; which is old-school thinking.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

55. The problem in many organizations is not with formulating strategies but with implementing the strategies.
TRUE

The problem in many organizations is implementing strategies—that is, making them happen. Integration of strategy formulation and implementation often does not exist.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

56. A written mission statement provides focus for decision making when shared by organizational managers and employees.
TRUE

A written mission statement provides focus for decision making when shared by organizational managers and employees. Everyone in the organization should be keenly aware of the organization's mission.

AACSB: Reflective Thinking
Bloom's: Synthesis
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

57. Effective objectives can be created to apply only at the department level and not relating to organizational objectives.
FALSE

Each level below the organizational objectives should support the higher level objectives in more detail; this is frequently called cascading of objectives.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

58. Organizational objectives set targets for all levels of the organization not just for top management.
TRUE

Organizational objectives set targets for all levels of the organization. Objectives pinpoint the direction managers believe the organization should move toward. Objectives answer in detail where a firm is headed and when it is going to get there.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

59. Formulating strategy answers the questions *who* and *when* the tasks will be performed to reach objectives.
FALSE

Formulating strategy answers the question of what needs to be done to reach objectives.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

60. Strategy formulation ends with cascading objectives or projects assigned to lower divisions, departments, or individuals.
TRUE

Strategy formulation includes determining and evaluating alternatives that support the organization's objectives and selecting the best alternative. The first step is a realistic evaluation of the past and current position of the enterprise.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

61. If a proposed project does not meet one of the designated "must" objectives it is immediately removed from consideration.
TRUE

If a project does not meet designated "must" objectives, it is not considered and removed from consideration.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Applying a Selection Model
Level: Medium

62. Using the Project Portfolio Matrix, revolutionary commercial advances using proven technical advances are classified as Oyster projects.
FALSE

Oysters involve technological breakthroughs with high commercial payoffs. Examples include embryonic DNA treatments and new kinds of metal alloys.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

63. It is necessary to have exactly the same strategic and operations criteria for different projects
FALSE

It is not necessary to have exactly the same criteria for the different types of projects discussed above (strategic and operations). However, experience shows most organizations use similar criteria across all types of projects, with perhaps one or two criteria specific to the type of project—e.g., strategic breakthrough versus operational.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Applying a Selection Model
Level: Easy

64. The two axes of the Project Portfolio Matrix are technical feasibility and commercial potential.
TRUE

The vertical axis reflects a project's probability of success (the technical feasibility). The horizontal axis reflects potential commercial value.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

65. Many organizations find they have three different kinds of projects in their portfolio, compliance, operational, and sacred cows.
Refer to 2.2
FALSE

Many organizations find they have three different kinds of projects in their portfolio: compliance and emergency (must do), operational, and strategic projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Medium

66. The first step in the Strategic Management Process is to set long-range goals and objectives.
FALSE

The first step is: Review and define the organizational mission.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

67. Reviewing and revising the organization's mission is best achieve through the use of a SWOT analysis.
TRUE

This assessment of the external and internal environments is known as the SWOT analysis (strengths, weaknesses, opportunities, and threats). From this analysis, critical issues and a portfolio of strategic alternatives are identified. These alternatives are compared with the current portfolio and available resources; strategies are then selected that should support the basic mission and objectives of the organization.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Easy

68. Opportunities and threats are the flip sides of each other; that is, a threat can be viewed as an opportunity, and vice versa.
TRUE

Opportunities and threats are the flip sides of each other. That is, a threat can be perceived as an opportunity, or vice versa. Examples of perceived external threats could be a slowing of the economy, a maturing life cycle, exchange rates, or government regulation.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

69. The information gap refers to the lack of understanding and consensus of organization strategy among top and middle-level managers.
FALSE

The implementation gap refers to the lack of understanding and consensus of organization strategy among top and middle-level managers.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Easy

70. One way to offset the influence of politics on project management within an organization is to have a well-defined project selection model.
TRUE

Top management needs to develop a system for identifying and selecting projects that reduces the impact of internal politics and fosters the selection of the best projects for achieving the mission and strategy of the firm.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Medium

71. Lee Iacocca's career was built on successfully leading the design and development of the highly successful Ford Mustang.
TRUE

Lee Iacocca's career was built on successfully leading the design and development of the highly successful Ford Mustang.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Easy

72. Generally, people working on several projects at the same time are more efficient than having several people working part-time on the same projects.
FALSE

People working on several tasks concurrently are far less efficient, especially where conceptual or physical shutdown and startup are significant. Multitasking adds to delays and costs.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Medium

73. The NPV financial model measures the time it will take to recover the project investment.
FALSE

The net present value (NPV) model uses management's minimum desired rate-of-return (discount rate, for example, 20 percent) to compute the present value of all net cash inflows.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Portfolio Management System
Level: Medium

74. Intel's CEO, Craig R. Barrett, is envisioning Intel's future as being beyond computers and to include all digital products as Intel's potential customers.
TRUE

Barrett wants INTEL chips to be the guts of every digital device on the planet—especially in the communications, consumer electronics, and entertainment industries. Think—cell phones, wireless home networks, video players, flat panel TVs—INTEL's expertise fits right in.

AACSB: Reflective Thinking
Bloom's: Application
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

75. Multi-weighted scoring models include only quantitative criteria, not qualitative.
FALSE

Weighted scoring models will generally include qualitative and/or quantitative criteria.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

Short Answer Questions

76. "Politics and project management should not mix." Agree or Disagree and support your position.

Projects and politics invariably mix and effective project managers recognize that any significant project has political ramifications. A good project selection process will minimize the impact of internal politics.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Difficult

77. Identify and briefly discuss the three intended outcomes of integrating and linking projects with the strategic plan.

1) clear organization focus, 2) best use of scarce organization resources (people, equipment, and capital), and 3) improved communication across projects and departments.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Difficult

78. What is *strategic management*?

Strategic management is the process of assessing "what we are" and deciding and implementing "what we intend to be and how we are going to get there."

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

79. Identify and briefly describe the four components of strategic management and why they must be strongly linked.

1) mission, 2) goals and objectives, 3) strategy, and 4) implementation

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

80. The typical Strategic Management Process includes four activities. Identify and briefly describe each of those four activities.

1) Review and define the organizational mission, 2) Set long-range goals and objectives, 3) Analyze and formulate strategies to reach objectives, and 4) Implement strategies through projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

81. Identify and briefly describe the five characteristics of effective objectives.

1) Specific, 2) Measurable, 3) Assignable, 4) Realistic, and 5) Time related

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Medium

82. What is a SWOT analysis and how does it relate to the Strategic Management Process?

It is an assessment of the internal and external environments and id the link between reviewing the current mission statement and the development of goals and objectives.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Strategic Management Process: An Overview
Level: Difficult

83. What is the *implementation gap* and why is it important to project management?

The implementation gap refers to the lack of understanding and consensus of organization strategy among top and middle-level managers. If managers lack a common understanding of the priority for a given set of projects, then the achievement of long-range goals will be impossible.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Need for an Effective Project Portfolio Management System
Level: Medium

84. Identify and briefly discuss the three classes of projects usually found in an organization's project portfolio.

1) compliance and emergency, 2) operational, and 3) strategic

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: A Portfolio Management System
Level: Medium

85. Draw the Project Portfolio Matrix identifying the major elements on the drawing.

see Figure 2.7 in your text

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: A Portfolio Management System
Level: Difficult

86. Identify and briefly describe five of the benefits of Project Portfolio Management.

See Exhibit 2-2 in your text for the complete list

AACSB: Analytic
Bloom's: Application
Learning Objective: A Portfolio Management System
Level: Difficult

87. Why is profitability alone not an adequate measure of a project's value to an organization?

Today management is interested in identifying the potential mix of projects that will yield the best use of human and capital resources to maximize return on investment in the long run. Factors such as researching new technology, public image, ethical position, protection of the environment, core competencies, and strategic fit might be important criteria for selecting projects.

AACSB: Analytic
Bloom's: Application
Learning Objective: A Portfolio Management System
Level: Medium

88. What are the two major shortcomings of using the Checklist approach to project selection?

1) failure to determine the relative importance of the project to the firm and 2) fails to compare to other potential projects

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: A Portfolio Management System
Level: Difficult

Chapter 03 Organization: Structure and Culture Answer Key

Multiple Choice Questions

1. Organizational culture is best explained as organizational
A. Personality
B. Hierarchy
C. Reporting relationships
D. Background
E. Management style

A simple explanation of organizational culture is that it reflects the "personality" of an organization.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Easy

2. A good project management system provides for defining the interface between the project team and the organization in all the following areas except
A. Authority
B. Allocation of resources
C. Development of project team members
D. Integration of the project into the organization
E. All of these are provided

A project management system provides a framework for launching and implementing project activities within a parent organization. A good system appropriately balances the needs of both the parent organization and the project by defining the interface between the project and parent organization in terms of authority, allocation of resources, and eventual integration of project outcomes into mainstream operations.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

3. Organizations have difficulty in creating a system for managing projects because
A. Contrary to typical operations, projects are one-time efforts
B. Projects are multidisciplinary while organizations are usually departmentalized by discipline
C. Projects are not focused on profits
D. Both a and b are correct
E. A, B, and C are all correct

Many business organizations have struggled with creating a system for organizing projects while managing ongoing operations.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Project Management Structure
Level: Difficult

4. The structure that manages projects within the existing organizational structure is _____organization.
A. Functional
B. Balanced matrix
C. Weak matrix
D. Strong matrix
E. Project

One approach to organizing projects is to simply manage them within the existing functional hierarchy of the organization. Once management decides to implement a project, the different segments of the project are delegated to the respective functional units with each unit responsible for completing its segment of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Easy

5. Bill is working on a project involving the upgrading of a management information system. The project is being managed by the information systems department with coordination with other departments occurring through normal channels. He is working in a _____ organization.
A. Functional
B. Balanced matrix
C. Weak matrix
D. Strong matrix
E. Project

Once management decides to implement a project, the different segments of the project are delegated to the respective functional units with each unit responsible for completing its segment of the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

6. Which of the following is an advantage of a functional project management organization?
A. Maximum flexibility in the use of staff
B. Good integration across functional units
C. Shorter project duration
D. Strong motivation of project team members
E. All of these are advantages

There is maximum flexibility in the use of staff. Appropriate specialists in different functional units can temporarily be assigned to work on the project and then return to their normal work.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Project Management Structure
Level: Difficult

7. Which of the following is a disadvantage of functional project management organization?
A. Lack of motivation of project team members
B. Longer project duration
C. Lack of focus on the project
D. Both b and c are correct
E. A, B, and C are all correct

See list on pages 68-69.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Project Management Structure
Level: Difficult

8. Kim is reviewing a proposed project. The scope of the project is narrow with a lot of in-depth expertise required and it will take a short period of time to complete. The best choice for organizing the project is_____organization.
A. Functional
B. Balanced matrix
C. Weak matrix
D. Strong matrix
E. Project

Top management decides to implement the project, and different segments of the project are distributed to appropriate areas.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

9. A project team that operates with a full-time project manager as a separate unit from the rest of the organization is structured as a_____ organization.
A. Functional
B. Balanced matrix
C. Weak matrix
D. Strong matrix
E. Projectized

Instead of one or two special projects, the organization consists of sets of quasi-independent teams working on specific projects. The main responsibility of traditional functional departments is to assist and support these project teams. This type of organization is referred to in the literature as a Projectized Organization.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Easy

10. Which of the following combinations represents the extremes of project organization?
A. Strong matrix and balanced matrix organizations
B. Functional and dedicated project teams
C. Project and balanced matrix organizations
D. Project and strong matrix organizations
E. Strong matrix and functional organizations

The functional organization is also commonly used when, given the nature of the project, one functional area plays a dominant role in completing the project or has a dominant interest in the success of the project. At the other end of the structural spectrum is the creation of dedicated project teams. These teams operate as separate units from the rest of the parent organization.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Medium

11. MegaComputers, Inc. has assigned a project manager for each of the five new-product teams. The managers as well as the project team members work on the projects on a full-time basis. The structure being used is_____organization.
A. Functional
B. Balanced matrix
C. Weak matrix
D. Strong matrix
E. Project

Instead of one or two special projects, the organization consists of sets of quasi-independent teams working on specific projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

12. Which of the following structures is referred to in popular literature as a *projectized* form of organizations?
A. Functional organization
B. Balanced matrix organization
C. Weak matrix organization
D. Strong matrix organization
E. Projectized organization

In the case of firms where projects are the dominant form of business, such as a construction firm or a consulting firm, the entire organization is designed to support project teams. Instead of one or two special projects, the organization consists of sets of quasi-independent teams working on specific projects. The main responsibility of traditional functional departments is to assist and support these project teams.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Medium

13. Elizabeth is considering how to structure a project team that will not directly disrupt ongoing operations. The project needs to be done quickly and a high level of motivation will be needed in order to do that. For this situation, the_____organization would be the best choice.
A. Functional
B. Balanced matrix
C. Weak matrix
D. Strong matrix
E. Project

In many cases, the project team approach is the optimum approach for completing a project when you view it solely from the standpoint of what is best for completing the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

14. *Projectitis* is most likely to occur in the_____organization structure.
A. Functional
B. Balanced matrix
C. Weak matrix
D. Strong matrix
E. Project

Sometimes dedicated project teams take on an entity of their own and a disease known as projectitis develops. See Snapshot from Practice: Projectitis—The Dark Side. A strong we-they divisiveness emerges between the project team and the parent organization.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Medium

15. Computers R Us is concerned about keeping project costs low and wants to be sure that all pools of expertise are used. Additionally they want to minimize duplication of efforts across projects. Their best choice for project management structure is the_____organization structure.
A. Functional
B. Balanced matrix
C. Weak matrix
D. Strong matrix
E. Project

Specialists from different areas work closely together and, with proper guidance, become committed to optimizing the project, not their respective areas of expertise.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

16. _____organization is a hybrid form in which a horizontal project management structure is overlaid in the normal functional hierarchy.
A. Functional
B. Matrix
C. Project
D. Balanced
E. A, B, and C are all correct

Matrix management is a hybrid organizational form in which a horizontal project management structure is "overlaid" on the normal functional hierarchy.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Medium

17. A project management system provides a framework for launching and implementing project activities within a_____organization.
A. Matrix
B. Balanced
C. Weak
D. Sponsor
E. Parent

A project management system provides a framework for launching and implementing project activities within a parent organization.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

18. In which of the following is the balance of authority strongly in favor of the functional managers?
A. Weak matrix
B. Balanced matrix
C. Strong matrix
D. Strong
E. Both C and D are correct

This form attempts to create the "feel" of a project team within a matrix environment. The project manager controls most aspects of the project, including scope trade-offs and assignment of functional personnel. The project manager controls when and what specialists do and has final say on major project decisions. The functional manager has title over her people and is consulted on a need basis. In some situations a functional manager's department may serve as a "subcontractor" for the project, in which case they have more control over specialized work.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Easy

19. The project manager has the responsibility to answer which of the following questions?
A. What task has to be done?
B. Who will do the task?
C. How will the task be done?
D. How well has the functional input been integrated?
E. Why will the task be done?

See table 3.1 on page 73.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

20. Matrix management violates the management principle of
A. Span of control
B. Unity of command
C. Parity principle
D. Empowerment
E. All of these management principles

Matrix management violates the management principle of unity of command. Project participants have at least two bosses—their functional head and one or more project managers.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Medium

21. All are negotiated issues except:
A. Who will do the task?
B. Where will the task be done?
C. Why will the task be done?
D. Is the task satisfactorily completed?
E. The total cost of the project

See table 3.1 on page 73.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Easy

22. The project structure that is ranked as least effective is_____organization.
A. Functional
B. Balanced matrix
C. Weak matrix
D. Strong matrix
E. Project

The functional organization is also commonly used when, given the nature of the project, one functional area plays a dominant role in completing the project or has a dominant interest in the success of the project. Under these circumstances, a high-ranking manager in that area is given the responsibility of coordinating the project. For example, the transfer of equipment and personnel to a new office would be managed by a top-ranking manager in the firm's facilities department. Likewise, a project involving the upgrading of the management information system would be managed by the information systems department. In both cases, most of the project work would be done within the specified department and coordination with other departments would occur through normal channels.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

23. The project structure that is ranked as most effective for developing new products is _____organization.
A. Functional
B. Balanced matrix
C. Weak matrix
D. Strong matrix
E. Project

Instead of one or two special projects, the organization consists of sets of quasi-independent teams working on specific projects. The main responsibility of traditional functional departments is to assist and support these project teams. For example, the marketing department is directed at generating new business that will lead to more projects, while the human resource department is responsible for managing a variety of personnel issues as well as recruiting and training new employees.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Medium

24. From the list below, which is not a primary characteristic of organization culture?
A. Control
B. Team emphasis
C. History
D. Conflict tolerance
E. Risk tolerance

Organizational culture refers to a system of shared norms, beliefs, values, and assumptions which binds people together, thereby creating shared meanings.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Organizational Culture
Level: Medium

25. Factors in identifying cultural characteristics include all the following except
A. Norms.
B. Customs.
C. Values.
D. Both B and C are correct.
E. A, B, and C are all correct.

Organizational culture refers to a system of shared norms, beliefs, values, and assumptions which binds people together, thereby creating shared meanings. This system is manifested by customs and habits that exemplify the values and beliefs of the organization.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Organizational Culture
Level: Medium

26. Who is responsible for determining how tasks will be done in a matrix project management structure?
A. The functional manager
B. The project manager
C. Both are responsible
D. This is no pattern of who takes responsibility
E. None of these are true

Matrix management is a hybrid organizational form in which a horizontal project management structure is "overlaid" on the normal functional hierarchy. In a matrix system, there are usually two chains of command, one along functional lines and the other along project lines. Instead of delegating segments of a project to different units or creating an autonomous team, project participants report simultaneously to both functional and project managers.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Easy

27. Who is responsible for determining what tasks have to be done in a matrix project management structure?
A. The functional manager
B. The project manager
C. Both are responsible
D. This is no pattern of who takes responsibility
E. None of these are true

The project manager controls most aspects of the project, including scope trade-offs and assignment of functional personnel. The project manager controls when and what specialists do and has final say on major project decisions.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Easy

28. The Macintosh development team at Apple is a good example of what kind of project structure?
A. Project
B. Balanced Matrix
C. Project Matrix
D. Functional Matrix
E. Functional

See Snapshot on Page 71: Projectitis. A we-they attitude can emerge between project team members and the rest of the organization. The project team succumbs to hubris and develops a holier than- thou attitude that antagonizes the parent organization. People not assigned to the project become jealous of the attention and prestige being showered on the project team, especially when they believe that it is their hard work that is financing the endeavor.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Easy

29. The Organizational Culture Diagnosis Worksheet classifies cultural characteristics into all of the following except:
A. Physical characteristics
B. Public documents
C. Behavior
D. Folklore
E. Ethics

See page 82 Figure 3.6 Organizational Culture Diagnosis Worksheet.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Organizational Culture
Level: Medium

30. Which of the following cultural characteristics relates to the degree to which employees identify with the organization as a whole rather than with their type of job or field of professional expertise?
A. Member identity
B. Team emphasis
C. Managerial focus
D. Unit integration
E. Control

Member identity is the degree to which employees identify with the organization as a whole rather than with their type of job or field of professional expertise.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organizational Culture
Level: Easy

31. Which of the following cultural characteristics relates to the degree to which work activities are organized around groups rather than individuals?
A. Member identity
B. Team emphasis
C. Managerial focus
D. Unit integration
E. Control

Team emphasis is the degree to which work activities are organized around groups rather than individuals.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Organizational Culture
Level: Easy

32. Which of the following is not one of the typical forms of a project management office?
A. Command center
B. Control tower
C. Resource pool
D. Weather station
E. All of these are typical forms of a project management office

See Snapshot from Practice on page 78.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: What Is the Right Project Management Structure?
Level: Easy

33. Which of the following cultural characteristics relates to the degree to which groups within the organization are encouraged to operate in a coordinated or independent manner?
A. Member identity
B. Team emphasis
C. Managerial focus
D. Unit integration
E. Control

Unit integration is the degree to which units within the organization are encouraged to operate in a coordinated or interdependent manner.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organizational Culture
Level: Easy

34. Which of the following cultural characteristics relates to the degree to which management focuses on outcomes rather than on techniques and processes used to achieve those results?
A. Risk tolerance
B. Reward criteria
C. Conflict tolerance
D. Means versus end orientation
E. Open-systems focus

Means versus end orientation is the degree to which management focuses on outcomes rather than on techniques and processes used to achieve those results.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Organizational Culture
Level: Easy

Fill in the Blank Questions

35. A simple explanation of_____is that it reflects the personality of an organization.
organizational culture

Organizational culture refers to a system of shared norms, beliefs, values, and assumptions which binds people together, thereby creating shared meanings.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Organizational Culture
Level: Easy

36. The_____organizational approach to project management uses the existing hierarchy of the organization to manage projects.
functional

One approach to organizing projects is to simply manage them within the existing functional hierarchy of the organization. Once management decides to implement a project, the different segments of the project are delegated to the respective functional units with each unit responsible for completing its segment of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Easy

37. One of the major advantages of the_____organizational approach to project management is that specialists in different departments can temporarily be assigned to work on the project and then return to their normal work.
functional

Once management decides to implement a project, the different segments of the project are delegated to the respective functional units with each unit responsible for completing its segment of the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

38. Two of the major disadvantages of the_____organizational approach to project management are that projects may lack focus and it can take longer to complete projects.
functional

These disadvantages are particularly pronounced when the scope of the project is broad and one functional department does not take the dominant technological and managerial lead on the project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Medium

39. At Apple Computer, the Macintosh development team was isolated in a separate building and given the prime directive to develop a breakthrough computer as quickly as possible. This is an example of using the_____organizational approach to project management.
project

The project manager recruits necessary personnel from both within and outside the parent company. The subsequent team is physically separated from the parent organization and given marching orders to complete the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

40. A high level of motivation and the tendency for projects to get done more quickly are benefits of using the_____organizational approach to project management.
project

A high level of motivation and cohesiveness often emerges within the project team. Participants share a common goal and personal responsibility toward the project and the team.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

41. _____, a strong feeling of we-they divisiveness, can undermine the integration of the eventual outcomes of the project into mainstream operations.
Projectitis

Sometimes dedicated project teams take on an entity of their own and a disease known as projectitis develops. See Snapshot from Practice: Projectitis—The Dark Side. A strong we-they divisiveness emerges between the project team and the parent organization.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Easy

42. In a_____system, there are usually two chains of command, one along functional lines and the other along project lines.
matrix

Matrix management is a hybrid organizational form in which a horizontal project management structure is "overlaid" on the normal functional hierarchy.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Easy

43. The_____structure is designed to optimally utilize resources by having individuals work on multiple projects as well as being capable of performing normal functional duties.
matrix

Instead of delegating segments of a project to different units or creating an autonomous team, project participants report simultaneously to both functional and project managers.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Implications of Organizational Culture for Organizing Projects
Level: Medium

44. Strong, heavyweight, or_____is used to describe a matrix in which the balance of authority is strongly on the side of the project manager.
project matrix

When the dominant organization culture inhibits collaboration and innovation, it is advisable to insulate the project team from the dominant culture. Here it becomes necessary to create a self-sufficient project team. If a dedicated project team is impossible because of resource constraints, then at least a project matrix should be used where the project manager has dominant control over the project. In both cases, the managerial strategy is to create a distinct team subculture where a new set of norms, customs, and values evolve that will be conducive to project completion.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

45. One key factor that determines the relative importance of project and functional managers is the determination of which and how_____are to be performed.
tasks or activities

See table 3.1 on page 73.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Medium

46. Matrix management violates the management principle of_____.
unity of command

Matrix management violates the management principle of unity of command. Project participants have at least two bosses—their functional head and one or more project managers.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

47. The_____matrix form of project organization is likely to enhance project integration, diminish internal power struggles, and ultimately improve control of project activities and costs.
strong

The project manager controls when and what specialists do and has final say on major project decisions.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Medium

48. The_____matrix form of project organization is likely to improve technical quality as well as provide a better system for managing conflict across projects because the functional manager assigns personnel to different projects.
weak

The project manager basically acts as a staff assistant who draws the schedules and checklists, collects information on status of work, and facilitates project completion.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

49. The_____matrix form of project organization can achieve better equilibrium between technical and project requirements, but it is a very delicate system to create and manage.
balanced

This is the classic matrix in which the project manager is responsible for defining what needs to be accomplished while the functional managers are concerned with how it will be accomplished. More specifically, the project manager establishes the overall plan for completing the project, integrates the contribution of the different disciplines, sets schedules, and monitors progress.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Medium

50. _____were originally developed as a response to the poor track record many companies had in completing projects on time, within budget, and according to plan.
Project offices

See Page 78 Snapshot from Practice.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What Is the Right Project Management Structure?
Level: Medium

51. As more and more companies embrace project management as a critical vehicle for realizing corporate objectives, they are creating centralized_____to oversee and improve the management of projects.
project offices (POs)

See Page 78 Snapshot from Practice.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What Is the Right Project Management Structure?
Level: Medium

52. Research suggests that there is a strong connection between project management structure, organization_____, and project success.
culture

Culture reflects the personality of the organization and, similar to an individual's personality, can enable us to predict attitudes and behaviors of organizational members.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Organizational Culture
Level: Medium

53. Organization_____refers to a system of shared norms, beliefs, values, and assumptions which bind people together, thereby creating shared meanings.
culture

Organizational culture refers to a system of shared norms, beliefs, values, and assumptions which binds people together, thereby creating shared meanings.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Organizational Culture
Level: Medium

54. In a Snapshot from Practice, at_____Corporation, employees put in the hours necessary to get a job done, even if it requires staying up all night; however, they also may stay home to tend to a sick child and do makeup work at some other time.
Microsoft

See Page 81 Snapshot from Practice.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Organizational Culture
Level: Medium

55. In a_____PO structure, the primary function of the PMO is to track and monitor project performance.
weather station

The primary function of the weather station PO is to track and monitor project performance. It is typically created to satisfy top management's need to stay on top of the portfolio of projects under way in the firm.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What Is the Right Project Management Structure?
Level: Medium

56. In a_____PO structure, the primary function of the PMO is to provide the organization with a cadre of trained project managers and professionals.
resource pool

The goal of the resource pool PO is to provide the organization with a cadre of trained project managers and professionals. It operates like an academy for continually upgrading the skills of a firm's project professionals.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: What Is the Right Project Management Structure?
Level: Medium

57. In a_____PO structure, the primary function of the PMO is to improve project execution.
control tower

The primary function of the control tower PO is to improve project execution. It considers project management as a profession to be protected and advanced.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: What Is the Right Project Management Structure?
Level: Medium

58. _____refers to the degree to which the organization monitors and responds to changes in the external environment.
Open-systems focus

Open-systems focus is the degree to which the organization monitors and responds to changes in the external environment.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What Is the Right Project Management Structure?
Level: Medium

59. _____refers to the degree to which employees are encouraged to be aggressive, innovative, and risk seeking.
Risk tolerance

Risk tolerance is the degree to which employees are encouraged to be aggressive, innovative, and risk seeking.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What Is the Right Project Management Structure?
Level: Medium

True / False Questions

60. While organization culture is important to the overall function of an organization, it has minor influence on its project management.
FALSE

Culture reflects the personality of the organization and, similar to an individual's personality, can enable us to predict attitudes and behaviors of organizational members.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Organizational Culture
Level: Easy

61. Many organizations have struggled with project management organization because projects contradict fundamental design principals associated with traditional organizations.
TRUE

Many business organizations have struggled with creating a system for organizing projects while managing ongoing operations. One of the major reasons for this struggle is that projects contradict fundamental design principles associated with traditional organizations.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

62. The project form of project management structure is commonly used when one functional area plays a dominant role in completing the project or has a dominant interest in the success of the project.
FALSE

The functional organization is also commonly used when, given the nature of the project, one functional area plays a dominant role in completing the project or has a dominant interest in the success of the project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

63. The matrix form of project management structure is a good choice when the scope of the project is narrow and maximum flexibility in staff usage is important.
FALSE

If the scope of the project is narrow and the proper functional unit is assigned primary responsibility, then in-depth expertise can be brought to bear on the most crucial aspects of the project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

64. A disadvantage of using the functional form of project management structure is that projects generally take longer to complete.
TRUE

It generally takes longer to complete projects through this functional arrangement. This is in part attributable to slow response time—project information and decisions have to be circulated through normal management channels.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

65. The functional project team is usually physically separated from the parent organization and given the primary directive of accomplishing the objectives of the project.
FALSE

Dedicated project teams are teams which operate as separate units from the rest of the parent organization. Usually a full-time project manager is designated to pull together a core group of specialists who work full time on the project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Easy

66. In the projectized form of company organization the main responsibility of traditional functional departments is to assist and support the project teams.
TRUE

The main responsibility of traditional functional departments is to assist and support these project teams. For example, the marketing department is directed at generating new business that will lead to more projects, while the human resource department is responsible for managing a variety of personnel issues as well as recruiting and training new employees.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

67. The project form of project management structure is a good choice when speed of completion of the project without directly disrupting ongoing operations is important.
TRUE

Projects tend to get done more quickly when participants devote their full attention to the project and are not distracted by other obligations and duties.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

68. One of the major disadvantages of the project form of project management structure is that it tends to be more expensive than other forms of organizing.
TRUE

It is Expensive. Not only have you created a new management position (project manager), but resources are also assigned on a full-time basis. This can result in duplication of efforts across projects and a loss of economies of scale.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Easy

69. Creating teams using the project form of project management structure results in the maximum technological expertise being brought to bear on project problems.
FALSE

Creating self-contained teams inhibits maximum technological expertise being brought to bear on problems. Technical expertise is limited somewhat to the talents and experience of the specialists assigned to the project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

70. Matrix management is a hybrid organizational form in which a horizontal project management structure is "overlaid" on the normal functional hierarchy.
TRUE

Matrix management is a hybrid organizational form in which a horizontal project management structure is "overlaid" on the normal functional hierarchy.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Easy

71. "Silver bullets" and "Tiger Teams" are terms that are frequently given to functional project management teams.
FALSE

The tendency to assign project teams exotic titles such as "Silver Bullets" and "Tiger Teams," as well as give them special perks, tends to intensify the gap between the project team and the parent organization.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

72. The relationship between the Apple II and Mac teams at Apple Computer is a good example of *projectitis*.
TRUE

A we-they attitude emerged between Mac project team members and the Apple II members.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

73. In a matrix form of project management, the project managers report directly to a Director of projects, who supervises all projects.
TRUE

Instead of delegating segments of a project to different units or creating an autonomous team, project participants report simultaneously to both functional and project managers.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

74. The three forms of matrix project management are weak, mixed, and strong.
FALSE

The three forms are week, balanced and strong.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Easy

75. Whether a matrix is weak or strong is determined by the extent to which the project manager has direct authority over project participants.
TRUE

In practice there are really different kinds of matrix systems, depending on the relative authority of the project and functional managers.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

76. In a balanced matrix form of project management, the project manager is responsible for defining *what* needs to be accomplished while the functional managers are concerned with *how* it will be accomplished.
TRUE

The merger of "what and how" requires both parties to work closely together and jointly approve technical and operational decisions.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

77. The matrix form of project management is predicated on tension between functional managers and project managers who bring critical expertise and perspectives to the project.
TRUE

The matrix approach is predicated on tension between functional managers and project managers who bring critical expertise and perspectives to the project. Such tension is viewed as a necessary mechanism for achieving an appropriate balance between complex technical issues and unique project requirements.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

78. Project management offices were originally developed to make optimal use of scarce project resources.
FALSE

Many organizations have created Project Management Offices to support project management efforts.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Medium

79. The functional form of project management has been rated as the most effective of the various forms of organizing project teams.
FALSE

When thinking only in terms of what is best for the project, the creation of an independent project team is clearly favored.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Easy

80. Organizational culture refers to a system of shared norms, beliefs, values, and assumptions which bind people together.
TRUE

Organizational culture refers to a system of shared norms, beliefs, values, and assumptions which binds people together, thereby creating shared meanings. This system is manifested by customs and habits that exemplify the values and beliefs of the organization.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organizational Culture
Level: Easy

81. Probably the most important function of organization culture is to clarify and reinforce standards of behavior within the organization.
TRUE

Organizational culture clarifies and reinforces standards of behavior. Culture helps define what is permissible and inappropriate behavior.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organizational Culture
Level: Easy

82. There is a strong connection between project management structure, organizational culture, and project success.
TRUE

There are strong relationships among project management structure, organizational culture, and successful project management.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Implications of Organizational Culture for Organizing Projects
Level: Easy

Short Answer Questions

83. "Projects are a smaller version of the larger organization and thus have similar fundamental design principles." Agree or Disagree and support your conclusion.

Disagree. See discussion in text.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Project Management Structure
Level: Difficult

84. Identify and briefly describe the three basic project management structures.

1. functional, 2. matrix, and 3. project

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Project Management Structure
Level: Difficult

85. Identify and briefly describe at least two advantages and two disadvantages of having project teams report directly to an existing functional area.

See discussion in text.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Project Management Structure
Level: Difficult

86. Identify and briefly describe at least two advantages and two disadvantages of organizing project teams as dedicated teams.

See discussion in text.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: What Is the Right Project Management Structure?
Level: Difficult

87. Identify and briefly describe at least two advantages and two disadvantages of organizing project teams using the matrix management approach.

See discussion in text.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Project Management Structure
Level: Difficult

88. Identify and briefly describe the three forms of organizing projects using the matrix management approach.

1. weak matrix, 2. balanced matrix, and 3. strong matrix. See text for discussion.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Management Structure
Level: Difficult

89. What are Project Management Offices? Identify the three most common forms.

PMOs are used to help project teams meet their project objectives. The three most common forms are: weather station, control tower, and resource pool.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: What Is the Right Project Management Structure?
Level: Medium

90. Identify and briefly describe at least five of the ten primary characteristics of organization culture as discussed in the text.

See list in text.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Organizational Culture
Level: Difficult

91. Culture provides three major functions within today's organizations. Identify and briefly describe those three functions.

1. provides a sense of identity, 2. helps legitimize the management system, and 3. clarifies and reinforces standards of behavior.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Organizational Culture
Level: Difficult

92. The metaphor used to describe the relationship between organizational culture and project management was that of a riverboat trip. Briefly describe that metaphor.

Culture is the river, the boat is the project. Moving downstream (culture conducive to PM) requires much less effort. Moving upstream (toxic culture) requires much more time, effort, and attention.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Organizational Culture
Level: Medium

93. Briefly describe the task decision making responsibilities under the three project management matrix structures.

In a weak matrix structure, the functional manager makes all the decisions on what and how tasks are to be done. In a strong matrix structure, the project manager makes all the decisions on what and how tasks are to be done. In a balanced matrix they share responsibility with the project manager deciding what is to be done, while the functional manager decides how it is to be done.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Project Management Structure
Level: Difficult

94. What is an Organizational Culture Diagnosis Worksheet and what is its purpose?

The worksheet is a tool to help decipher an organization's culture. It is composed of four parts, Physical Characteristics, Public Documents, Behavior, and Folklore.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Organizational Culture
Level: Difficult

Chapter 04 Defining the Project Answer Key

Multiple Choice Questions

1. The method used to collect information to use through all phases of the project life cycle is called
A. Responsibility matrix
B. Organization breakdown structure
C. Work breakdown structure
D. Priority matrix
E. Work package

The method suggested is a selective outline of the project called the work breakdown structure.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

2. Jose is looking at a document that outlines the specific tasks and subtasks required to complete the writing of a technical support manual. The method that was probably used to develop the document is most likely
A. Responsibility matrix
B. Organization breakdown structure
C. Work breakdown structure
D. Priority matrix
E. Work package

The method suggested is a selective outline of the project called the work breakdown structure. The early stages of developing the outline serve to ensure that all tasks are identified and that participants of the project have an understanding of what is to be done.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

3. The first step in creating the necessary information to manage a project is to
A. Establish project priorities
B. Define the project scope
C. Verify the budget available
D. Assign team members to work on the project
E. Determine the required completion date

Defining the project scope sets the stage for developing a project plan. Project scope is a definition of the end result or mission of your project—a product or service for your client/customer.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

4. Linda has just been assigned a project to develop a new advertising campaign for an established product. Her first step should be to
A. Establish project priorities
B. Define the project scope
C. Verify the budget available
D. Assign team members to work on the project
E. Determine the required completion date

Defining the project scope sets the stage for developing a project plan. Project scope is a definition of the end result or mission of your project—a product or service for your client/customer.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

5. Research shows the most frequently mentioned barrier to project success is
A. Not enough budget resources
B. Poor performance by team members
C. Weak project leadership
D. Poorly defined scope or mission
E. Political in-fighting

Research clearly shows that a poorly defined scope or mission is the most frequently mentioned barrier to project success.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

6. An expected output over the life of a project would be classified as
A. A deliverable
B. A product
C. An end object
D. An objective
E. A target

Major deliverables—the expected outputs over the life of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

7. The first step of project scope definition is to
A. Analyze the strategic plan
B. Analyze the current budget plan
C. Meet with team members
D. Select team members
E. Define the overall objective to meet the customer's needs

The first step of project scope definition is to define the overall objective to meet your customer's need(s).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

8. In reviewing the project plan, Susan sees that the first prototype is due by October 12. This would be best classified as a
A. Project target
B. Limit item
C. Milestone
D. Project objective
E. Critical goal

A milestone is a significant event in a project that occurs at a point in time. The milestone schedule shows only major segments of work; it represents first, rough-cut estimates of time, cost, and resources for the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

9. The ability of 911 emergency systems to identify the caller's phone number and location are considered to be a
A. Technical requirement
B. Milestone
C. Project limit
D. Project exclusion
E. Project deliverable

More frequently than not, a product or service will have technical requirements to ensure proper performance.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

10. Which of the following is <u>not</u> one of the items that would appear on a project scope checklist?
A. Deliverables
B. Technical requirements
C. Objectives
D. Work breakdown structure
E. Reviews with customer

See Project Scope Checklist on Page 102.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

11. "To construct a high-quality, custom home within five months at costs not to exceed $150,000" is best classified as
A. A deliverable
B. A milestone
C. An objective
D. A limit
E. An exclusion

The first step of project scope definition is to define the overall objective to meet your customer's need(s). For example, as a result of extensive market research a computer software company decides to develop a program that automatically translates verbal sentences in English to Russian. The project should be completed within three years at a cost not to exceed $1.5 million.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

12. The second step in the defining of a project would be to
A. Analyze the strategic plan
B. Analyze the current budget plan
C. Establish project priorities
D. Select team members
E. Define the major objectives to meet the customer's needs

Quality and the ultimate success of a project are traditionally defined as meeting and/or exceeding the expectations of the customer and/or upper management in terms of cost (budget), time (schedule), and performance (scope) of the project (see Figure 4.1).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Establishing Project Priorities
Level: Easy

13. Which of the following is not one of the basic classifications of project priorities?
A. Profit
B. Cost
C. Time
D. Performance
E. All of these are basic classifications

One of the primary jobs of a project manager is to manage the trade-offs among time, cost, and performance. To do so, project managers must define and understand the nature of the priorities of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Establishing Project Priorities
Level: Easy

14. If a project criterion indicates that the project must meet a specific date, that criterion is classified as
A. Constrained
B. Enhanced
C. Accepted
D. Limited
E. Fixed

The original parameter is fixed. The project must meet the completion date, specifications and scope of the project, or budget.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

15. Scott has just been given a project that has a specific target date. After discussion with top management he finds that while the date is important the cost is more important and a slip in delivery would be acceptable if required to meet the cost targets. The target date is best classified as
A. Constrain
B. Enhance
C. Accept
D. Limit
E. Optional

For which criterion is it tolerable not to meet the original parameters? When trade-offs have to be made, is it permissible for the schedule to slip, to reduce the scope and performance of the project, or to go over budget?

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

16. The tool used to assist in making project trade-offs between schedule, budget, and performance objectives is called a
A. Responsibility matrix
B. Work breakdown structure
C. Project priority matrix
D. Work package
E. Criterion matrix

One technique found in practice that is useful for this purpose is completing a priority matrix for the project to identify which criterion is constrained, which should be enhanced, and which can be accepted.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

17. The lowest element in the hierarchical breakdown of the WBS is
A. A deliverable
B. A work package
C. A cost account
D. A lowest sub deliverable
E. An object

See Figure 4.3 on page 108.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

18. The highest element in the hierarchical breakdown of the WBS is
A. A work package
B. Sub deliverables
C. A cost account
D. Major deliverables
E. The project

See Figure 4.3 on page 108.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

19. All of the following are true about work packages except
A. Consume resources
B. Assigned to only one manager
C. Have medium to long duration
D. Definitive starts and stops dates
E. All of these are true

Work packages are short duration tasks that have a definite start and stop point, consume resources, and represent cost. Each work package is a control point. A work package manager is responsible for seeing that the package is completed on time, within budget, and according to technical specifications.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

20. All of the following are usually included in a work package except
A. What will be done?
B. The time needed to complete the work.
C. A single person who is responsible for its completion.
D. All the costs for the work package.
E. All of these are included in a work package.

Work packages are short duration tasks that have a definite start and stop point, consume resources, and represent cost. Each work package is a control point. A work package manager is responsible for seeing that the package is completed on time, within budget, and according to technical specifications.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

21. The integration of project work packages within the organization's management structure is known as
A. Responsibility matrix
B. Organization breakdown structure
C. Work breakdown structure
D. Priority matrix
E. Process breakdown structure

In practice, the outcome of this process is the organization breakdown structure (OBS). The OBS depicts how the firm has organized to discharge work responsibility.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Medium

22. The final step in the creation of a Work Breakdown Structure is to
A. Code the WBS for tracking
B. Assign the cost account to a manager
C. Assign the work package to a manager
D. Develop the responsibility matrix
E. All of these are included in the final step

The codes are used to define levels and elements in the WBS, organization elements, work packages, and budget and cost information.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 5: Coding the WBS for the Information System
Level: Easy

23. The intersection of the WBS and the OBS is called the
A. Responsibility matrix
B. Priority matrix
C. Work package
D. Cost account
E. Project overlap

The "cost account" is the focal point because all budgets, work assignments, time, cost, and technical performance come together at this point.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Medium

24. Creating an extranet website or an internal software database system would be most closely associated with the
A. Responsibility matrix
B. Organization breakdown structure
C. Work breakdown structure
D. Priority matrix
E. Process breakdown structure

The classic WBS is when the project is broken down to the lowest manageable deliverable and subsequent work packages.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Medium

25. If a project is small or of narrow scope and does not require an elaborate system, which of the following is a good choice?
A. Responsibility matrix
B. Organization breakdown structure
C. Work breakdown structure
D. Priority matrix
E. Process breakdown structure

The RM (sometimes called a linear responsibility chart) summarizes the tasks to be accomplished and who is responsible for what on a project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Responsibility Matrices
Level: Medium

26. The project scope statement indicates that the client is responsible for training the people who will be using the equipment and that the project team will train the client's trainers. This is an example of:
A. Project objectives
B. Deliverables
C. Limits and exclusions
D. Technical requirements
E. Milestones

The limits of scope should be defined. Failure to do so can lead to false expectations and to expending resources and time on the wrong problem.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

27. The tendency for the project deliverables to expand over time—usually by changing requirements, specifications, and priorities—is called:
A. Scope erosion
B. Scope creep
C. Project bloat
D. Scope enhancement
E. Project add-ons

The tendency for the project scope to expand over time—usually by changing requirements, specifications, and priorities. Scope creep can be reduced by carefully writing your scope statement.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

28. Which of the following is a good example of a Process Breakdown Structure?
A. New car prototype
B. New software program
C. New computer hardware
D. New sports stadium
E. New project management book

See Figure 4.4 on Page 112.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

29. Which of the follow is least likely to be included in a Work Package?
A. Materials
B. Labor
C. Overhead
D. Duration
E. Responsibilities

Work packages are short duration tasks that have a definite start and stop point, consume resources, and represent cost.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Medium

30. The Snapshot from Practice dealing with Big Bertha II illustrated how important a project's_____is to the successful completion of a project.
A. Objective
B. Deliverables
C. Technical requirements
D. Milestones
E. Limits and exclusions

See Snapshot from Practice on Page 104.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Medium

Fill in the Blank Questions

31. A selective outline of the project that ensures the identification of all tasks and an understanding of what is to be done is called a_____.
work breakdown structure

Once the scope and deliverables have been identified, the work of the project can be successively subdivided into smaller and smaller work elements. The outcome of this hierarchical process is called the work breakdown structure (WBS).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Easy

32. The first step in planning any project is to_____.
define the project scope

Defining the project scope sets the stage for developing a project plan. Project scope is a definition of the end result or mission of your project—a product or service for your client/customer.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

33. The primary purpose of the first step of defining a project is to identify the_____for the end user and to focus project plans.
objective

The first step of project scope definition is to define the overall objective to meet your customer's need(s).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

34. Significant events in a project that occur at a specific point in time, are natural control points, and are easily recognized by project participants are known as_____.
Milestones

A milestone is a significant event in a project that occurs at a point in time. The milestone schedule shows only major segments of work; it represents first, rough-cut estimates of time, cost, and resources for the project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

35. The need for a computer to function in countries having different electrical systems is an example of a_____.
technical requirement

More frequently than not, a product or service will have technical requirements to ensure proper performance. For example, a technical requirement for a personal computer might be the ability to accept 120-volt alternating current or 240-volt direct current without any adapters or user switches.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

36. The agreement that training will be the responsibility of the customer is an example of a project_____.
limit and exclusion

The limits of scope should be defined. Failure to do so can lead to false expectations and to expending resources and time on the wrong problem.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

37. A project parameter such as completion date or cost is_____if it is fixed and must be met.
constrained

The original parameter is fixed. The project must meet the completion date, specifications and scope of the project, or budget.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

38. Taking advantage of opportunities to reduce costs or accelerate the schedule are examples of project criteria being classified as_____.
enhance

In the case of time and cost, this usually means taking advantage of opportunities to either reduce costs or shorten the schedule. Conversely, with regard to performance, enhancing means adding value to the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

39. In making project trade-offs, a criteria that is allowed to not meet the original target is classified as_____.
accept

Questions to ask in regards to accept. For which criterion is it tolerable not to meet the original parameters? When trade-offs have to be made, is it permissible for the schedule to slip, to reduce the scope and performance of the project, or to go over budget?

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

40. Developing a_____provides a forum for clearly establishing priorities with customers and top management so as to create shared expectations and avoid misunderstandings.
priority matrix

One technique found in practice that is useful for this purpose is completing a priority matrix for the project to identify which criterion is constrained, which should be enhanced, and which can be accepted.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

41. The result of subdividing the work of a project into smaller and smaller work elements is called_____.
work breakdown structure

Once the scope and deliverables have been identified, the work of the project can be successively subdivided into smaller and smaller work elements. The outcome of this hierarchical process is called the work breakdown structure (WBS).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Easy

42. The most detailed element in the hierarchical breakdown of the project work to be accomplished is known as the_____.
work package

The lowest level of the WBS is called a work package. Work packages are short duration tasks that have a definite start and stop point, consume resources, and represent cost.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Easy

43. A(n)_____is a grouping of work packages for monitoring progress and responsibility.
cost account

See Figure 4.3 on Page 108.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Easy

44. Practice suggests that a work package should not exceed_____workdays or one reporting period.
ten

Practice suggests a work package should not exceed 10 workdays or one reporting period. If a work package has a duration exceeding 10 days, check or monitoring points should be established within the duration, say, every three to five days, so progress and problems can be identified before too much time has passed.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Easy

45. The process of assigning specific work packages to a particular group or person within the organization is called_____.
organization breakdown structure

The WBS is used to link the organizational units responsible for performing the work. In practice, the outcome of this process is the organization breakdown structure (OBS).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Easy

46. The final step in the defining of a project is focused on assigning_____to each of the work packages.
codes

Gaining the maximum usefulness of a breakdown structure depends on a coding system. The codes are used to define levels and elements in the WBS, organization elements, work packages, and budget and cost information.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 5: Coding the WBS for the Information System
Level: Medium

47. In a work breakdown structure the_____is the focal point because all budgets, work assignments, time, cost, and technical performance come together at that point.
cost account

The "cost account" is the focal point because all budgets, work assignments time, cost, and technical performance come together at this point.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 5: Coding the WBS for the Information System
Level: Medium

48. Once the _____ has been established, it is the basis for making trade-off decisions later in the project.
Priority Matrix

If midway through the project, a trade-off must be made between cost and expediting, which criterion has priority? One technique found in practice that is useful for this purpose is completing a priority matrix for the project to identify which criterion is constrained, which should be enhanced, and which can be accepted.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

49. In a_____the project is organized around phases or groups of activities rather than the more conventional deliverables.
work breakdown structure

Once the scope and deliverables have been identified, the work of the project can be successively subdivided into smaller and smaller work elements. The outcome of this hierarchical process is called the work breakdown structure (WBS).

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

50. The_____summarizes, in graphic format, the tasks to be accomplished and who is responsible for what on a given project.
responsibility matrix

The RM (sometimes called a linear responsibility chart) summarizes the tasks to be accomplished and who is responsible for what on a project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Responsibility Matrices
Level: Easy

51. The Work Breakdown Structure is an outline of the project with different levels of _____.
detail

The WBS is an outline of the project with different levels of detail.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

52. The purposes of the _____are to provide a framework to summarize organization unit work performance, identify organization units responsible for work packages, and tie the organizational unit to cost control accounts.
OBS (Organization Breakdown Structure)

The purposes of the OBS are to provide a framework to summarize organization unit work performance, identify organization units responsible for work packages, and tie the organizational unit to cost control accounts.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Easy

53. The most commonly used method for coding the WBS is_____.
numeric indention

The most commonly used scheme in practice is numeric indention.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 5: Coding the WBS for the Information System
Level: Easy

54. The gradual expansion of project requirements during the execution of project is known as _____.
scope creep

Scope describes what you expect to deliver to your customer when the project is complete. Your project scope should define the results to be achieved in specific, tangible, and measurable terms.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

True / False Questions

55. The development of a work breakdown structure with appropriate dates and budget is usually accomplished in a single iteration.
FALSE

The WBS is an outline of the project with different levels of detail.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

56. Studies suggest that there is a strong correlation between project success and clear project scope definition.
TRUE

Research clearly shows that a poorly defined scope or mission is the most frequently mentioned barrier to project success.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

57. Project scope describes what you expect to deliver to your customers when the project is complete.
TRUE

Project scope is a definition of the end result or mission of your project—a product or service for your client/customer.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

58. One of the items included on a project scope checklist is the reviews with the customer.
TRUE

See Project Scope Checklist on Page 102.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

59. Quality and the ultimate success of a project are traditionally defined as meeting or exceeding the expectations of the customer or management.
Refer to Figure 4.1
TRUE

Quality and the ultimate success of a project are traditionally defined as meeting and/or exceeding the expectations of the customer and/or upper management in terms of cost (budget), time (schedule), and performance (scope) of the project (see Figure 4.1).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Easy

60. The criteria for project success include attaining objectives relating to cost, schedule, and revenue.
Refer to Figure 4.1
FALSE

Quality and the ultimate success of a project are traditionally defined as meeting and/or exceeding the expectations of the customer and/or upper management in terms of cost (budget), time (schedule), and performance (scope) of the project (see Figure 4.1).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

61. Statements of project scope are sometimes referred to as Statements of Work or Project Charters.
TRUE

Many companies engaged in contracted work refer to scope statements as statements of work (SOW). Other organizations use the term project charter. However, the term project charter has emerged to have a special meaning in the world of project management. A project charter refers to a document that authorizes the project manager to initiate and lead the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Easy

62. If a project criterion should be optimized if at all possible, it is classified as being constrained.
FALSE

The original parameter is fixed. The project must meet the completion date, specifications and scope of the project, or budget.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

63. Basically, the WBS is an outline of the project with different levels of detail.
TRUE

The WBS is an outline of the project with different levels of detail.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Easy

64. In general, work packages should not exceed 10 work days.
TRUE

Practice suggests a work package should not exceed 10 workdays or one reporting period. If a work package has a duration exceeding 10 days, check or monitoring points should be established within the duration, say, every three to five days, so progress and problems can be identified before too much time has passed.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Easy

65. In a Work Breakdown Structure for a software development project, the typical structure follows the major phases of software development.
Refer to Figure 4.4
TRUE

See Figure 4.4 on Page 112.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

66. Integrating a project's work packages within the organization's management structure is known as work breakdown structure.
FALSE

Work packages are short duration tasks that have a definite start and stop point, consume resources, and represent cost.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

67. Scope definitions are usually brief with only one or two pages being typical for small projects.
TRUE

Scope definition should be as brief as possible but complete; one or two pages are typical for small projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

68. A work breakdown structure is frequently used on projects such as software development where the project is focused on activities rather than deliverables.
Refer to Snapshot from Practice on Page114
TRUE

The WBS should conform to how you are going to schedule work. For example, if assignments are made in terms of days, then tasks should be limited as best as possible to one day or more to complete. Conversely, if hours are the smallest unit for scheduling, then work can be broken down to one-hour increments; final activities should have clearly defined start/end events. Avoid open-ended tasks like "research" or "market analysis."

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

69. Responsibility matrices are used primarily with small and medium sized projects and have limited use in large projects.
FALSE

One tool that is widely used by project managers and task force leaders of small projects is the responsibility matrix (RM). The RM (sometimes called a linear responsibility chart) summarizes the tasks to be accomplished and who is responsible for what on a project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Responsibility Matrices
Level: Medium

70. In a work breakdown structure deliverables are ignored and replaced with activities or tasks that have been grouped in phases.
FALSE

Once the scope and deliverables have been identified, the work of the project can be successively subdivided into smaller and smaller work elements. The outcome of this hierarchical process is called the work breakdown structure (WBS).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Management Structure
Level: Medium

71. The intersection of the WBS and the OBS represents a control point, called a cost account.
TRUE

The intersection of the WBS and OBS represents the set of work packages necessary to complete the subdeliverable located immediately above and the organizational unit on the left responsible for accomplishing the packages at the intersection.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Easy

72. The most commonly used scheme for coding the work breakdown structure is to use a department project number assigned by the accounting department.
FALSE

The most commonly used scheme in practice is numeric indention.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 5: Coding the WBS for the Information System
Level: Medium

73. For large companies, the organization breakdown structure is used rather than the work breakdown structure.
FALSE

The OBS defines the organization subdeliverables in a hierarchical pattern in successively smaller and smaller units. Frequently, the traditional organization structure can be used. Even if the project is completely performed by a team, it is necessary to break down the team structure for assigning responsibility for budgets, time, and technical performance.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Medium

74. The hierarchical work breakdown structure can be used to represent the need for information at various levels of management.
TRUE

The WBS is a map of the project. Use of WBS helps to assure project managers that all products and work elements are identified, to integrate the project with the current organization, and to establish a basis for control.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

75. The intersection of work packages and the organization unit creates a project control point called a cost account.
TRUE

The intersection of the WBS and OBS represents the set of work packages necessary to complete the subdeliverable located immediately above and the organizational unit on the left responsible for accomplishing the packages at the intersection.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Medium

76. Reviews with customers only refers to projects with external customers who are paying for the project.
FALSE

Completion of the scope checklist ends with a review with your customer—internal or external. The main concern here is the understanding and agreement of expectations.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

77. A typical responsibility matrix will include not only those responsible for a specific task but also those who supply support and assistance.
Refer to Figure 4.6
TRUE

See Figure 4.6 on page 117.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Responsibility Matrices
Level: Easy

Short Answer Questions

78. Identify and briefly describe the five steps in defining a project.

1. defining the project scope, 2. establishing project priorities, 3. creating the work breakdown structure, 4. integrating the WBS with the organization, and 5. coding the WBS

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

79. Identify and briefly describe the six elements on the recommended project scope checklist.

1. project objectives, 2. deliverables, 3. milestones, 4. technical requirements, 5. limits and exclusions, and 6. reviews with customers

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Defining the Project Scope
Level: Medium

80. In terms of project management, what is a deliverable and give an example.

A deliverable is an expected output that occurs during the life of a project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Defining the Project Scope
Level: Easy

81. Identify and briefly describe the three elements that are traditionally used to measure the ultimate success of a project.

1. costs (budget), 2. time (schedule), and 3. performance (scope)

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

82. In project management terms, what is meant by "managing the trade-offs?"

During project execution decisions will be needed to balance the three success criteria; costs, schedule, and performance. Typically one will be degraded in order to maintain or improve another. Thus the criteria are traded off.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 2: Establishing Project Priorities
Level: Difficult

83. Identify and briefly describe the three categories used to classify the priority of major project parameters.

1. constrain (the parameter is fixed), 2. enhance (the parameter should be optimized), and 3. accept (lower results are acceptable)

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Establishing Project Priorities
Level: Medium

84. What is a Project Priority Matrix and how would you use one?

The Project Priority Matrix is a graphic representation classifying the major project parameters of time, performance, and cost according to their priority. It is used to assist in making project trade-off decisions.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 2: Establishing Project Priorities
Level: Difficult

85. What is meant by a work breakdown structure and how does it help manage projects?

WBS is the logical subdividing of major activities into smaller elements. It is useful to ensure complete planning of a project as well as a basis for monitoring progress.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

86. Identify in order from broadest to most specific, the six parts of the hierarchical breakdown of the WBS.

1. project, 2. deliverable, 3. sub deliverable, 4. lowest sub deliverable, 5. cost account, and work package

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Creating the Work Breakdown Structure
Level: Medium

87. What is a Responsibility Matrix and how would it be used in project management?

The RM summarizes the tasks to be accomplished and who is responsible for what on a project. It is used to ensure that all participants understand and agree on their assignments.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Responsibility Matrices
Level: Medium

88. What is meant by "Scope Creep" and why is it significant to project managers?

It is the gradual expansion of project deliverables to the point that overall project constraints (costs and schedule) can no longer be met.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 1: Defining the Project Scope
Level: Difficult

89. What is an OBS and how would you use it to plan a project?

The OBS is the process of defining which organization units are responsible for performing the work outlined in the individual work packages.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 4: Integrating the WBS with the Organization
Level: Difficult

Chapter 05 Estimating Project Times and Costs Answer Key

Multiple Choice Questions

1. The process of forecasting or approximating the time and cost of completing project deliverables is called
A. Budgeting
B. Predicting
C. Estimating
D. Planning
E. Guesstimating

Estimating is the process of forecasting or approximating the time and cost of completing project deliverables.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

2. In practice, estimating processes are frequently classified as
A. Top down/bottom up
B. Rough/polished
C. Precise/order of magnitude
D. Draft/final
E. Both A and B are correct

Estimating processes are frequently classified as top-down and bottom-up. Top-down estimates are usually done by senior management.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

3. A typical statement in actual practice is that estimates should have a probability of being met_____of the time.
A. 100%
B. 98%
C. 95%
D. 90%
E. 80%

But past experience estimates must almost always be refined by other considerations to reach the 95 percent probability level.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

4. A good starting point for developing time and cost estimates is
A. Past experience
B. Work packages
C. Task analysis
D. Time and motion studies
E. Work breakdown structure

Past experience is a good starting point for developing time and cost estimates.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

5. Which of the following is not one of the factors that need to be considered to improve quality of estimates for project times and costs?
A. Planning horizon
B. People
C. Padding estimates
D. Profit
E. Project structure

See List on Page 128-129.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

6. Ed is looking over the actual results of projects and comparing them to what was estimated. He notices that projects that took six months or longer to complete were noticeably more off the estimates. Which of the following factors is he recognizing?
A. Padding estimates
B. Planning horizon
C. Project structure
D. People
E. Organization culture

The quality of the estimate depends on the planning horizon; estimates of current events are close to 100 percent accurate but are reduced for more distant events. The accuracy of time and cost estimates should improve as you move from the conceptual phase to the point where individual work packages are defined.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

7. Janet is forecasting how much money her department needs to support a new project. She estimates that two people and $25,000 in expenses will cover her needs. Because management typically insists on reducing forecasts by 20 percent, she increases her estimates to allow for that reduction. Which of the following factors is illustrated in this situation?
A. Padding estimates
B. Planning horizon
C. Project structure
D. People
E. Organization culture

In work situations where you are asked for time and cost estimates, most of us are inclined to add a little padding to increase the probability and reduce the risk of being late. If everyone at all levels of the project adds a little padding to reduce risk, the project duration and cost are seriously overstated.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

8. Which of the following is a good condition for top-down estimating?
A. Cost and time important
B. Fixed price contract
C. Customer wants details
D. Internal, small project
E. All of these are good conditions for top-down estimating

See table 5-1 on Page 132.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Medium

9. Which of the following is a good condition for bottom-up estimating?
A. Strategic decision making
B. Internal, small project
C. Fixed price contract
D. High uncertainty
E. Both C and D are good conditions for bottom-up estimating

See table 5-1 on Page 132.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Medium

10. Top-down estimates are most likely to occur during the_____phase.
A. Concept
B. Planning
C. Execution
D. Delivery
E. All of these are equally likely

Top-down estimates are only a rough cut and typically occur in the "conceptual" stage of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Easy

11. _____estimates are most likely to use low cost, efficient methods.
A. Apportion
B. Ratio
C. Top-down
D. Bottom-up
E. All of these are equally likely

The bottom-up approach also provides the customer with an opportunity to compare the low-cost, efficient method approach with any imposed restrictions.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Medium

12. Which of the following methods is <u>not</u> considered a top-down approach to estimating project time and cost?
A. Ratio
B. Template
C. Apportion
D. Function point
E. Learning curve

Template Methods are used in bottom-down approach to estimating.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

13. Jose is forecasting project time and cost for constructing a new building by multiplying the total square footage by a given dollar amount. Which of the following methods is he using?
A. Ratio
B. Template
C. Apportion
D. Function point
E. Learning curve

Top-down methods (sometimes called parametric) usually use ratios, or surrogates, to estimate project times or costs. Top-down approaches are often used in the concept or "need" phase of a project to get an initial duration and cost estimate for the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

14. Sean is forecasting the time and cost of developing a customized software program by looking at the number of inputs, outputs, inquires, files, and interfaces. Which of the following methods is he using?
A. Ratio
B. Template
C. Apportion
D. Function point
E. Learning curve

In the software industry, software development projects are frequently estimated using weighted macro variables called "function points" or major parameters such as number of inputs, number of outputs, number of inquiries, number of data files, and number of interfaces.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

15. Laura is forecasting the time and cost of developing an intranet for a new customer. Her department has completed six such intranets for customers during the last two years. Although the proposed system is about the same size as the others she estimates that it will take about 10 percent less time and money. Which of the following methods is she using?
A. Ratio
B. Template
C. Apportion
D. Function point
E. Learning curve

A phenomenon of tasks that are labor intensive. In these circumstances the pattern of improvement phenomenon can be used to predict the reduction in time to perform the task. From empirical evidence across all industries, the pattern of this improvement has been quantified in the learning curve (also known as improvement curve, experience curve, and industrial progress curve).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

16. Learning curves are more likely to apply in situations where most of the costs are
A. Materials
B. Labor
C. Overhead
D. Evenly spread over materials, labor, and overhead
E. All of these are equally likely situations for learning curves

A phenomenon of tasks that are labor intensive. In these circumstances the pattern of improvement phenomenon can be used to predict the reduction in time to perform the task. From empirical evidence across all industries, the pattern of this improvement has been quantified in the learning curve (also known as improvement curve, experience curve, and industrial progress curve).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

17. Which of the following is not one of the bottom-up approaches to estimating project time and cost?
A. Parametric procedures applied to specific tasks
B. Estimates for the WBS work packages
C. Learning curve
D. Template method
E. All of these are bottom-up approaches

Learning curve is part of top-down approach to estimating.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

18. The approach that begins with a top-down estimate for the project and then refines estimates as the project is implemented is known as_____method.
A. Function point
B. Template
C. Learning curve
D. Phase estimating
E. Apportion

This approach begins with a top-down estimate for the project and then refines estimates for phases of the project as it is implemented.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

19. Which of the following would be the best method for projects where the final product is not known and the uncertainty is very large?
A. Function point
B. Template
C. Learning curve
D. Phase estimating
E. Apportion

Phase estimating is used when an unusual amount of uncertainty surrounds a project and it is impractical to estimate times and costs for the entire project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

20. The accuracy of top-down estimates will typically be in the range of
A. Minus 50% to plus 50%
B. Minus 0% to plus 75%
C. Minus 20% to plus 60%
D. Minus 35% to plus 35%
E. Minus 10% to plus 30%

See Table 5.4 on page 141.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

21. The accuracy of bottom-up estimates will typically be in the range of
A. Minus 50% to plus 50%
B. Minus 0% to plus 75%
C. Minus 20% to plus 60%
D. Minus 35% to plus 35%
E. Minus 10% to plus 30%

See Table 5.4 on page 141.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

22. The cost to prepare bottom-up estimates will typically run how much more than the costs to prepare the top-down estimates?
A. About the same
B. About twice as much
C. About three times as much
D. About four times as much
E. About five times as much

See Table 5.4 on page 141.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

23. Typical kinds of costs found in a project include
A. Direct costs
B. Project overhead costs
C. General and administrative costs
D. Only A and B are included
E. A, B, and C are all included

See list on Page 142.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Level of Detail
Level: Easy

24. Project costs are typically viewed from all of the following except:
A. Scheduled
B. Sunk
C. Actual
D. Committed
E. All of these are correct

See Figure 5.6 on Page 143.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Level of Detail
Level: Easy

25. Which of the following would be considered a direct project cost?
A. Labor
B. Materials
C. Equipment
D. Both A and B are direct costs
E. A, B, and C are all considered direct costs

Direct project overhead costs can be tied to project deliverables or work packages. Examples include the salary of the project manager and temporary rental space for the project team.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Level of Detail
Level: Easy

26. Which of the following is not one of the recommended guidelines for developing useful work package estimates?
A. Estimates should be made by those responsible for the work
B. Use several people to estimate the same work
C. Estimates should be based on normal conditions
D. Estimates should include a normal level of contingency
E. Estimates should be independent of other projects

See list on pages 144-145.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Refining Estimates
Level: Medium

27. Companies like Boeing, Kodak, and IBM are using which of the following for improving the estimating process?
A. Adjusting estimates based on individual forecasting abilities
B. Benchmarking using the experience of other companies
C. Using time and motion studies
D. Creating historical databases of previous projects
E. All of these are correct

Some organizations have large estimating departments of professional estimators—e.g., Boeing, Kodak, IBM—that have developed large time and cost databases.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Creating a Database for Estimating
Level: Easy

28. Reasons why estimating time and cost are important include all of the following except:
A. To schedule work
B. To determine how long the project should take and cost
C. To develop cash flow needs
D. To determine how well the project is progressing
E. All of the above are valid reasons

See Exhibit 5.1 on Page 127.

AACSB: Comprehension
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

29. In a learning curve, the improvement ratio is applied to which of the following items?
A. Direct materials
B. Direct labor
C. Overhead
D. Both A and B are correct
E. A, B, and C are all correct

These costs are clearly chargeable to a specific work package. Direct costs can be influenced by the project manager, project team, and individuals implementing the work package. These costs represent real cash outflows and must be paid as the project progresses; therefore, direct costs are usually separated from overhead costs. Lower-level project rollups frequently include only direct costs.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

30. The bottom-up approach for estimating times and costs that uses costs from past projects that were similar to the current project is known as:
A. Detailed WBS work package estimates
B. Template method
C. Function point method
D. Time-phased cost estimates
E. Phase estimating

If the project is similar to past projects, the costs from past projects can be used as a starting point for the new project. Differences in the new project can be noted and past times and costs adjusted to reflect these differences.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

31. Which of the follow top-down methods is used when projects closely follow past projects in features and costs and result in costs being assigned by percentages to major segments of the project?
A. Apportion
B. Function point
C. Phase estimating
D. Learning curve
E. Consensus

Apportionment is used when projects closely follow past projects in features and costs. Given good historical data, estimates can be made quickly with little effort and reasonable accuracy. This method is very common in projects that are relatively standard but have some small variation or customization.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

32. Resource shortages, in the form of people, equipment, or materials, is a good example of
A. Hidden interaction costs
B. Things going wrong on a project
C. Normal conditions not applying
D. Changes in project scope
E. None of these are correct

Estimates are supposed to be based on normal conditions. While this is a good starting point, it rarely holds true in real life. This is especially true when it comes to the availability of resources. Resource shortages, whether in the form of people, equipment, or materials, can extend original estimates.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Refining Estimates
Level: Medium

33. People working on prototype development needing time to interact with the design engineers after the design is completed is an example of:
A. Hidden interaction costs
B. Things going wrong on a project
C. Normal conditions not applying
D. Changes in project scope
E. None of these are correct

Interaction costs are hidden in estimates. According to the guidelines, each task estimate is supposed to be done independently. However, tasks are rarely completed in a vacuum. Work on one task is dependent upon prior tasks, and the hand-offs between tasks require time and attention. For example, people working on prototype development need to interact with design engineers after the design is completed, whether to simply ask clarifying questions or to make adjustments in the original design.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Refining Estimates
Level: Medium

34. A manager getting further into a project and obtaining a better understanding of what needs to be done to accomplish a project is an example of:
A. Hidden interaction costs
B. Things going wrong on a project
C. Normal conditions not applying
D. Changes in project scope
E. None of these are correct

As one gets further and further into the project, a manager obtains a better understanding of what needs to be done to accomplish the project. This may lead to major changes in project plans and costs. Likewise, if the project is a commercial project, changes often have to be made midstream to respond to new demands by the customer and/or competition.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Refining Estimates
Level: Medium

35. Design flaws being revealed after the fact, extreme weather conditions, and accidents occurring are examples of:
A. Hidden interaction costs
B. Things going wrong on a project
C. Normal conditions not applying
D. Changes in project scope
E. None of these are correct

Design flaws are revealed after the fact, extreme weather conditions occur, accidents happen, and so forth. Although you shouldn't plan for these risks to happen when estimating a particular task, the likelihood and impact of such events need to be considered.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Refining Estimates
Level: Medium

Fill in the Blank Questions

36. Estimates that are typically based on estimates of elements found in the work breakdown structure are called_____estimates.
bottom-up

The bottom-up approach at the work package level can serve as a check on cost elements in the WBS by rolling up the work packages and associated cost accounts to major deliverables.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

37. Estimates that are usually derived from analogy or mathematical relationships are called _____estimates.
top-down

Top-down estimates are usually done by senior management. Management will often derive estimates from analogy, group consensus, or mathematical relationships.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

38. The estimating factor known as_____considers the decreasing accuracy of estimates as one forecasts activities that are further into the future.
planning horizon

The quality of the estimate depends on the planning horizon; estimates of current events are close to 100 percent accurate but are reduced for more distant events. The accuracy of time and cost estimates should improve as you move from the conceptual phase to the point where individual work packages are defined.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

39. The_____factor in estimating project times and costs can introduce errors due to staff turnover, the skills of the participants, and whether the team members have worked with each other on previous projects.
people

The people factor can also introduce errors in estimating times and cost. For example, accuracy of estimates depends on the skills of the people making the estimates. A close match of people skills to the task will influence productivity and learning time.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

40. The tendency to over-estimate project time and cost in order to improve the likelihood of meeting the estimates is known as the_____factor.
padding estimates

In work situations where you are asked for time and cost estimates, most of us are inclined to add a little padding to increase the probability and reduce the risk of being late. If everyone at all levels of the project adds a little padding to reduce risk, the project duration and cost are seriously overstated.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

41. The prevailing belief in some firms that detailed estimating takes too much time and is not worth the effort or that it is impossible to predict the future is an example of the _____ factor.
organization culture

Organizations vary in the importance they attach to estimates. The prevailing belief in some organizations is that detailed estimating takes too much time and is not worth the effort or that it's impossible to predict the future. Other organizations subscribe to the belief that accurate estimates are the bedrock of effective project management. Organization culture shapes every dimension of project management; estimating is not immune to this influence.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

42. Using the_____method of forecasting project time and costs is the preferred method for situations involving strategic decision-making, projects with a high degree of uncertainty, and projects with an unstable scope.
top-down

See table 5-1 on Page 132.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Medium

43. Using the_____method of forecasting project time and costs is the preferred method for situations where the cost and time estimates are important, in a fixed contract situation, and when the customer wants a lot of detail.
bottom-up

See table 5-1 on Page 132.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Medium

44. The information necessary to conduct a bottom-up estimate of project time and costs starts with the_____.
work package

If possible and practical, you want to push the estimating process down to the work package level for bottom-up estimates that establish low-cost, efficient methods. This process can take place after the project has been defined in detail. Good sense suggests project estimates should come from the people most knowledgeable about the estimate needed.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Difficult

45. In the_____method of top-down estimating, a quantitative relationship is established between the estimates and a project parameter.
ratio

Top-down methods (sometimes called parametric) usually use ratios, or surrogates, to estimate project times or costs. Top-down approaches are often used in the concept or "need" phase of a project to get an initial duration and cost estimate for the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

46. Given that a project closely follows past projects in features and costs, the _____ method of assigns costs and times to particular phases that a project will go through.
apportion

This method is an extension to the ratio method. Apportionment is used when projects closely follow past projects in features and costs. Given good historical data, estimates can be made quickly with little effort and reasonable accuracy. This method is very common in projects that are relatively standard but have some small variation or customization.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

47. The_____method for estimating project time and cost uses weighted variables based on major parameters and is frequently used in the development of software.
function point

In the software industry, software development projects are frequently estimated using weighted macro variables called "function points" or major parameters such as number of inputs, number of outputs, number of inquiries, number of data files, and number of interfaces.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

48. The_____method of estimating project time and costs is useful for projects requiring the same task, group of tasks, or product repeated several times, especially if it is labor intensive.
learning curve

A phenomenon of tasks that are labor intensive. In these circumstances the pattern of improvement phenomenon can be used to predict the reduction in time to perform the task. From empirical evidence across all industries, the pattern of this improvement has been quantified in the learning curve (also known as improvement curve, experience curve, and industrial progress curve).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

49. In the_____method of estimating project time and costs past projects are used as a starting point with adjustments made based on differences in the new project.
template

If the project is similar to past projects, the costs from past projects can be used as a starting point for the new project. Differences in the new project can be noted and past times and costs adjusted to reflect these differences.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

50. Probably the most reliable method for estimating time and cost is to use the_____and to ask the people responsible for the work package to make the estimates.
bottom-up

If possible and practical, you want to push the estimating process down to the work package level for bottom-up estimates that establish low-cost, efficient methods. This process can take place after the project has been defined in detail. Good sense suggests project estimates should come from the people most knowledgeable about the estimate needed.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

51. The_____approach to estimating project time and cost begins with an overall estimate for the project and then refines estimates for various stages of the project as it is implemented.
phase estimating

This approach begins with a top-down estimate for the project and then refines estimates for phases of the project as it is implemented. Some projects by their nature cannot be rigorously defined because of the uncertainty of design or the final product. Phase estimating is used when an unusual amount of uncertainty surrounds a project and it is impractical to estimate times and costs for the entire project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

52. The cost to prepare a top-down budget will typically run_____percent of the total project cost.
one-tenth to three tenths

See Table 5.4 on page 141.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

53. The cost to prepare a bottom-up budget will typically run_____percent of the total project cost.
three tenths to one

See Table 5.4 on page 141.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

54. Project costs such as labor and materials are typically classified as_____costs.
direct

See list on Page 142.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Types of Costs
Level: Easy

55. The salary of the project manager and temporary rental space for the project team would be classified as_____ costs.
direct overhead

Direct overhead rates more closely pinpoint which resources of the organization are being used in the project. Direct project overhead costs can be tied to project deliverables or work packages. Examples include the salary of the project manager and temporary rental space for the project team.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Types of Costs
Level: Medium

56. Estimates should be made based on_____conditions, efficient methods, and a normal level of resources.
normal

Estimates should be based on normal conditions, efficient methods, and a normal level of resources.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Estimating Guidelines for Times; Costs; and Resources
Level: Easy

57. The _____ method is a top-down approach that uses the pooled experience of senior and/or middle managers to estimate the total project duration and cost.
consensus

The consensus simply uses the pooled experience of senior and/or middle managers to estimate the total project duration and cost.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

58. Costs that are not directly related to a specific project, such as advertising, accounting, and senior management, are classified as_____.
General and administrative overhead costs

These represent organization costs that are not directly linked to a specific project. These costs are carried for the duration of the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Types of Costs
Level: Medium

True / False Questions

59. Project estimates should be broken down into as much detail than and with as much accuracy as possible.
FALSE

Detailed data gathering is not always possible or practical and other methods are used to develop project estimates.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

60. Bottom-up-estimating is another name for overzealous top management estimates.
FALSE

Top-down estimates usually are derived from someone who uses experience and/or information to determine the project duration and total cost. These estimates are sometimes made by top managers who have very little knowledge of the processes used to complete the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Easy

61. The use of past experience is almost always used primarily in the initial phases of a project.
TRUE

Past experience is a good starting point for developing time and cost estimates.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

62. Due to the averaging out of under-estimates and over-estimates, a long duration project is more likely to be on target than a short term, small project.
Refer to Snapshot from Practice Page 140.
FALSE

The smaller the element of a work package, the more accurate the overall estimate is likely to be.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

63. The project structure chosen to manage the project will have little impact on the actual project work to be accomplished.
FALSE

Which project structure is chosen to manage the project will influence time and cost estimates.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

64. As long as everyone in a project adds just a little padding to reduce risk, the project duration and costs are probably overstated by a small amount.
FALSE

This phenomenon causes some managers or owners to call for a 10-15 percent cut in time and/or cost for the project. Of course the next time the game is played, the person estimating cost and/or time will pad the estimate to 20 percent or more.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

65. Organization culture can significantly influence project time and cost estimates.
TRUE

Organization culture can significantly influence project estimates.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

66. If a project is internal to the company and relatively small, the bottom-up approach to estimating time and costs for the project is the best choice.
Refer to Table 5.1
FALSE

See Table 5.1 on page 132.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Easy

67. If time and costs are important to a project the top-down approach to estimating time and costs for the project is the best choice.
FALSE

The bottom-up approach at the work package level can serve as a check on cost elements in the WBS by rolling up the work packages and associated cost accounts to major deliverables. Similarly, resource requirements can be checked. Later, the time, resource, and cost estimates from the work packages can be consolidated into time-phased networks, resource schedules, and budgets that are used for control.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Easy

68. The ideal approach to estimating project time and costs is to use both the top-down and the bottom-up approach.
TRUE

The ideal approach is for the project manager to allow enough time for both the top-down and bottom-up estimates to be worked out so a complete plan based on reliable estimates can be offered to the customer. In this way false expectations are minimized for all stakeholders and negotiation is reduced.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Medium

69. At the strategic level top-down estimating methods are used to evaluate a project proposal. Refer to Table 5.1
TRUE

See Table 5.1 on page 132.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Easy

70. Top-down estimates usually are derived from someone who uses experience and/or information to determine the project duration and total cost.
TRUE

Top-down estimates usually are derived from someone who uses experience and/or information to determine the project duration and total cost.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Easy

71. Estimating the total cost of a house by multiplying the total square feet by a cost per square foot is an example of the apportion method of estimating costs.
FALSE

Apportionment is used when projects closely follow past projects in features and costs. Given good historical data, estimates can be made quickly with little effort and reasonable accuracy. This method is very common in projects that are relatively standard but have some small variation or customization.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

72. Estimating the total cost of a project by multiplying each major function by a complexity factor is an example of the apportion method of estimating costs.
FALSE

Apportionment is used when projects closely follow past projects in features and costs. Given good historical data, estimates can be made quickly with little effort and reasonable accuracy. This method is very common in projects that are relatively standard but have some small variation or customization.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

73. Phase estimating is used when a project cannot be rigorously defined because of the uncertainty of design or the final product.
TRUE

Phase estimating is used when an unusual amount of uncertainty surrounds a project and it is impractical to estimate times and costs for the entire project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

74. Phase estimating uses both the bottom-up and top-down methods for estimating project time and costs.
TRUE

This approach begins with a top-down estimate for the project and then refines estimates for phases of the project as it is implemented.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

75. Using a WBS permits the use of different levels of detail for different levels of management.
TRUE

Getting the level of detail in the WBS to match management needs for effective implementation is crucial, but the delicate balance is difficult to find. The level of detail in the WBS varies with the complexity of the project; the need for control; the project size, cost, duration; and other factors.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Level of Detail
Level: Easy

76. The Consensus method of estimating costs is a bottom-up technique.
FALSE

These first top-down estimates are only a rough cut and typically occur in the "conceptual" stage of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

77. The salary of the project manager and her administrative assistant is classified as direct labor costs.
FALSE

Direct project overhead costs can be tied to project deliverables or work packages. Examples include the salary of the project manager and temporary rental space for the project team.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Types of Costs
Level: Medium

78. General and Administrative costs are usually allocated as a percent of the total of a direct cost such as labor, materials, or equipment.
TRUE

G&A costs are usually allocated as a percent of total direct cost, or a percent of the total of a specific direct cost such as labor, materials, or equipment.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Types of Costs
Level: Medium

79. The apportion method is a top-down approach that uses the pooled experience of senior and/or middle managers to estimate the total project duration and cost.
FALSE

Apportionment is used when projects closely follow past projects in features and costs. Given good historical data, estimates can be made quickly with little effort and reasonable accuracy. This method is very common in projects that are relatively standard but have some small variation or customization.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

80. The function point method of time and cost estimating is best applied to projects that have large, complex physical deliverables, such as a bridge or building.
FALSE

In the software industry, software development projects are frequently estimated using weighted macro variables called "function points" or major parameters such as number of inputs, number of outputs, number of inquiries, number of data files, and number of interfaces.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Methods for Estimating Project Times and Costs
Level: Easy

Short Answer Questions

81. Identify and briefly describe the two major categories of estimating project time and costs.

1. Top-down estimates made by top management, and 2. bottom-up estimates are made by those responsible for completing the work packages

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Medium

82. Why are the estimates for a project's time and costs important for all phases of a project?

The estimates serve as the standard for comparison of actual and plan throughout the life of a project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

83. Identify the factors that should be considered to improve the quality of estimates for project times and costs.

1. planning horizon, 2. project duration, 3. people, 4. project structure and organization, 5. padding estimates, 6. organization culture, and 7. non-project factors

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Factors Influencing the Quality of Estimates
Level: Difficult

84. Under what conditions would the top-down approach to estimating project times and costs be the best choice?

In the early stages of a project to help develop the initial plan, in making strategic decisions, in projects of high uncertainty, in small internal projects, or in projects with an unstable scope.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Difficult

85. Under what conditions would the bottom-up approach to estimating project times and costs be the best choice?

When low cost, efficient estimates are needed, when time and cost are important, when working on a fixed price contract, or when the customer wants details.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Difficult

86. Describe the ideal approach for a project manager to develop optimal estimates for a project's time and costs.

Allow enough time for both the top-down and bottom-up estimates to be worked out and included in the final plan.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Difficult

87. Identify and briefly describe the five major methods of top-down estimating.

1. consensus, 2. ratio method, 3. apportion method, 4. function point, and 5. learning curves

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Methods for Estimating Project Times and Costs
Level: Difficult

88. Identify and briefly describe the four major methods of bottom-up estimating.

1. template method, 2. parametric procedure applied to specific tasks, 3. detailed estimates from the WBS work packages, and 4. phase estimating

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Methods for Estimating Project Times and Costs
Level: Difficult

89. Identify the drawbacks to an excessive level of detail in project times and costs.

1. emphasis on departmental outcomes, and 2. increased paperwork

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Level of Detail
Level: Difficult

90. Identify the three major categories of project costs and give an example of each.

1. Direct costs (labor, materials, equipment, other), 2. Project Overhead Costs (salaries of project manager, rent on space to house the project), and 3. General and Administrative Overhead Costs (advertising, accounting, and senior management of the organization)

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Types of Costs
Level: Difficult

91. "The best way to improve estimates is to collect and archive data on past project estimates and actuals." Agree or disagree and support your answer.

This technique is rated as a 'best practice' among leading project management organizations. Several large firms have large estimating departments that have developed large time and cost databases.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Creating a Database for Estimating
Level: Difficult

Chapter 06 Developing a Project Plan Answer Key

Multiple Choice Questions

1. Information to develop a project network is collected from the
A. Organization breakdown structure
B. Work breakdown structure
C. Budget
D. Project proposal
E. Responsibility matrix

The network is developed from the information collected for the WBS and is a graphic flow chart of the project job plan.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Developing the Project Network
Level: Easy

2. Which of the following represents an activity on an AON project network?
A. An arrow
B. A line
C. A node
D. Both A and B are correct
E. A, B, and C are all correct

The two approaches used to develop project networks are known as activity-on-node (AON) and activity-on-arrow (AOA). Both methods use two building blocks— the arrow and the node. Their names derive from the fact that the former uses a node to depict an activity.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

3. Arrows on an AON project network represent:
A. An activity
B. Project flow
C. Dependency
D. Both B and C are correct
E. Both A and B are correct

The node depicts an activity, and the arrow shows dependency and project flow.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: From Work Package to Network
Level: Medium

4. When translated into a project network, a work package will become
A. A single activity
B. One or more activities
C. A milestone
D. A critical path
E. An arrow

Work packages from the WBS are used to build the activities found in the project network. An activity can include one or more work packages. The activities are placed in a sequence that provides for orderly completion of the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: From Work Package to Network
Level: Medium

5. Which of the following is provided by a project network but not by the work breakdown structure?
A. Dependencies
B. Sequencing
C. Interrelationships
D. Both A and B are correct
E. A, B, and C are all correct

Project networks are developed from the WBS. The project network is a visual flow diagram of the sequence, interrelationships, and dependencies of all the activities that must be accomplished to complete the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: From Work Package to Network
Level: Medium

6. On a project network, the activity times are derived from the
A. Organization breakdown structure
B. Work packages
C. Budget
D. Project proposal
E. Responsibility matrix

Work packages from the WBS are used to build the activities found in the project network. An activity is an element in the project that consumes time—for example, work or waiting.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: From Work Package to Network
Level: Difficult

7. Part of a project is to *Develop Product Specifications*. This is best classified as a(n)
A. Event
B. Path
C. Activity
D. Node
E. Milestone

Activities usually represent one or more tasks from a work package. Descriptions of activities should use a verb/noun format: for example, develop product specifications.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Medium

8. An activity that has more than one dependency arrow flowing into it is termed a(n)
A. Parallel activity
B. Critical path
C. Burst activity
D. Merge activity
E. Independent activity

Merge activity is an activity that has more than one activity immediately preceding it (more than one dependency arrow flowing to it).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

9. The critical path in a project network is the
A. Shortest path through the network
B. Longest path through the network
C. Network path with the most difficult activities
D. Network path using the most resources
E. Network path with the most merge activities

When this term is used, it means the path(s) with the longest duration through the network; if an activity on the path is delayed, the project is delayed the same amount of time.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

10. A/an_____activity has more than one dependency arrow flowing from it.
A. Parallel
B. Critical path
C. Burst
D. Merge
E. Independent

Burst activity is an activity has more than one activity immediately following it (more than one dependency arrow flowing from it).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Easy

11. An item on a project network is *Design Software Completed*. This is best described as a(n)
A. Event
B. Path
C. Activity
D. Node
E. Milestone

Event is a term used to represent a point in time when an activity is started or completed. It does not consume time.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

12. Activities which can take place at the same time are termed
A. Parallel activity
B. Critical path
C. Burst activity
D. Merge activity
E. Independent activity

These are activities that can take place at the same time, if the manager wishes. However, the manager may choose to have parallel activities not occur simultaneously.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

13. A sequence of connected, dependent activities is termed a(n)
A. Critical path
B. Parallel path
C. Activity chain
D. Path
E. Dependent chain

A Path is a sequence of connected, dependent activities.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

14. An AON project network uses which of the following basic building blocks?
A. Arrows
B. Bars
C. Nodes
D. Both A and C are correct
E. A, B, and C are all correct

The two approaches used to develop project networks are known as activity-on-node (AON) and activity-on-arrow (AOA). Both methods use two building blocks— the arrow and the node.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

15. Which of the following is not one of the basic rules to follow when developing project networks?
A. An activity cannot begin until all preceding activities have been completed
B. Each activity must have a unique identification number
C. Conditional statements are allowed but looping statements are not allowed
D. An activity identification number must be larger that that of any preceding activities
E. Networks flow from left to right

See List on Page 161.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

16. _____activities must be completed immediately before a particular activity.
A. Merge
B. Burst
C. Predecessor
D. Successor
E. Critical

Which activities must be completed immediately before this activity? These activities are called predecessor activities.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Activity-on-Node (AON) Fundamentals
Level: Easy

17. _____activities are to be completed immediately following a particular activity.
A. Merge
B. Burst
C. Predecessor
D. Successor
E. Critical

Which activities must immediately follow this activity? These activities are called successor activities.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Activity-on-Node (AON) Fundamentals
Level: Easy

18. The forward pass in project network calculations determines the
A. Earliest time's activities can begin
B. Earliest time's activities can be finished
C. Duration of the project
D. Both A and B are correct
E. A, B, and C are all correct

The forward pass starts with the first project activity(ies) and traces each path (chain of sequential activities) through the network to the last project activity(ies).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

19. The backward pass in project network calculations determines the
A. Latest time's activities can begin
B. Earliest time's activities can be finished
C. Critical path
D. Both A and C are correct
E. A, B, and C are all correct

See list on Page 165.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

20. Which of the following correctly calculates the early finish for an activity?
A. LS + DUR
B. ES + DUR
C. LF + DUR
D. ES + SL
E. LF + SL

The early finish for activity = (ES + DUR).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

21. Which of the following correctly calculates the late start for an activity?
A. EF - DUR
B. ES - DUR
C. LF - DUR
D. ES - SL
E. LF - SLACK

You subtract activity times along each path starting with the project end activity (LF - DUR = LS).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

22. The amount of time an activity can be delayed and yet not delay the project is termed
A. Total slack
B. Free slack
C. Critical float
D. Float pad
E. Slip pad

Total slack tells us the amount of time an activity can be delayed and yet not delay the project. Stated differently, total slack is the amount of time an activity can exceed its early finish date without affecting the project end date or an imposed completion date.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Easy

23. Which of the following will correctly calculate the total slack in an activity?
A. LS - ES
B. LF - EF
C. LS - LF
D. LF - ES
E. Both A and B are correct

Total slack or float for an activity is simply the difference between the LS and ES (LS - ES = SL) or between LF and EF (LF - EF = SL).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Easy

24. The laying pipe example in the text illustrates the concept of
A. Laddering
B. Hammock activities
C. Critical path
D. Concurrent engineering
E. Forward pass

The assumption that all immediate preceding activities must be 100 percent complete is too restrictive for some situations found in practice. This restriction occurs most frequently when one activity overlaps the start of another and has a long duration. Under the standard finish-to-start relationship, when an activity has a long duration and will delay the start of an activity immediately following it, the activity can be broken into segments and the network drawn using a laddering approach so the following activity can begin sooner and not delay the work.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

25. Using a special color copy machine for a tradeshow publication illustrates the concept of
A. Laddering
B. Hammock activities
C. Critical path
D. Concurrent engineering
E. Forward pass

Hammock activities are frequently used to identify the use of fixed resources or costs over a segment of the project. Typical examples of hammock activities are inspection services, consultants, or construction management services. A hammock activity derives its duration from the time span between other activities. For example, a special color copy machine is needed for a segment of a tradeshow publication project. A hammock activity can be used to indicate the need for this resource and to apply costs over this segment of the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

26. If, for some reason, the project must be expedited to meet an earlier date, which of the following actions would the project manager take first?
A. Check to see which activities cost the least
B. Check to see which activities have the longest duration
C. Check to see which activities are on the critical path
D. Check to see which activities have the most slack
E. Check to see which activities have the highest risk

If for some reason the project must be expedited to meet an earlier date, it is possible to select those activities, or combination of activities, that will cost the least to shorten the project. Similarly, if the critical path is delayed and the time must be made up by shortening some activity or activities on the critical path to make up any negative slack, it is possible to identify the activities on the critical path that cost the least to shorten. If there are other paths with very little slack, it may be necessary to shorten activities on those paths also.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Using the Forward and Backward Pass Information
Level: Medium

27. Typically an activity on a project network represents
A. A single work package
B. One or more tasks from a work package
C. Several work packages
D. A sub-deliverable
E. A cost account

Work packages from the WBS are used to build the activities found in the project network.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: From Work Package to Network
Level: Medium

28. Project network logic errors include which of the following?
A. Activities with less than 1 day duration
B. Sequences such as "if test successful build prototype, if failure redesign"
C. A sequence such as B succeeds A, C succeeds B, A succeeds C
D. Both B and C are network logic errors
E. A, B, and C are all network logic errors

One rule is that conditional statements such as "if test successful build proto, if failure redesign" are not permitted. Another rule that defeats the project network and computation process is looping. Looping is an attempt by the planner to return to an earlier activity.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Medium

29. Which company utilized concurrent engineering to design a new line of cars and in the process completed its development six months ahead of schedule?
A. General Motors
B. Chrysler
C. Ford
D. Nissan
E. Toyota

The traditional chainlike sequence of finish-to-start relationships is replaced by a series of start-to-start lag relationships as soon as meaningful work can be initiated for the next phase. Figure 6.17 summarizes the dramatic gains in time to market achieved by this approach. For example, this approach was used by Chrysler Corporation to design its new line of SC cars including the popular Neon sedan.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

30. The minimum amount of time a dependent activity must be delayed to begin or end is referred to as:
A. Hammock
B. Laddering
C. Lag
D. Cushion
E. Buffer

A lag is the minimum amount of time a dependent activity must be delayed to begin or end.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

31. The requirement for a freshly poured foundation to cure before beginning construction is an example of which of the following type of lag?
A. Start to Start
B. Start to Finish
C. Finish to Finish
D. Finish to Start
E. Any of these could be correct

There are situations in which the next activity in a sequence must be delayed even when the preceding activity is complete. For example, removing concrete forms cannot begin until the poured cement has cured for two time units.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

32. Concurrent engineering is a good example of good use of
A. Start to Start lags
B. Start to Finish lags
C. Finish to Finish lags
D. Finish to Start lags
E. Any of these could be correct

Concurrent Engineering, basically breaks activities into smaller segments so that work can be done in parallel and the project expedited. Start-to-start relationships can depict the concurrent engineering conditions and reduce network detail.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

33. If testing cannot be completed any earlier than four days after the prototype is built, which of the following type of lag exists?
A. Start to Start
B. Start to Finish
C. Finish to Finish
D. Finish to Start
E. Any of these could be correct

The finish of one activity depends on the finish of another activity. For example, testing cannot be completed any earlier than four days after the prototype is complete.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

34. Which of the following represents an activity on an AOA project network?
A. An arrow
B. A line
C. A node
D. Both A and B are correct
E. A, B, and C are all correct

The activity-on-arrow (AOA) uses an arrow to depict an activity.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: From Work Package to Network
Level: Easy

35. Nodes on an AON project network represent:
A. An activity
B. An event
C. Responsibility
D. Both B and C are correct
E. Both A and B are correct

The activity-on- node (AON) uses a node to depict an activity.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: From Work Package to Network
Level: Medium

Fill in the Blank Questions

36. A(n)_____is an element in the project that consumes time.
activity

An activity is an element of the project that requires time. It may or may not require resources.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

37. The activity time estimates used to build a project network are derived from_____.
work packages

A work package is defined independently of other work packages, has definite start and finish points, requires specific resources, includes technical specifications, and has cost estimates for the package.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Developing the Project Network
Level: Easy

38. A_____is an activity that has more than one predecessor.
merge activity

Merge activity is an activity that has more than one activity immediately preceding it (more than one dependency arrow flowing to it).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

39. In a_____the delaying of any activity will delay the completion of the project by the same amount.
critical path

Critical path means the path(s) with the longest duration through the network; if an activity on the path is delayed, the project is delayed the same amount of time.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

40. Activities that can take place at the same time if the manager wishes them to are called _____.
parallel activities

Parallel activities are activities that can take place at the same time, if the manager wishes. However, the manager may choose to have parallel activities not occur simultaneously.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

41. A (n)_____represents a point in time when an activity is started or completed and does not consume time.
event

Event is used to represent a point in time when an activity is started or completed. It does not consume time.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

42. A (n)_____has more than one successor activity.
burst activity

Burst activity has more than one activity immediately following it (more than one dependency arrow flowing from it).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

43. The_____approach to creating project networks has come to dominate most projects.
AON or activity-on-node

In practice, the activity-on-node (AON) method has come to dominate most projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

44. In a project network,_____(recycling through a set of activities) is not permitted.
looping

Looping is not allowed (in other words, recycling through a set of activities cannot take place).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Easy

45. In a project network,_____indicate precedence and flow.
arrows

The wide availability of personal computers and graphics programs has served as an impetus for use of the activity-on-node (AON) method (sometimes called the precedence diagram method). The dependencies among activities are depicted by arrows between the rectangles (boxes) on the AON network. The arrows indicate how the activities are related and the sequence in which things must be accomplished.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Activity-on-Node (AON) Fundamentals
Level: Easy

46. The_____method for creating project networks is sometimes called the Precedence Diagram Method.
AON or activity-on-node

The wide availability of personal computers and graphics programs has served as an impetus for use of the activity-on-node (AON) method (sometimes called the precedence diagram method).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Activity-on-Node (AON) Fundamentals
Level: Easy

47. Activities that must occur immediately before a given activity are called _____ activities.
predecessor

Activities that must be completed immediately before an activity are called predecessor activities.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Activity-on-Node (AON) Fundamentals
Level: Easy

48. Activities that must immediately follow a given activity are called_____activities.
successor

Activities that must immediately follow an activity are called successor activities.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Activity-on-Node (AON) Fundamentals
Level: Easy

49. Activities that can occur while an activity is taking place are called_____activities.
parallel or concurrent

Activities that can occur while an activity is taking place is known as a concurrent or parallel relationship.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Activity-on-Node (AON) Fundamentals
Level: Easy

50. The_____calculates the earliest times that activities can be started or finished.
forward pass

Forward Pass describes how soon can the activity start? (early start—ES) and how soon can the activity finish? (early finish—EF).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

51. The_____calculates the critical path and determines how long an activity can be delayed without delaying the project.
backward pass

The backwards pass which activities represent the critical path (CP). This is the longest path in the network which, when delayed, will delay the project and how long can the activity be delayed? (slack or float—SL).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

52. An activity is on the critical path if its_____is the lowest in the network.
total slack

Total slack tells us the amount of time an activity can be delayed and yet not delay the project. Stated differently, total slack is the amount of time an activity can exceed its early finish date without affecting the project end date or an imposed completion date.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

53. _____can never be negative and applies only to the last activity in a single chain of activities.
Free slack

Free slack is the amount of time and activity can be delayed without delaying any immediately following (successor) activity. Or, free slack is the amount of time an activity can exceed its early finish date without affecting the early start date of any successor(s). Free slack can never be negative.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

54. A(n)_____is the minimum amount of time a dependent activity must be delayed to begin or end.
lag

A lag is the minimum amount of time a dependent activity must be delayed to begin or end.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

55. In the_____technique, an activity with a long duration is broken into smaller segments so that the following activities can begin sooner.
laddering

The assumption that all immediate preceding activities must be 100 percent complete is too restrictive for some situations found in practice. This restriction occurs most frequently when one activity overlaps the start of another and has a long duration. Under the standard finish-to-start relationship, when an activity has a long duration and will delay the start of an activity immediately following it, the activity can be broken into segments and the network drawn using a laddering approach so the following activity can begin sooner and not delay the work.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

56. _____is defined as the difference between the EF of an activity and the ES of the activity that follows it.
Free Slack (Float)

See Figure 6.9 on Page 172.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

57. _____reflects the likelihood the original critical path(s) will change once the project is initiated.
Sensitivity

Sensitivity reflects the likelihood the original critical path(s) will change once the project is initiated. Sensitivity is a function of the number of critical or near-critical paths.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

58. A_____lag exists if debug cannot begin until two days after coding has started and that coding must be completed four days before debug can be completed.
combination

More than one lag relationship can be attached to an activity. These relationships are usually start-to-start and finish-to-finish combinations tied to two activities. For example, debug cannot begin until two time units after coding has started. Coding must be finished four days before debug can be finished (see Figure 6.20 on page 181).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

59. The_____lag is the most typical type of lag that is encountered in developing networks.
finish to start

The finish-to-start relationship represents the typical, generic network However, there are situations in which the next activity in a sequence must be delayed even when the preceding activity is complete.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

60. A_____activity is frequently used to identify the use of fixed resources or costs over a segment of the project.
hammock

Hammock activities are frequently used to identify the use of fixed resources or costs over a segment of the project. Typical examples of hammock activities are inspection services, consultants, or construction management services. A hammock activity derives its duration from the time span between other activities. For example, a special color copy machine is needed for a segment of a tradeshow publication project. A hammock activity can be used to indicate the need for this resource and to apply costs over this segment of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Easy

True / False Questions

61. An activity includes only one work package.
FALSE

Activities usually represent one or more tasks from a work package.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

62. Project networks are built using nodes and arrows.
TRUE

The two approaches used to develop project networks are known as activity-on-node (AON) and activity-on-arrow (AOA). Both methods use two building blocks—the arrow and the node.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

63. The WBS identifies dependencies, the sequencing of activities, and the timing of activities.
FALSE

Networks provide the project schedule by identifying dependencies, sequencing, and timing of activities, which the WBS is not designed to do.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: From Work Package to Network
Level: Medium

64. The critical path is the shortest path through a network and indicates activities that cannot be delayed without delaying the project.
FALSE

Critical path means the path(s) with the longest duration through the network; if an activity on the path is delayed, the project is delayed the same amount of time.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

65. An activity is an element of the project that always requires time but may or may not require resources.
TRUE

An activity is an element of the project that requires time. It may or may not require resources.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

66. The two approaches used to develop project networks are AOA and AON.
TRUE

The two approaches used to develop project networks are known as activity-on-node (AON) and activity-on-arrow (AOA).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Network
Level: Easy

67. In an AOA network an activity is represented by a box.
Refer to Appendix 6.1
FALSE

The activity-on-arrow (AOA) approach also uses the arrow and node as network building blocks. However, in this approach the arrow represents an individual project activity that requires time. The length and slope of the arrow have no significance. The node represents an event; it is usually presented as a small circle.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

68. In developing a project network, each activity should have a unique identification number that is smaller than the identification numbers of activities that follow it.
TRUE

Each activity should have a unique identification number. And that activity identification number must be larger than that of any activities that precede it.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

69. In developing a project network, neither looping statements nor conditional statements are permitted.
TRUE

Looping is not allowed (in other words, recycling through a set of activities cannot take place). Also Conditional statements are not allowed (that is, this type of statement should not appear: If successful, do something; if not, do nothing).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

70. Experience suggests that when there are multiple starts, a common start node should not be used to indicate a clear project beginning on the network. Similarly, a single project end node can be used to indicate a clear ending.
FALSE

Experience suggests that when there are multiple starts, a common start node can be used to indicate a clear project beginning on the network. Similarly, a single project end node can be used to indicate a clear ending.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

71. Burst activities have more than one activity immediately following it (more than one dependency arrow flowing from it).
TRUE

Burst activities have more than one activity immediately following it (more than one dependency arrow flowing from it).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Easy

72. It is acceptable for arrows to cross one another in a network diagram.
TRUE

Arrows on networks indicate precedence and flow. Arrows can cross over each other.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Easy

73. The forward pass through a project network determines the critical path.
FALSE

The forward pass starts with the first project activity(ies) and traces each path (chain of sequential activities) through the network to the last project activity(ies). The forward pass assumes every activity will start the instant in time when the last of its predecessors is finished.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

74. The backward pass though a project network determines how long an activity can be delayed without impacting the completion date of the project.
TRUE

The backwards pass which activities represent the critical path (CP). This is the longest path in the network which, when delayed, will delay the project and how long can the activity be delayed (slack or float—SL).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

75. Different activities along the same path can have different total slack.
TRUE

If slack of one activity in a path is used, the ES for all activities that follow in the chain will be delayed and their slack reduced. Use of total slack must be coordinated with all participants in the activities that follow in the chain.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Network Computation Process
Level: Medium

76. By definition, the critical path always has zero slack.
FALSE

The critical path follows activity start and finish constraints that occur due to the use of the additional relationships available and the imposed lags.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

77. It is possible to have more than one critical path at the same time.
TRUE

Critical path means the path(s) with the longest duration through the network; if an activity on the path is delayed, the project is delayed the same amount of time.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

78. Free slack applies to an entire project network.
FALSE

Free slack is the amount of time and activity can be delayed without delaying any immediately following (successor) activity. Or, free slack is the amount of time an activity can exceed its early finish date without affecting the early start date of any successor(s).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Network Computation Process
Level: Medium

79. Gantt charts are popular because they represent an easy-to-understand, clear picture on a time-scaled horizon.
Refer to Figure 6.12
TRUE

See Figure 6.12 on Page 176.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Practical Considerations
Level: Easy

80. Lags are used to break larger activities into smaller segments so that activities that follow can be started earlier.
FALSE

When activities of long duration delay the start or finish of successor activities, the network designer normally breaks the activity into smaller activities to avoid the long delay of the successor activity. Use of lags can avoid such delays and reduce network detail.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

81. Only activities that occur at the end of a chain of activities can have free slack.
TRUE

Free slack occurs at the last activity in a chain of activities. In many situations the "chain" can have only one link.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Network Computation Process
Level: Medium

82. Lags can be use to constrain the start and finish of an activity.
TRUE

Lags can be used to constrain the start and finish of an activity.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

Short Answer Questions

83. Identify and discuss the two major reasons for the integration of work packages into the project network failing in actual practice.

1. different people are used to define work packages and the network, and 2. the WBS is poorly constructed and not deliverable/output oriented.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Developing the Project Network
Level: Medium

84. What are the two approaches used to develop project networks and identify the differences between them?

1. activity-on-node; where nodes depict activities and the arrows show flow and dependencies and 2. activity-on-arrow; where nodes represent events and achievement of the activities is represented by the arrow connecting the nodes.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Medium

85. What are the eight rules to follow in developing project networks?

1. flow left to right, 2. activities cannot begin until all predecessors have been completed, 3. arrows indicate precedence and flow, 4. each activity should have a unique identification number, 5. activity ID numbers must be larger than preceding ID number, 6. looping is not permitted, 7. conditional statements are not permitted, and 8. create a common start node for multiple start activities.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Constructing a Project Network
Level: Difficult

86. In the network computation process what is a *forward pass* and what three things does it determine?

Starting with the first activity, each path is traced forward through the network, adding times until the end of the project. This determines 1. how soon each activity can start, 2. how soon each activity can finish, and 3. how soon the entire project can be completed.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Network Computation Process
Level: Difficult

87. In the network computation process what is a *backward pass* and what four things does it determine?

Starting with the last activity, each path is traced backward through the network, subtracting times until the beginning of the project. This determines 1. how late each activity can start, 2. how late each activity can finish, 3. the critical path, and 4. how long can each activity be delayed without changing the completion date.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Network Computation Process
Level: Difficult

88. What is total slack and how do you determine it?

Slack is the amount of time specific activities can be delayed without causing the project to miss its completion date. It is calculated by subtracting the Early Start date from the Late Start date (SL = LS-ES) or subtracting the Early Finish date from the Late Finish date (SL = LF-EF).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Network Computation Process
Level: Medium

89. What is a Gantt chart and what advantages does it have over project networks?

Gantt charts are bar charts where activities are displayed as bars on a horizontal time-scale. They are easy-to-read and provide a clear overview of the project schedule and progress against that schedule.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Medium

90. What is the laddering approach to project networks and why would you use this approach?

In laddering, lengthy activities are segmented into small pieces so that successor activities can begin prior to the completion of the initial activity. This effectively reduces the overall project time. The text used a laying pipeline example to illustrate.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

91. What is a lag and why would you need to use one?

A lag is the minimum amount of time a dependent activity must be delayed to begin or end. They occur during laddering and avoid delays and they are also used to constraint the start and finish of an activity.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

92. What is a hammock activity and give an example?

A hammock activity identifies the use of a resource over a segment of the project. Thus its duration is determined by the duration of other activities. The example used in the text was for a color copier during specific phases of a project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Medium

93. What is the Concurrent Engineering Approach and why should project managers be aware of it?

The chainlike sequence of finish-to-start relationships is replaced by a series of start-to-start lag relationships as soon as meaningful work can be initiated for the next phase. The resulting overlap of tasks slightly increases risk but results in a much shorter schedule.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Difficult

94. Identify and briefly describe the four types of lags giving an example for each type.

1. Finish-to-Start, 2. Start-to-Start, 3. Finish-to-Finish, 4. Start-to-Finish.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Extended Network Techniques to Come Closer to Reality
Level: Difficult

Chapter 07 Managing Risk Answer Key

Multiple Choice Questions

1. An uncertain event or condition that, if it occurs, has a positive or negative effect on a project objectives is termed.
A. Random chance
B. A disaster
C. Risk
D. Hazard
E. Bad luck

In the context of projects, risk is an uncertain event or condition that, if it occurs, has a positive or negative effect on project objectives.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Risk Management Process
Level: Easy

2. The chances of a risk event occurring as a project proceeds through its life cycle tends to
A. Slowly rise
B. Drop sharply and then level out
C. Rise sharply and then level out
D. Remain about the same
E. Slowly drop

See Figure 7.1 on Page 212.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Medium

3. The cost impact of a risk event occurring as a project proceeds through its life cycle tends to
A. Slowly rise
B. Drop sharply and then level out
C. Rise sharply and then level out
D. Remain about the same
E. Slowly drop

The cost impact of a risk event in the project is less if the event occurs earlier rather than later.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Medium

4. The attempt to recognize and manage potential and unforeseen trouble spots that may occur when a project is implemented is known as
A. Risk forecasting
B. Risk management
C. Contingency planning
D. Scenario analysis
E. Disaster protection

Risk management attempts to recognize and manage potential and unforeseen trouble spots that may occur when the project is implemented.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Risk Management Process
Level: Easy

5. Which of the following is not one of the steps in the risk management process?
A. Risk response development
B. Risk assessment
C. Risk identification
D. Risk tracking
E. Risk response control

See Figure 7.2 on Page 213.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Medium

6. The initial step in the risk management process is to
A. Determine the level of acceptable risk
B. Assess the risk potential
C. Identify the risks
D. Set aside budget funds for managing the risks
E. Appoint a risk manager

See Figure 7.2 on Page 213.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Risk Management Process
Level: Easy

7. One common mistake made early in the risk identification process is to
A. Not all possibilities are considered
B. Participants are over-optimistic
C. Participants are over-pessimistic
D. Focus on objectives and not on the events that could produce consequences.
E. Too much attention is given to past events

One common mistake that is made early in the risk identification process is to focus on objectives and not on the events that could produce consequences.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Risk Identification
Level: Easy

8. In the beginning the focus of risk management should be on risks that
A. Impact the whole project
B. Impact the critical path
C. Are known
D. Have the greatest cost impact
E. Have the greatest schedule impact

The focus at the beginning should be on risks that can affect the whole project as opposed to a specific section of the project or network.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Risk Identification
Level: Medium

9. The 1999 NASA Mars Climate Orbiter is an example of
A. Disaster avoidance through proactive risk management
B. Murphy's Law
C. Proper use of critical thinking
D. Mismanaged risk control
E. Using historical records to assess risk

The cost of mismanaged risk control early on in the project is magnified by the ill-fated 1999 NASA Mars Climate Orbiter.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Medium

10. Which of the following would not be considered a *threat*?
A. Inflation
B. Meeting the project schedule
C. International disruptions
D. Economic conditions
E. Competition

There are sources external to the organization, such as inflation, market acceptance, exchange rates, and government regulations. In practice, these risk events are often referred to as "threats" to differentiate them from those that are not within the project manager's or team's responsibility area.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Risk Management Process
Level: Difficult

11. A list of questions that address traditional areas of uncertainty on a project is termed a risk
A. Risk profile
B. Questionnaire
C. Research
D. Query
E. Checklist

A risk profile is a list of questions that address traditional areas of uncertainty on a project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Easy

12. Which of the following is typically included in risk profiles?
A. Management aspects
B. Market aspects
C. Technical aspects
D. Both A and C are included
E. A, B, and C are all included

Risk profiles recognize the unique strengths and weaknesses of the firm; also risk profiles address both technical and management risks.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

13. All of the following are included in the risk identification process except
A. Customers
B. Subcontractors
C. Competitors
D. Vendors
E. None of these are included

The risk identification process should not be limited to just the core team. Input from customers, sponsors, subcontractors, vendors, and other stakeholders should be solicited.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Easy

14. One of the keys to success in risk identification is
A. Critical thinking
B. Optimism
C. Pessimism
D. A "can do" attitude
E. All of these are correct

While a "can do" attitude is essential during implementation, project managers have to encourage critical thinking when it comes to risk identification.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

15. The easiest and most commonly used technique for analyzing risks is_____analysis.
A. Probability
B. Scenario
C. Payback
D. Risk/reward
E. Impact

Scenario analysis is the easiest and most commonly used technique for analyzing risks.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Easy

16. A risk profile is a list of questions that address traditional areas of uncertainty on a project that answers developed from:
A. When the event might occur in the project
B. Chances of the event occurring
C. Interaction with other parts of the project or with other projects
D. From previous, similar projects
E. Magnitude or severity of the event's impact

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

17. The risk management tool that is divided into three color-coded zones representing major, moderate, and minor risks is the risk
A. Assessment form
B. Responsibility matrix
C. Scenario assessment
D. Impact assessment
E. Risk severity matrix

The risk severity matrix provides a basis for prioritizing which risks to address. Red zone risks receive first priority followed by yellow zone risks. Green zone risks are typically considered inconsequential and ignored unless their status changes.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Medium

18. The risk assessment form contains all of the following except
A. Likelihood of the risk event occurring
B. Potential impact of the risk event
C. Who will detect the occurrence of the risk event.
D. Difficulty of detecting the occurrence of the risk event
E. When the risk event may occur

See Figure 7.6 on Page 217.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Medium

19. The two scales of a risk severity matrix measure
A. Time, cost
B. Cost, schedule
C. Impact, cost
D. Time, impact
E. Likelihood, impact

The risk matrix presented in Figure 7.7 on page 218 consists of a 5 x 5 array of elements with each element representing a different set of impact and likelihood values.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

20. Which of the following is not one of the probability analysis tools?
A. Ratio/range analysis
B. Decision tree
C. PERT simulation
D. PERT
E. All of these are probability analysis tools

Decision trees have been used to assess alternative courses of action using expected values PERT (program evaluation and review technique) and PERT simulation can be used to review activity and project risk.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Medium

21. This risk assessment tool is a variation of the risk severity matrix that includes the ease of detection for each of the identified risks.
A. PERT simulation
B. FMEA analysis
C. Ratio/range analysis
D. Probability analysis
E. Semi-quantitative analysis

Failure Mode and Effects Analysis (FMEA) extends the risk severity matrix by including ease of detection in the equation: Impact x Probability x Detection = Risk Value.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

22. Which of the following is not included in a Failure Mode and Effects Analysis?
A. Impact
B. Probability
C. Detection
D. Risk value
E. All of these are included

Failure Mode and Effects Analysis (FMEA) extends the risk severity matrix by including ease of detection in the equation: Impact x Probability x Detection = Risk Value.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Medium

23. Which of the following is used to review activity and project risk?
A. NPV
B. S-curves
C. PERT
D. Decision trees
E. All of these can be used

PERT (program evaluation and review technique) and PERT simulation can be used to review activity and project risk.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Medium

24. Which of the following is not one of the potential responses to a specific risk event?
A. Mitigating
B. Retaining
C. Ignoring
D. Transferring
E. Sharing

When a risk event is identified and assessed, a decision must be made concerning which response is appropriate for the specific event. Responses to risk can be classified as mitigating, avoiding, transferring, sharing, or retaining.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Medium

25. A Risk Response Matrix contains all of the following except
A. Contingency plan
B. Trigger
C. Who is responsible?
D. Response
E. All of these are included in the matrix

See Figure 7.8 on Page 224.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Contingency Planning
Level: Medium

26. The demolition of the Seattle Kingdome (Snapshot from Practice) is an example of which of the following?
A. Mitigating
B. Retaining
C. Ignoring
D. Transferring
E. Sharing

Reducing risk is usually the first alternative considered. There are basically two strategies for mitigating risk: (1) reduce the likelihood that the event will occur and/ or (2) reduce the impact that the adverse event would have on the project. Most risk teams focus first on reducing the likelihood of risk events since, if successful, this may eliminate the need to consider the potentially costly second strategy. The Dome to Dust Snapshot from Practice details the steps Controlled Demolition took to minimize damage when they imploded the Seattle Kingdome.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 3: Risk Response Development
Level: Medium

27. The risk associated with one of the key members being stuck by lightning would most likely be handled by which of the following?
A. Mitigating
B. Retaining
C. Ignoring
D. Transferring
E. Sharing

The risk of a project manager being struck by lightning at a work site would have major negative impact on the project, but the likelihood is so low it is not worthy of consideration. Conversely, people do change jobs, so an event like the loss of key project personnel would have not only an adverse impact but also a high likelihood of occurring in some organizations. If so, then it would be wise for that organization to be proactive and mitigate this risk by developing incentive schemes for retaining specialists and/or engaging in cross-training to reduce the impact of turnover.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Medium

28. Funds that are for identified risks that have a low probability of occurring and that decrease as the project progresses are called_____reserves.
A. Management
B. Budget
C. Contingency
D. Padded
E. Just in case

Budget reserves are set up to cover identified risks; these reserves are those allocated to specific segments or deliverables of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Contingency Funding and Time Buffers
Level: Medium

29. Technical risks are:
A. Can often be the kind that cause the project to be shut down.
B. Problematic
C. Imposed duration dates
D. Both A and B are correct
E. A, B, and C are all correct

Technical risks are problematic; they can often be the kind that cause the project to be shut down.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Contingency Planning
Level: Medium

30. Detailing all identified risks, including descriptions, category, and probability of occurring, impact, responses, contingency plans, owners and current status is called:
A. Management reserves
B. Change control
C. Contingency reserves
D. Risk register
E. Risk profiles

A risk register details all identified risks, including descriptions, category, and probability of occurring, impact, responses, contingency plans, owners and current status.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 4: Risk Response Control
Level: Medium

31. Which of the following is identified to cover major unforeseen risks and, hence, are applied to the total project?
A. Budget reserves
B. Management reserves
C. Time buffers
D. Both B and C are correct
E. A, B, and C are all correct

Management reserve funds are needed to cover major unforeseen risks and, hence, are applied to the total project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Contingency Funding and Time Buffers
Level: Medium

32. Change management systems are designed to accomplish all of the following except:
A. Track all changes that are to be implemented
B. Review, evaluates, and approve/disapprove proposed changes formally
C. Identify expected effects of proposed changes on schedule and budget
D. Reflect scope changes in baseline and performance measures
E. All of the above are correct

See list on page 231.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Change Control Management
Level: Medium

Fill in the Blank Questions

33. The_____impact of a risk event in a project is less if the event occurs earlier rather than later.
cost

See Figure 7.1 on Page 212.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Easy

34. The likelihood of a risk event occurring_____as a project goes through its life cycle.
decreases

See Figure 7.1 on Page 212.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Risk Management Process
Level: Easy

35. The first step in the Risk Management process is_____.
risk identification

See Figure 7.2 on Page 213.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Easy

36. Risk events such as inflation, market acceptance, and government regulations are referred to as_____.
threats

The sources of project risks are unlimited. There are sources external to the organization, such as inflation, market acceptance, exchange rates, and government regulations. In practice, these risk events are often referred to as "threats" to differentiate them from those that are not within the project manager's or team's responsibility area.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Risk Management Process
Level: Medium

37. A_____is a list of questions that address traditional areas of uncertainty on a project.
risk profile

A risk profile is a list of questions that address traditional areas of uncertainty on a project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

38. The easiest and most commonly used technique for analyzing risks is_____.
scenario analysis

Scenario analysis is the easiest and most commonly used technique for analyzing risks.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Easy

39. The_____form identifies each risk event, the likelihood of it occurring, the potential impact, when it may occur, and the degree of difficulty in detecting it.
risk assessment

See Figure 7.6 on Page 217.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

40. The_____matrix is divided into red, yellow, and green zones representing major, moderate, and minor risks.
risk severity

The risk severity matrix provides a basis for prioritizing which risks to address. Red zone risks receive first priority followed by yellow zone risks. Green zone risks are typically considered inconsequential and ignored unless their status changes.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

41. The vertical scale on the Risk Severity Matrix measures the_____of a potential risk event.
likelihood

See Figure 7.6 on Page 218.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Difficult

42. The horizontal scale on the Risk Severity Matrix measures the_____of a potential risk event.
impact

See Figure 7.6 on Page 218.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 2: Risk Assessment
Level: Difficult

43. In_____the Risk Severity Matrix is extended by including the ease of detecting a risk event occurring.
Failure Mote and Effects Analysis (FMEA)

Failure Mode and Effects Analysis (FMEA) extends the risk severity matrix by including ease of detection in the equation: Impact x Probability x Detection = Risk Value.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

44. In a_____, three different estimates of activity times are used to statistically predict the time an activity will take to complete.
probability analysis

There are many statistical techniques available to the project manager that can assist in assessing project risk. Decision trees have been used to assess alternative courses of action using expected values. Statistical variations of net present value (NPV) have been used to assess cash flow risks in projects. Correlations between past projects' cash flow and S-curves (cumulative project cost curve—baseline—over the life of the project) have been used to assess cash flow risks.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Medium

45. The "Snapshot from Practice" case where Ellipsus Systems developed parallel prototype systems (WAP and JAVA) is an example of_____a risk.
avoiding

Risk avoidance is changing the project plan to eliminate the risk or condition. Although it is impossible to eliminate all risk events, some specific risks may be avoided before you launch the project. Rikard Kjellberg's solution was to have projects in his company's portfolio based on both standards. Ellipsus built early prototypes of both systems and took them to a trade show, with both systems sitting side by side. "We knew within an hour which way to go," says Douglas Davies, the COO. Ellipsus began securing million dollar contracts to supply its Java-based system to leading U.S. operators.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Medium

46. Testing a new project on a smaller isolated area prior to installing it for the entire organization is an example of_____a risk.
mitigating

Reducing risk is usually the first alternative considered. There are basically two strategies for mitigating risk: (1) reduce the likelihood that the event will occur and/ or (2) reduce the impact that the adverse event would have on the project. Most risk teams focus first on reducing the likelihood of risk events since, if successful, this may eliminate the need to consider the potentially costly second strategy.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 3: Risk Response Development
Level: Medium

47. Performance bonds, warranties, and insurance are examples of_____a risk.
transferring

Passing risk to another party is common; this transfer does not change risk. Passing risk to another party almost always results in paying a premium for this exemption. Fixed-price contracts are the classic example of transferring risk from an owner to a contractor.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Medium

48. When the entertainment industry formed a consortium to define a common operating format for DVD it was _____the risk.
sharing

This strategy involves allocating some or all of the ownership of an opportunity to another party who is best able to capture the opportunity for the benefit of the project. Examples include establishing continuous improvement incentives for external contractors or joint ventures.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Contingency Planning
Level: Medium

49. If a risk event is very unlikely to occur the project owner would probably_____the risk.
retain

Some risks are so large it is not feasible to consider transferring or reducing the event (e.g., an earthquake or flood). The project owner assumes the risk because the chance of such an event occurring is slim.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Medium

50. A_____identifies what to do if a potential risk event actually occurs.
risk response matrix

See Figure 7.6 on Page 225.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Contingency Planning
Level: Medium

51. _____reserves are identified for specific work packages and cover risks that have a low probability of occurring.
Budget

These reserves are identified for specific work packages or segments of a project found in the baseline budget or work breakdown structure. For example, a reserve amount might be added to "computer coding" to cover the risk of "testing" showing a coding problem. The reserve amount is determined by costing out the accepted contingency or recovery plan. The budget reserve should be communicated to the project team.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Contingency Funding and Time Buffers
Level: Medium

52. _____reserves are controlled by the project manager and used to cover major unforeseen risks to the entire project.
Management

These reserve funds are needed to cover major unforeseen risks and, hence, are applied to the total project. For example, a major scope change may appear necessary midway in the project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Contingency Funding and Time Buffers
Level: Medium

53. A_____is an alternative that will be used if a possible foreseen risk event becomes a reality.
contingency plan

A contingency plan is an alternative plan that will be used if a possible foreseen risk event becomes a reality.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Contingency Planning
Level: Easy

54. A_____is useful for summarizing how the project team plans to manage risks that have been identified.
Risk Response Matrix

Risk response matrices such as the one shown in Figure 7.8 on page 225 are useful for summarizing how the project team plans to manage risks that have been identified.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Contingency Planning
Level: Easy

True / False Questions

55. The probability that a risk event will occur is higher during the initial stages of a project.
TRUE

The chances of a risk event occurring (e.g., an error in time estimates, cost estimates, or design technology) are greatest in the concept, planning, and start-up phases of the project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Easy

56. Due to the impact over a long period of time, risk events that occur in the early stages of a project will have a greater cost impact than those that occur in later stages.
FALSE

The cost impact of a risk event in the project is less if the event occurs earlier rather than later.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Risk Management Process
Level: Easy

57. During risk identification the smaller risks should be identified first because they will naturally lead to identifying the larger risks.
FALSE

The focus at the beginning should be on risks that can affect the whole project as opposed to a specific section of the project or network.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

58. One common mistake that is made early on in the risk identification process is to focus on consequences and not on the events that could produce consequences.
TRUE

One common mistake that is made early in the risk identification process is to focus on objectives and not on the events that could produce consequences.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Risk Identification
Level: Medium

59. Risks such as inflation and monetary exchange rates are not usually included in a project's risk assessment.
TRUE

The sources of project risks are unlimited. There are sources external to the organization, such as inflation, market acceptance, exchange rates, and government regulations. In practice, these risk events are often referred to as "threats" to differentiate them from those that are not within the project manager's or team's responsibility area.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Difficult

60. The first step in the risk management process is Risk Assessment.
Refer to Figure 7.2
FALSE

See Figure 7.2 on Page 213. The first step is Risk Identification. Risk Assessment is the second step.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Risk Identification
Level: Easy

61. A risk profile is a list of questions that have been developed and refined from previous, similar projects.
TRUE

A risk profile is a list of questions that address traditional areas of uncertainty on a project. These questions have been developed and refined from previous, similar projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

62. The risk identification process should be limited to just the core project team.
FALSE

The risk identification process should not be limited to just the core team. Input from customers, sponsors, subcontractors, vendors, and other stakeholders should be solicited.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

63. Since the goal is to find problems before they happen, the project manager should encourage critical thinking when it comes to risk identification.
TRUE

One of the keys to success in risk identification is attitude. While a "can do" attitude is essential during implementation, project managers have to encourage critical thinking when it comes to risk identification. The goal is to find potential problems before they happen.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

64. The Risk Severity Matrix rates risk events based upon schedule and cost.
Refer to Figure 7.7
FALSE

See Figure 7.7 on Page 218. The Risk Severity Matrix events are based on likelihood and impact.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

65. In a Risk Severity Matrix a green zone risk is considered inconsequential and ignored unless their status changes.
TRUE

The risk severity matrix Green zone risks are typically considered inconsequential and ignored unless their status changes.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

66. The quality and credibility of the risk analysis process requires that different levels of risk probabilities and impacts be defined.
TRUE

The quality and credibility of the risk analysis process requires that different levels of risk probabilities and impacts be defined.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 2: Risk Assessment
Level: Easy

67. Adopting proven technology instead of experimental technology is an example of mitigating a risk.
FALSE

Adopting proven technology instead of experimental technology is an example of avoiding risk.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Medium

68. The FMEA method calculates a risk value by assigning ease of detection ratings to the key risk elements.
TRUE

Failure Mode and Effects Analysis (FMEA) extends the risk severity matrix by including ease of detection in the equation: Impact x Probability x Detection = Risk Value.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

69. Performance bonds, warranties, and guarantees are financial instruments used to share risk.
FALSE

Performance bonds, warranties, and guarantees are other financial instruments used to transfer risk.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 3: Risk Response Development
Level: Medium

70. Fixed price contracts are an example of transferring risk from an owner to a contractor.
TRUE

Fixed-price contracts are the classic example of transferring risk from an owner to a contractor.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Easy

71. Scheduling outdoor work in the summer, investing in up front safety training, and choosing high quality materials are examples of retaining a risk.
FALSE

An example of reducing the probability of risks occurring are scheduling outdoor work during the summer months, investing in up-front safety training, and choosing high-quality materials and equipment.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 3: Risk Response Development
Level: Medium

72. Budget reserves are setup to cover identified risks associated with specific segments of a project while management reserves are set up to cover unidentified risks associated with the total project.
TRUE

Budget reserves are set up to cover identified risks; these reserves are those allocated to specific segments or deliverables of the project. Management reserves are set up to cover unidentified risks and are allocated to risks associated with the total project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Contingency Funding and Time Buffers
Level: Easy

73. Change management systems involve reporting, controlling, and recording changes to the project baseline.
TRUE

Change management systems involve reporting, controlling, and recording changes to the project baseline. (Note: Some organizations consider change control systems part of configuration management.)

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Change Control Management
Level: Easy

74. Project managers need to establish an environment in which participants feel comfortable raising concerns and admitting mistakes.
FALSE

Project managers need to establish an environment in which participants feel comfortable raising concerns and admitting mistakes.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Network
Level: Easy

75. Contingency funding is made up of budget reserves and management reserves.
TRUE

In practice, the contingency reserve fund is typically divided into budget and management reserve funds for control purposes.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Contingency Funding and Time Buffers
Level: Easy

Short Answer Questions

76. Describe the relationship between the likelihood of a risk event occurring and the cost of fixing the risk event as a project proceeds through its life cycle.

In the early stages of the project life cycle the probability of a risk event occurring is greater than at any other time and the cost to fix it is lower than at any other point. As time passes the probability of occurrence drops lower and lower while the cost rises. See figure 7-1.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Risk Management Process
Level: Easy

77. Identify and briefly describe the four steps in risk management.

1. Risk Identification; all possible risks are identified, 2. Risk Assessment; risks are assessed in terms of importance and need for attention, 3. Risk Response Development; plans are developed to respond if the risk actually occurs, and 4. Risk Response Control; the actual response to the risk and controlling changes associated with the risks.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Risk Identification
Level: Medium

78. Describe the process for identifying project risks.

The project manager pulls together a risk management team consisting of core team members and other relevant stakeholders and uses brainstorming and other techniques to identify project risks. Focus should be on the WBS and the risks associated with the deliverables.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 1: Risk Identification
Level: Medium

79. What is a *risk profile* and what benefits does it provide to risk management?

A risk profile is a list of questions that address traditional areas of uncertainty on a project. The questions have been developed and refined from previous, similar projects. These profiles are generated and maintained by the project office and are updated and refined during the life of the project. This historical file assists in identifying risks for future projects.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 1: Risk Identification
Level: Difficult

80. Identify at least six items that may be included on a Risk Profile.

1. technical requirements, 2. Design, 3. Testing, 4. Development, 5. Schedule, 6. Budget, 7. Quality, 8. Management, 9. Work Environment, 10. Staffing, 11. Customer, and 12. Contractors.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Step 1: Risk Identification
Level: Medium

81. How should a *risk assessment* be conducted?

Not all identified risks deserve attention, some are trivial and others are serious threats. The Scenario analysis is the easiest and most commonly used technique for analyzing risks. Each risk is assessed in terms of 1. what the risk are, 2. the outcomes of the event's occurrence, 3. the severity of the event's impact, 4. the probability of the event occurring, 5. when the event may occur, and 6. the interaction with other parts of the project or other projects.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 2: Risk Assessment
Level: Difficult

82. What is a *Risk Severity Matrix* and what does it do?

Risks are placed on a matrix that has Likelihood as the vertical axis and Impact as the horizontal axis. Risks in the upper right corner are considered major, those further left are considered moderate, while the rest are considered minor. The matrix is usually color-coded with the major risks in red, moderate risks in yellow and minor risks in green. It is an easily read graphical representation of a project's risks.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Step 2: Risk Assessment
Level: Medium

83. Identify and briefly describe the five ways to respond to identified risks.

1. Mitigate the risk; duplicate systems, backup systems, alternate technology development, 2. Avoid the risk; changing the project plan to eliminate the risk, 3. Transfer the risk; fixed-price contract, insurance, 4. Sharing the risk; find others to share the costs of the risk, and 5. Retain the risk; take preventative measures to reduce the risk such as training.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 3: Risk Response Development
Level: Medium

84. What is the difference between *budget reserves* and *management reserves*?

Budget reserves are controlled by team participants and have been identified for known risks that have a low chance of occurring and are directly associated with specific work packages. Management reserves are controlled by the project manager and cover items which were unforeseen usually at the total project level.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Contingency Funding and Time Buffers
Level: Medium

85. What is Change Control Management and what function does it perform?

Change Control Management is the formal process for making and tracking changes once a project has started. Any changes must be detailed and accepted by the project team. Risks associated with making changes are thus assessed and documented.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Change Control Management
Level: Difficult

86. Identify and briefly describe the parts of a Risk Response Matrix and explain how one would be used.

The parts are: the risk event, the response, contingency plan, trigger, and who is responsible. It is used for summarizing how the project team plans to manage risks that have been identified.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Step 3: Risk Response Development
Level: Difficult

87. Compare and contrast budget reserves and management reserves.

Budget reserves are for known risks associated with specific work packages and controlled by the project managers. Management reserves are for unforeseen risks associated with the overall project and are controlled by upper management.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Contingency Funding and Time Buffers
Level: Difficult

Chapter 08 Scheduling Resources and Costs Answer Key

Multiple Choice Questions

1. Delaying noncritical activities to lower peak demand on resources is known as resource
A. Shifting
B. Effectiveness
C. Manipulating
D. Resource smoothing
E. Allocation

If resources are adequate but the demand varies widely over the life of the project, it may be desirable to even out resource demand by delaying noncritical activities (using slack) to lower peak demand and, thus, increase resource utilization. This process is called resource smoothing.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Overview of the Resource Scheduling Problem
Level: Easy

2. If resources are not adequate to meet peak demands, the resulting reschedule is termed
A. Resource-constrained scheduling
B. Time-constrained scheduling
C. Mandatory leveling
D. Project resource adjustment
E. Allocation

If resources are not adequate to meet peak demands, the late start of some activities must be delayed, and the duration of the project may be increased. This process is called resource-constrained scheduling.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Overview of the Resource Scheduling Problem
Level: Easy

3. Which of the following is a potential consequence of failing to schedule limited resources?
A. Costly activity delays
B. Costly project delays
C. Difficulty in taking quick corrective action
D. Both A and B are correct
E. A, B, and C are all correct

The consequences of failing to schedule limited resources are a costly activity and project delays usually manifest themselves midway in the project when quick corrective action is difficult.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Overview of the Resource Scheduling Problem
Level: Easy

4. When developing a new software package, the software must be designed, the code must be written, and the code must be tested. This is an example of a_____constraint.
A. Physical
B. Technical
C. Resource
D. Schedule
E. Time

A network for a new software project could place the activities in the network, as a sequence of (1) design, (2) code, and (3) test. In other words, you cannot logically perform activity 2 until 1 is completed, and so on. The project network depicts technical constraints.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Overview of the Resource Scheduling Problem
Level: Medium

5. Which of the following is not one of the types of project constraints?
A. Physical
B. Technical
C. Resource
D. Time
E. All of these are types of project constraints

If resources are not adequate to meet peak demands, the late start of some activities must be delayed, and the duration of the project may be increased. The absence or shortage of resources can drastically alter technical constraints. In rare situations, physical factors cause activities that would normally occur in parallel to be constrained by contractual or environmental conditions.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Overview of the Resource Scheduling Problem
Level: Medium

6. Sam the project engineer has been scheduled to run the product system test at the same time he is to build a marketing prototype. This is an example of a_____constraint.
A. Physical
B. Technical
C. Resource
D. Scheduling
E. Time

If one person must perform all activities, the resource constraint requires the activities be performed in sequence or series.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Overview of the Resource Scheduling Problem
Level: Easy

7. Susan is to conduct environmental testing but the chamber cannot hold all the equipment that she wants to test. This is an example of a_____constraint.
A. Physical
B. Technical
C. Resource
D. Scheduling
E. Time

Since space allows only one person to work at one time, all tasks have to be performed sequentially this is a physical constraint.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Computer Demonstration of Resource-Constrained Scheduling
Level: Easy

8. All of the following are kinds of resource constraints except
A. Materials
B. People
C. Equipment
D. Information
E. All of the above are resource constraints

See list on pages 255-257.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Types of Resource Constraints
Level: Easy

9. Sam is trying to order the concrete needed to continue his project. However, the supplier won't be able to deliver it until next week. This is an example of a_____constraint.
A. Working capital
B. People
C. Equipment
D. Information
E. Materials

Material availability and shortages have been blamed for the delay of many projects. When it is known that a lack of availability of materials is important and probable, materials should be included in the project network plan and schedule.

AACSB: Analytic
Bloom's: Reflective Thinking
Learning Objective: Types of Resource Constraints
Level: Medium

10. A special truck that George needs on his project has been scheduled on another project. This is a_____constraint.
A. Working capital
B. People
C. Equipment
D. Information
E. Materials

Equipment is usually presented by type, size, and quantity. In some cases equipment can be interchanged to improve schedules, but this is not typical. Equipment is often overlooked as a constraint. The most common oversight is to assume the resource pool is more than adequate for the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Types of Resource Constraints
Level: Medium

11. Most of the scheduling methods available today require the project manager to classify the project as either_____constrained or_____constrained.
A. Time, quality
B. Quality, resource
C. Cost, time
D. Quality, cost
E. Time, resource

Most of the scheduling methods available today require the project manager to classify the project as either time constrained or resource constrained.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Classification of a Scheduling Problem
Level: Medium

12. Regina's boss has told her that her project is very important. If the critical path is delayed, she will be given whatever she needs to get it back on schedule. Her project is _____ constrained.
A. Time
B. Quality
C. Cost
D. Performance
E. Resource

A time-constrained project is one that must be completed by an imposed date. If required, resources can be added to ensure the project is completed by a specific date. Although time is the critical factor, resource usage should be no more than is necessary and sufficient.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Classification of a Scheduling Problem
Level: Medium

13. In reviewing the status of her project with top management, Shirley was told that there only were two programmers that she could use for her project. Her project is _____ constrained.
A. Time
B. Quality
C. Cost
D. Performance
E. Resource

A resource-constrained project is one that assumes the level of resources available cannot be exceeded. If the resources are inadequate, it will be acceptable to delay the project, but as little as possible.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Classification of a Scheduling Problem
Level: Medium

14. All resource leveling techniques involve
A. Delaying noncritical activities
B. Delaying critical activities
C. Using negative slack
D. Both A and C are correct
E. A, B, and C are all correct

All leveling techniques delay noncritical activities by using positive slack to reduce peak demand and fill in the valleys for the resources.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Resource Allocation Methods
Level: Medium

15. Scheduling time-constrained projects focuses on resource
A. Demands
B. Increases
C. Assumptions
D. Utilization
E. All are correct

Scheduling time-constrained projects focuses on resource utilization.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Resource Allocation Methods
Level: Medium

16. The most widely used approach to apply heuristics, which have been found to consistently minimize project delay over a large variety of projects is the
A. Parallel method
B. Resource method
C. Materials
D. Both A and C are correct
E. A, B, and C are all correct

The parallel method is the most widely used approach to apply heuristics, which have been found to consistently minimize project delay over a large variety of projects.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Resource Allocation Methods
Level: Easy

17. Resource leveling can provide
A. Lower peak demand
B. Reduced resource need over the life of the project
C. Reduced fluctuations in resource demand
D. Both A and B are correct
E. A, B, and C are all correct

Practitioners have attacked the utilization problem using resource leveling techniques that balance or smooth demand for a resource. Basically, all leveling techniques delay noncritical activities by using positive slack to reduce peak demand and fill in the valleys for the resources.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Resource Allocation Methods
Level: Medium

18. Jan is trying to reallocate resources in a time-constrained project to create smoother resource utilization with a low level of risk. She should move to activities with the
A. Smallest duration
B. Least slack
C. Most slack
D. Lowest identification number
E. Highest cost

The rationale is those activities with the most slack pose the least risk.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Difficult

19. In a resource-constrained project, which of the following is most likely to be changed?
A. The completion date
B. The budget
C. Project quality
D. Both A and B are equally likely
E. A, B, and C are all equally likely

Managers who fail to schedule resources usually encounter a scheduling risk when it is too late to work around problems, resulting in a project delay.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Resource Allocation Methods
Level: Medium

20. In a resource-constrained project, the first priority in assigning resources is usually given to activities with the
A. Smallest duration
B. Least slack
C. Most slack
D. Lowest identification number
E. Highest cost

The first activity placed in the schedule would be the activity with the least slack (rule 1).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Resource Allocation Methods
Level: Easy

21. In a resource-constrained project the second priority in assigning resources is usually given to activities with the
A. Smallest duration
B. Least slack
C. Most slack
D. Lowest identification number
E. Highest cost

If all activities have the same slack, the next rule would be invoked (rule 2), and the activity with the smallest duration would be placed in the schedule first.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Easy

22. The word Heuristics means
A. Resource constraints
B. Flexibility
C. The critical path changed
D. Parallel activities become sequential
E. Rule of thumb

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Resource Allocation Methods
Level: Medium

23. Splitting an activity creates the following situation:
A. More people working on the same activity
B. There are possible startup and shutdown costs
C. A resource may be moved from one activity to another and then back
D. Both B and C are correct
E. A, B, and C are all correct

A planner splits the continuous work included in an activity by interrupting the work and sending the resource to another activity for a period of time and then having the resource resume work on the original activity. Splitting can be a useful tool if the work involved does not include large start-up or shutdown costs—for example, moving equipment from one activity location to another. The most common error is to interrupt "people work," where there are high conceptual start-up and shutdown costs.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Splitting Activities
Level: Medium

24. The U.S. Forest Service "snapshot from practice" illustrated the importance of
A. Time constraints
B. Resource constraints
C. Cost constraints
D. Both B and C are correct
E. A, B, and C are all correct

It is important to remember that, if resources are truly limited and activity time estimates are accurate, the resource-constrained schedule will materialize as the project is implemented—not the time-constrained schedule! Therefore, failure to schedule limited resources can lead to serious problems for a project manager. The benefit of creating this schedule before the project begins leaves time for considering reasonable alternatives.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Benefits of Scheduling Resources
Level: Medium

25. More common problems associated with managing multiproject resources include all of the following except
A. Inefficient resource utilization
B. Delays in one project cause delays in other projects
C. Reducing "downtime" created by lack of tasks to perform
D. Resource bottlenecks
E. All of these are common problems

See List on page 274

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Multiproject Resource Schedules
Level: Medium

26. When a company will reduce the number of projects they have to manage internally to only core projects and send noncritical projects to contractors and consulting firms this is called
A. Outsourcing
B. Redistribution of projects
C. Project allocation
D. Task sharing
E. Both B and D are correct

Many companies are using outsourcing as a means for dealing with their resource allocation problems. In some cases, a company will reduce the number of projects they have to manage internally to only core projects and outsource noncritical projects to contractors and consulting firms. In other cases, specific segments of projects are outsourced to overcome resource deficiencies and scheduling problems.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Multiproject Resource Schedules
Level: Easy

27. Which of the following is not one of the more common problems associated with scheduling multiproject resources?
A. Overall schedule slippage
B. Inefficient resource utilization
C. Resource bottlenecks
D. Both A and C are correct
E. A, B, and C are all correct

See List on Page 274.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Multiproject Resource Schedules
Level: Easy

28. In a resource-constrained project the third priority in assigning resources is usually given to activities with the
A. Smallest duration
B. Least slack
C. Most slack
D. Lowest identification number
E. Highest cost

In very rare cases, when all eligible activities have the same slack and the same duration, the tie is broken by the lowest activity identification number (rule 3), since each activity has a unique ID number.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Resource Allocation Methods
Level: Easy

29. In the Botanical Garden example, which of the following was used to solve the resource problem?
A. Resource allocation
B. Smoothing resource demand
C. The parallel method
D. Both A and C are correct
E. A, B, and C are all correct

The Botanical Garden project schedule reached the three goals of smoothing: The peak of demand for the resource was reduced, resources over the life of the project have been reduced, the fluctuations in resource demand were minimized.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Medium

30. Project budgets are developed by time-phasing which of the following?
A. Resource schedules
B. Work packages
C. The network diagram
D. Both A and C are correct
E. A, B, and C are all correct

Using your project schedule, you can time-phase work packages and assign them to their respective scheduled activities to develop a budget schedule over the life of your project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Using the Resource Schedule to Develop a Project Cost Baseline
Level: Medium

31. A project budget report is showing our project as spending $35,000 against a budgeted amount of $40,000. Which of the following is true?
A. We are spending less than we should for the project
B. We are doing a good job managing the project
C. We should check to see if all the bills have been paid
D. Both A and B are correct
E. We can't be sure how the project is going

There is no way to be certain how much of the physical work has been accomplished.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Using the Resource Schedule to Develop a Project Cost Baseline
Level: Medium

Fill in the Blank Questions

32. Delaying noncritical activities to lower peak demand and, thus, increase resource utilization is called_____leveling.
resource

Practitioners have attacked the utilization problem using resource leveling techniques that balance or smooth demand for a resource. Basically, all leveling techniques delay noncritical activities by using positive slack to reduce peak demand and fill in the valleys for the resources.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Types of Resource Constraints
Level: Easy

33. A(n)_____constraint addresses the sequence in which project activities must occur.
technical or logic

The start and sequence of activities has been based solely on technical or logical considerations. For example, a project network for framing a house might show three activities in a sequence: (1) pour foundation, (2) build frame, and (3) cover roof.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Overview of the Resource Scheduling Problem
Level: Easy

34. Having one person responsible for performing several activities, all due at the same time, is an example of a(n)_____constraint.
resource

If one person must perform all activities, the resource constraint requires the activities be performed in sequence or series.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Overview of the Resource Scheduling Problem
Level: Easy

35. Trying to renovate a ship compartment that is too small for more than one person is an example of a(n)_____ constraint.
physical

In rare situations, physical factors cause activities that would normally occur in parallel to be constrained by contractual or environmental conditions. For example, in theory the renovation of a sailboat compartment might involve four to five tasks that can be done independently. However, since space allows only one person to work at one time, all tasks have to be performed sequentially.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Resource Constraints
Level: Easy

36. A shortage of programmers to write software is an example of a(n)_____type of resource constraint.
people

This is the most obvious and important project resource. Human resources are usually classified by the skills they bring to the project—for example, programmer, mechanical engineer, welder, inspector, marketing director, supervisor. In rare cases some skills are interchangeable, but usually with a loss of productivity. The many differing skills of human resources add to the complexity of scheduling projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Resource Constraints
Level: Easy

37. The shortage of computer chips to produce a circuit board is an example of a(n) _____ type of resource constraint.
materials

Material availability and shortages have been blamed for the delay of many projects. When it is known that a lack of availability of materials is important and probable, materials should be included in the project network plan and schedule.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Resource Constraints
Level: Easy

38. If three copiers are needed to produce a final report on time and only two are available, the project is facing a(n)_____type of resource constraint.
equipment

The most common oversight is to assume the resource pool is more than adequate for the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Types of Resource Constraints
Level: Easy

39. Hector wants to bring on another programmer to work on the project but the company does not have anyone who has the needed skills. Hector's project is facing a(n) _____ constraint.
people type of resource

This is the most obvious and important project resource. Human resources are usually classified by the skills they bring to the project—for example, programmer, mechanical engineer, welder, inspector, marketing director, supervisor. In rare cases some skills are interchangeable, but usually with a loss of productivity. The many differing skills of human resources add to the complexity of scheduling projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Resource Constraints
Level: Easy

40. In order that the new product is on the shelf for the Christmas buying season, the development of the new product would be classified as a(n)_____constrained project.
time

A time-constrained project is one that must be completed by an imposed date. If required, resources can be added to ensure the project is completed by a specific date. Although time is the critical factor, resource usage should be no more than is necessary and sufficient.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Classification of a Scheduling Problem
Level: Medium

41. Beth has two engineers assigned to her project and cannot get any more even if it means slipping the due date on her project. She is managing a(n)_____constrained project.
resource

A resource-constrained project is one that assumes the level of resources available cannot be exceeded. If the resources are inadequate, it will be acceptable to delay the project, but as little as possible.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Classification of a Scheduling Problem
Level: Medium

42. All leveling techniques delay noncritical activities by using_____to reduce peak demand.
positive slack

All leveling techniques delay noncritical activities by using positive slack to reduce peak demand and fill in the valleys for the resources.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Medium

43. Scheduling activities in a constrained project typically has_____as the top heuristic rule.
minimum slack

See list on Page 260.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Easy

44. The_____is the most widely used approach to apply heuristic rules to scheduling activities in a constrained project.
parallel method

The parallel method is the most widely used approach to apply heuristics, which have been found to consistently minimize project delay over a large variety of projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Resource Allocation Methods
Level: Medium

45. When using the_____scheduling technique, the work in an activity is interrupted to work on another activity and is then resumed at a later point in time.
splitting or multitasking

A planner splits the continuous work included in an activity by interrupting the work and sending the resource to another activity for a period of time and then having the resource resume work on the original activity.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Splitting Activities
Level: Medium

46. In scheduling resource-constrained projects,_____are typically used rather than optimum mathematical solutions.
heuristics

A few researchers have demonstrated optimum mathematical solutions to the resource allocation problem but only for small networks and very few resource types. The massive data requirements for larger problems make pure mathematical solutions (e.g., linear programming) impractical. An alternative approach to the problem has been the use of heuristics (rules of thumb) to solve large combinatorial problems.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Medium

47. In scheduling terms,_____constrained means that project duration is fixed and resources are flexible.
time

In scheduling terms, time constrained means time (project duration) is fixed and resources are flexible.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Classification of a Scheduling Problem
Level: Easy

48. In scheduling terms,_____constrained means that a specific resource is fixed and the duration of the project is flexible.
resource

In scheduling terms, constrained means resources are fixed and time is flexible.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Classification of a Scheduling Problem
Level: Easy

49. Start-up and shutdown costs are major considerations when using the _____ scheduling technique.
splitting/multitasking

The most common error is to interrupt "people work," where there are high conceptual start-up and shutdown costs.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Splitting Activities
Level: Easy

50. To deal with problems related to having several concurrent projects, companies are creating_____to oversee the scheduling of resources across multiple projects.
project offices or project departments

More and more companies create project offices or departments to oversee the scheduling of resources across multiple projects.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Multiproject Resource Schedules
Level: Easy

51. Many companies are using_____from contractors and consultants as a means of dealing with the peaks and valleys of resource allocation among projects.
outsourcing

Many companies are using outsourcing as a means for dealing with their resource allocation problems. In some cases, a company will reduce the number of projects they have to manage internally to only core projects and outsource noncritical projects to contractors and consulting firms. In other cases, specific segments of projects are outsourced to overcome resource deficiencies and scheduling problems.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Multiproject Resource Schedules
Level: Easy

52. The_____ is the most widely used approach to apply heuristics in resource-constrained projects.
parallel method

The parallel method is the most widely used approach to apply heuristics, which have been found to consistently minimize project delay over a large variety of projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Easy

53. The ability to more efficiently manage the ebbs and flows of project work is one of the major driving forces behind_____today.
outsourcing

The ability to more efficiently manage the ebbs and flows of project work is one of the major driving forces behind outsourcing today.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Multiproject Resource Schedules
Level: Medium

54. Without a time-phased_____good project schedule and cost control are impossible.
budget

These systems do not measure how much work was accomplished for the money spent! Hence, without time-phasing cost to match your project schedule, it is impossible to have reliable information for control purposes.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Using the Resource Schedule to Develop a Project Cost Baseline
Level: Medium

55. A project cost baseline is also called_____.
planned value (PV)

The outcome of these budget allocations is the project cost baseline (also called planned value—PV), which is used to determine cost and schedule variances as the project is implemented.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Using the Resource Schedule to Develop a Project Cost Baseline
Level: Medium

True / False Questions

56. The sequence of (1) pour foundation, (2) build frame, and (3) cover roof is a type of physical constraint.
FALSE

The start and sequence of activities has been based solely on technical or logical considerations. For example, a project network for framing a house might show three activities in a sequence: (1) pour foundation, (2) build frame, and (3) cover roof.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Overview of the Resource Scheduling Problem
Level: Easy

57. Too many parallel activities for one individual are an example of a resource constraint.
TRUE

If one person must perform all activities, the resource constraint requires the activities be performed in sequence or series.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Overview of the Resource Scheduling Problem
Level: Medium

58. A project that is not resource-constrained is time-constrained.
TRUE

In scheduling terms, time constrained means time (project duration) is fixed and resources are flexible, where constrained means resources are fixed and time is flexible.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Classification of a Scheduling Problem
Level: Medium

59. Resource leveling is only used on projects which are resource-constrained.
FALSE

Practitioners have attacked the utilization problem using resource leveling techniques that balance or smooth demand for a resource. Basically, all leveling techniques delay noncritical activities by using positive slack to reduce peak demand and fill in the valleys for the resources.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Medium

60. Resource Bottlenecks are one of the three more common problems encountered in managing multiproject resource schedules.
TRUE

See list on Page 274.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Multiproject Resource Schedules
Level: Medium

61. The inability to get more than two earth movers on a construction site at the same time is an example of a physical constraint.
TRUE

In rare situations, physical factors cause activities that would normally occur in parallel to be constrained by contractual or environmental conditions.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Types of Resource Constraints
Level: Medium

62. The most obvious and important kind of resource constraint is a lack of materials.
FALSE

People are the most obvious and important project resource.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Resource Constraints
Level: Easy

63. Having too few programmers and too many engineers is an example of a people resource constraint.
TRUE

Finding people with certain differing skills adds to the complexity of scheduling projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Resource Constraints
Level: Medium

64. If a project needs one earth-mover six months from now and the organization has four such machines, there is no equipment resource constraint.
FALSE

The most common oversight is to assume the resource pool is more than adequate for the project. For example, if a project needs one earth-moving tractor six months from now and the organization owns four, it is common to assume the resource will not delay the pending project. However, when the earthmoving tractor is due on-site in six months, all four machines in the pool might be occupied on other projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Resource Constraints
Level: Medium

65. A lack of readily available engineers is a technical constraint.
FALSE

When the number of people and/or equipment is not adequate to meet peak demand requirements and it is impossible to obtain more, the project manager faces a resource-constrained problem.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Easy

66. All projects are usually either time-constrained or resource-constrained.
TRUE

Most of the scheduling methods available today require the project manager to classify the project as either time constrained or resource constrained.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Classification of a Scheduling Problem
Level: Easy

67. To determine if a project is time-constrained or resource-constrained you would consult the project priority matrix.
TRUE

Project managers need to consult their priority matrix to determine which case fits their project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Classification of a Scheduling Problem
Level: Medium

68. Scheduling time-constrained projects focuses on the optimal utilization of resources.
TRUE

A time-constrained project is one that must be completed by an imposed date. If required, resources can be added to ensure the project is completed by a specific date. Although time is the critical factor, resource usage should be no more than is necessary and sufficient.

AACSB: Analytic
Bloom's: Reflective Thinking
Learning Objective: Classification of a Scheduling Problem
Level: Medium

69. All leveling techniques delay noncritical activities by using positive slack to smooth out the resource requirements.
TRUE

All leveling techniques delay noncritical activities by using positive slack to reduce peak demand and fill in the valleys for the resources.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Medium

70. Scheduling time-constrained projects focuses on resource utilization.
FALSE

Scheduling time-constrained projects focuses on resource utilization.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Easy

71. Scheduling resource-constrained projects focuses on completing the project as soon as possible under the given constraints.
TRUE

When the number of people and/or equipment is not adequate to meet peak demand requirements and it is impossible to obtain more, the project manager faces a resource-constrained problem. Something has to give. The trick is to prioritize and allocate resources to minimize project delay without exceeding the resource limit or altering the technical network relationships.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Difficult

72. Heuristics are used in resource-constrained projects to develop the optimal schedule.
FALSE

Heuristics do not always yield an optimal schedule, but they are very capable of yielding a "good" schedule for very complex networks with many types of resources.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Medium

73. The top priority in using heuristics to allocate scare resources is those activities with the smallest duration.
FALSE

Heuristics allocate resources to activities to minimize project delay; that is, heuristics prioritize which activities are allocated resources and which activities are delayed when resources are not adequate.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Easy

74. The critical path in a resource-constrained schedule can be a group of disjointed, unconnected activities.
TRUE

The traditional critical path concept of sequential activities from the start to the end of the project is no longer meaningful. The resource constraints can break the sequence and leave the network with a set of disjointed critical activities.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Computer Demonstration of Resource-Constrained Scheduling
Level: Medium

75. Splitting is a scheduling technique used to get a better schedule or better resource utilization.
TRUE

Splitting tasks is a scheduling technique used to get a better project schedule and/or to increase resource utilization.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Splitting Activities
Level: Easy

76. Without a time-phased budget good project schedule and cost control are impossible.
TRUE

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Using the Resource Schedule to Develop a Project Cost Baseline
Level: Easy

77. Many companies are using outsourcing as a means for dealing with their resource allocation problems associated with managing multiproject resources.
TRUE

Companies may hire temporary workers to expedite certain activities that are falling behind schedule or contract project work during peak periods when there are insufficient internal resources to meet the demands of all projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Multiproject Resource Schedules
Level: Easy

Short Answer Questions

78. Identify and briefly describe the three types of project constraints.

1. Technical (logic); the sequence that activities must be performed, 2. resource; the absence of required people, materials, equipment, or working capital, and 3. physical; limitations based on space or environmental limits.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Overview of the Resource Scheduling Problem and Types of Resource Constraints
Level: Medium

79. What is the difference in project goals when using resource leveling on time-constrained projects and using it on resource-constrained projects?

In time-constrained projects the goal is to smooth out the peaks and valleys and thus improve the utilization. In resource-constrained projects the goal is to achieve the shortest project duration given a limited supply of resources.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Computer Demonstration of Resource-Constrained Scheduling
Level: Difficult

80. Identify the potential impacts of project constraints.

1. reduction in slack on the project network, 2. decrease in flexibility, 3. possible decrease in parallel activities, and 4. increase in the likelihood of delaying the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Resource Allocation Methods
Level: Medium

81. Identify and give an example of the three types of resource constraints.

1. People; by skill classification (engineer, programmer, salesperson), 2. materials; paint, data, parts, and 3. equipment; computers, earth-movers, office space.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Types of Resource Constraints
Level: Medium

82. Identify and briefly describe the two classifications of scheduling problems.

1. time-constrained; the end date is fixed and needed resources are available, 2. resource-constrained; the resources are fixed and the end date is flexible.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Classification of a Scheduling Problem
Level: Medium

83. What are the disadvantages of resource leveling?

1. loss of flexibility, 2. increased risk of project delay, 3. more critical or near critical activities.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Difficult

84. Why would a project manager use heuristics rather than a mathematical solution to level resources?

Mathematical models work on small networks and a small number of resources. Larger projects have massive data requirements. Heuristics tend to yield a good solution without the heavy burden imposed by math models.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Resource Allocation Methods
Level: Difficult

85. What are the three most common heuristics (in order of priority) used to allocate resources to project activities?

1. minimum slack; start with activities with the least amount of slack, 2. smallest duration; if two activities have the same slack select the one with the smallest duration, and 3. lowest activity identification number, if slack and duration are the same select the earliest activity.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Medium

86. Describe the parallel method for applying heuristics to the allocation of project resources.

The first priority is to allocate resources to the activity with the least amount of slack, usually an activity on the critical path. If more than one activity has the same amount of slack then selects the activity with the smallest duration. If more than one activity has the same slack and the same duration then select the activity that occurs the earliest.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Difficult

87. Why should project managers be cautious about using the splitting scheduling technique?

The splitting technique is where an activity is interrupted and the resources are applied to another activity. The potential problems are in the addition of shutdown and startup costs which are added as one moves from activity to activity prior to completing the original activity.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Splitting Activities
Level: Medium

88. Identify and briefly discuss the three more common problems encountered in managing multiproject resource schedules.

1. overall schedule slippage, 2. inefficient resource utilization, and 3. resource bottlenecks.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Multiproject Resource Schedules
Level: Difficult

89. Identify and briefly describe the potential impacts of resource-constrained scheduling.

1. reduced slack reduces flexibility, 2. increased number of critical and near-critical activities, 3. increase complexity due to resource constrains added to technical constraints, 4. the critical path may become a set of disjointed critical activities, and 5. formerly critical activities may now become non-critical.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Computer Demonstration of Resource-Constrained Scheduling
Level: Difficult

90. If your project has spent $50,000 versus a budget of $45,000 and it is a week ahead of schedule, is it a certainty that your project is doing well?

Not necessarily. You need more information to draw that conclusion.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Using the Resource Schedule to Develop a Project Cost Baseline
Level: Difficult

Chapter 09 Reducing Project Duration Answer Key

Multiple Choice Questions

1. The president of a software company remarks in a speech that new technologically advanced software will be available in one year. This is an example of reducing project duration caused by:
A. Imposed project deadlines
B. Time to market
C. Unforeseen project delays
D. High overhead
E. Incentive contracts

"Imposed deadlines" is another reason for accelerating project completion. For example, the president of a software company remarks in a speech that new advanced software will be available in one year. Such statements too often become imposed project duration dates—without any consideration of the problems or cost of meeting such a date. The project duration time is set while the project is in its "concept" phase before or without any detailed scheduling of all the activities in the project. This phenomenon occurs very frequently in practice!

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Rationale for Reducing Project Duration
Level: Easy

2. Intense global competition and rapid technological advances create pressure on developing projects rapidly. This is an example of reducing project duration caused by:
A. Imposed project deadlines
B. Time to market
C. Unforeseen project delays
D. High overhead
E. Incentive contracts

Intense global competition and rapid technological advances have made speed a competitive advantage. To succeed, companies have to spot new opportunities, launch project teams, and bring new products or services to the marketplace in a flash.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Rationale for Reducing Project Duration
Level: Easy

3. A contractor finished a bridge across a lake 18 months early and received more than $6 million for the early completion. This is an example of reducing project duration caused by:
A. Imposed project deadlines
B. Time to market
C. Unforeseen project delays
D. High overhead
E. Incentive contracts

Incentive contracts can make reduction of project time rewarding—usually for both the project contractor and owner. For example, a contractor finished a bridge across a lake 18 months early and received more than $6 million for the early completion. The availability of the bridge to the surrounding community 18 months early to reduce traffic grid-lock made the incentive cost to the community seem small to users.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Rationale for Reducing Project Duration
Level: Easy

4. Adverse weather, design flaws, and equipment breakdown can create negative slack. This is an example of reducing project duration caused by:
A. Imposed project deadlines
B. Time to market
C. Unforeseen project delays
D. High overhead
E. Incentive contracts

Another common reason for reducing project time occurs when unforeseen delays—for example, adverse weather, design flaws, and equipment breakdown— cause substantial delays midway in the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Rationale for Reducing Project Duration
Level: Easy

5. Total project costs include all of the following except:
A. Supervision
B. Administration
C. Project manager's salary
D. Interest
E. All of these are included in total project costs

Direct costs commonly represent labor, materials, equipment, and sometimes subcontractors. Indirect costs generally represent overhead costs such as supervision, administration, consultants, and interest.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Cost-Duration Graph
Level: Medium

6. Which of the following is not considered a project indirect cost?
A. Supervision
B. Consultants
C. Equipment
D. Interest
E. All of these are considered project indirect costs

Indirect costs generally represent overhead costs such as supervision, administration, consultants, and interest.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Cost-Duration Graph
Level: Medium

7. Project costs are generally classified as_____costs.
A. Direct
B. Indirect
C. Overhead
D. Both A and B are correct
E. A, B, and C are all correct

Direct Costs + Indirect Costs = Total Costs

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Easy

8. Low-cost, realistic, efficient methods for completing an activity under normal conditions are supported by_____time.
A. Normal
B. Budget
C. Optimized
D. Expected
E. Target

Normal time assumes low-cost, efficient methods to complete the activity.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Easy

9. The shortest possible time an activity can be completed realistically is called____time.
A. Expedited
B. Accelerated
C. Crash
D. Optimistic
E. Optimal

The shortest possible time an activity can realistically be completed in is called its crash time.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Easy

10. The most common response for meeting unattainable deadlines is to
A. Reduce or scale back the scope of the project.
B. Decrease the critical paths
C. Crash all elements of the project
D. Change the time to market statement
E. B, and C are correct

It is prudent to examine the direct costs of shortening the critical path versus the overhead cost savings.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Options for Accelerating Project Completion
Level: Easy

11. _____costs are incurred when completing an activity in its realistically shortest time.
A. Normal
B. Reserve
C. Crash
D. Accelerated
E. Expedited

The shortest possible time an activity can realistically be completed in is called its crash time. The direct cost for completing an activity in its crash time is called crash cost.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Easy

12. An activity's crash costs include_____costs.
A. Direct
B. Indirect
C. Overhead
D. Both A and B are correct
E. A, B, and C are correct

The direct cost for completing an activity in its crash time is called crash cost. Both normal and crash times and costs are collected from personnel most familiar with completing the activity.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

13. Cost slope can be determined by dividing the
A. Run by the rise
B. Rise by the run
C. Crash cost by the normal cost
D. Normal cost by the crash cost
E. Both B and C are correct

Cost slope = Rise/Run

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

14. The less steep the cost slope of an activity, the
A. Less it costs to shorten one time period
B. More it costs to shorten one time period
C. Smaller the crash time
D. Larger the crash time
E. Cannot be determined by the information given

The less steep the cost slope of an activity, the less it costs to shorten one time period.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

15. Which of the following correctly calculates an activity's cost slope?
A. (normal cost-crash cost)/(normal time-crash time)
B. (crash cost-normal cost)/(normal time-crash time)
C. (normal time-crash time)/(crash cost-normal cost)
D. (normal time-crash time)/(normal cost-crash cost)
E. (crash cost-normal cost)/(crash time-normal time)

(crash cost-normal cost)/(normal time-crash time).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

16. An activity's cost slope represents an activity's
A. Total cost per unit of time
B. Cost per unit of time
C. Indirect cost per unit of time
D. Both B and C are correct
E. A, B, and C are all correct

Knowing the slope of activities allows managers to compare which critical activities to shorten. The less steep the cost slope of an activity, the less it costs to shorten one time period; a steeper slope means it will cost more to shorten one time unit.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

17. In selecting the best activity to reduce you would first select the activity with the
A. Earliest start time
B. Steepest slope
C. Least steep slope
D. Longest duration
E. Largest crash time

The less steep the cost slope of an activity, the less it costs to shorten one time period.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

18. The optimum duration for a project is at the point where:
A. Direct costs are the lowest
B. Indirect costs are the lowest
C. Direct costs equal indirect costs
D. Total project costs are the lowest
E. The project changes from time-constrained to resource-constrained

See Figure 9.6 on Page 318.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

19. Creating a Project Cost-Duration graph is useful:
A. During the pre-project planning phase
B. After the project has begun
C. After the completion of the project
D. Both A and B are correct
E. A, B, and C are all correct

Such a graph can be used before the project begins or while the project is in progress.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Medium

20. Crashing a project should occur:
A. As early as possible
B. As late as possible
C. Midway through the project
D. Both A and C are correct
E. Cannot be determined with the information given

Collecting crash times for even a moderate-size project can be difficult. The meaning of crash time is difficult to communicate. What is meant when you define crash time as "the shortest time you can realistically complete an activity"? Crash time is open to different interpretations and judgments.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Difficult

21. If a network has several critical or near-critical paths it is deemed to be:
A. Well planned
B. The lowest cost alternative
C. Resource-constrained
D. Sensitive
E. Insensitive

A network is sensitive if it has several critical or near-critical paths.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Practical Considerations
Level: Easy

22. The project direct-cost line near the normal point is usually:
A. Sloped steeply
B. Relatively flat
C. Rising
D. Falling
E. Gently sloped

The project direct-cost line near the normal point is usually relatively flat.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Medium

23. The relationship between cost and time for various durations is assumed to be:
A. Linear
B. Curvilinear
C. Variable
D. Conversely related
E. Exponentially related

The cost-time relationship is linear.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Easy

24. A common method for shortening the project time is to:
A. Adding resources
B. Schedule overtime
C. Subcontract an activity
D. Both A and B are correct
E. A, B, and C are all correct

The most common method for shortening project time is to assign additional staff and equipment to activities.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Options for Accelerating Project Completion
Level: Medium

25. A positive situation where moving toward the optimum time can result in very real, large savings—this occurs when the network is:
A. Insensitive
B. Sensitive
C. Ahead of schedule
D. Shifting to the critical chain
E. Implementing a fast-tracking system

A positive situation where moving toward the optimum time can result in very real, large savings—this occurs when the network is insensitive.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Practical Considerations
Level: Easy

26. Which of the following is/are included in a Project Cost-Duration Graph?
A. Total indirect cost
B. Total direct cost
C. Total project cost
D. Both A and B are correct
E. A, B, and C are all correct

See list on Page 314.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

27. One way of reducing project costs is identifying tasks that_____can do themselves.
A. Vendors
B. Suppliers
C. Customers
D. Company employees
E. Project teams

One way of reducing project costs is identifying tasks that customers can do themselves. Homeowners frequently use this method to reduce costs on home improvement projects. For example, to reduce the cost of a bathroom remodel, a homeowner may agree to paint the room instead of paying the contractor to do it. On IS projects, a customer may agree to take on some of the responsibility for testing equipment or providing in-house training.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Is the Issue?
Learning Objective: Not Time
Learning Objective: What if Cost
Level: Easy

28. The most common method for shortening project time is to
A. Subcontract activities
B. Compromise the quality
C. Add additional staff and equipment
D. Work overtime
E. Reduce the project scope

The most common method for shortening project time is to assign additional staff and equipment to activities.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Options for Accelerating Project Completion
Level: Medium

29. Which of the following is not one of the more commonly used options for cutting project costs?
A. Reduce project scope
B. Have owner take more responsibility
C. Moving the completion date further out
D. Brainstorming cost savings options
E. Outsourcing project activities

Ways to cut costs are Reduce project scope, have the owner take more responsibility, outsourcing project activities or even the entire project, brainstorming cost savings options.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Is the Issue?
Learning Objective: Not Time
Learning Objective: What if Cost
Level: Medium

30. Which of the following is the most common method for shortening project time?
A. Assigning additional staff and equipment
B. Subcontract work
C. Schedule overtime
D. Reduce project scope
E. Reduce the quality

The most common method for shortening project time is to assign additional staff and equipment to activities.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Options for Accelerating Project Completion
Level: Easy

31. According to Brooks' Law, adding more people to a late project is most likely to have which of the following impact?
A. Keep the project from slipping any further
B. Get the project back on schedule
C. Make the project slips further
D. Both A and B are correct
E. None of these relate to Brooks' Law

Brooks' law: Adding manpower to a late project makes it later.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Options for Accelerating Project Completion
Level: Easy

32. Which of the following is the easiest method for shortening project time?
A. Assigning additional staff and equipment
B. Subcontract work
C. Schedule overtime
D. Reduce project scope
E. Reduce the quality

The easiest way to add more labor to a project is not to add more people, but to schedule overtime.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Options for Accelerating Project Completion
Level: Easy

33. Which of the following is not one of the techniques for accelerating project completion?
A. Assigning additional staff and equipment
B. Establish a core team
C. Do it twice—fast and correctly
D. Reduce project scope
E. All of these are acceptable techniques

Adding resources, outsourcing project work, scheduling overtime, establishing a core project team, and the concept of do it twice - fast and correctly are options when resources are not constrained.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Options for Accelerating Project Completion
Level: Easy

34. When the project team is salaried, which of the following is the preferred choice for accelerating project completion?
A. Assigning additional staff and equipment
B. Subcontract work
C. Schedule overtime
D. Work longer hours
E. Both C and D are preferred choices

Overtime and working longer hours is the preferred choice for accelerating project completion, especially when the project team is salaried.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Options for Accelerating Project Completion
Level: Easy

35. The Snapshot from Practice "Cell-Phone Wars" is an excellent example of reducing project duration due to:
A. Imposed project deadlines
B. Time to market
C. Unforeseen project delays
D. High overhead
E. Incentive contracts

There are many good reasons for attempting to reduce the duration of a project. One of the more important reasons today is time to market. Intense global competition and rapid technological advances have made speed a competitive advantage. To succeed, companies have to spot new opportunities, launch project teams, and bring new products or services to the marketplace in a flash. Perhaps in no industry does speed matter as much as in the electronics industry.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Rationale for Reducing Project Duration
Level: Easy

Fill in the Blank Questions

36. When a politician makes a public statement that a new building will be available in two years, a(n)_____duration has reduced the project duration.
imposed

"Imposed deadlines" is another reason for accelerating project completion. For example, a politician makes a public statement that a new law building will be available in two years.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Rationale for Reducing Project Duration
Level: Easy

37. Intense global competition and rapid technological advances combine to create a(n) _____imposed project duration date.
market

Intense global competition and rapid technological advances have made speed a competitive advantage. To succeed, companies have to spot new opportunities, launch project teams, and bring new products or services to the marketplace in a flash.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Rationale for Reducing Project Duration
Level: Easy

38. The Snapshot from Practice which detailed the Northridge earthquake demonstrated the importance of reducing a project's_____.
duration

The project duration time is set while the project is in its "concept" phase before or without any detailed scheduling of all the activities in the project. For each day that the schedule was beaten, a sizable bonus was to be awarded. Conversely, for each day over the deadline, the contractor would be penalized the same amount. The amount ($50,000 to $200,000) varied depending on the importance of the work.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Options for Accelerating Project Completion
Level: Easy

39. Sometimes very high_____costs are recognized before a project begins and reducing these costs through shorter project durations becomes a high priority.
overhead

Sometimes very high overhead costs are recognized before the project begins. In these cases it is prudent to examine the direct costs of shortening the critical path versus the overhead cost savings.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Rationale for Reducing Project Duration
Level: Easy

40. The_____project cost is the sum of the indirect and direct costs.
total

see Figure 9.5 on Page 318.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Easy

41. Costs such as supervision, administration, consultants, and interest are examples of _____project costs.
indirect

Indirect costs generally represent overhead costs such as supervision, administration, consultants, and interest.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Cost-Duration Graph
Level: Easy

42. Costs such as labor, materials, equipment, or contractors are examples of _____ project costs.
direct

Direct costs commonly represent labor, materials, equipment, and sometimes subcontractors.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Cost-Duration Graph
Level: Easy

43. Direct costs are assignable directly to a project_____.
work package

Direct costs are assigned directly to a work package and activity, hence the term.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Cost-Duration Graph
Level: Easy

44. Because direct costs are assumed to be developed from normal methods and time, any reduction in activity time should_____the cost of the activity.
increase

Because direct costs are assumed to be developed from normal methods and time, any reduction in activity time should add to the costs of the activity.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Cost-Duration Graph
Level: Medium

45. To shorten the duration of a project the project manager should limit the choices of activities to just those which_____.
are on the critical path

Sometimes very high overhead costs are recognized before the project begins. In these cases it is prudent to examine the direct costs of shortening the critical path versus the overhead cost savings. Usually there are opportunities to shorten a few critical activities at less than the daily overhead rate. Under specific conditions (which are not rare), huge savings are possible with little risk.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Rationale for Reducing Project Duration
Level: Medium

46. The_____time for an activity represents low-costs, realistic, efficient methods for completing the activity under typical conditions.
normal

Normal time assumes low-cost, efficient methods to complete the activity.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Easy

47. Shortening an activity is called_____.
crashing

Shortening an activity is called crashing.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Easy

48. The direct costs for completing an activity as early as possible is called its_____.
crash cost

The direct cost for completing an activity in its crash time is called crash cost. Both normal and crash times and costs are collected from personnel most familiar with completing the activity.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Easy

49. An activity's_____is calculated by dividing the rise by the run.
slope

Cost Slope = Rise/Run

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Easy

50. Subtracting an activity's normal cost from the crash cost will calculate an activity's _____.
rise

Rise = Crash cost - Normal cost

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

51. Subtracting an activity's crash time from the normal time will calculate an activity's _____.
run

Run = Normal time - Crash time

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

52. When considering whether to move the project to its optimum cost-time position, the manager should also consider_____.
risk

Should the project owner or project manager go for the optimum cost-time? The answer is, "It depends." Risk must be considered.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Medium

53. A network is considered to be_____if it has a predominate critical path with no other path close in terms of slack.
insensitive

There is a positive situation where moving toward the optimum time can result in very real, large savings—this occurs when the network is insensitive. A project network is insensitive if it has a dominant critical path, that is, no near-critical paths. In this project circumstance, movement from the normal time point toward the optimum time will not create new or near-critical activities.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Medium

54. The easiest way to add more resources to a project is not to add more people, but to schedule_____.
overtime

The easiest way to add more labor to a project is not to add more people, but to schedule overtime.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Options for Accelerating Project Completion
Level: Medium

55. According to_____, adding more manpower to a late software project makes it later.
Brooks' law

Brooks' law: Adding manpower to a late software project makes it later.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Options for Accelerating Project Completion
Level: Medium

56. The easiest way to add more labor to a project is not to add more people, but to add _____.
overtime

The easiest way to add more labor to a project is not to add more people, but to schedule overtime.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Options for Accelerating Project Completion
Level: Easy

57. _____is the rearranging of the project network logic so that critical activities are done in parallel rather than sequentially.
Fast-tracking

Fast-Tracking Makes it possible to rearrange the logic of the project network so that critical activities are done in parallel (concurrently) rather than sequentially.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Options for Accelerating Project Completion
Level: Easy

58. _____is probably the most common response for meeting unattainable deadlines.
Reducing project scope

Probably the most common response for meeting unattainable deadlines is to reduce or scale back the scope of the project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Options for Accelerating Project Completion
Level: Easy

59. In the "I'll Bet You..." Snapshot from Practice, the draftsman won_____for making a very difficult deadline.
tickets to a basketball game

Brue Young tells Danny that he knows this is going to be a rush job, but he is confident that he can do it. When Danny balks, he responds, "I tell you what, I'll make a bet with you. If you are able to finish the design by 4:00, I'll make sure you get two of the company's tickets to tomorrow night's Celtics-Knicks basketball game." Danny accepts the challenge, works feverishly to complete the assignment, and is able to take his daughter to her first professional basketball game.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Easy

True / False Questions

60. A rule of thumb for moderate- to high-technology firms is that a six-month delay in bringing a product to market can result in a gross profit loss of about 35 percent.
TRUE

For example, a rule of thumb for moderate- to high-technology firms is that a six-month delay in bringing a product to market can result in a loss of market share of about 35 percent.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Rationale for Reducing Project Duration
Level: Medium

61. Imposed project durations almost always leads to a higher-cost project than one planned with detailed scheduling of all the project's activities.
TRUE

"Imposed deadlines" is another reason for accelerating project completion. The project duration time is set while the project is in its "concept" phase before or without any detailed scheduling of all the activities in the project. This phenomenon occurs very frequently in practice! Unfortunately, this practice almost always leads to a higher cost project than one that is planned using low-cost and detailed planning. In addition, quality is sometimes compromised to meet deadlines. More important, these increased costs of imposed duration dates are seldom recognized or noted by project participants.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Rationale for Reducing Project Duration
Level: Medium

62. Managers have several effective methods for crashing specific project activities when resources are not constrained.
TRUE

Managers have several effective methods for crashing specific project activities when resources are not constrained.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Options for Accelerating Project Completion
Level: Easy

63. Indirect costs generally represent overhead costs such as supervision, administration, consultants, and interest.
TRUE

Indirect costs generally represent overhead costs such as supervision, administration, consultants, and interest.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Cost-Duration Graph
Level: Easy

64. The total cost for each possible duration of a project is the sum of labor, materials, and equipment.
FALSE

Direct costs commonly represent labor, materials, equipment, and sometimes subcontractors.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Cost-Duration Graph
Level: Easy

65. Direct costs are so named because they can be assigned directly to a work package and activity.
TRUE

Direct costs are assigned directly to a work package and activity, hence the term. The ideal assumption is that direct costs for an activity time represent normal costs, which typically mean low-cost, efficient methods for a normal time.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Cost-Duration Graph
Level: Medium

66. Because direct costs are assumed to be developed from normal methods and time, any reduction in activity time should add to the costs of the activity.
TRUE

Because direct costs are assumed to be developed from normal methods and time, any reduction in activity time should add to the costs of the activity.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Cost-Duration Graph
Level: Medium

67. The sum of the costs of all the work packages represents the total direct costs for the project.
TRUE

The sum of the costs of all the work packages or activities represents the total direct costs for the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

68. Incentive contracts can make reduction of project time rewarding—usually for both the project contractor and owner.
TRUE

Incentive contracts can make reduction of project time rewarding—usually for both the project contractor and owner.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Rationale for Reducing Project Duration
Level: Medium

69. Shortening an activity's duration is termed *crashing*.
TRUE

Shortening an activity is called crashing.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Easy

70. Expected time for an activity represents low-cost, realistic, efficient methods for completing the activity under anticipated conditions.
FALSE

Normal time for an activity represents low-cost, realistic, efficient methods for completing the activity under normal conditions.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Easy

71. *Crash cost* is the incremental cost incurred when an activity is reduced in duration.
FALSE

The direct cost for completing an activity in its crash time is called crash cost.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

72. The cost slope of an activity is calculated by dividing the run by the rise.
FALSE

Cost Slope = Rise/Run

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Easy

73. *Crash time* is the greatest time reduction possible under realistic conditions.
TRUE

The shortest possible time an activity can realistically be completed in is called its crash time.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Easy

74. The higher the slope of an activity the greater the cost to reduce its duration.
TRUE

A steeper slope means it will cost more to shorten one time unit.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

75. Creating a Project Cost-Duration Graph in the pre-project planning phase without an imposed duration is the best time to use this tool.
TRUE

Creating the graph in the preproject planning phase without an imposed duration is the first choice because normal time is more meaningful.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Medium

76. Crashing a more expensive activity may be wise if fewer inherent risks are involved.
TRUE

Crashing a more expensive activity may be wise if fewer inherent risks are involved.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Easy

77. A project network is classified as sensitive if it has a large number of interacting paths.
FALSE

A network is sensitive if it has several critical or near-critical paths.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Medium

78. Collecting crash times for a moderate-size project is relatively easy.
FALSE

Collecting crash times for even a moderate-size project can be difficult.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Practical Considerations
Level: Medium

79. While the relationship between normal and crash times is really curvilinear, the assumption that it is linear is seldom a concern for practicing managers.
TRUE

Because the accuracy of compressed activity times and costs is questionable, the concern of some theorists—that the relationship between cost and time is not linear but curvilinear—is seldom a concern for practicing managers.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Medium

80. The accuracy of crash times and costs is frequently rough at best, when compared with normal time and cost.
TRUE

Regardless of the comfort level, the accuracy of crash times and costs is frequently rough at best, when compared with normal time and cost.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Practical Considerations
Level: Easy

81. One of the advantages of using a Project Cost-Duration Graph is that it keeps the importance of indirect costs in the forefront of decision making.
TRUE

The creation of such a graph keeps the importance of indirect costs in the forefront of decision making.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Easy

Short Answer Questions

82. Identify and briefly describe five reasons for attempting to reduce the duration of a project.

1. imposed durations made by top management, 2. market demands created by competition and rapid technology advances, 3. incentive contracts that pay for early project completion, 4. recovery of unforeseen project delays, 5. to reduce project costs by reducing charges created by high overhead costs, 6. to reassign key resources to other projects.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Resource Allocation Methods
Level: Difficult

83. Identify and give an example for both of the major categories that make up project costs.

1. Indirect costs; supervision, administration, consultants, and interest, and 2. direct costs; labor, materials, and equipment.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Cost-Duration Graph
Level: Medium

84. Draw a typical Project Cost-Duration Graph and label the key elements.

See Figure 9-1 in your text.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Cost-Duration Graph
Level: Medium

85. Why is the project duration with the lowest direct costs seldom the optimum duration for a project?

Indirect costs, those accumulating each day, will at some point outweigh the reduction in direct costs leading to an increase in total costs. The Project Cost-Duration graph is a model that demonstrates this.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Practical Considerations
Level: Difficult

86. Given an equal level of risk and the need to reduce overall project duration, why would you <u>not</u> select the activity with the lowest slope in the entire project network to crash first?

If it is not on the critical path crashing it will not reduce project duration.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Practical Considerations
Level: Difficult

87. What is *crashing* and include a discussion of *crash time* and *crash cost*?

Crashing is shortening an activity's duration. Crash time is the shortest realistic time that an activity can be completed. Crash costs are the total costs associated with the crash time.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

88. How would you calculate an activity's slope and what does it represent?

An activity's slope is the cost per unit of time to reduce its duration. It is calculated by dividing the rise by the run.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

89. Given that an activity's normal time and cost are ten days and $400, and its crash time is five days and $800, what is the activity's slope?

(crash cost-normal cost)/(normal time-crash time) = ($800-$400)/(10-5) = $80 per day

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Medium

90. What do we mean when we say that a project network is *sensitive* and why is that important to a project manager?

A network is sensitive if it has several critical or near-critical paths. This is important because the PM cannot only focus on the critical path due to the possibilities of relatively small activity delays that will cause other paths to become critical.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Practical Considerations
Level: Medium

91. Identify options for accelerating a project schedule when resources are not constrained.

1. outsourcing project work, 2. scheduling overtime, 3. adding resources, 4. establish a core project team, and 5. do it twice.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Options for Accelerating Project Completion
Level: Difficult

92. Identify options for accelerating a project schedule when resources are constrained or the budget is severely constrained.

1. fast-tracking, 2. critical chain, 3. brainstorming time savers, 4. reducing project scope, 5. phase project delivery, and 6. compromise quality.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Options for Accelerating Project Completion
Level: Difficult

93. What are the benefits to using a Project Cost-Duration Graph to assist in comparing any proposed alternative or change with the current baseline?

One of the advantages of using a Project Cost-Duration Graph is that it keeps the importance of indirect costs in the forefront of decision making. Indirect costs are frequently forgotten when the pressure for action is intense.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Constructing a Project Cost-Duration Graph
Level: Difficult

94. What is Critical-chain (C-C) project management and why can it be of benefit to project managers?

C-C project management focuses on the activities that constrain the overall schedule and reapplies resources in these situations where speed is essential to a project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Options for Accelerating Project Completion
Level: Difficult

Chapter 10 Leadership: Being an Effective Project Manager Answer Key

Multiple Choice Questions

1. Project success or failure often depends upon the contributions of all of the following except:
A. Customers
B. Suppliers
C. Contractors
D. Competitors
E. Top management

Project success does not just depend on the performance of the project team. Success or failure often depends on the contributions of top management, functional managers, customers, suppliers, contractors, and others.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Managing versus Leading a Project
Level: Easy

2. Project leadership is about coping with:
A. Formulating plans and objectives
B. Monitoring results against plans
C. Change
D. Taking corrective action when necessary
E. All of these are part of leadership

Project Managers often have to deviate from what was planned and introduce significant changes in the project scope and schedule to respond to unforeseen threats or opportunities.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Managing versus Leading a Project
Level: Medium

3. The difference between project management and project leadership is that project management includes:
A. Recognizing the need to alter direction
B. Aligning people to meet new directions
C. Monitoring results against plans
D. Motivating people to meet new objectives
E. All of these are leadership functions

Good management brings about order and stability by formulating plans and objectives, designing structures and procedures, monitoring results against plans, and taking corrective action when necessary. Leadership involves recognizing and articulating the need to significantly alter the direction and operation of the project, aligning people to the new direction, and motivating them to work together to overcome hurdles produced by the change and to realize new objectives.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Managing versus Leading a Project
Level: Medium

4. Well-defined projects that encounter no significant surprises require little:
A. Management
B. Leadership
C. Monitoring
D. Corrective action
E. All of these are only required to a minor extent

Well-defined projects that encounter no significant surprises require little leadership.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Managing versus Leading a Project
Level: Medium

5. Which of the following requires more management rather than leadership?
A. Taking corrective action
B. Changes in project scope
C. Technological stalemates
D. Breakdowns in coordination between people
E. All of these require the same level of management

Good management brings about order and stability by formulating plans and objectives, designing structures and procedures, monitoring results against plans, and taking corrective action when necessary.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Managing versus Leading a Project
Level: Medium

6. In conducting meetings an effective project manager will take the role of a:
A. Parliamentarian
B. Master of ceremonies
C. Conductor
D. Cattle herder
E. Teacher

A popular metaphor for the role of a project manager is that of conductor.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Managing Project Stakeholders
Level: Easy

7. Project managers often find themselves negotiating with all the following except:
A. Vendors
B. Functional managers
C. Consultants
D. Competitors
E. All of these are correct

During the course of a system integration project, a project manager was surprised by how much time she was spending negotiating and working with vendors, consultants, technical specialists, and other functional managers.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Managing Project Stakeholders
Level: Easy

8. Groups such as human resources, information systems, purchasing agents, and maintenance are typically classified as:
A. Project managers
B. Administrative support
C. Functional managers
D. Project sponsors
E. Customers

There are also other managers who provide resources and/or may be responsible for specific segments of the project, and administrative support services such as human resources, finance, etc.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Managing Project Stakeholders
Level: Easy

9. The closest relationships in a project network of relationships are with:
A. Other project managers
B. Project sponsors
C. Top management
D. Customers
E. Project team members

Refer to Figure 10.1on page 342.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Managing Project Stakeholders
Level: Easy

10. The second ring in the network of relationships for project managers includes all of the following except:
A. Other project managers
B. Customers
C. Functional managers
D. Top management
E. Project sponsors

Refer to Figure 10.1on page 342.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Managing Project Stakeholders
Level: Medium

11. The outer ring in the network of relationships for project managers includes all of the following except:
A. Other organizations
B. Customers
C. Contractors
D. Government agencies
E. Administrative support

Refer to Figure 10.1on page 342.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Managing Project Stakeholders
Level: Easy

12. The old-fashion view of managing projects emphasized which of the following?
A. Planning
B. Directing
C. Controlling
D. Both B and C are correct
E. A, B, and C are all correct

The old-fashioned view of managing projects emphasized directing and controlling subordinates; the new perspective emphasizes managing project stakeholders and anticipating change as the most important jobs.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Managing Project Stakeholders
Level: Medium

13. The new perspective of project management emphasizes which of the following?
A. Financial control
B. Managing project stakeholders
C. Schedule/cost tradeoffs
D. Both A and B are correct
E. A, B, and C are all correct

The new perspective emphasizes managing project stakeholders and anticipating change as the most important jobs.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Managing Project Stakeholders
Level: Medium

14. Networks are mutually beneficial alliances that are generally governed by the law of:
A. Supply-demand
B. Brooks's law
C. Reciprocity
D. A squeaky wheel
E. Risk-reward

Networks are mutually beneficial alliances that are generally governed by the law of reciprocity. The basic principle is that "one good deed deserves another, and likewise, one bad deed deserves another."

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Influence as Exchange
Level: Easy

15. In terms of commonly traded organizational currencies, vision, excellence, and ethical correctness are part of_____related currencies.
A. Task
B. Position
C. Inspiration
D. Relationship
E. Personal

Refer to Table 10.1on page 345.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Influence as Exchange
Level: Medium

16. In terms of commonly traded organizational currencies, resources, assistance, cooperation, and information are part of_____related currencies.
A. Task
B. Position
C. Inspiration
D. Relationship
E. Personal

Refer to Table 10.1on page 345.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Influence as Exchange
Level: Medium

17. In terms of commonly traded organizational currencies, acceptance, personal support, and understanding are part of_____related currencies.
A. Task
B. Position
C. Inspiration
D. Relationship
E. Personal

Refer to Table 10.1on page 345.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Influence as Exchange
Level: Medium

18. In terms of commonly traded organizational currencies, advancement, recognition, visibility, and networks are part of_____related currencies.
A. Task
B. Position
C. Inspiration
D. Relationship
E. Personal

Refer to Table 10.1on page 345.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Influence as Exchange
Level: Medium

19. In terms of commonly traded organizational currencies, learning, ownership, and gratitude are part of_____related currencies.
A. Task
B. Position
C. Inspiration
D. Relationship
E. Personal

Refer to Table 10.1on page 345.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Influence as Exchange
Level: Medium

20. In mapping dependencies for a project, the project manager should:
A. Overestimate
B. Underestimate
C. Precisely estimate
D. Either B or C are correct
E. None of these are correct

It is always better to overestimate rather than underestimate dependencies. All too often, otherwise talented and successful project managers have been derailed because they were blindsided by someone whose position or power they had not anticipated.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Social Network Building
Level: Medium

21. Which of the following is used at Hewlett-Packard for building relationships with key players that will determine a project's success?
A. MBO
B. MBA
C. GIGO
D. MBWA
E. PMI

A management style employees at Hewlett-Packard refer to as "management by wandering around" (MBWA) to reflect that managers spend the majority of their time outside their offices. MBWA is somewhat of a misnomer in that there is a purpose/pattern behind the "wandering." Through face-to-face interactions, project managers are able to stay in touch with what is really going on in the project and build cooperation essential to project success.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Social Network Building
Level: Easy

22. In the Snapshot from Practice "Managing Expectations", one of the key aspects to project success was stated to be the managing of stakeholder:
A. Relations
B. Expectations
C. Involvement
D. Influence
E. Input

All stakeholders have expectations about the schedule, cost, and project benefits. Project managers need to listen for, understand, and manage these expectations.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Social Network Building
Level: Medium

23. In the Research Highlight, Ancona and Caldwell identified key patterns of activity which contribute to creating a high performance team. Which of the following is not one of those?
A. Negotiator
B. Ambassador
C. Task coordinator
D. Scouts
E. Guard

The four Key patterns are ambassador, task coordinator, scouts, and guard.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Social Network Building
Level: Medium

24. Which of the following is not one of the aspects of leading by example?
A. Priorities
B. Ethics
C. Urgency
D. Cooperation
E. Power

Refer to Figure 10.4on page 353.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Social Network Building
Level: Medium

25. The traits of successful project managers include all of the following except:
A. Pessimist
B. Proactive
C. Skillful politician
D. Effective time management
E. Personal integrity

See List on pages 360-361.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Qualities of an Effective Project Manager
Level: Easy

26. Unlike project leadership, project management is about coping with:
A. Change
B. Aligning people to any new directions
C. Monitoring results against plans
D. Recognizing the need to alter plans
E. All of these are part of project management

Good management brings about order and stability by formulating plans and objectives, designing structures and procedures, monitoring results against plans, and taking corrective action when necessary.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Managing versus Leading a Project
Level: Medium

27. In a survey of project managers, approximately what percentage reported that they encountered ethical issues in their work?
A. 22 percent
B. 40 percent
C. 65 percent
D. 81 percent
E. 100 percent

In a survey of project managers, 81 percent reported that they encounter ethical issues in their work.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Ethics and Project Management
Level: Easy

28. The key to exercising influence is:
A. To make few mistakes
B. To build trust
C. To build a network of top level people
D. To understand the political connections within the organization
E. To make friends with everyone

Conversely, trust is the "lubricant" that maintains smooth and efficient interactions. When you trust, people are more likely to take your actions and intentions at face value when circumstances are ambiguous.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Building Trust: The Key to Exercising Influence
Level: Easy

29. Which of the following is not one of the distinguishing traits of character?
A. Openness
B. Consistency
C. Empathetic
D. Sense of purpose
E. Hard work

One of the distinguishing traits of character is consistency. When people are guided by a core set of principles, they are naturally more predictable because their actions are consistent with these principles. Another feature of character is openness. When people have a clear sense of who they are and what they value, they are more receptive to others. This trait provides them with the capacity to empathize and the talent to build consensus among divergent people. Finally, another quality of character is a sense of purpose.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Building Trust: The Key to Exercising Influence
Level: Medium

30. Which of the following would be defined as the ability or skill to perceive, assess and manage the emotions of one 's self and others?
A. Emotional stability
B. Coolness under pressure
C. Emotional intelligence
D. Empathy
E. Management sensitivity

Emotional intelligence (EQ) describes the ability or skill to perceive, assess, and manage the emotions of one's self and others.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Qualities of an Effective Project Manager
Level: Medium

Fill in the Blank Questions

31. Management is about coping with complexity;_____is about coping with change.
leadership

According to Kotter these two different activities represent the distinction between management and leadership. Management is about coping with complexity, while leadership is about coping with change.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Managing versus Leading a Project
Level: Easy

32. A popular metaphor for the role of a project manager is that of_____.
conductor

A popular metaphor for the role of a project manager is that of conductor.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Managing Project Stakeholders
Level: Easy

33. _____naturally compete with each other for resources and the support of top management.
Project managers

Project managers naturally compete with each other for resources and the support of top management. At the same time they often have to share resources and exchange information.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Managing Project Stakeholders
Level: Easy

34. _____champion the project and uses their influence to gain approval of the project.
Project sponsors

Project sponsors champion the project and use their influence to gain approval of the project. Their reputation is tied to the success of the project, and they need to be kept informed of any major developments. They defend the project when it comes under attack and are a key project ally.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Managing Project Stakeholders
Level: Easy

35. _____define the scope of the project, and ultimate project success rests in their satisfaction.
Customers

Customers define the scope of the project, and ultimate project success rests in their satisfaction. Project managers need to be responsive to changing customer needs and requirements and to meeting their expectations. Customers are primarily concerned with getting a good deal and, as will be elaborated in Chapter 11, this naturally breeds tension with the project team.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Managing Project Stakeholders
Level: Easy

36. Networks are mutually beneficial alliances that are generally governed by the law of _____.
reciprocity

Networks are mutually beneficial alliances that are generally governed by the law of reciprocity. The basic principle is that "one good deed deserves another, and likewise, one bad deed deserves another."

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Influence as Exchange
Level: Medium

37. In the organizational currency of_____related influence comes directly from the project manager's ability to contribute to others accomplishing their work.
task

Refer to Table 10.1on page 345.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Influence as Exchange
Level: Medium

38. In the organizational currency of_____related influence comes directly from the project manager's ability to enhance others' positions within the organization.
position

Refer to Table 10.1on page 345.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Influence as Exchange
Level: Medium

39. Perhaps the most powerful form of organization currency is based upon_____.
inspiration

Refer to Table 10.1on page 345.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Influence as Exchange
Level: Medium

40. The essence of the_____related form of organization currency is forming a relationship that transcends normal professional boundaries and extends into the realm of friendship.
relationship

Refer to Table 10.1on page 345.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Influence as Exchange
Level: Medium

41. The_____related form of organization currency deals with individual needs and an overriding sense of self-esteem.
personal

Refer to Table 10.1on page 345.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Influence as Exchange
Level: Medium

42. In building a social network it is always better to_____the dependencies on which the success of a project is based.
overestimate

It is always better to overestimate rather than underestimate dependencies. All too often, otherwise talented and successful project managers have been derailed because they were blindsided by someone whose position or power they had not anticipated.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Social Network Building
Level: Medium

43. In the_____style of management, managers spend the majority of their time outside their offices.
management by wandering around (MBWA)

A management style employees at Hewlett-Packard refer to as "management by wandering around" (MBWA) to reflect that managers spend the majority of their time outside their offices. MBWA is somewhat of a misnomer in that there is a purpose/pattern behind the "wandering." Through face-to-face interactions, project managers are able to stay in touch with what is really going on in the project and build cooperation essential to project success.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Social Network Building
Level: Medium

44. All stakeholders have_____about the schedule, cost, and project benefits that the project manager needs to listen for, understand, and manage.
expectations

All stakeholders have expectations about the schedule, cost, and project benefits. Project managers need to listen for, understand, and manage these expectations.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Social Network Building
Level: Difficult

45. Research consistently points out that project success is strongly affected by the degree to which a project has the support of_____.
top management

Research consistently points out that project success is strongly affected by the degree to which a project has the support of top management. Such support is reflected in an appropriate budget, responsiveness to unexpected needs, and a clear signal to others in the organization of the importance of cooperation.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Social Network Building
Level: Medium

46. The Ancona and Caldwell research identified_____activities as aimed at representing the team to others and protecting the team from interference.
ambassador

Ambassador activities are aimed at representing the team to others and protecting the team from interference. The project manager typically takes on this responsibility, which involves buffering the team from political pressures and building support.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Social Network Building
Level: Medium

47. The Ancon and Caldwell research identified _____activities as those where the manager goes out from the team to bring back information about what else is going on in the organization.
scout

Scouts act as a scout on an expedition; that is, they go out from the team to bring back information about what is going on elsewhere in the organization. This is a much less focused task than task coordinator.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Social Network Building
Level: Medium

48. In the_____management style, the project manager's behavior symbolizes how other people should work on the project.
leading by example

A project manager's behavior symbolizes how other people should work on the project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Social Network Building
Level: Medium

49. In a survey of project managers, 81 percent reported that they encounter_____issues in their work.
ethical

In a survey of project managers, 81 percent reported that they encounter ethical issues in their work.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Ethics and Project Management
Level: Medium

50. Successful project managers not only need to be influential, they also need to exercise influence in a manner that builds and sustains the_____of others.
trust

Successful project managers not only need to be influential, they also need to exercise influence in a manner that builds and sustains the trust of others.

AACSB: Comprehension
Bloom's: Knowledge
Learning Objective: Building Trust: The Key to Exercising Influence
Level: Medium

51. We must have confidence in the_____ of individuals before we really trust them.
competency

We must also have confidence in the competency of individuals before we really trust them.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Building Trust: The Key to Exercising Influence
Level: Medium

52. Project managers have to see_____and how their project fits within the larger strategy of their firm.
the big picture

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Qualities of an Effective Project Manager
Level: Easy

53. The ability or skill to perceive, assess and manage the emotions of one 's self and others is called_____.
emotional intelligience

Emotional intelligence (EQ) describes the ability or skill to perceive, assess, and manage the emotions of one's self and others.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Qualities of an Effective Project Manager
Level: Medium

True / False Questions

54. Strong leadership, while usually desirable, is not always necessary to successfully.
TRUE

Strong leadership, while usually desirable, is not always necessary to successfully complete a project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Managing versus Leading a Project
Level: Medium

55. The higher the degree of uncertainty encountered on a project, the more management is required.
FALSE

The higher the degree of uncertainty encountered on a project— whether in terms of changes in project scope, technological stalemates, breakdowns in coordination between people, and so forth—the more leadership is required.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Managing versus Leading a Project
Level: Medium

56. A popular metaphor for the role of a project manager is that of a sports coach.
FALSE

A popular metaphor for the role of a project manager is that of conductor.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Managing Project Stakeholders
Level: Easy

57. Successful project managers tend to adopt a hands-on approach to managing projects.
FALSE

Too often when new project managers do find time to work directly on the project, they adopt a hands-on approach to managing the project. They choose this style not because they are power-hungry egomaniacs but because they are eager to achieve results. They become quickly frustrated by how slowly things operate, the number of people that have to be brought on board, and the difficulty of gaining cooperation. Unfortunately, as this frustration builds, the natural temptation is to exert more pressure and get more heavily involved in the project. These project managers quickly earn the reputation of "micro managing" and begin to lose sight of the real role they play on guiding a project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Managing Project Stakeholders
Level: Medium

58. One of the things that distinguish project management from regular management is the sheer breadth and complexity of the relationships that need to be managed.
TRUE

The sheer breadth and complexity of stakeholder relationships distinguish project management from regular management.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Managing Project Stakeholders
Level: Medium

59. In some projects contractors may do all the work with the project team merely coordinating their contributions.
TRUE

Contractors may do all the actual work, in some cases, with the project team merely coordinating their contributions.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Managing Project Stakeholders
Level: Medium

60. One advantage of creating a dedicated project team is that it reduces dependencies, especially within the organization.
TRUE

One advantage of creating a dedicated project team is that it reduces dependencies, especially within the organization, because most of the resources are assigned to the project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Managing Project Stakeholders
Level: Medium

61. A successful project manager must build a cooperative, mutually beneficial network based on the age-old maxim: "Quid pro quo."
TRUE

The primary way to gain cooperation is to provide resources and services for others in exchange for future resources and services. This is the age-old maxim: "Quid pro quo (something for something)." Or in today's vernacular: "You scratch my back, I'll scratch yours."

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Influence as Exchange
Level: Medium

62. Relationship-related currencies include: resources, cooperation, assistance, and information.
Refer to Table 10.1
FALSE

Refer to Table 10.1on page 345.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Influence as Exchange
Level: Medium

63. Position-related currencies include: vision, excellence, and ethical correctness.
Refer to Table 10.1
FALSE

Refer to Table 10.1on page 345.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Influence as Exchange
Level: Medium

64. Personal-related currencies include: challenge/learning, ownership/involvement, and gratitude.
Refer to Table 10.1
TRUE

Refer to Table 10.1on page 345.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Influence as Exchange
Level: Medium

65. Position-related currencies include: advancement, recognition, visibility, and network/contacts.
Refer to Table 10.1
TRUE

Refer to Table 10.1on page 345.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Influence as Exchange
Level: Medium

66. The first step to building a social network is identifying those on whom the project depends for success.
TRUE

The first step to building a social network is identifying those on whom the project depends for success.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Social Network Building
Level: Easy

67. Many poor-performing project managers are guilty of management by wandering around.
FALSE

A management style employees at Hewlett-Packard refer to as "management by wandering around" (MBWA) to reflect that managers spend the majority of their time outside their offices. MBWA is somewhat of a misnomer in that there is a purpose/pattern behind the "wandering." Through face-to-face interactions, project managers are able to stay in touch with what is really going on in the project and build cooperation essential to project success.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Social Network Building
Level: Easy

68. Good time management for project managers includes initiating contact with key stakeholders only when there is a valid issue to deal with.
FALSE

Less-effective project managers who eschew MBWA and attempt to manage projects from their offices and computer terminals. Such managers proudly announce an open-door policy and encourage others to see them when a problem or an issue comes up. To them no news is good news. This allows their contacts to be determined by the relative aggressiveness of others.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Social Network Building
Level: Easy

69. "Guard" activities, as defined by Ancona and Caldwell, are aimed at representing the project team to others and protecting the team from interference.
Refer to Research Highlight Page 352
FALSE

Guard activities differ from the other activities in that they are intended to keep information and resources inside the team, preventing drainage out of the group. A key guard activity is keeping necessary information secret until it is appropriate to share it.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Social Network Building
Level: Difficult

70. "Ambassador" activities, as defined by Ancona and Caldwell, are aimed at going out from the team to bring back information about what is going on elsewhere in the organization.
Refer to Research Highlight on page 352
FALSE

Ambassador activities are aimed at representing the team to others and protecting the team from interference. The project manager typically takes on this responsibility, which involves buffering the team from political pressures and building support.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Social Network Building
Level: Difficult

71. When giving a status report to superiors, project managers must present the most positive image possible including, if necessary, stretching the truth.
FALSE

In a survey of project managers, 81 percent reported that they encounter ethical issues in their work. These dilemmas range from being pressured to alter status reports.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Ethics and Project Management
Level: Medium

72. To be effective, project managers must "walk the talk", i.e.; lead by example.
TRUE

To be effective, project managers must "walk the talk".

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Social Network Building
Level: Medium

73. In a survey of project managers, more than 81 percent reported that they encounter ethical issues in their work.
TRUE

In a survey of project managers, 81 percent reported that they encounter ethical issues in their work.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Ethics and Project Management
Level: Medium

74. Character alone will engender trust.
FALSE

Character alone will not engender trust. We must also have confidence in the competency of individuals before we really trust them. We all know well-intended managers whom we like but do not trust because they have a history of coming up short on their promises. Although we may befriend these managers, we don't like to work with or for them.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Building Trust: The Key to Exercising Influence
Level: Easy

75. One problem new project managers experience is that it takes time to establish a sense of character and competency.
TRUE

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building Trust: The Key to Exercising Influence
Level: Medium

76. The ability or skill to perceive, assess and manage the emotions of one 's self and others is known as emotional intelligence.
Refer to Research Highlight on page 361
TRUE

Emotional intelligence (EQ) describes the ability or skill to perceive, assess, and manage the emotions of one's self and others.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Qualities of an Effective Project Manager
Level: Medium

Short Answer Questions

77. "Managing a project and leading a project is essentially the same thing." Agree or disagree and support your conclusion.

Disagree, they are very different. Managing is associated with the structure of the project (planning, organizing, controlling, and corrective action) where leading is needed when the objectives of the project require changing to meet outside demands.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Managing versus Leading a Project
Level: Medium

78. "Strong leadership is not always necessary to successfully complete a project." Agree or disagree and support your conclusion.

Agree. Well-defined projects that encounter no significant surprises require little leadership.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Managing versus Leading a Project
Level: Medium

79. Identify at least five of the typical group dependencies that project managers must manage.

1. project team, 2. other project managers, 3. administrative support, 4. functional managers, 5. top management, 6. project sponsors, 7. subcontractors, 8. government agencies, and 9. customers.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Managing Project Stakeholders
Level: Medium

80. Identify and briefly describe the five commonly traded organizational currencies.

1. Task-related; the ability to contribute to others accomplishing their work, 2. Position-related; the ability to enhance others' positions within their organization, 3. Inspiration-related; the ability to enhance people's desire to make a difference and add meaning to their lives, 4. Relationship-related; the ability to form relationships that transcend normal professional boundaries and extend into friendship, 5. Personal-related; the extent to which one can help others feel a sense of importance and personal worth.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Influence as Exchange
Level: Difficult

81. What is "management by wandering around" and why would it be useful to project managers?

MBWA is the spending of time outside the office and making contact with key players to keep abreast of developments, anticipate potential problems, provide encouragement, and reinforce the objectives and vision of the project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Social Network Building
Level: Medium

82. Identify and briefly describe the four patterns of activity identified by Ancona and Caldwell which lead to creating a high performance team.

1. Ambassador; aimed at representing the team to others and protecting the team from interference, 2. Task Coordinator; aimed at coordinating the team's efforts with other units and organizations, 3. Scouts; going out from the team to bring back information about what is going on elsewhere in the organization, 4. Guard; keeping information and resources inside the team.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Social Network Building
Level: Difficult

83. Identify five of the six aspects of leading by example.

1. standards of performance, 2. ethics, 3. urgency, 4. problem solving, 5. priorities, and 6. cooperation.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Social Network Building
Level: Medium

84. Identify and briefly discuss the key to exercising influence within an organization.

Trust. Trust is an elusive concept and may be seen as a function of character (doing the right thing) and competence (knowing the right things to do). Both are needed and take time to build.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Ethics and Project Management
Level: Difficult

85. Identify five of the six contradictions that an effective project manger must face.

1. innovate and ma0intain stability, 2. see the big picture while getting your hands dirty, 3. encourage individuals but stress the team, 4. hands-on/hands-off, 5. flexible but firm, 6. team versus organizational loyalties.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Qualities of an Effective Project Manager
Level: Difficult

86. Identify five of the eight traits associated with being a successful project manager.

1. systems thinker, 2. personal integrity, 3. proactive, 4. emotional intelligence, 5. general business perspective, 6. effective time management, 7. skillful politician, 8. optimist.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Qualities of an Effective Project Manager
Level: Difficult

87. Identify and compare and contrast The old-fashioned view of managing projects and the new perspective of managing projects.

The old-fashioned view of managing projects emphasized directing and controlling subordinates; the new perspective emphasizes managing project stakeholders and anticipating change as the most important jobs.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Managing Project Stakeholders
Level: Medium

88. "All the eight traits of being a good project manager can be trained." Agree or Disagree and support your conclusion.

Some can be trained or acquired but items such as being an optimist, personal integrity, and being proactive are not easily developed unless there is a predisposition to display them.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Qualities of an Effective Project Manager
Level: Difficult

Chapter 11 Managing Project Teams Answer Key

Multiple Choice Questions

1. The essence of positive synergy can be found in the phrase:
A. Front of ship sink---back of ship sink
B. There is no "I" in team
C. Two heads are better than one
D. The whole is greater than the sum of the parts
E. If it doesn't kill you, it makes you stronger

The essence of positive synergy can be found in the phrase "The whole is greater than the sum of the parts."

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Five-Stage Team Development Model
Level: Easy

2. Which of the following is commonly associated with high-performing project teams?
A. Risk taking is controlled and not allowed to jeopardize the overall project
B. Roles and specific responsibilities are well-defined
C. A degree of competition among team members is encouraged
D. Mistakes are viewed as opportunities for learning
E. All of these are associated with high-performing teams

To encourage risk taking and creativity, mistakes are treated as opportunities for learning rather than reasons for punishment.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Five-Stage Team Development Model
Level: Medium

3. During which stage of team development do members accept that they are part of a project group but resist the constraints that the project and the group put on their individuality?
A. Norming
B. Storming
C. Performing
D. Adjourning
E. Forming

As the name suggests, this stage is marked by a high degree of internal conflict. Members accept that they are part of a project group but resist the constraints that the project and group put on their individuality.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Five-Stage Team Development Model
Level: Medium

4. During which stage of team development do close relationships develop and the group demonstrates cohesiveness?
A. Norming
B. Storming
C. Performing
D. Adjourning
E. Forming

The norming stage is one in which close relationships develop and the group demonstrates cohesiveness.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Five-Stage Team Development Model
Level: Medium

5. During which stage of team development is the team fully functional and accepted?
A. Norming
B. Storming
C. Performing
D. Adjourning
E. Forming

In the Performing stage, the team operating structure at this point is fully functional and accepted. Group energy has moved from getting to know each other and how the group will work together to accomplishing the project goals.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Five-Stage Team Development Model
Level: Medium

6. During which stage of team development is high performance not a top priority and team member emotions run from upbeat to depressed?
A. Norming
B. Storming
C. Performing
D. Adjourning
E. Forming

For conventional work groups, performing is the last stage of their development. However, for project teams, there is a completion phase. During this stage, the team prepares for its own disbandment. High performance is no longer a top priority. Instead attention is devoted to wrapping up the project. Responses of members vary in this stage. Some members are upbeat, basking in the project team's accomplishments. Others may be depressed over loss of camaraderie and friendships gained during the project's life.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Five-Stage Team Development Model
Level: Medium

7. During which stage of team development do team members try to find out what behaviors are acceptable and what performance expectations are?
A. Norming
B. Storming
C. Performing
D. Adjourning
E. Forming

During this initial stage the members get acquainted with each other and understand the scope of the project. They begin to establish ground rules by trying to find out what behaviors are acceptable with respect to both the project (what role they will play, what performance expectations are) and interpersonal relations (who's really in charge). This stage is completed once members begin to think of themselves as part of a group.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Five-Stage Team Development Model
Level: Medium

8. Sam is the coach of a high school soccer team and has noticed that some close relationships have formed as well as feelings of camaraderie and shared responsibilities for the team's success. Which stage of development is the team in?
A. Norming
B. Storming
C. Performing
D. Adjourning
E. Forming

The norming stage is one in which close relationships develop and the group demonstrates cohesiveness. Feelings of camaraderie and shared responsibility for the project are heightened. The norming phase is complete when the group structure solidifies and the group establishes a common set of expectations about how members should work together.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Five-Stage Team Development Model
Level: Medium

9. Roger is new-product project manager for a retail company. Recently the team has exhibited a high degree of conflict over who will control the group and how decisions will be made. Which stage of development is the team in?
A. Norming
B. Storming
C. Performing
D. Adjourning
E. Forming

Members accept that they are part of a project group but resist the constraints that the project and group put on their individuality. There is conflict over who will control the group and how decisions will be made. As these conflicts are resolved, the project manager's leadership becomes accepted, and the group moves to the next stage.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Five-Stage Team Development Model
Level: Medium

10. Tom is managing a project team responsible for erecting a new office building. He notices that team members are trying out different behaviors to see what is acceptable to the project and personal relations. Which stage of development is the team in?
A. Norming
B. Storming
C. Performing
D. Adjourning
E. Forming

During forming stage, the members get acquainted with each other and understand the scope of the project. They begin to establish ground rules by trying to find out what behaviors are acceptable with respect to both the project (what role they will play, what performance expectations are) and interpersonal relations (who's really in charge). This stage is completed once members begin to think of themselves as part of a group.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Five-Stage Team Development Model
Level: Medium

11. Experience and research indicate that high-performance project teams are much more likely to develop under all the following conditions except:
A. Members are assigned to the project full time
B. Members report solely to the project manager
C. There are 10 or fewer members per team
D. Team members are selected by their managers
E. The project involves a compelling objective

See List on Page 378.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Situational Factors Affecting Team Development
Level: Medium

12. In which of the following theories does the project group transition from a lower level to a higher level of performance about halfway through the project?
A. Nominal Group Technique
B. Five Stage Team Development Model
C. Punctuated Equilibrium Model of Group Development
D. Dysfunctional Transition Model
E. Synergistic Transition Development Model

Refer to Figure 11.2 on Page 379.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Situational Factors Affecting Team Development
Level: Medium

13. Which of the following are considered very important in the recruiting of project members?
A. The budget available
B. The importance of the project
C. The management structure for the project team
D. Both B and C are correct
E. A, B, and C are all correct

The process of selecting and recruiting project members will vary across organizations. Two important factors affecting recruitment are the importance of the project and the management structure being used to complete the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

14. Which of the following is not one of the considerations that need to be factored into the project team recruitment process?
A. Political connections
B. Problem-solving ability
C. Ambition, initiative, and energy
D. High degree of technological expertise
E. Availability

See list on pages 381-382.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Difficult

15. Which of the following is an objective of the first project team meeting?
A. Overview the project's scope and objectives
B. Address interpersonal interaction concerns
C. Model how the team will work together
D. Both A and C are correct
E. A, B, and C are all correct

There are typically three objectives project managers try to achieve during the first meeting of the project team. The first is to provide an overview of the project, including the scope and objectives, the general schedule, method, and procedures. The second is to begin to address some of the interpersonal concerns captured in the team development model: Who are the other team members? How will I fit in? Will I be able to work with these people? The third and most important objective is to begin to model how the team is going to work together to complete the project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Medium

16. Which of the following is not one of the major issues that successful project managers must address in the early stages of a project?
A. Relationship Decisions
B. Managing Change Decisions
C. Tracking Decisions
D. Planning Decisions
E. All of these need to be addressed

See list on Page 383-384.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

17. Researchers have found that high performance teams will have which of the following norms?
A. Hard work does not get in the way of having fun
B. No information is shared outside the team unless all agree to it
C. It is acceptable to be in trouble, but not to surprise others
D. Both B and C are correct
E. A, B, and C are all correct

See list on page 385.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

18. All of the following have been found to be good for running effective project meetings except:
A. Start meetings on time regardless of whether everyone is present
B. Identify an adjournment time
C. Thoroughly document all decisions
D. Prepare and distribute an agenda prior to the meeting
E. All of these are good for effective meetings

See list on page 387.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Medium

19. Establishing a team identity is facilitated by:
A. Team members working in a common space
B. Creation of a project team name
C. Effective use of meetings
D. Both A and B are correct
E. A, B, and C are all correct

See list on page 387-388.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Medium

20. The essential qualities of an effective vision include all of the following except:
A. All team members have the same vision
B. The vision should be communicated to all
C. The vision has to make strategic sense
D. There should be a passion for the vision
E. The vision should be a source of inspiration to others

Refer to Figure 11.4 on Page 390.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Medium

21. Which of the following would be considered the most effective project reward?
A. Individual member rewards
B. Lump-sum cash award
C. All-expenses-paid trip for team members and their families
D. Using negative reinforcement to motivate adequate performance
E. All of these are equally effective

To have more value, rewards need to have lasting significance. Many companies convert cash into vacation rewards, sometimes with corresponding time off. For example, there is one firm that rewarded a project team for getting the job done ahead of schedule with a four-day, all-expenses-paid trip to Walt Disney World for the members' entire families.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Difficult

22. Individual rewards for outstanding work would not include:
A. Letters of commendation
B. Public recognition
C. Desirable job assignments
D. Making exceptions to the rules
E. All of these can be used for individual rewards

See list on page 393.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

23. The first step in facilitating group decision making is to:
A. Call a meeting to discuss the problem
B. Identify the problem
C. Agree that there is a problem
D. Quantify the problem
E. Generate alternatives

The project manager needs to be careful not to state the problem in terms of choices (e.g., should we do X or Y?). Rather the project manager should identify the underlying problem to which these alternatives and probably others are potential solutions. This allows group members to generate alternatives, not just choose among them.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

24. Strategies to manage dysfunctional conflict do not include_____the conflict.
A. Control
B. Arbitrate
C. Mediate
D. Accept
E. Encourage

See list on page 398.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

25. The biggest challenge to managing a virtual project team is:
A. Getting reports and technical information communicated
B. Developing trust
C. Establishing effective patterns of communication
D. Both B and C are correct
E. A, B, and C are all correct

Two of the biggest challenges involved in managing a virtual project team are developing trust and effective patterns of communication.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Managing Virtual Project Teams
Level: Medium

26. Which of the following is not one of the steps in facilitating group decision making?
A. Identifying the problem
B. Analyzing the situation
C. Generating alternatives
D. Reaching a decision
E. Follow-up

See list on pages 394-395.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Easy

27. During the delivery phase of a project's life cycle, the most significant source of conflict is:
A. Schedules
B. Priorities
C. Technical
D. Procedures
E. Costs

During the delivery phase, schedules continue as the biggest source of conflict as schedule slippages make it more difficult to meet target completion dates.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Easy

28. Two of the biggest challenges involved in managing a virtual project team are:
A. The language barriers and time management
B. Time management and developing trust
C. The language barriers and developing effective patterns of communication
D. Developing trust and effective patterns of communication
E. Time management and developing effective patterns of communication

Two of the biggest challenges involved in managing a virtual project team are developing trust and effective patterns of communication.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Managing Virtual Project Teams
Level: Medium

29. Symptoms of groupthink include:
A. The team thinking it is invincible
B. Opinions of those outside the team are considered to be irrelevant
C. Critical thinking disappears
D. Pressure is applied to any dissenter
E. All of these are symptoms of groupthink

See list on page 404.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Team Pitfalls
Level: Medium

30. Which of the following are ways to improve the performance of low-priority projects?
A. Creating a large time investment in the form of a lengthy meeting
B. Interject as much fun as possible into the project
C. Make the benefits of the project as real as possible to the team members
D. Both B and C are correct
E. A, B, and C are all correct

One project manager advocated orchestrating a large "time" investment upfront on such projects—either in the form of a lengthy meeting or a significant early assignment. He viewed this as a form of down payment that members would forfeit if they didn't carry the project to completion. Others emphasize interjecting as much fun into activities as possible. Her rituals discussed under building team identity come into play. People become committed because they enjoy working together on the project. One project manager even confided that the perfect attendance at her project meetings was due primarily to the quality of the doughnuts she provided. Another strategy is to make the benefits of the project as real to the team members as possible. One project manager escalated commitment to a mandated accidents prevention task force by bringing accident victims to a project meeting.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Medium

31. Which of the following is not one of the most significant sources of conflict during the project definition phase?
A. Priorities
B. Administrative procedures
C. Schedule
D. Workforce
E. Costs

During project definition, the most significant sources of conflict are priorities, administrative procedures, schedule, and workforce.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

32. Which of the following is not one of the most significant sources of conflict during the project planning phase?
A. Priorities
B. Procedures
C. Schedule
D. Technical requirements
E. Costs

During the planning phase, the chief source of conflict remains priorities, followed by schedules, procedures, and technical requirements.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Easy

33. Which of the following is not one of the most significant sources of conflict during the project execution phase?
A. Priorities
B. Staff issues
C. Schedule slippage
D. Technical problems
E. All of these are significant sources of conflict

During the execution phase, friction arises over schedule slippage, technical problems, and staff issues. Milestones become more difficult to meet because of accumulating schedule slippages.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Easy

34. Which of the following is not one of the tips for alleviating communication problems of virtual teams?
A. Include face-to-face time if at all possible
B. Keep team members informed on how well the overall project is going
C. Share the pain
D. Establish clear norms and protocols for surfacing assumptions and conflicts
E. Establish a code of conduct to avoid delays

See list on pages 402-403.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Managing Virtual Project Teams
Level: Difficult

Fill in the Blank Questions

35. _____occurs when the whole is less than the sum of its parts.
Negative synergy

Negative synergy occurs when the whole is less than the sum of the parts.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Five-Stage Team Development Model
Level: Easy

36. During the_____stage of group development, there is conflict over who will control the group and how decisions will be made.
storming

As the name suggests, this stage is marked by a high degree of internal conflict. Members accept that they are part of a project group but resist the constraints that the project and group put on their individuality.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: The Five-Stage Team Development Model
Level: Medium

37. During the_____stage of group development, the members try to find out what behaviors are acceptable to the team and individual team members.
forming

During this initial stage the members get acquainted with each other and understand the scope of the project. They begin to establish ground rules by trying to find out what behaviors are acceptable with respect to both the project (what role they will play, what performance expectations are) and interpersonal relations (who's really in charge). This stage is completed once members begin to think of themselves as part of a group.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: The Five-Stage Team Development Model
Level: Medium

38. During the_____stage of group development, the team prepares for its own disbandment.
adjourning

For conventional work groups, performing is the last stage of their development. However, for project teams, there is a completion phase. During this stage, the team prepares for its own disbandment. High performance is no longer a top priority. Instead attention is devoted to wrapping up the project. Responses of members vary in this stage. Some members are upbeat, basking in the project team's accomplishments. Others may be depressed over loss of camaraderie and friendships gained during the project's life.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: The Five-Stage Team Development Model
Level: Medium

39. During the_____stage of group development, close relationships develop and the group demonstrates cohesiveness.
norming

The norming stage is one in which close relationships develop and the group demonstrates cohesiveness. Feelings of camaraderie and shared responsibility for the project are heightened. The norming phase is complete when the group structure solidifies and the group establishes a common set of expectations about how members should work together.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: The Five-Stage Team Development Model
Level: Medium

40. During the_____stage of group development, the team is fully functional and working together to accomplishing the project goals.
performing

In the Performing stage, the team operating structure at this point is fully functional and accepted. Group energy has moved from getting to know each other and how the group will work together to accomplishing the project goals.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: The Five-Stage Team Development Model
Level: Medium

41. The_____suggests that about midway through a project the team transitions into a different behavior pattern more focused on the successful completion of the project.
Punctuated Equilibrium Model of Group Development

Refer to Figure 11.2 on Page 379.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Situational Factors Affecting Team Development
Level: Medium

42. Experienced project managers stress the importance of _____ rather than appointing team members.
asking for volunteers

Experienced project managers stress the importance of asking for volunteers. However, this desirable step oftentimes is outside the manager's control. Still, the value of having team members volunteer for the project as opposed to being assigned cannot be overlooked. Agreeing to work on the project is the first step toward building personal commitment to the project. Such commitment will be essential to maintain motivation when the project hits hard times and extra effort is required.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

43. Too often when constrained by time, project managers try to accomplish too much during the first meeting, rather than use the_____principle and not create information overload.
keep it simple stupid (KISS)

Many organizations do not have the luxury of holding elaborate retreats. In other cases the scope of project and level of involvement of different participants does not warrant such an investment of time. In these cases, the key operating principle should be KISS (keep it simple stupid!) Too often when constrained by time, project managers try to accomplish too much during the first meeting; in doing so, issues do not get fully resolved, and members come away with an information headache.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Easy

44. _____are often considered anathema to productivity, yet they are critical to the success of any project.
Meetings

Meetings are often considered an anathema to productivity, but this does not have to be the case. The most common complaint is that meetings last too long. Establishing an agenda and adjournment time helps participants budget discussion time and provides a basis for expediting the proceedings.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Easy

45. Symbolic actions at the project level can contribute to a unique team subculture are called _____.
team rituals

Team rituals such as symbolic actions at the project level can contribute to a unique team subculture.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Easy

46. In the Snapshot from Practice involving the Tallahassee Democrat newspaper, the key turning point was the handling of an advertisement, eventually known as the_____that had been sent to the newspaper over a fax machine.
rat fax

A key turning point came when one member produced what became known as "the rat tracks fax" and told the story behind it. It turns out a sloppily prepared ad arrived through a fax machine looking like "a rat had run across the page." Yet the ad passed through the hands of seven employees and probably would have been printed if it had not been totally unreadable.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Easy

47. The development of_____is a common device for making a team more tangible.
project team name

The development of a team name such as the "A-Team" or "Casey's Crusaders" is a common device for making a team more tangible.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Medium

48. Expressing the design concept of a new car as a "pocket rocket" (a sports car in the mid-price range) is an example of a simplified_____.
vision

For example, the vision for a new car could be expressed as a "pocket rocket." Compare this vision with the more traditional product description—"a sports car in the midprice range." The "pocket rocket" vision provides a much clearer picture of what the final product should be.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Medium

49. Project managers are responsible for managing the_____that encourage team performance and extra effort.
reward systems

Project managers are responsible for managing the reward system that encourages team performance and extra effort.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Easy

50. The use of 6:30 A.M. meetings to get a project back on schedule is an example of _____ reinforcement to motivate project performance.
negative

The project manager does not have direct authority over many key people, especially the contractors from the other companies. They do, however, have the freedom to convene meetings at his convenience. So the project manager will institute daily "coordination meetings," which were required of all the principals involved, at 6:30 A.M. The meetings continued for about two weeks until the project got back on schedule. At that time the project manager announced that the next meeting was canceled, and no further sunrise meetings were ever scheduled.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Medium

51. _____should be used when strong commitment to a decision is needed and there is a low probability of acceptance if the decision were to be made by one person.
Group decision making

Group decision making should be used when it will improve the quality of important decisions. This is often the case with complex problems that require the input of a variety of different specialists. Group decision making should also be used when strong commitment to the decision is needed and there is a low probability of acceptance if only one person makes the decision.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Easy

52. When the manager intervenes and tries to negotiate a resolution by using reasoning and persuasion, suggesting alternatives and the like the Project Manager is trying to _____.
mediate the conflict

The manager intervenes and tries to negotiate a resolution by using reasoning and persuasion, suggesting alternatives and the like.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Easy

53. In the_____approach to managing conflict, the manager imposes a solution to the conflict after listening to each party.
arbitrate the conflict

The manager imposes a solution to the conflict after listening to each party. The goal is not to decide who wins but to have the project win. In doing so, it is important to seek a solution that allows each party to save face; otherwise the decision may provide only momentary relief.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

54. In a_____project team the members are geographically situated so that they may seldom meet face-to-face as a team.
virtual

A virtual project team in where the team members are geographically situated so that they may seldom, if ever, meet face-to-face as a team.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Managing Virtual Project Teams
Level: Easy

55. _____refers to whether a team has direct influence over the problem that needs to be resolved.
Ownership

Ownership refers to whether the team has direct influence over the issue. For example, a team probably has little influence over delivery of contracted supplies, but team members do control how quickly they inform each other of sudden changes in plans.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Easy

56. When a project team gets things done without having to go through normal protocols of the parent organization, it may fall into the_____.
bureaucratic bypass syndrome

Project teams are often licensed to get things done without having to go through normal protocols of the parent organization. Bypassing bureaucratic channels is appealing and invigorating. However, if bypassing becomes a way of life, it results in the rejection of bureaucratic policies and procedures, which provide the glue for the overall organization.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Team Pitfalls
Level: Easy

57. Project managers should encourage_____conflict.
functional

If the team appears to be suffering from groupthink, then the project manager can encourage functional conflict by playing a devil's advocate role to encourage dissent or using a structured problem solving approach like the nominal group technique.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Team Pitfalls
Level: Easy

58. Project managers should manage_____ conflict.
dysfunctional

Project managers should recognize that conflict is an inevitable and even a desirable part of project work; the key is to encourage functional conflict and manage dysfunctional conflict.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Easy

59. In order to match technology to the communication need, 3M developed guidelines to be used on_____projects.
distributed or virtual

A major challenge for managing a virtual project team is to establish effective patterns of communication. E-mail and faxes are great for communicating facts—but not the feelings behind the facts; nor do they allow for real-time communication. Conference calls and project chat rooms can help, but they also have their limitations. Videoconferencing is a significant improvement over nonvisual electronic forms of communication. Still, it is a very expensive medium, and realtime interaction is available on only the most advanced and expensive systems. The maxim is match technology to the communication need.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Managing Virtual Project Teams
Level: Easy

True / False Questions

60. Synergy can be both negative as well as positive.
TRUE

The essence of positive synergy can be found in the phrase "The whole is greater than the sum of the parts." Conversely, negative synergy occurs when the whole is less than the sum of the parts.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Five-Stage Team Development Model
Level: Easy

61. There is a high degree of internal conflict in the forming stage of team development.
FALSE

During this initial stage the members get acquainted with each other and understand the scope of the project. They begin to establish ground rules by trying to find out what behaviors are acceptable with respect to both the project (what role they will play, what performance expectations are) and interpersonal relations (who's really in charge). This stage is completed once members begin to think of themselves as part of a group.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Five-Stage Team Development Model
Level: Easy

62. The storming stage of team development is completed once members begin to think of themselves as part of a group.
FALSE

Members accept that they are part of a project group but resist the constraints that the project and group put on their individuality. There is conflict over who will control the group and how decisions will be made. As these conflicts are resolved, the project manager's leadership becomes accepted, and the group moves to the next stage.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Five-Stage Team Development Model
Level: Medium

63. The performing stage of team development is characterized by the development of close relationships and group cohesiveness.
FALSE

In the Performing stage, the team operating structure at this point is fully functional and accepted. Group energy has moved from getting to know each other and how the group will work together to accomplishing the project goals.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Five-Stage Team Development Model
Level: Medium

64. The norming stage of team development is complete when the group establishes a common set of expectations about how members should work together.
TRUE

The norming stage is one in which close relationships develop and the group demonstrates cohesiveness. Feelings of camaraderie and shared responsibility for the project are heightened. The norming phase is complete when the group structure solidifies and the group establishes a common set of expectations about how members should work together.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Five-Stage Team Development Model
Level: Medium

65. Regardless of the type of work group, the adjourning stage of team development is the final stage.
FALSE

For conventional work groups, performing is the last stage of their development. However, for project teams, there is a completion phase. During this stage, the team prepares for its own disbandment. High performance is no longer a top priority. Instead attention is devoted to wrapping up the project. Responses of members vary in this stage. Some members are upbeat, basking in the project team's accomplishments. Others may be depressed over loss of camaraderie and friendships gained during the project's life.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Five-Stage Team Development Model
Level: Medium

66. The Punctuated Equilibrium Model of group development has only two phases with a single transition joining them.
TRUE

Refer to Figure 11.2 on Page 379.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Situational Factors Affecting Team Development
Level: Easy

67. A project manager should always look for people with good problem-solving ability.
FALSE

If the project is complex and fuzzy, then a manager wants people who are good at working under uncertainty and have strong problem identification and solving skills. These same people are likely to be bored and less productive working on straightforward projects that go by the book.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

68. A project manager should be wary of people who know too much about a specific technology.
TRUE

Managers should be wary of people who know too much about a specific technology. They may be technology buffs who like to study but have a hard time settling down and doing the work.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Medium

69. Co-location of team members, team names, and team rituals are common vehicles for establishing a team identity.
TRUE

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Social Network Building
Level: Easy

70. A project vision is an image a project team holds in common about how the project will look upon completion, how they will work together, and how customers will accept the project.
TRUE

Just as corporate rituals help establish the unique identity of a firm, similar symbolic actions at the project level can contribute to a unique team subculture.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

71. Everyone on the project team should have the same vision of the project.
FALSE

Refer to Figure 11.4 on Page 390.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Medium

72. Most project managers advocate the use of group rewards rather than individual rewards.
TRUE

To have more value, rewards need to have lasting significance. Many companies convert cash into vacation rewards, sometimes with corresponding time off. For example, there is one firm that rewarded a project team for getting the job done ahead of schedule with a four-day, all-expenses-paid trip to Walt Disney World for the members' entire families.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Easy

73. Lump-sum cash bonuses are the preferred group reward for project teams.
FALSE

To have more value, rewards need to have lasting significance. Many companies convert cash into vacation rewards, sometimes with corresponding time off. For example, there is one firm that rewarded a project team for getting the job done ahead of schedule with a four-day, all-expenses-paid trip to Walt Disney World for the members' entire families.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

74. Letters of commendation, public recognition for outstanding work, and desirable job assignments are the preferred types of individual rewards.
TRUE

See list on page 393.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Easy

75. Group decision making should be used when strong commitment to the decision is needed and there is a low probability of acceptance if only one person makes the decision.
TRUE

Group decision making should be used when it will improve the quality of important decisions. This is often the case with complex problems that require the input of a variety of different specialists. Group decision making should also be used when strong commitment to the decision is needed and there is a low probability of acceptance if only one person makes the decision.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Medium

76. A project manager should identify a problem in terms of its alternate solutions so that team members can more easily reach a decision on how to solve the problem.
FALSE

The project manager needs to be careful not to state the problem in terms of choices (e.g., should we do X or Y?). Rather the project manager should identify the underlying problem to which these alternatives and probably others are potential solutions. This allows group members to generate alternatives, not just choose among them.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Medium

77. Team members can be upset and dissatisfied with conflict, but as long as the disagreement furthers the objectives of the project, then the conflict is functional.
TRUE

Members can be upset and dissatisfied with the interchange, but as long as the disagreement furthers the objectives of the project, then the conflict is functional. Project managers should recognize that conflict is an inevitable and even a desirable part of project work; the key is to encourage functional conflict and manage dysfunctional conflict.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Difficult

78. A project manager arbitrates conflict by intervening and attempting to negotiate a resolution by using reasoning and persuasion, suggesting alternatives and the like.
FALSE

The manager intervenes and tries to negotiate a resolution by using reasoning and persuasion, suggesting alternatives and the like.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

79. Groupthink refers to the tendency of members in highly cohesive groups to lose their critical evaluative capabilities resulting in quick decision making with little consideration of alternatives.
TRUE

Groupthink appears when pressures for conformity are combined with an illusion of invincibility to suspend critical discussion of decisions. As a result decisions are made quickly with little consideration of alternatives; often the practice leads to fiascoes that, after the fact, appear totally improbable.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Team Pitfalls
Level: Medium

80. Two of the biggest challenges involved in managing a virtual project team are developing trust and effective patterns of communication.
TRUE

Two of the biggest challenges involved in managing a virtual project team are developing trust and effective patterns of communication.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Managing Virtual Project Teams
Level: Easy

81. "Going native" is the ability that some project teams have to bypass the normal policies and procedures that everyone in the organization is supposed to follow.
FALSE

Bureaucratic bypass syndrome occurs when project teams are often licensed to get things done without having to go through normal protocols of the parent organization. Bypassing bureaucratic channels is appealing and invigorating. However, if bypassing becomes a way of life, it results in the rejection of bureaucratic policies and procedures, which provide the glue for the overall organization.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Team Pitfalls
Level: Easy

82. In order to match technology to the communication need, IBM developed a set of guidelines to be used on their virtual projects.
FALSE

A major challenge for managing a virtual project team is to establish effective patterns of communication. E-mail and faxes are great for communicating facts—but not the feelings behind the facts; nor do they allow for real-time communication. Conference calls and project chat rooms can help, but they also have their limitations. Videoconferencing is a significant improvement over nonvisual electronic forms of communication. Still, it is a very expensive medium, and realtime interaction is available on only the most advanced and expensive systems. The maxim is match technology to the communication need. 3M did this for their virtual projects.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Managing Virtual Project Teams
Level: Easy

Short Answer Questions

83. Identify the four major areas for establishing ground rules on how the project team will operate.

1. Planning decisions, 2. Tracking decisions, 3. Managing change decisions, and 4. Relationship decisions.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

84. Identify and briefly discuss the four elements to establishing a team identity.

1. Effective use of meetings, 2. Co-location of team members, 3. Create a project team name, and 4. Team rituals.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

85. Identify the four requirements for an effective project vision.

1. Communicate, 2. Strategic sense, 3. Passion, and 4. Inspires others.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

86. Identify and briefly discuss the four types of individual rewards recommended for project team members.

1. Letters of commendation, 2. Public recognition for outstanding work, 3. Job assignments, and 4. Flexibility.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

87. Identify and briefly discuss the four major steps in facilitating the group decision making process.

1. Problem identification, 2. Generate alternatives, 3. Reach a decision, and 4. Follow-up.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

88. What is functional conflict and why should it be encouraged?

As long as disagreements further the objectives of the project, then conflict is functional. It should be encouraged because honest professional differences of opinion often will lead to the best solutions. The challenge is to keep it from becoming dysfunctional.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Building High-Performance Project Teams
Level: Medium

89. Identify the five strategies to manage conflict.

1. Mediate the conflict, 2. Arbitrate the conflict, 3. Control the conflict, 4. Accept the conflict, and 5. Eliminate the conflict.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Building High-Performance Project Teams
Level: Medium

90. What is a virtual project team?

A virtual project team is one in which the team members are geographically situated so that they may seldom, if ever, meet face-to-face as a team. Electronic communications such as the Internet, e-mail, and teleconferencing are the primary means of communication.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Managing Virtual Project Teams
Level: Medium

91. What is meant by the term groupthink and identify four symptoms?

Groupthink refers to the tendency of members in highly cohesive groups to lose their critical evaluative capabilities resulting in quick decision making with little consideration of alternatives. Symptoms include 1. illusion of invulnerability, 2. whitewash of critical thinking, 3. negative stereotypes of outsiders, and 4. direct pressure.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Project Team Pitfalls
Level: Difficult

92. From the perspective of project management, what does the term going native reference?

The customer's interest takes precedence over the parent organization's interest, leading to scope creep and open defiance of corporate policy and interests.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Team Pitfalls
Level: Medium

93. What is the bureaucratic bypass syndrome and why is it to be avoided?

Project teams are often licensed to get things done without having to go through normal protocols of the parent organization. If bypassing the normal channels becomes a way of life, it results in rejecting policies and procedures. This may alienate other workers who must follow protocol and eventually may cause them to find ways to thwart the project team.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Team Pitfalls
Level: Difficult

94. Identify and briefly describe the four common pitfalls that project teams may be subjected to.

1. groupthink, 2. bureaucratic bypass syndrome, 3. team infatuation, and 4. going native.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Team Pitfalls
Level: Difficult

Chapter 12 Outsourcing: Managing Interorganizational Relations Answer Key

Multiple Choice Questions

1. ontracting project work has long been the norm in the_____industry.
A. Telecommunications
B. Financial
C. Insurance
D. Construction
E. Retail

Contracting project work has long been the norm in the construction industry, where firms hire general contractors who, in turn, hire and manage cadres of subcontractors to create new buildings and structures.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Outsourcing Project Work
Level: Easy

2. The process for the transferring of business functions or processes to other, often foreign, companies has traditionally been known as:
A. Subcontracting
B. Downsizing
C. Partnering
D. Joint venture
E. Outsourcing

The term outsourcing has traditionally been applied to the transferring of business functions or processes (e.g., customer support, IT, accounting) to other, often foreign companies.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Outsourcing Project Work
Level: Easy

3. When you call your Internet provider to solve a technical problem and you end up talking to a technician in India or Romania, you have just experienced:
A. Telecommunications
B. Partnering
C. Outsourcing
D. Service shift
E. Bilingual customer service

When you call your Internet provider to solve a technical problem you are likely to talk to a technician in Bangalore, India, or Bucharest, Romania, a company has Outsourced the task.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Outsourcing Project Work
Level: Easy

4. Which of the following is not a potential part of the outsourcing concept?
A. Computers
B. Faxes
C. Computer-aided design systems
D. Video teleconferencing
E. All the above are correct

Many outsourced projects operate in a virtual environment in which people are linked by computers, faxes, computer-aided design systems, and video teleconferencing.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Outsourcing Project Work
Level: Medium

5. Advantages of outsourcing project work may likely include all of the following except
A. Shortened project completion
B. Reduced costs
C. Higher level of expertise
D. Reduced conflict
E. Increased flexibility

See list on page 421.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Outsourcing Project Work
Level: Medium

6. Disadvantages of outsourcing project work may likely include all of the following except
A. Increased conflict
B. Coordination breakdowns
C. Increased costs
D. Loss of control
E. More internal morale issues

See list on page 422.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Outsourcing Project Work
Level: Medium

7. The driving motive for increasing the use of outsourcing on projects was:
A. Reducing the trade deficit
B. Reducing costs
C. Improving international sales
D. Making products more international in design
E. Securing technology that was not available domestically

Companies can secure competitive prices for contracted services, especially if the work can be outsourced offshore. Furthermore, overhead costs are dramatically cut since the company no longer has to internally maintain the contracted services.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Outsourcing Project Work
Level: Medium

8. Recent outsourcing trends have shown an increasing emphasis on the suppliers for all of the following except:
A. Further cost reductions
B. Increased quality of work performed
C. Increased ability to collaborate
D. Increased ability to work together
E. All of these are recent trends

However, recent industry polls indicate a shift away from simply nailing the best low-cost deal to securing services from companies that provide the best value in terms of both cost and performance. Performance is not limited to simply the quality of specific work but also ability to collaborate and work together. Companies are doing their homework to determine "Can we work with these people?"

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Outsourcing Project Work
Level: Medium

9. Key practices in partnering relationships include:
A. Single project contracting
B. Goals and objectives are similar
C. Access to each other's organizational resources
D. Both B and C are correct
E. A, B, and C are all correct

See Table 12.1 on page 424.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

10. In the "Competing against the Giants" Snapshot from Practice, SATT Control uses which of the following to successfully compete against much larger competitors?
A. Excellent project management
B. Acts as a system integrator
C. Using the same subsystem vendors again and again
D. Both A and B are correct
E. A, B, and C are all correct

SC acts as system integrator. SC recruits a contracting syndicate by preparing a system description and dividing the system into various subsystems with each potential partner bidding for a part of the system. SC's ability to describe the system and divide it into subsystems that can be outsourced are two of its core competencies. Another core competence at SC is project management.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Outsourcing Project Work
Level: Medium

11. Which of the following is not a key to successful partnering relationships?
A. Mutual trust
B. Jointly shared risk
C. Total company involvement
D. Independent project teams
E. Long-term commitment

See Table 12.1 on page 424.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

12. Which of the following is part of the traditional project process?
A. Structured communications
B. Long-term commitment
C. Total company involvement
D. Both A and B are correct
E. A, B, and C are all correct

See Table 12.1 on page 424.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

13. The traditional project process includes all of the following except:
A. Independent project teams
B. Shared goals and objectives
C. Single project teams
D. Risk is transferred to the other party
E. Limited objectivity

See Table 12.1 on page 424.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

14. Which of the following did the state of Ohio do before starting a bond-financed school construction project?
A. Create a specific RFP (request for proposal)
B. Have a dress rehearsal
C. Reviews the performance of contractors on past projects
D. Both A and C are correct
E. A, B, and C are all correct

Before starting a bond-financed school construction project, Ohio does what a theater company does before opening night—it holds a dress rehearsal. Just as a theatrical dress rehearsal can allow a company to find and fix glitches before they ruin a show, preconstruction partnering can find early solutions to problems before they become lawsuits. For example, during the discussions it becomes apparent that different parties are interpreting a key requirement differently. Instead of waiting for this difference to escalate into a major problem, the parties reach a shared understanding before work begins.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Easy

15. Best practices in outsourcing project work include all the following except:
A. Well defined requirements and procedures
B. Training and teambuilding activities
C. Well established conflict management processes
D. Frequent reviews and status updates
E. All of these are best practices

See Figure 12.2 on page 423.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

16. In the Snapshot from Practice "Strategies for Communicating with Outsourcers," which of the following was not one of the suggested strategies?
A. Recognize cultural differences
B. Use a translator to make sure everyone understands
C. Choose the right words
D. Confirm your requirements
E. Set deadlines

See List in Snapshot from Practice on page 425.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

17. To make sure that an outsourcer thoroughly understands your requirements you should:
A. Document your conversations in writing
B. Insist that the outsourcer write the requirements in their own words
C. Request they build a prototype
D. Both A and C are correct
E. A, B, and C are all correct

Document your requirements. Follow up your conversations in writing. Commit your requirements to paper for the outsourcer. Insist your outsourcer re-document your requirements. Leave nothing to chance. Require outsourcers to write the requirements in their own words. If outsourcers cannot relay to you what you explained to them, then they didn't understand. Request a prototype. After the requirements are written, ask the outsourcer to create a prototype for you. This is a safety net to ensure that your wants and needs are positively understood.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

18. The result of teambuilding among the project's participants is a:
A. Signed contract
B. Legal partnership agreement
C. Project plan
D. Partnering charter
E. Responsibility matrix

The team-building sessions often culminate with the creation of a partnering charter signed by all of the participants. This charter states their common goals for the project as well as the procedures that will be used to achieve these goals.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

19. To avoid problems with schedules and deadlines you should:
A. Develop detailed schedules
B. Hold frequent status reviews
C. Add a penalty clause to the contract
D. Hold frequent conversations with the outsourcer
E. Build extra time into the schedules that the outsourcer is not aware of

To ensure that outsourced work is completed on time it is imperative to add a penalty clause to your contract or enforce late fees.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

20. Among the many advantages for establishing long-term partnerships are:
A. Reduced administrative costs
B. Improved performance
C. Improved communication
D. B and C are both correct
E. A, B, and C are all correct

See list on page 431.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

21. Long-term partnerships will provide all the following except:
A. Improved communication
B. More efficient utilization of resources
C. Reduced need for total number of partnerships
D. Lower administrative costs
E. Improved innovation

See list on page 431.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

22. Teambuilding between partners should:
A. Include engineers, architects, lawyers, specialists and other staff
B. Be facilitated by an outside consultant
C. Not take more than one day
D. A and B are both correct
E. A, B, and C are all correct

Team-building workshops involve the key players from the different firms, for example, engineers, architects, lawyers, specialists, and other staff. In many cases, firms find it useful to hire an outside consultant to design and facilitate the sessions.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

23. Which of the following would be included in best practices in outsourcing project work?
A. Establishing long-term relationships
B. Include financial incentives
C. Reduce costs by using tried and true methods
D. A and B are both correct
E. A, B, and C are all correct

See Figure 12.2 on page 423.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

24. In the Snapshot from Practice dealing with the Value Engineering Awards program, which branch of the U.S. government was involved?
A. Department of Defense
B. Department of Commerce
C. Department of Transportation
D. N.A.S.A
E. Department of Education

As part of an effort to cut costs the United States Department of Defense (DoD) issues annual Value Engineering Awards.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

25. Which of the following is not one of the key points of *principled negotiation*?
A. Use objective criteria when possible
B. Be honest and forthright
C. Focus on interests, not positions
D. Separate the people from the problem
E. Invent options for mutual gain

See Table 12.2 on page 432.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Art of Negotiating
Level: Medium

26. Customer satisfaction can be quantitified by:
A. Perceived performance divided by actual performance
B. Actual performance divided by expected performance
C. Perceived performance divided by expected performance
D. Actual performance divided by perceived performance
E. Expected performance divided by actual performance

See Figure 12.5 on page 436.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: A Note on Managing Customer Relations
Level: Medium

27. Which of the following is a part of the noncompetitive view of negotiation?
A. Reaching an agreement
B. Implementation phase
C. Review of the completed project
D. Both A and B are correct
E. A, B, and C are all correct

Project managers accept a noncompetitive view of negotiation and realize that negotiation is essentially a two-part process: The first part deals with reaching an agreement; the second part is the implementation of that agreement.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Art of Negotiating
Level: Medium

28. Which of the following is suggested as the best target for a customer satisfaction ratio?
A. 1.00
B. 1.05
C. 1.10
D. 1.20
E. 1.50

Under most circumstances, the most profitable arrangement occurs when the customer's expectations are only slightly exceeded. Returning to the mathematical model, with all other things being equal, one should strive for a satisfaction ratio of 1.05, not 1.5!

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Note on Managing Customer Relations
Level: Easy

29. In the research highlight on IT project managers, which of the following was not one of the roles taken by project managers?
A. Entrepreneur
B. Politician
C. Friend
D. Marketer
E. Auditor

See Table 12.3 on page 438.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Note on Managing Customer Relations
Level: Easy

30. Regarding customer relations, advice passed on by veteran project managers includes:
A. Speak with one voice
B. Speak in precise terms
C. Speak the language of the customer
D. Both A and B are correct
E. Both A and C are correct

Speak with one voice. Nothing erodes confidence in a project more than for a customer to receive conflicting messages from different project members. The project manager should remind team members of this fact and work with them to ensure that appropriate information is shared with customers. Also speak the language of the customer. Too often project members respond to customer inquiries with technical jargon that exceeds the customer's vocabulary. Project managers and members need to describe problems, trade-offs, and solutions in ways that the customer can understand.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: A Note on Managing Customer Relations
Level: Easy

31. Which of the following is not one of the elements of good negotiation?
A. Be hard on the problem, soft on the people
B. Conflict on a project can be good
C. Negotiation is not a contest
D. Seek first to understand, then to be understood
E. All of these are elements of good negotiation

Try to keep the focus on the problem to be resolved. In Fisher and Ury's words: Be hard on the problem, soft on the people. Also when focusing on interests, it is important to practice the communication habit: Seek first to understand, then to be understood. In addition it is beneficial to have a friendly rapport with the other person prior to negotiating. Friendly rapport is consistent with the social network tenet introduced in Chapter 10 of building a relationship before you need it. Lastly avoid personalizing the negotiation and framing the negotiation as a contest.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Art of Negotiating
Level: Difficult

32. Which of the following is reflected in the saying "Let anger fly out the window"?
A. Separate people from the problem
B. Be honest
C. Focus on interests, not positions
D. Invent options for mutual gain
E. When possible, use objective criteria

When people become emotional, negotiators should keep a cool head and remember the old German proverb, "Let anger fly out the window." In other words, in the face of an emotional outburst, imagine opening a window and letting the heat of the anger out the window. Avoid taking things personally, and redirect personal attacks back to the question at hand. Don't react to the emotional outburst, but try to find the issues that triggered it.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Art of Negotiating
Level: Easy

33. Which of the following is reflected in the saying "Seek first to understand, then to be understood"?
A. Separate people from the problem
B. Be honest
C. Focus on interests, not positions
D. Invent options for mutual gain
E. When possible, use objective criteria

When focusing on interests, it is important to practice the communication habit: Seek first to understand, then to be understood. This involves what Stephen Covey calls empathetic listening, which allows a person to fully understand another person's frame of reference—not only what that person is saying but also how he or she feels. Covey asserts that people have an inherent need to be understood. He goes on to observe that satisfied needs do not motivate human behavior, only unsatisfied needs do.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Art of Negotiating
Level: Easy

34. The dovetailing technique is used in which of the following keys to good negotiation?
A. Separate people from the problem
B. Be honest
C. Focus on interests, not positions
D. Invent options for mutual gain
E. When possible, use objective criteria

Clarifying interests and exploring mutual options create the opportunity for dovetailing interests. Dovetailing means one person identifies options that are of low cost to them but of high interest to the other party. This is only possible if each party knows what the other's needs are.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Art of Negotiating
Level: Easy

Fill in the Blank Questions

35. Contracting project work has long been the norm in the_____industry.
construction

Contracting project work has long been the norm in the construction industry, where firms hire general contractors who, in turn, hire and manage cadres of subcontractors to create new buildings and structures.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Outsourcing Project Work
Level: Easy

36. The_____project, which created a transportation tunnel between France and England, involved more than 250 organizations.
Chunnel

The Chunnel project, which created a transportation tunnel between France and England, involved more than 250 organizations.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Outsourcing Project Work
Level: Medium

37. In a partnering relationship,_____is shared jointly among the partners, which encourages innovation and continuous improvement.
risk

Risk is shared jointly among the partners, which encourages innovation and continuous improvement.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

38. In a partnering relationship,_____forms the basis for strong working relationships.
mutual trust

Mutual trust forms the basis for strong working relationships.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

39. In traditional project relationships,_____is limited due to fear of reprisal and lack of continuous improvement opportunity.
objectivity

Objectivity is limited due to fear of reprisal and lack of continuous improvement opportunity.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

40. In traditional project relationships,_____are structured and guarded.
communications

Communications are structured and guarded.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

41. In Ohio before starting a bond-financed_____, projects management consultants and the related parties get together to figure out how to talk to each others and how to handle problems.
school construction project

Before starting a bond-financed school construction project, Ohio does what a theater company does before opening night—it holds a dress rehearsal.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

42. The term_____ has traditionally been applied to the transferring of business functions or processes to other, often foreign, companies.
outsourcing

The term outsourcing has traditionally been applied to the transferring of business functions or processes (e.g., customer support, IT, accounting) to other, often foreign companies.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Outsourcing Project Work
Level: Medium

43. Many outsourced projects operate in a_____environment in which people are linked by computers, faxes, computer-aided design systems, and video teleconferencing.
virtual

Many outsourced projects operate in a virtual environment in which people are linked by computers, faxes, computer-aided design systems, and video teleconferencing.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Outsourcing Project Work
Level: Medium

44. _____is a major advantage of outsourcing project work because companies can secure competitive prices for contracted services, especially if the work can be outsourced offshore.
Cost reduction

Cost reduction is where companies can secure competitive prices for contracted services, especially if the work can be outsourced offshore. Furthermore, overhead costs are dramatically cut since the company no longer has to internally maintain the contracted services.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Outsourcing Project Work
Level: Easy

45. Not only can contracted project work be cheaper, it can also be done_____.
faster

Not only can work be done more cheaply, but it can also be done faster. Competitive pricing means more resources for the dollar.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Outsourcing Project Work
Level: Medium

46. High levels of_____and technology can be brought to bear on a project by using contracted services.
expertise

A high level of expertise and technology can be brought to bear on the project. A company no longer has to keep up with technological advances. Instead, it can focus on developing its core competencies and hire firms with the knowhow to work on relevant segments of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Outsourcing Project Work
Level: Medium

47. Contracting project services can increase a firm's_____by no longer being constrained by their own resources.
flexibility

In terms of flexibility, organizations are no longer constrained by their own resources but can pursue a wide range of projects by combining their resources with talents of other companies. Small companies can instantly go global by working with foreign partners.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Outsourcing Project Work
Level: Medium

48. Breakdowns in_____of professionals from different organizations can occur if the project work requires close collaboration and mutual adjustment.
coordination

Coordination of professionals from different organizations can be challenging, especially if the project work requires close collaboration and mutual adjustment. Breakdowns are exacerbated by physical separation with people working in different buildings, different cities, if not different countries.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

49. In the Snapshot from Practice involving SATT Control, a Swedish electronics firm, the company referred to one of its competencies as being a_____who subcontracts the subsystems to other firms.
system integrator

In the words of Hedberg and his coauthors, SC does so by acting as system integrator. In this role SC recruits a contracting syndicate by preparing a system description and dividing the system into various subsystems with each potential partner bidding for a part of the system.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

50. There is a potential loss of_____over a project when the core team depends on other organizations that they do not have direct authority over.
control

There is potential loss of control over the project. The core team depends on other organizations that they have no direct authority over. While long-term survival of participating organizations depends on performance, a project may falter when one partner fails to deliver.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Easy

51. Projects are more prone to interpersonal_____because the different participants do not share the same values, priorities, and culture.
conflict

Projects are more prone to interpersonal conflict since the different participants do not share the same values, priorities, and culture.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

52. There is little disagreement that_____was the primary motive behind outsourcing project work.
reducing costs

Few people disagree that reducing costs is the primary motive behind outsourcing project work.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

53. Fisher and Ury champion the_____approach to negotiation because it emphasizes win/win solutions while protecting yourself against those who would take advantage of your forthrightness.
principled negotiation

Fisher and Ury from the Harvard Negotiation Project champion an approach to negotiating that embodies these goals. It emphasizes developing win/win solutions while protecting yourself against those who would take advantage of your forthrightness. Their approach is called principled negotiation.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Art of Negotiating
Level: Medium

54. _____satisfaction is measured by the ratio of perceived performance to expected performance.
Customer

Customer satisfaction is a function of the extent to which perceived performance (or outcome) exceeds expectations.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Note on Managing Customer Relations
Level: Medium

55. The best defense against unreasonable, win/lose negotiators is having what Fisher and Ury call a strong_____.
BATNA

The best defense against unreasonable, win/lose negotiators is having what Fisher and Ury call a strong BATNA (best alternative to a negotiated agreement). They point out that people try to reach an agreement to produce something better than the result of not negotiating with that person.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Art of Negotiating
Level: Medium

56. As part of an effort to cut costs the United States Department of Defense issues annual _____.
Value Engineering Awards

As part of an effort to cut costs the United States Department of Defense (DoD) issues annual Value Engineering Awards. Value engineering is a systematic process to analyze functions to identify actions to reduce cost, increase quality, and improve mission capabilities across the entire spectrum of DoD systems, processes, and organizations.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Easy

57. "Let anger fly out of the window" is an example of the_____key point of negotiation.
separate the people from the problem

When people become emotional, negotiators should keep a cool head and remember the old German proverb, "Let anger fly out the window." In other words, in the face of an emotional outburst, imagine opening a window and letting the heat of the anger out the window.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: The Art of Negotiating
Level: Medium

58. Explaining why a critical task must be done by a specific time is an example of the _____key point of negotiation.
focus on interests, not position

The key is to focus on the interests behind your positions (what you are trying to achieve) and separate these goals from your ego as best you can. Not only should you be driven by your interests, but you should try to identify the interests of the other party.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Art of Negotiating
Level: Medium

59. Dividing perceived performance by expected performance will calculate_____.
customer satisfaction

See Table 12.5 on page 436.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: A Note on Managing Customer Relations
Level: Medium

True / False Questions

60. Toyota and Daimen-Chrysler collaborating with suppliers to develop new automobile platforms is an example of outsourcing.
TRUE

Outsourcing is now being applied to contracting significant chunks of project work. For example, HP and Dell work closely with hard drive manufacturers to develop next-generation laptops. Toyota and DaimlerChrysler collaborate with suppliers to develop new automobile platforms.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Outsourcing Project Work
Level: Easy

61. Participants from different organizations working close together at the construction site or in shared office space is an example of a virtual team.
FALSE

In a virtual team participants from different organizations work closely together, for example, at a construction site or in shared office space.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Outsourcing Project Work
Level: Easy

62. Working in outsourcing teams, projects can be completed faster and more cheaply.
TRUE

Not only can work be done more cheaply, but it can also be done faster. Competitive pricing means more resources for the dollar.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Outsourcing Project Work
Level: Easy

63. Increased conflict and loss of coordination are typical disadvantages of outsourcing project work.
TRUE

See list on page 422.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Outsourcing Project Work
Level: Medium

64. Trust can be difficult to forge when interactions are limited and people come from different organizations.
TRUE

Trust, which is essential to project success, can be difficult to forge when interactions are limited and people come from different organizations.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Outsourcing Project Work
Level: Easy

65. In partnering, access to each other's organization resources is available.
TRUE

Access to each other's organization resources is available.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Easy

66. In the traditional method of managing projects, total company involvement requires commitment from CEO to team members.
FALSE

In the traditional method of independent project teams; teams are spatially separated with managed interactions.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Easy

67. In partnering, each party's goals and objectives are similar but geared to what is best for them.
FALSE

In partnering, access to each other's organization resources is available.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Easy

68. As part of an effort to cut costs, the United States Department of Defense issues annual Value Engineering Awards.
TRUE

As part of an effort to cut costs the United States Department of Defense (DoD) issues annual Value Engineering Awards. Value engineering is a systematic process to analyze functions to identify actions to reduce cost, increase quality, and improve mission capabilities across the entire spectrum of DoD systems, processes, and organizations.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Easy

69. In some countries, laws are considered to be guidelines that are not necessarily followed.
TRUE

As an American, you likely assume that laws are generally obeyed. Believe it or not, that's generally not true in most of the world, where laws are guidelines that are not necessarily followed. This can lead to major communication problems! You think if you write a contract, everybody is going to adhere to it. For many people, a contract is merely a suggestion.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

70. For people in some countries, a written, signed contract is merely a suggestion.
TRUE

As an American, you likely assume that laws are generally obeyed. Believe it or not, that's generally not true in most of the world, where laws are guidelines that are not necessarily followed. This can lead to major communication problems! You think if you write a contract, everybody is going to adhere to it. For many people, a contract is merely a suggestion.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

71. Because English is the language of business, it is not necessary to speak in a direct manner using short sentences made of basic, simple words as this may taken as an insult.
FALSE

For many outsourcers, English is still a foreign language—even in India, where both outsourcing and the English language are common. No matter how prevalent English has become, your outsourcer might have a basic understanding of each word you utter yet be not completely clear on the exact meaning of the message you're trying to convey. This is why you should speak in a direct manner using short sentences made of basic, simple words.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

72. All conversations with outsourcers should be followed up with commitments documented in writing since they are likely to understand written English better than spoken English.
TRUE

Follow up your conversations in writing. Commit your requirements to paper for the outsourcer. Many people understand written language better than spoken language, probably because they have more time to process the message.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

73. Experience indicates that co-location of project teams is not worth the extra costs.
FALSE

One of the best ways to overcome interorganizational friction is to have people from each organization working side by side on the project. Smart companies rent or make available the necessary accommodations so that all key project personnel can work collectively together.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

74. A partnering charter states the common goals for the project as well as the procedures that will be used to achieve these goals.
TRUE

The team-building sessions often culminate with the creation of a partnering charter signed by all of the participants. This charter states their common goals for the project as well as the procedures that will be used to achieve these goals.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

75. It is a good idea to add a penalty clause to an outsourcing agreement because deadlines are often taken as a suggestion rather than a commitment.
TRUE

Another important cultural difference relates to schedules and deadlines. To most Americans, a deadline is a set completion date. In many other cultures, a deadline is a suggestion that maybe something will be finished by that indicated date. To ensure that outsourced work is completed on time it is imperative to add a penalty clause to your contract or enforce late fees.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Easy

76. A prime consideration in choosing outsourcing vendors is to assess the fit with their project management system.
TRUE

The best companies address this issue up front instead of waiting for problems to emerge. First they assess "fit" between providers' project management methods and their own project management system. This is a prime consideration in choosing vendors.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

77. Team-building workshops with outsourcing vendors is usually led by an outside consultant who is an expert in designing and facilitating such workshops.
TRUE

The training is augmented by interorganizational team-building sessions designed to forge healthy relationships before the project begins. Team-building workshops involve the key players from the different firms, for example, engineers, architects, lawyers, specialists, and other staff. In many cases, firms find it useful to hire an outside consultant to design and facilitate the sessions. Such a consultant is typically well-versed in interorganizational team building and can provide an impartial perspective to the workshop.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

78. In project negotiation each negotiator is out to win as much as he or she can for their side.
FALSE

Many people approach negotiating as if it is a competitive contest. Each negotiator is out to win as much as he or she can for his or her side. Success is measured by how much is gained compared with the other party. While this may be applicable when negotiating the sale of a house, it is not true for project management. Project management is not a contest!

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Art of Negotiating
Level: Easy

79. Principled Negotiation emphasizes developing win/win solutions while protecting yourself against those who would take advantage of your forthrightness.
TRUE

Fisher and Ury from the Harvard Negotiation Project champion an approach to negotiating that embodies these goals. It emphasizes developing win/win solutions while protecting yourself against those who would take advantage of your forthrightness. Their approach is called principled negotiation.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Art of Negotiating
Level: Easy

80. By keeping the focus on the issues and not the personalities, negotiators are better able to let the other person blow off steam.
TRUE

By keeping the focus on the issues and not the personalities, negotiators are better able to let the other person blow off steam.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Art of Negotiating
Level: Easy

81. The best defense against unreasonable, win/lose negotiators is having what Fisher and Ury call a strong BATNA.
TRUE

The best defense against unreasonable, win/lose negotiators is having what Fisher and Ury call a strong BATNA (best alternative to a negotiated agreement). They point out that people try to reach an agreement to produce something better than the result of not negotiating with that person.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Art of Negotiating
Level: Easy

82. A value of 1.5 is the accepted target for the Met-Expectations model of customer satisfaction.
FALSE

Under most circumstances, the most profitable arrangement occurs when the customer's expectations are only slightly exceeded. Returning to the mathematical model, with all other things being equal, one should strive for a satisfaction ratio of 1.05, not 1.5!

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: A Note on Managing Customer Relations
Level: Easy

Short Answer Questions

83. What is partnering and why has it become popular for managing projects?

Partnering is a method of transforming contractual relationships into a cohesive, cooperative project team with a single set of goals and established procedures for resolving disputes in a timely manner. It is popular because the old way, built on an adversarial premise, was not working.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

84. Identify the four advantages to outsourcing project work.

1. cost reduction, 2. shorten project completion, 3. increased flexibility, 4. higher level of expertise.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Outsourcing Project Work
Level: Medium

85. Discuss how key practices in partnering relationships vary with those in traditional practice for 1. working relationships, 2. goals, and 3. communications.

1. With partnering, mutual trust forms the basis for strong working relationships while in traditional approaches there is suspicion and distrust with each party wary of the motives for actions by the other. 2. With partnering, goals and objectives are shared and ensure common direction while traditionally each party's goals and objectives are similar but geared to what is best for them. 3. With partnering, communications are open to avoid misdirection and thus bolster effective working relationships while in traditional approaches communications are structured and guarded.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Best Practices in Outsourcing Project Work
Level: Difficult

86. Discuss how key practices in partnering relationships vary with those in traditional practice for 1. risk, 2. length of commitment, and 3. structure of project teams.

1. In partnering, risk is shared jointly among the partners, which encourages innovation and continuous improvement while traditionally risk is to be avoided and transferred to the other party. 2. In partnering, long-term commitments are made while traditionally single project contracting is the norm. 3. In partnering, project teams are composed of all participating organizations and result in a high level of interaction while traditionally each organization has its own spatially separated teams.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Best Practices in Outsourcing Project Work
Level: Difficult

87. Identify the four strategies offered by Dr. Adam Kolawa for overcoming poor communication with outsourcers.

1. recognize cultural differences, 2. choose the right words, 3. confirm your requirements, and 4. set deadlines.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

88. Identify the three steps you should take to confirm that the outsourcer thoroughly understands your requirements.

1. document your requirements, 2. insist that the outsourcer re-document your requirements, and 3. request a prototype.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

89. "Team-building is nice to have for a project, but we really need to concentrate on the planning and technical challenges—that is the make-or-break point for this project." Agree or disagree? Support your answer.

Smart firms recognize that people issues are as important, if not more important, than technical issues. They train their personnel to work effectively with people from other organizations and countries.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Best Practices in Outsourcing Project Work
Level: Medium

90. What is principled negotiation and what are the four key points it is based upon?

Principled negotiation is an approach to negotiation that emphasizes developing win/win solutions while protecting yourself against those who would take advantage of your forthrightness. 1. separate the people from the problem, 2. focus on interests, not positions, 3. invent options for mutual gain, and 4. when possible use objective criteria.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Art of Negotiating
Level: Difficult

91. What is *negotiation jujitsu*?

It is a technique for negotiating with unreasonable people. When someone adamantly sets forth a position, neither accept it nor reject it—treat it as a possible option and then look for the interests behind it.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Art of Negotiating
Level: Medium

92. Describe the Met-Expectations Model of Customer Satisfaction including the formula to calculate it.

Customer satisfaction is a function of the extent to which perceived performance exceeds expected performance and can be represented by dividing the perceived performance by the expected performance. A result less than one indicates dissatisfaction where a result over one indicates satisfaction.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: A Note on Managing Customer Relations
Level: Medium

93. In the research highlight on IT project managers, different roles that are critical to the success of the project manager were discussed. Identify each of the five roles and briefly discuss them.

1. Entrepreneur, 2. Politician, 3. Friend, 4. Marketer, and 5. Coach.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: A Note on Managing Customer Relations
Level: Difficult

94. In terms of Fisher and Ury's approach to negotiation, what is a BATNA and why is it important?

It is a best alternative to a negotiated agreement and it is the true benchmark for determining whether you should accept an agreement. It is the best tool to deal with unreasonable people.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: The Art of Negotiating
Level: Difficult

Chapter 13 Progress and Performance Measurement and Evaluation Answer Key

Multiple Choice Questions

1. A project monitoring system involves all of the following except:
A. Determining what date to collect
B. Determining how, when, and who will collect the data
C. Adjusting the data
D. Analysis of the data
E. Reporting current progress

A project monitoring system involves determining what data to collect; how, when, and who will collect the data; analysis of the data; and reporting current progress.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Structure of a Project Monitoring Information System
Level: Easy

2. Adequate project controls have the advantage(s) of:
A. Holding people accountable
B. Prevents small problems from getting large
C. Keeping focus
D. Both A and B are correct
E. A, B, and C are all correct

See list on page 453.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Structure of a Project Monitoring Information System
Level: Medium

3. A typical project progress report would contain all of the following sections except:
A. Progress since last report
B. Problems and issues since last report
C. Current status of project
D. Corrective action planned
E. All of these are typical sections

See list on page 454.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Structure of a Project Monitoring Information System
Level: Easy

4. The first step in the project control process of the measurement and evaluation of project performance is to
A. Set a baseline plan
B. Determine the project objectives
C. Determine the project deliverables
D. Analyze the project budget
E. Review the project priority matrix

See list on page 454.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Project Control Process
Level: Easy

5. The second step in the project control process of the measurement and evaluation of project performance is to:
A. Review the baseline plan with top management
B. Analyze inputs to control system
C. Compare plan against actual
D. Measure progress and performance
E. Review spending with team members

See list on page 454.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Project Control Process
Level: Easy

6. The third step in the project control process of the measurement and evaluation of project performance is to:
A. Review the baseline plan with top management
B. Analyze inputs to the control system
C. Compare the plan against actual performance
D. Measure both progress and performance
E. Review spending with team members

See list on page 454.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Project Control Process
Level: Easy

7. The last step in the project control process of the measurement and evaluation of project performance is to:
A. Take appropriate action
B. Prepare a report to top management
C. Follow up on corrective action
D. Measure progress and performance
E. Review spending with team members

See list on page 454.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Project Control Process
Level: Easy

8. In monitoring project time (schedule) performance actual performance should be compared to:
A. Budgets for the current year
B. Top management's targets
C. Project network schedule derived from the WBS/OBS
D. Progress on similar past projects
E. Previous status reports

A major goal of progress reporting is to catch any negative variances from plan as early as possible to determine if corrective action is necessary. Fortunately, monitoring schedule performance is relatively easy. The project network schedule, derived from the WBS/OBS, serves as the baseline to compare against actual performance.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Monitoring Time Performance
Level: Easy

9. A typical tool used to communicate project status is a:
A. Project network diagram
B. Gantt Chart
C. A PERT chart
D. Both A and B are correct
E. A, B, and C are all correct

Gantt charts (bar charts) and control charts are the typical tools used for communicating project schedule status.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Monitoring Time Performance
Level: Easy

10. A tool used to monitor past project schedule performance, current performance, and to estimate future schedule trends is a simple line chart known as a:
A. Project schedule control chart
B. Gantt chart
C. PERT chart
D. Network diagram
E. Milestone chart

This chart is another tool used to monitor past project schedule performance and current performance and to estimate future schedule trends.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Monitoring Time Performance
Level: Easy

11. n *Earned Value System* used to monitor project progress includes comparison of
A. Actual costs versus budget
B. Schedule progress versus plan
C. Quality progress versus plan
D. Both A and B are correct
E. A, B, and C are all correct

The earned value system starts with the time-phased costs that provide the project budget baseline, which is called the planned budgeted value of the work scheduled (PV). Given this time-phased baseline, comparisons are made with actual and planned schedule and costs using earned value. The earned value approach provides the missing links not found in conventional cost-budget systems.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

12. he earned value of a project is the:
A. Project cost to date adjusted for project scope changes
B. Total project cost to date
C. Cost incurred minus the planned cost
D. Percent of the original budget that has been earned by actual work
E. None of these are correct

Earned value for a task is simply the percent complete times its original budget. Stated differently, EV is the percent of the original budget that has been earned by actual work completed.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

13. The cost variance for a project is calculated by:
A. EV-AC
B. AC-SV
C. PV-EV
D. CU-EV
E. EU-PV

See Table 13.1 on page 459.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

14. The schedule variance for a project is calculated by:
A. EV-AC
B. AC-SV
C. PV-EV
D. CU-EV
E. EV-PV

See Table 13.1 on page 459.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

15. Baseline project budgets are derived from:
A. The organization's overall budget
B. Time-phasing the work packages
C. Top management directions
D. Both A and C are correct
E. A, B, and C are all correct

The earned value system starts with the time-phased costs that provide the project budget baseline, which is called the planned budgeted value of the work scheduled (PV). Given this time-phased baseline, comparisons are made with actual and planned schedule and costs using earned value. The earned value approach provides the missing links not found in conventional cost-budget systems.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

16. Of the following costs, which are not included in baseline?
A. Materials
B. Equipment
C. Labor
D. A and C but not B
E. All of these are usually included

The baseline (PV) is the sum of the cost accounts, and each cost account is the sum of the work packages in the cost account. Three direct costs are typically included in baselines—labor, equipment, and materials.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

17. The method most frequently used in measuring project progress is the
A. 0/100 percent rule
B. 75/25 percent rule
C. 50/50 percent rule
D. 25/75 percent rule
E. Percent complete rule

This rule is the heart of any earned value system. The best method for assigning costs to the baseline under this rule is to establish frequent checkpoints over the duration of the work package and assign completion percentages in dollar terms.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Easy

18. Generally the method for measuring accomplishments centers on comparing
A. Earned value with the expected schedule value
B. Earned value with the actual costs
C. Actual costs with budgeted costs
D. Both A and B are correct
E. A, B, and C are all correct

Generally the method for measuring accomplishments centers on two key computations: 1. Comparing earned value with the expected schedule value. And 2. Comparing earned value with the actual costs.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

19. Which of the following are required to assess the current status of a project using the earned-value cost/schedule system?
A. BAC, EAC, and ETC
B. VAC, EAC, and BAC
C. CV, SU, and BAC
D. PV, EV, and AC
E. TCPI, EV, and PV

Assessing the current status of a project using the earned value cost/schedule system requires three data elements—planned cost of the work scheduled (PV), budgeted cost of the work completed (EV), and actual cost of the work completed (AC).

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Difficult

20. Which of the following methods of variance analysis is the best indicator of how far off the budget a project will be at completion?
A. BAC
B. EAC
C. ETC
D. VAC
E. TCPI

Cost variance at completion. VAC indicates expected actual over- or underrun cost at completion.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Difficult

21. Which of the following methods will measure the cost efficiency of the work accomplished to date?
A. SV/CV
B. EV/PV
C. EV/AC
D. AC/SV
E. AC/CV

Cost performance index (CPI) = EV/AC.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Indexes to Monitor Progress
Level: Difficult

22. Which of the following methods will measure the *scheduling* efficiency of the work accomplished to date?
A. SV/CV
B. EV/PV
C. EV/AC
D. AC/SV
E. AC/CV

Scheduling performance index (SPI) = EV/PV.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Indexes to Monitor Progress
Level: Difficult

23. An index value less than one indicates that the project is
A. Under cost or behind schedule
B. Over cost or ahead of schedule
C. Under cost or ahead of schedule
D. Over cost or behind schedule
E. On cost or on schedule

See Table 13.3 on page 469.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Indexes to Monitor Progress
Level: Difficult

24. Scope creep affects:
A. The organization
B. The project team
C. The project suppliers
D. Both A and B are correct
E. A, B, and C are all correct

Scope creep affects the organization, project team, and project suppliers.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Other Control Issues
Level: Medium

25. Small refinements that eventually build to be major changes are known as:
A. Project erosion
B. Scope creep
C. Specification adjustments
D. Specification refinements
E. Continuous improvements

Large changes in scope are easily identified. It is the "minor refinements" that eventually build to be major scope changes that can cause problems. These small refinements are known in the field as scope creep.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Other Control Issues
Level: Easy

26. The percent complete index that looks at percent complete in terms of budgeted amounts is calculated by which of the following?
A. EV/BAC
B. (EV-PV)/BAC
C. AC/EAC
D. (EV-AC)/BAC
E. (EV-PV)/EAC

Percent complete index PCIB = EV/BAC.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Indexes to Monitor Progress
Level: Medium

27. The percent complete index that looks at percent complete in terms of actual amounts is calculated by which of the following?
A. EV/BAC
B. (EV-PV)/BAC
C. AC/EAC
D. (EV-AC)/BAC
E. (EV-PV)/EAC

Percent complete index PCIC = AC/EAC.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Indexes to Monitor Progress
Level: Medium

28. Which of the following will calculate the estimated cost to complete the project?
A. (VAC-EV)/(PV/AC)
B. (BAC-EV)/(EV/AC)
C. (PV/AC)/(VAC-EV)
D. (EV/AC)/(BAC-EV)
E. (BAC-EV)/(BAC-AC)

A method used in large projects where the original budget is less reliable. This method uses the actual costs to date plus an efficiency index (CPI 5 EV/AC) applied to the remaining project work.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Forecasting Final Project Cost
Level: Difficult

29. Which of the following will calculate the To Complete Performance Index?
A. (VAC-EV)/(PV/AC)
B. (BAC-EV)/(EV/AC)
C. (PV/AC)/(VAC-EV)
D. (EV/AC)/(BAC-EV)
E. (BAC-EV)/(BAC-AC)

TCPI = (BAC-EV)/(BAC-AC).

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Forecasting Final Project Cost
Level: Difficult

30. Which of the following is not true regarding scope creep?
A. It is common late in projects
B. It is frequently unnoticed until time delays or cost overruns are observed
C. It wears down team motivation and cohesiveness
D. Project suppliers resent frequent changes
E. All of these are true

Scope creep is common early in projects—especially in new-product development projects. Customer requirements for additional features, new technology, poor design assumptions, etc., all manifest pressures for scope changes. Frequently these changes are small and go unnoticed until time delays or cost overruns are observed. Scope creep affects the organization, project team, and project suppliers. Scope changes alter the organization's cash flow requirements in the form of fewer or additional resources, which may also affect other projects. Frequent changes eventually wear down team motivation and cohesiveness. Clear team goals are altered, become less focused, and cease being the focal point for team action. Starting over again is annoying and demoralizing to the project team because it disrupts project rhythm and lowers productivity. Project suppliers resent frequent changes because they represent higher costs and have the same effect on their team as on the project team.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Other Control Issues
Level: Difficult

Fill in the Blank Questions

31. _____holds people accountable, prevents small problems from mushrooming into large problems, and keeps focus.
Control

Control holds people accountable, prevents small problems from mushrooming into large problems, and keeps focus.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Structure of a Project Monitoring Information System
Level: Easy

32. The first step in creating a project control system for measuring and evaluating project performance is to_____.
set up a baseline plan

See list on page 454.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Project Control Process
Level: Easy

33. A concept of_____is necessary to get a realistic estimate of performance against a time-phased budget.
earned value

Earned value is necessary to provide a realistic estimate of performance against a time-phased budget. Earned value (EV) is defined as the budgeted cost of the work performed.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Project Control Process
Level: Medium

34. Usually status reports should take place every_____weeks to be useful and allow for proactive correction.
one to four

Usually status reports should take place every one to four weeks to be useful and allow for proactive correction.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Project Control Process
Level: Medium

35. Because of their easy-to-understand visual format,_____are the most favored, used, and understandable tool used to report project status.
Gantt charts

Gantt and control charts serve well as a means for tracking and trending schedule performance. Their easy-to-understand visual formats make them favorite tools for communicating project schedule status—especially to top management, who do not usually have time for details.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Monitoring Time Performance
Level: Easy

36. Control charts are frequently used to monitor progress toward_____, which mark events and as such have zero duration.
milestones

Control charts are also frequently used to monitor progress toward milestones, which mark events and as such have zero duration. Milestones are significant project events that mark major accomplishments.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Monitoring Time Performance
Level: Medium

37. The_____is a tool used to monitor past project schedule performance and current performance and to estimate future schedule trends.
project schedule control chart

Control charts are also frequently used to monitor progress toward milestones, which mark events and as such have zero duration.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Monitoring Time Performance
Level: Medium

38. The_____is the difference between the earned value and the actual costs for the work completed to date.
cost variance

Cost variance is the difference between the earned value and the actual costs for the work completed to date where CV = EV - AC.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

39. The_____is the difference between the earned value to date and the baseline schedule.
schedule variance

Schedule variance is the difference between the earned value and the baseline line to date where SV = EV - PV.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

40. _____is simply the percent complete, times the original budget.
Earned value

Earned value for a task is simply the percent complete times its original budget.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

41. The best method for assigning costs to the baseline is to establish frequent _____ over the duration of the work package.
checkpoints

The best method for assigning costs to the baseline under this rule is to establish frequent checkpoints over the duration of the work package and assign completion percentages in dollar terms.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

42. When measuring percent complete in the monitoring phase of the project, it is common to limit the amount earned to_____until the work package is 100 percent complete.
80 or 90 percent

When measuring percent complete in the monitoring phase of the project, it is common to limit the amount earned to 80 or 90 percent until the work package is 100 percent complete.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

43. The_____is the rule most frequently used by practicing project managers to both assign costs to the baseline and to measure progress using earned value.
percent complete

In practice, the integration is accomplished by using the same rules in assigning costs to the baseline as those used to measure progress using earned value. You may find several rules in practice, but percent complete is the workhorse most commonly used.

AACSB: Analytic
Bloom's: Reflective Thinking
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

44. Cost variance tells us if the_____costs are more or less than was planned at any point over the life of the project.
work accomplished

Cost variance tells us if the work accomplished costs more or less than was planned at any point over the life of the project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

45. A positive variance in SV or CV indicates a _____condition.
desirable

A positive variance in SV or CV indicates a desirable condition.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

46. The units of measure for SV or CV is in terms of_____.
dollars

Schedule variance measures progress in dollars rather than time units.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

47. CPI and SPI are two types of indexes that measure_____.
performance efficiency

There are two indexes of performance efficiency. The first index measures cost efficiency of the work accomplished to date (CPI). The second index is a measure of scheduling efficiency to date (SPI).

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Indexes to Monitor Progress
Level: Medium

48. The_____indexes compare the to-date progress to the end of the project.
percent complete

Two project percent complete indexes are used, depending on your judgment of which one is most representative of your project. The first index assumes the original budget of work complete is the most reliable information to measure project percent complete. The second index assumes the actual costs-to-date and expected cost at completion are the most reliable for measuring project percent complete. These indexes compare the to-date progress to the end of the project.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Indexes to Monitor Progress
Level: Medium

49. An SPI index of 1.22 indicates that the project is_____schedule.
behind

See Table 13.3 on page 469.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Indexes to Monitor Progress
Level: Medium

50. Although it is very difficult to measure, measuring_____performance is as important as measuring schedule and cost performance.
technical

It is very difficult to specify how to measure technical performance because it depends on the nature of the project. Suffice it to say, measuring technical performance must be done. Technical performance is frequently where quality control processes are needed and used. Project managers must be creative in finding ways to control this very important area.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Indexes to Monitor Progress
Level: Medium

51. The best defense against scope creep is a_____.
well-defined scope statement

The best defense against scope creep is a well-defined scope statement.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Other Control Issues
Level: Medium

True / False Questions

52. The PCIB index measures the project percent complete in relation to the resources that were budgeted.
TRUE

The PCIB index assumes the original budget of work complete is the most reliable information to measure project percent complete. The PCIB index looks at percent complete in terms of budget amounts.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Indexes to Monitor Progress
Level: Medium

53. The PCIC index measures the project percent complete in relation to the resources that have actually been used so far on the project.
TRUE

The PCIC index assumes the actual costs-to-date and expected cost at completion are the most reliable for measuring project percent complete. These indexes compare the to-date progress to the end of the project. The PCIC index views percent complete in terms of actual dollars spent to accomplish the work to date and the actual expected dollars for the completed project (EAC).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Indexes to Monitor Progress
Level: Medium

54. Control is one of the most neglected areas of project management.
TRUE

Control is one of the most neglected areas of project management.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Structure of a Project Monitoring Information System
Level: Easy

55. Measuring performance against budget is simply a case of comparing actual versus budget.
FALSE

Measuring performance against budget (e.g., money, units in place, labor hours) is more difficult and is not simply a case of comparing actual versus budget.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Project Control Process
Level: Medium

56. Earned value is defined as the budgeted cost of the work performed.
TRUE

Earned value (EV) is defined as the budgeted cost of the work performed.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: The Project Control Process
Level: Medium

57. The baseline is derived from merging information from the work packages with the project network.
TRUE

The baseline is derived from the cost and duration information found in the work breakdown structure (WBS) database and time-sequence data from the network and resource scheduling decisions.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: The Project Control Process
Level: Difficult

58. The network chart is the most favored, used, and understandable option for reporting project progress to upper management.
FALSE

The Gantt chart is the most favored, used, and understandable. This kind of chart is commonly referred to as a tracking Gantt chart. Gantt and control charts serve well as a means for tracking and trending schedule performance. Their easy-to-understand visual formats make them favorite tools for communicating project schedule status—especially to top management, who do not usually have time for details.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Monitoring Time Performance
Level: Medium

59. In a project control chart, four observations trending in one direction indicate there is a very high probability that there is an identifiable cause.
TRUE

Four observations trending in one direction indicate there is a very high probability that there is an identifiable cause.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Monitoring Time Performance
Level: Medium

60. Milestones are significant project events that mark major accomplishments.
TRUE

Milestones are significant project events that mark major accomplishments.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Monitoring Time Performance
Level: Easy

61. The best method for assigning costs to the baseline under this rule is to establish frequent checkpoints over the duration of the work package and assign completion percentages in dollar terms.
TRUE

The best method for assigning costs to the baseline under this rule is to establish frequent checkpoints over the duration of the work package and assign completion percentages in dollar terms.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

62. The original earned value cost/schedule system was pioneered by the U.S. Department of Defense in the 1960s.
TRUE

The original earned value cost/schedule system was pioneered by the U.S. Department of Defense (DOD) in the 1960s.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

63. Earned value is calculated by taking the percent complete times the original budget.
TRUE

Earned value for a task is simply the percent complete times its original budget. Stated differently, EV is the percent of the original budget that has been earned by actual work completed.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Easy

64. Baseline costs typically include labor, equipment, materials and direct overhead cost.
FALSE

The baseline (PV) is the sum of the cost accounts, and each cost account is the sum of the work packages in the cost account. Three direct costs are typically included in baselines—labor, equipment, and materials.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Easy

65. Overhead costs and profit are typically included in the project baseline.
FALSE

Overhead costs and profit are typically added later by accounting processes.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Easy

66. The major reasons for creating a baseline are to monitor and report progress and to estimate cash flow.
TRUE

The major reasons for creating a baseline are to monitor and report progress and to estimate cash flow.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

67. In calculating schedule variance and cost variance, a negative variance indicates a desirable condition, and a positive variance suggests problems.
FALSE

A positive variance indicates a desirable condition, while a negative variance suggests problems or changes that have taken place.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

68. An undesirable schedule variance indicates that the project is running behind schedule.
FALSE

A negative schedule variance suggests problems or changes that have taken place.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Difficult

69. Cost variance tells us the different estimates among vendors needed to complete the project over the life of the project.
FALSE

Cost variance tells us if the work accomplished costs more or less than was planned at any point over the life of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Difficult

70. A CPI index of 0.97 indicates that the project has spent less money than budgeted.
FALSE

See Table 13.3 on page 469.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Indexes to Monitor Progress
Level: Medium

71. One method of estimating the costs to complete a project is to divide the work remaining by the CPI.
TRUE

EAC = Work remaining/CPI.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Forecasting Final Project Cost
Level: Difficult

72. All scope changes that result in increased costs should be avoided.
FALSE

Although scope changes are usually viewed negatively, there are situations when scope changes result in positive rewards. Scope changes can represent significant opportunities. In product development environments, adding a small feature to a product can result in a huge competitive advantage. A small change in the production process may get the product to market one month early or reduce product cost.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Other Control Issues
Level: Medium

73. *Scope Creep* refers to any significant changes made in the project once it is underway.
FALSE

Large changes in scope are easily identified. It is the "minor refinements" that eventually build to be major scope changes that can cause problems. These small refinements are known in the field as scope creep.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Other Control Issues
Level: Medium

74. The key to managing scope creep is change management.
TRUE

The key to managing scope creep is change management.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Other Control Issues
Level: Easy

75. The best defense against scope creep is accepting only major changes.
FALSE

The best defense against scope creep is a well-defined scope statement.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Other Control Issues
Level: Easy

76. The rule of using subjective estimated percent complete in combination with hard, tangible monitoring points works well on long-duration activities that can be broken into short discrete work packages.
TRUE

This is regarding percent complete with weighted monitoring gates. This more recent rule uses subjective estimated percent complete in combination with hard, tangible monitoring points. This method works well on long-duration activities that can be broken into short, discrete work packages of no more than one or two report periods.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Indexes to Monitor Progress
Level: Easy

Short Answer Questions

77. Identify the steps in creating a control process that measure and evaluate project performance.

1. Set the baseline plan, 2. Measure the progress and performance, 3. Compare plan against actual, 4. Take action as indicated by the results.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: The Project Control Process
Level: Medium

78. What is the difference between a baseline Gantt chart and a Tracking Gantt chart?

The baseline chart is created during the project planning phase and lays out the logic and timing for major activities. The tracking chart shows progress against that plan by using various graphical techniques to display progress.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Monitoring Time Performance
Level: Medium

79. Identify and briefly describe the three percent complete rules for placing costs in baselines.

1. 0/100 percent rule; credit is earned when activity is complete and not before, 2. 50/50 percent rule; 50 percent of the value is applied when the activity is started and the other 50 percent when it is completed, and 3. Percent complete rule; frequent checkpoints are established with predetermined earned values and credit is given when those checkpoints are achieved.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Indexes to Monitor Progress
Level: Medium

80. Conducting an earned value analysis requires three data elements. Identify the acronyms for each and describe what they are.

1. PV; budgeted cost of work scheduled, 2. EV; budgeted cost of the work performed, and 3. AC; actual cost of the work performed.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

81. In reviewing the budget report of a project, you notice that spending on the project is running about ten percent over plan. Is the project in trouble? Why or why not?

You don't know for sure. The project may be in trouble however the cost overrun could be due to the project being ahead of schedule. You would need to have an earned value analysis run before you could tell.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Development of An Earned Value Cost/Schedule System
Level: Medium

82. Interpret the results of calculating the performance indexes based on a range of possible calculated values.

If the index is less than one then the cost is under target or the project is ahead of schedule. If the index is equal to one then either the cost or the schedule are on target. If the index is greater than one the project is overspending or behind schedule.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Indexes to Monitor Progress
Level: Medium

83. Identify the four indexes used in project management control and identify the formulas for calculating the indexes.

1) Cost Performance Index (CPI) = EV/AC, 2) Schedule Performance Index (SPI) = EV/PV, 3) Percent Complete Index (PCIB) = EV/BAC, and 4) Percent Complete Index (PCIC) = AC/EAC

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Indexes to Monitor Progress
Level: Difficult

84. Identify and briefly discuss the two methods to revise estimates of future project costs.

1. Revision by Experts; changes are made by experts because new information indicates that the original estimates were not accurate, usually used on small projects, and 2. Revision based on CI; changes are made by using Cost Productivity Index as a basis for reforecasting the project costs ETC. (BAC-EV)/(EV/AC).

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Forecasting Final Project Cost
Level: Difficult

85. What are Weighted Monitoring Gates and why would you need them?

Weighted Monitoring Gates work well with long duration activities that can be broken into short discrete work packages. For example, establishing monitoring gates at 30%, 50%, and 100% would serve as a check on overly optimistic estimates of work progress.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Indexes to Monitor Progress
Level: Medium

86. What is scope creep and why should a project manager be concerned about it?

Scope creep is small refinements that eventually build into a major change in the scope of the project. A project manager should be concerned in that the project was put together and the resources assembled to achieve specific objectives and while the motives can be well intended the result is that sacrifices may be required to the other two key areas of schedule and/or costs.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Other Control Issues
Level: Medium

87. Typically, project progress reports are designed and communicated in written or oral form. Identify the common topic format for such progress reports.

1. progress since last report, 2. current status of project, 3. cumulative trends, 4. problems and issues since last report, and 5. corrective action planned.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Structure of a Project Monitoring Information System
Level: Difficult

88. Briefly describe the general structure of a project monitoring information system for control.

A project monitoring system involves 1. determining what data to collect; 2. how, when, and who will collect the data; 3. analysis of the data; and 4. reporting current progress.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Structure of a Project Monitoring Information System
Level: Difficult

Chapter 14 Project Closure Answer Key

Multiple Choice Questions

1. The most common circumstance for project closure is simply a_____ project.
A. Completed
B. Overdue
C. Overbudget
D. Under achiveing
E. All the above are correct

The most common circumstance for project closure is simply a completed project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Project Closure
Level: Easy

2. What is not a wrap-up closure activity?
A. Facilities
B. Vendors
C. Customer
D. Profit report
E. Report

See Figure 14.1 on page 505.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Types of Project Closure
Level: Medium

3. _____of lessons learned are designed to improve performance on current and future projects.
A. Retrospectives
B. Corrective action plans
C. Introspective
D. Culmination
E. Evolution

Retrospectives of lessons learned are designed to improve performance on current and future projects.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Types of Project Closure
Level: Easy

4. The content of the final report typically includes the following topics:
A. Lessons learned
B. Review and analysis
C. Recommendations
D. Executive summary
E. All the above are correct

The content of the final report typically includes the following topics: executive summary, review and analysis, recommendations, lessons learned, and appendix.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Easy

5. When the project may be completed early with some parts of the project eliminated this is considered to be_____closure.
A. Normal
B. Premature
C. Perpetual
D. Changed Priority
E. Failed Project

For a few projects, the project may be completed early with some parts of the project eliminated. For example, in a new-product development project, a marketing manager may insist on production models before testing.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Types of Project Closure
Level: Easy

6. This type of closure occurs when the project may never seem to end. This is considered to be_____closure.
A. Normal
B. Premature
C. Perpetual
D. Changed Priority
E. Failed Project

Some projects never seem to end. The major characteristic of this kind of project is constant "add-ons," suggesting a poorly conceived project scope. At some point the review group should recommend methods for bringing final closure to this type of project or the initiation of another project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Project Closure
Level: Easy

7. Many projects will fail because of circumstances beyond the control of the project team is called:
A. Normal
B. Premature
C. Perpetual
D. Failed Project
E. Changed Priority

Failed projects are usually easy to identify and easy for a review group to close down, However, every effort should be made to communicate the technical (or other) reasons for termination of the project; in any event project participants should not be left with an embarrassing stigma of working on a project that failed. Many projects will fail because of circumstances beyond the control of the project team.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Project Closure
Level: Easy

8. When a project may start with a high priority but see its rank erode or crash during its project life cycle as conditions change this is an example of:
A. Normal
B. Premature
C. Perpetual
D. Failed Project
E. Changed Priority

Organizations' priorities often change and strategy shifts directions. For example, during the 2008-10 financial crisis organizations shifted their focus from money making projects to cost savings projects. The oversight group continually revises project selection priorities to reflect changes in organizational direction. Projects in process may need to be altered or canceled. Thus, a project may start with a high priority but see its rank erode or crash during its project life cycle as conditions change. When priorities change, projects in process may need to be altered or canceled.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Project Closure
Level: Easy

9. Implementing closedown includes the following major activities except:
A. Getting delivery acceptance from the customer.
B. Shutting down resources and releasing to new uses.
C. Closing accounts and seeing all bills are paid.
D. E-mail the project team that the project is complete.
E. Creating a final report.

See list on page 508

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Wrap-up Closure Activities
Level: Medium

10. Which is not part of the team portion of the Wrap-up closure checklist?
A. Has a schedule for reducing project staff been developed and accepted?
B. Has staff been offered outplacement services and career counseling activities?
C. Have performance reviews for team members been conducted?
D. Has staff been released or notified of new assignments?
E. All are included.

See Table 14.1 on page 508.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Medium

11. Under which heading of the Wrap-up closure checklist should the question "Has an in-depth project review and evaluation interview with the customer been conducted?" be answered.
A. Team
B. Vendors/contractors
C. Customer/Users
D. Equipment and facilities
E. Profit and loss statement

See Table 14.1 on page 508.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Medium

12. Under which heading of the Wrap-up closure checklist should the question "Have project accounts been finalized and all billing closed?" be answered.
A. Team
B. Vendors/contractors
C. Customer/Users
D. Equipment and facilities
E. Profit and loss statement

See Table 14.1 on page 508.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Medium

13. Releasing the project team typically occurs_____during the closure phase.
A. Gradually
B. Rarely
C. Without bombast
D. Rapidly
E. All at once

Releasing the project team typically occurs gradually during the closure phase. For many people, termination of their responsible activities ends before the project is delivered to the customer or user.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Wrap-up Closure Activities
Level: Medium

14. In the Snapshot from Practice, New Balls Goes Flat in NBA, is an example of a project gone wrong when the_____is/are not consulted.
A. Manufacture
B. Equipment and facilities managers
C. End-users
D. Project manager
E. The Fans

The failure to check with the players (the end-users) and get buy-in for the new basketball was loudly criticized by the press. "How they could actually even get it that far and not have run it by the players is just an amazing, amazing exercise in ineptitude."

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Easy

15. Closing out_____is often messy and filled with untied ends.
A. Project review meetings
B. Reports
C. Invoices
D. Teams
E. Contracts

Since many work invoices are not submitted until after the project is officially over, closing out contracts is often messy and filled with untied ends.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Medium

16. Information on the project type, size, number of staff, and technology level would be included in which section of the audit report?
A. Analysis
B. Recommendations
C. Classification of project
D. Lessons learned
E. Strategic objectives

See list on page 524.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Retrospectives
Level: Medium

17. Project mission and objectives, procedures and systems used, and organization resources used typically appear in the_____section of the final project report.
A. Analysis
B. Recommendations
C. Classification of project
D. Lessons learned
E. Strategic objectives

The analysis section includes succinct, factual review statements of the project—for example, project mission and objectives, procedures and systems used, and organizational resources used.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Wrap-up Closure Activities
Level: Medium

18. Items technical in nature and focus on solutions to problems that surfaced would typically appear in the_____section of the final project report.
A. Analysis
B. Recommendations
C. Classification of project
D. Lessons learned
E. Strategic objectives

Usually, review recommendations represent major improvement actions that should take place. They are often technical in nature and focus on solutions to problems that surfaced.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Wrap-up Closure Activities
Level: Medium

19. The section of the final project report that new project teams are likely to find most useful is the:
A. Analysis
B. Recommendations
C. Classification of project
D. Lessons learned
E. Strategic objectives

In practice, new project teams studying past project reports similar to the project they are about to start have found past review reports very useful.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Easy

20. Corrective actions that should take place (such as shifting to more resilient building material) would typically appear in the_____section of the final project report.
A. Analysis
B. Recommendations
C. Classification of project
D. Lessons learned
E. Strategic objectives

For example, to avoid rework, the report for a construction project recommended shifting to more resilient building material. In other cases, they may include terminating or sustaining vendor or contractor relationships.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Wrap-up Closure Activities
Level: Medium

21. In the Snapshot from Practice, the results of analyzing the Katrina hurricane resulted in a new evaluation plan from:
A. The state legislature
B. The governor of Louisiana
C. The city of New Orleans
D. The Red Cross
E. The national guard

Lessons learned from Katrina disaster are not limited to the military. Almost every agency and support group, such as individuals, communities, churches, and other groups, has developed lessons learned from their project response experience. For example, the Red Cross and state guard have better plans for handling thousands of people problems involving shelter, evacuation, and medical assistance.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Post-Implementation Evaluation
Level: Difficult

22. The most common circumstance for project closure is:
A. Premature completion with some features eliminated
B. Project completion meeting costs, schedule, and quality
C. Project completion after modification of costs, schedule, or quality
D. Project termination due to technical difficulties
E. Perpetual projects that seem to go on and on before completion

The most common circumstance for project closure is simply a completed project. For many development projects, the end involves handing off the final design to production and the creation of a new product or service line. Some modifications in scope, cost, and schedule probably occurred during implementation.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Types of Project Closure
Level: Medium

23. Project closures can fall into all of the following categories except:
A. Premature
B. Perpetual
C. Failed
D. Changed priority
E. All of these are categories for project closure

See list on Pages 506-507

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Project Closure
Level: Medium

24. In the Research Highlight, Chaos: Software Projects, the criterion which was deemed the most important for project success was
A. Realistic expectations
B. Hard-working, focused staff
C. User involvement
D. Proper planning
E. Clear vision and objectives

The success criteria were weighted based on the input from the surveyed IT managers. The most important criterion, "user involvement," was given 19 success points, while the least important, "hard-working, focused staff," was given 3 success points.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Retrospectives
Level: Medium

25. _____begins with a review of the strategic intent of the project, selection criteria, project charter, project objectives, project scope, and acceptance criteria.
A. Process Review
B. Project Overview
C. Analysis
D. Recommendations
E. Directing

Process review begins with a review of the strategic intent of the project, selection criteria, project charter, project objectives, project scope, and acceptance criteria.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Retrospectives
Level: Medium

26. The typical mechanism for evaluation of teams is normally:
A. A survey completed by the team members
B. A personal interview of each team member
C. An analysis by an outside consultant
D. A survey completed by members of top management
E. A survey completed by the internal or external customers

With survey information in hand, the facilitator then visits one-on-one with project team members, the project manager, and other stakeholders to dive deeper into cause-effect impacts. Fundamentally, the attempt is to isolate "the lack of x resulted in y."

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Retrospectives
Level: Difficult

27. More and more companies are discarding the traditional superior-subordinate performance feedback process and replacing it with:
A. Critical incidences review
B. Management by objectives
C. The 360-degree feedback
D. Both B and C are correct
E. A, B, and C are all correct

More and more companies are discarding the traditional superior-subordinate performance feedback process and replacing it with 360-degree feedback systems. The 360-degree feedback approach gathers behavioral observations from many sources within the organization and includes employee self assessment.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Post-Implementation Evaluation
Level: Easy

28. The project closure process includes all of the following except:
A. Shutting down resources and releasing to new uses
B. Reassigning project team members
C. Conduct an audit
D. Getting delivery acceptance from the customer
E. Closing accounts and seeing all bills are paid

Releasing the project team typically occurs gradually during the closure phase. For many people, termination of their responsible activities ends before the project is delivered to the customer or user. Reassignment for these participants needs to take place well before the final finish date. In addition, for the remaining team members (full or part time), termination may result in a new project or returning to their functional job. Also reassignment for these participants needs to take place well before the final finish date. Since many work invoices are not submitted until after the project is officially over, closing out contracts is often messy and filled with untied ends. Finally getting delivery acceptance by the customer is a major and critical closure activity.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Wrap-up Closure Activities and LO: Types of Project Closure
Level: Medium

29. In organizations where projects are managed within a_____, the team member's area manager, not the project manager, is responsible for assessing performance.
A. Functional organization
B. Matrix organization
C. Flat organization
D. Both A and C are correct
E. A, B, and C are all correct

In organizations where projects are managed within a functional organization, the team member's area manager, not the project manager, is responsible for assessing performance.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Post-Implementation Evaluation
Level: Easy

30. Performance evaluations of project teams should:
A. Provide the basis for individual development
B. Provide the basis for participation on future projects
C. Provide the basis for salary increases
D. Both A and C are correct
E. A, B, and C are all correct

The first is developmental in nature: the focus is on identifying individual strengths and weaknesses and developing action plans for improving performance. The second is evaluative and involves assessing how well the person has performed in order to determine salary or merit adjustments.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Post-Implementation Evaluation
Level: Easy

Fill in the Blank Questions

31. _____is the most common circumstance for project closure is simply a completed project.
Normal

Normal is the most common circumstance for project closure is simply a completed project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Project Closure
Level: Easy

32. The project may be completed early with some parts of the project eliminated is known as _____.
premature

Premature for a few projects, the project may be completed early with some parts of the project eliminated.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Project Closure
Level: Easy

33. _____are usually easy to identify and easy for a review group to close down.
Failed project

Failed projects are usually easy to identify and easy for a review group to close down, however, every effort should be made to communicate the technical (or other) reasons for termination of the project; in any event project participants should not be left with an embarrassing stigma of working on a project that failed.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Types of Project Closure
Level: Medium

34. Projects in process may need to be altered or canceled. Thus, a project may start with a high priority but see its rank erode or crash during its project life cycle as conditions change. This is called_____.
changed priority

The oversight group continually revises project selection priorities to reflect changes in organizational direction. Projects in process may need to be altered or canceled. Thus, a project may start with a high priority but see its rank erode or crash during its project life cycle as conditions change. When priorities change, projects in process may need to be altered or canceled.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Types of Project Closure
Level: Medium

35. A schedule for reducing project staff been developed and accepted is a question that is asked in the completion of the_____.
wrap-up closure checklist

See Table 14.1 on page 508.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Difficult

36. The summary simply highlights the key findings and facts relating to the project implementation is called the_____.
executive summary

Executive Summary is the summary that simply highlights the key findings and facts relating to the project implementation.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Wrap-up Closure Activities
Level: Easy

37. Some organizations have project closure checklists of over_____wrap-up tasks!
100

Some organizations have project closure checklists of over 100 wrap-up tasks!

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Wrap-up closure checklist
Level: Medium

38. The_____section of the final project report includes succinct, factual review statements of the project such as, project mission and objectives, procedures and systems used, and organizational resources used.
analysis

The analysis section includes succinct, factual review statements of the project—for example, project mission and objectives, procedures and systems used, and organizational resources used.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Medium

39. Perhaps_____are the most valuable contribution of the closure process.
lessons learned

Perhaps lessons learned are the most valuable contribution of the closure process.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Medium

40. The_____section of the final project report are often technical in nature and focus on solutions to problems that surfaced.
recommendations

Recommendations are often technical in nature and focus on solutions to problems that surfaced.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Wrap-up Closure Activities
Level: Medium

41. A completed_____is a good example of the need to work out the details in advance.
software program

A completed software program is a good example of the need to work out the details in advance.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Medium

42. A project closure is considered_____if it never seems to end due to constant "add-ons" in attempt to improve the project outcome.
perpetual

Some projects never seem to end. The major characteristic of this kind of project is constant "add-ons," suggesting a poorly conceived project scope.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Types of Project Closure
Level: Medium

43. The purpose of_____is to assess how well the project team, team members, and project manager performed.
performance evaluation

The purpose of project evaluation is to assess how well the project team, team members, and project manager performed.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Post-Implementation Evaluation
Level: Medium

44. The_____feedback approach gathers anonymous feedback solicited from others is compared with the individual's self-evaluations, the individual may form a more realistic picture of her strengths and weaknesses.
360-degree

When anonymous feedback solicited from others is compared with the individual's self-evaluations, the individual may form a more realistic picture of her strengths and weaknesses.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Post-Implementation Evaluation
Level: Medium

45. In some_____, project managers conduct the performance reviews, while area managers are responsible for pay reviews.
matrix organizations

In some matrix organizations, project managers conduct the performance reviews, while area managers are responsible for pay reviews.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Post-Implementation Evaluation
Level: Easy

46. Project managers should be_____giving team members feedback throughout the project so that individual team members can have a pretty good idea how well they have performed and how the manager feels before the formal meeting.
constantly

Project managers should be constantly giving team members feedback throughout the project so that individual team members can have a pretty good idea how well they have performed and how the manager feels before the formal meeting.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Post-Implementation Evaluation
Level: Medium

47. The_____of projects by characteristics allows prospective readers, teams, and project managers to be selective in the search and use of report content.
Classification

The classification of projects by characteristics allows prospective readers, teams, and project managers to be selective in the search and use of report content.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Retrospectives
Level: Medium

48. The most common reason given for not creating lessons learned is_____.
lack of time

The most common reason given for not creating lessons learned is lack of time.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Retrospectives
Level: Medium

49. A_____is a methodology that analyzes a past project event to determine what worked and what didn't, develops lessons learned, and creates an action plan that ensures lessons learned are used to improve management of future projects.
retrospective

A retrospective is a methodology that analyzes a past project event to determine what worked and what didn't, develops lessons learned, and creates an action plan that ensures lessons learned are used to improve management of future projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Retrospectives
Level: Medium

50. _____are binary; either you have reached requirements completion or you have not.
Milestones

Milestones are binary; either you have reached requirements completion or you have not.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Retrospectives
Level: Medium

51. The Standish Group International's market research on software projects, called Chaos showed that____percent of all software projects are cancelled before completion.
31

The Standish Group International is a market research and advisory firm specializing in mission critical software and electronic commerce. They have conducted and published extensive research on the success and failure of software development/application projects. Their research, code name "Chaos," shows that a staggering 31 percent of software projects will be canceled before they are ever completed.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Retrospectives
Level: Medium

52. A_____is a guide who leads the project team through an analysis of project activities that went well, what needs improvement, and development of a follow-up action plan with goals and accountability.
project facilitator

A project facilitator is a guide who leads the project team through an analysis of project activities that went well, what needs improvement, and development of a follow-up action plan with goals and accountability.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Retrospectives
Level: Easy

53. _____represent an analysis carried out during and shortly after the project life cycle; they attempt to capture positive and negative project learning.
Lessons learned

Lessons learned represent an analysis carried out during and shortly after the project life cycle; they attempt to capture positive and negative project learning.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Retrospectives
Level: Easy

54. An upbeat, festive celebration brings closure to the enjoyable experiences everyone has had and the need to say good-bye is considered to be a_____.
celebration

A final wrap up activity for the facilitator is the project closure celebration. An upbeat, festive celebration brings closure to the enjoyable experiences everyone has had and the need to say good-bye. Celebration is an opportunity to recognize the effort project stakeholders contributed.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Retrospectives
Level: Easy

True / False Questions

55. In a Perpetual project the most common circumstance for project closure is simply a completed project.
FALSE

Normal project is where the most common circumstance for project closure is simply a completed project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Project Closure
Level: Easy

56. In a Premature projects, the project may be completed early with some parts of the project eliminated.
TRUE

Premature for a few projects, the project may be completed early with some parts of the project eliminated.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Project Closure
Level: Medium

57. Retrospectives of lessons learned are designed to improve performance on current and future projects.
TRUE

Retrospectives of lessons learned are designed to improve performance on current and future projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Project Closure
Level: Easy

58. When a project may start with a high priority but see its rank erode or crash during its project life cycle as conditions change this is an example of change changed priority.
TRUE

Organizations' priorities often change and strategy shifts directions. For example, during the 2008-10 financial crisis organizations shifted their focus from money making projects to cost savings projects. The oversight group continually revises project selection priorities to reflect changes in organizational direction. Projects in process may need to be altered or canceled. Thus, a project may start with a high priority but see its rank erode or crash during its project life cycle as conditions change. When priorities change, projects in process may need to be altered or canceled.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Project Closure
Level: Medium

59. Part of the content of the final report typically includes profit made on the project.
FALSE

The content of the final report typically includes the following topics: executive summary, review and analysis, recommendations, lessons learned, and appendix.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Medium

60. The project manager's challenge is to keep the project team focused on the remaining project activities and delivery to the customer until the project is complete.
TRUE

The project manager's challenge is to keep the project team focused on the remaining project activities and delivery to the customer until the project is complete.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Medium

61. Implementing closedown includes getting delivery acceptance from the customer.
TRUE

See List on page 508.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Medium

62. Project Summary is the summary that simply highlights the key findings and facts relating to the project implementation.
FALSE

Executive Summary is the summary that simply highlights the key findings and facts relating to the project implementation.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Medium

63. Analysis examines in detail the underlying causes of problems, issues, and successes.
TRUE

Analysis examines in detail the underlying causes of problems, issues, and successes.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Medium

64. The ideal scenario is to have the team member's next assignment ready when project completion is announced.
TRUE

The ideal scenario is to have the team member's next assignment ready when project completion is announced.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Easy

65. The maximum items on a checklist for closing a project are 50.
FALSE

Closing out a project can be intimidating. Some organizations have checklists of over 100 wrap-up tasks!

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Difficult

66. Lessons learned from the Katrina disaster are not limited to the military. Almost every agency and support group, such as individuals, communities, churches, and other groups, has developed lessons learned from their project response experience.
TRUE

Lessons learned from the Katrina disaster are not limited to the military. Almost every agency and support group, such as individuals, communities, churches, and other groups, has developed lessons learned from their project response experience.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Post-Implementation Evaluation
Level: Easy

67. Evaluation of individuals implies measurement against all team members.
FALSE

Evaluation implies measurement against specific criteria.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Post-Implementation Evaluation
Level: Easy

68. Performance evaluations of project team members are typically well done because the evaluations are conducted by the team member's home department.
FALSE

In a macro sense, the evidence today suggests that performance evaluation is not done well. The major reasons cited by practitioners are twofold: 1. Evaluations of individuals are still left to supervisors of the team member's home department. 2. Typical measures of team performance center on time, cost, and specifications.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Post-Implementation Evaluation
Level: Medium

69. The most common circumstance for project closure is simply a completed project such as building a new facility or creating a customized information system.
TRUE

Normal is the most common circumstance for project closure is simply a completed project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Project Closure
Level: Easy

70. A project closure where the project is completed early with some parts of the project eliminated would be classified as project failure.
FALSE

For a few projects, the project may be completed early with some parts of the project eliminated. For example, in a new-product development project, a marketing manager may insist on production models before testing. This is a premature closing project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Types of Project Closure
Level: Medium

71. The key requirement in selection of the facilitator is one who is the end-user.
FALSE

The key requirement in selection of the facilitator is independence.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Retrospectives
Level: Easy

72. Performance appraisals generally fulfill five important functions.
TRUE

Performance appraisals generally fulfill two important functions. The first is developmental in nature: the focus is on identifying individual strengths and weaknesses and developing action plans for improving performance. The second is evaluative and involves assessing how well the person has performed in order to determine salary or merit adjustments.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Post-Implementation Evaluation
Level: Medium

73. Some organizations rely simply on an informal discussion between the project manager and the project member while other organizations require project managers to submit written evaluations that describe and assess an individual's performance on a project.
TRUE

Some organizations rely simply on an informal discussion between the project manager and the project member while other organizations require project managers to submit written evaluations that describe and assess an individual's performance on a project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Post-Implementation Evaluation
Level: Medium

74. A 360-degree performance evaluation includes feedback from peers, project managers, subordinates, and even customers.
TRUE

One process that appears to be gaining wider acceptance is the multirater appraisal or "360-degree feedback," which involves soliciting feedback concerning team members' performance from all the people their work affects. This would include not only project and area managers, but also peers, subordinates, and even customers.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Post-Implementation Evaluation
Level: Medium

75. Project managers should, when possible, draw comparisons to other team members when conducting individual team member reviews.
FALSE

Avoid, when possible, drawing comparisons with other team members; rather, assess the individual in terms of established standards and expectations. Comparisons tend to undermine cohesion and divert attention away from what the individual needs to do to improve performance.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Post-Implementation Evaluation
Level: Easy

76. Retrospective methodology is one positive step toward ensuring lessons learned are developed and implemented.
TRUE

Retrospective methodology is one positive step toward ensuring lessons learned are developed and implemented.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Retrospectives
Level: Medium

Short Answer Questions

77. What are the six major activities implementing project closedown?

1. Getting delivery acceptance from the customer, 2. Shutting down resources and releasing to new uses, 3. Reassigning project team members, 4. Closing accounts and seeing all bills are paid, 5. Delivering the project to the customer, 6. Creating a final report.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Medium

78. Identify the four areas of the project closure checklist.

1. Team, 2. Vendors/contactors, 3. Customers/users, 4. Equipment and facilities.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Medium

79. Identify the three major deliverables for project closure.

1. Wrapping up the project, 2. Evaluation of performance and management of the project.3. Retrospectives.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Types of Project Closure
Level: Medium

80. How does the project managers meet the challenge to keep the project team focused on the remaining project activities and delivery to the customer until the project is complete?

Communicating a closure and review plan and schedule early allows the project team to (1) accept the psychological fact the project will end and (2) prepare to move on. The ideal scenario is to have the team member's next assignment ready when project completion is announced. Project managers need to be careful to maintain their enthusiasm for completing the project and hold people accountable to deadlines, which are prone to slip during the waning stages of the project.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Wrap-up Closure Activities
Level: Difficult

81. Identify the five common parts to the final project report.

1. Executive Summary, 2. analysis of information gathered, 3. recommendations, 4. lessons learned, and 5. appendix.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Retrospectives
Level: Medium

82. Identify and briefly describe the five most common classifications for the way that projects end.

1. normal; project ended as planned, 2. premature; project ended early with some parts eliminated, 3. perpetual; project extend due to increases in scope, 4. failed; project could not be completed, and 5. changed priority; shifts in organization priorities due to changes in market or technology.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Types of Project Closure
Level: Difficult

83. List the five, distinguishing characteristics to ensure Retrospectives methodology embedded effectiveness and value?

1. Uses an independent facilitator. 2. Includes a minimum of three in-process learning gates during the life project cycle. 3. Has an owner. 4. Develops a repository that is easy to use. 5. Mandates a discipline that ensures retrospectives are used.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Retrospectives
Level: Medium

84. How does Norman Kerth define retrospective in his text Project Retrospectives?

A retrospective is a methodology that analyzes a past project event to determine what worked and what didn't, develops lessons learned, and creates an action plan that ensures lessons learned are used to improve management of future projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Retrospectives
Level: Difficult

85. What guidelines should a project manager follow in conducting performance reviews?

1. Have the individual prepare a self-evaluation, 2. compare with standards not other people, 3. focus on specific behaviors rather than the individual, 4. be consistent and fair with all team members, and 5. treat the review as a point in an ongoing process.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Post-Implementation Evaluation
Level: Medium

86. What is a *360-degree feedback* and how is it used?

A 360-degree feedback is a performance evaluation technique that is gaining popularity in project management. It solicits feedback from all the people that the team member's work affects, e.g., project managers, peers, subordinates and customers.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Retrospectives
Level: Medium

87. In the Research Highlight "Measures of Team Performance," what was the major finding of the research survey?

1. too few teams (52%) received a collective evaluation of their performance and 2. of the 22% who said they did receive an evaluation, it lasted only approximately 20 minutes.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Post-Implementation Evaluation
Level: Difficult

88. Explain what Lessons learned represent.

Lessons learned represent an analysis carried out during and shortly after the project life cycle; they attempt to capture positive and negative project learning. That is, "what worked and what didn't?" Lessons learned (postmortems, post-project review, or whatever name you choose to use) have long been part of project management.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Retrospectives
Level: Difficult

Chapter 15 International Projects Answer Key

Multiple Choice Questions

1. If a construction company in Dallas builds a bridge in Houston, the project would be classified as
A. Global
B. Overseas
C. Local
D. Domestic
E. Foreign

A domestic project is one performed in its native country for a resident firm (a construction firm building a bridge in its state).

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Environmental Factors
Level: Medium

2. If the Lincoln Log Construction Co. (based in Chicago) built an assembly plant for General Motors in Nigeria, the project would be classified as
A. Global
B. Overseas
C. Local
D. Domestic
E. Foreign

An overseas project is one executed in a foreign country for a native firm (a Swedish company building a truck factory in the United States for their native company).

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Environmental Factors
Level: Medium

3. If IBM built a computer system for Outback Barbie Inc. (based in Australia) at their corporate headquarters in Sydney, the project would be classified as
A. Global
B. Overseas
C. Local
D. Domestic
E. Foreign

A foreign project is executed in a foreign country for a foreign firm (a U.S. firm developing an information system in Malaysia for Malaysian banks).

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Environmental Factors
Level: Medium

4. McDonald's is creating a multinational distribution system for all of its foreign and domestic subsidiaries. The project manager is from the corporate headquarters and he manages teams from each of the countries involved. The project would be classified as
A. Global
B. Overseas
C. Local
D. Domestic
E. Foreign

A global project consists of teams formed from professionals spanning multiple countries, continents, and cultures with their work integrated for the entire enterprise (e.g., multinational enterprise developing a global distribution system).

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

5. Which of the following is not one of the potential results for the international project manager?
A. Personal risk
B. Absence from home
C. Missed career opportunities
D. Adverse conditions
E. All of these are potential results

Project managers typically face a difficult set of problems—for example, absence from home, friends, and sometimes family; personal risks; missed career opportunities; foreign language, culture, and laws; adverse conditions.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

6. The major issues dealing with international project management include all of the following except:
A. Selection and training of personnel for international projects
B. Foreign currency exchange rates
C. Location of international expansion
D. Environmental factors
E. Challenge of working in a foreign culture

There are four major issues surrounding the management of international projects. First, major environmental factors that impact project selection and implementation are briefly highlighted. Second, an example of how organizations decide where to expand globally is provided. Third, the challenge of working in a strange and foreign culture is addressed. Finally, how companies select and train professionals for international projects is discussed.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

7. Concern about the local restrictions on toxic waste is classified as which of the following environmental factors?
A. Economic
B. Geographic
C. Legal/political
D. Infrastructure
E. Culture

The constraints imposed by national and local laws need to be identified and adhered to.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Environmental Factors
Level: Medium

8. The growing presence of the Russian Mafia has discouraged many foreign firms from setting up operations in the former Soviet Union. This is an example of which of the following environmental factors?
A. Security
B. Economic
C. Cultural
D. Legal/political
E. Infrastructure

The growing presence of the Russian Mafia has discouraged many foreign firms from setting up operations in the former Soviet Union. Kidnapping of American professionals is also a very real threat in many parts of the world.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Environmental Factors
Level: Medium

9. As a response to the events of September 11, 2001, the moving of personnel, materials, and equipment across international borders has created border congestion with increased costs and time. This is an example of which of the following environmental factors?
A. Cultural
B. Infrastructure
C. Geographic
D. Security
E. Legal/political

Another real cost associated with international terrorism is the ease of commerce across borders. Heightened security measures have created border congestions that have expanded the time and cost of moving personnel, materials, and equipment across countries. These constraints need to be factored into the budget and schedule of projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

10. An information systems specialist reported that his performance on a project in Northern Sweden declined due to sleep deprivation during the summer months in which there was 20 hours of daylight each day. This is an example of which of the following environmental factors?
A. Cultural
B. Legal/political
C. Geographic
D. Economic
E. Infrastructure

Geography does not just affect outdoor projects. It can have an indirect effect on "indoor" projects. For example, one information systems specialist reported that his performance on a project in northern Sweden declined due to sleep deprivation. He attributed his problems to the 20 hours of daylight this part of the world experiences during summer months.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

11. Import quotas and tariffs, and education level of the workforce are examples of which of the following environmental factors?
A. Legal/political
B. Security
C. Cultural
D. Infrastructure
E. Economic

A faltering economy may indicate fewer sources of capital funding. For example, changes in protectionist strategies of a host country, such as import quotas and tariffs, can quickly alter the viability of projects.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

12. Needs for a project could include telecommunications, transportation, power, and availability of technically skilled talent. This is an example of which of the following environmental factors?
A. Geographic
B. Infrastructure
C. Economic
D. Legal/political
E. Cultural

Infrastructure needs for a project could be communication, transportation, power, technology, and education systems. For example, developing an electric steel plant to be near a major market requires a reliable supply of electric power.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

13. Communications difficulties because of different languages are examples of which of the following environmental factors?
A. Geographic
B. Security
C. Cultural
D. Legal/political
E. Infrastructure

Communication problems—because of language differences—often become a major problem in carrying out even simple tasks. Although the use of translators can help tremendously, their use does not solve the communication problem completely because something is lost in translation.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

14. Which of the following can help a project manager to digest, clarify, and understand the factors leading to the selection of a specific project?
A. Risk matrix
B. Priority matrix
C. Responsibility matrix
D. Gantt chart
E. Contingency matrix

One approach for the project manager to digest, clarify, and understand the factors leading to the selection of a specific project is to use a risk matrix similar to those found in Chapter 7. The major difference lies in the selection of the risk factors for different project sites.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Site Selection
Level: Medium

15. Culture is a concept that encompasses all of the following except:
A. Shared norms
B. Beliefs
C. Values
D. Economic level
E. Customs

More specifically, culture was defined as a system of shared norms, beliefs, values, and customs that bind people together, creating shared meaning and a unique identity.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

16. American project managers have earned a reputation abroad for being very good at understanding technology but not good at understanding:
A. Cultures
B. People
C. Local traditions
D. Local business practices
E. Laws

Americans are often criticized for being parochial; that is, they view the world solely through their own eyes and perspectives. People with a parochial perspective do not recognize that other people have different ways of living and working effectively.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

17. The biggest adjustment Americans typically have to make in working abroad is:
A. Language differences
B. Adapting to the general pace of life
C. Punctuality of people
D. Both B and C are correct
E. A, B, and C are all correct

Two of the biggest adjustments Americans typically have to make in working abroad are adapting to the general pace of life and the punctuality of people.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

18. Kluckhohn-Strodtbeck's cross-cultural framework includes all of the following except:
A. Perception of God
B. Relation to nature
C. Time orientation
D. Basic nature of people
E. Activity orientation

See Research Highlight on page 543.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Difficult

19. The Hofstede framework includes all of the following dimensions except:
A. Masculinity-feminity
B. Uncertainty avoidance
C. Power distance
D. Individualism versus collectivism
E. All of these are included in the Hofstede framework

See Research Highlight on page 543.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Difficult

20. In the Snapshot from Practice "Project Management X-files," a key success factor which is held in much higher regard by cultures outside the U.S. is:
A. Family ties
B. Luck
C. Hard work
D. Social status
E. Patience

Americans tend to discount the significance of luck and believe that good fortune is generally a result of hard work. In other cultures, luck takes on greater significance and has supernatural ramifications.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

21. The significance of personal relationships has created a system in which Mexicans are obligated to give preference to relatives and friends when hiring, contracting, procuring, and sharing business opportunities. This system is referred to as:
A. Manana
B. Gringo
C. Compadre
D. Quid pro quo
E. Nepotism

The significance of personal relationships has created a compadre system in which Mexicans are obligated to give preference to relatives and friends when hiring, contracting, procuring, and sharing business opportunities.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

22. In France, which of the following factors is considered much more important than in the U.S?
A. Social class
B. Agreement on issues
C. Professional accomplishments
D. Being open during negotiations
E. Dedication to project completion

In France, one's social class is very important. Social interactions are constrained by class standing, and during their lifetimes most French people do not encounter much change in social status.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

23. Working in the Saudi Arabia culture would include major shifts in the area of:
A. Bragging or calling attention to oneself
B. Importance of business connections
C. Increase in use of administrative channels
D. Both B and C are correct
E. A, B, and C are all correct

See list on pages 548-549.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

24. In dealing with the Chinese, it is important to realize that they
A. Tend to be slow in formulating a plan
B. Will change decisions quickly
C. Value time and moving forward
D. Both B and C are correct
E. A, B, and C are all correct

Once the Chinese decide who and what is best, they tend to stick to their decisions. So while they may be slow in formulating a plan, once they get started they make good progress.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

25. The stages of *culture shock* include all of the following except:
A. Gradual adjustment
B. Irritability and hostility
C. Honeymoon
D. Repatriation
E. Adaptation

See list on page 553-554.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

26. Which of the following is not contained in the Assessment Matrix Project Site Selection?
A. Political stability
B. Worker skill, supply
C. Infrastructure
D. Culture compatibility
E. Utilities

See Figure 15.2 on page 540.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Site Selection
Level: Easy

27. Which of the following is not contained in the Evaluation Matrix Breakdown for Infrastructure?
A. Transportation
B. Government support
C. Educated workforce
D. Telecommunications
E. Vendor suppliers

See Figure 15.3 on page 541.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Site Selection
Level: Easy

28. A major difference between working in Mexico and working in the United States is the perception of deadlines. This is referred to as:
A. Manana
B. Gringo
C. Compadre
D. Quid pro quo
E. Nepotism

The mañana syndrome reflects another cultural difference between Americans and Mexicans. Mexicans have a different concept of time than Americans do. Mexicans feel confined and pressured when given deadlines; they prefer open-ended schedules. They generally consider individuals to be more important than sticking to a schedule. If a friend drops in at work, most Mexicans will stop and talk, regardless of how long it takes, and even if chatting makes their work late.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

29. Which of the following is not true for French values?
A. They value punctuality
B. Great importance is placed on neatness and taste
C. The French is easy to negotiate with
D. French managers see work as an intellectual exercise
E. The French consider managers to be experts

See list on page 547

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

30. Which of the following is not one of the forms that stress-related culture shock takes?
A. Fatigue
B. Sleeplessness
C. Headaches
D. Hyperactivity
E. All of these are symptoms

Stress-related culture shock takes many forms: disappointment, frustration, withdrawal, anxiety, and physiological responses such as fatigue, sleeplessness, and headaches. Stress is induced by the senses being overwhelmed by foreign stimuli and the inability to function effectively in a strange land.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

31. A sense of frustration in not being understood is typical of which of the following stages of culture shock?
A. Honeymoon
B. Gradual adjustment
C. Irritability and hostility
D. Repatriation
E. Adaptation

The Honeymoon is where you start your overseas assignment with a sense of excitement. The new and the unusual are welcomed. At first it is amusing not to understand or be understood. Soon a sense of frustration begins to set in.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

32. When you begin to lose confidence in your abilities to communicate and work effectively in the different culture, you are in which of the following stages of culture shock?
A. Honeymoon
B. Gradual adjustment
C. Irritability and hostility
D. Repatriation
E. Adaptation

Irritability and hostility regards your initial enthusiasm is exhausted, and you begin to notice that differences are greater than you first imagined. You become frustrated by your inability to get things done as you are accustomed to. You begin to lose confidence in your abilities to communicate and work effectively in the different culture.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

33. When you recover from your sense of psychological disorientation and begin to function and communicate, you are in which of the following stages of culture shock?
A. Honeymoon
B. Gradual adjustment
C. Irritability and hostility
D. Repatriation
E. Adaptation

Adaptation is when you recover from your sense of psychological disorientation and begin to function and communicate in the new culture.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

34. Which film project was reviewed in a Snapshot from Practice?
A. The Godfather
B. Star Wars
C. Hearts of Darkness
D. Apocalypse Now
E. Rambo

In February 1976, Francis Ford Coppola took his Hollywood film crew to the Philippines to shoot Apocalypse Now, a film adaptation of Joseph Conrad's Heart of Darkness within the context of the Vietnam conflict.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Environmental Factors
Level: Easy

Fill in the Blank Questions

35. A(n)_____project consists of teams formed from professionals spanning multiple countries, continents, and cultures with their work integrated for the entire enterprise.
global

A global project consists of teams formed from professionals spanning multiple countries, continents, and cultures with their work integrated for the entire enterprise (e.g., multinational enterprise developing a global distribution system).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Environmental Factors
Level: Easy

36. A(n)_____project is one executed in a foreign country for a native firm.
overseas

An overseas project is one executed in a foreign country for a native firm (a Swedish company building a truck factory in the United States for their native company).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Environmental Factors
Level: Easy

37. A(n) _____ project is executed in a foreign country for a foreign firm.
foreign

A foreign project is executed in a foreign country for a foreign firm (a U.S. firm developing an information system in Malaysia for Malaysian banks).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Environmental Factors
Level: Easy

38. The degree to which local regulations favor local workers and suppliers is an example of the environmental factor termed_____.
legal/political

Political stability and local laws strongly influence how projects will be implemented. Typically, these laws favor protection of local workers, suppliers, and environment.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

39. The need to hire tribal bodyguards in such places as Angola and Uzbekistan is an example of the environmental factor termed_____.
security

Security nationally involves the capacity of a country's military and police forces to prevent and respond to attacks. In many foreign countries, American firms will have to augment the countries' security system. For example, it is common practice to hire tribal bodyguards in such places as Angola and Uzbekistan.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

40. Construction projects in Southeast Asia having to accommodate the monsoon season when rainfall can be as high as 50 inches per month is an example of the environmental factor termed_____.
geography

The planning and implementation of a project must take into account the impact the country's geography will have on the project. For example, a salvage operation off the coast of Greenland can only be scheduled one month out of the year because the waterway is frozen over during the remainder of the year. Construction projects in Southeast Asia have to accommodate the monsoon season when rainfall can be as high as 50 inches per month.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

41. Bartering is a form of compensation that is still used by some countries and organizations and is an example of the_____environmental factor.
economic

Bartering is a form of compensation that is still used by some countries and organizations. For example, one project in Africa was paid in goat skins. The goat skins were eventually sold to an Italian manufacturer of gloves.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

42. A project that depends upon a high ratio of vendor suppliers, good roads, and other transportation modes, such as air and seaports is an example of the_____environmental factor.
infrastructure

If the project depends on a high ratio of vendor suppliers, good roads, and other transportation modes such as air and seaports, a good infrastructure will be imperative.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

43. The requirement for women to cover head, arms, and legs and to be accompanied by another woman or man is an example of the environmental factor termed_____.
culture

Religious factors touched the spouse of a Scandinavian project manager responsible for building a water desalination plant from sea water in a Middle East country. She was restricted to the living compound for families of foreign guest workers. Going outside the compound to a nearby city meant covering her head, arms, and legs and being accompanied by another woman or, preferably, a man. A physical altercation in the city concerning her clothing was traumatic for her. This was due to culture.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

44. _____is a system of shared norms, beliefs, values, and customs that bind people together, creating shared meaning and a unique identity.
Culture

Culture was defined as a system of shared norms, beliefs, values, and customs that bind people together, creating shared meaning and a unique identity.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

45. In the Kluckhohn-Strodtbeck Cross-Cultural Framework, the cultural issue that is measured in terms of good, evil or mixed is nature of_____.
people

See Figure 15.4 on page 543.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Difficult

46. In the Kluckhohn-Strodtbeck Cross-Cultural Framework, the cultural issue that is measured in terms of domination, harmony, and subjugation is relationship to_____.
nature

See Figure 15.4 on page 543.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Difficult

47. In the Hofstede Framework,_____describes the degree to which the culture emphasizes competitive and achievement oriented behavior or displays concerns for relationships.
Masculinity-feminity

Masculinity-femininity describes the degree to which the culture emphasizes competitive and achievement- oriented behavior or displays concerns for relationships.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

48. In the Hofstede Framework,_____identifies whether a culture holds individuals or the group responsible for each member's welfare.
Individualism versus collectivism

Individualism versus collectivism identifies whether a culture holds individuals or the group responsible for each member's welfare.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

49. The length of training required for an overseas stay of 1-3 years would be around _____.
1-2 months

See Figure 15.7 on page 557.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

50. Americans tend to be impersonal and practical when making an argument; however, _____can be very passionate and emotional when arguing because they enjoy a lively debate.
Mexicans

Americans tend to be impersonal and practical when making arguments; Mexicans can be very passionate and emotional when arguing. They enjoy a lively debate.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

51. The_____place great importance upon neatness and taste; therefore, when interacting with them you should pay close attention to your appearance.
French

Great importance is placed on neatness and taste. When interacting with French businesspeople, pay close attention to your own professional appearance and appear cultured and sophisticated.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

52. When working with the_____, it is important never to display feelings of superiority because this makes the other party feel inferior.
Saudi Arabians

When working with the Saudi Arabians, it is important never to display feelings of superiority because this makes the other party feel inferior. No matter how well someone does something, the individual should let the action speak for itself and not brag or draw attention to himself.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

53. Although they may be slow to formulate a plan, once the_____decide who and what is best, they tend to stick to their decisions and make good progress.
Chinese

Once the Chinese decide who and what is best, they tend to stick to their decisions. So while they may be slow in formulating a plan, once they get started they make good progress.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

54. Decision-making with_____is results-oriented and tends to be based on facts and expected outcomes, not on social impact.
Americans

American decision making is results oriented. Decisions tend to be based on facts and expected outcomes, not social impact.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

55. _____have a reputation for not being able to work effectively in foreign cultures.
Americans

Right or wrong, Americans have a reputation for not being able to work effectively in foreign cultures.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

56. In many_____ cultures certain numbers are considered lucky, while others are considered unlucky.
Asian

In many Asian cultures certain numbers are considered lucky, while others are unlucky. In Hong Kong the numbers 7, 3, and especially 8 (which sounds like the word for prosperity) are considered lucky, while the number 4 is considered unlucky (because it is pronounced like the word "death").

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

57. The natural psychological disorientation that most people suffer when they move into a different culture than their own is called_____.
culture shock

Culture shock is a natural psychological disorientation that most people suffer when they move into a culture different from their own.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

58. It typically takes_____months before managers operate again at full effectiveness after a lengthy foreign assignment.
6-12 months

It typically takes six months to a year before managers operate again at full effectiveness after a lengthy foreign assignment.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

59. In the Snapshot from Practice, the mapping of the "River of Doubt" occured in the country of_.
Brazil

After his crushing election defeat in 1912 as a third-party candidate, former president Theodore ("Teddy") Roosevelt set his sights on a grand adventure, the first descent of an unmapped rapids-choked tributary of the Amazon aptly titled the "River of Doubt." Together with Brazil's most famous explorer, Candido Mariano da Silva Rondon, Roosevelt accomplished a feat that belongs in the annals of great expeditions.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Environmental Factors
Level: Easy

True / False Questions

60. A local project is one performed in its native country for a resident firm.
FALSE

A domestic project is one performed in its native country for a resident firm (a construction firm building a bridge in its state).

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Environmental Factors
Level: Easy

61. The constraints imposed by national and local laws are part of the environmental factors termed infrastructure.
FALSE

The constraints imposed by national and local laws need to be identified and adhered to this is part of the legal/political factor.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Easy

62. The environmental factor labeled security involves the capacity of a country's military and police forces to prevent and respond to attacks.
TRUE

Security nationally involves the capacity of a country's military and police forces to prevent and respond to attacks.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Easy

63. One factor that is often underestimated until the project personnel actually arrive at a foreign destination is the culture environmental factor.
FALSE

One factor that is often underestimated until project personnel actually arrive at a foreign destination is the geography of the country.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Environmental Factors
Level: Easy

64. The example of one project in Africa being paid in goat skins is an example of the environmental factor of infrastructure.
FALSE

Bartering is a form of compensation that is still used by some countries and organizations. For example, one project in Africa was paid in goat skins. This is part of the economic factor.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

65. Infrastructure refers to a country's or community's ability to provide services such as power, technology, communication, or transportation required for a project.
TRUE

Infrastructure refers to a country or community's ability to provide the services required for a project. Infrastructure needs for a project could be communication, transportation, power, technology, and education systems.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

66. For most project managers, the biggest difference in managing an international project is operating in a national culture where projects are done differently, using different project management techniques and tools.
FALSE

For most project managers, the biggest difference in managing an international project is operating in a national culture where things are done differently. For example, most developed nations use the same project management techniques (CPM, risk analysis, trade-off analysis). However, how activity work is performed can be very different in the host country.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

67. One approach for the project manager to digest, clarify, and understand the factors leading to the selection of a specific project is to use a risk matrix similar to those used to evaluate other types of risks.
TRUE

As the project manager studies the factors contributing to site selection, he will see that inherent in all of these factors is the risk level senior management and directors are willing to accept for the potential rewards of a successful international project. One approach for the project manager to digest, clarify, and understand the factors leading to the selection of a specific project is to use a risk matrix similar to those found in Chapter 7. The major difference lies in the selection of the risk factors for different project sites.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Site Selection
Level: Easy

68. Americans have a reputation for not being able to work effectively in foreign cultures.
TRUE

Right or wrong, Americans have a reputation for not being able to work effectively in foreign cultures.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

69. Americans tend to underestimate the importance that relationship building plays in conducting business in other countries.
TRUE

American project managers have earned a reputation abroad for being very good at understanding technology but not good at understanding people. As one Indonesian engineer put it, "Americans are great at solving technical problems, but they tend to ignore the people factor." For example, Americans tend to underestimate the importance that relationship building plays in conducting business in other countries.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

70. Two of the biggest adjustments Americans typically have to make in working abroad is adapting to the general pace of life and the punctuality of people.
TRUE

Two of the biggest adjustments Americans typically have to make in working abroad are adapting to the general pace of life and the punctuality of people.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

71. The Kluckhohn-Strodtbeck Cross-Cultural Model includes a factor called Uncertainty Avoidance that is related to a culture's willingness to accept uncertainty and ambiguity about the future.
FALSE

Uncertainty avoidance is in the Hofstede framework.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

72. The Hofstede framework includes a factor called Activity Orientation where cultures were classified as being, doing, or controlling.
FALSE

Activity Orientation is part of the Kluckhohn-Strodtbeck Cross-Cultural Model.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

73. Hong Kong is a place where business people often call *Feng shui* practitioners to construction sites to make sure that the building is aligned correctly on the site.
TRUE

Hong Kong is also a place where the ancient art of Feng shui (literally "wind water") is practiced. This involves making sure a site and buildings are aligned in harmony with the earth's energy forces so that the location will be propitious. Feng shui practitioners are often called in on construction projects to make sure that the building is aligned correctly on the site.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

74. Mexicans tend to perceive Americans as being cold and that most Americans look down upon them.
TRUE

Mexicans tend to perceive Americans as being "cold." They also believe that most Americans look down on them.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

75. Saudi Arabians can be difficult to negotiate with because they often ignore facts no matter how convincing they may be and they also tend to be quite secretive about their positions.
FALSE

The French can be very difficult to negotiate with. Often, they ignore facts, no matter how convincing they may be. They can be quite secretive about their position. It is difficult to obtain information from them, even in support for their position. Patience is essential for negotiating with them.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

76. In dealing with the French, a lot of what get done is a result of going through administrative channels, which involves a lot of red tape and efforts to avoid sidestep this can be regarded as disrespect for legal and governmental institutions.
FALSE

In dealing with Saudi Arabians, a lot of what gets done is a result of going through administrative channels in the country. It is often difficult to sidestep a lot of this red tape, and efforts to do so can be regarded as disrespect for legal and governmental institutions.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

77. Many outsiders consider the Chinese system of guanxi to be like nepotism where decisions are made based on family ties instead of an objective assessment of ability.
TRUE

Trust is transmitted via guanxi. That is, a trusted business associate of yours must pass you along to his trusted business associates. Many outsiders criticize guanxi, considering it to be like nepotism where decisions are made regarding contracts or problems based on family ties or connections instead of an objective assessment of ability.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

78. The initial stage of culture shock is irritability and hostility.
Refer to Figure 15.6
FALSE

The initial stage of culture shock is Honeymoon, where you start your overseas assignment with a sense of excitement. The new and the unusual are welcomed. At first it is amusing not to understand or be understood. Soon a sense of frustration begins to set in.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Medium

79. If the length of stay in another culture is to be in the range of 2 to 12 months, the experiential approach to training is advisable.
Refer to Figure 15.7
FALSE

See Figure 15.7 on page 557.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Selection and Training for International Projects
Level: Difficult

80. Mexicans tend to be more cautious and want to spend more time discussing risks and potential problems that Americans might dismiss as improbable or irrelevant.
TRUE

Mexicans tend to be more cautious and want to spend more time discussing risks and potential problems that Americans might dismiss as improbable or irrelevant.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

81. Saudis attach little importance to status and rank with the bypassing of legal channels and red tape a common occurrence.
FALSE

When working with the Saudis a lot of what gets done is a result of going through administrative channels in the country. It is often difficult to sidestep a lot of this red tape, and efforts to do so can be regarded as disrespect for legal and governmental institutions.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Easy

82. The former U.S. President who got involved with the River of Doubt project was Teddy Roosevelt.
TRUE

After his crushing election defeat in 1912 as a third-party candidate, former president Theodore ("Teddy") Roosevelt set his sights on a grand adventure, the first descent of an unmapped rapids-choked tributary of the Amazon aptly titled the "River of Doubt." Together with Brazil's most famous explorer, Candido Mariano da Silva Rondon, Roosevelt accomplished a feat that belongs in the annals of great expeditions.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Environmental Factors
Level: Easy

Short Answer Questions

83. Identify and briefly describe the four possible classifications for international projects.

1. domestic; performed in its native country for a resident firm, 2. overseas; executed in a foreign country for a native company, 3. foreign; executed in a foreign country for a foreign firm, and 4. global; executed by and for several cultures in several countries.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Difficult

84. Identify and briefly describe the six environmental factors affecting international projects.

1. Legal/Political, 2. Security, 3. Geography, 4. Economic, 5. Infrastructure, 6. Culture.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Environmental Factors
Level: Medium

85. What is the Kluckhohn-Strodtbeck Cross-Cultural Framework and identify the five major cultural issues it addresses?

The framework asserts that cultural variations reflect how different societies have responded to common issues or problems. 1. Relation to nature, 2. Time orientation, 3. Activity orientation, 4. Basic nature of people, 5. Relationships among people.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Difficult

86. Identify and discuss three guidelines/cautions in working with Mexicans on projects.

1. tend to be passionate and emotional when arguing, 2. meetings ratify what was agreed to in private, 3. avoid direct confrontation or criticism, 4. value managers who treat them in a friendly but dignified manner, 5. titles are extremely important.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Difficult

87. Identify and discuss three guidelines/cautions in working with the French on projects.

1. they value punctuality, 2. neatness and taste are very important, 3. difficult to negotiate with as they ignore facts, 4. work is an intellectual exercise, 5. managers are experts.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Difficult

88. Identify and discuss three guidelines/cautions in working with Saudi Arabians on projects.

1. never display feelings of superiority, 2. heavy use of administrative channels, 3. connections are important; 4. patience is critical, 5. important decisions are made in person.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Difficult

89. Identify and discuss three guidelines/cautions in working with Chinese on projects.

1. slow in formulating plan but good progress, 2. reciprocity is important in negotiations, 3. they are less animated and avoid open displays and physical contact, 4. less significance on time, 5. obligated to assist the disadvantaged.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Difficult

90. Identify and discuss three guidelines/cautions in working with Americans on projects.

1. influence of women professionals, 2. no business gifts, 3. friendly and open when first meeting, 4. non-contact culture, 5. results-oriented decision making.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Difficult

91. Identify and briefly describe the four stages of culture shock.

1. Honeymoon; start with excitement, the new and unusual are welcomed, 2. Irritability and hostility; begin to notice greater differences, frustration sets in, 3. Gradual adjustment; overcome sense of isolation and figure out how to get things done, 4. Adaptation; recover from psychological disorientation and begin to function and communicate in new culture.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Cross-Cultural Considerations: A Closer Look
Level: Difficult

92. Identify and briefly describe the cross-cultural training approach to be taken as related to the length of stay in the foreign culture.

1. Information-giving approach; for stays of 1 month or less, learning of information or skills from a lecture-type orientation 2. Affective approach; for stays of 2-12 months, learning of information/skills that raise the affective responses on the part of the trainee and result in cultural insights, and 3. Experiential approach; for stays of 1-3 years, provides the trainee with realistic simulations or scenarios.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Selection and Training for International Projects
Level: Difficult

93. How would one use a risk matrix to aide in the site selection for an international operation?

The project manager should digest, clarify, and understand the factors leading to a decision by using a risk matrix and selecting the risk factors for different project sites.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Site Selection
Level: Difficult

94. Identify the major areas in which project professionals assigned to foreign countries should have a minimal understanding.

1. religion, 2. dress codes, 3. education system, 4. holidays, 5. daily eating patterns, 6. family life, 7. business protocols, 8. social etiquette, 9. equal opportunity.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Selection and Training for International Projects
Level: Difficult

Chapter 16 Oversight Answer Key

Multiple Choice Questions

1. The term that is used to reflect how organizations oversee their project management systems is:
A. Project administration
B. Fiduciary responsibility
C. Management
D. Oversight
E. Project regulation

Project oversight can be defined as a set of principles and processes to guide and improve the management of projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Medium

2. Which of the following is not one of the techniques to insure that projects meet the needs of the organization?
A. Standards
B. Procedures
C. Accountability
D. Controls
E. All of these are correct

The intent is to ensure projects meet the needs of the organization through standards, procedures, accountability, efficient allocation of resources, and continuous improvement in the management of projects. A second purpose is to support the project manager.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Medium

3. Which of the follow percentages is the authors' estimate of project-driven organizations that have been implementing some form of oversight for several years?
A. 95%
B. 90%
C. 85%
D. 80%
E. 75%

The authors estimate over 95 percent of project-driven organizations have been implementing some form of oversight for several years.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Medium

4. Typical activities of project oversight cover which of the following dimensions?
A. Organization
B. Project
C. Customer
D. Both A and B are correct
E. All the above are correct

See list on page 565

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Medium

5. Organizational options to cover every aspect of managing projects in the organization are currently achieved by all of the following except:
A. Executive committee
B. Oversight group
C. Project office
D. Both B and C are correct
E. All the above are correct

Project oversight, through an executive committee, oversight group, or a project office, covers every aspect of managing projects in the organization.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Medium

6. The importance of the increase in project oversight to today's project manager includes all of the following except:
A. Increase in expected profits from projects
B. Increased interest in supporting and helping the project manager
C. Impact on the environment in which the project will be implemented
D. Impact on how the project manager's performance will be measured
E. The reporting of project progress to an oversight group

First, in almost all cases oversight is interested in supporting and helping the project manager where needed. This is an improvement over the past. Second, the oversight function determines the environment in which the project manager will implement his or her project. This can affect the management of a project in a positive or negative manner. Third, depending on the size and complexity of the project, methods used to hold the project manager responsible and accountable will influence how performance is measured. Finally, the project manager, who is responsible for day-to-day management, will probably be reporting to this oversight group at predetermined phases in the project. In short, project oversight supports project management at the organization and project levels.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Medium

7. The centralized management of projects to ensure that the allocation of resources to projects is directed toward projects that contribute the greatest value to organization goals is known as:
A. Portfolio Project Management
B. Project Office Management
C. Project Management Optimization
D. Project Priority Matrix Management
E. Resource Allocation Optimization

Portfolio project management is the centralized management of projects to ensure that the allocation of resources to projects is directed toward projects that contribute the greatest value to organization goals.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Medium

8. Which of the following is responsible for the continued support of consistent application of selection criteria, standards, processes, training, and general assistance to project managers and continued improvement and use of best practices?
A. Portfolio Project Management
B. Project Office Management
C. Project Management Optimization
D. Project Priority Matrix Management
E. Resource Allocation Optimization

The project office (PO) is the unit responsible for the continued support of consistent application of selection criteria, standards, and processes; training of and general assistance to project managers; and continued improvement and use of best practices.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Medium

9. Which of the following firms use project offices to coordinate projects and to ensure best practices are being used to manage projects?
A. Hewlett Packard
B. International Business Machines
C. Dell
D. Both A and B are correct
E. All the above are correct

High-tech firms such as Hewlett-Packard (HP), International Business Machines (IBM), and Dell all use project offices to coordinate projects and to ensure best practices are being used to manage projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Medium

10. Project Management Office functions typically include all of the following except:
A. Create and maintain the internal project management information system
B. Recruit and select project managers
C. Train personnel in project management techniques
D. Develop risk management programs
E. All of these are typically included

See list on page 567 in Snap Shot from Practice.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Medium

11. Project Management Office functions typically include all of the following except:
A. Establish standardized project planning and reporting methodologies
B. Audit ongoing and recently completed projects
C. Provide in-house project management consulting
D. Select which projects to undertake
E. All of these are typically included

See list on page 567 in Snap Shot from Practice.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Medium

12. Project offices are known to result in positive benefits such as:
A. A bridge between senior management and project managers
B. Support integration of all project management processes
C. Training to support a higher level of project management maturity
D. Both A and B are correct
E. All of these are correct

See list on page 568.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Medium

13. The in-depth review of individual projects at specific phases in the project life cycle is known as:
A. Project Assessment Checkpoint Reviews
B. Go/Kill Decision Review Methodology
C. Phase Gate Methodology
D. Stargate Review Methodology
E. None of these are correct

Phase gate, provide an in-depth review of individual projects at specific phases in the project life cycle. These reviews cover assessments to continue or kill the project, reassess resource allocation, reassess prioritization, and evaluate execution progress, as well as strategic alignment decisions.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Medium

14. The original Stage-Gate™ model included all the following stages except:
A. Preliminary investigation
B. Detailed investigation
C. Testing and validation
D. Production and market launch
E. All of these were included

The original Stage-Gate™ model was pioneered by Robert G. Cooper several decades ago to improve management of new-product development. The original model incorporates five stages: preliminary investigation, detailed investigation, development, testing and validation, and full production and market launch.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Medium

15. The abridged, generic phase gated process includes how many Go/Kill decision points?
A. Three
B. Four
C. Five
D. Six
E. Seven

See Figure 16.3 on page 571.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Medium

16. During which of the following phase gates would the question of "Does this project align with our strategic direction?" be answered?
A. Proposal
B. Screening and selection
C. Implementation
D. Progress
E. Closure

This proposal phase answers a fundamental question: Is the project a good idea and does it solve a business problem or issue?

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Medium

17. During which of the following phase gates would the question of "What are the project's ROI and/or non-financial benefits?" be answered?
A. Proposal
B. Selection
C. Implementation
D. Progress
E. Closure

The selection review includes a thorough analysis based on selection criteria. The gating group uses weighted scoring model criteria, which typically include project risks, costs, resource needs, urgency, financial analysis, benefits, identified sponsor, and other criteria found in selection models. In this phase one of the questions is "What are the project's ROI and/or nonfinancial benefits"?

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Medium

18. During which of the following phase gates would the question of "Are the resources needed identified and available?" be answered?
A. Proposal
B. Screening and selection
C. Implementation
D. Progress
E. Closure

The implementation plan review information should include the planning document developed in earlier chapters. In this phase one of the questions is "Are the resources needed identified and available?"

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Medium

19. During which of the following phase gates would the question of "Are time, costs, and scope performances within acceptable limits?" be answered?
A. Proposal
B. Screening and selection
C. Implementation
D. Progress evaluation
E. Closure

Your progress evaluation review covers the control activities of tracking progress, identifying variances from your plan, and taking corrective action. A major chunk of the data requirements for the phase review are simply measures against the project plan. Tracking progress and identifying variances against scope, time, budget, and control of changes and identified risks are easily accomplished using available software. In this phase one of the questions is "Are time, costs, and scope performances within acceptable limits?"

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Medium

20. Which of the following is not one of the growth levels in the Organizational Project Maturity Model (OPM3^{TM})?
A. Repeatable
B. Defined
C. Managed
D. Expanded
E. Optimized

Typically, these models are divided into a continuum of growth levels: initial, repeatable, defined, managed, and optimized.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Organization Project Management in the Long Run
Level: Medium

21. The first appearance of standard approaches to managing projects including scope statements and WBS occurs in which of the following Maturity Model Levels?
A. Ad Hoc Project Management
B. Formal Application of Project Management
C. Institutionalization of Project Management
D. Management of Project Management System
E. Optimization of Project Management System

In Level 2: Formal Application of Project Management, the organization applies established project management procedures and techniques. This level is often marked by tension between project managers and line managers who need to redefine their roles. Standard approaches to managing projects, including scope statements, WBS, and activity lists, are used.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Medium

22. Risk assessment derived from WBS and technical analyses and customer input is in place occurs in which of the following Maturity Model Levels?
A. Ad Hoc Project Management
B. Formal Application of Project Management
C. Institutionalization of Project Management
D. Management of Project Management System
E. Optimization of Project Management System

In Level 3: Institutionalization of Project Management, An organization wide project management system, tailored to specific needs of the organization with the flexibility to adapt the process to unique characteristics of the project, is established. Risk assessment derived from WBS and technical analyses and customer input is in place is one of the characteristics of this level.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Organization Project Management in the Long Run
Level: Medium

23. Project audits are performed on all significant projects and lessons learned are recorded and used on subsequent projects occurs in which of the following Maturity Model Levels?
A. Ad Hoc Project Management
B. Formal Application of Project Management
C. Institutionalization of Project Management
D. Management of Project Management System
E. Optimization of Project Management System

In Level 4: Management of Project Management System, the organization develops a system for managing multiple projects that are aligned with strategic goals of the organization. Project audits are performed on all significant projects and lessons learned are recorded and used on subsequent projects is one of the characteristics of this level.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Medium

24. An informal culture that values improvement drives the organization, not policies and procedures occurs in which of the following Maturity Model Levels?
A. Ad Hoc Project Management
B. Formal Application of Project Management
C. Institutionalization of Project Management
D. Management of Project Management System
E. Optimization of Project Management System

In Level 5: Optimization of Project Management System, the focus is on continuous improvement through incremental advancements of existing practices and by innovations using new technologies and methods. An informal culture that values improvement drives the organization, not policies and procedures is one of the characteristics of this level.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Medium

25. The use of an organization-wide project management system tailored to specific needs of the organization is established in which of the following Maturity Model Levels?
A. Ad Hoc Project Management
B. Formal Application of Project Management
C. Institutionalization of Project Management
D. Management of Project Management System
E. Optimization of Project Management System

In Level 3: Institutionalization of Project Management, An organization wide project management system, tailored to specific needs of the organization with the flexibility to adapt the process to unique characteristics of the project, is established.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Medium

26. The development of a system for managing multiple projects that are aligned with strategic goals is established in which of the following Maturity Model Levels?
A. Ad Hoc Project Management
B. Formal Application of Project Management
C. Institutionalization of Project Management
D. Management of Project Management System
E. Optimization of Project Management System

In Level 4: Management of Project Management System, the organization develops a system for managing multiple projects that are aligned with strategic goals of the organization.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Medium

27. The focus is on continuous improvement through incremental advancements of existing practices and by innovations using new technologies and methods is established in which of the following Maturity Model Levels?
A. Ad Hoc Project Management
B. Formal Application of Project Management
C. Institutionalization of Project Management
D. Management of Project Management System
E. Optimization of Project Management System

In Level 5: Optimization of Project Management System, the focus is on continuous improvement through incremental advancements of existing practices and by innovations using new technologies and methods.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Medium

28. The balanced scorecard model differs from selection models by reviewing projects over
A. 1-3 years
B. 2-4 years
C. 4-7 years
D. 5-10 years
E. e.10-15 years

The balanced scorecard model differs from selection models by reviewing projects over a longer horizon—5 to 10 years after the project is implemented.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Medium

29. Which of the following is not one of the four performance goals measures in the scorecard model?
A. customer
B. internal
C. financial measures
D. industry standards
E. innovation and learning

The scorecard model limits measures of performance to goals in four main areas: customer, internal, innovation and learning, and financial measures.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

Fill in the Blank Questions

30. _____can be defined as a set of principles and processes to guide and improve the management of projects.
Project oversight

Project oversight can be defined as a set of principles and processes to guide and improve the management of projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

31. Project selection and portfolio management are typical activities at the_____level of project oversight.
organization

See list on page 565.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

32. Reviewing project's objectives and resolving project bottlenecks are typical activities at the_____level of project oversight.
project

See list on page 565.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Easy

33. The centralized management of projects to ensure that the allocation of resources to projects is directed toward projects that contribute the greatest value to organization goals is known as_____.
Portfolio Project Management

Portfolio project management is the centralized management of projects to ensure that the allocation of resources to projects is directed toward projects that contribute the greatest value to organization goals.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Easy

34. The_____is responsible for the continued support of consistent application of selection criteria, standards, processes, training, and general assistance to project managers.
Project Office

The project office (PO) is the unit responsible for the continued support of consistent application of selection criteria, standards, and processes; training of and general assistance to project managers; and continued improvement and use of best practices.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Easy

35. High tech firms such as HP, IBM, and Dell all use_____to coordinate projects and to ensure best practices are being used to manage projects.
Project Offices

High-tech firms such as Hewlett-Packard (HP), International Business Machines (IBM), and Dell all use project offices to coordinate projects and to ensure best practices are being used to manage projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

36. The use of_____provides an in-depth review of individual's projects at specific phases in the project life cycle.
phase gate methodology

Phase gate methodology provides an in-depth review of individual projects at specific phases in the project life cycle.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

Short Answer Questions

37. The original_____model was pioneered by Robert G. Cooper several decades ago to improve management of new product development.

Stage-Gate™

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

Fill in the Blank Questions

38. "Go, Kill, Hold, or Recycle" decisions are made by the oversight team at each _____ of a project.
phase gate

The original Stage-Gate™ model was pioneered by Robert G. Cooper several decades ago to improve management of new-product development. The original model incorporates five stages: preliminary investigation, detailed investigation, development, testing and validation, and full production and market launch. Stages precede gates and represent information developed to enable gatekeepers to make the right decision at the next gate. These decision points at each gate are known as go, kill, hold, or recycle decisions. Given the information developed for each stage, the gatekeepers (the oversight team) can decide to continue with the project, abort the project, or revise/recycle.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

39. The_____process can be defined as a structured process to review, evaluate, and document outcomes in each project phase and to provide management with information to guide resource deployment toward strategic goals.
phase gate review

The phase gate review process can be defined as a structured process to review, evaluate, and document outcomes in each project phase and to provide management with information to guide resource deployment toward strategic goals. This oversight activity begins with project selection and tracking the project life cycle through closure and lessons learned.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

40. Phase 1 of the abridged, generic phase gated process is known as the_____phase.
Proposal

The proposal phase answers a fundamental question: Is the project a good idea and does it solve a business problem or issue?

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

41. Phase 2 of the abridged, generic phase gated process is known as the_____phase.
Selection

The selection review includes a thorough analysis based on selection criteria. The gating group uses weighted scoring model criteria, which typically include project risks, costs, resource needs, urgency, financial analysis, benefits, identified sponsor, and other criteria found in selection models.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

42. Phase 3 of the abridged, generic phase gated process is known as the_____phase.
Implementation Plan

The implementation plan review information should include the planning document developed in earlier chapters. For example, what are the specific goals for the project and what are the major deliverables (scope)?

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

43. Phase 4 of the abridged, generic phase gated process is known as the_____phase.
Progress evaluation

Your progress evaluation review covers the control activities of tracking progress, identifying variances from your plan, and taking corrective action. A major chunk of the data requirements for the phase review are simply measures against the project plan.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

44. Phase 5 of the abridged, generic phase gated process is known as the_____phase.
Closure

The closure and lessons learned activities closely follow the closure activities found in the audit chapter. Some organizations have wrapped phases 5 and 6—closure and lessons learned—into a single gate.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

45. Phase 6 of the abridged, generic phase gated process is known as the_____phase.
Post Project Review and Lessons Learned

The last phase is the Post Project Review and Lessons Learned some of the questions asked in this phase are. Have we identified what went wrong and what contributed to success? Have changes to improve delivery of future projects been communicated and archived?

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

46. _____is used to identify opportunities for improvement.
Benchmarking

Benchmarking is used to identify opportunities for improvement.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Organization Project Management in the Long Run
Level: Medium

47. Level 1 of the authors' Project Maturity Model is named_____.
Ad Hoc Project Management

In Level 1 Ad Hoc Project Management, no consistent project management process is in place. How a project is managed depends upon the individuals involved.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Easy

48. Level 2 of the authors' Project Maturity Model is named_____.
Formal Application of Project Management

In Level 2: Formal Application of Project Management, the organization applies established project management procedures and techniques. This level is often marked by tension between project managers and line managers who need to redefine their roles.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Easy

49. Level 3 of the authors' Project Maturity Model is named_____.
Institutionalization of Project Management

In Level 3: Institutionalization of Project Management, An organization wide project management system, tailored to specific needs of the organization with the flexibility to adapt the process to unique characteristics of the project, is established.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Easy

50. Level 4 of the authors' Project Maturity Model is named_____.
Management of Project Management System

In Level 4: Management of Project Management System, the organization develops a system for managing multiple projects that are aligned with strategic goals of the organization.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Easy

51. Level 5 of the authors' Project Maturity Model is named_____.
Optimization of Project Management System

In Level 5: Optimization of Project Management System, the focus is on continuous improvement through incremental advancements of existing practices and by innovations using new technologies and methods.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Easy

52. The_____model limits measures of performance to goals in four main areas: customer, internal, innovation and learning, and financial measures.
scorecard

The scorecard model limits measures of performance to goals in four main areas: customer, internal, innovation and learning, and financial measures.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Organization Project Management in the Long Run
Level: Easy

53. The balanced scorecard model differs from selection models by reviewing projects over _____.
5-10 years

The balanced scorecard model differs from selection models by reviewing projects over a longer horizon—5 to 10 years after the project is implemented.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Organization Project Management in the Long Run
Level: Easy

54. _____such as ROI, cash flow, and projects on budget reflect improvement and actions that contribute value to the bottom line.
Financial measures

Financial measures such as ROI, cash flow, and projects on budget reflect improvement and actions that contribute value to the bottom line.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Medium

True / False Questions

55. Project Management Control is the term that has emerged to reflect how organizations oversee their project management systems.
FALSE

Project oversight can be defined as a set of principles and processes to guide and improve the management of projects. At the organizational level it assessing and elevates the maturity level of the organization's project management system.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

56. Project oversight can be defined as a set of principles and processes to.
TRUE

Project oversight can be defined as a set of principles and processes to guide and improve the management of projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

57. The phase gate review process can be defined as a structured process to review, evaluate, and document outcomes in each project phase and to provide management with information to guide resource deployment toward strategic goals.
TRUE

The phase gate review process can be defined as a structured process to review, evaluate, and document outcomes in each project phase and to provide management with information to guide resource deployment toward strategic goals.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Easy

58. The phase gate review process is the centralized management of projects to ensure that the allocation of resources to projects is directed toward projects that contribute the greatest value to organization goals.
FALSE

Portfolio project management is the centralized management of projects to ensure that the allocation of resources to projects is directed toward projects that contribute the greatest value to organization goals.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

59. The appearance of a project office frequently follows the implementation of project portfolio management efforts.
TRUE

The appearance of a project office frequently follows the implementation of project portfolio management efforts.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

60. When project effort moves from tactical to strategic, project selection, project process.
TRUE

When project effort moves from tactical to strategic, project selection, project processes, and resources are brought under one system known as portfolio project management.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Easy

61. Portfolio Project Management is responsible for the continued support of consistent application of selection criteria, standards, processes, training, and general assistance to project managers.
FALSE

The project office (PO) is the unit responsible for the continued support of consistent application of selection criteria, standards, and processes; training of and general assistance to project managers; and continued improvement and use of best practices.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Easy

62. The appearance of a project office frequently follows the implementation of project portfolio management efforts.
TRUE

Most project-driven organizations have set up project offices. The appearance of a project office frequently follows the implementation of project portfolio management efforts.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

63. Project offices are known to result in positive benefits such as serving as a bridge between senior management and project managers.
TRUE

Most project-driven organizations have set up project offices. The appearance of a project office frequently follows the implementation of project portfolio management efforts.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Easy

64. Phase gate methodology was originally developed for the construction industry.
FALSE

Phase gate methodology was originally developed for product development, but the application of the methodology has grown beyond new product development to include all projects in the portfolio.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

65. The phase gate methodology was developed before the emergence of the project office and project portfolios.
FALSE

The growth in the application of portfolio project management and project offices will continue. Portfolio management and project offices strongly influence how a project manager will manage his or her respective project. A more recent oversight activity has been the quick implementation of phase gate reviews.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Easy

66. One study by Morris showed 45 percent of those surveyed use phase review gates.
FALSE

One study by Morris and Jamieson showed 85 percent of those surveyed use phase review gates, while 85 percent who did not thought they should.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

67. The decision points at each phase gate are known as "Go, Kill, Hold, or Recycle" decisions.
TRUE

The original Stage-Gate™ model was pioneered by Robert G. Cooper several decades ago to improve management of new-product development. The original model incorporates five stages: preliminary investigation, detailed investigation, development, testing and validation, and full production and market launch. Stages precede gates and represent information developed to enable gatekeepers to make the right decision at the next gate. These decision points at each gate are known as go, kill, hold, or recycle decisions. Given the information developed for each stage, the gatekeepers (the oversight team) can decide to continue with the project, abort the project, or revise/recycle.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Easy

68. The Portfolio Project Management methodology can be defined as a structured process to review, evaluate, and document outcomes in each project phase and to provide management with information to guide resource deployment toward strategic goals.
FALSE

The phase gate review process can be defined as a structured process to review, evaluate, and document outcomes in each project phase and to provide management with information to guide resource deployment toward strategic goals.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Easy

69. It is extremely rare that a project that is executing on time, on budget, and meeting project goals will be "killed".
FALSE

If the priorities of the organization have changed, a project that is executing on time, on budget, and meeting the project goals may have to be "killed."

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

70. The first phase of the generic phase gated process in the text is called the Screening and Selection phase.
FALSE

The first phase is the proposal phase which answers a fundamental question: Is the project a good idea and does it solve a business problem or issue?

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Easy

71. The last phase of the generic phase gated process in the text is called the Closure phase.
FALSE

The last Phase 6 is called post project review and lessons learned.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Easy

72. The Proposal phase answers the fundamental question: Is the project a good idea and does it solve a business problem or issue?
TRUE

The first phase is the proposal phase which answers a fundamental question: Is the project a good idea and does it solve a business problem or issue?

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Easy

73. The Implementation Plan phase answers the question: What are the major risks for this project?
FALSE

The selection review includes a thorough analysis based on selection criteria. The gating group uses weighted scoring model criteria, which typically include project risks, costs, resource needs, urgency, financial analysis, benefits, identified sponsor, and other criteria found in selection models. In this phase one of the questions is "What are the major risks for this project?"

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Easy

74. Gate 1 provides information at a minimal expenditure of cost and resources and in a short time, so the project can be reevaluated more thoroughly if it is perceived to have merits.
TRUE

Gate 1 provides information at a minimal expenditure of cost and resources and in a short time, so the project can be reevaluated more thoroughly if it is perceived to have merits.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Project Oversight
Level: Medium

75. In the authors' Project Maturity Model, the Ad Hoc Project Management level has no consistent project management process in place.
TRUE

In an Ad Hoc Project Management no consistent project management process is in place. How a project is managed depends upon the individuals involved.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Easy

76. In the authors' Project Maturity Model, the highest level is Management of Project Management System.
FALSE

The highest level in the authors' Project Maturity Model is Optimization of Project Management System where the focus is on continuous improvement through incremental advancements of existing practices and by innovations using new technologies and methods.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Easy

Short Answer Questions

77. Briefly describe what "Project Oversight" is and why it is important to Project Management.

Project oversight is a set of principles and processes to guide and improve the management of projects. It is important because of the profound paradigm shift that has occurred over the last few years.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Difficult

78. The typical activities of project oversight cover two dimensions. Identify those two dimensions and give two examples of activities for each of those dimensions.

1. organization level Examples: project selection, portfolio management, improving project management, assessing the project management system maturity and using the Balance Score Card. 2. project level Examples: review project objectives, decide on issues raised by PM, and track and assist in resolving bottlenecks.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Difficult

79. What is Portfolio Project Management?

It is the centralized management of projects to ensure that the allocation of resources to projects is directed toward projects that contribute the greatest value to organization goals.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Difficult

80. What is the Project Office and what is its relationship to oversight?

It is the unit responsible for the continued support of consistent application of selection criteria, standards, processes, training, and general assistance to project managers, and continued improvement and use of best practices. The project office is used as the vehicle to support and manage oversight activities.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Difficult

81. What is Phase Gate Methodology and what does it do?

It is the in-depth review of individual projects at specific phases in the project life cycle. These reviews cover assessments to continue or kill the project, reassess resource allocation, reassess prioritization, evaluate execution progress, and strategic alignment decisions.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Difficult

82. Identify the six phases of the authors' generic phase gated process.

1. proposal, 2. screening and selection, 3. implementation, 4. progress evaluation, 5. Closure, and 6. post project review and lessons learned.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Project Oversight
Level: Difficult

83. What is an Organization Project Management Maturity model?

It focuses on guiding and assessing organizations in implementing concrete best practices of managing projects and continuously move to improvement.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Difficult

84. Identify the five growth levels contained in the Project Management Institute's organizational project maturity model, OPM3.

1. Initial, 2. Repeatable, 3. Defined, 4. Managed, and 5. Optimized.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Difficult

85. Identify and briefly describe the five levels in the authors' Project Maturity Model.

1. Ad Hoc Project Management: no consistent project management process, 2. Formal Application of Project Management: the organization applies established project management procedures and techniques, 3. Institutionalization of Project Management: an organization-wide project management system tailored to its specific needs is established, 4. Management of Project Management System: the organization develops a system for managing multiple project that are aligned with strategic goals, and 5. Optimization of Project Management System: the focus is on continuous improvement through incremental advances of existing practices and innovations using new technologies and methods.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Difficult

86. What is the Balanced Scorecard Model and how is it different from selection models?

The balanced scorecard model differs from selection models by reviewing projects over a longer horizon—5 to 10 years after the project is implemented. It is more "macro" in perspective than project selection models. This model measures the results of major activities taken to support the overall vision, mission, and goals of the organization. It helps answer two questions: Did we select the right projects? Did the projects contribute to long-range strategic direction of the firm?

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Organization Project Management in the Long Run
Level: Difficult

Chapter 17 An Introduction to Agile Project Management Answer Key

Multiple Choice Questions

1. Traditional approaches to project management concentrate firmly on thorough planning_____.
A. Up front
B. With the customer
C. With the project team
D. Of the WBS
E. None of the above

Traditional approaches to project management concentrate firmly on thorough planning up front.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Traditional versus Agile Methods
Level: Easy

2. Once the project scope has been firmly established, every detail of the project is defined through the_____.
A. Deliverables
B. Job tickets
C. WBS
D. Estimates
E. Risks

Once the project scope has been firmly established, every detail of the project is defined through the WBS.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Traditional versus Agile Methods
Level: Easy

3. Project_____varies according to the extent the project scope is known and stable and the technology to be used is known and proven.
A. Stability
B. Certainty
C. Unity
D. Uncertainty
E. Degree

Project uncertainty varies according to the extent the project scope is known and stable and the technology to be used is known and proven.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Traditional versus Agile Methods
Level: Medium

4. In many cases,_____only begin to understand what they actually desire when they are provided with someone's impression of what they want.
A. Project Managers
B. Customers
C. Sponsers
D. Team Leaders
E. All of the above are correct

In many cases, customers only begin to understand what they actually desire when they are provided with someone's impression of what they want.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Traditional versus Agile Methods
Level: Easy

5. _____can be a source of unpredictability.
A. Technology
B. Clients
C. Vendors
D. Sponsers
E. WBS

Technology can be a source of unpredictability.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Traditional versus Agile Methods
Level: Medium

6. All of the following are part of the Traditional Project Management model except:
A. Fixed scope
B. Deliverables
C. Continuous Design
D. Low uncertainty
E. Conventional Project Teams

See Table 17.1 on page 585.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Traditional versus Agile Methods
Level: Medium

7. All of the following are part of the Agile Project Management model except:
A. Flexibility
B. High uncertainty
C. Embrace change
D. Design up front
E. Self organized project teams

See Table 17.1 on page 585.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Traditional versus Agile Methods
Level: Medium

8. _____represents a fundamental shift away from the traditional plan-driven project management approach by adopting a more experimental and adaptive approach to managing projects.
A. Agile project management
B. Hybrid project management
C. Uncertain project management
D. Focused project management
E. Interactive project management

Agile PM represents a fundamental shift away from the traditional plan-driven project management approach by adopting a more experimental and adaptive approach to managing projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

9. Iterations are short time frames ("time boxes") that typically last from_____.
A. 1-4 days
B. 1-2 weeks
C. 1-4 weeks
D. 4-7 weeks
E. 7-12 weeks

Iterations are short time frames ("time boxes") that typically last from one to four weeks.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Agile PM
Level: Easy

10. In the Snap Shot From Practice IDEO: Masters of Design, one of the product innovations is:
A. First Apple Mouse
B. Head's Airflow Tennis Racket
C. Zyliss Salad Spinner
D. Nokia N-Gage Smart phones
E. All of the above are correct

IDEO, headquartered in Palo Alto, California, is one of the premier design firms in the world. They are responsible for a wide range of product innovations including the first Apple mouse, Head's Airflow Tennis Racket, Zyliss Salad Spinner, and Nokia N-Gage Smart phones.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Agile PM
Level: Difficult

11. In the Snap Shot From Practice IDEO: Masters of Design. CEO Tim Brown recommends that_____should only take as much time and effort needed to generate useful feedback and evolve an idea.
A. Projects
B. Prototypes
C. Experiments
D. Product Design
E. Development

Brown recommends that prototypes should only take as much time and effort needed to generate useful feedback and evolve an idea.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

12. Iterative development processes provide the which important advantages:
A. Continuous integration, verification, and validation of the evolving product.
B. Frequent demonstration of progress to increase the likelihood that the end product will satisfy customer needs.
C. Early detection of defects and problems.
D. A, B and C are correct
E. None of the above is correct

See List on Page 586.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

13. In the Research Highlight: Product Development practices that Work: The waterfall method is the name used in what industry?
A. Automotive
B. Tool and Dye
C. Publishing
D. Renewable Energy
E. Software

The waterfall model is the name used in the software industry for the traditional approach to project management in which a process breakdown structure (PBS) is used to first define all the requirements up front and then initiate a design, build, integrate, test, deploy sequence.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

14. Which is not part of a family of methods designed to respond to the challenges of unpredictable projects?
A. Agile modeling
B. Lean development
C. RUP (Rational Unified Process)
D. Crystal clear
E. Fixed scope

See List on page 587.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

15. Which each of these Agile principles: Employ business-driven prioritizations of requirements and features?
A. Focus on customer value
B. Iterative and incremental delivery
C. Experimentation and adaptation
D. Self-organization
E. Continuous improvement

Focus on customer value—Employ business-driven prioritizations of requirements and features.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

16. Which each of these Agile principles: create a flow of value to customers by "chunking" project delivery into small, functioning increments?
A. Focus on customer value
B. Iterative and incremental delivery
C. Experimentation and adaptation
D. Self-organization
E. Continuous improvement

Iterative and incremental delivery—Create a flow of value to customers by "chunking" project delivery into small, functioning increments.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

17. hich each of these Agile principles: Test assumptions early and build working prototypes to solicit customer feedback and refine product requirements?
A. Focus on customer value
B. Iterative and incremental delivery
C. Experimentation and adaptation
D. Self-organization
E. Continuous improvement

Experimentation and adaptation—Test assumptions early and build working prototypes to solicit customer feedback and refine product requirements.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

18. Which each of these Agile principles: is where team members decide amongst themselves who and what should be done?
A. Focus on customer value
B. Iterative and incremental delivery
C. Experimentation and adaptation
D. Self-organization
E. Continuous improvement

Self-organization—Team members decide amongst themselves who and what should be done.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

19. Which each of these Agile principles: is where Teams reflect, learn, and adapt to change; work informs the plan?
A. Focus on customer value
B. Iterative and incremental delivery
C. Experimentation and adaptation
D. Self-organization
E. Continuous improvement

Continuous improvement—Teams reflect, learn, and adapt to change; work informs the plan.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

20. A new holistic approach in new commercial product development efforts is known as:
A. Scrum
B. Specific project management
C. Traditional project management
D. Prioritized WBS
E. Functional teams

Scrum can be traced back to the work of Hirotaka Takeuchi and Ikujiro Nonaka who in 1986 described a new holistic approach in new commercial product development efforts.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Agile PM
Level: Medium

21. A_____is defined as a piece of a product that delivers some useful functionality to a customer.
A. Scrum
B. Value
C. Spirit
D. Feature
E. Priority

A feature is defined as a piece of a product that delivers some useful functionality to a customer.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM in action: Scrum
Level: Medium

22. In the Scrum Development Process a specific feature is:
A. Analysis
B. Design
C. Build
D. Trust
E. All of the above are correct.

See Figure 17.3 on page 588.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM in action: Scrum
Level: Medium

23. A person who acts on behalf of customers to represent their interests is called a:
A. Customer service representive
B. Project champion
C. Customer liaison
D. Product owner
E. Production coordinator

A product owner acts on behalf of customers to represent their interests. They are responsible for ensuring that the development team focuses their efforts on developing a product that will fulfill the business objective of the project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Agile PM in action: Scrum
Level: Easy

24. A Development Team typically made up of _____people with cross-functional skill sets.
A. 5-9
B. 7-10
C. 8-12
D. 12-14
E. 15-20

A Development Team typically made up of five-nine people with cross-functional skill sets.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Agile PM in action: Scrum
Level: Easy

25. What are the questions asked at the daily scrum?
A. What have you done since the last Scrum?
B. What will you do between now and the next Scrum?
C. What is getting in the way (blocks) you from performing your work as effectively as possible?
D. What is the newest schedule changes?
E. A, B, and C are all questions

See list on page 590.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Agile PM in action: Scrum
Level: Medium

26. How long does the daily scrum last?
A. 5 min
B. 10 min
C. 15 min
D. 20 min
E. 25 min

The Scrum, which typically lasts 15 minutes, is held next to a whiteboard, at which time all tasks and blocks are recorded. The Scrum Master erases blocks once they have been removed.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM in action: Scrum
Level: Easy

27. The_____is the customer's prioritized list of key features desired when the project is completed.
A. Project master
B. Spirit backlog
C. Creative backlog
D. Product backlog
E. Project list

The product backlog is the customer's prioritized list of key features desired when the project is completed.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Agile PM in action: Scrum
Level: Easy

28. _____represents the amount of work the team commits to complete during the next sprint.
A. Spirit backlog
B. Product backlog
C. Project backlog
D. Schedule backlog
E. Task backlog

The sprint backlog is developed and controlled by the team. It represents the amount of work the team commits to complete during the next sprint.

AACSB: Comprehension
Bloom's: Knowledge
Learning Objective: Agile PM in action: Scrum
Level: Easy

29. Which of the following is not part of the Agile Alliance manifesto that declared four core values?
A. Individuals and interactions over processes and tools.
B. Working software over comprehensive documentation.
C. Creating an end user survey.
D. Customer collaboration over contract negotiation.
E. Responding to change over following a plan.

See list on page 594.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Limitations and Concerns
Level: Difficult

30. _____are the maximum budget that should not be exceeded in the development of a given product or service.
A. Project account
B. Contingencies
C. Agile account
D. Ceilings
E. None of the above are correct.

In response to the financial concerns, many organizations establish "ceilings", which is the maximum budget that should not be exceeded in the development of a given product or service.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Limitations and Concerns
Level: Easy

Fill in the Blank Questions

31. Traditional approaches to project management concentrate firmly on thorough planning _____.
up front

Traditional approaches to project management concentrate firmly on thorough planning up front.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Traditional versus Agile Methods
Level: Easy

32. Once the project scope has been firmly established, every detail of the project is defined through the_____.
WBS

Once the project scope has been firmly established, every detail of the project is defined through the WBS.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Traditional versus Agile Methods
Level: Easy

33. Project_____varies according to the extent the project scope is known and stable and the technology to be used is known and proven.
uncertainty

Project uncertainty varies according to the extent the project scope is known and stable and the technology to be used is known and proven.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Traditional versus Agile Methods
Level: Medium

34. In many cases,_____only begin to understand what they actually desire when they are provided with someone's impression of what they want.
customers

In many cases, customers only begin to understand what they actually desire when they are provided with someone's impression of what they want.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Traditional versus Agile Methods
Level: Medium

35. _____can be a source of unpredictability.
Technology

Technology can be a source of unpredictability.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Factors Influencing the Quality of Estimates
Level: Medium

36. _____represents a fundamental shift away from the traditional plan-driven project management approach by adopting a more experimental and adaptive approach to managing projects.
Agile project management

Agile PM represents a fundamental shift away from the traditional plan-driven project management approach by adopting a more experimental and adaptive approach to managing projects.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Traditional versus Agile Methods
Level: Medium

37. Iterations are short time frames ("time boxes") that typically last from_____.
one to four weeks

Iterations are short time frames ("time boxes") that typically last from one to four weeks.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Easy

38. In the Snap Shot From Practice IDEO: Masters of Design. CEO Tim Brown recommends that_____should only take as much time and effort needed to generate useful feedback and evolve an idea.
prototypes

Brown recommends that prototypes should only take as much time and effort needed to generate useful feedback and evolve an idea.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

39. In the Research Highlight: Product Development practices that Work: The waterfall method is the name used in the_____industry.
Software

The waterfall model is the name used in the software industry for the traditional approach to project management in which a process breakdown structure (PBS) is used to first define all the requirements up front and then initiate a design, build, integrate, test, deploy sequence.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

40. _____employs business-driven prioritizations of requirements and features.
Focus on customer value

Focus on customer value—Employs business-driven prioritizations of requirements and features.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

41. _____create a flow of value to customers by "chunking" project delivery into small, functioning increments.
Iterative and incremental delivery

Iterative and incremental delivery—Create a flow of value to customers by "chunking" project delivery into small, functioning increments.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

42. _____test assumptions early and build working prototypes to solicit customer feedback and refine product requirements.
Experimentation and adaptation

Experimentation and adaptation—Test assumptions early and build working prototypes to solicit customer feedback and refine product requirements.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

43. _____team members decide amongst themselves who and what should be done.
Self-organization

Self-organization—Team members decide amongst themselves who and what should be done.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

44. _____teams reflect, learn, and adapt to change; work informs the plan.
Continuous improvement

Continuous improvement—Teams reflect, learn, and adapt to change; work informs the plan.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

45. _____is a new holistic approach in new commercial product development efforts.
Scrum

Scrum can be traced back to the work of Hirotaka Takeuchi and Ikujiro Nonaka who in 1986 described a new holistic approach in new commercial product development efforts.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM in action: Scrum
Level: Medium

46. A_____is defined as a piece of a product that delivers some useful functionality to a customer.
feature

A feature is defined as a piece of a product that delivers some useful functionality to a customer.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM in action: Scrum
Level: Medium

47. A_____is a person who acts on behalf of customers to represent their interests.
product owner

A Product owner acts on behalf of customers to represent their interests. They are responsible for ensuring that the development team focuses their efforts on developing a product that will fulfill the business objective of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Agile PM in action: Scrum
Level: Easy

48. A_____typically made up of five-nine people with cross-functional skill sets.
development team

A Development Team typically made up of five-nine people with cross-functional skill sets.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Agile PM in action: Scrum
Level: Easy

49. The daily scrum last_____minutes.
15

The Scrum, which typically lasts 15 minutes, is held next to a whiteboard, at which time all tasks and blocks are recorded. The Scrum Master erases blocks once they have been removed.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Agile PM in action: Scrum
Level: Easy

50. The customer's prioritized list of key features desired when the project is completed is the _____.
product backlog

The product backlog is the customer's prioritized list of key features desired when the project is completed.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM in action: Scrum
Level: Medium

51. The_____backlog is developed and controlled by the team. It represents the amount of work the team commits to complete during the next sprint.
sprint

The sprint backlog is developed and controlled by the team. It represents the amount of work the team commits to complete during the next sprint.

AACSB: Comprehension
Bloom's: Knowledge
Learning Objective: Agile PM in action: Scrum
Level: Easy

52. The maximum budget that should not be exceeded in the development of a given product or service are called_____.
ceilings

In response to the financial concerns, many organizations establish "ceilings", which is the maximum budget that should not be exceeded in the development of a given product or service.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Limitations and Concerns
Level: Easy

53. Many of the Agile principles, including_____and intense collaboration, are incompatible with corporate cultures.
self-organizing teams

Many of the Agile principles, including self-organizing teams and intense collaboration, are incompatible with corporate cultures.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Limitations and Concerns
Level: Medium

54. Agile methods appear to work best on_____projects that require only five-nine dedicated team members to complete the work.
small

Agile methods appear to work best on small projects that require only five-nine dedicated team members to complete the work.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Limitations and Concerns
Level: Easy

55. _____frameworks, like Scrum are used exclusively to complete software development projects from beginning to end.
Agile PM

Agile PM frameworks, like Scrum are used exclusively to complete software development projects from beginning to end.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Limitations and Concerns
Level: Medium

True / False Questions

56. Traditional approaches to project management concentrate firmly on thorough planning up front.
TRUE

Traditional approaches to project management concentrate firmly on thorough planning up front.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Traditional versus Agile Methods
Level: Medium

57. Once the project scope has been firmly established, every detail of the project is defined through the project doctrine.
FALSE

Once the project scope has been firmly established, every detail of the project is defined through the WBS.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Traditional versus Agile Methods
Level: Easy

58. Traditional project management requires a fairly high degree of predictability to be effective.
TRUE

Traditional project management requires a fairly high degree of predictability to be effective.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Traditional versus Agile Methods
Level: Medium

59. Project unity varies according to the extent the project scope is known and stable and the technology to be used is known and proven.
FALSE

Project uncertainty varies according to the extent the project scope is known and stable and the technology to be used is known and proven.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Traditional versus Agile Methods
Level: Medium

60. When the project scope and/or technology are not fully known, things become much less predictable.
TRUE

When the project scope and/or technology are not fully known, things become much less predictable.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Traditional versus Agile Methods
Level: Medium

61. In many cases, customers only begin to understand what they actually desire when they are provided with someone's impression of what they want.
TRUE

In many cases, customers only begin to understand what they actually desire when they are provided with someone's impression of what they want.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Traditional versus Agile Methods
Level: Medium

62. Fixed Scope is part of the Traditional Project Management model.
TRUE

See Table 17.1 on page 585.

AACSB: Difficult
Bloom's: Comprehension
Learning Objective: Traditional versus Agile Methods
Level: Medium

63. Conventional project teams are part of the Agile Project Management model.
FALSE

See Table 17.1 on page 585.

AACSB: Difficult
Bloom's: Comprehension
Learning Objective: Traditional versus Agile Methods
Level: Medium

64. Agile PM represents a fundamental shift away from the traditional plan-driven project management approach by adopting a more experimental and adaptive approach to managing projects.
TRUE

Agile PM represents a fundamental shift away from the traditional plan-driven project management approach by adopting a more experimental and adaptive approach to managing projects.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Traditional versus Agile Methods
Level: Easy

65. Iterations are short time frames ("time boxes") that typically last from two to five weeks.
FALSE

Iterations are short time frames ("time boxes") that typically last from one to four weeks.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Easy

66. Fundamentally, Agile PM is related to the rolling wave planning and scheduling project methodology.
TRUE

Fundamentally, Agile PM is related to the rolling wave planning and scheduling project methodology.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Agile PM
Level: Easy

67. Each new iteration replaces the work of the previous iterations and adds new capabilities to the evolving to produce a next expanded version of the product.
FALSE

Each new iteration subsumes the work of the previous iterations and adds new capabilities to the evolving to produce a next expanded version of the product.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Agile PM
Level: Easy

68. In the Snap Shot From Practice IDEO: Masters of Design. CEO Tim Brown recommends that projects should only take as much time and effort needed to generate useful feedback and evolve an idea.
FALSE

Brown recommends that prototypes should only take as much time and effort needed to generate useful feedback and evolve an idea.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

69. In the Research Highlight: Product Development practices that Work: The waterfall method is the name used in the automotive industry.
FALSE

The waterfall model is the name used in the software industry for the traditional approach to project management in which a process breakdown structure (PBS) is used to first define all the requirements up front and then initiate a design, build, integrate, test, deploy sequence.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

70. Lean Development is not part of a family of methods designed to respond to the challenges of unpredictable projects.
FALSE

See List on page 587.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

71. Focus on customer value employs business-driven prioritizations of requirements and features.
TRUE

Focus on customer value—Employ business-driven prioritizations of requirements and features.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

72. Self-organization are team members who decide amongst themselves who and what should be done.
TRUE

Self-organization—Team members decide amongst themselves who and what should be done.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

73. Iterative and incremental deliver creates a flow of value to customers by "chunking" project delivery into large, functioning increments.
FALSE

Iterative and incremental delivery—Create a flow of value to customers by "chunking" project delivery into small, functioning increments.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Medium

74. Experimentation and adaptation tests assumptions that the project manager's interpretation of the project is correct.
FALSE

Experimentation and adaptation—Test assumptions early and build working prototypes to solicit customer feedback and refine product requirements.

AACSB: Analytic
Bloom's: Reflective Thinking
Learning Objective: Agile PM
Level: Medium

75. Continuous improvement teams reflect, learn, and adapt to change; work informs the plan.
TRUE

Continuous improvement—Teams reflect, learn, and adapt to change; work informs the plan.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Agile PM
Level: Easy

76. Priorities are re-evaluated before each iteration.
FALSE

Priorities are re-evaluated after each iteration.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Agile PM in action: Scrum
Level: Medium

77. The goal of each sprint is to produce fully functional features.
TRUE

The goal of each sprint is to produce fully functional features. This forces the team to tackle tough decisions early in order to create a workable demo.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Agile PM in action: Scrum
Level: Medium

78. The third phase of the Scrum Development Process is to build the feature so that it is functional.
TRUE

The third phase of the Scrum Development Process is to build the feature so that it is functional.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Agile PM in action: Scrum
Level: Medium

79. The product owner has the option to change features and priorities at the end of each sprint if desired.
TRUE

The product owner has the option to change features and priorities at the end of each sprint if desired. However, no changes should be made once a sprint has started.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Agile PM in action: Scrum
Level: Easy

80. Agile PM satisfies top management's need for budget, scope, and schedule control.
FALSE

Agile PM does not satisfy top management's need for budget, scope, and schedule control.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Limitations and Concerns
Level: Easy

Short Answer Questions

81. From the Research Highlight: Product Development practices that Work: list the practices that were statistically correlated with the most successful projects.

1. An iterative lifecycle with early release of the evolving product to stakeholders for review and feedback. 2. Daily incorporation of new software and rapid feedback on design changes. 3. A team with a broad based experience in shipping multiple projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Agile PM
Level: Difficult

82. List the Agile principles: designed to respond to the challenges of unpredictable projects.

1. Focus on customer value—Employs business-driven prioritizations of requirements and features. 2. Iterative and incremental delivery—Create a flow of value to customers by "chunking" project delivery into small, functioning increments. 3. Experimentation and adaptation—Test assumptions early and build working prototypes to solicit customer feedback and refine product requirements. 4. Self-organization—Team members decide amongst themselves who and what should be done. 5. Continuous improvement—Teams reflect, learn, and adapt to change; work informs the plan.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Agile PM
Level: Difficult

83. Identify the three key roles to the scrum process

1. product owner, 2. development team, 3. Scrum Master.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Agile PM in action: Scrum
Level: Medium

84. Describe the Spirit planning concept.

At the start of each sprint, the product owner and development team negotiate which product backlog items the Team will attempt this sprint. The product owner is responsible for identifying which features are most important, and the team is responsible for determining what is possible within the sprint. If it is impossible to complete a certain key item within four weeks the team works with the product owner to break the feature down into doable pieces. All committed items are recorded in a product backlog. The team uses this backlog to prioritize specific work to be done and assign initial responsibilities. These tasks are recorded in the sprint backlog. Once the meeting has adjourned the goals for the Sprint cannot be changed.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Agile PM in action: Scrum
Level: Difficult

85. What is the daily scrum and what are the key question that are addressed?

The heartbeat of an Agile project is the daily meetings which are commonly referred to as the "Scrum." The Scrum, which typically lasts 15 minutes, is held next to a whiteboard, at which time all tasks and blocks are recorded. The Scrum Master erases blocks once they have been removed. Each work day at the same time and place, team members stand in a circle and take turns answering the following key questions:
1. What have you done since the last Scrum?
2. What will you do between now and the next Scrum?
3. What is getting in the way (blocks) you from performing your work as effectively as possible?

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Agile PM in action: Scrum
Level: Difficult

Chapter 18 Project Management Career Paths Answer Key

Multiple Choice Questions

1. People find that their project management responsibilities_____as they move up the organization's hierarchy.
A. Contracts
B. Advances
C. Simplifies
D. Expands
E. Specializes

People find that their project management responsibilities expand as they move up the organization's hierarchy.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Career Paths
Level: Easy

2. In Snapshot from practice: Rod Gwinn What does Rod Gwinn say he likes about project management?
A. The sense of accomplishment
B. The opportunity to work with people
C. The chance to work on different products
D. Making clients happy with exceptional customer service
E. Being able to train people to be a successful Project manager

Gwinn says "One of the things I enjoy most about this type of work is the sense of accomplishment in delivering a project that is useful, useable, and meets, or even exceeds, expectations."

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Career Paths
Level: Easy

3. One aspect of project managing that is unique is the_____nature of assignments.
A. Permanent
B. Fluid
C. Temporary
D. Variety
E. Changing

One aspect of project managing that is unique is the temporary nature of assignments.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Temporary Assignments
Level: Easy

4. If you are considering pursuing a career in project management, you should first find out what specific project job opportunities exist_____.
A. In your field
B. In your schools job bank
C. With your peers
D. With your customers
E. In your company

If you are considering pursuing a career in project management, you should first find out what specific project job opportunities exist in your company.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Pursuing a Career
Level: Easy

5. Project managers mastered the job through_____, buttressed by occasional workshops on specific project topics such as project scheduling or negotiating contracts.
A. Intense schooling
B. On-the-job training
C. An apprentice program
D. Observation of another project manager
E. None of the above

They mastered the job through on-the-job training, buttressed by occasional workshops on specific project topics such as project scheduling or negotiating contracts.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Professional Training and Certification
Level: Medium

6. PMI membership entitles members to subscriptions to the following publication(s).
A. Project Management Journal
B. Project Management Today
C. PM Network
D. A, B and C are correct
E. A and C are correct

Many professionals find it beneficial to join the Project Management Institute (PMI). Membership entitles you to subscriptions to PMI publications including the academic Project Management Journal and the PM Network, a trade magazine. PMI sponsors workshops and national forums on project management.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Professional Training and Certification
Level: Medium

7. There are more than _____local PMI chapters across North America.
A. 50
B. 100
C. 200
D. 300
E. 500

When you join PMI you also become a member of one of the more than 300 local chapters across North America.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Professional Training and Certification
Level: Medium

8. Many project managers' careers began by_____for task forces and small projects.
A. Volunteering
B. Applying
C. Working
D. All the above is correct
E. None of the above is correct

Many project managers' careers began by volunteering for task forces and small projects.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Gaining Visibility
Level: Easy

9. In pursuing your ambition you should continually be on the lookout for _____.
A. New projects
B. A mentor
C. Better career opportunities
D. Project management workshops
E. New project management oriented Websites

In pursuing your ambition you should continually be on the lookout for a mentor.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Mentors
Level: Medium

10. Be careful to be involved in projects commensurate with your_____as you are starting your project management career.
A. Abilities
B. Plans
C. Goals
D. Experience
E. All of the above

Top-down estimates are only a rough cut and typically occur in the "conceptual" stage of the project.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Mentors
Level: Easy

Fill in the Blank Questions

11. People find that their project management responsibilities_____as they move up the organization's hierarchy.
expand

People find that their project management responsibilities expand as they move up the organization's hierarchy.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Career Paths
Level: Easy

12. One aspect of project managing that is unique is the temporary nature of_____.
assignments

One aspect of project managing that is unique is the temporary nature of assignments.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Temporary Assignments
Level: Easy

13. If you are considering pursuing a career in project management, you should first find out what specific project job opportunities exist_____.
in your company

If you are considering pursuing a career in project management, you should first find out what specific project job opportunities exist in your company.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Pursuing a Career
Level: Medium

14. _____mastered the job through on-the-job training, buttressed by occasional workshops on specific project topics such as project scheduling or negotiating contracts.
Project managers

They mastered the job through on-the-job training, buttressed by occasional workshops on specific project topics such as project scheduling or negotiating contracts.

AACSB: Analytic
Bloom's: Knowledge
Learning Objective: Professional Training and Certification
Level: Medium

15. Many professionals find it beneficial to join the_____.
Project Management Institute (PMI)

Many professionals find it beneficial to join the Project Management Institute (PMI). Membership entitles you to subscriptions to PMI publications including the academic Project Management Journal and the PM Network, a trade magazine. PMI sponsors workshops and national forums on project management.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Professional Training and Certification
Level: Medium

16. PMI has more than ____local chapters across North America.
300

When you join PMI you also become a member of one of the more than 300 local chapters across North America.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Professional Training and Certification
Level: Medium

17. Many project managers' careers began by volunteering for task forces and _____.
small projects

Many project managers' careers began by volunteering for task forces and small projects.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Gaining Visibility
Level: Medium

18. In pursuing your ambition you should continually be on the lookout for a_____.
mentor

In pursuing your ambition you should continually be on the lookout for a mentor.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Top-Down versus Bottom-Up Estimating
Level: Medium

19. Attending conferences, trade fairs, and workshops provides good opportunities to _____.
network

Attending conferences, trade fairs, and workshops provides good opportunities to "network".

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Mentors
Level: Easy

20. As you are starting your project management career, be careful to be involved in projects commensurate with your_____.
abilities

Be careful to be involved in projects commensurate with your abilities.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

True / False Questions

21. There is no set career path for becoming a project manager.
TRUE

There is no set career path for becoming a project manager. Career avenues vary from industry to industry, organization to organization, and from profession to profession.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Career Paths
Level: Easy

22. People find that their project management responsibilities contract as they move up the organization's hierarchy.
FALSE

People find that their project management responsibilities expand as they move up the organization's hierarchy.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Career Paths
Level: Easy

23. One aspect of project managing that is unique is the temporary nature of assignments.
TRUE

One aspect of project managing that is unique is the temporary nature of assignments.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Temporary Assignments
Level: Easy

24. Once the project is complete tenure is granted to project managers.
FALSE

Tenure is rarely granted to project managers. Once the project is completed, the manager may return to his previous department, even to a lesser position.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Methods for Estimating Project Times and Costs
Level: Medium

25. Due to the difficulty of the position, project managers will not lose their position due to a unsuccessful project.
FALSE

A promising career can be derailed by one unsuccessful project.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Temporary Assignments
Level: Medium

26. If you are considering pursuing a career in project management, you should first find out what specific project job opportunities exist in your company.
TRUE

If you are considering pursuing a career in project management, you should first find out what specific project job opportunities exist in your company.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Pursuing a Career
Level: Medium

27. Most project managers have received formal training in project management.
FALSE

Most project managers have never received formal training in project management.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Professional Training and Certification
Level: Easy

28. Most fast-track managers acknowledge that experience played a significant role in their advancement.
FALSE

Most fast-track managers acknowledge that mentors played a significant role in their advancement.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Mentors
Level: Medium

29. Since much project work is temporary and contractual in nature, it is important to develop professional contacts that may lead to future work.
TRUE

Since much project work is temporary and contractual in nature, it is important to develop professional contacts that may lead to future work.

AACSB: Reflective Thinking
Bloom's: Knowledge
Learning Objective: Mentors
Level: Easy

30. It is important to pick projects more for the quality of the people working on them than for the scope of the projects.
TRUE

Pick projects more for the quality of the people working on them than for the scope of the projects.

AACSB: Reflective Thinking
Bloom's: Comprehension
Learning Objective: Success in Key Projects
Level: Medium

Short Answer Questions

31. Describe the PMI certification eligibility requirements for the CAPM.

Eligibility Requirements: High school diploma/global equivalent AND 1,500 hours experience OR 23 hours pm education.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Professional Training and Certification
Level: Medium

32. Explain the PMI certification eligibility requirements for the PMP.

Eligibility Requirements: High school diploma/global equivalent **5** years project management experience **35** hours project management education **OR** Bachelor's degree/global equivalent **3 years** project management experience **35** hours project management education.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Professional Training and Certification
Level: Medium

33. Who are mentors and why are they important?

Mentors are typically superiors who take a special interest in you and your career. They use their clout to champion your ambitions and act as a personal coach, teaching you "the ropes to skip and the ropes to know." This special treatment does not come without a price. Mentors typically require fervent loyalty and superior performance; after all, the mentor's reputation rests on your performance.

AACSB: Analytic
Bloom's: Comprehension
Learning Objective: Mentors
Level: Medium

34. What are formal mentoring programs?

Many organizations have instituted formal mentoring programs in which experienced project managers are assigned to promising young managers. Although the relationship may not evolve to the personal level experienced with an informal mentor, designated mentors play a very similar role in coaching and championing one's professional progress.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Mentors
Level: Medium

35. What should be your goal be as a project manager?

Ultimately your goal is to accumulate a portfolio of project management experiences that broaden your skill base and reputation. Early on you should choose, when possible, projects with the greatest learning opportunities. Pick projects more for the quality of the people working on them than for the scope of the projects. There is no better way to learn how to be an effective project manager than by watching one at work. Keep a diary of your observations and review and refine lessons learned. Later, as your confidence and competency grow, you should try to get involved in projects that will enhance your reputation within the firm. Remember the comments about customer satisfaction. You want to exceed your superior's expectations. Avoid run-of-the-mill projects or assignments. Seek high-profile projects that have some risks and tangible payoffs. At the same time, be careful to be involved in projects commensurate with your abilities.

AACSB: Analytic
Bloom's: Synthesis
Learning Objective: Success in Key Projects
Level: Difficult

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FINALTERM EXAMINATION
Spring 2009
MGMT627 Project Management

Marks: 81

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structures. Identify the chief characteristic of a weak matrix.

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- The functional manager has relatively more influence in making decisions than the project manager
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- Re-baselining occurs frequently

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High production costs are typically found at which of the following Project Life Cycle
(PLC) phases?

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- Decline phase of the PLC
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Which of the following is included in Project Scope Management?

- Plan development
- Project plan execution
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Question No: 4 (Marks: 1) - Please choose one
Which of the following statements is TRUE about scope management?

- It entails managing the project's work content
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- It is not a concern of the project manager

Question No: 5 (Marks: 1) - Please choose one
Which of the following statements best describes the project life-cycle?

- Project concept, project execution, and project reporting
- Project planning, work authorization, and project reporting
- Project planning, project control, project definition, work breakdown structure development and project termination
- Project concept, project planning, project execution, and project close-out

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All of the following are activities of the Project Engineering Manager, EXCEPT:

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Software Project Management

Multiple Choice Questions & Answers:-

1. Which of the following is not project management goal?

a) Keeping overall costs within budget.

b) Delivering the software to the customer at the agreed time.

c) Maintaining a happy and well-functioning development team.

d) Avoiding costumer complaints.

Answer:D

2. Project managers have to assess the risks that may affect a project.

a) True

b) False

Answer:B

3. Which of the following is not considered as a risk in project management?

a) Specification delays

b) Product competition

c) Testing

d) Staff turnover

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Answer:C

4. The process each manager follows during the life of a project is known as

a) Project Management

b) Manager life cycle

c) Project Management Life Cycle

d) All of the mentioned

Answer:C

5. A 66.6% risk is considered as

a) very low

b) low

c) moderate

d) high

e) very high

Answer:D

6. Which of the following is/are main parameters that you should use when computing the costs of a software development project?

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a) travel and training costs

b) hardware and software costs

c) effort costs (the costs of paying software engineers and managers)

d) All of the mentioned

Answer:D

7. Quality planning is the process of developing a quality plan for

a) team

b) project

c) customers

d) project manager

Answer:B

8. Which of the following is incorrect activity for the configuration management of a software system?

a) Internship management

b) Change management

c) Version management

d) System management

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Answer:A

9. Identify the sub-process of process improvement

a) Process introduction

b) Process analysis

c) De-processification

d) Process distribution

Answer:B

10. An independent relationship must exist between the attribute that can be measured and the external quality attribute.

a) True

b) False

Answer:B

11. If a software production gets behind schedule, one can add more programmers and catch up.

a) True

b) False

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Answer:B

12. Choose an internal software quality from given below:

a) scalability

b) usability

c) reusability

d) reliability

Answer:C

13. RUP stands for_____created by a division of_____.

a) Rational Unified Program, IBM

b) Rational Unified Process, Infosys

c) Rational Unified Process, Microsoft

d) Rational Unified Process, IBM

Answer:D

14. The RUP is normally described from three perspectives-dynamic, static & practice.What does static perspective do ?

a) It shows the process activities that are enacted.

b) It suggests good practices to be used during the process.

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c) It shows the phases of the model over time.

Answer:A

15. The only deliverable work product for a successful project is the working program.

a) True

b) False

Answer:B

16. Which phase of the RUP is used to establish a business case for the system ?

a) Transition

b) Elaboration

c) Construction

d) Inception

Answer:D

17. Which one of the following is not a fundamental activity for software processes in software engineering ?

a) Software Verification

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b) Software Validation

c) Software design and implementation

d) Software evolution

e) Software specification

Answer:A

18. A general statement of objectives is the major cause of failed software efforts.

a) True

b) False

Answer:A

19. The longer a fault exists in software

a) the more tedious its removal becomes

b) the more costly it is to detect and correct

c) the less likely it is to be properly corrected

d) All of the mentioned

Answer:D

20. Component-based Software Engineering allows faster delivery.

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a) True

b) False

Answer:A

21. Arrange the following steps to form a basic/general Engineering Process Model.

i. Test

ii. Design

iii. Install

iv. Specification

v. Manufacture

vi. Maintain

a) 2, 4, 5, 1, 6, 3

b) 4, 2, 5, 1, 3, 6

c) 2, 4, 5, 1, 3, 6

d) 4, 2, 5, 1, 6, 3

Answer:B

22. Which of the following categories is part of the output of software process?

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a) computer programs

b) documents that describe the computer programs

c) data

d) All of the mentioned

Answer:D

23. Which is a software configuration management concept that helps us to control change without seriously impeding justifiable change?

a) Baselines

b) Source code

c) Data model

d) None of the mentioned

Answer:A

24. Software Configuration Management can be administered in several ways. These include

a) A single software configuration management team for the whole organization

b) A separate configuration management team for each project

c) Software Configuration Management distributed among the project members

d) All of the mentioned

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Answer:A

25. What combines procedures and tools to manage different versions of configuration objects that are created during the software process?

a) Change control

b) Version control

c) SCIs

d) None of the mentioned

Answer:B

26. What complements the formal technical review by assessing a configuration object for characteristics that are generally not considered during review?

a) Software configuration audit

b) Software configuration management

c) Baseline

d) None of the mentioned

Answer:A

27. Which of the following is the process of assembling program components, data, and libraries, and then compiling and linking these to create an executable

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system?

a) System building

b) Release management

c) Change management

d) Version management

Answer:A

28. Which of the following option is not tracked by configuration management tools?

a) Tracking of change proposals

b) Storing versions of system components

c) Tracking the releases of system versions to customers

d) None of the mentioned

Answer:D

29. Which of the following is not a Software Configuration Management Activity?

a) Configuration item identification

b) Risk management

c) Release management

d) Branch management

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Answer:B

30. The definition and use of configuration management standards is essential for quality certification in

a) ISO 9000

b) CMM

c) CMMI

d) All of the mentioned

Answer:D

31. What involves preparing software for external release and keeping track of the system versions that have been released for customer use?

a) System building

b) Release management

c) Change management

d) Version management

Answer:B

32. Which two requirements are given priority during Requirement Management of a product ?

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a) User and Developer

b) Functional and Non-functional

c) Enduring and Volatile

Answer: C

33. Considering the example of issue/return of a book, cataloging etc. in a library management.What type of management requirement is being depicted here?

a) Enduring

b) Volatile

Answer:A

34. Why is Requirements Management Important ? It is due to the changes

a) to the environment

b) in technology

c) in customer's expectations

d) in all of the mentioned.

Answer:D

35. Requirements Management is a prerequisite for Quality-Oriented

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Development.

a) True

b) False

Answer:A

36. Requirements traceability is one of the most important part requirement management. It may also be referred to as the heart of requirement management.

a) True

b) False

Answer:A

37. Requirements Management has a high initial start-up cost but does not need ongoing funding throughout a project.

a) True

b) False

Answer:B

38.Which of the following is not a Requirement Management workbench tool ?

a) RTM

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b) DOORS

c) Rational Suite

d) RDD 100

Answer:C

39. Which of the following is a requirement management activity ?

a) Investigation

b) Design

c) Construction and Test

d) All of the mentioned

Answer:D

40. What functionality of Requirement Management Tool (RMT) is depicted by the statement: “the tool should be able to automatically detect relations between artifacts. For example information retrieval techniques, monitoring of change history, naming schemas or model transformations.”

a) Automatic Link Detection

b) Documentation Support

c) Graphical Representation

d) Automatic Link Creation and Change

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Answer:A

41. According to a statistical report: “over 30% of all software projects are cancelled before completion and over 70% of the remainder fail to deliver expected features”. What must be the reason for such a situation ?

a) Poor change management

b) Poor requirements management

c) Poor quality control

d) All of the mentioned

Answer:B

42. Which of the following are parameters involved in computing the total cost of a software development project?

a) Hardware and software costs

b) Effort costs

c) Travel and training costs

d) All of the mentioned

Answer:D

43. Which of the following costs is not part of the total effort cost?

a) Costs of networking and communications

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b) Costs of providing heating and lighting office space

c) Costs of lunch time food

d) Costs of support staff

Answer:C

44. What is related to the overall functionality of the delivered software?

a) Function-related metrics

b) Product-related metrics

c) Size-related metrics

d) None of the mentioned

Answer:A

45. A_____is developed using historical cost information that relates some software metric to the project cost.

a) Algorithmic cost modelling

b) Expert judgement

c) Estimation by analogy

d) Parkinson's Law

Answer:A

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46. It is often difficult to estimate size at an early stage in a project when only a specification is available

a) True

b) False

Answer:a

47. Which technique is applicable when other projects in the same analogy application domain have been completed?

a) Algorithmic cost modelling

b) Expert judgement

c) Estimation by analogy

d) Parkinson's Law

Answer:c

48. Which model assumes that systems are created from reusable components, scripting or database programming?

a) An application-composition model

b) A post-architecture model

c) A reuse model

d) An early design model

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Answer:A

49. Which of the following states that work expands to fill the time available.

a) CASE tools

b) Pricing to win

c) Parkinson's Law

d) Expert judgement

Answer:C

50. Which model is used during early stages of the system design after the requirements have been established?

a) An application-composition model

b) A post-architecture model

c) A reuse model

d) An early design model

Answer:D

51. Which model is used to compute the effort required to integrate reusable components or program code that is automatically generated by design or program translation tools?

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a) An application-composition model

b) A post-architecture model

c) A reuse model

d) An early design model

Answer:C

52. The COCOMO model takes into account different approaches to software development, reuse, etc.

a) True

b) False

Answer:B

53.Identify, from among the following, the correct statement.

a) One of the main challenges Software Engineering facing today is the requirement of most software systems to work with a multitude of homogenous systems

b) 'Legacy systems' are custom developed software systems for the legal domain

c) Software does not wear-out in the traditional sense of the term, but software does tend to deteriorate as it evolves

d) Since software is essentially 'intangible' it is relatively easy to manage software projects

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e) With the advent of component based software assembly, we find that only less than 20% of today's software is still custom built.

Answer:C

54.Software Engineering:

a) Is a set of rules about developing software products

b) Has been around as a discipline since the early 50's

c) Started as a response to the so-called 'Software Crisis' of the late 90's

d) Is an engineering discipline concerned with all the aspects of software production

e) Is now a mature discipline on par with other established engineering fields.

Answer:D

55.

Read the following paragraph and identify the correct statement.

"Imagine that you were recently hired as a software engineer to a company that specializes in aircraft navigation control software. While orientating yourselves to the company's work practices, you observe that they in fact do not conduct a few tests that they should in order to comply with the relevant safety standard. When you inquire about this from the project manager, he dismisses it saying that those tests are really unnecessary (and takes an unreasonably long time to conduct, as well as being superfluous) and that they have managed with the other tests for so long, without any problems."

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a) You should immediately resign from the company and file a complaint with the relevant standard institution

b) You should do nothing and let the matter slide

c) Although you are new to the company, and you hardly know anything about the internal processes and politics, you should insist on the company changing its work practices immediately; failing which you threaten to report the matter

d) Since you are new to the company, and you are unfamiliar with the internal processes and politics, you should first find-out more about the issue and its background

e) None of the above statements are correct.

Answer:D

56.

With regard to Evolutionary development, identify the correct statement.

a) Evolutionary development usually comes in two flavors; exploratory development, and throw-away prototyping

b) Very large projects are natural candidates for an evolutionary development based approach

c) Exploratory development is used in situations where most of the requirements are well understood in advance

d) One of the strong points of evolutionary development is that it facilitates easy project management, through the high volume of documentation it generates

e) Often the construction of a throw-away prototype is not followed by a reimplementation of the system using a more structured approach.

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Answer:A

57.

What is the fundamental reason that software cannot be considered to be engineered?

a) It is designed by humans and therefore flawed

b) Software engineering (as opposed to other forms of engineering, such as Civil) is an art – not a science

c) The discipline is relatively new, say in comparison to bridge building that is an activity that has millennia of practice

d) None of these are true. Software Engineering is a truly rigorous discipline

e) The complexity of systems and their interaction continues faster than we can understand it.

Answer:E

58.

The software life cycle can be said to consist of a series of phases. The classical model is referred to as the waterfall model. Which phase may be defined as “The concept is explored and refined, and the client’s requirements are elicited?”

a) Requirements (b) Specification (c) Design

d) Implementation (e) Integration.

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Answer:A

59.

The individual or organisation who wants a product to be developed is known as the:

a) Developer (b) User (c) Contractor (d) Initiator (e) Client.

Answer:E

60.

Which of the following items should not be included in the software project management plan?

a) The techniques and case tools to be used

b) Detailed schedules, budgets and resource allocations

c) The life cycle model to be used

d) The organisational structure of the development organisation, project responsibilities, managerial objectives and priorities

e) None of the above.

Answer:E

61.

The final form of testing COTS software is_____testing.

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a) Unit (b) Integration (c) Alpha (d) Module (e) Beta.

Answer:E

62.

In the maintenance phase the product must be tested against previous test cases. This is known as_____testing.

a) Unit (b) Integration (c) Regression (d) Module (e) Beta.

Answer:C

63.

Which property of the rapid prototype is not important?

a) The speed with which it can be developed

b) The speed with which it can be modified

c) Its ability to determine the client's real needs

d) The insights that the design team can gain from it, even if they are of the 'how not to do it' variety

e) Its internal structure.

Answer:C

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64.

An example of the risk involved in software development is

a) Key personnel may resign before the product is complete

b) The manufacturer of critical components (e.g. the hardware associated with a real-time system) may go bankrupt

c) Technology changes may render the product obsolete

d) Competitors may market a fully functional lower-cost equivalent package

e) All of these are risks involved in software development.

Answer:E

65.

A simple way of looking at the spiral software life-cycle model is as a waterfall model with each phase proceeded by

a) Build-and-fix

b) Freezing

c) Synchronization

d) Testing

e) Risk analysis.

Answer:E

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66.

The degree of interaction between two modules is known as

a) Cohesion

b) Strength

c) Inheritance

d) Coupling

e) Instantiation.

Answer:D

67.

The relationship between a derived class (or subclass) and base class is referred to as

a) Association

b) Inheritance

c) Polymorphism

d) Instantiation

e) Aggregation.

Answer:B

68.

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Myers (1978) identifies seven levels of cohesion. Which level of cohesion may be defined as followed; “the output from one element in the component serves as input for some other element”?

a) Communicational cohesion

b) Functional cohesion

c) Communicational cohesion

d) Temporal cohesion

e) None of these.

Answer:A

69.

A design is said to be a good design if the components are

a) Strongly coupled

b) Weakly cohesive

c) Strongly coupled and Weakly cohesive

d) Strongly coupled and strongly cohesive

e) Strongly cohesive and weakly coupled.

Answer:E

70.

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If a control switch is passed as an argument this is an example of _____ coupling.

a) Content

b) Common

c) Control

d) Stamp

e) Data.

Answer:C

71.

Which of the following is a type of abstraction?

a) Data

b) Procedural

c) Iteration

d) All of the above

e) None of the above.

Answer:D

72.

In the classical chief programmer team approach, the team member responsible

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for maintaining the detailed design and coding is

a) The chief programmer

b) The programming secretary

c) A specialized function that exists outside 'the team'

d) The individual coder (i.e. programmer)

e) The back-up programmer.

Answer:D

73.

Internal costs include

a) Developers salaries

b) Managers and support personnel salaries

c) The cost of overheads such as utilities, rent and senior managers

d) Materials (such as manuals) and services such as travel

e) All of the above.

Answer:a

74.

Problems with using Lines of Code to measure the size of a product include(s)

a) The creation of source code is only part of the development effort

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b) The Lines of Code (LOC) will differ between languages and cannot be measured for some languages

c) Should comments, data definitions etc (i.e. non-executable LOC) be included as well?

D) The final size (kLOC) can only be determined once the product is delivered

e) All of the above.

Answer:e

75.

Software Science bases its estimation of the size of a product on

a) Files (Fi), Flows (Fl) and Processes (Pr)

b) Lines of Code (kLOC)

c) Function Points (FP)

d) operands and operators

e) Feature Points (FeP).

Answer:d

76.

In Intermediate COCOMO the mode that represents complex products is referred to as

a) Embedded

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b) Semidetached

c) Organic

d) Multiplicative

e) Monolithic.

Answer:A

77.

Work that continues throughout the project and does not relate to any specific phase of software development is termed a(n)

a) Milestone

b) Project function

c) Activity

d) Task

e) Baseline.

Answer:B

78.

The advantage of following the IEEE Standard for drawing up a Software Project Management Plan (SPMP) – see IEEE Standard 1059.1 1987 – is

a) It is drawn up by representatives from major software development organisations

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b) It is designed for all types of software products

c) It is a framework that can be used irrespective of process model or specific techniques

d) It can be tailored for each organisation for a particular application area, development team or technique.

e) All of the above.

Answer:E

79.

The best way to test the Software Project Management Plan (SPMP) is by

a) Prototyping

b) Inspection

c) Simulation

d) Compilation

e) Debugging.

Answer:B

80.

Algorithmic cost estimation in different organisations may be different for the same application development, because

a) Different organisations consider complexity factors differently

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b) Different organisations may use different programming languages

c) Developers' skills may vary

d) Techniques for the measurement of productivity may vary

e) All of the above may be true.

Answer:E

81.

The aim of software engineering is to produce software that is

a) Fault-free

b) Delivered on time

c) Delivered within budget

d) Satisfies users' needs

e) All of these are the aims of software engineering.

Answer:E

82.

Object-oriented concepts are not new. The first OO language was considered to be

a) ALGOL-68

B) FORTRAN 77

c) C

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d) MODULA

e) SIMULA 67.

Answer:E

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AFTER MID QUIZ FILE QUIZ NO 2 MGMT 627

1. A program plan measures which of the following?

a. Performance
b. Manpower
c. Program requirements
d. Facility requirements

2. The Linear Responsibility Chart (LRC) can result from which of the following?

a. Customer imposed requirements (Lesson no 25 Page no 172 Handouts)
b. Planning
c. Scheduling
d. Communication

3. The detailed project scope statement includes which of the following(s)

a. Project Boundaries
b. Project Deliverables
c. Both a and b (Lesson no 26 Page no 186 Handouts)
d. None of the above

4. The detailed project scope statement includes which of the following(s)

a. Project Objectives
b. Product Scope Description
c. Project Requirements
d. All of the above (Lesson no 26 Page no 186 Handouts)

5. Scope defines the size of the project. Scope include(s) which of the following(s)?

a. Departments
b. Geographic locations
c. Deliverables
d. All of the above (Lesson no 26 Page no 180 Handouts)

6. Who among the following is responsible for developing organization charts?

a. Higher management
b. Program office (Lecture no 24 Page no 165 Handouts)
c. Functional management
d. Finance office

7. Uncontrolled changes in a project's scope are called

a. Scope creep
b. Requirement creep
c. Kitchen Sink Syndrome
d. All of the above (Lesson no 26 Page no 181 Handouts)

8. General guidelines for project managers are established by:

a. Top Management (Lesson no 25 Page no 172 Handouts)
b. Middle Management
c. Lower Management
d. Project Office

9. Which of the following is a Master production schedule?

a. Sales plan
b. Production plan (Lesson no 24 Page no 166 Handouts)
c. Financial plan
d. Manufacturing plan

10. Refining the estimating criteria is _____ of scheduling.

a. Objective
b. Constraint
c. Primary objective
d. Secondary objective (Lesson no 24 Page no 165 Handouts)

11. The common scheduling techniques are

a. All of the above (Lecture no 28 From Slides)
b. Line of balance
c. Gantt or bar charts and Milestone charts
d. Networks

12. Which of the following is the basic difference between good project manager and poor project manager?

a. Project planning (Lecture no 25 Page no 172 Handouts)
b. Project Coordination
c. Project Termination
d. Project execution

13. Which of the following methods breaks work down into system & major sub systems?

a. Flow method (Lecture no 23 From Slides)
b. Organization Method
c. Life cycle Method
d. Logic flow diagram

14. Who among the following is responsible to verify all activities of a project?

a. Functional office
b. Management office
c. Program office (Lecture no 24 Page no 164 Handouts)
d. Finance office

15. Which of the following will be the duration of a project, if the execution phase is one year?

a. Four years
b. Five years
c. Three years
d. Two years (Lecture no 25 Page no 177 Handouts)

16. The process which is carried out whenever one or more deliverables are ready to be handed over

a. Scope verification (Lecture no 26 Page no 188 Handouts)
b. Both a and b
c. None of the above
d. Scope Change Control

17. Work Breakdown Structure (WBS) should satisfy:

a. Functional & Program requirements (Lecture no 23 Page no 159 Handouts)
b. Program requirements
c. Functional requirements
d. Functional & non-functional requirements

18. Who among the following is responsible to provide technical directions to any problem?

a. Program manager
b. Project manager
c. Assistant project manager
d. Line manager (Lecture no 25 Page no 176 Handouts)

19. Project Manager must assure that Contract Work Breakdown Structure (CBWS) covers:

a. Measurable effort
b. Level of effort
c. All of the given options (Lecture no 23 Page no 160 Handouts)
d. Level of effort

20. The time differential between the scheduled completion date and required date to meet critical path is said to be

a. None of the above
b. Critical time
c. Slack time (Lecture no 28 Page no 204 Handouts)
d. Both a and b

21. Contract Work Breakdown Structure (CWBS) included in Contract should not extend lower than _____ level.

a. First Level
b. Fourth Level
c. Third Level (Lecture no 23 Page no 159 Handouts and from slides)
d. Second Level

22. PERT is basically which of the following tool(s)

a. Control tool
b. None of the above
c. Both a and b (Option should be a and d both wrong option given Lecture no 28 Page no 201 Handouts Read)
d. Management planning tool

23. For scheduling the projects, Networks have the following type(s)

a. Precedence Diagram Method (PDM)
b. Program Evaluation and Review Technique (PERT) and Critical Path Method (CPM)
c. Graphical Evaluation and Review Technique (GERT)
d. All of the above (Lecture no 28 Page no 292 from slides)

24. Which of the following document provides the project manager with formal authorization to proceed with the project?

a. Project scope
b. Project Proposal
c. Project Charter (Lecture no 26 Page no 181 Handouts)
d. None of the above

25. Which of the following is the purpose of configuration management?

a. Generate engineering change proposals
b. Control change throughout the project (Lecture no 26 Page no 188 Handouts)
c. Control change during production only
d. Insure that drawings are updated

26. Master production schedule reconciles which of the following?

a. Production needs
b. Communication needs
c. Financial needs
d. Manufacturing needs (Lecture no 24 From Slides and Lecture no 24 Page no 166 Handouts)

27. How many phases are there in the Management Cost & Control System?

a. Five phases (Lecture no 23 Page no 73 From Slides)
b. Three phases
c. Six phases
d. Four phases

28. Scope verification includes

a. Get approval from all stakeholders (Lecture no 27 Page no 191 Handouts)
b. Manage scope change requests
c. None of the above
d. Create scope components, scope divide work

29. In PERT technique, the critical path is vital for

a. Resource scheduling
b. Both a and b (Lecture no 28 From Slides. It should be option a and c)
c. Resource allocation
d. None of the above

30. Which of the following types of managers is the true technical expert?

a. Line manager (Lecture no 25 Page no 176 Handouts)
b. Program manager
c. Project manager
d. Assistant project manager

31. Which of the following is the major requirement of program office?

a. Identification of major events
b. Structuring work breakdown structure
c. Preparation of statement of work
d. Scheduling of activities (Lesson no 24 Page no 163 Handouts)

32. Scope management is mainly concerned with which of the following(s)

a. **Both a and b (It should be c and d options are wrong Lesson no 27 Page no 191 Handouts)**
b. None f the above
c. Controlling the scope of a project
d. Defining the scope of a project

33. Detailed schedules are developed for which of the following?

a. Doers and management
b. Management and planners
c. Planners and lower level control
d. **Doers and lower level control (Lecture no 24 Page no 164 Handouts)**

34. In PERT technique, longest path of activities is called

a. Critical path (Lecture no 28 Page no 198 Handouts)
b. None of the above
c. Slack path
d. Both and b

35. Scope creep can be a result of:

a. Poor change control
b. **Both a and b (Lecture no 26 Page no 181 Handouts) (It should be a and d)**
c. None of the above
d. Weak project manager or executive sponsor

36. Summary schedules are developed for which of the following?

a. Planners and lower level control
b. Doers and management
c. **Management and planners (Lecture no 24 Page no 164 Handouts)**
d. Doers and planners

37. For completing scheduling of large programs, input is required from which of the following?

a. Operational management
b. Program manager
c. **Functional management (Lecture no 24 Page no 163 Handouts)**
d. Project manager

38. A Program is usually subdivided into all of the following EXCEPT:

a. Milestones (Lecture no 23 Page no 159 Handouts)
b. Major Systems
c. Projects
d. Sub Systems

39. Scope is limited by which of the following constraint(s)?

a. None of the above
b. Schedule
c. Both a and b (It should be b and d Lecture no 26 Page no 180 Handouts)
d. Budget

40. Scope change control includes

a. Get approval from all stakeholders
b. Get approval from all stakeholders
c. None of the above
d. Manage scope change requests (Lecture no 27 Page no 191 Handouts)

41. Which of the following makes the basis of identification of reporting levels?

a. Arrow diagram
b. Managerial expertise (Lecture no 25 Page no 173 Handouts)
c. Planning
d. Work breakdown structure

42. Scope of a project is the _____ total of all of a project's products and their requirements or features.

a. Sum (Lecture no 26 Page no 180 Handouts)
b. None of the above
c. Product
d. Sum and product

43. Work Breakdown Structure (WBS) subdivides the total effort into:

a. Discrete and logical sub elements (Lecture no 23 Page no 159 Handouts)
b. Logical elements
c. Discrete and logical levels
d. Discrete elements

44. Which of the following is a use of Work breakdown structure?

a. Cost control standard (Lecture no 23 Page no 58 From Slides)
b. Work project
c. Risk cost control
d. Reporting

45. Which of the following is included in Project Scope Management?

a. Plan development
b. Project plan execution
c. Integrated change control
d. Initiation (Lesson no 26 Page no 182 Handouts)

46. Which of the following shows the impact on results of changes in assumptions? **(From Slides)**

a. Controlled variation
b. Scenario analysis
c. Financial package blueprint
d. Feasibility analysis

47. In precedence diagram, what does dotted line indicates?

a. Event
b. Relationship
c. Slack (Lesson no 31 Page no 221 Handouts)
d. Critical path

48. Empowerment, encourages which of the following?

a. Responsibility
b. Authority
c. Innovation (Lesson no 36 Page no 264 Handouts)
d. Motivation

49. Which of the following items involves the quantitative aspects of planning?

a. Budget development (Lecture no 25 Page no 172 Handouts)
b. Project administration
c. Leadership styles
d. Conflict management

50. Analysis steps in cause and effect diagram **6.** **(Not Sure)(Lecture no 38 Page no 283 Handouts Read)**

51. If you have 9 stakeholders in your organization how many channel of communication will be there

a. 9
b. 8
c. 45
d. 36

(Lecture no 43 Page no 343 Handouts Read Formula)

Formula = N (N – 1)/2

Formula = 9 (9 – 1)/2

Formula = 9 (8)/2

Formula = 9 (4)

Formula = 36 Answer.

52. What of the following provides maximum protection to the owner for the ultimate cost of the projects?

a. Fixed cost (Lecture no 45 Page no 368 Handouts)

53. Which is not included in quality assurance principle

a. The cost of quality
b. Aero defect (It should be written zero defect read Lecture no 35 page no 255 Handouts)
c. Reliability engineering
d. Gantt chart (Lecture no 35 Page no 255 Handouts)

54. Which is not included in estimating activity?

a. Most optimistic completion time
b. Most pessimistic completion time
c. Most likely completion time
d. Most unlikely completion time (Lecture no 30 Page no 213 Handouts)

55. If the project is terminated early, which of the following Process should establish and document the level and extent of completion?

a. Scope verification (Lecture no 26 Page no 188 Handouts)

Quiz no 3 Mgmt627 Lecture no 31 to 40

1. In precedence diagram, what does dotted line indicates?

a. Event
b. Relationship
c. Slack (Lesson no 31 Page no 221 Handouts)
d. Critical path

2. Empowerment, encourages which of the following?

a. Responsibility
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3. Analysis steps in cause and effect diagram **6. (Lecture no 38 Page no 283 Handouts Read)**

4. Which is not included in quality assurance principle

a. The cost of quality
b. Aero defect (It should be written zero defect read Lecture no 35 page no 255 Handouts)
c. Reliability engineering
d. Gantt chart (Lecture no 35 Page no 255 Handouts)

5. _____ includes quality audits.

a. Total quality control
b. Quality control
c. Quality management
d. Quality assurance (Lecture no 35 Page no 256 Handouts)

6. _____ makes the judgement of quality.

a. Customer (Not Sure) (Lecture no 34 Page no 248 Handouts)
b. Production manager
c. Proposal manager
d. Senior management

7. Statistical process control, is a practical application of which of the following?

a. Quantitative methods (From Slides Page no 488)
b. Qualitative facts
c. Quantitative facts
d. Qualitative methods

8. For competitive bidding of projects, which of the following stage(s) is/are included?

a. Conceptual Stage
b. Termination Stage
c. All of the given options (From Slides Page no 133 Handouts)
d. Planning Stage

9. _____ gives little practical approach to managers.

a. Judgmental criteria (From Slides Page no 255 Handouts)
b. Product-based criteria
c. User-based criteria
d. Integrating perspective on quality

10. _____ compares the actual results with the quality standards.

a. Process control charts
b. Cost of quality
c. Total quality control
d. Quality control system (Lesson no 35 Page no 256 Handouts)

11. Quality control evolved into quality assurance from:

a. The late 1940s to the early 1950s
b. The early 1940s to the late 1950s
c. The early 1950s to the late 1960s (Lecture no 35 Page no 255 Handouts)
d. The late 1950s to the early 1960s

12. Which of the following companies have tighter monetary control?

a. Profit oriented companies
b. Non profit oriented companies
c. Large companies
d. Small companies (Lesson no 40 Page no 308 Handouts)

13. What is quality dimension development?

a. The customer defection
b. The method of measuring customer satisfaction (Lecture no 37 Page no 274 Handouts)
c. The customer retention
d. The customer satisfaction system

14. Which of the following is dependent on the size of the program?

a. Purchased parts
b. Freight (From Slides Page no 194 Handouts)
c. Special consultants
d. Material

15. _____ is the management section of quality management.

a. Quality control
b. Process control charts
c. Total quality control
d. Quality assurance (Lesson no 35 Page no 256 Handouts)

16. The project manager has the greatest impact on the quality of the product at _____ stage.

a. Quality management
b. Quality assurance (Lesson no 35 Page no 256 Handouts)
c. Total Quality Management
d. Inspection

17. What is the achievement of end results with least amount of resources called?

a. Competitiveness
b. Effectiveness
c. Productivity
d. Efficiency (Lecture no 39 Page no 299 Handouts)

18. All of the following fall under quality assurance principle, EXCEPT:

a. Total quality control
b. Reliability engineering
c. Zero-defect programs
d. Process control charts (Lesson no 35 Page no 255 Handouts)

19. Productivity, is an output input agreement on consideration of which of the following?

a. Competitiveness and time
b. Quality and time (Lecture no 39 Page no 297 Handouts)
c. Efficiency and time
d. Effectiveness and time

20. The product meets _____ of consumer needs.

a. Value-based criteria
b. Judgmental criteria
c. Product-based criteria
d. User-based criteria (From Slides Page no 259)

21. Which of the following is not a characteristic of project organization?

a. Quality (From Slides Page no 231)
b. Systematic structure
c. Distinct purpose
d. People

22. Trough Project management softwares, we can achieve

a. Effectiveness only
b. Efficiency only
c. None of the given options
d. Both efficiency and effectiveness (Not Sure)

23. Which of the following is NOT a phase in operating cycle?

a. Cost analysis
b. Cost data collection and reporting
c. Reporting
d. Cost estimation (Lecture no 40 Page no 314 Handouts)

24. _____ results in users' satisfaction.

a. Value
b. Product/service
c. Quality (From Slides Page no 234)
d. Rules

25. Which of the following is an example of a primary customer?

a. Bank's head office receiver
b. Transporter
c. Lab test report receiver (Lecture no 37 Page no 269 Handouts)
d. Logistic department

26. Fitness to cost can be obtained by:

a. Developing quality management
b. Obtaining high quality and low cost products (From Slides Page no 264)
c. Determining the customer's needs
d. Building of customer needed products

27. Which of the following represents management cost and control system?

a. Operating and monitoring cycle
b. Planning and operating cycle (From Slides Page no 628)
c. Planning and controlling cycle
d. Operating and controlling cycle

28. Project management softwares help to

a. Prepare budjet plan
b. All of the given options (Not sure)
c. Prepare time schedules
d. Prepare cost schedules

29. Lack of ownership exists at _____ level.

a. Quality Management
b. Quality Assurance
c. Quality Control
d. Inspection (From Slides Page no 266)

30. Which of the following is the source of product and process requirement?

a. External customer
b. Primary customer (Lecture no 37 Page no 269 Handouts)
c. Intermediary
d. Secondary customer

31. Which of the following is NOT a goal for any business?

a. Retain customers in long run
b. Gain market share
c. Satisfy customers
d. Price control (Lecture no 37 Page no 268 Handouts)

32. _____ makes the basis of a successful program management.

a. Time management
b. Salary structure
c. Cost package (From Slides Page no 207) (Lecture no 33 Page no 241 Handouts)
d. Pricing out of activities

33. How many tools are used for quality improvement?

a. Quality and productivity (Not sure)
b. Efficiency and effectiveness
c. Quality and effectiveness
d. Productivity and efficiency

34. If an organization overestimates the salary structure in project pricing, the project pricing will be

a. Optimal
b. Competitive
c. None of the given options
d. Non competitive (Read Lecture no 32 Page no 233 Handouts)

35. _____ level aims to increase uniformity.

a. Quality Management
b. Total Quality Management
c. Quality Control
d. Quality Assurance (From Slides Page no 282)

36. Which of the following items is utilized in the business base projection?

a. Anticipated efforts (Lecture no 32 Page no 237 Handouts)
b. Direct labor rate
c. Over time
d. Overhead expenses

37. Which of the following Does Not form the basis for project budget?

a. Best estimates
b. Cost estimate (Lecture no 40 Page no 319 Handouts)
c. Historical cost
d. Industrial engineering standards

38. Which of the following is the competitive tool for managers?

a. Quality
b. Effectiveness
c. Efficiency
d. Productivity (Lecture no 39 Page no 297 Handouts)

39. Process Analysis, is a function of which of the following?

a. Process Improvement Plan
b. Quality Metrics
c. Performance Analysis
d. Quality Improvement Plan

40. Which of the following is another name of purchase requisition?

a. Work description
b. Procurement plan (Lecture no 33 page no 240 Handouts)
c. Work statement
d. Manufacturing plan

41. _____ is also called positional advantage.

a. Competitive advantage
b. Relative advantage
c. Qualitative advantage
d. Cost advantage (Lecture no 34 Page no 251 Handouts)

42. _____ provides the future credibility.

a. Pricing techniques
b. Backup support cost (Lecture no 33 Page no 243 Handouts)
c. Salary structure
d. Cost package

43. Which of the following have NO relative impact on price level?

a. Life-cycle cost (Lecture no 33 Page no 246 Handouts)
b. Bidder's cost estimate
c. Competitive prices
d. Customer budget

44. Which of the following criterias offers greater satisfaction at comparable price?

a. Product-based criteria
b. Integrating perspective on quality
c. Value-based criteria (From Slides Page no 266)
d. Judgmental criteria

45. Which of the following means “Quality related to price”?

a. Customer satisfaction
b. Quality control
c. Value (Lecture no 37 Page no 269 Handouts)
d. Price control

46. _____ is the balance between quality and cost.

a. Salability (Lecture no 35 Page no 257 Handouts)
b. Maintainability
c. Reliability
d. Operability

47. Quality is defined by _____.

a. Higher management
b. Customer (Lesson no 35 Page no 257, 261 Handouts)
c. Quality management
d. Proposal manager

48. _____ refers to how a product looks, feels, sounds, tastes, or smells.

a. Affordability
b. Durability
c. Conformance
d. Aesthetics (Lecture no 34 Page no 251 Handouts)

49. _____ is called probability of the product, performing without failure.

a. Acceptability
b. Operability
c. Reliability (Lecture no 35 Page no 257 Handouts)
d. Availability

50. What is the ratio of output to input called?

a. Productivity (Lecture no 39 Page no 297 Handouts)
b. Quality
c. Efficiency
d. Effectiveness

51. Which of the following is a nonconformance cost?

a. Scrap (Lecture no 36 Page no 265 Handouts)
b. Indoctrination
c. Audit
d. Training

52. Mostly, the labor hours submitted by the functional managers are

a. Optimal
b. Overestimated (Lecture no 32 Page no 233 Handouts)
c. Underestimated
d. None of the given options

53. All of the following are parts of total quality EXCEPT:

a. Quality Process
b. Quality of Organization
c. Quality assurance (From Slides Page no 292)
d. Quality of information

54. What is a logistic department? **(Both a and c are same)**

a. Indirect customer (Lecture no 37 Page no 269 Handouts)
b. Intermediary
c. Indirect customer (Lecture no 37 Page no 269 Handouts)
d. External customer

55. There are _____ types of pricing reports.

a. 4
b. 6
c. 8 (Lecture no 33 Page no 241 Handouts)
d. 10

56. _____ ensures that project scope, cost, and time functions are fully integrated.

a. Inspection
b. Quality assurance (Lecture no 35 Page no 256 Handouts)
c. Quality management
d. Quality control

57. The emphasis is changed from product to process at _____ stage.

a. Quality assurance (From Slides Page no 287)
b. Quality management
c. Inspection
d. Quality control

58. How is the standard of living determined?

a. Competitiveness
b. Productivity of a nation's economy (Lecture no 39 Page no 297 Handouts)
c. Effectiveness
d. Efficiency

59. How many tools are used for quality improvement?

a. Six
b. Eight
c. Nine
d. Seven (Lecture no 38 Page no 281 Handouts)

60. Inspection costs, belong to which of the following?

a. External failure costs
b. Internal failure costs
c. Prevention costs
d. Appraisal costs (From Slides Page no 408)

61. Project management softwares can provide answers to such questions as:

a. All of the given options (Lecture no 31 Page no 221 Handouts)
b. What is the impact of overtime?
c. How will the project be affected by a change in the requirements?
d. How will the project be affected by limited resources?



Rana Abubakar Khan

If you want to learn computer programming then contact with me

truefriendlion@gmail.com

JOIN FB GROUP FOR VU HELP

www.facebook.com/groups/vu1234/

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY SABEEN ON FEBRUARY 28, 2017 AT 10:33PM

my today's paper 8.30 am 2/28/2017

mcq's were difficult

1. hedge position

2. pert/cost advantages

3. estimates to handle the cost related issues of a project explain

4. dimensions of service quality



5. criteria of a leader

6. How can a project be accomplished on time if the start date is delayed due to lack of adequate funding? Briefly explain.

7. pert criticism

8. manufacturing plan uses

9. risk management process

i am attaching the file of last 2 years solved final papers by me have a look on them most of subjective was from this file. remember me in prayers and good luck for exam

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY ALINA ON AUGUST 20, 2016 AT 10:38PM

PERT advantages

PERT benifit

Project manager

Price model 3 batany thy

diff between product and productivity

Five points of strategic planning of competitive environment



Work breakdown ka tha koe

Total quality ka phoucha tha

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY MOHAMMAD WAQAS AHMED ON AUGUST 25, 2016 AT 8:27PM

My Today's Paper

What is primary objective of development schedule?

What should be include in Project charter?

The business base of a program develops on the base of certain factors, any three?

What are the criteria to identify successful leader in project?

What is work package write down its characteristics.

Difference between tree diagram and logic flow.

Write down the criticism pert done by various user

Write down the salient feature of good quality assurance system



What are performance result standard in which factors can be regarded as performance result a project.

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY MNKHAN ON SEPTEMBER 1, 2016 AT 2:42PM

I wrote the exam on 30th of Sep. Following were the question.

Write down common problems faced by the management at the stage of objective setting of the project.

What is scope creep? How does it occur in project?

Differentiate between End-items materials and support materials.

On which factors the productivity of an organization depend? Discuss in the perspective of competiveness.

Explain the numbering system(code) used in the work breakdown structure with the help o an example.

Differentiate between Tree Diagram and Logic Flow?

Write down the criticism on PERT done by various users.

Briefly explain any five types of customers of project.



What are the factors that determine the productivity of the organization.

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

Final Term Papers - Feb - March 2016

Today Paper (01/03/2016)

Quizzes : From Online and old papers quizzes.

3 Marks Questions:

1. Define and what should be in Project Charter?

2. Objectives of Kickoff Meeting?

3. The role of Quality control in the success of a project?

4/5 Dont remember but it was from the contents.

5 Marks Questions:

1. Disadvantages of Written Communication?



2. Procedure to Calculate ES & LF according to PERT/CPM?

3. Why Customer satisfactions is important?

4. Define Risk Management and its process?

5. Is good to review schedules and plans with the customer if yes then why?

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY NONI ON MARCH 12, 2016 AT 11:39AM

What is meant by Hedge Position? Briefly explain.3

For the construction of a project's network, how many inputs are required?3

Briefly explain the scope of Total Quality Management in projects.3

What are the criteria to identify a successful leader in project?3



Discuss what is procurement? What are its features with respect to projects.3

What are the requirements for the Contract Work Breakdown Structure (CWBS)?5

What are the benefits of pricing out Work Breakdown Structure (WBS)?5

Briefly explain any five types of customers of a project.5

How Management Reserve is related to Budget of a Project? Discuss the purpose of this reserve.5

Discuss a few common problems in Written Communication.5



MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY SAMRA TARIQ ON AUGUST 24, 2015 AT 2:47PM

My today's MGMT627 paper:

Total Marks: 80

Total Qs: 50

Total MCQs: 40

The subjective questions are as follows:

1. why network re-planning is done?

2. 3 salient features of TQM

3. 3 features of quality assurance

4. write down some activities of quality control

5. name the types of competitive advantage and differentiate them.



6. differentiate b/w end item materials and support materials

7. benefits of using statistical methods in projects

8. how customer satisfaction is important in projects

9. briefly explain the phases of scope management process

10. on what factors does productivity of firms depend? discuss in the perspective of competitiveness

Hope it will help those who still have to attempt MGMT627 paper

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY SAMRA TARIQ ON AUGUST 24, 2015 AT 2:49PM

Another MGMT627 paper shared by my friend:

types of customers

benefits of WBS

network input

features of TQM

salient features of TQM

(most questions were from TQM)



MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY MUHAMMAD ZAHID FARID ON MARCH 8, 2015 AT 6:07PM

MGMT627

Sections of project plan

Difference between project and product scope

Advantages of Pert/cost

Benefit of pricing at WBS level

Why it is important to meet the customer expectation

Control Chart Components

Factors affecting budget

Problems with written communication

Risk management process.....

Mcqs conceptual.....

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY IQRA JAHANGIR ON AUGUST 22, 2014 AT 3:55PM

My paper. 22-aug-2014.. 11:00 a.m

Total Questions = 55

Total Marks = 78



Total MCQs = 47

Total Subjective Questions = 8

4 Questions of 3 Marks

4 Questions of 5 Marks

What are the uncertainties about the forecasting technology?

How software is helpful in projects.

Write about procurement & and its environment 5/-

PERT

Project scope & product scope 5

Risk management and its Steps?

Productivity Factors.

Quality Dimensions

Mcqs 3 or 4 form past papers .To prepare mcqs must read definitions and types.



My MGMT 627 PAPER

22 AUG FRIDAY SESSION 2

Question No: 3 (Marks: 1) - Please choose one

Which of the following is included in Project Scope Management?

- Plan development
- Project plan execution
- Integrated change control
- Initiation

Question No: 7 (Marks: 1) - Please choose one

Which of the following shows the impact on results of changes in assumptions?

- Controlled variation
- Scenario analysis
- financial package blueprint
- Feasibility analysis

Question No: 26 (Marks: 1) - Please choose one

In precedence diagram, what does dotted line indicates?

- Event



- Relationship
- Slack
- Critical path

Question No: 33 (Marks: 1) - Please choose one

Empowerment, encourages which of the following?

- Responsibility
- Authority
- Innovation
- Motivation

In precedence diagram, what arrow line indicates?

Dependencies

After Initial feasibility analysis, the next step is to prepare:

Select correct option:

Project Plan

Scope statement

System Proposal

Work Breakdown Structure



Question # 6 of 15 (Start time: 08:40:51 PM) Total Marks: 1

Which of the following items involves the quantitative aspects of planning?

Select correct option:

Budget development

Project administration

Leadership styles

Conflict management

Following is the project activity

Constructing a building

Providing technical assistant

Which of the following is a use of Work breakdown structure?

Select correct option:

Cost control standard

Risk cost control

Reporting

Work project



Analysis steps in cause and effect diagram

5

If you have 9 stakeholders in your organization how many channel of communication will be there

9

8

45

36

Which of the following provides maximum protection to the owner for the ultimate cost of the project

Fixed price

The ability of a product to operate without any fault?

Operate ability

Reliability

Durability

Conformance

In which business unit it is possible to consult management to re schedule activities



Advertising

Manufacturing

Pricing

Which is the most important factor which help in achieving successful business opportunities

Communication

Leaders can result in change of

Vision

Values

Attitudes

All of the given option

Which of the following related to budget is

Historical cost

Skill enhancement is related to?

Productivity is related to

Effectiveness and efficiency

It is the function that attempts to ensure that the

Project scope, cost, and time functions are fully integrated.



Quality assurance

Which is not included in quality assurance principle

The cost of quality

Aero defect

Reliability engineering

Gantt chart

Overhead rates 1 mcq

In which of the following the estimate, is prepared from well-defined

Engineering data including (as a minimum) vendor quotes, fairly complete plans, specifications, Unit prices, and estimate to complete

Definitive estimate

Which of the following charts provide the framework from which

Detailed planning can be initiated and costs can be controlled and tracked.

PERT/CPM

Which is not included in estimating activity?

Most optimistic completion time:



Most pessimistic completion time

Most likely completion time:

Most unlikely (right answer)

Which of the following can be defined as the difference between the latest allowable date and the earliest Expected data

Slack

If the project is terminated early, which of the following

Process should establish and document the level and extent of completion?

Scope verification

Which of the following include. Project deliverables, project objectives?

Scope planning

Levelling technique

WBS



Short and long questions

1...Stages of quality?

2...Effect of empowerment?

3...It is necessary for the project manager to communicate internally and externally the organization?

4...Why plans are revised?

5. What is networking re planning?

6...Difference between leadership and management?

7...3 key dimensions of service quality?



MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY ALINA MALIK ON AUGUST 22, 2014 AT 11:16PM

today paper of mgmt 627

46 mcq's

1)What is time plan .

2) what is difference between product scope and project scope.

3) write any five step involve in customer satisfication.

4) what are the major effect of procurement on the environment

5) write the benefit of risk management.

6) management of cost in project .

7) baki 2 bhol gy

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY ALINA ON AUGUST 22, 2014 AT 11:16PM

today Paper MGMT 627

Total questions 55

Mcqs 46

4 questions of 3 marks



5 Questions of 5 marks

Things included in material and support 3

Risk management 3

Characteristics of effective communication 5

Five steps of customer satisfaction 5

Benefits of PERT analysis 5

Types of competitive advantage 5

Common barriers to written communication 5

Wish You All The Best

Regards VSN Team :)



MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY ALINA ON JULY 16, 2012 AT 7:58PM

Today paper is

56 mcqs

4 queation 3 marks

Cost effect of poor writing skill

What is Pert/cost

How find the total quality

What is risk measurement

4 question 5 marks

Any five barriers against of proposal

What the time plan

What the procurement and its stage

What the ways of quality of improvement



MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY IMHUM MCS ON FEBRUARY 27, 2013 AT 9:35PM

Q. What is project scope?

Q. How quality can be improved?

Q. Steps included in risk management?

Q. Configuration management

Q. types of non verbal communication

Q. techniques to improve Organization Communication

MGMT 627 PROJECT MANAGEMENT SUBJECTIVE PAST PAPERS SOLVED WITH REFERENCE

1. Define hedge position? **Lecture no 24 Page no 164 Handouts**

Ans. One of the most difficult problems to identify in schedules is a *hedge position*. A hedge position is a situation in which the contractor may not be able to meet a customer's milestone date without incurring a risk, or may not be able to meet activity requirements following a milestone date because of contractual requirements.

2. Write pert/cost advantages? **Lecture no 28 Page no 198 and 199 Handouts**

Ans.

1. Firstly, a major advantage of PERT is the kind of planning required to a major network. Network development and critical path analysis reveal interdependencies and problem areas that are neither obvious nor well defined by other planning methods. The technique therefore determines where the greatest effort should be made for a project to stay on schedule.

2. By using PERT one can determine the probability of meeting specified deadlines by development of alternative plans. If the decision maker is statistically sophisticated, he can examine the standard deviations and the probability of accomplishment data. If there exists a minimum of uncertainty, one may use the single-time approach, of course, while retaining the advantage of network analysis.

3. A third advantage is the ability to evaluate the effect of changes in the program. For example, PERT can evaluate the effect of a contemplated shift of resources from the less critical activities to the activities identified as probable bottlenecks. Other resources and performance trade-offs may also be evaluated.

4. PERT can also evaluate the effect of a deviation in the actual time required for an activity from what had been predicted.

5. Lastly, PERT allows a large amount of sophisticated data to be presented in a well-organized diagram from which both contractor and customer can make joint decisions.

3. Estimates to handle the cost related issues of a project explain?

4. Write dimensions of service quality? **Lecture no 37 Page no 276 and 277 Handouts**

Ans. Five Key Dimensions of Service Quality

1. Reliability:

- _Ability to provide what was promised, dependably and accurately.
- _Customer service representatives respond in promised time.
- _Following customer instructions.
- _Providing error free invoices and statements.
- _Making repairs correctly first time.

• _Assurance: Knowledge and courtesy of employees.
• _Their ability to convey “trust and confidence”.
• _Ability to answer questions.
• _Having capabilities to do necessary work.
• _Monitoring credit card transactions to avoid possible fraud.
• _Being polite and pleasant during customer transactions.

2. Tangibles:
• _Physical facilities
• _Equipment and appearance of persons include:
    - Attractive facilities
    - Appropriately dressed employees
    - Well designed forms that are easy to read and interpret

3. Empathy:
• _Degree of Caring and include attention provided to customer
• _Explaining “Tech Jargon” in: layman’s language
• _Recognizing regular customers by name

4. Responsiveness:
• _Willingness to help customer and provide prompt service. For example:
    - Acting quickly to resolve problems
    - Promptly crediting returned merchandise
    - Rapidly replacing defective products

5. Timeliness of Support:
• _They completed the job when expected
• _They met my deadlines
• _They finished their responsibilities within stated time frame
• _The project was completed on time

6. Responsiveness of Support:
• _They were quick to respond when I asked for help
• _They immediately helped me when I needed help
• _I waited a short period of time to get help after I asked for it

5. Write criteria of a leader? **Lesson no 25 Page no 177 and 178 Handouts**

6. How can a project be accomplished on time if the start date is delayed due to lack of adequate funding? Briefly explain.

Ans. The answer is to fast-track the project. Fast-tracking a project means that activities that are normally done in series are done in parallel. An example of this is when construction begins before detail design is completed.
Now the question arises as to how would this help. Fast-tracking a job can accelerate the schedule but requires that additional risks be taken. If the risks materialize, then either the end date will slip or expensive rework will be needed. Almost all project driven companies fast- track projects. The danger, however, is when fast-tracking becomes a way of life on all projects.

7. Define pert criticism? **Lesson no 28 Page no 199 Handouts**

Ans. Criticism of PERT:

The criticism that most people discover when using PERT includes:
• _Time and labor intensive effort is required.
• _Upper-level management decision-making ability is reduced.
• _There exists a lack of functional ownership in estimates.
• _There exists a lack of historical data for time–cost estimates.
• _The assumption of unlimited resources may be inappropriate.
• _There may exist the need for too much detail.

8. Explain manufacturing plan uses?

9. Define risk management process? **(From Slides Page no 48 of slides)**

Ans. **Risk Management Process**
• Risk Management strategy is established early in project.
• Risk is continually addressed throughout Project Life Cycle.
• Risk Management includes related actions:
a) Risk: Planning b) Assessment (identification & analysis)
c) Handling d) Monitoring

10. Write down Pert advantages?

Ans.

1. Firstly, a major advantage of PERT is the kind of planning required to a major network. Network development and critical path analysis reveal interdependencies and problem areas that are neither obvious nor well defined by other planning methods. The technique therefore determines where the greatest effort should be made for a project to stay on schedule.

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4. PERT can also evaluate the effect of a deviation in the actual time required for an activity from what had been predicted.

5. Lastly, PERT allows a large amount of sophisticated data to be presented in a well-organized diagram from which both contractor and customer can make joint decisions.

11. Write down benefits of pert?

Ans. **Benefits of Pert**

1. It forms basis of all Planning & Predicting
2. It Enables management to plan for best possible use of Resources to "Achieve given Goal" within "Time & Cost" Limitations.
3. It provides "Visibility & Enables management to control "One-of-a Kind" Program as opposed to "Repetitive Situation".

- It Helps management to handle "uncertainties involved" by answering such questions as:
  a. How time delays in certain/elements which "Influence Project Completion"?
  b. Where "Slack exists between elements"?
  c. "Elements are crucial to meet" Completion Date.
- It Provides basis for "Obtaining Necessary Facts for decision making".
- Utilizes "Time network analyses" as basic method to determine manpower, material,& capital requirements in addition to Checking Progress.
- It Provides Basic structure for Reporting information.
- It reveals "independencies of activities".
- It facilities "what if" exercise.
- It identifies "Longest Path" or Critical paths.
- It performs "Schedules" and Risk analysis.

12. Define Project manager? **(Lecture no 3 Page no 18 and 19 Handouts Read Must)**

Ans. A project manager is a professional in the field of project management. They have the responsibility of the planning and execution of any project. A project manager's central duty is to ensure the success of a project by minimizing risk throughout the lifetime of the project. This is done through a variety of methods, both formal and informal. A project manager usually has to ask penetrating questions, detect unstated assumptions, and resolve interpersonal conflicts, as well as use more systematic management skills.

13. Describe 3 price model?

14. Write difference between product and productivity?

Ans.

Product: At the end of a project, the team is usually disbanded and assigned to new projects with new team members. On the other hand, a product is **a good, service, platform, application, system, etc.** that is created, maintained and supported by solving problems and providing benefits to specific customer and business needs.

Productivity: Productivity is defined as **a total output per one unit of a total input**. In control management, productivity is a measure of how efficiently a process runs and how effectively it uses resources.

15. Five points of strategic planning of competitive environment? **Lecture no 19 Page no 141 & Page no 142 Handouts Read**

Ans.

Competitive Environment

- _Industry characteristics
- _Company requirements and goals
- _Competitive history
- _Present competitive activity
- _Competitive planning

16. Asked Something about Work breakdown?

17. Asked Something about Total quality?

18. What is project scope? **(Lecture no 26 Page no 181 and 183 Handouts)**

Ans. *Project scope document* defines the project scope. It should be attached to the business case and to the project charter. The project scope will be refined as you proceed through the project. This refers to the work that must be done to deliver the product with specified features and functions. Successful completion of project scope is measures against the plan.

19. Discuss types of non verbal communication? **(From Google)**

Ans. **The many different types of nonverbal communication or body language include:**

- Facial expressions. The human face is extremely expressive, able to convey countless emotions without saying a word. ...
- Body movement and posture. ...
- Gestures. ...
- Eye contact. ...
- Touch. ...
- Space. ...
- Voice. ...
- Pay attention to inconsistencies.

20. Discuss techniques to improve organization communication? **(From Google)**

Ans. **Five steps to improving organizational communication**

1. Use social intranet services. ...
2. Provide private atmospheres. ...
3. Use video conferences. ...
4. Prioritize company culture. ...
5. Do away with one-way communication

21. Configuration management? **(Lecture no 25 Page no 178 Read Handouts)**

22. Cost effect of poor writing skill? **(Lecture no 43 Page no 344 Read Handouts) OR (Slides)**

23. What is time plan? **(From Slides)**

Ans. The time plan is normally a monthly mechanical printout of all planned effort by work package and organizational element over the life of the contract, and serves as the data bank for preparing the status completion reports.

TAKEN FROM PROJECT MANAGEMENT FAQS FROM (QUESTION 24 TO 32) Open LMS and see FAQs

24. What is project management?

Ans. Project Management is the discipline of planning, organizing, and managing resources to bring about the successful completion of specific project goals and objectives.

25. What is project?

Ans. A project, as defined in the field of project management, consists of a temporary endeavor undertaken to create a product or service

26. Define team chemistry?

Ans. Team chemistry, or team cohesion, can be defined as a group dynamic that occurs when members of the team work together and make a united effort to accomplish the goals and objectives of the collective whole. A team's ability to stick together can prevent the team from falling apart in times of great distress and turmoil.

27. What is the purpose for the appointment of Project Manager prior to the project approval from the higher management?

Ans. The purpose of hiring project manager is to make the feasibility about the viability of the project. If feasibility is good, higher management will approve the project and project will be started. On the other side, if feasibility is not approved by higher management; project will be terminated and project manager will lose his job.

28. What is the main Difference Between Project Manager and Project Management Office?

Ans. A project manager is a professional in the field of project management. They have the responsibility of the planning and execution of any project, typically relating to construction industry, architecture or software development. Many other fields in the production, design and service industries also have project managers. Project Management office is an organizational unit to centralize and coordinate all project management related activities.

29. What is Feasibility and Feasibility Assessment?

Ans. A feasibility study is a preliminary study undertaken to determine and document a project's viability. The term feasibility study is also used to refer to the resulting document. These results of this study are used to make a decision whether to proceed with the project. A feasibility assessment is an aid to business decision making. It is the starting point in evaluating a business idea. Whether you are intending to start a new business, big or small, or you are already operating a business and are looking at avenues for growth or changes in your business operations, a feasibility assessment will help you to assess the merit of a proposed idea and its alternatives.

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31. How a Project Manager can become a Successful Project Manager?

Ans. A project manager can be a successful project manager by adopting these qualities. Inspires a Shared Vision: Visionary leaders enable people to feel they have a real stake in the project. They empower people to experience the vision on their own.They offer people opportunities to create their own vision, to explore what the vision will mean to their jobs and lives. Good Communicator: The ability to communicate with people at all levels is almost always named as the second most important skill by project managers and team members. Project leadership calls for clear communication about goals, responsibility, performance, expectations and feedback. Integrity: One of the most important things a project leader must remember is that his or her actions, and not words. Good leadership demands commitment to, and demonstration of, ethical practices. Enthusiasm Enthusiastic leaders are committed to their goals and express this commitment through optimism. Competence: As project management continues to be recognised as a field in and of itself, project leaders will be chosen based on their ability to successfully lead others rather than on technical expertise. Cool Under Pressure: A leader with a hardy attitude will take these problems in stride. When leaders encounter a stressful event, they consider it interesting, they feel they can influence the outcome and they see it as an opportunity. Team-Building Skills: The leader must also have an understanding of the different team players styles and how to capitalise on each at the proper time, for the problem at hand.

32. Define Project Conception.

Ans. Project Conception:Conception of an Industrial Project is the initial step in the process of defining the actual scope of a project. Project conception generally starts with a manifestation of a requirement or an opportunity that will benefit the corporate interests, and culminates when one or more preliminary options have been formulated which will, theoretically, satisfy the company's expectations as originally presented. The process presented here although illustrated by an industrial project has features directly translatable to conceptual evolution in many diverse applications. The fact that the project in question has been deferred is not uncharacteristic of the fate of many programs during the conceptual phase.

Q1-Types of customers: Page 269

Primary “Direct receiver of output of the process” (bank loan seeker, lab test report receiver). It is the source of product and process requirement.

Secondary: Secondary customers are from “outside of process” boundaries, who also receive any process output, but not reason for “process’ existence” (bank’s head office receiver secondary output)

Indirect: When original boundaries do not receive process output directly but are affected if process output is incorrect or late (logistic department)

External Customers:

Those who are located outside the organizational boundaries, receive end product or service but is not the actual user. (Power supplier for computers manufacturing, distributors)

Consumer End User: This refers to the final user of the product. Sometimes the external customers and consumers are the same.

Intermediary: In between producer and end user (Transporter).

Internal: Next person to whom product passed on for further processing. His requests must be met, but not at cost of external customers.

Q2-A hedge position is a situation in which the contractor may not be able to meet a customer's milestone date without incurring a risk, or may not be able to meet activity requirements following a milestone date because of contractual requirements.

Q3-Competitiveness & Indicators: Page 296

Competitiveness is process by which one entity strives to outperform another. Competitiveness in Organization is Ability to get customers to choose your prod or svc over competing alternatives on sustainable basis.

Competitiveness depends on productivity:

"Standard of living is determined by productivity of a nation's economy which is measured by the value of goods and services (products) produced per unit of the nation's human, capital and natural resources".

Indicators of competitiveness:

Productivity: Efficiency with which goods and services are produced and provided and determined by:

•Previous investments
• Quality and performance of workforce,
• Technology innovation
• Quality of plant and equipment
• Efficiency with which these factors of production are utilized

Productivity of “local” industries is of fundamental importance to competitiveness.
It depends on:
1. Sophistication with “which company’s compete”
2. Quality of “microeconomic business environment".
When productivity and quality considered together competitiveness can be enhanced.

Q4-• Primary objective of detailed schedules is usually to coordinate activities into a master plan in order to complete the project with the:
• Best time
• Least cost
• Least risk
the variance at completion (VAC):
VAC = BAC – EAC

Cost variance (CV) calculation:
CV = BCWP - ACWP
CV = EV – AC

Schedule variance (SV)
SV =BCWP - BCWS
SV = EV – PV

Q5-Common Problems - Written Communication
- Writers omit conclusion or Bury it in report.
- Too wordy.
- Poor grammar.
- In effective Sentence structure
- Incorrect Spelling.
- Cost effect of poor writing costs even more since it wastes time, wastes effort and jeopardizes goodwill.

COMMUNICATION PATTERNS
Vertical: Downward
Rationale for doing jobs.
• Organization’s policies, practices.
• Performance appraisals.
• Sense of mission.
Vertical: Upward
• Reports on work, progress.
• Unsolved problems requiring managerial assistance

• Suggestions and ideas.
• Subordinates' feelings about jobs, co-workers, the organization.

Horizontal

• Task coordination.
• Information sharing.
• Problem solving.
• Conflict resolution.
• Peer support.

Q6-Write down the salient feature of good quality assurance system? Page 256

Quality assurance is the collective term for the formal activities and managerial processes that are planned and undertaken in an attempt to ensure that products and services that are delivered are at the required quality level.

The Project Management Institute Guide to the Body of Knowledge (PMBOK) refers to quality assurance as the management section of quality management. This is the area where the project manager can have the greatest impact on the quality of his project Change in Emphasis from "Product to Process". Any Action Directed Towards Providing Consumers With Products of "Appropriate Quality".

A good quality assurance system will:

• Identify objectives and standards.
• Be multifunctional and prevention oriented.
• Plan for collection and use of data in a cycle of continuous improvement.
• Plan for the establishment and maintenance of performance measures.
• Include quality audits

Q7-Difference between Tree Diagram / logic flow

On Simple Project's WBS Constructed as a "Tree Diagram".

• **Tree diagram:" Follow work" even "Original Structure" of company (division, department, section/unit).**

• 2nd Method: Create **"Logic Flow", Cluster Certain elements to represent "Tasks/Projects".**

• **In Tree/method, Lower-Level functional units may be assigned to one, "Work element**".

• **In Logic Flow, Lower-level functional Units Serve Several "WBS Elements".**

Q8-Why Plans Fail

- Corporate goals are not understood at the lower organizational levels.
- Plans encompass too much in too little time.
- Financial estimates are poor.
- Plans are based on insufficient data.

- No attempt is made to systematize the planning process.
- Planning is performed by a planning group.
- No one knows the ultimate objective.
- No one knows the staffing requirements.
- No one knows the major milestone dates, including written reports.
- Project estimates are best guesses, and are not based on standards or history.
- Not enough time is given for proper estimating.
- No one bothers to see if there would be personnel available with the necessary skills.
- People are not working toward the same specifications.
- People are consistently shuffled in and out of the project with little regard for schedule.

Q9-PRICING REPORTS

- A detailed cost breakdown for each Work Breakdown Structure (WBS) element.
- A total program manpower curve for each department.
- A monthly equivalent manpower cost summary.
- A yearly cost distribution table.
- A functional cost and hour summary.
- Monthly labor hour and dollar expenditure forecast.
- A raw material and expenditure forecast.
- Total program termination liability per month.

Q10-Categories of Risk

External–unpredictable: Government regulations, natural hazards, and acts of God
External–predictable: Cost of money, borrowing rates, raw material availability
The external risks are outside of the project manager's control but may affect the direction of the project.

Internal (nontechnical): Labor stoppages, cash flow problems, safety issues, health and benefit plans.
The internal risks may be within the control of the project manager and present uncertainty that may affect the project.

Technical: Changes in technology, changes in state of the art, design issues, operations/maintenance issues. Technical risks relate to the utilization of technology and the impact it has on the direction of the project.
Legal: Licenses, patent rights, lawsuits, subcontractor performance, contractual failure

Q11-What is the main Difference Between Project Manager and Project Management Office? Chapter 5, no sure this will be asked in Final Term

Ans. A project manager is a professional in the field of project management. They have the responsibility of the planning and execution of any project, typically relating to construction industry, architecture or software development. Many other fields in the production, design and service industries also have project managers. Project Management office is an organizational unit to centralize and coordinate all project management related activities.

Q12- How can a project be accomplished on time if the start date is delayed due to lack of adequate funding? Briefly explain.

Ans. No matter how well we plan, sometimes something happens that causes havoc on the project. Such is the case when either the customer or management changes the project's constraints.

The answer is to fast-track the project. Fast-tracking a project means that activities that are normally done in series are done in parallel. An example of this is when construction begins before detail design is completed. Now the question arises as to how would this help. Fast-tracking a job can accelerate the schedule but requires that additional risks be taken. If the risks materialize, then either the end date will slip or expensive rework will be needed. Almost all project driven companies fast- track projects. The danger, however, is when fast-tracking becomes a way of life on all projects.

Q13-The project charter is the document that formally recognizes existence of a project. It refers to the business need the project is addressing. It describes the products to be delivered. It gives project manager the authority to apply organizational resources to project activities.

Q14-The criticism that most people discover when using PERT includes:

- Time and labor intensive effort is required.
- Upper-level management decision-making ability is reduced.
- There exists a lack of functional ownership in estimates.
- There exists a lack of historical data for time–cost estimates.
- The assumption of unlimited resources may be inappropriate.
- There may exist the need for too much detail.

Q15-. Write PERT/cost advantages?

1. M**ajor advantage of PERT is the kind of planning required to a major network**. The technique therefore determines **where the greatest effort should be made** for a project to stay on schedule.
2. One can determine the probability of meeting specified deadlines by development of alternative plans.
3. The ability to evaluate the effect of changes in the program.
4. Can also evaluate the effect of a deviation in the actual time required for an activity from what had been predicted.
5. PERT allows a large amount of sophisticated data to be presented in a well-organized diagram from which both contractor and customer can make joint decisions.

Q16-Five Key Dimensions of Service Quality Page 275

1. Reliability:
2. Tangibles:
3. Empathy:
4. Responsiveness:
5. Timeliness of Support:
6. Responsiveness of Support:

Q17-Ans. Risk Management Process

• Risk Management strategy is established early in project.
• Risk is continually addressed throughout Project Life Cycle.
• Risk Management includes related actions:
a) Risk: Planning b) Assessment (identification & analysis) c) Handling d) Monitoring

Q18-. Write down benefits of PERT?

1. It forms basis of all Planning & Predicting
2. It Enables management to plan for best possible use of Resources to “Achieve given Goal” within “Time & Cost” Limitations.
3. It provides “Visibility & Enables management to control “One-of-a Kind” Program as opposed to “Repetitive Situation”.
• It Helps management to handle “uncertainties involved” by answering such questions as:
a. How time delays in certain/elements which “Influence Project Completion”?
b. Where “Slack exists between elements”?
c. “Elements are crucial to meet” Completion Date.

Q19-. Define Project manager? (Lecture no 3 Page no 18)

Ans. A project manager is a professional in the field of project management. They have the responsibility of the planning and execution of any project. A project manager's central duty is to ensure the success of a project by minimizing risk throughout the lifetime of the project. This is done through a variety of methods, both formal and informal. A project manager usually has to ask penetrating questions, detect unstated assumptions, and resolve interpersonal conflicts, as well as use more systematic management skills.

Q20-Work packages Page 115

"Work package" is the generic term used in the criteria to identify discrete tasks that have definable end results. Ideal work packages are 80 hours and less than 2–4 weeks. Work packages are detailed short–span job or material items identified for the accomplishment of required work. Items at lowest level of WBS are called Work Packages.

Characteristics of Work Package:

In case of large projects, planning will be time phased at the work package level of the Work Breakdown Structure (WBS). The work package has the following characteristics:

• Represents units of work at the level where the work is performed

• Clearly distinguishes one work package from all others assigned to a single functional group

• Contains clearly defined start and end dates that are representative of physical accomplishment

• Specifies a budget in terms of dollars, man-hours, or other measurable units

• Limits the work to be performed to relatively short periods of time to minimize the work-in process effort

Q21-Six Ways of Empowering Employees for Quality Improvement in Projects: Page 265

1. Involve employees in developing strategies for continuous improvement.
2. Provide employees with skills required for solving problems and making decisions.
3. Define involvement and empowerment based on mission of organization.
4. Establish organizational and individual goals.
5. Establish customer-driven performance measurement at individual level.
6. Involve and empower everyone to focus on continuous improvement.

Successful empowerment of employees requires:

• Employees should be provided with:

- Education

- Resources
- Encouragement

• Policies and procedures should be examined for needless restrictions.
• Atmosphere of trust should be fostered rather than resentment and punishment for failure.
• Information should be shared “freely” rather than “closely guarded” as “source of control and power”.

Q22-Factors that affect the delegation of Authority Page 175

• Maturity of the project management function
• Size, nature, and business base of the company
• Size and nature of the project
• Life cycle of the project
• Capabilities of management at all levels

Q23-. Write difference between Production and Productivity? Page 298

A product is a good, service, platform, application, system, etc. that is created, maintained and supported by solving problems and providing benefits to specific customer and business needs.
Production: Concerned with Activity of “Producing Goods & or services”.
Productivity: “Efficient utilization of resources” (input) in “producing goods/services” (output). Productivity is defined as a total output per one unit of a total input. In control management, productivity is a measure of how efficiently a process runs and how effectively it uses resources. Time /Quality

The basic differences between production and productivity are as follows:

• Production is quantity of output produced.
• Productivity “ratio of output produced in input (s) used”.
• Higher productivity means accomplishing more with same “amount of resources” or achieving higher output In terms of volume/quality for same input.

Q24-. Five points of strategic planning of competitive environment? Chapter 19

Ans.

- Competitive Environment
- _Industry characteristics
- _Company requirements and goals
- _Competitive history
- _Present competitive activity
- _Competitive planning

Q25. What is project scope?

Ans. Work that must be done in order to deliver a Product with specified features/functions Project scope document defines the project scope. It should be attached to the business case and to the project charter. The project scope will be refined as you proceed through the project. This refers to the work that must be done to deliver the product with specified features and functions. Successful completion of project scope is measured against the plan. Tools to describe a Project scope (product) are: a. WBS b. Product Description

Q26-The foundation for determination of the business base required for each program can be one or more of the following:

- Actual costs to date and estimates to completion
- Proposal data
- Marketing intelligence
- Management goals
- Past performance and trends

Q27-. Discuss types of non verbal communication? (From Google)

Ans. The many different types of nonverbal communication or body language include:

• **Facial expressions**. The human face is extremely expressive, able to convey countless emotions without saying a word. ...
• Body movement and posture.
• Gestures.
• Eye contact.
• Touch.
• Space.
• Voice

Q28-. Discuss techniques to improve organization communication? (From Google)

Ans. Five steps to improving organizational communication

1. Use social intranet services. ...
2. Provide private atmospheres. ...
3. Use video conferences. ...
4. Prioritize company culture. ...
5. Do away with one-way communication

Q29-. Configuration management? Configuration management or configuration change control is one of the most critical tools employed by a project manager. It is a control technique, through an orderly process, for formal review and approval of configuration changes. If properly implemented, configuration management provides:

- Appropriate levels of review and approval for changes
- Focal points for those seeking to make changes
- A single point of input to contracting representatives in the customer's and contractor's office for approved changes

Q30-Characteristics of Effective Communication Page 344

• Fostering an “Open Communication Climate.
• Committing to “Ethical Communication.
• Understanding–”Dynamics of Intercultural Communication”.
• Becoming Proficient in Communication Technology.
• Using an “Audience Centered Approach”.
• Creating & Processing Messages Efficiently”.

Q31-Name the types of competitive advantage and differentiate them. Page 251

When a firm sustains profits that exceed the average for its industry, the firm is said to possess a **competitive advantage** over its rivals. The goal of much of business strategy is to achieve a sustainable competitive advantage.

Michael Porter identified **two basic types of competitive advantage:**

• Cost advantage
• Differentiation advantage

A competitive advantage exists when the firm is able to deliver the same benefits as competitors but at a lower cost (cost advantage), or deliver benefits that exceed those of competing products (differentiation advantage). Thus, a competitive advantage enables the firm to create superior value for its customers and superior profits for itself.

Cost and differentiation advantages are known as positional advantages since they describe the firm's position in the industry as a leader in either cost or differentiation.

A resource-based view emphasizes that a firm utilizes its resources and capabilities to create a competitive advantage that ultimately results in superior value creation.

Q32-Cause-and -Effect Analysis (C and EA) “Fishbone”: Page 283

After identifying a problem, it is necessary to determine its cause. The cause-and-effect relationship is at times obscure. A considerable amount of analysis often is required to determine the specific cause or causes of the problem.

Cause-and-effect analysis uses diagramming techniques to identify the relationship between an effect and its causes. Cause-and-effect diagrams are also known as fishbone diagrams.

Q33-Product Scope Description: Page 186
It describes the characteristics of the product, service, or result that the project was undertaken to create. These characteristics will generally have less detail in early phases and more detail in later phases as the product characteristics are progressively elaborated. While the form and substance of the characteristics will vary, the scope description should always provide sufficient detail to support later project scope planning.

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Ans. The time plan is normally a **monthly mechanical printout of all planned effort** by work package and organizational element over the life of the contract, and serves as the data bank for preparing the status completion reports.

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Q40-Scope Definition: This involves subdividing major project deliverables (as identified in scope statement) into smaller, more manageable components.

• This is where we “get down to detail”.• Provides detailed information for: “Scope Plan”, often called “Scope Definition document”. • Provides Basis for:

A. Estimated cost, Time & Resources.

b. Perform measurement & Responsibilities.

Q41-Scope Creep:

Scope creep (also called requirement creep, feature creep, and sometimes kitchen sink syndrome) in project management refers to uncontrolled changes in a project’s scope. This phenomenon can occur when the scope of a project is not properly defined, documented, or controlled. It is generally considered a negative occurrence to be avoided.

Typically, the scope increase consists of either new products or new features of already approved product designs, without corresponding increases in resources, schedule, or budget. As a result, the project team risks drifting away from its original purpose and scope on unplanned additions, and also because of one’s tendency to focus on only one dimension of project.

Q42-. What is Feasibility and Feasibility Assessment?

Ans. **A feasibility** study is a preliminary study undertaken to determine and document a project's viability. The term feasibility study is also used to refer to the resulting document. These results of this study are used to make a decision whether to proceed with the project.

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project in question has been deferred is not uncharacteristic of the fate of many programs during the conceptual phase.

Q46 – TQM:
Total Quality (TQ) is a people-focused management system that aims at continual increase in customer satisfaction at continually lower real cost. TQ is a total system approach (not a separate area or program) and an integral part of high-level strategy; it works horizontally across functions and departments, involves all employees, top to bottom, and extends backward and forward to include the supply chain and the customer chain. TQ stresses learning and adaptation to continual change as keys to organizational success.

Represents the Most Advance “Stage of Quality Development”.
►A Management Philosophy.
►Application of “Quality Management to all Aspects of Business”:
▪ Focused on “Requests of the Customer”.
▪ Recognizes ”Importance of Suppliers”.
▪ Company wide Approaches:
►Continual Improvement.
►Integration of all Quality systems & Procedures.
►Development of organizational culture.

Q47-Difference between managers and leaders: Page 332
The biggest **difference between managers and leaders** is the way they motivate the people who work or follow them, and this sets the tone for most other aspects of what they do. Both a manager and a leader may know the business well. But the leader must know it better and in a different way.

Many people, by the way, are both. They have management jobs, but they realize that you cannot buy hearts, especially to follow them down a difficult path, and so act as leaders too.

Managers have subordinates:
By definition, managers have subordinates - unless their title is honorary and given as a mark of seniority, in which case the title is a misnomer and their power over others is other than formal authority.

Authoritarian, transactional style
Work focus
Seek comfort

Leaders have followers:
Leaders do not have subordinates - at least not when they are leading. Many organizational leaders do have subordinates, but only because they are also managers. But when they want to lead, they have to give up formal authoritarian control, because to lead is to have followers, and following is always a voluntary activity.

Charismatic, transformational style
People focus
Seek risk

Q48- Ten Characteristics of a Leader: Page 330

1. Listening: Leaders have traditionally been valued for their communication and decision making skills.
2. Empathy: The leader strives to understand and empathize with others.
3. Healing: The healing of relationships is a powerful force for transformation and integration.
4. Awareness: General awareness, and especially self-awareness, strengthens the leader.
5. Persuasion: Another characteristic of leaders is a reliance on persuasion, rather than on one's positional authority, in making decisions within an organization.
6. Conceptualization: Leaders seek to nurture their abilities to dream great dreams.
7. Foresight: Closely related to conceptualization, the ability to foresee the likely outcome of a situation is hard to define, but easier to identify.
8. Stewardship: Leadership, like stewardship, assumes first and foremost a commitment to serving the needs of others.
9. Commitment to the growth of people: Leaders believe that people have an intrinsic value beyond their tangible contributions as workers.
10. Building community: The leader senses that much has been lost in recent human history as a result of the shift from local communities to large institutions as the primary shaper of human lives.

AFTER MID QUIZ FILE QUIZ NO 2 MGMT 627

1. A program plan measures which of the following?

a. Performance
b. Manpower
c. Program requirements
d. Facility requirements

2. The Linear Responsibility Chart (LRC) can result from which of the following?

a. Customer imposed requirements (Lesson no 25 Page no 172 Handouts)
b. Planning
c. Scheduling
d. Communication

3. The detailed project scope statement includes which of the following(s)

a. Project Boundaries
b. Project Deliverables
c. Both a and b (Lesson no 26 Page no 186 Handouts)
d. None of the above

4. The detailed project scope statement includes which of the following(s)

a. Project Objectives
b. Product Scope Description
c. Project Requirements
d. All of the above (Lesson no 26 Page no 186 Handouts)

5. Scope defines the size of the project. Scope include(s) which of the following(s)?

a. Departments
b. Geographic locations
c. Deliverables
d. All of the above (Lesson no 26 Page no 180 Handouts)

6. Who among the following is responsible for developing organization charts?

a. Higher management
b. Program office (Lecture no 24 Page no 165 Handouts)
c. Functional management
d. Finance office

7. Uncontrolled changes in a project's scope are called

a. Scope creep
b. Requirement creep
c. Kitchen Sink Syndrome
d. All of the above (Lesson no 26 Page no 181 Handouts)

8. General guidelines for project managers are established by:

a. Top Management (Lesson no 25 Page no 172 Handouts)
b. Middle Management
c. Lower Management
d. Project Office

9. Which of the following is a Master production schedule?

a. Sales plan
b. Production plan (Lesson no 24 Page no 166 Handouts)
c. Financial plan
d. Manufacturing plan

10. Refining the estimating criteria is _____ of scheduling.

a. Objective
b. Constraint
c. Primary objective
d. Secondary objective (Lesson no 24 Page no 165 Handouts)

11. The common scheduling techniques are

a. All of the above (Lecture no 28 From Slides)
b. Line of balance
c. Gantt or bar charts and Milestone charts
d. Networks

12. Which of the following is the basic difference between good project manager and poor project manager?

a. Project planning (Lecture no 25 Page no 172 Handouts)
b. Project Coordination
c. Project Termination
d. Project execution

13. Which of the following methods breaks work down into system & major sub systems?

a. Flow method (Lecture no 23 From Slides)
b. Organization Method
c. Life cycle Method
d. Logic flow diagram

14. Who among the following is responsible to verify all activities of a project?

a. Functional office
b. Management office
c. Program office (Lecture no 24 Page no 164 Handouts)
d. Finance office

15. Which of the following will be the duration of a project, if the execution phase is one year?

a. Four years
b. Five years
c. Three years
d. Two years (Lecture no 25 Page no 177 Handouts)

16. The process which is carried out whenever one or more deliverables are ready to be handed over

a. Scope verification (Lecture no 26 Page no 188 Handouts)
b. Both a and b
c. None of the above
d. Scope Change Control

17. Work Breakdown Structure (WBS) should satisfy:

a. Functional & Program requirements (Lecture no 23 Page no 159 Handouts)
b. Program requirements
c. Functional requirements
d. Functional & non-functional requirements

18. Who among the following is responsible to provide technical directions to any problem?

a. Program manager
b. Project manager
c. Assistant project manager
d. Line manager (Lecture no 25 Page no 176 Handouts)

19. Project Manager must assure that Contract Work Breakdown Structure (CBWS) covers:

a. Measurable effort
b. Level of effort
c. All of the given options (Lecture no 23 Page no 160 Handouts)
d. Level of effort

20. The time differential between the scheduled completion date and required date to meet critical path is said to be

a. None of the above
b. Critical time
c. Slack time (Lecture no 28 Page no 204 Handouts)
d. Both a and b

21. Contract Work Breakdown Structure (CWBS) included in Contract should not extend lower than _____ level.

a. First Level
b. Fourth Level
c. Third Level (Lecture no 23 Page no 159 Handouts and from slides)
d. Second Level

22. PERT is basically which of the following tool(s)

a. Control tool
b. None of the above
c. Both a and b (Option should be a and d both wrong option given Lecture no 28 Page no 201 Handouts Read)
d. Management planning tool

23. For scheduling the projects, Networks have the following type(s)

a. Precedence Diagram Method (PDM)
b. Program Evaluation and Review Technique (PERT) and Critical Path Method (CPM)
c. Graphical Evaluation and Review Technique (GERT)
d. All of the above (Lecture no 28 Page no 292 from slides)

24. Which of the following document provides the project manager with formal authorization to proceed with the project?

a. Project scope
b. Project Proposal
c. Project Charter (Lecture no 26 Page no 181 Handouts)
d. None of the above

25. Which of the following is the purpose of configuration management?

a. Generate engineering change proposals
b. Control change throughout the project (Lecture no 26 Page no 188 Handouts)
c. Control change during production only
d. Insure that drawings are updated

26. Master production schedule reconciles which of the following?

a. Production needs
b. Communication needs
c. Financial needs
d. Manufacturing needs (Lecture no 24 From Slides and Lecture no 24 Page no 166 Handouts)

27. How many phases are there in the Management Cost & Control System?

a. Five phases (Lecture no 23 Page no 73 From Slides)
b. Three phases
c. Six phases
d. Four phases

28. Scope verification includes

a. Get approval from all stakeholders (Lecture no 27 Page no 191 Handouts)
b. Manage scope change requests
c. None of the above
d. Create scope components, scope divide work

29. In PERT technique, the critical path is vital for

a. Resource scheduling
b. Both a and b (Lecture no 28 From Slides. It should be option a and c)
c. Resource allocation
d. None of the above

30. Which of the following types of managers is the true technical expert?

a. Line manager (Lecture no 25 Page no 176 Handouts)
b. Program manager
c. Project manager
d. Assistant project manager

31. Which of the following is the major requirement of program office?

a. Identification of major events
b. Structuring work breakdown structure
c. Preparation of statement of work
d. Scheduling of activities (Lesson no 24 Page no 163 Handouts)

32. Scope management is mainly concerned with which of the following(s)

a. **Both a and b (It should be c and d options are wrong Lesson no 27 Page no 191 Handouts)**
b. None f the above
c. Controlling the scope of a project
d. Defining the scope of a project

33. Detailed schedules are developed for which of the following?

a. Doers and management
b. Management and planners
c. Planners and lower level control
d. **Doers and lower level control (Lecture no 24 Page no 164 Handouts)**

34. In PERT technique, longest path of activities is called

a. Critical path (Lecture no 28 Page no 198 Handouts)
b. None of the above
c. Slack path
d. Both and b

35. Scope creep can be a result of:

a. Poor change control
b. **Both a and b (Lecture no 26 Page no 181 Handouts) (It should be a and d)**
c. None of the above
d. Weak project manager or executive sponsor

36. Summary schedules are developed for which of the following?

a. Planners and lower level control
b. Doers and management
c. **Management and planners (Lecture no 24 Page no 164 Handouts)**
d. Doers and planners

37. For completing scheduling of large programs, input is required from which of the following?

a. Operational management
b. Program manager
c. **Functional management (Lecture no 24 Page no 163 Handouts)**
d. Project manager

38. A Program is usually subdivided into all of the following EXCEPT:

a. Milestones (Lecture no 23 Page no 159 Handouts)
b. Major Systems
c. Projects
d. Sub Systems

39. Scope is limited by which of the following constraint(s)?

a. None of the above
b. Schedule
c. Both a and b (It should be b and d Lecture no 26 Page no 180 Handouts)
d. Budget

40. Scope change control includes

a. Get approval from all stakeholders
b. Get approval from all stakeholders
c. None of the above
d. Manage scope change requests (Lecture no 27 Page no 191 Handouts)

41. Which of the following makes the basis of identification of reporting levels?

a. Arrow diagram
b. Managerial expertise (Lecture no 25 Page no 173 Handouts)
c. Planning
d. Work breakdown structure

42. Scope of a project is the _____ total of all of a project's products and their requirements or features.

a. Sum (Lecture no 26 Page no 180 Handouts)
b. None of the above
c. Product
d. Sum and product

43. Work Breakdown Structure (WBS) subdivides the total effort into:

a. Discrete and logical sub elements (Lecture no 23 Page no 159 Handouts)
b. Logical elements
c. Discrete and logical levels
d. Discrete elements

44. Which of the following is a use of Work breakdown structure?

a. Cost control standard (Lecture no 23 Page no 58 From Slides)
b. Work project
c. Risk cost control
d. Reporting

45. Which of the following is included in Project Scope Management?

a. Plan development
b. Project plan execution
c. Integrated change control
d. Initiation (Lesson no 26 Page no 182 Handouts)

46. Which of the following shows the impact on results of changes in assumptions? **(From Slides)**

a. Controlled variation
b. Scenario analysis
c. Financial package blueprint
d. Feasibility analysis

47. In precedence diagram, what does dotted line indicates?

a. Event
b. Relationship
c. Slack (Lesson no 31 Page no 221 Handouts)
d. Critical path

48. Empowerment, encourages which of the following?

a. Responsibility
b. Authority
c. Innovation (Lesson no 36 Page no 264 Handouts)
d. Motivation

49. Which of the following items involves the quantitative aspects of planning?

a. Budget development (Lecture no 25 Page no 172 Handouts)
b. Project administration
c. Leadership styles
d. Conflict management

50. Analysis steps in cause and effect diagram **6.** **(Not Sure)(Lecture no 38 Page no 283 Handouts Read)**

51. If you have 9 stakeholders in your organization how many channel of communication will be there

a. 9
b. 8
c. 45
d. 36

(Lecture no 43 Page no 343 Handouts Read Formula)

Formula = N (N – 1)/2

Formula = 9 (9 – 1)/2

Formula = 9 (8)/2

Formula = 9 (4)

Formula = 36 Answer.

52. What of the following provides maximum protection to the owner for the ultimate cost of the projects?

a. Fixed cost (Lecture no 45 Page no 368 Handouts)

53. Which is not included in quality assurance principle

a. The cost of quality
b. Aero defect (It should be written zero defect read Lecture no 35 page no 255 Handouts)
c. Reliability engineering
d. Gantt chart (Lecture no 35 Page no 255 Handouts)

54. Which is not included in estimating activity?

a. Most optimistic completion time
b. Most pessimistic completion time
c. Most likely completion time
d. Most unlikely completion time (Lecture no 30 Page no 213 Handouts)

55. If the project is terminated early, which of the following Process should establish and document the level and extent of completion?

a. Scope verification (Lecture no 26 Page no 188 Handouts)

Quiz no 3 Mgmt627 Lecture no 31 to 40

1. In precedence diagram, what does dotted line indicates?

a. Event
b. Relationship
c. Slack (Lesson no 31 Page no 221 Handouts)
d. Critical path

2. Empowerment, encourages which of the following?

a. Responsibility
b. Authority
c. Innovation (Lesson no 36 Page no 264 Handouts)
d. Motivation

3. Analysis steps in cause and effect diagram **6. (Lecture no 38 Page no 283 Handouts Read)**

4. Which is not included in quality assurance principle

a. The cost of quality
b. Aero defect (It should be written zero defect read Lecture no 35 page no 255 Handouts)
c. Reliability engineering
d. Gantt chart (Lecture no 35 Page no 255 Handouts)

5. _____ includes quality audits.

a. Total quality control
b. Quality control
c. Quality management
d. Quality assurance (Lecture no 35 Page no 256 Handouts)

6. _____ makes the judgement of quality.

a. Customer (Not Sure) (Lecture no 34 Page no 248 Handouts)
b. Production manager
c. Proposal manager
d. Senior management

7. Statistical process control, is a practical application of which of the following?

a. Quantitative methods (From Slides Page no 488)
b. Qualitative facts
c. Quantitative facts
d. Qualitative methods

8. For competitive bidding of projects, which of the following stage(s) is/are included?

a. Conceptual Stage
b. Termination Stage
c. All of the given options (From Slides Page no 133 Handouts)
d. Planning Stage

9. _____ gives little practical approach to managers.

a. Judgmental criteria (From Slides Page no 255 Handouts)
b. Product-based criteria
c. User-based criteria
d. Integrating perspective on quality

10. _____ compares the actual results with the quality standards.

a. Process control charts
b. Cost of quality
c. Total quality control
d. Quality control system (Lesson no 35 Page no 256 Handouts)

11. Quality control evolved into quality assurance from:

a. The late 1940s to the early 1950s
b. The early 1940s to the late 1950s
c. The early 1950s to the late 1960s (Lecture no 35 Page no 255 Handouts)
d. The late 1950s to the early 1960s

12. Which of the following companies have tighter monetary control?

a. Profit oriented companies
b. Non profit oriented companies
c. Large companies
d. Small companies (Lesson no 40 Page no 308 Handouts)

13. What is quality dimension development?

a. The customer defection
b. The method of measuring customer satisfaction (Lecture no 37 Page no 274 Handouts)
c. The customer retention
d. The customer satisfaction system

14. Which of the following is dependent on the size of the program?

a. Purchased parts
b. Freight (From Slides Page no 194 Handouts)
c. Special consultants
d. Material

15. _____ is the management section of quality management.

a. Quality control
b. Process control charts
c. Total quality control
d. Quality assurance (Lesson no 35 Page no 256 Handouts)

16. The project manager has the greatest impact on the quality of the product at _____ stage.

a. Quality management
b. Quality assurance (Lesson no 35 Page no 256 Handouts)
c. Total Quality Management
d. Inspection

17. What is the achievement of end results with least amount of resources called?

a. Competitiveness
b. Effectiveness
c. Productivity
d. Efficiency (Lecture no 39 Page no 299 Handouts)

18. All of the following fall under quality assurance principle, EXCEPT:

a. Total quality control
b. Reliability engineering
c. Zero-defect programs
d. Process control charts (Lesson no 35 Page no 255 Handouts)

19. Productivity, is an output input agreement on consideration of which of the following?

a. Competitiveness and time
b. Quality and time (Lecture no 39 Page no 297 Handouts)
c. Efficiency and time
d. Effectiveness and time

20. The product meets _____ of consumer needs.

a. Value-based criteria
b. Judgmental criteria
c. Product-based criteria
d. User-based criteria (From Slides Page no 259)

21. Which of the following is not a characteristic of project organization?

a. Quality (From Slides Page no 231)
b. Systematic structure
c. Distinct purpose
d. People

22. Trough Project management softwares, we can achieve

a. Effectiveness only
b. Efficiency only
c. None of the given options
d. Both efficiency and effectiveness (Not Sure)

23. Which of the following is NOT a phase in operating cycle?

a. Cost analysis
b. Cost data collection and reporting
c. Reporting
d. Cost estimation (Lecture no 40 Page no 314 Handouts)

24. _____ results in users' satisfaction.

a. Value
b. Product/service
c. Quality (From Slides Page no 234)
d. Rules

25. Which of the following is an example of a primary customer?

a. Bank's head office receiver
b. Transporter
c. Lab test report receiver (Lecture no 37 Page no 269 Handouts)
d. Logistic department

26. Fitness to cost can be obtained by:

a. Developing quality management
b. Obtaining high quality and low cost products (From Slides Page no 264)
c. Determining the customer's needs
d. Building of customer needed products

27. Which of the following represents management cost and control system?

a. Operating and monitoring cycle
b. Planning and operating cycle (From Slides Page no 628)
c. Planning and controlling cycle
d. Operating and controlling cycle

28. Project management softwares help to

a. Prepare budjet plan
b. All of the given options (Not sure)
c. Prepare time schedules
d. Prepare cost schedules

29. Lack of ownership exists at _____ level.

a. Quality Management
b. Quality Assurance
c. Quality Control
d. Inspection (From Slides Page no 266)

30. Which of the following is the source of product and process requirement?

a. External customer
b. Primary customer (Lecture no 37 Page no 269 Handouts)
c. Intermediary
d. Secondary customer

31. Which of the following is NOT a goal for any business?

a. Retain customers in long run
b. Gain market share
c. Satisfy customers
d. Price control (Lecture no 37 Page no 268 Handouts)

32. _____ makes the basis of a successful program management.

a. Time management
b. Salary structure
c. Cost package (From Slides Page no 207) (Lecture no 33 Page no 241 Handouts)
d. Pricing out of activities

33. How many tools are used for quality improvement?

a. Quality and productivity (Not sure)
b. Efficiency and effectiveness
c. Quality and effectiveness
d. Productivity and efficiency

34. If an organization overestimates the salary structure in project pricing, the project pricing will be

a. Optimal
b. Competitive
c. None of the given options
d. Non competitive (Read Lecture no 32 Page no 233 Handouts)

35. _____ level aims to increase uniformity.

a. Quality Management
b. Total Quality Management
c. Quality Control
d. Quality Assurance (From Slides Page no 282)

36. Which of the following items is utilized in the business base projection?

a. Anticipated efforts (Lecture no 32 Page no 237 Handouts)
b. Direct labor rate
c. Over time
d. Overhead expenses

37. Which of the following Does Not form the basis for project budget?

a. Best estimates
b. Cost estimate (Lecture no 40 Page no 319 Handouts)
c. Historical cost
d. Industrial engineering standards

38. Which of the following is the competitive tool for managers?

a. Quality
b. Effectiveness
c. Efficiency
d. Productivity (Lecture no 39 Page no 297 Handouts)

39. Process Analysis, is a function of which of the following?

a. Process Improvement Plan
b. Quality Metrics
c. Performance Analysis
d. Quality Improvement Plan

40. Which of the following is another name of purchase requisition?

a. Work description
b. Procurement plan (Lecture no 33 page no 240 Handouts)
c. Work statement
d. Manufacturing plan

41. _____ is also called positional advantage.

a. Competitive advantage
b. Relative advantage
c. Qualitative advantage
d. Cost advantage (Lecture no 34 Page no 251 Handouts)

42. _____ provides the future credibility.

a. Pricing techniques
b. Backup support cost (Lecture no 33 Page no 243 Handouts)
c. Salary structure
d. Cost package

43. Which of the following have NO relative impact on price level?

a. Life-cycle cost (Lecture no 33 Page no 246 Handouts)
b. Bidder's cost estimate
c. Competitive prices
d. Customer budget

44. Which of the following criterias offers greater satisfaction at comparable price?

a. Product-based criteria
b. Integrating perspective on quality
c. Value-based criteria (From Slides Page no 266)
d. Judgmental criteria

45. Which of the following means “Quality related to price”?

a. Customer satisfaction
b. Quality control
c. Value (Lecture no 37 Page no 269 Handouts)
d. Price control

46. _____ is the balance between quality and cost.

a. Salability (Lecture no 35 Page no 257 Handouts)
b. Maintainability
c. Reliability
d. Operability

47. Quality is defined by _____.

a. Higher management
b. Customer (Lesson no 35 Page no 257, 261 Handouts)
c. Quality management
d. Proposal manager

48. _____ refers to how a product looks, feels, sounds, tastes, or smells.

a. Affordability
b. Durability
c. Conformance
d. Aesthetics (Lecture no 34 Page no 251 Handouts)

49. _____ is called probability of the product, performing without failure.

a. Acceptability
b. Operability
c. Reliability (Lecture no 35 Page no 257 Handouts)
d. Availability

50. What is the ratio of output to input called?

a. Productivity (Lecture no 39 Page no 297 Handouts)
b. Quality
c. Efficiency
d. Effectiveness

51. Which of the following is a nonconformance cost?

a. Scrap (Lecture no 36 Page no 265 Handouts)
b. Indoctrination
c. Audit
d. Training

52. Mostly, the labor hours submitted by the functional managers are

a. Optimal
b. Overestimated (Lecture no 32 Page no 233 Handouts)
c. Underestimated
d. None of the given options

53. All of the following are parts of total quality EXCEPT:

a. Quality Process
b. Quality of Organization
c. Quality assurance (From Slides Page no 292)
d. Quality of information

54. What is a logistic department? **(Both a and c are same)**

a. Indirect customer (Lecture no 37 Page no 269 Handouts)
b. Intermediary
c. Indirect customer (Lecture no 37 Page no 269 Handouts)
d. External customer

55. There are _____ types of pricing reports.

a. 4
b. 6
c. 8 (Lecture no 33 Page no 241 Handouts)
d. 10

56. _____ ensures that project scope, cost, and time functions are fully integrated.

a. Inspection
b. Quality assurance (Lecture no 35 Page no 256 Handouts)
c. Quality management
d. Quality control

57. The emphasis is changed from product to process at _____ stage.

a. Quality assurance (From Slides Page no 287)
b. Quality management
c. Inspection
d. Quality control

58. How is the standard of living determined?

a. Competitiveness
b. Productivity of a nation's economy (Lecture no 39 Page no 297 Handouts)
c. Effectiveness
d. Efficiency

59. How many tools are used for quality improvement?

a. Six
b. Eight
c. Nine
d. Seven (Lecture no 38 Page no 281 Handouts)

60. Inspection costs, belong to which of the following?

a. External failure costs
b. Internal failure costs
c. Prevention costs
d. Appraisal costs (From Slides Page no 408)

61. Project management softwares can provide answers to such questions as:

a. All of the given options (Lecture no 31 Page no 221 Handouts)
b. What is the impact of overtime?
c. How will the project be affected by a change in the requirements?
d. How will the project be affected by limited resources?



Rana Abubakar Khan

If you want to learn computer programming then contact with me

truefriendlion@gmail.com

JOIN FB GROUP FOR VU HELP

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MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY SABEEN ON FEBRUARY 28, 2017 AT 10:33PM

my today's paper 8.30 am 2/28/2017

mcq's were difficult

1. hedge position

2. pert/cost advantages

3. estimates to handle the cost related issues of a project explain

4. dimensions of service quality



5. criteria of a leader

6. How can a project be accomplished on time if the start date is delayed due to lack of adequate funding? Briefly explain.

7. pert criticism

8. manufacturing plan uses

9. risk management process

i am attaching the file of last 2 years solved final papers by me have a look on them most of subjective was from this file. remember me in prayers and good luck for exam

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY ALINA ON AUGUST 20, 2016 AT 10:38PM

PERT advantages

PERT benifit

Project manager

Price model 3 batany thy

diff between product and productivity

Five points of strategic planning of competitive environment



Work breakdown ka tha koe

Total quality ka phoucha tha

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY MOHAMMAD WAQAS AHMED ON AUGUST 25, 2016 AT 8:27PM

My Today's Paper

What is primary objective of development schedule?

What should be include in Project charter?

The business base of a program develops on the base of certain factors, any three?

What are the criteria to identify successful leader in project?

What is work package write down its characteristics.

Difference between tree diagram and logic flow.

Write down the criticism pert done by various user

Write down the salient feature of good quality assurance system



What are performance result standard in which factors can be regarded as performance result a project.

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY MNKHAN ON SEPTEMBER 1, 2016 AT 2:42PM

I wrote the exam on 30th of Sep. Following were the question.

Write down common problems faced by the management at the stage of objective setting of the project.

What is scope creep? How does it occur in project?

Differentiate between End-items materials and support materials.

On which factors the productivity of an organization depend? Discuss in the perspective of competiveness.

Explain the numbering system(code) used in the work breakdown structure with the help o an example.

Differentiate between Tree Diagram and Logic Flow?

Write down the criticism on PERT done by various users.

Briefly explain any five types of customers of project.



What are the factors that determine the productivity of the organization.

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

Final Term Papers - Feb - March 2016

Today Paper (01/03/2016)

Quizzes : From Online and old papers quizzes.

3 Marks Questions:

1. Define and what should be in Project Charter?

2. Objectives of Kickoff Meeting?

3. The role of Quality control in the success of a project?

4/5 Dont remember but it was from the contents.

5 Marks Questions:

1. Disadvantages of Written Communication?



2. Procedure to Calculate ES & LF according to PERT/CPM?

3. Why Customer satisfactions is important?

4. Define Risk Management and its process?

5. Is good to review schedules and plans with the customer if yes then why?

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY NONI ON MARCH 12, 2016 AT 11:39AM

What is meant by Hedge Position? Briefly explain.3

For the construction of a project's network, how many inputs are required?3

Briefly explain the scope of Total Quality Management in projects.3

What are the criteria to identify a successful leader in project?3



Discuss what is procurement? What are its features with respect to projects.3

What are the requirements for the Contract Work Breakdown Structure (CWBS)?5

What are the benefits of pricing out Work Breakdown Structure (WBS)?5

Briefly explain any five types of customers of a project.5

How Management Reserve is related to Budget of a Project? Discuss the purpose of this reserve.5

Discuss a few common problems in Written Communication.5



MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY SAMRA TARIQ ON AUGUST 24, 2015 AT 2:47PM

My today's MGMT627 paper:

Total Marks: 80

Total Qs: 50

Total MCQs: 40

The subjective questions are as follows:

1. why network re-planning is done?

2. 3 salient features of TQM

3. 3 features of quality assurance

4. write down some activities of quality control

5. name the types of competitive advantage and differentiate them.



6. differentiate b/w end item materials and support materials

7. benefits of using statistical methods in projects

8. how customer satisfaction is important in projects

9. briefly explain the phases of scope management process

10. on what factors does productivity of firms depend? discuss in the perspective of competitiveness

Hope it will help those who still have to attempt MGMT627 paper

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY SAMRA TARIQ ON AUGUST 24, 2015 AT 2:49PM

Another MGMT627 paper shared by my friend:

types of customers

benefits of WBS

network input

features of TQM

salient features of TQM

(most questions were from TQM)



MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY MUHAMMAD ZAHID FARID ON MARCH 8, 2015 AT 6:07PM

MGMT627

Sections of project plan

Difference between project and product scope

Advantages of Pert/cost

Benefit of pricing at WBS level

Why it is important to meet the customer expectation

Control Chart Components

Factors affecting budget

Problems with written communication

Risk management process.....

Mcqs conceptual.....

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY IQRA JAHANGIR ON AUGUST 22, 2014 AT 3:55PM

My paper. 22-aug-2014.. 11:00 a.m

Total Questions = 55

Total Marks = 78



Total MCQs = 47

Total Subjective Questions = 8

4 Questions of 3 Marks

4 Questions of 5 Marks

What are the uncertainties about the forecasting technology?

How software is helpful in projects.

Write about procurement & and its environment 5/-

PERT

Project scope & product scope 5

Risk management and its Steps?

Productivity Factors.

Quality Dimensions

Mcqs 3 or 4 form past papers .To prepare mcqs must read definitions and types.



My MGMT 627 PAPER

22 AUG FRIDAY SESSION 2

Question No: 3 (Marks: 1) - Please choose one

Which of the following is included in Project Scope Management?

- Plan development
- Project plan execution
- Integrated change control
- Initiation

Question No: 7 (Marks: 1) - Please choose one

Which of the following shows the impact on results of changes in assumptions?

- Controlled variation
- Scenario analysis
- financial package blueprint
- Feasibility analysis

Question No: 26 (Marks: 1) - Please choose one

In precedence diagram, what does dotted line indicates?

- Event



- Relationship
- Slack
- Critical path

Question No: 33 (Marks: 1) - Please choose one

Empowerment, encourages which of the following?

- Responsibility
- Authority
- Innovation
- Motivation

In precedence diagram, what arrow line indicates?

Dependencies

After Initial feasibility analysis, the next step is to prepare:

Select correct option:

Project Plan

Scope statement

System Proposal

Work Breakdown Structure



Question # 6 of 15 (Start time: 08:40:51 PM) Total Marks: 1

Which of the following items involves the quantitative aspects of planning?

Select correct option:

Budget development

Project administration

Leadership styles

Conflict management

Following is the project activity

Constructing a building

Providing technical assistant

Which of the following is a use of Work breakdown structure?

Select correct option:

Cost control standard

Risk cost control

Reporting

Work project



Analysis steps in cause and effect diagram

5

If you have 9 stakeholders in your organization how many channel of communication will be there

9

8

45

36

Which of the following provides maximum protection to the owner for the ultimate cost of the project

Fixed price

The ability of a product to operate without any fault?

Operate ability

Reliability

Durability

Conformance

In which business unit it is possible to consult management to re schedule activities



Advertising

Manufacturing

Pricing

Which is the most important factor which help in achieving successful business opportunities

Communication

Leaders can result in change of

Vision

Values

Attitudes

All of the given option

Which of the following related to budget is

Historical cost

Skill enhancement is related to?

Productivity is related to

Effectiveness and efficiency

It is the function that attempts to ensure that the

Project scope, cost, and time functions are fully integrated.



Quality assurance

Which is not included in quality assurance principle

The cost of quality

Aero defect

Reliability engineering

Gantt chart

Overhead rates 1 mcq

In which of the following the estimate, is prepared from well-defined

Engineering data including (as a minimum) vendor quotes, fairly complete plans, specifications, Unit prices, and estimate to complete

Definitive estimate

Which of the following charts provide the framework from which

Detailed planning can be initiated and costs can be controlled and tracked.

PERT/CPM

Which is not included in estimating activity?

Most optimistic completion time:



Most pessimistic completion time

Most likely completion time:

Most unlikely (right answer)

Which of the following can be defined as the difference between the latest allowable date and the earliest Expected data

Slack

If the project is terminated early, which of the following

Process should establish and document the level and extent of completion?

Scope verification

Which of the following include. Project deliverables, project objectives?

Scope planning

Levelling technique

WBS



Short and long questions

1...Stages of quality?

2...Effect of empowerment?

3...It is necessary for the project manager to communicate internally and externally the organization?

4...Why plans are revised?

5. What is networking re planning?

6...Difference between leadership and management?

7...3 key dimensions of service quality?



MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY ALINA MALIK ON AUGUST 22, 2014 AT 11:16PM

today paper of mgmt 627

46 mcq's

1)What is time plan .

2) what is difference between product scope and project scope.

3) write any five step involve in customer satisfication.

4) what are the major effect of procurement on the environment

5) write the benefit of risk management.

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7) baki 2 bhol gy

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY ALINA ON AUGUST 22, 2014 AT 11:16PM

today Paper MGMT 627

Total questions 55

Mcqs 46

4 questions of 3 marks



5 Questions of 5 marks

Things included in material and support 3

Risk management 3

Characteristics of effective communication 5

Five steps of customer satisfaction 5

Benefits of PERT analysis 5

Types of competitive advantage 5

Common barriers to written communication 5

Wish You All The Best

Regards VSN Team :)



MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY ALINA ON JULY 16, 2012 AT 7:58PM

Today paper is

56 mcqs

4 queation 3 marks

Cost effect of poor writing skill

What is Pert/cost

How find the total quality

What is risk measurement

4 question 5 marks

Any five barriers against of proposal

What the time plan

What the procurement and its stage

What the ways of quality of improvement



MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY IMHUM MCS ON FEBRUARY 27, 2013 AT 9:35PM

Q. What is project scope?

Q. How quality can be improved?

Q. Steps included in risk management?

Q. Configuration management

Q. types of non verbal communication

Q. techniques to improve Organization Communication

MGMT 627 PROJECT MANAGEMENT SUBJECTIVE PAST PAPERS SOLVED WITH REFERENCE

1. Define hedge position? **Lecture no 24 Page no 164 Handouts**

Ans. One of the most difficult problems to identify in schedules is a *hedge position*. A hedge position is a situation in which the contractor may not be able to meet a customer's milestone date without incurring a risk, or may not be able to meet activity requirements following a milestone date because of contractual requirements.

2. Write pert/cost advantages? **Lecture no 28 Page no 198 and 199 Handouts**

Ans.

1. Firstly, a major advantage of PERT is the kind of planning required to a major network. Network development and critical path analysis reveal interdependencies and problem areas that are neither obvious nor well defined by other planning methods. The technique therefore determines where the greatest effort should be made for a project to stay on schedule.

2. By using PERT one can determine the probability of meeting specified deadlines by development of alternative plans. If the decision maker is statistically sophisticated, he can examine the standard deviations and the probability of accomplishment data. If there exists a minimum of uncertainty, one may use the single-time approach, of course, while retaining the advantage of network analysis.

3. A third advantage is the ability to evaluate the effect of changes in the program. For example, PERT can evaluate the effect of a contemplated shift of resources from the less critical activities to the activities identified as probable bottlenecks. Other resources and performance trade-offs may also be evaluated.

4. PERT can also evaluate the effect of a deviation in the actual time required for an activity from what had been predicted.

5. Lastly, PERT allows a large amount of sophisticated data to be presented in a well-organized diagram from which both contractor and customer can make joint decisions.

3. Estimates to handle the cost related issues of a project explain?

4. Write dimensions of service quality? **Lecture no 37 Page no 276 and 277 Handouts**

Ans. Five Key Dimensions of Service Quality

1. Reliability:

- _Ability to provide what was promised, dependably and accurately.
- _Customer service representatives respond in promised time.
- _Following customer instructions.
- _Providing error free invoices and statements.
- _Making repairs correctly first time.

• _Assurance: Knowledge and courtesy of employees.
• _Their ability to convey “trust and confidence”.
• _Ability to answer questions.
• _Having capabilities to do necessary work.
• _Monitoring credit card transactions to avoid possible fraud.
• _Being polite and pleasant during customer transactions.

2. Tangibles:
• _Physical facilities
• _Equipment and appearance of persons include:
    - Attractive facilities
    - Appropriately dressed employees
    - Well designed forms that are easy to read and interpret

3. Empathy:
• _Degree of Caring and include attention provided to customer
• _Explaining “Tech Jargon” in: layman’s language
• _Recognizing regular customers by name

4. Responsiveness:
• _Willingness to help customer and provide prompt service. For example:
    - Acting quickly to resolve problems
    - Promptly crediting returned merchandise
    - Rapidly replacing defective products

5. Timeliness of Support:
• _They completed the job when expected
• _They met my deadlines
• _They finished their responsibilities within stated time frame
• _The project was completed on time

6. Responsiveness of Support:
• _They were quick to respond when I asked for help
• _They immediately helped me when I needed help
• _I waited a short period of time to get help after I asked for it

5. Write criteria of a leader? **Lesson no 25 Page no 177 and 178 Handouts**

6. How can a project be accomplished on time if the start date is delayed due to lack of adequate funding? Briefly explain.

Ans. The answer is to fast-track the project. Fast-tracking a project means that activities that are normally done in series are done in parallel. An example of this is when construction begins before detail design is completed.
Now the question arises as to how would this help. Fast-tracking a job can accelerate the schedule but requires that additional risks be taken. If the risks materialize, then either the end date will slip or expensive rework will be needed. Almost all project driven companies fast- track projects. The danger, however, is when fast-tracking becomes a way of life on all projects.

7. Define pert criticism? **Lesson no 28 Page no 199 Handouts**

Ans. Criticism of PERT:

The criticism that most people discover when using PERT includes:
• _Time and labor intensive effort is required.
• _Upper-level management decision-making ability is reduced.
• _There exists a lack of functional ownership in estimates.
• _There exists a lack of historical data for time–cost estimates.
• _The assumption of unlimited resources may be inappropriate.
• _There may exist the need for too much detail.

8. Explain manufacturing plan uses?

9. Define risk management process? **(From Slides Page no 48 of slides)**

Ans. **Risk Management Process**
• Risk Management strategy is established early in project.
• Risk is continually addressed throughout Project Life Cycle.
• Risk Management includes related actions:
a) Risk: Planning b) Assessment (identification & analysis)
c) Handling d) Monitoring

10. Write down Pert advantages?

Ans.

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5. Lastly, PERT allows a large amount of sophisticated data to be presented in a well-organized diagram from which both contractor and customer can make joint decisions.

11. Write down benefits of pert?

Ans. **Benefits of Pert**

1. It forms basis of all Planning & Predicting
2. It Enables management to plan for best possible use of Resources to "Achieve given Goal" within "Time & Cost" Limitations.
3. It provides "Visibility & Enables management to control "One-of-a Kind" Program as opposed to "Repetitive Situation".

- It Helps management to handle "uncertainties involved" by answering such questions as:
  a. How time delays in certain/elements which "Influence Project Completion"?
  b. Where "Slack exists between elements"?
  c. "Elements are crucial to meet" Completion Date.
- It Provides basis for "Obtaining Necessary Facts for decision making".
- Utilizes "Time network analyses" as basic method to determine manpower, material,& capital requirements in addition to Checking Progress.
- It Provides Basic structure for Reporting information.
- It reveals "independencies of activities".
- It facilities "what if" exercise.
- It identifies "Longest Path" or Critical paths.
- It performs "Schedules" and Risk analysis.

12. Define Project manager? **(Lecture no 3 Page no 18 and 19 Handouts Read Must)**

Ans. A project manager is a professional in the field of project management. They have the responsibility of the planning and execution of any project. A project manager's central duty is to ensure the success of a project by minimizing risk throughout the lifetime of the project. This is done through a variety of methods, both formal and informal. A project manager usually has to ask penetrating questions, detect unstated assumptions, and resolve interpersonal conflicts, as well as use more systematic management skills.

13. Describe 3 price model?

14. Write difference between product and productivity?

Ans.

Product: At the end of a project, the team is usually disbanded and assigned to new projects with new team members. On the other hand, a product is **a good, service, platform, application, system, etc.** that is created, maintained and supported by solving problems and providing benefits to specific customer and business needs.

Productivity: Productivity is defined as **a total output per one unit of a total input**. In control management, productivity is a measure of how efficiently a process runs and how effectively it uses resources.

15. Five points of strategic planning of competitive environment? **Lecture no 19 Page no 141 & Page no 142 Handouts Read**

Ans.

Competitive Environment

- _Industry characteristics
- _Company requirements and goals
- _Competitive history
- _Present competitive activity
- _Competitive planning

16. Asked Something about Work breakdown?

17. Asked Something about Total quality?

18. What is project scope? **(Lecture no 26 Page no 181 and 183 Handouts)**

Ans. *Project scope document* defines the project scope. It should be attached to the business case and to the project charter. The project scope will be refined as you proceed through the project. This refers to the work that must be done to deliver the product with specified features and functions. Successful completion of project scope is measures against the plan.

19. Discuss types of non verbal communication? **(From Google)**

Ans. **The many different types of nonverbal communication or body language include:**

- Facial expressions. The human face is extremely expressive, able to convey countless emotions without saying a word. ...
- Body movement and posture. ...
- Gestures. ...
- Eye contact. ...
- Touch. ...
- Space. ...
- Voice. ...
- Pay attention to inconsistencies.

20. Discuss techniques to improve organization communication? **(From Google)**

Ans. **Five steps to improving organizational communication**

1. Use social intranet services. ...
2. Provide private atmospheres. ...
3. Use video conferences. ...
4. Prioritize company culture. ...
5. Do away with one-way communication

21. Configuration management? **(Lecture no 25 Page no 178 Read Handouts)**

22. Cost effect of poor writing skill? **(Lecture no 43 Page no 344 Read Handouts) OR (Slides)**

23. What is time plan? **(From Slides)**

Ans. The time plan is normally a monthly mechanical printout of all planned effort by work package and organizational element over the life of the contract, and serves as the data bank for preparing the status completion reports.

TAKEN FROM PROJECT MANAGEMENT FAQS FROM (QUESTION 24 TO 32) Open LMS and see FAQs

24. What is project management?

Ans. Project Management is the discipline of planning, organizing, and managing resources to bring about the successful completion of specific project goals and objectives.

25. What is project?

Ans. A project, as defined in the field of project management, consists of a temporary endeavor undertaken to create a product or service

26. Define team chemistry?

Ans. Team chemistry, or team cohesion, can be defined as a group dynamic that occurs when members of the team work together and make a united effort to accomplish the goals and objectives of the collective whole. A team's ability to stick together can prevent the team from falling apart in times of great distress and turmoil.

27. What is the purpose for the appointment of Project Manager prior to the project approval from the higher management?

Ans. The purpose of hiring project manager is to make the feasibility about the viability of the project. If feasibility is good, higher management will approve the project and project will be started. On the other side, if feasibility is not approved by higher management; project will be terminated and project manager will lose his job.

28. What is the main Difference Between Project Manager and Project Management Office?

Ans. A project manager is a professional in the field of project management. They have the responsibility of the planning and execution of any project, typically relating to construction industry, architecture or software development. Many other fields in the production, design and service industries also have project managers. Project Management office is an organizational unit to centralize and coordinate all project management related activities.

29. What is Feasibility and Feasibility Assessment?

Ans. A feasibility study is a preliminary study undertaken to determine and document a project's viability. The term feasibility study is also used to refer to the resulting document. These results of this study are used to make a decision whether to proceed with the project. A feasibility assessment is an aid to business decision making. It is the starting point in evaluating a business idea. Whether you are intending to start a new business, big or small, or you are already operating a business and are looking at avenues for growth or changes in your business operations, a feasibility assessment will help you to assess the merit of a proposed idea and its alternatives.

30. What are the main characteristics of a Feasibility Study?

Ans. A feasibility study is defined as an evaluation or analysis of the potential impact of a proposed project or program. A feasibility study should consist of: - It should based on extensive research on both the current practices and the proposed project/program and its impact on the operations. - It shoulde contain extensive data related to financial and operational impact and will include advantages and disadvantages of both the current situation and the proposed plan. - It is conducted to assist the decision-makers in making the decision. - An executive summary should be included at the beginning of the report. - Some background or setting information is critical to provide the context of the feasibility study. - The advantages and disadvantages of the proposed system need to be clearly explained in the feasibility study.

31. How a Project Manager can become a Successful Project Manager?

Ans. A project manager can be a successful project manager by adopting these qualities. Inspires a Shared Vision: Visionary leaders enable people to feel they have a real stake in the project. They empower people to experience the vision on their own.They offer people opportunities to create their own vision, to explore what the vision will mean to their jobs and lives. Good Communicator: The ability to communicate with people at all levels is almost always named as the second most important skill by project managers and team members. Project leadership calls for clear communication about goals, responsibility, performance, expectations and feedback. Integrity: One of the most important things a project leader must remember is that his or her actions, and not words. Good leadership demands commitment to, and demonstration of, ethical practices. Enthusiasm Enthusiastic leaders are committed to their goals and express this commitment through optimism. Competence: As project management continues to be recognised as a field in and of itself, project leaders will be chosen based on their ability to successfully lead others rather than on technical expertise. Cool Under Pressure: A leader with a hardy attitude will take these problems in stride. When leaders encounter a stressful event, they consider it interesting, they feel they can influence the outcome and they see it as an opportunity. Team-Building Skills: The leader must also have an understanding of the different team players styles and how to capitalise on each at the proper time, for the problem at hand.

32. Define Project Conception.

Ans. Project Conception:Conception of an Industrial Project is the initial step in the process of defining the actual scope of a project. Project conception generally starts with a manifestation of a requirement or an opportunity that will benefit the corporate interests, and culminates when one or more preliminary options have been formulated which will, theoretically, satisfy the company's expectations as originally presented. The process presented here although illustrated by an industrial project has features directly translatable to conceptual evolution in many diverse applications. The fact that the project in question has been deferred is not uncharacteristic of the fate of many programs during the conceptual phase.



Rana Abubakar Khan

If you want to learn computer programming then contact with me

truefriendlion@gmail.com

JOIN FB GROUP FOR VU HELP

www.facebook.com/groups/vu1234/

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY SABEEN ON FEBRUARY 28, 2017 AT 10:33PM

my today's paper 8.30 am 2/28/2017

mcq's were difficult

1. hedge position

2. pert/cost advantages

3. estimates to handle the cost related issues of a project explain

4. dimensions of service quality



5. criteria of a leader

6. How can a project be accomplished on time if the start date is delayed due to lack of adequate funding? Briefly explain.

7. pert criticism

8. manufacturing plan uses

9. risk management process

i am attaching the file of last 2 years solved final papers by me have a look on them most of subjective was from this file. remember me in prayers and good luck for exam

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY ALINA ON AUGUST 20, 2016 AT 10:38PM

PERT advantages

PERT benifit

Project manager

Price model 3 batany thy

diff between product and productivity

Five points of strategic planning of competitive environment



Work breakdown ka tha koe

Total quality ka phoucha tha

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY MOHAMMAD WAQAS AHMED ON AUGUST 25, 2016 AT 8:27PM

My Today's Paper

What is primary objective of development schedule?

What should be include in Project charter?

The business base of a program develops on the base of certain factors, any three?

What are the criteria to identify successful leader in project?

What is work package write down its characteristics.

Difference between tree diagram and logic flow.

Write down the criticism pert done by various user

Write down the salient feature of good quality assurance system



What are performance result standard in which factors can be regarded as performance result a project.

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY MNKHAN ON SEPTEMBER 1, 2016 AT 2:42PM

I wrote the exam on 30th of Sep. Following were the question.

Write down common problems faced by the management at the stage of objective setting of the project.

What is scope creep? How does it occur in project?

Differentiate between End-items materials and support materials.

On which factors the productivity of an organization depend? Discuss in the perspective of competiveness.

Explain the numbering system(code) used in the work breakdown structure with the help o an example.

Differentiate between Tree Diagram and Logic Flow?

Write down the criticism on PERT done by various users.

Briefly explain any five types of customers of project.



What are the factors that determine the productivity of the organization.

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

Final Term Papers - Feb - March 2016

Today Paper (01/03/2016)

Quizzes : From Online and old papers quizzes.

3 Marks Questions:

1. Define and what should be in Project Charter?

2. Objectives of Kickoff Meeting?

3. The role of Quality control in the success of a project?

4/5 Dont remember but it was from the contents.

5 Marks Questions:

1. Disadvantages of Written Communication?



2. Procedure to Calculate ES & LF according to PERT/CPM?

3. Why Customer satisfactions is important?

4. Define Risk Management and its process?

5. Is good to review schedules and plans with the customer if yes then why?

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY NONI ON MARCH 12, 2016 AT 11:39AM

What is meant by Hedge Position? Briefly explain.3

For the construction of a project's network, how many inputs are required?3

Briefly explain the scope of Total Quality Management in projects.3

What are the criteria to identify a successful leader in project?3



Discuss what is procurement? What are its features with respect to projects.3

What are the requirements for the Contract Work Breakdown Structure (CWBS)?5

What are the benefits of pricing out Work Breakdown Structure (WBS)?5

Briefly explain any five types of customers of a project.5

How Management Reserve is related to Budget of a Project? Discuss the purpose of this reserve.5

Discuss a few common problems in Written Communication.5



MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY SAMRA TARIQ ON AUGUST 24, 2015 AT 2:47PM

My today's MGMT627 paper:

Total Marks: 80

Total Qs: 50

Total MCQs: 40

The subjective questions are as follows:

1. why network re-planning is done?

2. 3 salient features of TQM

3. 3 features of quality assurance

4. write down some activities of quality control

5. name the types of competitive advantage and differentiate them.



6. differentiate b/w end item materials and support materials

7. benefits of using statistical methods in projects

8. how customer satisfaction is important in projects

9. briefly explain the phases of scope management process

10. on what factors does productivity of firms depend? discuss in the perspective of competitiveness

Hope it will help those who still have to attempt MGMT627 paper

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY SAMRA TARIQ ON AUGUST 24, 2015 AT 2:49PM

Another MGMT627 paper shared by my friend:

types of customers

benefits of WBS

network input

features of TQM

salient features of TQM

(most questions were from TQM)



MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY MUHAMMAD ZAHID FARID ON MARCH 8, 2015 AT 6:07PM

MGMT627

Sections of project plan

Difference between project and product scope

Advantages of Pert/cost

Benefit of pricing at WBS level

Why it is important to meet the customer expectation

Control Chart Components

Factors affecting budget

Problems with written communication

Risk management process.....

Mcqs conceptual.....

MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY IQRA JAHANGIR ON AUGUST 22, 2014 AT 3:55PM

My paper. 22-aug-2014.. 11:00 a.m

Total Questions = 55

Total Marks = 78



Total MCQs = 47

Total Subjective Questions = 8

4 Questions of 3 Marks

4 Questions of 5 Marks

What are the uncertainties about the forecasting technology?

How software is helpful in projects.

Write about procurement & and its environment 5/-

PERT

Project scope & product scope 5

Risk management and its Steps?

Productivity Factors.

Quality Dimensions

Mcqs 3 or 4 form past papers .To prepare mcqs must read definitions and types.



My MGMT 627 PAPER

22 AUG FRIDAY SESSION 2

Question No: 3 (Marks: 1) - Please choose one

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Question # 6 of 15 (Start time: 08:40:51 PM) Total Marks: 1

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If you have 9 stakeholders in your organization how many channel of communication will be there

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In which business unit it is possible to consult management to re schedule activities



Advertising

Manufacturing

Pricing

Which is the most important factor which help in achieving successful business opportunities

Communication

Leaders can result in change of

Vision

Values

Attitudes

All of the given option

Which of the following related to budget is

Historical cost

Skill enhancement is related to?

Productivity is related to

Effectiveness and efficiency

It is the function that attempts to ensure that the

Project scope, cost, and time functions are fully integrated.



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Reliability engineering

Gantt chart

Overhead rates 1 mcq

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Short and long questions

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5. What is networking re planning?

6...Difference between leadership and management?

7...3 key dimensions of service quality?



MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY ALINA MALIK ON AUGUST 22, 2014 AT 11:16PM

today paper of mgmt 627

46 mcq's

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REPLY BY ALINA ON AUGUST 22, 2014 AT 11:16PM

today Paper MGMT 627

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Benefits of PERT analysis 5

Types of competitive advantage 5

Common barriers to written communication 5

Wish You All The Best

Regards VSN Team :)



MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY ALINA ON JULY 16, 2012 AT 7:58PM

Today paper is

56 mcqs

4 queation 3 marks

Cost effect of poor writing skill

What is Pert/cost

How find the total quality

What is risk measurement

4 question 5 marks

Any five barriers against of proposal

What the time plan

What the procurement and its stage

What the ways of quality of improvement



MGMT627 FINAL TERM PAPER SHARED BY STUDENT

REPLY BY IMHUM MCS ON FEBRUARY 27, 2013 AT 9:35PM

Q. What is project scope?

Q. How quality can be improved?

Q. Steps included in risk management?

Q. Configuration management

Q. types of non verbal communication

Q. techniques to improve Organization Communication

MGMT 627 PROJECT MANAGEMENT SUBJECTIVE PAST PAPERS SOLVED WITH REFERENCE

1. Define hedge position? **Lecture no 24 Page no 164 Handouts**

Ans. One of the most difficult problems to identify in schedules is a *hedge position*. A hedge position is a situation in which the contractor may not be able to meet a customer's milestone date without incurring a risk, or may not be able to meet activity requirements following a milestone date because of contractual requirements.

2. Write pert/cost advantages? **Lecture no 28 Page no 198 and 199 Handouts**

Ans.

1. Firstly, a major advantage of PERT is the kind of planning required to a major network. Network development and critical path analysis reveal interdependencies and problem areas that are neither obvious nor well defined by other planning methods. The technique therefore determines where the greatest effort should be made for a project to stay on schedule.

2. By using PERT one can determine the probability of meeting specified deadlines by development of alternative plans. If the decision maker is statistically sophisticated, he can examine the standard deviations and the probability of accomplishment data. If there exists a minimum of uncertainty, one may use the single-time approach, of course, while retaining the advantage of network analysis.

3. A third advantage is the ability to evaluate the effect of changes in the program. For example, PERT can evaluate the effect of a contemplated shift of resources from the less critical activities to the activities identified as probable bottlenecks. Other resources and performance trade-offs may also be evaluated.

4. PERT can also evaluate the effect of a deviation in the actual time required for an activity from what had been predicted.

5. Lastly, PERT allows a large amount of sophisticated data to be presented in a well-organized diagram from which both contractor and customer can make joint decisions.

3. Estimates to handle the cost related issues of a project explain?

4. Write dimensions of service quality? **Lecture no 37 Page no 276 and 277 Handouts**

Ans. Five Key Dimensions of Service Quality

1. Reliability:

- _Ability to provide what was promised, dependably and accurately.
- _Customer service representatives respond in promised time.
- _Following customer instructions.
- _Providing error free invoices and statements.
- _Making repairs correctly first time.

• _Assurance: Knowledge and courtesy of employees.
• _Their ability to convey “trust and confidence”.
• _Ability to answer questions.
• _Having capabilities to do necessary work.
• _Monitoring credit card transactions to avoid possible fraud.
• _Being polite and pleasant during customer transactions.

2. Tangibles:
• _Physical facilities
• _Equipment and appearance of persons include:
    - Attractive facilities
    - Appropriately dressed employees
    - Well designed forms that are easy to read and interpret

3. Empathy:
• _Degree of Caring and include attention provided to customer
• _Explaining “Tech Jargon” in: layman’s language
• _Recognizing regular customers by name

4. Responsiveness:
• _Willingness to help customer and provide prompt service. For example:
    - Acting quickly to resolve problems
    - Promptly crediting returned merchandise
    - Rapidly replacing defective products

5. Timeliness of Support:
• _They completed the job when expected
• _They met my deadlines
• _They finished their responsibilities within stated time frame
• _The project was completed on time

6. Responsiveness of Support:
• _They were quick to respond when I asked for help
• _They immediately helped me when I needed help
• _I waited a short period of time to get help after I asked for it

5. Write criteria of a leader? **Lesson no 25 Page no 177 and 178 Handouts**

6. How can a project be accomplished on time if the start date is delayed due to lack of adequate funding? Briefly explain.

Ans. The answer is to fast-track the project. Fast-tracking a project means that activities that are normally done in series are done in parallel. An example of this is when construction begins before detail design is completed.
Now the question arises as to how would this help. Fast-tracking a job can accelerate the schedule but requires that additional risks be taken. If the risks materialize, then either the end date will slip or expensive rework will be needed. Almost all project driven companies fast- track projects. The danger, however, is when fast-tracking becomes a way of life on all projects.

7. Define pert criticism? **Lesson no 28 Page no 199 Handouts**

Ans. Criticism of PERT:

The criticism that most people discover when using PERT includes:
• _Time and labor intensive effort is required.
• _Upper-level management decision-making ability is reduced.
• _There exists a lack of functional ownership in estimates.
• _There exists a lack of historical data for time–cost estimates.
• _The assumption of unlimited resources may be inappropriate.
• _There may exist the need for too much detail.

8. Explain manufacturing plan uses?

9. Define risk management process? **(From Slides Page no 48 of slides)**

Ans. **Risk Management Process**
• Risk Management strategy is established early in project.
• Risk is continually addressed throughout Project Life Cycle.
• Risk Management includes related actions:
a) Risk: Planning b) Assessment (identification & analysis)
c) Handling d) Monitoring

10. Write down Pert advantages?

Ans.

1. Firstly, a major advantage of PERT is the kind of planning required to a major network. Network development and critical path analysis reveal interdependencies and problem areas that are neither obvious nor well defined by other planning methods. The technique therefore determines where the greatest effort should be made for a project to stay on schedule.

2. By using PERT one can determine the probability of meeting specified deadlines by development of alternative plans. If the decision maker is statistically sophisticated, he can examine the standard deviations and the probability of accomplishment data. If there exists a minimum of uncertainty, one may use the single-time approach, of course, while retaining the advantage of network analysis.

3. A third advantage is the ability to evaluate the effect of changes in the program. For example, PERT can evaluate the effect of a contemplated shift of resources from the less critical activities to the activities identified as probable bottlenecks. Other resources and performance trade-offs may also be evaluated.

4. PERT can also evaluate the effect of a deviation in the actual time required for an activity from what had been predicted.

5. Lastly, PERT allows a large amount of sophisticated data to be presented in a well-organized diagram from which both contractor and customer can make joint decisions.

11. Write down benefits of pert?

Ans. **Benefits of Pert**

1. It forms basis of all Planning & Predicting
2. It Enables management to plan for best possible use of Resources to "Achieve given Goal" within "Time & Cost" Limitations.
3. It provides "Visibility & Enables management to control "One-of-a Kind" Program as opposed to "Repetitive Situation".

- It Helps management to handle "uncertainties involved" by answering such questions as:
  a. How time delays in certain/elements which "Influence Project Completion"?
  b. Where "Slack exists between elements"?
  c. "Elements are crucial to meet" Completion Date.
- It Provides basis for "Obtaining Necessary Facts for decision making".
- Utilizes "Time network analyses" as basic method to determine manpower, material,& capital requirements in addition to Checking Progress.
- It Provides Basic structure for Reporting information.
- It reveals "independencies of activities".
- It facilities "what if" exercise.
- It identifies "Longest Path" or Critical paths.
- It performs "Schedules" and Risk analysis.

12. Define Project manager? **(Lecture no 3 Page no 18 and 19 Handouts Read Must)**

Ans. A project manager is a professional in the field of project management. They have the responsibility of the planning and execution of any project. A project manager's central duty is to ensure the success of a project by minimizing risk throughout the lifetime of the project. This is done through a variety of methods, both formal and informal. A project manager usually has to ask penetrating questions, detect unstated assumptions, and resolve interpersonal conflicts, as well as use more systematic management skills.

13. Describe 3 price model?

14. Write difference between product and productivity?

Ans.

Product: At the end of a project, the team is usually disbanded and assigned to new projects with new team members. On the other hand, a product is **a good, service, platform, application, system, etc.** that is created, maintained and supported by solving problems and providing benefits to specific customer and business needs.

Productivity: Productivity is defined as **a total output per one unit of a total input**. In control management, productivity is a measure of how efficiently a process runs and how effectively it uses resources.

15. Five points of strategic planning of competitive environment? **Lecture no 19 Page no 141 & Page no 142 Handouts Read**

Ans.

Competitive Environment

- _Industry characteristics
- _Company requirements and goals
- _Competitive history
- _Present competitive activity
- _Competitive planning

16. Asked Something about Work breakdown?

17. Asked Something about Total quality?

18. What is project scope? **(Lecture no 26 Page no 181 and 183 Handouts)**

Ans. *Project scope document* defines the project scope. It should be attached to the business case and to the project charter. The project scope will be refined as you proceed through the project. This refers to the work that must be done to deliver the product with specified features and functions. Successful completion of project scope is measures against the plan.

19. Discuss types of non verbal communication? **(From Google)**

Ans. **The many different types of nonverbal communication or body language include:**

- Facial expressions. The human face is extremely expressive, able to convey countless emotions without saying a word. ...
- Body movement and posture. ...
- Gestures. ...
- Eye contact. ...
- Touch. ...
- Space. ...
- Voice. ...
- Pay attention to inconsistencies.

20. Discuss techniques to improve organization communication? **(From Google)**

Ans. **Five steps to improving organizational communication**

1. Use social intranet services. ...
2. Provide private atmospheres. ...
3. Use video conferences. ...
4. Prioritize company culture. ...
5. Do away with one-way communication

21. Configuration management? **(Lecture no 25 Page no 178 Read Handouts)**

22. Cost effect of poor writing skill? **(Lecture no 43 Page no 344 Read Handouts) OR (Slides)**

23. What is time plan? **(From Slides)**

Ans. The time plan is normally a monthly mechanical printout of all planned effort by work package and organizational element over the life of the contract, and serves as the data bank for preparing the status completion reports.

TAKEN FROM PROJECT MANAGEMENT FAQS FROM (QUESTION 24 TO 32) Open LMS and see FAQs

24. What is project management?

Ans. Project Management is the discipline of planning, organizing, and managing resources to bring about the successful completion of specific project goals and objectives.

25. What is project?

Ans. A project, as defined in the field of project management, consists of a temporary endeavor undertaken to create a product or service

26. Define team chemistry?

Ans. Team chemistry, or team cohesion, can be defined as a group dynamic that occurs when members of the team work together and make a united effort to accomplish the goals and objectives of the collective whole. A team's ability to stick together can prevent the team from falling apart in times of great distress and turmoil.

27. What is the purpose for the appointment of Project Manager prior to the project approval from the higher management?

Ans. The purpose of hiring project manager is to make the feasibility about the viability of the project. If feasibility is good, higher management will approve the project and project will be started. On the other side, if feasibility is not approved by higher management; project will be terminated and project manager will lose his job.

28. What is the main Difference Between Project Manager and Project Management Office?

Ans. A project manager is a professional in the field of project management. They have the responsibility of the planning and execution of any project, typically relating to construction industry, architecture or software development. Many other fields in the production, design and service industries also have project managers. Project Management office is an organizational unit to centralize and coordinate all project management related activities.

29. What is Feasibility and Feasibility Assessment?

Ans. A feasibility study is a preliminary study undertaken to determine and document a project's viability. The term feasibility study is also used to refer to the resulting document. These results of this study are used to make a decision whether to proceed with the project. A feasibility assessment is an aid to business decision making. It is the starting point in evaluating a business idea. Whether you are intending to start a new business, big or small, or you are already operating a business and are looking at avenues for growth or changes in your business operations, a feasibility assessment will help you to assess the merit of a proposed idea and its alternatives.

30. What are the main characteristics of a Feasibility Study?

Ans. A feasibility study is defined as an evaluation or analysis of the potential impact of a proposed project or program. A feasibility study should consist of: - It should based on extensive research on both the current practices and the proposed project/program and its impact on the operations. - It shoulde contain extensive data related to financial and operational impact and will include advantages and disadvantages of both the current situation and the proposed plan. - It is conducted to assist the decision-makers in making the decision. - An executive summary should be included at the beginning of the report. - Some background or setting information is critical to provide the context of the feasibility study. - The advantages and disadvantages of the proposed system need to be clearly explained in the feasibility study.

31. How a Project Manager can become a Successful Project Manager?

Ans. A project manager can be a successful project manager by adopting these qualities. Inspires a Shared Vision: Visionary leaders enable people to feel they have a real stake in the project. They empower people to experience the vision on their own.They offer people opportunities to create their own vision, to explore what the vision will mean to their jobs and lives. Good Communicator: The ability to communicate with people at all levels is almost always named as the second most important skill by project managers and team members. Project leadership calls for clear communication about goals, responsibility, performance, expectations and feedback. Integrity: One of the most important things a project leader must remember is that his or her actions, and not words. Good leadership demands commitment to, and demonstration of, ethical practices. Enthusiasm Enthusiastic leaders are committed to their goals and express this commitment through optimism. Competence: As project management continues to be recognised as a field in and of itself, project leaders will be chosen based on their ability to successfully lead others rather than on technical expertise. Cool Under Pressure: A leader with a hardy attitude will take these problems in stride. When leaders encounter a stressful event, they consider it interesting, they feel they can influence the outcome and they see it as an opportunity. Team-Building Skills: The leader must also have an understanding of the different team players styles and how to capitalise on each at the proper time, for the problem at hand.

32. Define Project Conception.

Ans. Project Conception:Conception of an Industrial Project is the initial step in the process of defining the actual scope of a project. Project conception generally starts with a manifestation of a requirement or an opportunity that will benefit the corporate interests, and culminates when one or more preliminary options have been formulated which will, theoretically, satisfy the company's expectations as originally presented. The process presented here although illustrated by an industrial project has features directly translatable to conceptual evolution in many diverse applications. The fact that the project in question has been deferred is not uncharacteristic of the fate of many programs during the conceptual phase.

1 Question No: 43 (Marks: 3)
For the construction of a network, how many inputs are required?.....201
For the construction of the network there are two inputs are required. First, the selection must be made whether the event represent start or completion of an activity. Event completion is generally preferred. The next step is to define the sequence of events. Every event must relate to its immediate predecessor.

2 Question No: 44 (Marks: 3)
How can quality be achieved in a project?

3 Question No: 45 (Marks: 3)
What are the objectives of procurement planning?.....362
procurement planning must select one of the following as the primary objectives:
Procure all goods/services from a single source.
Procure all goods/services from multiple sources
Procure only small part goods/services.
Procure nothing.

4 Question No: 46 (Marks: 5)
What are the characteristics of effective communication?.....344
following are some characteristics of effective communication:

- Fostering/promoting an “open communication climate”
- Committing “ethical communication”
- Understanding “dynamic intercultural communication”
- Become proficient in communication technology.
- Using an “audience centered approach”
- Creating and processing messages efficiently.

5 Question No: 47 (Marks: 5)
Differentiate between preliminary project scope statement and detailed project scope statement……184/185
the **project scope statement** is the definition of project which define what to be accomplished.

Preliminary project scope statement is developed from information provided by initiators or sponsors. The project management team is then further refined preliminary project scope statement to project scope statement. The project scope statement content will vary depending upon the application area and complexity of project. During multiphase's of project, the preliminary project scope statement validates and refines project scope for that phase.

The preparation of **detailed project scope statement** is very critical and builds on major deliverables, assumptions and constraints defined in preliminary project scope statement at the time of project initiation.

6 Question No: 48 (Marks: 10)

Discuss the method of preparing the schedules. Also explain its importance…….165

following are the guideline for preparing schedules.

- All major event and date should be identified. If customer provide any work details then those date should also be mentioned on schedules. If these dates cannot be met then customer should be notified.
- Sequence of events should be defined.
- Schedules should be relatable to work breakdown structure (WBS). If the work breakdown structure is developed according to specific sequence then it becomes very easy task to make schedules by using same numbers used in work breakdown structure (WBS).
- All schedules must identify the time constrained and resources needed for every event.

Most organizations use multiple schedules. Summary schedules for management and planners and detailed schedules for doers and lower level control.

Main problem in schedules is hedge position. Hedge position is a situation where contractor may not be able to meet customer's target date without taking a risk.

7 Question No: 49 (Marks: 10)

If a firm is using fixed price contract, how does it get advantage over others?.....369

Fixed price contract is also called lump-sum contract. Under this contract, contractor must estimate very carefully the target cost. The contractor is bound to do work under estimated target cost. If target cost was low then profit will reduce and sometime vanish.

Fixed price cost contract provide maximum protection to owner to ultimate cost of project. Following are the advantages of this contract:

- It provides firm assurance of ultimate cost.
- It ensures on time advice to owner for delays and extra cost resulting from changes.
- It requires minimum owner follow-up of work.
- It provides maximum incentives for quickest completion of work at lowest cost.
- It involves minimal auditing by owner's staff.

8 Q1. Leadership skill 3 marks……..48

The effective management style should have following leadership skills:

- Clear project leadership and direction.
- Assistance to problem solving
- Facilitating the integration of new members into team
- Ability to handle/solve interpersonal conflicts
- Ability to communicate clearly.
- Presentation of team to higher level.
- Facilitating group decision.
- Ability to balance technical solution against economic and human factor

9 Q2. Three points of strategic planning of external environment
3…….141 marks
External environment variables of strategic planning are:

- Social
- Economic
- Legal
- Political
- Technological

10. Five points of strategic planning of competitive environment
5…….141/142 marks
Competitive environment variables of strategic environment are:

- Industry characteristics
- Company requirements and goals

- Competitive history
- Competitive current activity
- Competitive planning
- Return on investment
- Market share
- Size and variety of product line

Internal environment variables of strategic environment are:

- Management skills
- Resources
- Wages and salary levels
- Government freeze on jobs
- Minority groups
- Layoffs
- Sales forecast

11. Write some barriers against effective proposal……..103

Barrier against effective proposal are

- Required element missing/lack of required elements
- Excessive jargon
- Unrealistic goals and objectives

12. Differ b/w project manager and project management officer only 2????? 5/- pg 44

The difference between project manager and project management officer (PMO) are following:

- Both have different objectives.
- PM is responsible for delivering project objectives within available constraints while PMO is responsible for organizational structure.
- PM focuses on objectives of the project while PMO focuses on major programs and scopes.
- PM is constrained with specific resources to use to meet full project objective while PMO provide optimized use of all shared resources among all projects.
- PM manages cost, quality, schedules and scope of project while PMO manages overall risk, opportunities and link among different projects.

- PM provide project progress/information report to top management while PMO provide merged reporting vie of a project or all projects.

13. Write about procurement & and its environment????? 5/- pg 362

Procurement is the acquisition of services and goods. Procurement is the process which involves two parties with different objectives who interact on the given market segment. Good procurement process can increase profitability of company. As procurement contributes to profitability hence it is considered as centralized which results in standardization of process and low paper work cost.

There are two types of environment in which procurement can take place. These are macro and micro environments.
Macro environment includes general external variables that can influence how and when we can do procurement. These include recession, inflation, cost of borrowing money and unemployment.
The micro environment includes internal environment of firm which include, policies and procedures imposed by the firm or clients.

There are two types of procurement strategies which are:
Contractor procurement strategy:
The relationship between specific procurement actions to the corporate strategy
Project procurement strategy
It is the relationship of specific procurement actions to the operating environment of the project.

Procurement planning usually involves in selection of one of the following as primary objectives

- Procure services/goods from single source.
- Procure services/goods from multiple sources.
- Procure only small portion of goods/services
- Procure nothing

14. top-down estimation??3/- pg 326

Top-down estimate is also called approximate estimate. This estimate is made without any detailed engineering data; it may have accuracy of +_15

percent. This type of estimate deduce from previous projects which are same in scope and capacity.

There are four types of estimate:

- Order-of-magnitude estimate
- Approximate estimate
- Definitive estimate
- Estimate through learning curves

Order-of-magnitude estimate is made without detailed engineering data and it may accuracy of +_35 percent. This type of estimate may use past experience.

Approximate or top-down estimate is made without any detailed engineering data and may have accuracy of +_15 percent. This type of estimate is deduced from previous projects of similar capacity and scope.

Definitive or grassroots estimates. This type of estimate is made from well defined engineering data like specifications, vendor's quotes, unit price or estimate to complete. This estimate may have accuracy of +_5 percent.

Estimate through learning curves is basically a graphical representation of repetitive functions. The theory behind learning curves is usually applied to manufacturing operations.

15. Mechanism of PERT chart???3/- pg 201

PERT (program evaluation and review technique) is developed in 1958. Basically, PERT is a management planning and control tool. It can be considered as a road map of a particular program or project in which all events are completely identified together with their interrelations. PERT charts are usually constructed from back to front because mostly projects have fixed ending date but the contractor has the front end flexibility.
The main purpose of building PERT chart is to estimate that how much time is needed to complete this project. Therefore, PERT is using time as common standard for those elements which may influence the success of project like time, cost and performance.
The construction of the network basically needed two inputs. First is the selection whether all events represent the start and completion of the activity. Completion is more preferred.

Second step is the sequence of events, which relates each event to its immediate predecessor.

16. What strategies adopt to enhance quality improvement????3/-
17. How manager control cost??? 3/-
18. One Q about empowerment?????5 /-

19 Q. what are the drawbacks of writing the typical specification? 5marks

20 Q. How policies are predetermined general course or guides? 5marks pg 124

Policies are predetermined general course or guides have following principles:

- Subordinate polices are supplementary to superior polices.
- Policies are well defined, understandable, more likely in writing form.
- Policies are both flexible and stable.
- Policies are based on known principles.
- Policies should be comprehensive in scope.

It is essential that project policies should be like company policies and are usually similar in nature from project to project. While procedures are widely different from project to project.

21 Q. The three basic strategies project variables of internal environment? 3marks….141

Basic strategic project variables of internal environment are:

- Resources
- Wages and salary level
- Government freeze on jobs
- Management skills
- Minority groups

22Q. Three financial factors used in project evaluation? 3marks pg 98

23Q write 3 contents of construction project which are mentioned in its checklist 3 marks pg 127

Construction planning contents of project are:

- Facility turnover sequence
- Temporary facilities, warehouses and offices
- Labor availability and productivity
- Work week and productivity impact
- Climatic affect on field work
- Field engineering assistant is required
- Field organization and staff

24Q Responsibilities of project manager at planning stage 5 marks……51

25Q Three points of strategic planning of competitive environment 3 marks

Strategic planning variables for competitive environment are:

- Industry characteristics
- Company requirements and goals
- Competitive history
- Present competitive current state
- Competitive planning
- Return on investment

26Q Procedures that can assist project managers during planning activities 5 marks pg125

1. attributes of professional governance? 3
2. difference b/w intuitive and rational decision making? 3
3. roles of government to empower women? 3
4. levels and types of educaton? 5
5. governance and dimensions of governance? 5
6. the selective intensive approach? 5

7. perspective of organizational democracy? 5
8. role of government to cope with unemployment? 5
9. Is poverty is problem of HRD? y? or y not M -5
10. Conscientisation approach of adult literacy M-5
11. how more and more employment opportunities could be increased by govrmnt? M-5
12. benefits of debt relief in context of mobilization resources M-5
13. hindrances of devolution M -3
14. public leverage M-3
15.

Establish goals before you plan. Otherwise short-term thinking takes over.
• Set goals for the planners. This will guard against the nonessentials and places your effort
where there is payoff.
• Stay flexible. Use people-to-people contact, and stress fast response.
• Keep a balanced outlook. Do not overreact, and position yourself for an upturn.
• Welcome top-management participation. Top management has the capability to make or
break a plan, and may well be the single most important variable.
• Beware of future spending plans. This may eliminate the tendency to underestimate.
• Test the assumptions behind the forecasts. This is necessary because professionals are
generally too optimistic. Do not depend solely on one set of data.
• Do not focus on today's problems. Try to get away from crisis management and fire
fighting.
• Reward those who dispel illusions. Reward the first to come forth with bad news

Q. What is project scope?

Q. How quality can be improved?

Q. Steps included in risk management?

Q. Configuration management

Q. types of non verbal communication

Q. techniques to improve Organization Communication

today's paper of project managment

why empowerment is effective.....5

criticism regarding PERT SCHEDULE.....5

what are the costs of power writing skills?

what are the steps included in risk management 5

3 constraints which limit PERT.....3

how quality can be improved....3

1. attributes of professional governance? 3
2. difference b/w intuitive and rational decision making? 3
3. roles of government to empower women? 3
4. levels and types of educaton? 5
5. governance and dimensions of governance? 5
6. the selective intensive approach? 5
7. perspective of organizational democracy? 5

role of government to cope with unemployment? 5

Project Management MGMT 727 solved paper Final Term 2015

1) What is a Work Package (WP)? Briefly explain the characteristics a WP must possess.

The work package is the critical level for managing a Work Breakdown Structure (WBS).

To explain them further, work packages are natural subdivisions of cost accounts and constitute the basic building blocks used by the contractor in planning, controlling, and measuring contract performance. A work package is simply a low-level task or job assignment. It describes the work to be accomplished by a specific performing organization or a group of cost centers and serves as a vehicle for monitoring and reporting progress of work.

Characteristics of Work Package:

In case of large projects, planning will be time phased at the work package level of the Work Breakdown Structure (WBS). The work package has the following characteristics:

• Represents units of work at the level where the work is performed

• Clearly distinguishes one work package from all others assigned to a single functional group

• Contains clearly defined start and end dates that are representative of physical accomplishment

• Specifies a budget in terms of dollars, man-hours, or other measurable units

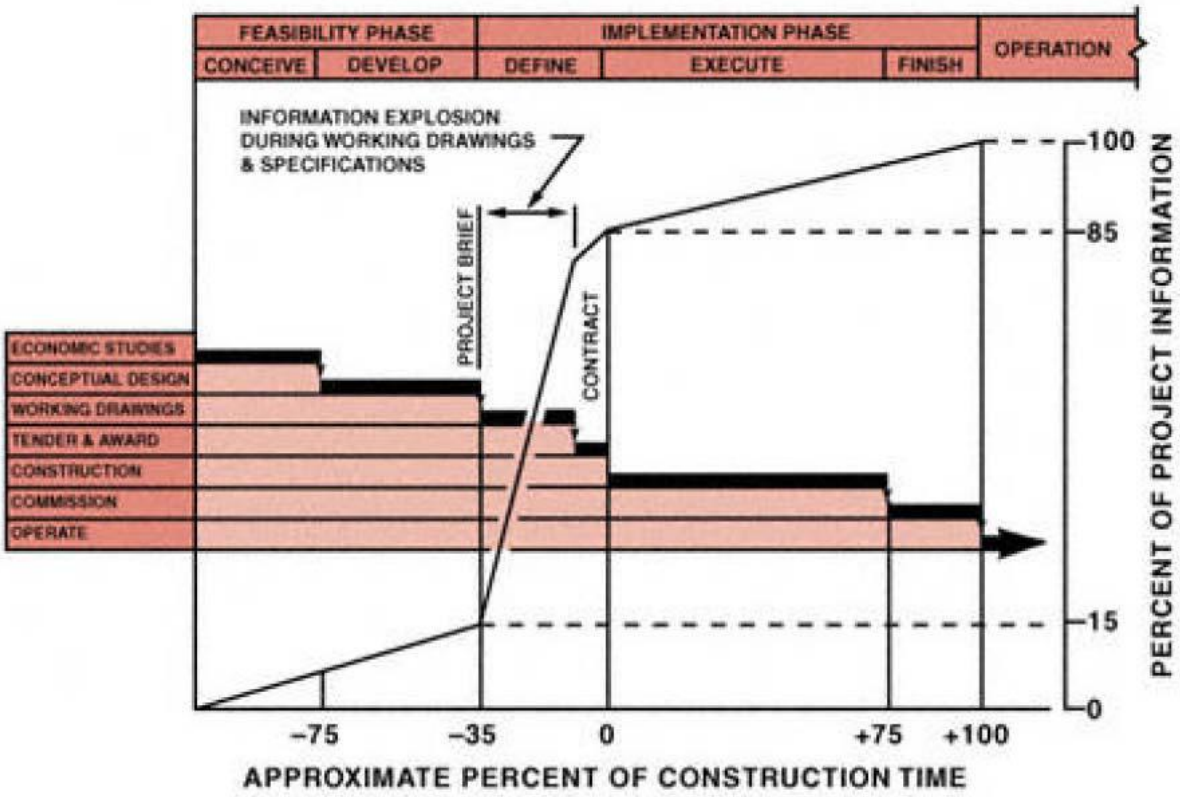
• Limits the work to be performed to relatively short periods of time to minimize the work-in process effort

2) The starting date of a 3 months long project was delayed by 1 week due to lack of adequate funding. How can this project be completed by the due date? Explain in detail.

The answer is to fast-track the project. Fast-tracking a project means that activities that are normally done in series are done in parallel. An example of this is when construction begins before detail design is completed.

No matter how well we plan, sometimes something happens that causes havoc on the project. Such is the case when either the customer or management changes the project's constraints. Consider Figure 25.4 “The information explosion” and let us assume that the execution time for the construction of the project

is one year. To prepare the working drawings and specifications down through level 5 of the Work Breakdown Structure (WBS) would require an additional 35 percent of the expected execution time, and if a feasibility study is required, then an additional 40 percent will be added on. In other words, if the execution phase of the project is one year,then the entire project is almost two years.



3) Being a project manager, you have to compete in the market with rival firms. To be competitive and to win the market, which aspects you should focus the most? Discuss in detail.

Quality is by no menus a new concept in modern business. In October 1887, William Cooper Procter, grandson of the founder of Procter and Gamble, told his employees, "The first job we have is to him out quality merchandise that consumers will buy and keep on buying. If we produce it efficiently and economically, we will earn a profit, in which you will share." Procter's statement addresses three issues that are critical to managers of manufacturing and service organizations: productivity, cost, and quality. Productivity (the measure of efficiency defined as

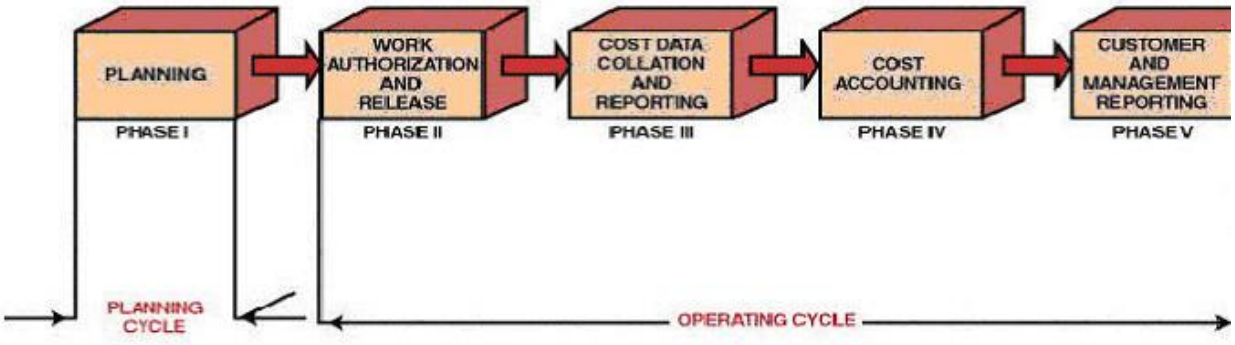
the amount of output achieved per unit of input), the cost of operations, and the quality of the goods and services that create customer satisfaction all contribute to profitability. Of these three determinants of profitability, the most significant factor in determining the long-run success or failure of any organization is quality. High quality goods and services can provide an organization wi th a competitive edge. High quality reduces costs due to returns, rework, and scrap. It increases productivity, profits, and other measures of success. Most importantly, high quality generates satisfied customers,

4) The XYZ Company is carrying out a project to produce a software program that teaches basic math skills to the children. Mr. Ali is the project manager of this company and is performing cost estimates for this project; but does not have much data yet. In your point of view, which technique should he use to perform this task?

5)- You have been appointed as aproject manager of highly sensitive project in your companny as this will either make or break the company, the project is highly visible & sponsered directory by the board of directors one of your team member is developing management cost & control system (MCCS) for this project, he is quite new & do not know much about MCCS being a senior project manager guid him about the different phases of MCCS. Lesson # 40 (complete)

Management Cost and Control System (MCCS):

Cost control is actually a subsystem of the *Management Cost and Control System (MCCS)* rather than a complete system per se. This is shown in Figure 40.1**,** where the Management Cost and Control System (MCCS) is represented as a two cycle process: a planning cycle and an operating cycle. The operating cycle is what is commonly referred to as the cost control system. Failure of a cost control system to accurately describe the true status of a project does not necessarily imply that the cost control system is at fault. Any cost control system is only as good as the original plan against which performance will be measured. It is more common for the plan to be at fault than the control system.



6)A company has major focus on "Quality" and is starting a new housing society. Keeping in view the company's requirement which quality approach would you implement in this project and why?

Integrating Perspectives on Quality:

Although product quality should be important to all individuals throughout the value chain, how quality is viewed may depend on one's position in the value chain, that is, whether one is the designer, manufacturer or service provider, distributor, or customer. The customer is the driving force for the production of goods and services, and customers generally view quality from either the transcendent or the productbased perspective. The goods and services produced should meet customers' needs; indeed, business organizations' existences depend upon meeting customer needs. It is the rule of the marketing function to determine these needs. A product that meets customer needs can rightly be described as a quality product. Hence, the user-based definition of quality is meaningful to people who work in marketing.

The manufacturer must translate customer requirements into detailed product and process specifications. Making this translation is the role of research and development, product design, and engineering. Product specifications might address such attributes as size, form, finish, taste, dimensions, tolerances, materials, operational characteristics, and safety features. Process specifications indicate the types of equipment, tools, and facilities to be used in production. Product designers must balance performance and cost to meet marketing objectives; thus, the value-based definition of quality is most useful at this stage.

7)What is work package? briefly explain its characteristics.

8) numeric questn find slack time. crirtical path and project duration.

9) about risk Lesson # 44 pg #352

Project Management MGMT-727 Final TERM 2016

1. You are working as a PM on a new project of research and development and your organization hired an assistant to assist you. He has to help you in scheduling. what will guide you for this process?
2. Differentiate between business case and project charter?
3. You are working on a project and one of your vendor is not able to provide some equipment on time and he can be late for 2 weeks. After checking some network diagram, you told him that he can deliver this equipment in 2 weeks. What did you see in the network diagram for this grace period?
4. What is project planning process; kindly elaborate all the stages in detail.
5. What is fixed price contract and what advantage can you get over competitors by using fixed term contract.
6. What are the steps you can take to retain customers?
7. Do you agree with the phrase that " Leader is providing operational support but manager is not"
8. What are the costs you should consider in budget planning?
9. What is difference between classic and modern quality definition?

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1#

Scope defines the size of the project. Scope include(s) which of the following(s)?
Departments
b) Geographic locations
c) Deliverables
d) All of the given (right answer) page 180

2#

Refining the estimating criteria is _____ of scheduling.
Objective (right answer) page 165

3#

Through Project management software's, we can achieve
Effectiveness
Efficiency

Both (right answer) m not sure about this

4#

The detailed project scope statement includes which of the following
Project boundaries
Project constraints
Both a,b (right answer) page 187

5#

Who among the following is responsible to provide technical directions to any problem?
Assistant project manager
Program manager
Line manager (right answer) not sure (from past papers)
Project manager

6#

Detailed schedules are developed for which of the following?

for the doers and lower-level control (right answer) page 164

7#

PERT is basically which of the following tool(s)
Planning tool
Control tool
Both a and b (right answer)

8#

Scope creep can be a result of:
Poor change control
Weak project manager or executive sponsor

Both a and b (right answer) page no 181

9#
Which of the following is a Master production schedule?
Production plan (right answer) page 166

10#

If the company underestimates the salary structure,

It will be cause

Increased costs and decreased profits (right answer) page no 233

Which of the following Project planning Categories is developed for one to five years?
Select correct option:

Tactical planning

Which of the following typical Engineering, Procurement and Construction proposal contents indicates weak items by Owner which are not included in contractor's scope of service?
Select correct option:
Work schedule plan
Introduction and summary
Project description
Scope of services (m not sure about it)
All of the following are activities of Project Procurement Manager
Don't know: p

Which of the following non numeric models is suggested by a senior and powerful official in the organization?
Select correct option:
Sacred cow

"Building a wall to avoid the flood water" is an example of which of the following?
Select correct option:

Operating necessity

A group of elements, either human or nonhuman, that are organized and arranged in such a way that the elements can act as a whole toward achieving some common goal, objective, or end is called:

Select correct option:

System

The detailed project scope statement includes which of the following(s)
Select correct option:
All of the above

Which of the following refers to exchanging routine information and processing paper work?
Select correct option:

Communication

PERT is basically which of the following tool(s)
Select correct option:
Both a b (control and management tool)

Which of the following plans are short term and deal with the day-to-day work of their team?
Select correct option:
Operational plan

For competitive bidding of projects, which of the following stage(s) is/are included?
Select correct option:
Conceptual phase

Which of the following refers to "A goal, target, or quota to be achieved by a certain time"?
Objective

The main factor for Kala Bagh Dam project as it could not be started because it was not feasible
Select correct option:
Politically
Legally
Both
None **(I select politically not sure)**

First Major Step in Planning Process after Project Requirements definition is to develop:

Wbs (work breakdown structure)

Which of the following used in the criteria to identify discrete tasks that have definable end results?
Select correct option:
Work package

All of the following are the phases of life cycle in computer programing except

Build up

Which of the following is a Master production schedule?
Production plan

Which of the following is the knowledge of and proficiency in activities involving methods, process, and procedures?
Select correct option:

Technical skill

In project pricing, projection of expenses is made based on which of the following(s)

All of the above right answer
• Historical direct/indirect labour ratios
Changes in public laws
Manpower requirements and turnover rates

Which of the following is also known as benefit cost ratio?

Profitability index

My MGMT 627 PAPER
22 AUG FRIDAY SESSION 2

Question No: 3 (Marks: 1) - Please choose one
Which of the following is included in Project Scope Management?

- · Plan development
- · Project plan execution
- · Integrated change control
- · Initiation

Question No: 7 (Marks: 1) - Please choose one
Which of the following shows the impact on results of changes in assumptions?

- · Controlled variation
- · Scenario analysis
- · financial package blueprint
- · Feasibility analysis

Question No: 26 (Marks: 1) - Please choose one
In precedence diagram, what does dotted line indicates?

- · Event
- · Relationship
- · Slack
- · Critical path

Question No: 33 (Marks: 1) - Please choose one
Empowerment, encourages which of the following?

- · Responsibility
- · Authority
- · Innovation
- · Motivation

In precedence diagram, what arrow line indicates?

Dependencies

After Initial feasibility analysis, the next step is to prepare:

Select correct option:

Project Plan

Scope statement

System Proposal

Work Breakdown Structure

Question # 6 of 15 (Start time: 08:40:51 PM) Total Marks: 1

Which of the following items involves the quantitative aspects of planning?

Select correct option:

Budget development

Project administration

Leadership styles

Conflict management

Following is the project activity

Constructing a building

Providing technical assistant

Which of the following is a use of Work breakdown structure?

Select correct option:

Cost control standard

Risk cost control

Reporting

Work project

Analysis steps in cause and effect diagram

5

If you have 9 stakeholders in your organization how many channel of communication will be there

9

8

45

36

Which of the following provides maximum protection to the owner for the ultimate cost of the project

Fixed price

The ability of a product to operate without any fault?

Operate ability

Reliability

Durability

Conformance

In which business unit it is possible to consult management to re schedule activities

Advertising

Manufacturing

Pricing

Which is the most important factor which help in achieving successful business opportunities

Communication

Leaders can result in change of

Vision

Values

Attitudes

All of the given option

Which of the following related to budget is

Historical cost

Skill enhancement is related to?

Productivity is related to

Effectiveness and efficiency

It is the function that attempts to ensure that the

Project scope, cost, and time functions are fully integrated.

Quality assurance

Which is not included in quality assurance principle

The cost of quality

Aero defect

Reliability engineering

Gantt chart

Overhead rates 1 mcq

In which of the following the estimate, is prepared from well-defined

Engineering data including (as a minimum) vendor quotes, fairly complete plans, specifications, Unit prices, and estimate to complete

Definitive estimate

Which of the following charts provide the framework from which

Detailed planning can be initiated and costs can be controlled and tracked.

PERT/CPM

Which is not included in estimating activity?

Most optimistic completion time:
Most pessimistic completion time
Most likely completion time:

Most unlikely (right answer)

Which of the following can be defined as the difference between the latest allowable date and the earliest Expected data

Slack

If the project is terminated early, which of the following

Process should establish and document the level and extent of completion?

Scope verification

Which of the following include. Project deliverables, project objectives?

Scope planning

Levelling technique

WBS

Short and long questions

1...Stages of quality?

2...Effect of empowerment?

3...It is necessary for the project manager to communicate internally and externally the organization?

4...Why plans are revised?

5. What is networking re planning?

6...Difference between leadership and management?

7...3 key dimensions of service quality?